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African Banking Corporation Ltd v Mavji Construction Ltd and others

[2004] 2 EA 1 (HCT)

Division: High Court of Tanzania at Dar-Es-Salaam

Date of ruling: 12 March 2004

Case Number: 282/02

Before: Kimaro J

Sourced by: LawAfrica

Summarised by: A Mwanzia

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[1] Civil procedure – Pleadings – Amendment of defence – Application to amend brought late by one year – Whether sufficient cause established for the delay – Whether application may be granted.

Editor's Summary

The defendants applied to court seeking to amend their statement of defence to include a counterclaim. The application was made a year after service and before the final pre-trial conference stage. The reason given for the delay was that all senior officers of the defendant were abroGad on travel duty.

The defendant's counsel requested the Court to grant the application on the ground that the principal officer was abroad on medical reasons. There was no evidence of this set of facts in the supporting affidavit.

Held – There was no evidence to support the contention that the principal officer was abroad on medical grounds. There was also no documentary evidence to support allegations of travel abroad. The defendant had not established a sufficient cause for the delay in filing the application, the same was therefore dismissed.

No cases referred to in ruling

Ruling

KIMARO J: This case was filed in this Court in November 2002. It went through the process provided for by the Civil Procedure Code 1966 as amended by government notice number 422 of 1994 until the final pre-trial conference stage was reached. The case was called for the final pre-trial conference on 10 December 2003.

On that day, Ms Hamida *Sheikh* who had been appearing for the defendants since 10 March 2003 after taking over from Ms Razia Sheikh after her appointment to the bench as a High Court Judge, asked this Court for leave to file an amended written statement of defence. She filed a chamber of application which was heard by way of written submissions. She is the only one who complied with the timeline set for the filing of the submissions. Mr *El-Maamry* who appears for the plaintiff has not filed his submission. The application has been made for purposes of an inclusion of a counterclaim. The only reason given by Mr Naran Mavji Ratna who has described himself as the principal officer of the company is that service was effected on the defendants in February 2003 while all senior officers were on travel duty abroad.

He instructed the advocate while he was abroad and the written statement of defence had to be signed by the advocate because of the absence of senior officers of the defendants at the time it was required to be filed.

In her final submissions, Miss *Sheikh* requested this Court to grant the application giving one main reason. The reason is that the principal officer was abroad on medical grounds. With greatest respect to *Sheikh*, there is no evidence to support this submission. What the principal officer deposed to in the affidavit was that he was on travel duty. Paragraphs 2 and 3 of his affidavit are clear. They state as follows:

> "That when the plaint and court summons were served on the applicant/defendant company, in early February 2003, all senior officers including myself were on *duty travel*.
>
> It was while checking with our office from abroad that I discovered on the phone that Mr Divu the Assistant Accountant had been served with the plaint and summons of the case". (emphasis mine)

There is nothing in the remaining paragraphs which show that Mr Naran Mavji Ratna went abroad for treatment. Even the affidavit does not contain any document to support his travel abroad, let alone the treatment. He has not even indicated when he returned to the country. Submissions are not evidence. The affidavit is what contains the evidence.

As demonstrated above, this case was filed in this Court in November 2002. The application to amend the written statement of defence is being made after a year and no reason has been offered for the delay.

The application is dismissed with costs as no sufficient cause has been offered to support the application.

For the plaintiff:
Mr El-Maamry

For the defendants:
Ms H Sheikh

Attorney-General v Rwanyarare and others
[2004] 2 EA 2 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of Judgment:	21 April 2004
Case Number:	2/03
Before:	Odoki CJ, Oder, Tsekooko, Karokora, Mulenga, Kanyeihamba and Kato JJSC
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Statute law – Act of Parliament – When an Act of Parliament comes into force – When an Act of Parliament breaches the Constitution – What determines the date of commencement of a statute.

Editor's Summary

The Parliament of Uganda enacted the Political Parties and Organizations Act and the President assented it on 2 May 2002. It was *gazetted* on 17 July 2002.

The respondents felt aggrieved by the Act and filed a constitutional petition seeking *inter alia* a declaration that it was inconsistent with the Constitution.

The Attorney-General filed an answer but raised a point of law as regards the competence of the petition, arguing that the petition had been filed out of time. The Constitutional Court dismissed the objection on the ground that the petition was filed on 31 July 2002 and was within time, hence competent, the Attorney-General then appealed to the Supreme Court.

Held – An act becomes operational either on a date specified by the Act itself or upon notification in the Uganda *Gazette*. In the present case, the date of commencement is different from the date of assent. An Act that has not come into force can not violate the Constitution. The petition was filed within time.

Appeal was dismissed.

No cases referred to in judgment

Judgment

ODOKI CJ, ODER, TSEKOOKO, KAROKORA, MULENGA, KANYEIHAMBA AND KATO JJSC: This is an interlocutory appeal arising from the ruling of the Constitutional Court which rejected the Attorney-General's objection to the competence of constitutional petition number 7 of 2002. The Attorney-General is the respondent in the petition.

The background to this appeal is brief. In May 2002, the Parliament of Uganda enacted the Political Parties and Organisations Act of 2002 (hereinafter called the PPOA). The President assented to it on 2 June 2002. It was *gazetted* on 17 July 2002. Dr James Rwanyarare and the other nine respondents felt aggrieved by some of its provisions. So on 31 July 2002, they instituted the petition in the Constitutional Court seeking for a variety of declarations. But the main ground was that the PPOA is inconsistent with and in contravention of the Constitution. The Attorney-General filed an answer to the petition and in that answer raised some points of law concerning the competence of the petition.

In the Constitutional Court, the Attorney-General filed a notice of motion (miscellaneous application number 3 of 2002), under rules 4 and 13 of the Rules of the Constitutional Court (Petitions for Declarations under Article 137 of the Constitution) Directions of 1996 and Order 6 rules 27 and 28 and Order 48 rule 1 of Civil Procedure Rules (CPR). By the motion the Attorney-General moved the Court to hear and determine legal issues he raised in his answer, the substance of which was that the petition was filed out of time.

The Attorney-General anticipated that if the preliminary points of law were upheld by the Constitutional Court, the petition would be disposed of without hearing it on merit.

The Constitutional Court heard and dismissed the application on grounds that the petition filed on 31 July 2002 was filed in time and that, therefore, the petition was competent. The Attorney-General has now appealed against that ruling and his memorandum of appeal contains three grounds. The respondents filed a notice of grounds of affirming the decision of the Constitutional Court pursuant to rule 87 of the Rules of this Court.

Mr Joseph *Matsiko* prosecuted the appeal on behalf of the Attorney-General. The respondents' lead counsel is Mr Peter *Walubiri*. He was assisted by Messrs Kiyemba-Mutale J Matovu and Yusuf Nsibambi.

The three grounds of appeal revolve around one and the same point namely whether or not the petition was filed in time. However, the learned principal State Attorney argued the grounds separately.

The first and second grounds which can conveniently be considered together are framed this way:

1. The Learned Judges of the Constitutional Court erred in law and in fact in holding that the thirty days of limitation under Legal Notice number 4 of 1996 begins to run from the date of perception of the breach of the Constitution complained of:
2. The Learned Judges of the Constitutional Court erred in law and in fact in holding that the constitutional petition number 7 of 2002 was not time barred.

When arguing these two grounds, Mr *Matsiko* submitted substantially the same arguments which were raised by the Attorney-General and his team in the Court below. Mr *Matsiko* referred to the Acts of Parliament Act (Chapter 2) and to Legal Notice number 4 of 1996 whose rule 4 provides that a petition shall be filed within 30 days. He opined that a Bill of Parliament becomes law on the day it is assented to by the President, but not when it becomes operational. He therefore contended that PPOA became law when it received Presidential Assent on 2 June 2002 and not on 17 July 2002 when it was *gazetted* and submitted that the period of 30 days began to run from the date of the breach of the Constitution complained of. He further contended that if the PPOA breached the constitution, it did so upon becoming law. He also contended that breach of the Constitution and perception of a breach of the Constitution are two different things. He argued that rule 4 of Legal Notice number 4 of 1996 does not curtail human rights. We understood him to also submit that the petitioners did not plead, as required by Order 7 of the Civil Procedure Rules, circumstances which show that the petition is exempt from the 30 days limitation period.

Mr *Walubiri* for the respondents, supported the decision of the Constitutional Court. According to him, the critical issue to address in this appeal is whether under rule 4(1) of the legal notice, 30 days begin to run on the date of presidential assent to the bill or from the date of publication of the bill in Uganda *Gazette*. Learned counsel referred to passages in the ruling of the Constitutional Court and to various sections of (Chapter 2) which set out a scheme of how a law is made in Uganda. He pointed out that under Article 91(8) of the Constitution, publication of an Act of Parliament is a constitutional requirement. Under section 19(2) of (Chapter 2), any Act of Parliament is judiciary notice upon being *gazetted* and in this case the PPOA was *gazetted* on 17 July 2002 which is the date of its commencement. He argued that therefore by filing the petition on 31 July 2002, the respondent lodged it in court within the prescribed time.

With respect, we are not at all persuaded by the arguments of the Learned Principal State Attorney. Article 91(8) of the Constitution and the provisions of (Chapter 2) and of PPOA support the position that the petition was indeed instituted in time.

In the ruling from which this appeal arose, the Constitutional Court posed the question. "When does perception that an Act of Parliament has breached the Constitution take place?"

The Court then put forward the following five possible alternative answers:

(*a*) As soon as the President assents to the bill;

(*b*) On the date designated by the Act itself as the commencement date.

(*c*) On the date the Act is *gazetted*.

(*d*) On the date the petitioner actually becomes aware of the existence of the law; and

(*e*) On the day the petitioner actually becomes aware that the law breaches the constitution.

The Learned Justices of the Constitutional Court then held correctly, in our opinion, that in the instant case, section 15 (now section 14) of (Chapter 2) provides the answer. The section is produced on the next page in this judgment. Before dismissing the objection, the Court cited that section and concluded its ruling with the following words:

> "In the instant case and on its own facts, we hold that the petitioners ought to have perceived of the breach of the Constitution allegedly posed by the Political Parties and Organisations Act on 17 July 2002. They had up to around 16 August 2002 to file the petition. On 31 July 2002 when they filed the petition they were clearly in time and the petition is therefore competent."

We are unable to find any fault with this conclusion and we find no sound foundation upon which Mr *Matsiko* contended that the Court erred when it held that the petitioners ought to have perceived the breach on 17 July 2002.

Article 91 regulates the exercise of legislative power. In terms of clause (8) of the Article,

> "A bill passed by Parliament and assented to by the President ... shall be an Act of Parliament and shall be published in the *Gazette*".

This provision shows that the process of gazetting an Act of Parliament is a constitutional requirement. The purpose and reasons for gazetting an Act of Parliament are set out in (Chapter 2). In its various sections, (Chapter 2) in Part II thereof, sets out forms of Acts of Parliament and Bills. In Part III, its sets out the procedure to be followed in passing Bills. Subsections (1) and (2) of section 14 refer to the commencement of an Act. These read as follows:

> "(1) Subject to this section, the commencement of an Act shall be such date as is provided in or under the Act, or where no date is provided, the date of its *publication as notified in the Gazette*.
>
> (2) Every Act shall be deemed to come into force at the first moment of the day of commencement." (emphasis supplied).

Clearly, according to these provisions, an ordinary Act of Parliament passed following the normal parliamentary law enacting process, becomes a law when it is assented to by the President. We understand subsection (2) to imply that a law is as good as a dead law until the day upon which it becomes enforceable. A dead law cannot breach a constitution. And the date to start enforcement of the law is the date of commencement which may be set out in the Act itself or upon publication of the Act in the *Gazette*. In our view, the provisions of subsections (4) and (5) further clarify the time of commencement of an Act of Parliament for these provisions state:

> (4) When an Act is made with retrospective effect, the commencement of the Act be the date from which it is given or deemed to be given that effect.

(5) Subsection (4) shall not apply to an Act until there is notification in the *Gazette* as to the date of its publication: and until that date is specified, the Act shall be without effect."

These provisions re inforce the view that an Act becomes operational either on a date specified by the Act itself or upon notification in the *Gazette*. Where an Act itself stipulates that it will come into force on the day of presidential assent, an Act comes into force on the day on which it receives presidential assent.

In the present case both the date of presidential assent and the date of commencement are printed clearly in the Act itself as 2 June 2002 and 17 July 2002 respectively. Therefore, the Constitutional Court was absolutely right in holding that the petition, which by virtue of rule 4(1), was expected to be filed within 30 days from 18 July 2002 was filed within time because it was lodged in Court on 31 July 2002 that is to say 14 days after the 30 days begun running. Mr *Matsiko*'s contention that the Constitutional Court erred either in law or in fact in so holding has no foundation whatsoever. Article 91(1) of the Constitution and sections 9(2), 19(2) and 20(1) of (Chapter 2) upon which he relied on do not support any of his arguments that the petition was filed out of time. There was therefore no need for the respondents to plead circumstances of exemption as required by Order 7, rule 6 of Civil Procedure Rule. Accordingly grounds 1 and 2 must fail.

This conclusion would dispose of this appeal. We will, however, discuss ground 3 which is framed this way:

> The Learned Judges of the Constitutional Court erred in law and in fact in holding that the petitioners ought to have perceived the breach of the Constitution on the date of publication of the Political Parties and Organisations Act of 2002.

The effect of this complaint is no different from that in the first ground.

Mr *Matsiko* referred us to the conclusions of the ruling of the Constitutional Court and contended that the Court speculated. Earlier in this judgment we pointed out the substance of Mr *Walubiri*'s arguments. In summary learned counsel supported the reasoning and conclusions of the Constitutional Court.

We have already reproduced the portion of the ruling of the Constitutional Court which Mr *Matsiko* described as speculative. For the sake of easy reference we quote it again:

> "In the instant case and on it own facts, we hold that the petitioners ought to have perceived of the breach of the Constitution allegedly posed by the Political Parties and Organisations Act on 17 July 2002".

The description of this passage by Mr *Matsiko* as speculative is with respect, wholly wrong and without any basis whatsoever. The provisions of (Chapter 2) to which we have referred, more especially sections 13 and 14, are clear on the purpose of publication and on the date of commencement of an Act of Parliament.

The purpose of publication is to let everybody be aware of the terms of the Act, its number and the date of presidential assent (section 13(2)). Commencement date appears either in the Act itself or is notified in the *Gazette* (section 13(1)(*b*)). The PPOA itself mentions the date of commencement as 17 July 2002. The Act was *gazetted* on the same day. The presumption is that upon publication everybody becomes aware of the commencement of the law. So where did the Court err either in law or in fact when it concluded that the petitioners should have perceived the alleged breach of the Constitution by

17 July 2002? Obviously, that is the day when the petitioners are presumed to have become aware of the existence and the terms of the law. Or they become aware on 23 July 2002 after reading the *Gazette*. The Court never speculated and ground three must, therefore, fail.

Because of the conclusions we have reached on the three grounds, we do not find it necessary to discuss the contents in the notice of grounds for affirming the decision of the Constitutional Court and arguments thereon. In conclusion we dismiss this appeal and order that costs of the appeal will abide the trial of the petition.

The respondent asked for certificate for two counsel. We are not persuaded that this is an appeal in which to make such an order. Costs will be for only one counsel.

We direct that the hearing of the petition in the Constitutional Court proceeds expeditiously as required by rule 10 of Legal Notice number 4 of 1996.

For the Attorney-General:
Mr J Matsiko

For the respondents:
Mr PM Walubiri instructed by *Kwesigabo,Bamwine & Walubiri*

Attorney-General v Ssemogerere and others
[2004] 2 EA 7 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	2 September 2004
Case Number:	1/02
Before:	Odoki CJ, Oder, Tsekooko, Karokora, Mulenga, Kanyeihamba and Byamugisha JJ
Sourced by:	LawAfrica
Summarised by:	A Adriko

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[1] Constitutional law – Appeals – Procedure – Application for leave to adduce fresh evidence after disposal of appeal – Whether such application may be granted – Grounds upon which such application may be allowed – Rule 1(3) – Rules of the Supreme Court.

Editor's Summary

On 29 January 2004, the Supreme Court of Uganda delivered its judgment in a constitutional appeal which respondents in this application had lodged challenging the decision of the constitutional court which had held that the Constitution (Amendment) Act number 13 of 2000 was unconstitutional and had not been validly passed as legislation amending the Constitution of Uganda of 1995. In its decision, the Supreme Court declared Act number 13 of 2000 unconstitutional, firstly, because it had been passed without Parliament following the proper method of voting and, secondly, because it sought to amend certain provisions of the Constitution without following the constitutional provisions on amendment of the Constitution.

On 22 July 2004, the Attorney-General filed this application imploring the Supreme Court to recall and later, vary and or review or reverse its judgment nullifying Act number 13 of 2000. The applicant argued, *inter alia* that that decision had caused a paralysis in legislative activity and that, subsequent to its

delivery, evidence emerged that his counsel in the constitutional appeal number 1 of 2000 had not tendered before the Supreme Court a certificate by the Speaker of Parliament showing that Act 13 of 2000 had been passed in due compliance with the constitutional provisions on amendment of the constitution. He therefore submitted that the mistake of counsel should not be visited upon the State.

The applicant made an informal application under rule 1(3) of the Rules of the Supreme Court to be allowed to present this additional evidence to court in the course of hearing this application.

Held – There are no authorities on what principles or conditions a court may allow an applicant to adduce additional evidence in a constitutional application. However, decided authorities on court's discretion to admit additional evidence on appeals can provide a useful guide and are of persuasive value. (*Elgood v Regina* [1968] EA 274; *American Express International v Patel* application number 8B of 1986 SCU (UR), *Karmali v Lakhani* [1958] EA 567 followed.

These authorities show that an appellate court may exercise its discretion to admit additional evidence only in exceptional circumstances, which include:

(*a*) Discovery of new and important matters of evidence which, after the exercise of due diligence, was not within the knowledge of, or could not have been produced at the time of the suit or petition by the party seeking to adduce the additional evidence;

(*b*) The additional evidence must be relevant to the issues in the case;

(*c*) The evidence must be credible in the sense that it is capable of belief;

(*d*) The evidence must be such that it would probably have influence on the result of the case albeit it need not be decisive;

(*e*) The additional evidence sought to be adduced must be proved by affidavit supporting the application to adduce it; and

(*f*) The application to admit additional evidence must be brought without undue delay.

The Speaker of Parliament's certificate of compliance was available at the time of the constitutional petition and the subsequent constitutional appeal number 1 of 2002. Thus, with due diligence, it could have been adduced at the trial of the petition or appeal, but it was not.

Further, the application to adduce additional evidence was made several months after the Supreme Court delivered is judgment in constitutional appeal number 1 of 2002. Therefore it was not brought without undue delay.

Application to adduce fresh evidence dismissed. Application to vary or reverse the judgment in constitutional appeal number 1 of 2002 too is dismissed.

Cases referred to in ruling:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

American Express International v Patel application number 8B of 1986 (SCU) (UR) – **F**

Elgood v Regian [1968] EA 274 – **F**

Karmali v Lakhani [1958] EA 567 – **F**

Kawoya Joseph v Uganda Crim App No. 50/99 (SCU) – **C**

Npart v General Parts(Uganda Ltd.) Misc. App No. 8/2000 (SCU) – **C**

Sadrudin Shariff v Tarlochan Singh [1961] EA 72 **- F**

United Kingdom

Corbett [1953] 2 All ER 69 – **F**

Ladd v Marshall [1954] 3 All ER 745 – **F**

Langdale v Danby [1982] 3 All ER 129 – **F**

Skone v Skone [1971] 2 All ER 582 – **F**

Ruling

ODOKI CJ, ODER, TSEKOOKO, KAROKORA, MULENGA, KANYEIHAMBA JJSC AND BYAMUGISHA AJSC: The Attorney-General brought this application under article 132(4) of the Constitution and rules 1(3), 41(1) and (2) of the Rules of this Court for orders that:

1. This Honourable Court be pleased to recall and alter, vary and/or review/reverse its judgment in constitutional appeal number 1 of 2002.
2. This Honourable Court be pleased to vary and/or review/ reverse its declaration and order for costs in the said constitutional appeal number 1 of 2002, so that amendments to articles 88, 89, 90 and 257 of the Constitution are held to have been validly made.
3. Costs of this application be provided for.

The notice of motion states that the grounds of the application are set out in the affidavits of the Clerk to Parliament, Mr Anis Tandekwire and or Mr Mike Chibita, Principal State Attorney, both of which are attached to the notice of motion. The grounds also provide a background to the application. They are set out as follows:

(*a*) The constitutional appeal number 1 of 2002 challenged the Constitution (Amendment) Act 2000, on grounds that in amending articles 88, 89, 90, 97 and 259 of the constitution, the right procedure was not followed by Parliament.

(*b*) The amendments to articles 88, 89, 90 and 257 were declared null and void for the reason that the method of voting used by Parliament in passing the bill was not the head count method, and that the bill for assent by the President for those amendments was not accompanied by a certificate of the Speaker of Parliament showing that the provisions of Chapter 18 of the Constitution had been complied with.

(*c*) In actual fact, during the debate on the Constitution Amendment Bill 2000, Parliament did not use the voice voting method of “Ayes” and “Noes”, but the head count method.

(*d*) In actual fact on the said bill for amendment of articles 88, 89, 90 and 257 was accompanied by a certificate of the deputy speaker of the sixth Parliament showing that the requirements of Chapter 18 of the Constitution had been complied with.

(*e*) Mr Dennis Bireije, Commissioner for civil litigation, who represented the applicant in constitutional appeal number 1 of 2002 and in the constitutional petition number 7 of 2000 did not seek prior instructions from Parliament on the two

matters and did not therefore adduce evidence in this or the Constitutional Court to show that head count methods of voting was used in the Constitution (Amendment) Act of 2000, and to show that a certificate showing compliance with Chapter 18 of the Constitution accompanied the said bill to the President before it was assented to.

(*f*) Had Mr Bireije presented the Hansard relating to the passing of the Bill for Amendments, and the said certificate, the amendments to Articles 88, 89, 90 and 257 would have been upheld.

(*g*) Constitutional appeal number 1 of 2002 was a matter of great national and public importance in that the amendments to articles 88, 89 and 90 of the Constitution were intended to remove the paralysis in the Parliament caused by the decision of the Constitutional Court delivered on 10 August 2000, in constitutional petition number 3 of 1999, with regard to quorum and voting in Parliament, and the functioning of the committees of Parliament when handling bills.

(*h*) Therefore the mistake of Bireije should not prejudice the amendments of the said Articles 88, 89, 90 and 257 when the Constitution (Amendment) Bill was passed using the head count method of voting, and was sent to the President for assent accompanied by the certificate of the Speaker showing compliance with Chapter 18 of the constitution.

(*i*) The declarations made by this Court in the said constitutional appeal number 1 of 2002 have not been enforced, in that order or decree has been served on the applicant by the respondents in the said constitutional appeal number 1 of 2002, for the purpose of effecting a formal repeal by Parliament, of the Impugned Constitution (Amendment) Act of 2000.

(*j*) The declarations made by this Court have not been enforced and this Court has power under Article 132(4) of the Constitution and/or rule 1(3) of the Rules of this Court to grant the orders sought.

(*k*) It is in the interest of justice that this Court recalls and alters, varies and/or reviews its decisions nullifying the amendments to the said Articles 88, 89, 90 and 257 and awarding costs to the respondents in the said constitutional appeal number 1 of 2002.

The applicant was represented by the Learned Solicitor General, Mr *Tibaruha*, who was assisted by Mr Joseph Matsiko, Learned Ag Commissioner for civil litigation. The respondents were represented by Mr GS *Lule* SC who was assisted by Mr Balikuddembe.

Following guidance from the Court, the Learned Solicitor General dropped Article 132(4) of the Constitution from the notice of motion. He also conceded that the application would be incompetent without leave of court to adduce additional evidence, and he proceeded to make an informal application under rule 1(3) of the rules of this Court, to be allowed to present additional evidence which was the basis of the application by motion.

The Learned Solicitor General commenced his submissions by stating that the application concerns a matter of great public and national importance, namely the Constitution (Amendment) Act of 2000, which was annulled by this Court in its judgment of 29 January 2004 in constitutional appeal number 1 of 2002. He contended that had this Court received the additional evidence, which he wishes to be admitted now, the Court's decision and declarations in constitutional appeal number 1 of 2002 would have been different. He submitted that the pieces of additional evidence he sought to adduce were:

(*a*) Copy of Hansard containing the proceedings of Parliament in passing the Constitution (Amendment) bill number 13 of 2000, showing that voting was by head count;

(*b*) The Speaker's certificate which accompanied the bill for presidential assent, signifying compliance with Chapter 18 of the Constitution in passing the bill.

Both the documents were attached as annextures to Mr Tandekwire's affidavit supporting the notice of motion.

The learned Solicitor General contended that the reason why the evidence was not produced was because of the incompetence of counsel who represented the applicant in both the Constitutional Court and this Court. The counsel concerned was named by the Solicitor General as one Dennis Bireije, commissioner for civil litigation in the applicant's chambers. Mr *Tibaruha* contended that Mr Bireije, who represented the applicant in constitutional appeal number 1 of 2002 and in constitutional petition number 7 of 2000, did not seek instructions from Parliament on the two instruments and did not tender them as evidence in either of the two Courts. The Solicitor General contended that had Mr Bireije done so and presented the Hansard relating to the passing of the bill, certain amendments in it which were properly passed would have been severed from the rest of the Act and upheld by this Court as having been validly passed by Parliament. He submitted that this Court should invoke the principle that the failings of counsel should not be visited on to the client; and exercise its inherent powers to remove a miscarriage of justice which has occurred as a result of the annulment of the Constitution (Amendment) Act of 2000.

Mr *Tibaruha* contended that as a result of that annulment there exists a paralysis in Parliament, which would cease if the main application is granted. He maintained that it was therefore in the public interest that the judgment be revisited to remove the paralysis in Parliament. He cited *Npart v General Parts (Uganda Ltd)* miscellaneous application number 8 of 2000 (SCU); the government Proceedings Act (Chapter 79) and Article 126(2)(c) of the Constitution of 1995; and *Kawoya Joseph v Uganda* Criminal Appeal Number 50 of 1999 (SCU); as authorities for his submissions and to show that this Court has powers to recall its judgment as that judgment has not yet been the subject of execution.

Mr *Lule* SC lead counsel for the respondents, opposed the application for leave to adduce additional evidence. In effect he argued that the Solicitor General had not shown good cause to justify reception of additional evidence by this Court during the hearing of this application, six months after the conclusion of the appeal. In his view, the case of *General Parts* (*supra*) is inapplicable and distinguishable, while that of Kawoya Joseph (*supra*) supports his clients' case. Mr *Lule* contended that the first issue of the procedure adopted in Parliament during the debate and the eventual passing of the bill resulting in to the Constitution (Amendment) Act of 2000 and the second issue of the absence of the Speaker's certificate for the Presidential Assent to the Act were raised by the respondents at the earliest available opportunity when the petition was lodged in court. The two issues were raised during the trial of the petition and later during the hearing in this Court of the appeal therefrom. At no stage did the applicant attempt to adduce either of the two pieces of evidence. Mr *Lule* contended that the applicant has failed to justify the need to admit additional evidence.

Having heard both counsel and examined the background to this application and the evidence on which we based our findings and decisions in our judgment in constitutional appeal number 10 of 2002, we are in a position to consider and resolve the pertinent issues raised in the oral application for tendering

additional evidence. We shall consider and rule on the oral application as preliminary matter. Rule 29(2)(*a*) of the rules of this Court does not apply to application for leave to adduce additional evidence after the disposal of an appeal, which the applicant seeks to do by his oral application.

The rule provides:

> "2(2)(*a*) When an appeal emanates from a decision of the Constitutional Court:
>
> In the case of an appeal on a petition to the Constitutional Court, the Court, may appraise the evidence and decide matters of fact, or law or mixed law and fact, and may in its discretion take additional evidence."

The rule permits additional evidence in an appeal from the Constitutional Court to this Court in a constitutional appeal. It does not apply to a situation, as now in the instant case, where the appeal has been disposed of and the party who lost the appeal is applying for a review and reversal of the judgment in the appeal. Consequently, the applicant has relied on rule 1(3) of the rules of this Court, which provides:

> "1(3) Nothing in these rules shall be taken to limit or otherwise affect the inherent power of the Court, and Court of Appeal to make such orders as may be necessary for achieving the ends of justice or to prevent abuse of the process of any such court, and that power shall extend to setting aside judgments which have been proved null and void after they have been passed, and shall be exercised to prevent an buse of the process of any court caused by delay".

There are no authorities on what principles or conditions this Court may allow an application such as the present, but our opinion is that authorities or decided cases which are relevant to this Court's discretion to admit additional evidence on appeals to it do provide useful guidance for that purpose, and are of persuasive value. We have in mind: *Ladd v Marshall* [1954] 3 All ER 745 at 148 *Skone v Skone* [1971] 2 All ER 582 at 586; *Langdale v Danby* [1982] 3 All ER 129 at 137; *Sadrudin Shariff v Tarlochan Singh* [1961] EA 72, *Elgood v Regian* [1968] EA 274; *American Express International v Atulkimar S Patel* application number 8B of 1986 (SCU) (UR); *Karmali v Lakhani* [1958] EA 567 and *Corbett* [1953] 2 All ER 69. A summary of these authorities is that an appellate court may exercise its discretion to admit additional evidence only in exceptional circumstances, which include:

(i) Discovery of new and important matters of evidence which, after the exercise of due diligence, was not within the knowledge of, or could not have been produced at the time of the suit or petition by, the party seeking to adduce the additional evidence;

(ii) It must be evidence relevant to the issues;

(iii) It must be evidence which is credible in the sense that it is capable of belief;

(iv) The evidence must be such that, if given, it would probably have influence on the result of the case, although it need not be decisive;

(v) The affidavit in support of an application to admit additional evidence should have attached to it, proof of the evidence sought to be given;

(vi) The application to admit additional evidence must be brought without undue delay.

These have remained the stand taken by the Courts, for obvious reasons that there would be no end to litigation unless a court can expect a party to put its full case before the Court. We must stress that for the same reason, courts should be even more stringent to allow a party to adduce additional evidence to re-open a case, which has already been completed on appeal.

The applicant's explanation why the additional evidence now sought to be admitted was not adduced at the trial of the petition or at the appeal to this Court is alleged negligence and incompetence of Mr Dennis Bireije, Commissioner of Civil Litigation in the applicant's chambers, who was one of the counsel who represented the applicant in both courts. To us, this means that the evidence was available and that with due diligence it could have been adduced at the trial of the petition or on the appeal to this Court, but it was not.

The record shows, that the applicant's answer to the petition was draw by "Mr Cheborion Barishaki" director for civil litigation in the applicant's chambers, not Dennis Bireije. More importantly when the hearing of the petition commenced, the applicant was represented by another senior counsel, "Mr D Byamugisha, AA Director of Civil Litigation, assisted by Samu Serwanga, SSA, Ms C Kahwa, SSA." Mr Byamugisha raised and argued two preliminary points of objection to the petition. The first was that the petition was incompetent, because the affidavits which supported it were defective. The second was that in this case, the Constitutional Court had no jurisdiction to interpret Act 13 of 2000 because the Act had become part and parcel of the Constitution as all the constitutional procedural requirements for enacting it had been complied with counsel for the respondents, Mr GS Lule, opposed the objections. The Constitutional Court overruled the objections and proceeded to hear the petition. In the circumstances with due respect, we are unable to agree with the learned Solicitor General's contention that it was the fault of Mr Dennis Bireije alone that evidence now sought to be admitted as additional evidence was not produced at the trial of the petition or at the appeal hearing. It is inconceivable that a petition and an appeal of this importance could have been left to the whims of, or to put it in the words of the learned Solicitor General, to the incompetence of one commissioner who, notwithstanding the judgment of him by the Solicitor General, had risen steadily in the promotional ranks of the Attorney-General's chambers, presumably on merit. Further, the applicant's case both in the Constitutional Court and on appeal to this Court having been handled, according to the record, by Dennis Bireije and other quite senior officers in the applicant's chambers we would have expected Dennis Bireije or any one or more of the other officers who handled the petition and the appeal to have explained by affidavit why copies of the speaker's certificate and of the Hansard were not produced as evidence at the hearing of the petition or as additional evidence on appeal to this Court. When the Court questioned the learned Solicitor General on this point his answer was that Dennis Bireije was on suspension. He did not say what efforts had been made to get Bireije to give such explanation by affidavit even though he was on suspension or why the others had not done so.

Lastly another factor we must take into account is that this application to admit additional evidence was brought several months after the appeal was completed. The judgments in the appeal were delivered on 29 January 2004, and this application was filed in court on 22 July 2004. That was not bringing this application without undue delay.

For these reasons, we are unable to say that the oral application to adduce additional evidence in this case fulfils the special conditions we have referred to above. It must therefore fail and it is accordingly dismissed with costs to the respondents.

As the additional evidence sought to be adduced forms the only basis of the application by notice of motion for recalling the judgment of the Court in constitutional appeal number 1 of 2000, that application has no basis. It must fail, and it is dismissed with costs to the respondents.

For the applicant:
Tibaruha and J Matsiko instructed by *J Matsiko Adv*

For the respondents:
GS Lule and Balikuddembe instructed by *Kalenge,Bwanika, Kimuli & Co*

Barkrania and another v Kagau
[2004] 2 EA 14 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	18 March 2004
Case Number:	21/02
Before:	Tunoi, Githinji JJA and Onyango Otieno AJ
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Damages – Special damages – Assessment of damages – Future medical expenses – Loss of earnings – Whether evidence given of future medical expenses – Whether claim for loss of earnings remote or proximate.

Editor's Summary

The Respondent sustained injuries in a road traffic accident due to the alleged negligence of the appellants. He claimed general and special damages under various heads, including KShs 400 000-00 for future medical expenses and KShs 2 800 000-00 for loss of business earnings. Liability was entered by consent at 80% against the appellants. The trial Judge after considering the submissions, awarded KShs 120 000-00 for future medical expenses and KShs 200 000-00 for loss of future earnings.

The future medical expenses were in relation to surgical operations required to regraft the fracture sites and to remove the plates and screws inserted to aid healing of the fracture injuries suffered in the accident. The loss of future earnings was in respect to two computer contracts awarded to a company run by the respondent which were allegedly cancelled due to his injury.

The Appellants appealed against the two awards. They argued that the Judge ought to have awarded a lesser sum for future medical expenses. They also argued that the claim for business loss should not have been allowed because the net loss from the value of two cancelled contracts was not disclosed and the said loss occurred to the company and not to the respondent.

Held – The trial court had properly considered the medical opinion that the respondent required further surgery to improve his medical condition. Since the assessment of the quantum of damages was an exercise of discretion by the trial court, the appellate court would not disturb the award unless

it was shown that the trial Judge proceeded on a wrong principle of law. *Butt v Khan* [1981] KLR 349.

The facts giving rise to the loss of business contracts were not strictly proved. Further, the loss of business was not suffered by the appellant personally, and no proximity between the accident and the loss of the contracts had been established. The trial court had failed to investigate the issue of causation. *KCM Thyssen v Wakisu Estate Ltd* [1960] EA 288 considered. Hence, the claim for consequential business loss was not proved and no sum ought to be awarded.

Appeal allowed in part. Award for future medical expenses upheld while award for business loss overturned.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Butt v Khan [1981] KLR 349 – **F**

Hahn v Singh [1985] KLR 716 – **F**

KCM Thyssen v Wakisu Estate Limited [1960] EA 288 – **C**

Judgment

TUNOI, GITHINJI JJA AND ONYANGO OTIENO AJ: This appeal is only against the award of KShs 120 000 as future medical expenses and the award of KShs 200 000 as loss of earnings (business) to the respondent.

The respondent, as the plaintiff in the superior court, claimed general and special damages for the injuries he sustained in a road traffic accident due to the alleged negligence of the appellants.

He claimed special damages under several heads namely:

(*a*) Medical report - KShs 2 000

(*b*) Medical bills - KShs 200 000

(*c*) Police abstract - KShs 100

(*d*) Car hire services (loss of user) - KShs 273 000

(*e*) Future medical expenses - KShs 400 000

(*f*) Loss of earnings (business) - KShs 2.8 million.

There was a consent judgment on liability apportioning liability at 80% against the appellants and at 20% against the respondent. The superior court (Mwera J) after considering the submissions awarded KShs 120 000 for future medical care and KShs 200 000 as loss of future earnings. The appellants appeal against the two awards on the grounds that they were not convincingly proved by the respondent.

The assessment of damages is an exercise of discretion by the trial court. An appellate court will not disturb the award unless it is shown that the Judge proceeded on a wrong principle of law or that he misapprehended the evidence in some material respect and so arrived at a figure which was either inordinately high or low as to represent an entirely erroneous estimate *Butt v Khan* [1981] KLR 349.

Regarding the award of KShs 120 000 for future medical expenses the respondent had suffered a multiple fragment fracture of the left humerus and plates and screws were inserted. Doctor Njoka was of the view that respondent

would require an operation to repair fracture site, which would cost about KShs 100 000 and also an operation for removal of plates and screws, which would cost KShs 100 000.

There was also a medical report of Dr RP Shah dated 17 June 1997 indicating that the respondent did not require an operation for removal of the plate. The Learned trial Judge considered the two medical reports and counsel's submissions and awarded KShs 120 000. The appellants counsel does not show where the Learned Judge went wrong. He submitted that a sum of about KShs 60 000 should have been given which shows that the complaint is really on the quantum of damages. It has not been shown that the Learned Judge either erred in principle or misapprehended the evidence in assessing the appropriate award for future medical expenses and in our view the Learned Judge cannot be faulted.

The respondent's claim for loss of earnings was based on his evidence that because of the injuries he sustained as a result of the road traffic accident, he failed to perform two contracts worth KShs 2.8 million and as a result the two contracts were cancelled. The respondent gave evidence that he was the managing director of a company called Intergalle Services Limited which had been awarded two contracts – one from Messrs AJ Faulkner and Sons Limited for training 30 people on Informix (Computer training) at KShs 20 000 per person – total KShs 600 000 and another from Messrs Afrostock International Limited for supply of computers worth KShs 2.8 million. According to the respondent he had to buy and supply the computers but did not do so because of the injuries and consequently the contract was cancelled. The respondent's counsel submitted at the trial that the claim for KShs 2.8 million should not be allowed because firstly, the net loss was not proved, and, secondly, the claim would only have been made by the company and not by the plaintiff.

The Learned Judge agreed that the claim of KShs 2.8 million was not proved and said in part:

> "That no figure was put forth as to what would have constituted the gross income and that the net income after deduction of VAT, other taxes, expenses involved in the training and supplying computers is not placed before the Court. However, the defence did concede that plaintiff suffered some loss though, except that it was not quantified. It is true in a case like this, this Court ought to be guided as to what was expected from the two deals and what would have been the net loss because plaintiff could not perform. This was a grave omission on the part of the plaintiff. But if he had clinched the deals the plaintiff would have made some money. But he was down with injuries from the accident. This Court thinks it fair to award KShs 200 000".

The loss of earning quantified at KShs 2.8 million was pleaded as special damages, although the facts giving rise to such loss were not pleaded. As this Court has often said, special damages must not only be pleaded but also strictly proved *Hahn v Singh* [1985] KLR 716.

In the present case, the Learned Judge made a specific finding that the loss of earning claimed was not proved but nevertheless proceeded to award KShs 200 000 certainly as an estimate of the loss without any factual basis. In doing so the Learned Judge undoubtedly, erred in principle.

The claim for loss of earning was also fraught with the following other problems. Since the documents relied on by the respondent at the trial showed that the two contracts were offered to a company and not to the respondent as an individual, the Learned Judge should have considered the appellant's submission

that the loss of profits (if any) was incurred by the company and make the appropriate finding on that issue proceeding to award damages.

Furthermore, the Learned Judge should have investigated the veracity of respondent's claim that the non-performance of the contracts was due to illness. The respondent suffered a left arm fracture on 7 August 1993 and was admitted in hospital for one week. That injury alone could not have stopped him from buying computers and supplying them by 30 September 1993. He did not also explain what training on informix entails and did not show that the injury could not have allowed him to conduct the training from 6 September 1993.

Lastly, the claim for loss of earning, rather, loss of profitable contracts inevitably raised the problematical question of remoteness of damages as what the appellant was asserting is that due to injury caused by negligence of the appellant he was unable to perform two remunerative contracts and as a consequence third parties cancelled the contracts. It is a question of law whether the loss of earnings claimed in this case was caused by the negligence of the appellant or by a *novus actus interveniens* – ie a new and independent act of third parties resulting in the cancellation of the two contracts. The Court did not investigate the issue of causation. The case of *KCM Thyssen v Wakisu Estate Limited* [1960] EA 288 is a good illustration of the problem of remoteness of damages arising from personal injury claims.

It is evident from the foregoing that the respondent's liability to pay the KShs 2.8 million loss of earnings claimed or part of it was not established and the appeal against the award of KShs 200 000 should be allowed.

The appellant has partially succeeded and is entitled, in our view, to half the costs of the appeal.

For the above reasons, the appeal against the award of KShs 120 000 as future medical expenses is dismissed but the appeal against the award of KShs 200 000 as loss of earnings is allowed and the award set aside. We would give half of the costs of the appeal to the appellants.

For the appellants:
Information not available

For the respondents:
Information not available

Begumisa and others v Tibebaga
[2004] 2 EA 17 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of Judgment:	2004
Case Number:	17/02
Before:	Oder, Tsekooko, Karokora, Mulenga and Kato JJ
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Appeal – Duty of first appellate court to evaluate evidence – Failure of first appellate court to

re-evaluate evidence – Whether failure fatal.

[2] Court of Appeal Rules – Rule 29(1) – Whether the use of the word 'may' gives Court of Appeal discretion to evaluate evidence in the High Court.

[3] Resjudicata *– Defence to action.*

Editor's Summary

The respondent sued the appellants in the High Court to recover the suit land claiming the appellants were trespassers upon it and that he had title document avering the land under the Registration of Titles Act.

The High Court decided in favour of the respondent and the appellants appealed to the Court of Appeal. Upon the appellants' application, the Court of Appeal directed that some further evidence be taken by a Commissioner and all the parties chose the Registrar of the High Court.

The Registrar heard the evidence of a surveyor from the Lands and Surveys Department and recorded all the evidence which he submitted to the Court of Appeal. The Court of Appeal dismissed the evidence taken by the Registrar as one sided and without evaluating the evidence in the High Court, decided in favour of the respondent. The appellants further appealed to the Supreme Court on the ground that the Court of Appeal erred in law by failing to adequately evaluate the evidence adduced as a whole and make their own conclusions.

The respondents argued that rule 29(1) of the Court of Appeal Rules gave the court the discretion to re-evaluate the evidence or not.

Held - Although the wording of rule 29(1) of the Court of Appeal Rules uses the word 'may' the legal obligation on a first appellate court to re-appraise evidence is founded on common law rather than in the rules of procedure. It is a well settled principle that a first appeal, the parties are entitled to obtain from the appeal court its own decision on issues of fact and law, giving due allowance for the fact that it has neither seen nor heard the witnesses. *Loghllan v Cumberland* [1898] I Ch 704 and *Pandya v R* [1957] EA 336 approved.

Appeal was allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bogere Moses and another v Uganda criminal appeal number 1 of 1997 – **AP**

Kifamunte Henry v Uganda criminal appeal number 10 of 1997 – **AP**

Pandya v Republic [1957] EA 336 – **APP**

Ruwala v Republic [1957] EA 570 – **D**

United Kingdom

Coghlan v Cumberland [1898] 1 Ch 704 – **APP**

Judgment

MULENGA J: This appeal originates from a suit that the respondent filed in the High Court in 1997, to recover four adjacent pieces of land from the four appellants. I will refer to the pieces together as the "suit land". In the suit, the respondent alleged that in 1995, the appellants unlawfully trespassed upon and divided the suit land among themselves, and severally continued to utilise it without his consent. He claimed that the suit land is part of an 8 hectare parcel of land comprised in Kinkizi block 53 plot 9, and described as "Land in Muruka Masya, Kirima SubCountry", of which he is registered proprietor, under the Registration of Titles Act (RTA).

His case was that he bought that parcel of land as a customary holding from two persons who were migrating from the area. In 1965, he applied for a registered title of land. The adjudication committee and the government surveyors respectively verified and surveyed the land, after which he was granted a certificate of freehold title (Exhibit P1) in 1972. In their joint defence, the appellants pleaded that they were rightful customary owners of the suit land, which was different from, and was located about 2 to 3 kilometers away from the land described in the certificate of title. They also pleaded that the respondent owns an un-surveyed 2 acre piece adjacent to the suit land, but denied trespassing upon it. The fourth appellant, together with the first appellant who claims through him, in addition pleaded *res judicata* in respect of the pieces in their possession. They claimed that the same had been the subject matter of a suit between the respondent and the fourth appellant, which suit was finally determined in favour of the latter.

The Learned trial Judge decided that the suit land beloned to the respondent and made an order for evicting the appellants and permanently restraining them from trespassing on it. He awarded the respondent general damages in the sum of UShs 16 000 000 with interest and costs. The appellants appealed to the Court of Appeal, which granted them leave to adduce additional evidence, before hearing the appeal. Consequently, the evidence before the Court of Appeal was in two parts, namely, evidence adduced during the trial and additional evidence taken by a Commissioner appointed by the Court of Appeal for that purpose. It is useful to note first the background to the additional evidence, as the decision of the Court of Appeal virtually turned on the manner in which that evidence was obtained.

The trial court based its decision mainly on the certificate of title (Exhibit P1), which the respondent relied on as proof of ownership of the suit land. Being convinced that the certificate did not relate to the suit land, the appellants, in addition to appealing to the Court of Appeal, complained to the police that the respondent had used that certificate to fraudulently deprive them of the suit land. In the course of investigating that complaint, the police engaged the services of a surveyor from the Lands and Surveys Department at Rukungiri, to ascertain the locations of the land described in the certificate of title and the suit land. The surveyor visited the area and made a report indicating that the two were separately located. On the strength of that report, the appellants applied to the Court of Appeal for leave to adduce additional evidence. The court granted the leave. It ordered that the additional evidence be taken by a commissioner, who may if necessary, visit *locus in quo*. With the consent of both parties, it

appointed the High Court Registrar the commissioner. Following the appointment, the commissioner recorded evidence from four witnesses and received exhibits. He conducted the proceedings in the presence of the parties and their advocates, partly in his office in Kampala, and partly at the *locus in quo*. His report, comprising oral and documentary evidence from the witnesses and notes of his observations at the *locus in quo* were submitted to the Court of Appeal, and constituted a supplementary record of appeal.

After hearing the appeal, the Court of Appeal held that the additional evidence was worthless because it was obtained in breach of the rules of natural justice, and was adduced in furtherance of a conspiracy to deprive the respondent of the suit land. The court noted summarily that the trial Judge's judgment was amply supported by the evidence adduced at the trial, and accordingly dismissed the appeal. Hence the appeal to this Court. The memorandum of appeal to this Court contains one general ground of appeal, namely that:

> "The learned ... Justices of Appeal erred in law and fact in that they failed to adequately evaluate and scrutinise the evidence adduced as a whole with the view to coming to their own conclusion as the first appellate Court and thereby prejudiced the appellants."

Six other complaints are listed as consequences of that failure, which allegedly prejudice the appellants. They are however, more like arguments and illustrations in support of the principal ground of appeal. I will consider them as such.

The appellants' advocates filed written submissions under rule 93 of the rules of this Court. The main thrust of the submissions is that the Court of Appeal failed in its duty as a first Appellate Court, to scrutinise the evidence closely and to base its decision on pleadings, the framed issues, the evidence as a whole and the grounds of appeal. They argued that if the Court had done so properly, it would have concluded that the land described in Exhibit P1 comprised in block 53 plot 9, and located in Muruka Masya, is different from the suit land that is un-surveyed, unregistered and located in Muruka Kijubwe, block 59. It would also have found that the appellants are customary owners of the suit land, and have not trespassed upon it or on the respondent's land. The Advocates criticise the Court of Appeal for misdirection on several issues. According to them, the Court misconstrued the role of the commissioner by wrongly proceeding as if the appeal was against his report, rather than against the judgment of the trial court. Secondly, they argued that there was no rational basis for either the Court's finding that there was a conspiracy to deprive the respondent of his land, or for its holdings that the additional evidence was obtained in breach of rules of natural justice, and that the commissioner and the witnesses before him, were biased. In the alternative, they submit that even if there had been any bias it was not necessarily fatal to the appellants' case. Thirdly, the advocates argue that the unwillingness, expressed by Berko JA, to invalidate the respondent's certificate of title was misplaced since invalidation of the certificate was not in issue. The appellant's contention was that the certificate does not relate to the suit land. At the hearing in this Court, Mr *Babigumira*, counsel for the appellants, responding to submissions for the respondent, mainly stressed that no prejudice was caused to the respondent by the surveyor's report as the respondent and his counsel, were present when the commissioner received and recorded the additional evidence and cross-examined the witnesses.

Mr *Makeera*, counsel for the respondent, made oral submissions at the hearing of the appeal, having failed to lodge a written reply in time. His starting point

was that the Court of Appeal rightly took into account the decision of the trial court, which had heard the witnesses and seen their demeanour. He submitted that the Court of Appeal was under no legal obligation to re-appraise the whole evidence although it had the discretionary power to do so. In support of that proposition, learned counsel relied on the wording of rule 29 of the rules of the Court of Appeal, which provides that when determining a first appeal, the Court "may re appraise the evidence". In his view, failure to invoke the discretionary power thereby given is not a fatal error. He contended however, that in the instant case the Court of Appeal had amply re appraised the evidence and rightly rejected the additional evidence. He supported the holding that the additional evidence was obtained in breach of the rules of natural justice because the surveyor's report, which was the basis of the evidence, depended on the appellants' information alone, without any in put from the respondent. Learned counsel described the surveyor's evidence that the certificate did not relate to the suit land, as utterly unreliable because, according to him, the surveyor did not have the blue print when he visited the land. The learned Berko JA, gave the lead judgment with which the other members of the coram concurred. Apart from summarily re stating the respective cases of the parties and a brief comment on a remark by one witness at the trial, the learned Justice of Appeal did not refer to, let alone re-evaluate the evidence adduced at the trial. He focussed his attention virtually on the additional evidence only. He even hardly evaluated that. He separately reviewed the evidence of three witnesses and separately decided to reject each. He did not reject the evidence because it is false, but because he thought that the first two witnesses obtained theirs improperly, and that the third testified to support the appellants' conspiracy. On the evidence of the surveyor who made the report, the learned Justice of Appeal concluded:

> "In my view, the evidence of Mr Nyakikura Stanley, PW1, which is the bed-rock of the appellants' case, deserves no credit as it was obtained in flagrant breach of natural justice and the learned Commissioner ought not (to) have attached any importance to it".

Of the CID officer who conducted the investigations, he said:

> "Like PW1, PW2 never met the respondent during his investigation and did not collect a statement from him. Even though he said that he did not know where the disputed land was, nevertheless, he confirmed that the disputed land was what the first appellant had shown to him. In my view, such a one sided investigation should not carry any weight with any court of law and ought to have been rejected by the Commissioner with the contempt it deserved".

The third witness, a senior staff surveyor, testified *inter alia* that upon discovery that the land described in the certificate of title issued to the respondent did not tally with the land he applied for, the assistant Registrar wrote to him requesting him to return the certificate but the respondent refused. The learned Justice of Appeal commented on that evidence thus:

> "If indeed an error was detected as far back as the 1970's then it is strange that no action was taken beyond the mere letter asking the respondent to return the title. According to the evidence of this witness the original land title issued to the respondent ... is still at the land office and has never been cancelled. If that is the truth ... how can the respondent be accused of forging a land title? *In my view the claim by the Lands and Surveys Department that the land title was issued in error cannot be true. This clearly lends support to the respondent's conspiracy theory that the appellants conspired to take the land from him.* At the *locus in quo* the respondent tried to show the commissioner a print where

> a mark-stone had been removed, but the learned Commissioner was not prepared to listen to him. Instead the Commissioner referred to the evidence of PW1 and PW3 which I have found to be unreliable." (emphasis is added)

These excerpts tend to support the criticism that the learned Justice of Appeal misconstrued the role of the Commissioner. The Commissioner did not make findings. He had no power to reject evidence with or without contempt, nor to attach importance to it or not. His role was to record oral evidence, receive exhibits and note observations at the *locus in quo*; and to submit the record to the Court, for the Court to make its findings thereon. That is what he did. I will consider the concerns for which the learned Justice of Appeal criticised and rejected the additional evidence later in this judgment. It suffices here, to observe that the learned Justice of Appeal allowed his perceptions of the alleged breach of rules of natural justice and the conspiracy theory, to obscure the necessity for him to weigh the evidence as a whole on its merit. In the circumstances, I am unable to agree with Mr *Makeera*'s view that the Court of Appeal amply evaluated any of the evidence before it. That leads me to consider counsel's novel proposition that the Court was under no legal obligation to re-evaluate the evidence in view of rule 29(1) of the Court of Appeal rules 1996 which provides:

> "29(1) On any appeal from a decision of a High Court acting in the exercise of its original jurisdiction, *the Court may:*
>
> (*a*) re-appraise the evidence and draw inferences of facts; and
>
> (*b*) in its discretion, for sufficient reason, take additional evidence or direct that additional evidence be taken by the trial court or by a commissioner." (emphasis is added)

I notice the slight change from the wording of the otherwise identical predecessor to that rule that is rule 29(1) of the Court of Appeal for East Africa rules of 1972, which provided that "the Court shall have power, (*a*) to re-appraise evidence." I my view, however, that change did not alter the purport of the rule. By either wording, the rule declares the Court's power to re-appraise evidence, rather than imposes an obligation to do so. The legal obligation on a first appellate court to re-appraise evidence is founded in the common law, rather than in the rules of procedure. It is a well settled principle that on a first appeal, the parties are entitled to obtain from the appeal court its own decision on issue of fact as well as of law. Although in a case of conflicting evidence the appeal court has to make due allowance for the fact that it has neither seen nor heard the witnesses, it must weigh the conflicting evidence and draw its own inference and conclusions. This principle has been consistently enforced, both before and after the slight change I have just alluded to. In *Coghlan v Cumberland* [1898] 1 Ch 704, the Court of Appeal (of England) put the matter as follows:

> "Even where, as in the case, the appeal turns on a question of fact, the Court of Appeal has to bear in mind that its duty is to rehear the case, and the Court must reconsider the materials before the Judge with such other materials as it may have decided to admit. The Court must then make up its own mind, not disregarding the judgment appealed from, but carefully weighing and considering it; and not shrinking from overruling it if on full consideration the Court comes to the conclusion that the judgment is wrong ... When the question arises which witness is to be believed rather than another and that question turns on manner and demeanour, the Court of Appeal always is, and must be, guided by the impression made on the Judge who saw the witnesses. But there may obviously be other circumstances, quite apart from manner

> and demeanour, which may show whether a statement is credible or not; and these circumstances may warrant the Court in differing from the Judge, even on a question of fact turning on the credibility of witnesses whom the Court has not seen".

In *Pandya v Republic* [1957] EA, the Court of Appeal for Eastern Africa quoted this passage with approval, observing that the principles declared therein are basic and applicable to all first appeals within its jurisdiction. It held that the High Court sitting on an appeal from a Magistrate's Court had:

> "erred in law in that it had not treated the evidence as a whole to that fresh and exhaustive scrutiny which the appellant was entitled to expect."

The principle behind *Pandya v Republic* (*supra*) was subsequently stressed in *Ruwala v Republic* [1957] EA 570, but with explanation that it was applicable only where the first appellate court had failed to consider and weigh the evidence. More recently, this Court reiterated that principle in *Kifamunte Henry v Uganda* criminal appeal number 10 of 1997 and *Bogere Moses and another v Uganda* criminal appeal number 1 of 1997. In the latter case, we had this to say:

> "What causes concern to us about the judgment, however, is that it is not apparent that the Court of Appeal subjected the evidence as a whole to scrutiny that it ought to have done. And in particular it is not indicated anywhere in the judgment that the material issues in the appeal received the Court's due consideration. While we would not attempt to prescribe any format in which a judgment of the Court should be written, we think that where a material issue of objection is raised on appeal, the appellant is entitled to receive an adjudication on such issue from the appellate court even if the adjudication be handed out in summary form ... In our recent decision in *Kifamunte Henry v Uganda* we reiterated that it was the duty of the first appellate court to rehear the case on appeal by reconsidering all the materials which were before the trial court and make up its own mind ... Needless to say that failure by a first appellate court to evaluate the material evidence as a whole constitutes an error in law".

Accordingly, I would hold that the Court of Appeal erred in law in failing to evaluate both the initial and the additional evidence, and that it is incumbent on this Court to re-evaluate the evidence as a whole, which I now proceed to do.

Although at the trial eight issues were framed from the pleadings, I think the crucial questions of this Court to answer in this appeal, are:

(*a*) Is ownership of the suit land, or any part of it, *res judicata*?

(*b*) Does the certificate of title Exhibit P1, relate to the suit land or any part of it?

(*c*) Have the appellants or any of them trespassed on the suit land?

Is ownership of the suit land res judicata*?*

The defence of *res judicata* is a bar to a plaintiff whose claim was previously adjudicated upon by a court of competent jurisdiction in a suit with the same defendant or with a person through whom the defendant claims. In the instant case, the first and fourth appellants pleaded that defence in respect of the parts of the suit land they possess, contending that the fourth appellant had recovered them from the respondent in civil suit number 99 of 1964 and had sold one to the first appellant. The respondent did not deny the suit. He testified that in 1964 he lost part of his land at Kijubwe, to the fourth appellant in a court case, and that subsequently the fourth appellant sold that land to the first appellant. However, he maintained, that the land he lost to the fourth appellant was not part of the suit land because it had been excluded from his land that was surveyed after he applied for title in 1965. On this issue, the respondent relied only on his oral testimony.

The fourth appellant testified that in 1964, he bought from one Sendegeya, the parts of the suit land occupied by the first appellant and himself, about one-quarter of a kilometre from his home. At that time, the respondent was already settled on a bordering piece of land. During that same year, the respondent encroached upon it. He sued the respondent in the Magistrate's court. While the suit was still pending, the respondent applied for a land title, and the adjudication committee recommended the application. The fourth appellant appealed against the committee's decision because of the suit pending the Court. According to him, because of that appeal, the respondent's land was not surveyed. The suit lasted from 1964 until 1976 when, (after a trial, an appeal and a re-trial), the trial court decided that the land belonged to the fourth appellant. In support of his evidence, the fourth appellant produced as Exhibit DI, copy of the Kirima Magistrate's Court judgment in retrial of civil suit number 99 of 1964, dated 30 November 1976. The respondent's appeal in Kabale Chief Magistrate's Court, civil appeal number MKA 130 of 1976, was dismissed on 17 August 1978. In 1982, the fourth appellant sold about one-half of that land to the first appellant, retaining the other half for himself. The first appellant also testified that in November 1982 he bought a piece of about four acres of land at Rwakarengyero village, Karubanda sub-parish, Kijubwe parish, from the fourth appellant who retained an adjoining piece. He cultivated the land and gradually built semi-permanent houses. He started construction of a permanent house in 1990. The respondent's land was separated from his own by the portion retained by the fourth appellant.

According to Exhibit DI, the fourth appellant was plaintiff in civil suit MKA 99 of 1964, suing the respondent for recovery of land at Rwakarengyero. The plaintiff (fourth appellant) claimed that he purchased the land in dispute from Sendegeya. The defendant (respondent) claimed he bought the same partly from one Kanyarwanda and partly from Sendegeya, and that he successfully litigated on it against one Nyirakigwene. Sendegeya testified in support of the plaintiff. The Court found that the land in dispute was in Rwakarengyero village, while the land, which the defendant (respondent) bought from Kanyarwanda and litigated with Nyirakingwene, was in the adjoining village of Karubanda. It held that the whole land in dispute was lawfully sold to the plaintiff (fourth appellant) by Sendegeya. It is unnecessary to go into all the reasons that led the Court to its decision, as it is not in dispute that the judgment is binding on both the respondent and the fourth appellant. However, I am constrained to refer to a contradiction, which to my mind discredits the respondent's assertion that the suit land in the instant case is different from the land in dispute in the earlier suit. According to Exhibit D1, the respondent claimed in the earlier suit that he had a registered title over the land in dispute, and that he had deposited the certificate of title with Commercial Bank at Kabale. This is a very material contradiction of his evidence in the instant case, that the land dispute in the earlier case was excluded from the land over which he obtained title, and that it is not part of the suit land. Further, I also note from Exhibit D1 that the respondent sought to rely on a falsified document. The Court found that the sale agreement, which the defendant (respondent) produced to prove purchase of the dispute land from Kanyarwanda, was forged because "the words showing what is on the land and where it extends were added on later on by a different author"; that is subsequent to the signing and witnessing of the agreement. That, to say the least, raises grave doubts on the respondent's credibility as a witness. All that notwithstanding, however, the Learned trial Judge held that the

subject matter of the dispute in the earlier suit was not the same as the suit land in the instant case. He came to that conclusion as follows:

> "According to the Magistrate ... in civil suit number 99 of 1964 ... the land in dispute in that case was the land the plaintiff originally bought from Raphael Kanyrwanda. According to the plaintiff that land is not in dispute in this present suit. The plaintiff under cross-examination said:
>
> > 'This land I bought from Raphael Kanyarwanda is not in dispute. Part of it is included in this land title. Part of it is what Elias Kamondo took in the other case. The land I bought from Baragakanwa is included in this land title'.
>
> Earlier the plaintiff testified that:
>
> > 'That part of the land which had been won by Elias Kamondo was not included in the land title as surveyed'.
>
> In these circumstances the subject matter of the dispute in the earlier suit is not the same as in the present suit and therefore is not *res judicata.*"

Clearly, the Learned trial Judge misconstrued the evidence as to what land was in dispute in the earlier suit, and in my opinion, this was because he only considered the respondent's assertion as a given. If he had also considered the evidence of the fourth appellant and the judgment of the Magistrate's Court, he would have realised that the land which the fourth appellant had sued for, and which the Court had adjudicated upon in his favour, was the land he had purchased from Sendegeya, not the land the respondent had bought from Raphael Kanyarwanda. It is noteworthy that during both the trial in the High Court and the taking of additional evidence, the respondent did not indicate the location of the fourth appellant's other land, which allegedly was excluded from the survey, and is not part of the suit land. On the sketch the commissioner drew at the *locus in quo*, the land claimed by the respondent encompasses more than the land occupied by all the appellants, save for a small portion to the north-western extreme, far from the boundary with the respondent's undisputed land. That portion however, was not identified as the subject of the earlier suit.

In view of all the foregoing, I find that the subject matter in Kirima Court civil suit number 99 of 1964 was land at Rwakarengyero village, Kizhubwe parish, in Kirima, which the fourth appellant purchased from one Sendegeya, and that it is that part of the suit land in the instant case, which is in possession of the first and fourth appellants.

Does the certificate of title Exhibit P1 relate to the suit land?

The first three issues framed at the trial clearly indicated that that the relation of the certificate to the suit land was in issue. They were: whether-

(*a*) the disputed land is situated at Kijubwe and not Masya;

(*b*) the certificate annexure "A" ...relates to the disputed land; and

(*c*) the disputed land has any title deed at all.

Surprisingly, the Learned trial Judge did not consider if it was proved that the suit land was "titled". In his judgment, he proceeded on the premise that the suit land was "titled land" without dispute. Thus on the first issue he held:

> "On the evidence before me I am satisfied that *the plaintiff's titled land over which this dispute has arisen* is situated in present day Kijubwe parish and not Masya". (emphasis is added)

In answer to the second and third issues, which he recasts as "whether the disputed land has title and if so what title", he just said:

> "*I have already found as a fact that the plaintiff's land has a certificate of title*. That title can only be impeached for fraud ... *The plaintiff on the evidence before court be held responsible for his certificate of title bearing reference to block 59 rather than say 53*. On this evidence I find that fraud on the part of the plaintiff has not been proved. Therefore in answer to the second issue *I find that the plaintiff's land has a certificate of title namely Kinkizi block 53 plot 9*." (emphasis is added).

With due respect to the Learned trial Judge, he made those findings without taking into consideration all the material evidence. He appears to have considered the respondent's evidence with only such of the evidence for the appellants as was compatible with the respondent's case, and to have overlooked the rest. I have to consider the evidence as a whole.

The respondent produced two exhibits in support of his claim of ownership of the suit land. Exhibit P1 is a certificate of title issued under the RTA on 20 January 1972 to Erick John Tibebaga, the respondent, as the proprietor of freehold estate in land registered as Kinkizi block 53 plot 9, measuring 8.0 hectares and described as land in Muruka Masya Gombmolola Kirima. Exhibit P2 is a cyclostyled form headed "adjudication committee certificate number 9". The form indicates, *inter alia*:

(*a*) that the respondent applied for adjudication of his land at Rwakarengero village, Kijubwe Mukungu Masya; and

(*b*) that the adjudication committee visited the land on 25 February 1965, decided that the respondent had bought that land and was recognised as its customary owner; and recommended that the land be surveyed.

The respondent testified that his land was located on Rwakarengero hill, in Kijubwe Parish. He explained that at the time he applied for and obtained the title, the hill was in Masya Parish (Muruka), but subsequently Masya Parish was split into two new Parishes, named Masya and Kijubwe. His land is located in Kijubwe, though the certificate of title still bears the name of Masya.

Several witnesses testified for the appellants. Both the first and fourth appellants testified in person as to their acquisition of the parts of the suit land in their possession. However, no substantial evidence was adduced to prove the acquisition by the second and third appellants of the part of the suit land in their possession. The second appellant's son testified on his behalf as his attorney, virtually to reiterate the pleaded defence. The second appellant did not testify. Other evidence adduced was to show that Exhibit P1 did not relate to the suit land. It will suffice to summarise the three most pertinent pieces of that evidence, namely: Exhibit D3; and the testimonies of DW5 and DW6.

Exhibit D3 is a certificate of title issued to one Arisen Tibenderana on 9 May 1969, as registered proprietor of freehold title over land registered as block 59 plot 13 and described as land in Muruka of Kizubwe in the Gombolora of Kirima. As I understand it, the relevance of that evidence is to show that contrary to the respondent's explanation, Kijubwe was in existence as a Muruka, and was designated block 59, as early as 1969. Though not conclusive, that suggests that if land in Kijubwe was registered in 1972, it would not be registered in block 53; nor would it be described as land in Muruka Masya as in Exhibit P1. If the certificate issued to the respondent in 1972 related to his land in Kijubwe, it would have shown the land to be registered in block 59, and to be described as land in Muruka Kijubwe. DW6, Bwogi Lawrence, Assistant Commissioner for Surveys and Mapping, gave technical evidence, describing the professional skills he used to locate block 53 plot 9 on two types of maps.

His finding was that the land registered as block 53 plot 9 is located in Masya Parish and not in Kijubwe Parish. DW5, Yusuf Kagumire, a former Chief Registrar of Titles, testified that in 1975 he wrote to the Assistant Registrar of Titles, Kabale, directing him to survey the respondent's land. He gave the directive because, following complaints to him, and after examining office records, he had concluded that the respondent's land had not been surveyed, and that the certificate, Exhibit P1, was issued to the respondent in error. Copy of the letter dated 25 April 1975, and produced as Exhibit D4 reads:

> "Kigezi – Block 53 plot 9
>
> Following a discussion held in my office on the 24 April 1975 between Mr Akankwasa of Hunter, Greig and Kagumire regarding the above matter, we formally agreed as follows:
>
> (1) That Tibebaga's land has never been surveyed as he has always maintained and that a wrong title was issued to him in error.
>
> (2) That you ask the district surveyor to survey Tibebaga's land following the boundaries which were ascertained by the former adjudication committee held in March 1965.
>
> (3) That as soon as Tibebaga's title is ready, he will cause the title which was formerly issued to him in error to be produced in exchange of the new one – as he alleges to have deposited the same in the bank.
>
> (4) That there is no need of calling on an adjudication committee again as this might cause new difficulties et cetera.
>
> The above proposals are acceptable to me and you may proceed accordingly."

Clearly, the three pieces of evidence are relevant and very material to the issue: whether Exhibit P1 relates to the suit land. However, in his judgment, the Learned trial Judge did not allude to any of that evidence in answering the issue. The only evidence of DW5 and DW6 that he considered was that both witnesses testified that Exhibit P1 appeared on the face of it, to be a genuine certificate of title. He also misdirected himself on DW6's evidence in the judgment, where he misquoted the witness to have said that block 53 plot 9 was in Kijubwe Parish. The record shows that the witness said at least twice, that his finding was to the contrary, that is that the plot was located in Masya Parish and not Kijubwe Parish.

The respondent had the burden to prove his ownership of the suit land. For that purpose, he opted to rely principally on the certificate of title Exhibit P1. It is trite that a certificate of title issued under the RTA, is conclusive evidence that the person named in the certificate as proprietor, is possessed of the estate in the land described in the certificate. See section 59 of the RTA (Chapter 230 formerly section 56 of Chapter 215: 1964 ed). As the Learned trial Judge observed, such certificate of title can only be impeached for fraud. It is otherwise sacrosanct. Accordingly, on the face of it, by producing Exhibit P1, the respondent proved conclusively that he is proprietor of a freehold estate in an 8 hectare parcel of land registered as Kinkizi block 53 plot 9, which is described in the certificate as land in Muruka Masya Gombolora Kirima. Section 59 of the RTA expressly stipulates that the certificate:

> "shall be received in all courts *as evidence of the particulars therein set forth* and of the entry thereof in the register book" (emphasis is added).

In my view, it follows that the inviolability of a certificate of title is circumscribed in as much as it is confined to the particulars in the certificate. The Court therefore, cannot receive the certificate as evidence of particulars, which

are not set forth in it. For that reason, and particularly in view of the defence, the respondent also had to show that the particulars in Exhibit P1, relate to the suit land on the ground. He fell far short of doing that. He did not show, and I have not found, any nexus between his application for title and the certificate he obtained. The most significant gap is the lack of any independent evidence to prove the respondent's assertion that the land, which the adjudication committee verified as his, was surveyed, let alone to show that Exhibit P1 was issued on strength of a survey of that land. The remark by Berko JA, that the respondent tried to show the Commissioner a print where a marker stone had been removed and the latter did not listen, cannot be a substitute of such proof. I must emphasise that the inviolability of a certificate of title under the RTA is hinged on a survey that determines and delimits the land to which the certificate relates.

The evidence for the appellants, on the other hand, goes a long way to show that Exhibit P1 does not relate to the suit land. I attach particular reliance on the evidence of PW5 and PW6 who were independent professional witnesses. I find that their evidence is credible. In my view, PW5, as Chief Registrar of Titles, had no reason in 1975 to want the respondent's land to be surveyed and a fresh certificate to be issued to him, as intimated in Exhibit D4, other than because he was satisfied that it was necessary to rectify an error made in the issuance of Exhibit P1. Secondly, there is no evidence to contradict PW6's unchallenged professional evidence that the land to which the certificate relates is not in Kijubwe Parish, but in present Masya Parish. Anyone conversant with the system of land registration would appreciate the significance of that evidence. Indeed, the Learned trial Judge tacitly acknowledged that Exhibit P1 did not relate to the suit land when he observed that the respondent "cannot be held responsible for this certificate of title bearing reference to block 59 rather than say 53". This is a slight slip because the certificate refers to block 53 rather than 59. Nevertheless, the observation shows that the trial Judge realised that the particulars in the certificate do not tally with the suit land. In holding nevertheless that the certificate related to the suit land, the Learned trial Judge took Exhibit P1 as proof that the respondent was proprietor of land comprised in "block 59" and located "in Muruka Kijubwe", when those particulars were not set forth in the certificate. Neither section 59 of the RTA nor any other law permitted him to do so.

Notwithstanding the scathing criticism directed at it by the Court of Appeal, the additional evidence further supports my conclusion that Exhibit P1 does not relate to the suit land. It suffices to highlight only its pertinent aspects. Nyakikuru Stanley the surveyor whose report sparked off the process of calling additional evidence, explained how he went about locating the land registered as Kinkizi block 53 plot 9, and the suit land, using blue prints from the office and undisputed certificates of title of neighbouring registered land. He testified that he located and opened the boundaries of block 53 plot 9, and established that it was in Masya Parish, thus corroborating DW6's evidence. The same witness also testified that he visited the suit land shown to him by one of the appellants. Using the blue print for block 59 and opening the boundaries of adjacent land registered as block 59 plot 28, he established that the suit land was not surveyed, and that it was located in block 59 in Kijubwe Parish. The significance of that evidence lies in the elementary principle of the land registration system under RTA, namely that a certificate of title relates to only one parcel of land. The evidence of DW6 and the surveyor established that the particulars set

forth in the certificate of title, Exhibit P1, relate to a specific parcel of surveyed and registered land located in present Masya Parish, and not to the suit land. The Court of Appeal criticised the surveyor for visiting the two locations in absence of the respondent, but it is obvious that the presence of the respondent would not have made any difference. It is not suggested that he visited or was shown the wrong land. Upon the Commissioner's visit to the *locus in quo*, the respondent by his counsel said he had no interest in the surveyed and registered land in Masya Parish. Instead, he confirmed the suit land to be that which the appellant had shown to the surveyor. Caleb Mwesigwa, Senior Staff Surveyor's main evidence was on the error in the issuance of Exhibit P1 and the attempt to rectify it. He testified that soon after it was issued, the land office discovered an error. Asked what the error was, he replied:

> "The error was that the land described in the title did not tally with the land which belongs to Mr Tibebaga".

He narrated what was done upon discovery of the error, starting with the Chief Registrar of Titles' instructions in Exhibit D4 to survey the respondent's land. He produced correspondence that ensued, pursuant to the instructions. Two of the letters indicated why the instructions were not carried out and the error remained unrectified. In one dated 31 October 1979 to the District Surveyor, the Assistant Surveyor wrote

> "When I went to survey Tibebaga's land, I called the members of the former adjudication committee ... four of them came and in addition ... Chiefs and his neighbours were all present.
>
> (1) On the land he has no permanent boundary, he changes boundary from time to time.
>
> (2) He does not agree with his neighbours over the boundary, he wanted to enclose some portions of his neighbours.
>
> (3) The members of the former adjudication committee showed me the true boundary, but he disagreed with them.
>
> (4) The Court gave ruling on this land in favour of the interested parties, and Mr Tibebaga disagreed with the Court's boundaries.
>
> (5) I did not survey the land because Mr Tibebaga's land had no boundaries possible for surveys".

In the last of the exhibited letters dated 7 November 1979, the District Surveyor responding to the Commissioner's several letters said:

> "Before I could reply I wanted to talk to Mr Tibebaga because three surveyors have been to the site and failed to carry out the survey because he disagreed with his neighbours. Some of the reports of the surveyors who have been to the site are attached for your information.
>
> Mr Tibebaga reported to this office on ... 5 November 1979 and I asked him to provide me with transport to go and see whether I can do the survey myself because he claims that the surveyors who went there did not want to do his work".

This evidence corroborates that of PW5. In addition, contrary to the observation by Berko JA, that no action was taken beyond the mere letter asking the respondent to return the title, this evidence tends to show that efforts to rectify the error were frustrated by lack of co-operation from the respondent.

As I mentioned earlier in this judgment, the Court of Appeal gave two main grounds for rejecting all the additional evidence, namely that the evidence was obtained in breach of natural justice and that it was in furtherance of conspiracy to deprive the respondent of his land. With the greatest respect to the learned

Justices of Appeal, I find those grounds untenable, if not misconceived. The alleged breach of rules of natural justice is that the CID officer did not invite the respondent to make a statement and to be present when the officer and the surveyor visited the land under investigation. I am not aware of any rule of natural justice that requires an investigator of a criminal offence to invite the suspect to be present for viewing potential evidence or compilation of the investigation report. The criticism would have made some sense, if the respondent was prosecuted without prior opportunity to respond to the accusation, or if a court had acted upon the surveyor's report without giving the respondent a hearing. As it happened, however, the surveyor gave evidence before the Commissioner. The respondent had opportunity and used it to cross-examine him and to be heard on that evidence. In my view, what the learned Justice of Appeal called "one sided investigation" caused no prejudice to the respondent.

The learned Justice of Appeal gave no reason for accepting the conspiracy theory. I can only surmise that, he derived it from the evidence that in October 1985, the respondent was attacked by a gang of people and forced to flee from his home and land. The appellants confirmed that evidence but denied having participated in the attack. In my opinion, however, whether they participated or not, it is farfetched to deduce that even the professional witnesses, together with the correspondence they produced daring back to the 1970's were part of the conspiracy. The evidence clearly shows that far from seeking to deprive the respondent of his land, the department sought to rectify an error and ensure that he obtains title to his own land. In my view, with due respect, the conclusion by the Court of Appeal that it "is not true" that the certificate was issued in error is against the weight of evidence. The error is glaring. The certificate of title, Exhibit P1, does not relate to the suit land. It was issued to the respondent in error because it relates to land for which he did not apply. Much as I agree with the trial Judge that the respondent cannot be held responsible for that error, I do not accept that he can take advantage of the error and use the certificate to prove ownership of land to which the certificate does not relate. I am satisfied that, having regard to the evidence as a whole, the concurrent decision of the Courts below is wrong. I should observe in passing, however, that the respondent must bear responsibility for his failure to heed the proposals in Exhibit D4 to rectify the error. Because of that failure, he now holds a certificate of title for land in which he admittedly has no interest, and his land over which he wanted registered title, remains unregistered. I agree that invalidation of the certificate of title that Berko JA was unwilling to order was not in issue. Short of rectification by the Registrar of Titles, an invalidating order can only be in a suit by the owner of the land to which the certificate relates.

Have the Appellants or any of them trespassed on the suit land?

The Court of Appeal upheld the trial court decision that the suit land belongs to the respondent and that the appellants trespassed on it. The remaining question, although the respondent did not canvass it, is whether this Court should uphold the decision of the lower courts though the respondent does not have a certificate of title over the suit land. According the Commissioner's sketch made at the *locus in quo*, in addition to the piece that everyone admitted belongs to the respondent, the land he claims to own includes the suit land, a piece in possession of the Parish local administration and another in possession of one Kagashanga. The Parish and Kagashanga were not party to the original suit and so the land in their possession is not subject of this appeal. I have already found

that the land in possession of the first and fourth appellants was subject of civil suit number 99 of 1964, in which a competent court decided that the land belonged to the fourth appellant. The first appellant claims part thereof through him. I would therefore hold that the defence of *res judicata* set up by the two appellants in respect of that land ought to succeed. Lastly, I find that the respondent did not adduce sufficient evidence to prove that he has any superior right over the land in the possession of the second and third appellants. Consequently, I would hold that the respondent failed to prove that he was owner of the suit land or any part of it and/or that the appellants trespassed on the suit land or any part of it.

In the result, I would allow this appeal and set aside the judgments and orders of the Courts below, and substitute an order dismissing the respondent's suit. I would award to the appellants costs in this Court and in the Courts below.

Oder, Tsekooko, Karokora and Kato JJ concurred in the judgment of Mulenaga J.

For the appellants:
Mr Babigumira instructed by *Babihuga & Co*

For the respondent:
Mr S Makeera instructed by *Makeera & Co*

China Road Bridge Corporation (Kenya) v DMK Construction Ltd
[2004] 2 EA 31 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	9 July 2004
Case Number:	325/00
Before:	Omolo, Tunoi and Githinji JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Arbitration – Reference – Party filing two suits after matter being referred to arbitration ready and willing to do all things necessary for proper conduct of the arbitration – Whether desirable to maintain two disparate tribunals – Section 6 – Arbitration Act of 1995.

[2] Civil procedure – Review – Sufficient reason to warrant review – Party obtaining order staying suit pending arbitration – Party subsequently filing two suits about same subject matter – Whether order staying suit pending arbitration may be reviewed – Order XLIV, rule 1(1) – Civil Procedure Rules.

Editor's Summary

The respondent sued the appellant in the High Court for breach of a subcontract agreement in respect of the construction of a 26 kilometres road. The respondent claimed for general damages for breach of contract and a permanent injunction restraining the appellant from making recourse to a performance bond and an advance payment bond under the contract.

The appellant entered appearance and filed an application under section 6(1)(*a*), (*b*) and (2) of the Arbitration Act seeking a stay of proceedings

pending reference to arbitration in terms of an arbitration clause contained in the contract between the parties. The application was granted by the Court.

However, subsequently thereafter, the appellant instituted two suits High Court civil case number 466 and 467 of 1999 against Stallion Insurance Company Limited (the Insurance Company) claiming various sums of money in respect of local and foreign portions guaranteed under the performance bond and advance payment bond.

The respondent filed an application seeking review of the orders made staying the suit and referring the dispute to arbitration, on the ground that since obtaining the orders, the appellant had instituted two other suits which form the crux of the claim in the present suit and that by filing the said two suits the appellant had exhibited lack of *bona fides* as it cannot approbate and reprobate. The appellant contended that the two subsequent suits related to contracts of suretyship between it and a third party (the Insurance Company) and that the contracts created their own obligations and causes of action independent of the dispute between the appellant and the respondent.

The Learned Judge held that by filing the two subsequent suits, the appellant had in effect by conduct waived their rights to rely on the arbitration clause in the subcontract as to allow them to exploit the same right would mean their making recourse to the same performance bond and the same advance payment bond in the normal courts of law while in this case the proceedings were stayed to await arbitration. He found that it would be unfair and unjust to allow such a situation and proceeded to review his order staying the suit awaiting arbitration.

The appellant was dissatisfied and appealed to the Court of Appeal.

Held – The act by the appellant of subsequently filing other suits can clearly be construed to mean that it was no longer ready and willing to do all things necessary for the proper conduct of the arbitration.

It was not desirable to maintain two disparate tribunals (the Court and the arbitration) concurrently determining multiple suits with the same facts and law. *Collins v Cromic and another* [1964] 2 All ER 332 adopted.

The Learned Judge did not err in allowing the respondent's application for review.

Appeal dismissed with costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Collins v Cromic and another [1964] 2 All ER 332 – **A**

R D Harbottle (Mercantile) Ltd and another v National Westminster Bank Ltd and others [1977] 2 All ER 862 – **C**

Re Kitchin CA 669 – **D**

Judgment

OMOLO, TUNOI AND GITHINJI JJA: This is an appeal from the ruling of Onyango Otieno J (as he then was) delivered on 27 January 2000 by which the Learned Judge allowed the respondent's application for review of his orders made on 7 April 1999.

The appellant is a foreign entity incorporated in the Peoples' Republic of China and duly registered in Kenya under the Companies Act. It is one of the major building and civil engineers in the country. The respondent is a company incorporated in Kenya and also carries on the business of building and civil engineering contracts within the country.

By a plaint lodged in the High Court of Kenya at Milimani Commercial Courts the respondent sued the appellant for an alleged breach of sub-contract Agreement in respect of the construction of a 26 kilometre road in length from 170 km up to 144 km towards the direction of Hola. The respondent pleaded, *inter alia*, as follows:

> "5. *Vide* clause G(3) of the said subcontract, the defendant agreed to pay the plaintiff such sums as would from time to time be certified, by the engineer appointed by the employer for that purpose, to be payable, such payment to be made within 75 days of such certification by the engineer, but not later that 14 days after the receipt of funds for that purpose by the main contractor.
>
> 6. *Vide* clause 60(4) of the main contract, it was expressly provided that if a certificate, duly issued by the certifying authority aforesaid remained unpaid beyond the aforesaid period, the defendant would pay to the plaintiff interest on the unpaid amount, for the period it remained outstanding, at the commercial bank lending rate prevailing during the period of default.
>
> 8. Further *vide* clause 12(*a*) and (*b*) of the subcontract, it was specified that a performance bond and an advance payment bond were to be provided by the plaintiff, to the defendant, prior to the commencement of the works.
>
> 11. Despite having been furnished with the performance bond, and the advance payment bond, in December 1996, the defendant in breach of the said subcontract refused, failed or neglected to pay to the defendant the entire advance payment in a lump sum, but instead chose to erratically make piecemeal instalments, which action occasioned loss and damage to the plaintiff".

The respondent further averred that it having fully observed and fulfilled all the terms of the subcontract the appellant, despite demands made and notice of intention to sue having been issued, has refused, failed or neglected to pay the sums demanded to or admit liability.

The respondent claimed against the appellant for losses and expenses incurred by it due to what it termed cumulative breaches of the subcontract; KShs 4 970 614 30 being interest at bank rates; KShs 2 917 205 35 in respect of interim certificate number 2 together with interest; KShs 17 752 194 loss of profit; general damages for breach of contract and a permanent injunction restraining the appellant or its servants and agents from making any recourse to the performance bond and the advance payment bond.

The appellant duly entered appearance on 24 March 1999 and on the same day applied by a chamber summons under sections 6(1)(*a*)(*b*) and 2 of the Arbitration Act of 1995, rule 2 of the Arbitration Rules of 1997 and section 3A of the Civil Procedure Act for stay of proceedings pending reference to arbitration in terms of an arbitration clause contained in the contract between the parties. On 7 April 1999, the Learned Judge granted the orders sought and referred the suit High Court civil case number 256 of 1999 to arbitration.

However, on 23 April 1999, the appellant instituted two suits High Court civil case number 466 and 467 of 1999, at Milimani Commercial Courts against Stallion Insurance Company Ltd (the Insurance Company) claiming various sums of money in respect of local and foreign portions guaranteed under the performance bond and advance payment bond. By a motion lodged on 23 July 1999, the respondent moved the superior court to review its orders made on 7 April 1999, with a view to setting them aside on the ground that the appellant had, since obtaining the orders referring the dispute to arbitration, instituted two other suits which form the crux of the claim in High Court civil case number 256 of 1999 and that by filing the said two suits the appellant had exhibited lack of *bonafides* as it cannot approbate and reprobate. But, the appellant contended that the two subsequent suits relate to contracts of suretyship between it and a third party, the Insurance Company, which contracts create their own obligations and causes of action independent of the dispute between the appellant and the respondent; and moreover, any orders obtained in High Court civil case number 256 of 1999 cannot be enforced against the insurance company, the defendant in High Court civil case number 466 and 467 of 1999. The appellant further averred that the two suits are based on advance payment bond and performance bond which bonds do not contain any arbitration clauses. The appellant also contended that the same bonds expressly waive the necessity of it demanding the debt from the respondent.

The Learned Judge in a reserved ruling held:

> "I find that as a result of the respondent/defendant in this case having filed two cases High Court civil case number 466 of 1999 and High Court civil case number 467 of 1999 after the ruling I made in which I stayed the proceedings in this case and referred this case to the arbitrator and these other two cases seeking the reliefs which in this case the plaintiff/applicant was seeking court's orders to stop them from seeking, the respondents have in effect, by conduct waived their rights to rely on the arbitration clause in the subcontract as to allow them to exploit the same right will mean their making recourse to the same performance bond and the same advance payment bond in the normal courts of law while in this case the proceedings are stayed to await arbitration. In my humble opinion, that would be unfair and unjust".

The Learned Judge then concluded:

> "I have no alternative, in the circumstances but to review my orders made on 7 April 1999. The same orders are hereby reviewed and it is now ordered that this case will proceed as normal in the Court of law".

Being aggrieved by that ruling, the appellant has preferred this appeal citing eight grounds of appeal the main grounds being that the Learned Judge erred in failing to give effect to the mandatory provisions of section 6(1)(*a*) and (*b*) of the Arbitration Act when he reviewed his decision to refer the dispute in High Court civil case number 256 of 1999 to arbitration yet the appellant had satisfied all the conditions specified in the said section; and, that the Learned Judge ought to have found that the two latter suits were severable and had distinct causes of action and facts in issue from those in High Court civil case number 256 of 1999.

In the ruling delivered on 7 April 1999, the Learned Judge was satisfied that there clearly existed a dispute between the parties to this appeal and that it was mandatory under the subcontract and the main contract to refer the dispute to arbitration and that is why he made the orders that he did. However, the main issue now before us is whether or not there were justifiable grounds for him to review those orders, or in other words, had the appellant reneged on arbitration so as to attract review?

We think that the act by the appellant of subsequently filing other suits can clearly be construed to mean that it was no longer ready and willing to do all things necessary for the proper conduct of the arbitration. The lodging of the suits can also be taken to mean that the appellant was no longer ready to perform its part of the agreement under the subcontract and the contract regarding arbitration. In the circumstances, the Learned Judge cannot be faulted in his decision which resulted in the suit being ordered to be heard and disposed of in court. We would further agree with the Learned Judge that it is not desirable to maintain two disparate tribunals (the Court and the arbitrator) concurrently determining multiple suits with the same facts and the law. In this regard we adopt the holding in the case of *Collins v Cromie and another* [1964] 2 All ER 332 where it says:

> "It was undesirable that there should be two proceedings before two different tribunals (the official referee and an arbitrator) who might for example reach inconsistent findings: accordingly there were special reasons for the exercise of the discretion refusing a stay of proceedings".

Mr *Miller*, for the appellant, has submitted before us as in the superior court that the suits High Court civil case number 466 and 467 of 1999 concern different parties and relate only to the question of suretyship which in law is not bound by the decision in this case between the contract and its employer. To support his argument Mr *Miller* has referred us to the case of *Ex parte Young in re Kitchin* CA 669 where James LJ says at 670:

> "The Judgment in an action against a principal debtor is not binding on the surety, unless he is made a party to the action; it is *res inter alios acta*".

But, the reliefs sought in the two latter cases include an order to stop the appellant from having recourse to the performance bond and to the advance payment bond moneys and a decision on them by the arbitrator may well affect or contradict decisions by the Court in the latter suits and vice versa. In our view, such a situation may not augur well to and may ridicule judicial process.

Mr *Miller* further submitted that performance bonds are on a class of their own just as in the case of a confirmed letter of credit and the bank was only concerned ensuring that the terms of its mandate and confirmation had been complied with and was in no way concerned with any contractual disputes and only in exceptional cases would the Courts interfere with the machinery of irrevocable obligations assumed by the bank. He referred us to *R D Harbottle (Mercantile) Ltd and another v National Westminster Bank Ltd and others* [1977] 2 All ER 862. Mr *Miller* therefore defended the institution of the two latter suits arguing that they were separate from High Court civil case number 256 of 1999 and the question of inconsistency would not arise. With respect, we do not see any relevance of this case to the matter now before us nor to the application before the superior court. We do not therefore propose to add any comment on the case by setting out submissions in detail as to do so would be inappropriate as the three suits are still pending hearing in the superior court.

Mr *Miller* also argued that the Learned Judge erred in holding that Order XLIV of the Civil Procedure Rules allows review on the basis of events occurring subsequent to the time when the order sought to be reviewed was made. He urged us to allow the appeal on this ground.

As we consider the arguments advanced by counsel appearing for both parties, it would be convenient to go back to the notice of motion seeking review of the ruling of 7 April 1999. The notice of motion was stated to have been

brought under Order XLIV, rule 1 and 2; Order L, rule 17 of the Civil Procedure Rules and section 3A of the Civil Procedure Act. Even if the application was not brought under the correct provisions of the law, that would not be fatal to the application in view of Order L, rule 12 of the Civil Procedure Rules which provides:

> "Every order, rule or other statutory provision under or by virtue of which any application is made must ordinarily be stated, but no objection shall be made and no application shall be refused merely by reason of a failure to comply with this rule".

That being the position, we are satisfied that although the appellant might have failed to state the correct provision of the law under which the application for review was made that omission was not by itself fatal to the application.

Since the appellant was generally asking for review, we take it that the application was properly made under Order XLIV, rule 1(1) of the Civil Procedure Rules which provides:

> "1 (1) Any person considering himself aggrieved:
>
> (*a*) by a decree or order from which an appeal is allowed, but from which no appeal has been preferred; or
>
> (*b*) by a decree or order from which no appeal is hereby allowed,
>
> and who from the discovery of a new and important matter or evidence which, after the exercise of due diligence, was not within his knowledge or could not be produced by him at the time when the decree was passed or error apparent on the face of the record, or for any other sufficient reason, desires to obtain a review of the decree or order, may apply for a review of judgment to the Court which passed the decree or made the order without unreasonable delay".

In an application for review, an applicant has to show that there has been discovery of a new and important matter or evidence which, after the exercise of due diligence, was not within knowledge and could not be produced at the time the decree was passed or on account of some mistake or error apparent on the face of the record or any other sufficient reason. However, the respondent was not contending that there was discovery of a new and important matter or evidence or that there was an error on the face of the record. It is clear from the record that the application was brought on the ground that there was sufficient reason to warrant review of the same orders. The Learned Judge considered in detail the applicability of Order XLIV, rule 1(1) aforesaid and found no impediment in hearing the application grounded on it.

We have carefully considered the background to this dispute leading to the ruling on application for review but we are unable to say that the Learned Judge of the superior court can be faulted in allowing it. We reject the grounds of appeal.

In the circumstances, this appeal is dismissed with costs.

For the appellant:

Mr CG Miller instructed by *Miller & Co*

For the respondent:

Information not available

Chudasama v Social Service League and another
[2004] 2 EA 37 (HCK)

Division: High Court of Kenya at Nairobi

Date of Judgment:	15 October 2004
Case Number:	995/00
Before:	Lenaola and Makhandia AJJ
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Medical negligence – Negligence – Plaintiff injured in road traffic accident – Plaintiff subsequently transfused with blood of a wrong blood group – Pre-existing condition of road traffic accident injuries – Whether the pre-existing condition contributing negligence.

[2] Quantum – Judicial precedent – Judicial precedent lacking to give guidance on quantum – Principles that court should apply in deciding on quantum.

[3] Tort – Negligence Liability – Defendant wrongly transfusing plaintiff with wrong blood group – Whether the defendant liable in negligence.

Editor's Summary

The plaintiff was injured in a road traffic accident in June 1983 as a result of which she was operated on by the first defendant in a hospital owned by the second defendant. The plaintiff's blood group was O positive but the transfusion done at the hospital was with blood group O negative. When a second operation was done in February 1984 the plaintiff was again transfused with blood group O negative. In January 1989 it was discovered upon further tests that the plaintiff was blood group O positive. By this time she had undergone treatment on several occasions to rectify the anomalies arising from the road accident and the wrong transfusion. The plaintiff filed suit in January 1992 seeking general and special damages for the wrongful transfusion.

Held – The first defendant was wholly liable in negligence for the wrongful blood transfusion. Although the plaintiff had been injured in a road traffic accident and was being treated for the injuries, the injuries were only a factor contributing to the plaintiff's ill health and the transfusion materially contributed to the injury and was clearly the cause of the injury complained of in the suit; *McGhee v National Coal Board* [1973] WLR I and *Alphacell Ltd v Woodword* [1972] AC 24 adopted. It did not matter that there was a pre-existing condition. There having been no local judicial precedents on quantum of damages in a matter of a similar nature, the Judge was to be guided by what he reasonably believed the ordinary citizen would regard as right and the prevailing circumstances *Mc Farlane and another v Jayside Health Board* [1999] 4 All ER 961; *Butter v Butter* [1984] KLR 225; *Luduwa v Ayuku and another* [1986] KLR 395 approved. The common sense approach would be useful in reaching a fair and just award.

The plaintiff was awarded KShs 3 million as general damages for pain and suffering. The claims for future medical care and lost years were not specifically pleaded and strictly proved and were not awarded.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Butter v Butter [1984] KLR 225 – **APP**

Catholic Diocese of Kisumu v Tete civil appeal 254 f 2001 – **C**

Gichobi v BS Mohindra and Company Limited High Court civil case 1958 of 1978 – **C**

Kenya Bus Services Limited v Gituma civil appeal number [2000] LLR 4027 (CAK) – **C**

Luduwa v Ayuku and another [1986] KLR 395 – **APP**

Muya v Munene and another High Court civil case 1377 of 1987 – **C**

Southern Engineering Limited v Mutia [1985] KLR 730 – **AP**

United Kingdom

Alphacell Limited v Woodword [1972] AC 24 – **A**

Bonington Castings Limited v Wardlaw [1956] AC 613 – **A**

Mc Farlane and another v Tayside Health Board [1999] 4 All ER 961 – **APP**

McGhee v National Coal Board [1973] WLR 1 – **A**

[2003] 3 All ER138

United States

Brady v Brown [1990] 2 Med LR – **C**

Doe v United States of America [1990] 2 Med LR – **C**

Judgment

LENAOLA AND MAKHANDIA AJJ: This matter was fully heard by Mulwa J and, on his retirement, parties agreed that I should conclude the same by hearing final submissions by counsel. I declined to re-open the matter by way of any party bringing in new evidence. And so on 11 August 2004, both advocates having filed elaborate submissions, I set out to unravel the issues in contention.

The plaintiff, then an 18 year old was travelling in a bus along the Mombasa-Nairobi road when she was involved in a serious motor vehicle accident. On the 2 June 1983 unconscious and unaware of herself or her surroundings, she was admitted to MP Shah Hospital. She had as a result of the accident sustained fractures of the femur and the left leg. She had an operation under the hand of the second defendant, Dr SC Patel. This was on the same day of admission to hospital. Prior to the operation, she had a blood transfusion. It is not now denied that the plaintiff's blood group is O+ but on that day she was transfused with blood O-. The reason for this is that the hospital's technicians in testing her blood group and doing the usual cross match found that she was group O- and not O+. When a second operation was done by the second defendant on 7 February 1984, she was again transfused with blood group O-. It was only on 16 January 1989 when further tests were done that it was discovered that the

plaintiff was of blood group O+ and not O-. By this time she had undergone a series of operations to rectify anomalies and complications arising from the

accident and allegedly also from the wrong transfusion of blood. She then filed this suit on 14 January 1992.

In her amended plaint filed on 14 May 1992, the plaintiff pleads that the defendants, their servants and/or agents were negligent and were in breach of their duty of care to her in that they performed their duties negligently and unskilfully. The particulars thereof were that:

(i) they failed to ascertain the plaintiff's blood group;

(ii) they failed to ascertain the group of blood that was transfused to the plaintiff; and

(iii) they failed to notice the adverse reaction of the plaintiff when blood was being transfused into her or after the transfusion.

It is further veered in the plaint that as a result, the plaintiff suffered great pain and injury and has thereby suffered loss and pain. The particulars of injury are said to be:

(*a*) unhealed deformed thigh;

(*b*) chronic anaemia;

(*c*) infection of the thigh; and

(*d*) will be unable to conceive a baby.

The plaintiff claims in the plaint, medical expenses inclusive of costs of her trips to India for specialised treatment amounting to KShs 476 192-45 and costs of further treatment amounting to KShs 200 000. She also claims lost earnings and loss of earning capacity as she is unable to engage in any form of employment.

The claim as against the second defendant was withdrawn on 18 January 1997 and therefore, the case is now against the first defendant, which is said to be a company that owns, manages and controls the MP Shah Hospital.

PW1 was Kunjvihari Kanji Shah, who is recorded as being a "general pathologist". He confirmed that the blood group test was done by technicians at the MP Shah Hospital and upon doing a match it was found to be O+. He produced the report. Of significance is his evidence that "sometimes O+ red cells may be circulating in the blood which may give O+ instead of giving O- and this is a probability. If this would be the case, (*sic*) if there had been a transfusion before the grouping O+ is regarded as universal and is given during emergency when the right blood is not available".

PW2, Malkit Singh Riyat who identified himself as "a doctor specialising in blood disorder" prepared a report (P Exhibit 2) on the plaintiff's condition and found that her blood was O- and that there were some antibodies in her blood stream. He said this of the MP Shah Hospital; "they have machines for classifying blood and I am surprised how they missed this (right blood group). A wrong transfusion can kill a patient." Further, that "wrong transfusion can bring complications for example kidney failure bleeding fondles (*sic*). A female who has conceived can cause death to the foetus or it can be born (*sic*) with a deformity to the brain and other disabilities (*sic*). There is a risk to a future baby. There is danger to the future if patient is a female. Plaintiff has suffered renal failures. This is permanent".

PW3 was the plaintiff herself and she testified that "both times after transfusion I had complications. I had high temperature. During my 1992 operation I had (*sic*) several problems. It was July 1992. I could not pass urine. I was in machine for 5 days, dialysis, temperature (*sic*)".

First case

The first defendant filed a defence on 30 June 1992 and denied generally all the matters raised in the amended plaint. Specifically at paragraph 5 thereof it is stated that "the first defendant makes no admission that the second defendant transfused into the plaintiff's blood that which was positive instead of 'O' negative (*sic*) and puts the plaintiff to strict proof thereof". Paragraphs 6 and 7 thereof deny the alleged breach of any statutory or contractual duty as alleged and also of the particulars of injuries and special damages as claimed by the plaintiff.

One other element of the defence is that the claim as filed is time barred under the "Limitation Act" and said to be bad in law. Curiously, neither in evidence nor in submissions was this matter raised and I shall myself ignore it for purposes of this judgment. DW1 was Mwanda Otieno Walter, a doctor and lecturer of pathology. He testified that he had in 1993 examined the plaintiff on the request of her advocates. He makes reference to a report by Dr Warshow on the plaintiff and says, "This report is not correct. No evidence of renal failure. Renal failure could have been due to some other matter that happened before as the operation could not have been carried out if there was failure (*sic*). I see no reason for her not to conceive. I would advise against her getting pregnant because of her stature that is blood received has nothing to do with her physical condition". In cross-examination he stated that "there is a possibility of mistake. We call those mistakes general mistakes. Wrong grouping would not affect any other physical condition. Only when massive wrong blood is given that problems develop".

DW2 was Dr Saed Abdullahi who testified that he was a Senior Kidney Specialist familiar with the plaintiff's cause. He confirmed that the "patient had secured transfusion and reacted to it. She had kidney problems prior even prior to transfusion which accelerated the problem. I treated the patient and she improved with her kidney status returning to normal".

Under cross-examination he confirmed that "she reacted to the blood" and that "the risk can cost life", and further that "I agree that the transfusion speeded the reaction and the problem". Lastly in re-examination, "She will react again" presumably to a wrong blood group transfusion.

I have set out the evidence in as much detail as possible because as can be seen, all the evidence except that of the plaintiff is of an expert nature in matters of blood and kidneys. Expert evidence especially where conflicts of opinion arise should be handled with caution as Judges and lawyers likewise, not being themselves experts in those fields need to clearly understand all the issues in contention. The Judge especially must be able to discern the truth or as near as possible, the truth and thereby determine the matter reasonably and fairly.

Submissions for the plaintiff

Learned counsel for the plaintiff urged the point that there is no denial that the plaintiff was transfused with the wrong blood group and therefore on liability, clearly the first defendant is to be found liable. That all the experts who testified were one in this point.

On quantum he broke the issue into:

(i) Pain, suffering and loss of amenities; making reference to all the medical reports produced, he urges that the plaintiff has suffered serious injury and on this heading he proposes damages in the sum of KShs 5 million. He relies on the cases of:

(*a*) *Brady v Brown* [1990] 2 Med LR where US dollars 5 000 was awarded to a patient who after a vasectomy operation had internal bleeding of the scrotum leading to problems in sexual intercourse and associated marital problems.

(*b*) *Catholic Diocese of Kisumu v Sophia Achieng' Tete* civil appeal 254 f 2001 where a sum of KShs 1.3 million was awarded as general damages for fractures to the hip, femur and deep cuts and soft tissue injuries after an accident.

(*c*) *Kenya Bus Services Limited v Gituma* civil appeal number [2000] LLR 4027 (CAK) where it was held that general damages must be assessed on the combined effect of all injuries.

(ii) Special damages – it is admitted that whereas the claim under this heading in the plaint is said to be KShs 476 192-45 the receipts as submitted do not add up to that figure and a claim for KShs 250 000 is made. Further KShs 200 000 for further medical care is sought. A further sum of KShs 2 340 000 is sought as lost years based on a proposed net salary of KShs 15 000 per month for 13 years.

(iii) Further lost years or loss of earning capacity – although employed temporarily as a cashier with a salary of KShs 11 000, a multiplicand of KShs 15 000 for 18 years is proposed which works out to KShs 3 240 000-00.

(iv) Interest and costs is also sought.

First Defendant's submissions

Learned counsel for the defendant in his submissions stated that the plaintiff "despite the numerous surgeries she had gone through affecting her femur and despite the after effects of the erroneous transfusion of blood and despite the abnormally slow growth of her anatomy and size she now appears to be recovered well and walks almost perfectly (by the grace of God) like a normal person". He then stated that the evidence of Dr KK Shah as reproduced elsewhere in this judgment showed that blood group O+ was always given in emergency cases as it is a universal group.

Dr Riyat's evidence was that future transfusions "should only be with rhesus O negative blood as O positive transfusions would lead to severe haemolytical reactions and also pregnancies with a positive baby will be complicated by the haemolytical disease of the newborn". Counsel however took issue with Dr Riyat whose evidence in the witness box was not quite the same as in his report. This was with regard to his claim that a "wrong transfusion can kill a patient". This finding was apparently not in his report.

I was asked to rely more on the evidence of Dr Mbenda Walter Otieno (not Dr Mwauda as recorded by Mulwa J) especially on his finding that renal failure which the plaintiff had could have been attributed to other factors which occurred before the operation. And also on his finding that the risk of future pregnancies would be as a result of the plaintiff's short stature which had nothing to do with the blood transfusion. The finding that the plaintiff had a pre-existing renal condition, I was told, was confirmed by Dr Abdullahi in his report of 19 August 1992. The first defendant, it was argued should not be held liable for these matters.

Notwithstanding these submissions, counsel urged that should I find the hospital liable, then I should do so to a very minimal proportion, preferably 20-25% on liability.

On quantum, counsel urged that:

(i) On special damages, no proof was given of the sum claimed in the plaint and the same should be disregarded.

(ii) On general damages, whereas there are no comparable cases found, I was referred to a number of authorities for guidance *viz*;

(*a*) *Gichobi v BS Mohindra and Company Limited* High Court civil case 1958 of 1978 where KShs 180 000 was awarded to an accident victim who also lost her baby after eight months of pregnancy.

(*b*) *Muya v Munene and another* High Court civil case 1377 of 1987 – KShs 400 000 was awarded for fractures of the ribs, left tibia and fibula and loss of an eight months pregnancy.

I am asked to grant KShs 300 000 to KShs 400 000 on general damages and no more.

Issues and findings

This is both a sad and intriguing case and I wish to thank counsel appearing for the way they handled the matter.

The issue so far as I can see that I must now confront are:

(i) Since there is no denial that the plaintiff was transfused with the wrong blood group by the first defendant's agents, what effect(s) did that erroneous act have on the plaintiff?

(ii) Is the first defendant, therefore, liable in damages to the plaintiff?

(iii) What heads of damages, if at all should be considered?

(iv) Under each head of damages, if at all, what would be the proper quantum to award?

(v) Costs.

Effect of wrong blood on the plaintiff and liability of the first defendant

As I said earlier, the plaint gives particulars of injury arising from the wrong blood transfusion as being unhealed deformed thigh, chronic anaemia, infection of the thigh and inability to conceive a baby. Without saying more, all the injuries to the thigh and infection thereto arise from the motor vehicle accident and I see no connection with the blood transfusion.

The evidence of the experts on anaemia and inability to conceive a child is not consistent. However, it is only Dr Mbenda Walter Otieno who says that he sees "no reason why" the plaintiff cannot conceive. Dr Riyat thinks otherwise, so does Prof Edward George Kasili in his report dated 16 January 1989 (P Exhibit 3). Both agree that a baby conceived by the plaintiff in view of the wrong transfusion runs the risk of suffering from haemolytic disease of the newborn. I am inclined to believe the majority and disregard Dr Otieno's testimony on this point and shall hold that there is a risk to the plaintiff and her baby should she conceive and for this, the first defendant shall be held liable.

On the renal failure that the plaintiff suffered and her anaemic condition, clearly the evidence as presented points to a pre-existing condition in that regard. I would have to take Dr Saeed Abdullahi's evidence that the wrong transfusion "accelerated the problem" and that it "speeded up the reaction and problem". The evidence is consistent with the plaintiff's own evidence that her

reaction to the wrong transfusion was always severe. This evidence was unchallenged and I take it that whereas the plaintiff may have had an existing renal condition, the wrong blood transfusion enhanced the condition to the suffering of the plaintiff and for that reason again, I must hold the first defendant liable.

Damages

Learned counsel for the plaintiff conceded quite correctly that the claim for special damages pleaded in the amended plaint has not been proved. No evidence was led to justify the figure of KShs 476 192-45. Learned counsel for the plaintiff asked that this Court should award KShs 250 000 "as some of it was expense incurred prior to the blood transfusion". No basis for this amount was laid in evidence and although special damages would have been awarded in this case, the only sum proved is KShs 3 550 being payments to Clinical Laboratories and Professor Edward George Kasili as consultation fees to confirm the plaintiff's correct blood group. I shall therefore award KShs 3 500 as special damages.

As regards the cost of future medical care, again counsel for the plaintiff stated as follows: "I confess that the only evidence in respect of this head of damages is from DW2 at page 25 of the typed proceedings that biopsy would cost between 10 000 – 15 000 in 1992. This however, does not take into account further and other treatment including blood transfusion, medicines etc and I urge your lordship to award the sum claimed or a reasonable figure thereof." A figure of KShs 200 000 is stated as the sum claimed. The evidence in this point is again as stated by counsel for the plaintiff quite unhelpful. DW2 Dr Saeed Abdullahi said this in the question of biopsy; "this biopsy would have shown whether the patient would improve or deteriorate. The problem is likely to continue. The biopsy would have cost KShs 10 000 – KShs 15 000 at that time".

The biopsy cannot by itself therefore be a basis for future medical care as it was a test only. I would have expected the plaintiff in her evidence to indicate clearly that she requires future medical care with regard to the side effects of the wrong blood transfusion. She did not even mention it. This claim must fail for this reason.

On the claim that the plaintiff has suffered lost years as she is unable to be employed from 23 July 1992, again sadly this claim was not pleaded anywhere in the amended plaint, no mention of it is made in the plaintiff's testimony and the claim only surfaced in the submissions by counsel. It is imperative in a claim of this nature that the foundation for a claim is properly laid in pleadings, proved at the trial and then submissions can be made on that basis. I see no reason to grant any sum with regard to this part of the claim.

The reasoning above must also apply to the claim for future lost years of earning capacity. Counsel for the plaintiff states that "my instructions are that the plaintiff is temporarily engaged in a job as a cashier earning KSh 11 000 net per month since October 2003". Again, there is no basis for this claim anywhere in the amended plaint nor in evidence and regrettably I have to refuse to make any award in that regard.

Turning now to the claim for general damages, like counsel I see no local authority of the nature of the case before me. I have held that there is and there will be loss and injury to the plaintiff as a result of the wrong blood transfusion.

I must, however, be alive to the fact that almost all of the plaintiff's present predicaments save that of inability to conceive and complications to herself and her child were caused by the motor vehicle accident. She has been adequately compensated for injuries caused by the accident. My award should therefore be limited only to the wrongful act of transfusing the plaintiff with the wrong blood type. Both counsel have referred to authorities that are not exactly of the same nature as the case before me. I must however dispose of one point raised by counsel for the first defendant. He seeks that whatever award I give, the plaintiff should bear 75% - 80% of the liability. I saw no basis for this. The first defendant is liable 100% for the wrongful act and for the loss to the plaintiff. No evidence at all was tendered to show any contribution by the plaintiff. What was shown was that she had an existing problem which was aggravated by the first defendant's agents or servant's action. That to my mind is no mitigating factor. Had there not been negligence and a lack of care, the problem would have been secured as was done immediately the anomaly was discovered. That is why the plaintiff does not now suffer the high temperature and renal problems she got immediately after the wrong transfusion. That is why if another wrong transfusion is given she will immediately react. This was all confirmed by the expert witnesses. What is clear is that as a result she will have complications in conceiving a baby and the baby will have in any event more serious complications.

In saying this, I am guided by the Bonnington principle as set out in *Bonington Castings Limited v Wardlaw* [1956] AC 613 which was followed in *McGhee v National Coal Board* [1973] WLR 1, Lord Salmon said this in the latter case:

> "I, of course, accept that the burden rests on the appellant to prove, on a balance of probabilities, a causal connection between his injury and the respondent's negligence. It is not necessary, however, to prove that the respondent's negligence was not the only cause of injury. A factor, by itself, may not be sufficient to cause injury, but if with other factors, it materially contributes to causing injury, it is clearly cause of injury".

Further, in *Alphacell Limited v Woodword* [1972] AC 24 at 947 on the same principle Lord Salmon said:

> "The nature of causation has been discussed by many eminent philosophers and also by a number of Learned Judges in the past. I consider, however, that what or who has caused a certain event to occur is essentially a practical rather than an abstract metaphorical theory".

This is the approach I have taken in this case guided by the evidence of all the eminent doctors called by the parties.
It does not matter therefore, that there was a pre-existing condition. What is material is that the first defendant's negligence through its servants, which has not been denied, had contributed materially to the plaintiff's present condition. There is no running away from the fact that for those reasons the first defendant is wholly liable.

What should I award the defendant under this head of damages? Learned counsel for the first defendant suggests the modes figures of KShs 300 000 to 400 00. Counsel for the plaintiff on the other hand is content with an award of KShs 5 million. Both are in agreement however that none of the authorities cited have similarities with the matter at hand. They also lament the lack of local or other authorities to guide themselves or the Court. They both seek a fair award taking into account the circumstances of this case.

In the American case of *Doe v United States of America* [1990] 2 Med LR, the plaintiff who was named "Doe" to protect his privacy, was five years old. Because of a surgeon's negligence, he required 54 units of blood, instead of two. As a result of the additional transfusions, he was diagnosed HIV positive. His condition deteriorated and in March 1989 he was diagnosed as having developed AIDS. In his suit, the Court found that the surgeon was negligent and it was held partly, that apart from the risk of contracting HIV, "it had been recognised for many years that transfusion could transmit other life threatening diseases". Poor Doe was awarded US$ 800 000 as general damages. This by today's exchange rate is about KShs 64 million. At the same time the injuries and loss suffered by the plaintiff in this matter are not of the same magnitude as Doe who through the transfusion received as it were a death sentence at the tender age of 5. The plaintiff received compensation for her other injuries, is able to work and has some sort of future. She cannot bear children which is traumatic but incomparable with Doe.

In awarding damages in a case of this nature where no local authority is cited I must warn myself of the damages of being subjective. As was held in *Mc Farlane and another v Tayside Health Board* [1999] 4 All ER 961 at 977-975:

> "What may count in a situation of difficulty and uncertainty is not the subjective view of the Judge but what he reasonably believes that the ordinary citizen would regard as right".

Further in *Butter v Butter* [1984] KLR 225 the Court held that, "in awarding damages, a court should consider the general picture and all the prevailing circumstances and effect of the injuries on the claimant".

Lastly on this point, a "common sense" approach (see *Luduwa v Ayuku and another* [1986] KLR 395) would assist the Court in reaching a reasonable, fair and just award. In doing so, the award "must not result in injustice to the defendant" and "must accord with what society as a whole would perceive as being reasonable". (See [2003] 3 All ER 138 at 139).

I am also alive to the fact that when referring to English or American authorities, a court should only use them as indicators and useful parameters hence my careful approach to the Doe decision (*supra*). This was the holding in *Southern Engineering Limited v Mutia* [1985] KLR 730.

To my mind therefore, a fair and reasonable award in general damages would be in the sum of KShs 3 million. I take the figure from the position that the plaintiff has received compensation for other injuries and this would be sufficient in my view to assuage the injuries and loss of expectation of a child as any woman would.

In the end I shall make an order that the first defendant do pay to the plaintiff the sum of KShs 3 million in general damages and KShs 3 550 in special damages making a total of KShs 3 003 550 plus costs and interest thereon.

Orders accordingly.

For the plaintiff:
R Billing instructed by *R Billing & Co*

For the defendant:
Patel

Desai and others v Fina Bank Ltd
[2004] 2 EA 46 (CCK)

Division: Milimani Commercial Courts of Kenya at Nairobi

Date of ruling:	21 June 2004
Case Number:	1308/01
Before:	Emukule J
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Bank – Interest – Whether bank interest rates ought to comply with the Banking Act – Whether issue of compliance will defeat statutory power of sale of charge under a legal charge when the rate was contractual – Section 44 – Banking Act (Chapter 485).

[2] Civil Procedure – Interlocutory injunction – Exercise of statutory power of sale – Land under charge – Applicant failing to settle despite provision of accounts – Allegation that interest charges illegal and usurious – Whether bank interest regulated by the Banking Act – Whether court can interfere with contractual rates of interest – Whether prima facie *case for interference with statutory recovery had been made – Where would the balance of convenience lie – Order XXXIX – Civil Procedure Rules.*

[3] Land – Charge – Statutory power of sale – Dispute as to legality of interest charges – Whether question of interest charges raises prima facie *case at the interlocutory stage.*

Editor's Summary

The applicant filed suit and an application for injunction seeking to stop threatened exercise of statutory power of sale arising out of a legal charge over some property. The applicant argued that the interest charges on the loan were illegal for non-compliance with section 39 of the Central Bank of Kenya Act (subsequently repealed) and section 44 of the Banking Act (then in force). Under these provisions, it was argued that bank interest rates were subject to some regulation. It was therefore stated that the interest rates in the lending agreement were excessive.

The Court considered the question of interest rates, and the further question of whether the applicant had established a *prima facie* case that would entitle them to obtain an injunction to stop the exercise of the statutory power of sale.

Held – Until its repeal, section 39 of the Central Bank of Kenya Act (Chapter 491) empowered the Central Bank to determine and publish maximum and minimum rates of interest. After the repeal of Chapter 491, section 44 of the Banking Act (Chapter 485) remained as a regulatory provision, restricting increase of "rates of banking" without prior approval of the Minister. By a subsequent circular from the Central Bank of Kenya, banks were allowed to charge any interest rate on loans and advances. The Courts would therefore not interfere with contractually agreed rates of interest between lenders and borrowers. *Pelican Investment Ltd and another v National Bank of Kenya Ltd* [2000] 2 EA 488, *Fina Bank Ltd v Spares and Industries Ltd* [2000] 1 EA 52, *Mrao Ltd v First American Bank of Kenya Ltd and others* [2002] LLR 3801 (CAK), *Morris and Co Ltd v Kenya Commercial Bank Ltd and others* [2003] 2 EA 605 followed.

The applicants had executed the contract document which provided for payment of various interest rates. They received valuable consideration for the

charge and further charge. The statutory notices were proper. Hence, the applicant had not established a *prima facie* case for the grant of an interlocutory injunction against exercise of the statutory power of sale. *Giella v Casman Brown and Co Ltd* [1973] EA 358 applied.

The applicant's property was valued at less than the amount of the debt. The respondent was also a bank that could compensate the applicant subsequently. Hence, the applicant would not suffer any irreparable loss nor would the balance of convenience fall in his favour.

Application dismissed.

Cases referred to in ruling:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Fina Bank Ltd v Desai and another Milimini Commercial Court case number 513 of 2003 – **C**

Fina Bank Ltd v Spares and Industries Ltd [2000] 1 EA 52 – **F**

Giella v Casman Brown and Co Ltd [1973] EA 358 – **AP**

Morris and Co Ltd v Kenya Commercial Bank Ltd and others [2003] 2 EA 605 – **F**

Mrao Ltd v First American Bank of Kenya Ltd and others [2002] LLR 3801 (CAK) – **F**

Pelican Investment Ltd and another v National Bank of Kenya Ltd [2000] 2 EA 488 – **F**

United Kingdom

Clarion Ltd and others v National Provident Institution [2000] 2 All ER 265 – **F**

Ruling

EMUKULE J: The application herein was filed on 24 August 2001 and was brought by way of a chamber summons under Order XXXIX, rules 1, 2, 3 and 9 of the Civil Procedure Rules, inherent powers of the Court, and all enabling provisions of the law. The application was supported by the affidavit of Ranjnikant Jashbhai Desai sworn on 24 February 2001. The plaintiff sought the following material orders:

(1) That the defendant, whether by its servants or agents or advocates or advisers or any kind or otherwise howsoever be restrained from doing the following acts or any of them, that is to say further advertising for sale selling by public auction or private treaty or otherwise howsoever at any time or by completing the conveyance or transfer of any sale concluded by private treaty or otherwise howsoever of all that property known as land registration number 7750 situated in Nairobi together with any improvements thereon pending the hearing and determination of this suit.

(2) A true statement of account commencing the year 1994 to date in respect of banking facilities granted to the plaintiff by the defendant be provided by the defendant;

This being initially an *ex parte* application the plaintiff was granted these orders on 29 August 2001. This situation persisted until the 3 February 2003 when the following consent orders were recorded:

(a) That the intended sale be and is hereby put off on account of the defective auctioneers notices;

(b) That the parties wish to examine accounts; and

(c) That the matter be mentioned on 27 February 2003.

When the matter was mentioned on 27 March 2003, the defendant had replaced the illegible copies of the statement of account with legible ones. Thereafter the plaintiff seems to have gone into hibernation until woken up by the orders made in Milimani Commercial Court case number 513 of 2003 (OS) between the defendant, *Fina Bank Ltd v Desai and another* in which Mwera J granted the defendant access to the suit property and to sell it by private treaty. Following these orders the plaintiff filed a further application in this cause on 23 December 2003 and obtained orders *ex parte* restraining the defendant from dealing with the suit property whether by way of sale or otherwise pending the hearing and determination of the application dated 24 August 2001. The plaintiffs were also ordered to re-serve the said application for hearing on 6 January 2004.

However, before the hearing of the said application on 6 January 2004, the defendant also filed a further application on 5 January 2004. When the matter came up for hearing on 6 January 2004 the *ex parte* orders of injunction granted to the plaintiffs on 23 December 2003 were vacated. Thus when this matter was urged before me on 16 January 2004, 21 January 2004, 3 February 2004 and 17 February 2004 there was in fact no injunction in place against the defendant who could thus have proceeded to sell the suit property but was because of these proceedings prudent enough not to sell. I think both counsel overlooked the final sentence of the ruling of Kasango J on 6 January 2004. Secondly Kasango J said:

> "In regard to the *ex parte* orders granted by this Court on 23 December 2003, the Court finds its hands tied by Order XXXIX, rule 3(2) which states that an *ex parte* order cannot be extended and accordingly the *ex parte* order granted hereof is not extended. The plaintiff's application dated 24 August 2001 is hereby adjourned to 16 January 2004".

Thus when I ordered after the hearing of 16 January 2004, that the *status quo* be maintained until 21 January 2004, and again on 21 January 2004 to 3 February 2004, all that was really meant is that the defendant would not in any way deal with the suit property until determination of this application. There was however no order to stop the defendant from dealing with the property by way of sale, for instance. The defendant is to be commended for maintaining this position. When this matter was urged before me by both counsel for the plaintiff and the defendant for a good part of three mornings and two afternoons, seven broad issues emerged. These are:

(1) The reconciliation of accounts by the defendant.

(2) Rate of interest application to the moneys advanced under the charge and further charge.

(3) The validity of consideration for the charges.

(4) The identity and value of the suit property.

(5) The marking of exhibits made under the Oaths and Statutory Declarations Act (Chapter 5) Laws of Kenya.

(6) The validity of the notices.

(7) The issue of *res judicata*.

I now take each of these broad issues. By the consent order made on 3 February 2003, the parties expressed a wish to examine accounts. This order was curiously worded parties "wished". This wish was followed by the defendant furnishing the plaintiff with a statement of account twice as the first copies were said to be illegible. Nothing turned on these accounts at the hearing of the application and I take it that the amount as expressed in the legible statement supplied by the defendant is the proper amount.

The question of the applicable rate of interest generated more heat. Counsel for the plaintiff opined that the rates of interest charged by the defendant were contrary to the provisions of section 44 of the Banking Act (Chapter 488) Laws of Kenya *vis-à-vis* section 39 of the Central Bank of Kenya Act (Chapter 491) before its repeal by Act number 4 of 2001. Until its repeal section 39 of the Central Bank of Kenya Act (CBK Act) empowered CBK in consultation with the Minister for Finance to determine and publish the maximum and minimum rates of interest which specified the amounts banks or specified financial institutions may pay on deposits and charges for loans or advances. CBK again in consultation with the Minister could also determine different rates of interest for different types of specified bank and financial institutions. These restrictions had been introduced by section 9 of the Finance Act of 1980, (number 10 of 1980), to regulate interest rates by specified banks and financial institutions.

By virtue of this section 39, the Governor of CBK published *Gazette* notice number 1617 dated 2 April 1990 which fixed the minimum rate of interest payable by specified banks and specified financial institutions on deposits on savings and also the maximum rate of interest which specified banks and specified financial institutions may charge for loans or advances granted for a term not exceeding 3 years. Following the repeal of this Act by Act number 4 of 2001, *Gazette* number 1617 of 1990 was revoked by *Gazette* notice number 3348 of 23 July 1991. This effectively ended the regime of interest rate controls by the CBK on specified banks and specified financial institutions.

Those charged with the regulation of specified banks and/or financial institutions must have had good reasons for removing power to fix interest rates on banks and financial institutions, but retaining the identical powers of control of interest rates and penalties charged by building societies. For under section 39A of the Central Bank of Kenya the CBK may in consultation with the Minister:

"(*a*) determine and publish the maximum and minimum rates of interest which building societies registered under the Building Societies Act may pay on deposits and charge for loans, advances and mortgages.

(*b*) determine the maximum or vary deposit, financial or other charges, including penalties and forfeitures which may be imposed by a society on a member or borrower".

The greater control is of course the provisions of section 44 of the Banking Act (Chapter 485) (Rev 1991) which imposes restrictions on increases in Bank charges. It says:

"44. No institution shall increase its rate of banking or other charges except with the prior approval of the Minister".

The question which begs an answer is what is the meaning of "institution" under this section. The second question is what is meant by "its rate of banking or

other charges"? The first question is easily answered because the expression "institution" is defined under the Banking Act as a "bank or financial institution". Both are licensed under section 3 of the Banking Act, and in the case of a financial institution there is also a declaration by the Minister by notice in the *Gazette* that it be a financial institution. There is a secondary question which may be posed before we tackle the question of the meaning of its "rate of banking or other charges." It is this, is section 44 of the Banking Act a secret weapon by the Minister for Finance to be applied at some time on banks and financial institutions if their rates of banking or other charges are in the reasonable opinion of the Minister excessive? If this is so, "the rate of banking and other charges" must logically include interest rates (and also other charges – "commitment fees, late payment fees, miscellaneous charges" which banks and financial institutions charge on daily basis).

Section 44 above-mentioned must however be read together with the provisions of section 45(1) and (2) of the Act which provide as follows:

> 45 (1) The Minister shall consult with the Central Bank in the exercise of his functions under this Act,
>
> (2) where approval of the Minister is required under any provision of this Act, the application for such approval shall be submitted through the Central Bank.

In a supplementary affidavit by Francis Robert Kinyanjui a senior relationship officer of the defendant sworn on 30 January 2004 and filed in court on the same day the said deponent says in paragraphs 4 of the affidavit:

> "That the provisions of section 44 have been addressed by the Central Bank which has advised the defendant that interest rate is not included among charges covered by the provisions of that section".

Annexed to the said supporting affidavit are two circulars, one dated 17 June 2003, entitled "Banking Circular number 03 of 2003, addressed to all chief executives, commercial banks non-bank financial institutions and mortgage finance companies. The circulars encapsulates broad areas of the CBK jurisdiction over financial institutions. The concern here is with two of those segments, namely compliance with section 44 of the Banking Act and savings deposit and lending rates. With regard to compliance with section 44 of the Act, the circular requires:

> (1) "all institutions licensed under the Banking Act to submit to the Minister through the Central Bank the list of all current banking or other charges. This information must be forwarded to the Central Bank on or before 30 June 2003.
>
> (2) Institutions licensed under the Banking Act shall ensure that they comply with the provisions of section 44 of the Banking Act".

On savings, deposit and lending rates, the circular provides:

> (3) "Commercial Banks, non bank financial institutions mortgage finance companies and building societies will be required to maintain savings rates positive against the annual average underlying rate of inflation".

In their own circular number 62 of 2003, reference KBA/Ch/12/2003 which sadly lacks a date of issue, but is receipt dated 24 June 2003, the Association's Chief Officer, I think, with respect, correctly advising its members to comply with the Act, Central Bank Circular (issued in terms of the Banking Act) and to submit their tariffs before 30 June 2003 for approval of the Minister adds the following paragraph:

> "Current Banking and other charges" as stipulated in the circular refers to direct banking charges that attract levies for services a bank directly provides. Third party charges or interest are not included".

This unfortunately is an interpretation by the Kenya Bankers Association. The Central Bank Circular is silent on the issue of lending rates. Perhaps this is deliberate or is merely an omission to elaborate on the title to that particular subject. All the circular, however does is to enclose a revised form (Table F CBK BS (M)-Return) leaving it to the banks and financial institutions to fill in their rates.

I am not called upon to give any interpretation to the Central Bank Circular number 3 of 2003, and in particular the item dealing with savings deposits and mortgages but I think what it conveyed to the banks or financial institutions is that they are free to pay for deposits and charge any interest rate, on loans and advances but such interest paid on deposit received and interest on loans or advances made, shall be such as would maintain a savings rate and an interest lending rate that is positive against the annual average underlying rate of inflation. This is clearly so from an examination of revised table F of CBK BS (M) Return on money market transactions and covers both inter-bank transactions savings and deposit rates and lending rates divided into local currency and foreign currency and covering maturities of 0 year to over 10 years.

Thus in litigated cases, the Courts have, started with the case of *Pelican Investment Ltd and another v National Bank of Kenya Ltd* [2000] 2 EA 488, consistently held, and quite correctly if I may so, that courts will not interfere on matters of interest charged arising from contract. Onyango Otieno J as he then was posed the question whether courts should intervene in such matters, and this was his answer at page 10 of his ruling in this case:

> "Should the Court intervene in such matter? I do believe that where it is plain to the Court that fraud existed when such contracts were entered into or where one party used its superior position to force another into such contractual obligations the Court may intervene and ensure justice to the oppressed, but here there is no evidence of such fraud or oppression".

In *Fina Bank Ltd v Spares and Industries Ltd* [2000] 1 EA 52, Tunoi, Shah and O'Kubasu JJA after considering the allegations of high and onerous rates of interest by the bank and criticising the trial Judge for failling into the serious error of being a sympathiser although it is human to so feel Shah said in his judgment:

> "... the function of the Court is to enforce what is agreed between the parties and not what the Court thinks ought to have been fairly agreed between the parties. I agree with what was stated by Rimer in the case of *Clarion Ltd and others v National Provident Institution* [2000] 2 All ER 265 at 281:
>
> > 'Thrust of NPT's complaint is simply that it made a bad bargain from which it now wants to be released. It is, however, of the essence of business transactions that each party is bargaining in its own interest, and for his own benefit and that each has to look after his own interests and that in most cases neither owes any duty of care or disclosure to the other. It is inherent in such a system that there will be those who will make bad bargains but that is the risk which in my view each bargaining party must be assumed to be willing to take and which the law must be regarded as having allocated to him, and also later said:
>
> 'At the risk of repetition I must say that the Court must leave parties to their bargain good or bad'."

Yet again in *Mrao Ltd v First American Bank of Kenya Ltd and others* [2002] LLR 3801 (CAK), (Kwach, Bosire and O'Kubasu JJA) Kwach JA said:

> "I have always understood that it is the duty of any person entering into a commercial transaction particularly one in which a large amount of money is involved to obtain the best legal advice so that he can better understand his obligations under the documents to which he appends his signature or seal. If courts are going to allow debtors to avoid paying their just debts by taking some of the defences, I have seen in recent times, for instance challenging the contractual interest rate, banks will be crippled out of business altogether and no serious investors will bring their capital into a country whose courts are a haven for defaulters."

And this is what Ringera J had to say on the subject of interest rates in the case of *Morris and Co Ltd v Kenya Commercial Bank Ltd and others* [2003] 2 EA 605:

> "As regards interest, I can only say that it behoves parties to read the contracts they sign and to believe that the terms thereof are not mere words but covenants to be enforced. If the lender reserves to himself the right to charge such interest as he shall determine and to vary the same without reference to the borrower, so it shall be".

In the letter of offer of 24 September 1999 addressed to Messrs Kimana Lodge Limited at page 2 item (iii) is entitled rate of interest after giving various rates of interest the offer letter says:

> "Such interest shall be computed on a daily basis with monthly rests and would be payable by you at end of every month. The rates are subject to change at any time without prior notice, and at the absolute discretion of the bank".

At end of he said letter is endorsed a memorandum of acceptance which is in these terms:

> "We Messrs Kimana Lodge Limited PO Box 30139, Nairobi agree to accept, on the terms and conditions set out above the offer facilities contained in this letter. We enclose our cheque for July interest".

It is thereafter signed by two directors of Kimana Lodge and is dated 25 September 1999. The second plaintiff's board resolutions passed on 25 September 1999, duly certified by its chairman are attached and forwarded to the defendant together with accepted letter of offer. The credit agreement dated 18 November 1999 for the borrowing of US$ 300 000 together with further charge of the suit property were duly approved and sealed, and so were personal guarantees of the first plaintiff, Rajnikant Jashbhai Desai, and Nila Rajnikant Desai. Under clause 1 of the further charge the second defendant committed to pay interest very much like clause 1(*b*) of the charge made on 30 November 1994. The plaintiffs were thus bound to pay the interest in accordance with respective contractual terms which they entered into with their eyes wide open.

This will also dispose the other point that there was no valuable consideration or that the consideration was past for the defendant to enforce its security under the charge and further charge. This is not so. They acknowledge the letter of offer of 22 September 1999 for a current loan of US 300 000-00 and overdraft of KShs 25 000 000 and proceeded to offer a further charge over the suit property. They cannot be heard to say that the consideration was past to defeat the defendant's enforcement of the security.

The fourth issue was the identity and value of the suit property. The first valuation made by Bagaine Karanja Mbuu Limited gave the property on the basis of six separate plots over 2 acres each, and open market value of

KShs 65 million, and a mortgage value of KShs 52 million, without any improvements thereon. A subsequent valuation by Syagga and Associates revealed that there was no matrimonial home in the suit premises, nor was the property sub-divided. The property consisted of natural vegetation. These valuers gave it a value of KShs 24.8 million on open market value, KShs mortgage value of KShs 20.5 million, and a forced sale value of KShs 13 800 000. Without approved sub-division plans and deed plans in relation thereto, it is doubtful the property would attract any of the values set out in the valuation of Bagaine Karanja Mbuu Limited. The negotiated or proposed private offer of KShs 20 million or other higher sum would be as good as any the parties would get for the suit property comprising the two valuations.

The attestation of exhibits was rectified by filing with leave of the Court of the entire replying affidavit of Francis Robert Kinyanjui, sworn on 3 February 2003, and filed on the same day in court. This disposes of the fifth issue. The exhibits now complied with the provisions of the Statutory Declaration Act (Chapter 15) and the rules made hereunder.

The sixth issue was the validity of the notices and whether this particular issue of the matter was now *res judicata*. There were two types of notices. Firstly, there were notices under section 69A of the transfer of property being the three months notice to the plaintiffs before the defendant could exercise its statutory power of sale. In his ruling of 28 August 2003, in Milimini Commercial Courts civil case number 513 of 2003 (OS), *Fina Bank Ltd v Desai* Mwera J said this at page 6 of his ruling:

> "On the issue of notices, the consent order of 3 February 2003 specifically termed the auctioneers notification(s) as defective. Nothing was said of the statutory notice(s) of sale and so it can safely be said that since the bank conceded that the notification for sale (by the auctioneers had been defective), the respondents on their part conceded the statutory notices were valid, hence the consent order being recorded as they were. The respondents cannot be seen to introduce that aspect here now".

I accept this position.

The last, and perhaps most important issue is whether the applicant is entitled to an interlocutory injunction in terms of prayer (*a*) in its plaint filed on 24 August 2001 and prayer 3 of the application dated 24 August 2001 and filed in court on the same day. For the applicant to succeed in its prayer, the applicant must fulfil the principles for granting this relief, as set out in the often cited case of *Giella v Casman Brown and Co Ltd* [1973] EA 358. These principles are:

(i) An applicant must show a *prima facie* case with a probability of success.

(ii) The applicant will suffer irreparable loss unless the injunction is granted.

(iii) When in doubt, the Court will decide the matter on a balance of convenience;

On the first principle that the applicant must show a *prima facie* case with a probability of success, the Court has established that there is a valid charge and further charge on the suit property. The applicants have defaulted in payment. The applicants have made completely untrue unsubstantiated and unfounded averments knowingly designed to mislead the Court that the suit property had a building and other improvements thereon (paragraph 6) of the supporting affidavit of Rajnikant Jashbhai Desai sworn on 24 August 2001, while knowing that the entire suit property had only natural vegetation thereon, and no improvements at all. The applicant had also obtained a loan facility on the basis of

approved sub-division of the suit property whereas there was no such sub-division. The applicant was given an update of accounts to which it has not responded. In any event it is now settled judicial precedent, that a dispute as to amount is not a basis for an injunction to restrain a mortgage from the exercise of the statutory power of sale, and courts will not interfere with the terms of contract as to interest. In the circumstances, I do not think the applicant has any *prima facie* case at all with a probability of success. Will the applicant suffer irreparable loss unless the injunction is granted? I do not think so. The applicant has deposed to a material untruth that the suit property is developed whereas the contrary is the position. By that material misstatement the applicant has attempted to give a value to the suit property which it does not have. The applicant admits owing the defendant a debt which is far in excess of the probable value of the suit property. Assuming however that the applicant may be successful in his suit, could the injury caused by refusal of an injunctive order be compensated in damages. I think so. The defendant appears to be a stable bank, and there is no suggestion that it has used its superior position in any overbearing or oppressive manner against the applicant. The defendant remains a substantial creditor to the plaintiff, and if the plaintiffs were successful in its claim against the defendant the debt or part of it owed to the defendant by the plaintiff could be applied to set off the whole or part of the damages arising from the successful ending of the plaintiff's suit. Until that happens however, the plaintiff remains a debtor to the defendant.

The balance of convenience will for similar reasons tilt in the defendant's favour. Kimana Lodge Limited the principal debtor to which the plaintiff were guarantors and charged the suit property as security to secure the loan and advances to the principal debtor, by the defendants, was placed under receivership, not by the defendants but by another creditor, Delphis Bank Limited and has been under receivership since 10 November 2000. Interest on the defendant's loan is still accruing, and the plaintiffs have made or offered no proposals for payment, and the prospects for the defendant recovering its loan appear to be receding with each day since this application was filed on 24 August 2001. The only sensible thing for the defendant as lender is to cut down its losses and start recovering some money by selling the assets securing the loan and advances. To maintain a *status quo* where the plaintiffs retain both the loan, and the suit property would be patently unjust, and this Court would not be party to it. In the circumstances of the plaintiffs it would not even be prudent to ask them to offer an undertaking to pay the loan and damages in the event of their losing the case. Every prospect suggests that the plaintiff will be unable to raise a bank or such cash deposit in the amount of the debt to secure the defendant if an injunction were granted.

To bring my ruling to an end I would say this, the plaintiff's application dated 28 August 2001 has been a long journey to delay the defendants from recovering the loans advanced to the plaintiff's enterprises called Kimana Lodge Limited. It is an unsuccessful journey. The application is incompetent, and without merit at all. It is dismissed with costs to the respondents, and if there were any interim orders previously granted the same are hereby dissolved.

For the plaintiffs:
Information not available

For the defendant:
Information not available

Dubai Bank Kenya Ltd v Come-Cons Africa Ltd
[2004] 2 EA 55 (CCK)

Division:	Milimani Commercial Courts of Kenya at Nairobi
Date of ruling:	15 June 2004
Case Number:	68/03
Before:	Ibrahim J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Advocate – Affidavits – Failure to endorse name of advocate who drew affidavit – Whether such failure is fatally defective or an irregularity in form – Sections 34 and 35 – Advocates Act (Chapter 16).

Editor's Summary

The plaintiff filed an application seeking summary judgment for a sum of KShs 29 498 862-50. The defendant filed a replying affidavit in opposition to the application and took out a notice of preliminary objection. At the hearing of the application the defendant raised the objection that the verifying affidavit sworn on 10 February 2003 was incurably defective on the grounds that it did not comply with the mandatory provisions of section 35(1) as read together with section 34 of the Advocates Act. The person who drew or prepared or caused to be drawn or prepared the said verifying affidavit did not endorse or cause to be endorsed on the affidavit his name and address or the name and address of the firm of which he was a partner or was employed. The defendant therefore urged that the affidavit be struck out and the suit dismissed. The plaintiff opposed the objection arguing that the failure or omission to endorse the drawer's name on the document goes to form and not the substance.

Held –

Section 34 of the Advocates Act provides for the situation where an unqualified person prepared certain documents or instruments. An affidavit was a document relating to "any other legal proceedings" and therefore covered under section 34(*f*) of the Advocates Act. The verifying affidavit was drawn by a qualified person and therefore no offence had been committed under section 34 of the Act. However, the Advocate who drew the affidavit had committed an offence under section 35(1) of the Act and the plaintiff cannot be punished for the offences of his advocates.

Section 35(1) does not state or express anything about the effect, consequence or validity of a document or instrument which does not bear the name and address of the advocate who drew it whereas section 35(2) does not invalidate or declare such a document or instrument in question to be

defective. In the premises, the omission of advocates name and address on the verifying affidavit was a mere irregularity in form.

Preliminary objection overruled.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Barclays Bank of Kenya Ltd v Orero High Court civil case number 1736 of 2001 – **DA**

Ruling

IBRAHIM J: The plaintiff on 23 October 2003 filed an application by way of a notice of motion under Order XXXV, rule 1, 2 and 3 for summary judgment to be entered against the defendant for a sum of KShs 29 498 862-50, interest and costs. The defendant filed a replying affidavit in opposition to the application and also took out a notice of preliminary objections of law. There were four points of law in the said notice, however, at the hearing of the application the defendant's counsel, Mr *Wandabwa* prosecuted and argued one objection only, namely:

> "That the verifying affidavit sworn on 10 February 2003 is incurably defective on the grounds that it does not comply with the mandatory provisions of section 35(1) as read together with section 34 of the Advocates Act (Chapter 16), Laws of Kenya and should be struck out".

I perused the said verifying affidavit and confirmed that the person who drew or prepared or caused to be drawn or prepared the said verifying affidavit did not endorse or cause to be endorsed on the affidavit his name and address or the name and address of the firm of which he is a partner or is employed.

Section 35(1) of the Advocates Act reads as follows:

> "35(1) Every person who draws or prepares, or causes to be drawn or prepared, any document or instruments referred to in section 34(1) shall at the same time endorse or cause to be endorsed thereon his name and address, or the name and address of the firm of which he is a partner and any person omitting so to do shall be guilty of an offence and liable to a fine not exceeding five thousand in case of an unqualified person or a fine not exceeding five hundred shillings in case of an advocate:
>
> Provided that, in the case of any document or instrument drawn, prepared or engrossed by a person employed, and whilst acting within the scope of his employment, by an advocate or by a firm of advocates, the name and address to be endorsed thereon shall be the name and address of such advocate or firm".

The defendant contends that as the verifying affidavit does not conform to this mandatory requirement, the same is defective and irregular and should be struck out. Consequently, the defendant urges the Court to strike out the plaint as it cannot stand without the verifying affidavit. The defendant referred to a recent decision of this Court in *Barclays Bank of Kenya Ltd v Dr Solomon Otieno Orero* in which Justice Njagi High Court civil case number 1736 of 2001 held as follows:

> "Section 34(1) itself prohibits any unqualified person from drawing or preparing any document or instrument ... 'relating to any other legal proceedings'. An affidavit is a document relating to legal proceedings. It should therefore comply with the requirements of section 35(1) as the endorsement with the name and address of the drawer.

> That was not done in this case and, to that extent, the affidavit falls foul of section 35(1). Both subsections (1) and (2) of section 35 are couched in mandatory terms. Subsection (1) takes such serious cognisance of any omission to obey the dictates of the subsection that it criminalises any such omission. In its turn, subsection (2) takes the issue so equally seriously that it enjoins the Registrar not to accept or recognise any document or instrument referred to in section 34(1) unless if it is endorsed in accordance with this section. Parliament has led the way by demonstrating the gravity with which it views matters under subsection 34 and 35 of the Act. The least we can do is to emulate Parliament by treating these sections with the seriousness they deserve and obey them in observance".

The Judge proceeded to strike out the application which was supported by an affidavit without the aforesaid endorsement.

In response the plaintiff says that the failure or omission to endorse the drawer's name on the document goes to form and not the substance. The plaintiff's counsel invites the Court to invoke the provisions of Orders XVIII, rule 7 and treat the said omission as a mere irregularity as to form and capable of being cured. He said that section 34 and 35 of the Advocates Act deals with unqualified persons who purport to draw documents. That it is a penal section that is intended to punish offenders who purport to draw legal documents when they are not qualified as advocates.

I have very carefully read section 35(1) read together with section 34 of the Advocates Act. The preamble of the Advocate's Act states that it is "an Act of Parliament to amend and consolidate the law relating to advocates". Part VIII of the Act under which sections 34 and 35 fall is headed:

> "Provisions with respect to unqualified persons acting as advocates and offences by advocates".

The provisions or section under Part VIII of the Act deal with the acts or things which cannot be done by an unqualified person and which are the reserve of qualified persons as advocates. The offences and penalties in this regard are prescribed. The offences and penalties for advocates are also prescribed in this part.

Section 34 provides against unqualified person preparing certain documents or instruments. The section stipulates, *inter alia*, as follows:

> "34(1) No unqualified person shall, either directly or indirectly, take instructions or draw or prepare any document or instrument:
>
> (*a*) relating to the conveyance of property; or
>
> (*b*) for, or in relation to, the formation of any limited liability company, whether private or public, or
>
> (*c*) for, or in relation to, an agreement of partnership or the dissolution therefore; or
>
> (*d*) for the purpose of filing or opposing a grant of probate or letters of administration; or
>
> (*e*) for which a fee is prescribed by any order made by the Chief Justice under section 44; or
>
> (*f*) *relating to any other legal proceedings*. Nor shall any such person accept or receive, directly or indirectly any fee, gain or reward for the taxing of any such instruction or for the drawing or preparation of any such document or instrument." (emphasis added)

I have deliberately emphasised subsection (*f*) which refers to preparation of any document or instrument relating to any other legal proceedings. I do agree with

Njagi J in the aforementioned case that an affidavit is one such document or instrument.

What I have now to ask myself even for exclusionary purposes is, was the verifying affidavit in the present case drawn or prepared by or were instructions taken by "an unqualified" person and therefore an offence committed? There has been no allegation or suggestion that the verifying affidavit was drawn or prepared by a non advocate. Apart from the endorsement of the name and address of the drawer, this affidavit looks quite in order in all other respects. It was made and sworn before a Commissioner of Oaths. When I perused the plaint which it accompanies, the same is drawn and filed by a firm of advocates, called "Mohamed and Lethome Advocates. The said firm prepared and drew the plaint and I would be justified to conclude that indeed the verifying affidavit was drawn by a qualified person or advocate. So strictly, no offence has been committed under the provisions of section 34. However, the said advocate failed and omitted to endorse their firm's name and address on the verifying affidavit to show that it was drawn by a qualified person.

If the said advocate or firm of advocates were to be arraigned in court for commission of an offence under section 35(1), without prejudice to his right of presumption of innocence until proven guilty, there is all likelihood that he would be found guilty of the said position and ordered to pay a fine not exceeding a sum of KShs 500.

Would this make the plaintiff herein also guilty of the said omission? The answer is certainly, no. The plaintiff did not draw or prepare the verifying affidavit, it is the advocate who presented the plaint for filing and who drew the same. The plaintiff is therefore an innocent party and cannot be punished for the offences of his advocates under the provisions of the Advocates Act.

From the foregoing, the question that naturally follows is whether the aforesaid omission or failure by the advocates to endorse their name and address on the verifying affidavit make it incurably defective under the provisions of section 35(1)?

With much respect to the decisions of this Court that I have been referred to, I am of the view that the said provision does not state or express anything about the effect, or consequences or validity of a document or instrument which does not bear the name and address of the advocate who drew it.

From a reading of the said decisions, it would appear that section 35(2) may have influenced the minds of the Court in finding that an affidavit with such an omission is fatally defective and incapable of being cured.

The said provision stipulates:

> "(2) The Registrar, the Registrar of Titles, the Principal Registrar of Companies and any other registering authority shall refuse to accept or recognise any document or instrument referred to in section 34(1) unless such document or instrument is endorsed in accordance with this section".

The said provision forbids the Registrar (in this case of the Court) from accepting or recognising any document or instrument in any legal proceedings unless such a document or instrument is endorsed in accordance with section 35(1) of the Advocates Act. This means that the Court registry through the powers of the Registrar could have rejected the filing of the plaint which is accompanied by such an affidavit with the aforesaid omission. In fact strictly the Registrar was required to refuse to accept or recognise the said plaint as long as it was

accompanied by the said affidavit. If the Registrar applied and implemented the letter of the law then the present plaint would certainly not have been filed in court to commence this suit.

Unfortunately, the Court registry did not reject the offending verifying affidavit with or without the plaint and this suit was commenced.

We should view this situation *vis-à-vis* the provisions in section 35(2). In my view from a simple reading of the words in the said provision, I am unable to come to any conclusion that the said subsection invalidates or declares such a document or instrument in question to be defective.

Of course the document should not have been filed in court. It should have been rejected at the counter, so to speak. However, it has not been filed and this suit commenced. Yes, an offence was committed by the said omission, yes, the Registrar failed to enforce the provisions of section 35(2) by not rejecting or refusing the filing thereof. Is the verifying affidavit in the circumstances incurably defective that it should be struck out? Again, with much respect, I do hold that there is no word, statement or stipulation in section 35(1) and (2) that renders an instrument or document with the omission of the endorsement of the name and address of the advocate who drew or prepared, incurably invalid, void or defective. I do accept that the verifying affidavit in its form has omitted a very necessary feature which is expressly stipulated by the law, an Act of Parliament. From a reading of section 34 and 35, the said document made in violation of the law is defective. It should not have been allowed to be filed in the first place in order to ensure that section 35(2) is applied effectively and effectually to remedy the mischief intended by the legislature. It is my opinion that the purpose for which section 35(2) was intended was to discourage or put an end to situations where unqualified persons prepare legal documents in legal proceedings. By making it mandatory that the instruments on legal proceedings are endorsed with the name and address of the drawer, this would make it impossible for an unqualified person to present such documents at the registries and if he did then the law would take its course that is he would be known and caught.

As it is usually stated Parliament is taken to do nothing without reason. In a commentary in *Francis Bennion's* "*statutory interpretation*", (3 ed) and with reference to *Heydon*'s case it is stated at 725.

> "It is presumed that Parliament intended by the enactment to suppress the mischief. The law usually does this by ordering those who perpetrate the mischief to desist; and imposing a penalty if they fail. Once the interpreter has correctly marked out the area of mischief intended to be dealt with by the enactment, he or she can go on to identify the corresponding penalty or remedy. It is further presumed that Parliament did not intend to apply coercive measures going wider than was necessary to remedy the mischief in question".

In another part are the following words:

> "... The Court must endeavour to insure that the remedy provided by Parliament does not set up some other mischief. Clearly Parliament is unlikely to intend to abolish one mischief at the cost of establishing another which is just as bad, or even worse".

I wish to adopt some of these thoughts and principles. In this case, I would like to look at the social and legal mischief intended to be remedied by section 35(2). The intention of his law was intended to enhance section 34 so that

no unqualified person was to either directly or indirectly practice law and this was to be done only by duly enrolled Advocates of the High Court of Kenya.

I do not think that the intention of Parliament was to punish innocent litigants or deny or hinder them access to justice. In this case, the plaintiff a tax payer is permitted by the Registrar of the Court to file its plaint and pay a whooping sum of over KShs 70 000 as filing fees. The document is defective in form but the Registrar does not do his duty by rejecting it before filing and incurring of the said amount in filing fees. The plaintiff is not the drawer of the document, his advocate is. The omission is by the advocate which it retained. The failure or inaction to reject the document at the registry was the Registrar of this very court.

In the circumstances, why should the innocent plaintiff and litigant suffer by having its plaint thrown out for this omission. He is not the intended unqualified person, he is not the advocate or the Registrar. The said section was not intended for the innocent litigant. Accordingly, I am not inclined to accept that the omission herein renders the verifying affidavit a nullity or incurably defective. The need for endorsement was so a clear mischief known to the law. In this case, the drawer is an advocate and the omission due to his error, mistake or otherwise. It is a statutory offence committed by him. The Registrar did not carry out his duty. I find that it would be misconstruing the literal meaning of the words in section 35(2) and the objects of the said legislation. As Bennion sates at 614:

> "It is a principle of legal policy that law should be just, and that court decisions should further the ends of justice. The Court, when considering, in relation to the facts of the instant case, which of the opposing constructions of the enactment would give effect to the legislative intention, should presume that the legislator intended to observe this principle. The Court should therefore strive to avoid adopting a construction that leads to injustice".

I think our parliament intended well when enacting sections 34 and 35. They are good law. However, I cannot read them or apply them to render a vital document like a verifying affidavit belonging to an innocent litigant who has heavily paid for its filing, incurably defective. The purpose of mischief of the provision was not to render the document defective or invalid, *per se*.

In the premises, I hold that in the circumstances of this case, the omission of the advocates name and address on the verifying affidavit was a mere irregularity in form. In exercise of this Court's direction under Order 18, rule 7 and the Court's inherent powers under section 3A of the Civil Procedure Act, the verifying affidavit sworn on 10 February 2003 is deemed to be regulatar and properly filed. The preliminary objection is disallowed with costs to the defendant. The said costs to be paid by the plaintiff's advocates personally in view of the objects of section 35(1) of the Advocates Act.

For the plaintiff:
Information not available

For the defendant:
A Wandabwa instructed by *Langat & Wandabwa Adv*

Equip Agencies Ltd v Credit Bank Ltd
[2004] 2 EA 61 (CCK)

Division: Milimani Commercial Courts of Kenya at Kisumu

Date of ruling: 7 June 2004

Case Number: 1265/02

Before: Emukule J

Sourced by: LawAfrica

Summarised by: A Mwanzia

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[1] Advocate – Client – Ostensible authority – Whether advocate has ostensible authority to compromise a case on client's behalf.

[2] Civil procedure – Review – Consent judgment – Ground upon which a consent judgment may be reviewed – Order XLIV, rules 1, 3 and 4 – Civil Procedure Rules – Section 80 – Civil Procedure Act (Chapter 21).

[3] Mortgage – Chattels mortgage – Whether party may sell movable property situated on a mortgaged property in absence of a specific chattels mortgage or general debenture.

Editor's Summary

The applicant made application under the provisions of Order XLIV, rules 1, 3 and 4, Order XXXIX, rules 1, 2 and 3 of the Civil Procedure Rules and sections 3A and 80 of the Civil Procedure Act seeking various reliefs. It sought review of a consent judgment entered into between its previous advocates and the respondent's advocates, and also sought temporary injunctions to restrain the respondent from selling the piece of land known as land registration number Eldoret Municipality/Block 10/34 including the plant and machinery thereon. In the alternative the applicant sought an injunction restraining the respondent from selling all the plant, equipment, machinery and chattels situated on title number Eldoret Municipality/Block 10/34.

The applicant argued that its previous advocates had entered into the consent judgment without the applicant's knowledge or authority, and that there was an error on the face of the record in that the consent was intended to be recorded on an application thus giving rise to an order and not on the whole suit as happened leading to a decree. Further, the applicant contended that the respondent had not issued a proper statutory notice and that the charge document sought to be enforced was defective for want of compliance with section 108 of the Registered Land Act.

The respondent opposed the application on the grounds that the applicant's previous advocates had ostensible authority to enter into a consent on behalf of the applicant and that the respondent had issued a proper statutory notice which had been acknowledged by the applicant's advocates. The issue of delay was also raised since the consent decree was more than one year old as at the time the applicant filed the current application and further, that the applicant was guilty of inequitable conduct since it had issued cheques for settlement of the decree but which cheques had been returned unpaid.

Held – Advocates were recognised agents of their clients and had ostensible authority to compromise a suit so far as the opponent was concerned – *Waugh v HB Clifford and Sons* [1982] Ch 374, *Chandless-Chandless v Nicholson* [1994] 2 All ER 315 adopted. A consent judgment or order had contractual effect and

could only be set aside on grounds which would justify setting a contract aside. There were no valid reasons to justify the setting aside of the consent decree in this case *Wasike v Wamboko* [1982-88] 1 KAR 625, *Hirani v Kassam* [1952] 19 EACA 131 and *Brooke Bond Liebig v Mallya* [1975] EA 266 followed.

The applicant had not established a *prima facie* case for granting an interlocutory injunction, since the record showed that a statutory notice had been issued and further the charge document had been examined and caused to be duly registered by the Chief Land Registrar as mandated under section 108 of the Registered Land Act (Chapter 300).

In the absence of a chattels mortgage or a general debenture, the respondent had no legal basis for selling plant, machinery, equipment and other chattels situate on the suit property. An injunction would therefore issue restraining sale of such immovable assets.

Application succeeds in part.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Brooke Bond Liebig v Mallya [1975] EA 266 – **F**

Galot and others v Kenya National Capital Corporation [1993] LLR 1628 (CCK) – **AP**

Giella v Casman Brown and Co Ltd [1973] EA 358 – **C**

Hirani v Kassam [1952] 19 EACA 131 – **F**

Kanorero River Farm Ltd and others v National Bank of Kenya Ltd [2001] LLR 1056 (CCK) – **C**

Kenya Commercial Bank Ltd v Kariuki [2001] LLR 1642 (CCK) – **C**

Kimita and another v Wakabiru [1985] LLR 246 (CAK) – **C**

Simiyu v Housing Finance Co of Kenya [2001] 2 EA 540 – **C**

Tropical Food Products International v Eastern and Southern African Trade and Development Bank and another [2001] LLR 1530 (CCK) – **C**

Wasike v Wamboko [1982-88] 1 KAR 625 – **F**

United Kingdom

Chandless-Chandless v Nicholson [1994] 2 All ER 315 – **A**

Channel Ltd v FW Woodworth and Co Ltd and others [1981] 1 All ER 745 – **C**

Purcell v FC Trigell Ltd[1970] 3 All ER 671 – **C**

Siebe Gorman and Company v Principal [1982] LR 185 – **C**

Waugh v HB Clifford and sons [1982] Ch 374 – **A**

Ruling

EMUKULE J: This ruling relates to the application dated 10 March 2004 brought by way of a notice of motion under the provisions of Order XLIV, rules 1, 3 and 3 (I think rule 4) Order XXXIX

rules 1, 2 and 3 of the Civil Procedure Rules, section 3A and section 80 of the Civil Procedure Act and all enabling provisions of the law.

The application was filed under a certificate of urgency and orders were in the first instance granted *ex parte*. The application seeks the orders following:

"(1) Spent

(2) That pending the hearing and final determination of this suit, a temporary injunction do issue restraining the respondentfrom doing any of the following acts or any of them, that is so say advertising for sale, alienating, selling or disposing by public auction or otherwise howsoever, interfering with the applicant's title to or interest in all that piece of land known as title number LR number Eldoret Municipality/Block 10/34 including the plant and/or machinery thereon and all its components.

(3) That this Court does review and set aside the consent judgment entered on 22 January 2003 and all consequential orders and this matter proceed to trial.

(4) That the respondent whether by itself, its servants, agents advocates or auctioneers or any of them or otherwise howsoever be restrained by a temporary order of injunction from doing any of the following acts, or anyone of them, that is to say, from interfering with the applicant's right of possession, advertising for sale, disposing by public auction or otherwise interfering with the ownership of and title to and/or interest in the title number Eldoret Municipality Block 10/34 pending the determination of this suit.

(5) That in the alternative and without prejudice to the foregoing prayers, the Court do issue an injunction restraining the respondent from advertising for sale, by public auction or otherwise howsoever all the plant, equipment, machinery and Chattels currently situated on title number Eldoret Municipality block 10/34, and a further injunction do issue restraining any auction, sale or disposal of the suit land for a period of one year to enable the removal of the said chattels, plant, equipment and machinery.

The application was supported by the supporting affidavit of Divyesh Indubhai Patel sworn and filed on 10 March 2004 and the grounds that:

(I) That there is sufficient reasons for review because:

(*a*) The said consent order was recorded without the knowledge and authority of the applicant.

(*b*) The advocates who recorded the said order were not advocates *per se*.

(*c*) No valid statutory notice has ever been served on the allicant.

(*d*) Whereas the parties herein filed a "consent order" the deputy Registrar erroneously issued a "decree" thereby marking the suit as finalised contrary to the intention of the parties.

(II) That the order was recorded by mistake and by an error apparent on the face of the record in that:

(*a*) The parties did not address themselves to the fate of the chattels, plant and machinery worth KShs 82 000 000 currently situated on the suit premises.

(*b*) The sum of KShs 31 643 469-50 recorded as due to the applicant was not in fact so due, the applicant having to date paid to the defendant the sum of KShs 61 347 516-40 in repayment of the original loan of KShs 25 000 000.

(*c*) The charge document is fatally defective and incapable of taking effect and no statutory power of sale can properly be exercisable thereunder.

(*d*) The plant, machinery and chattels, thought not charged are not provided for in the consent yet the respondent seeks to sell the same;

(*e*) The said consent order in effect gave the respondent a decree for the sum of KShs 25 million whilst not taking away the statutory power of sale contrary to tenor of section 74(3) of the RLA (Chapter 300), (the Registered Land Act) and thereby subjecting the applicant to double jeopardy over the same purported debt.

(*f*) The consent made no mention of the equipment, plant and machinery in the suit premises which is of more value than the charged premises.

The affidavit of Divyesh Indubhai Patel reiterates the above ground and summarise them in paragraph 19 thereof that:

(*a*) No statutory power of sale can arise out of the "charge" document as the same is fataly defective.

(*b*) The applicants are decree holders and cannot enforce both a decree and the statutory power of sale,

(*c*) The charge is null and void and of no effect for non-compliance with the mandatory provisions of the Registered Land Act and the Law of Contract Act,

(*d*) No valid statutory notice has ever been sent.

and adds that these matter were not addressed by the consent order, and that the applicant was to suffer irreparably in the event of sale it would be near impossible to source similar machinery in view of the enormous first cost of the project of KShs 350 000 000. The deponent also lays blame upon their previous advocate who they say had now jumped ship and joined the opposition in a manner of speech.

The application is opposed and in a replying affidavit of Narendra Kumar Agarwal the respondent's Managing Director, the deponent says that the consent was recorded by advocates on record who were duly authorised to do so, and with which order the applicant had partially complied in that the applicant had paid both the respondent's advocate's fees as well as the auctioneer's fees. The applicant had also paid instalments due under the consent order, and further purported to pay off the entire sum due under the consent, but that the cheques issued by the applicant, were returned unpaid or "dishonoured".

The deponent charges that the applicant is not entitled to the remedies it seeks because:

(*a*) It is truly indebted to the respondent, and having admitted that indebtedness, it has returned to court with half truths, unclean hands and in bad faith.

(*b*) That having admitted the indebtedness and having made part payment pursuant to the consent, it is precluded from challenging either the consent or the charge instrument.

(*c*) The defendant has come to court belatedly after part compliance with the terms of the consent herein and well after one (1) year after recording the consent and is therefore guilty of indolence.

(*d*) By its previous conduct of filing numerous applications and/or suits and as admitted by the applicant in those previous applications and affidavits in support the applicant is merely interested in buying time and is abusing the process of court.

(*e*) The present application and the supporting affidavits are unmerited and untenable in law, for *inter alia*, failing to meet the requirements for granting the remedies sought.

(*f*) In any event, compensation in damages would be an adequate remedy, which the respondent being a sound banking institution would be able to meet.

(*g*) In the interests of justice parties should adhere to their contractual obligations and/or obligations under the consent decree/order.

(*h*) That this application is a belated after-thought and fatal attempt by theapplicant to delay the respondent from enforcing its rights.

Central to the determination of issues raised by this application is the nature and substance of both the applicant's claim in accordance with the applicant's chamber summons (application) dated and filed together with the plaint on

20 December 2002, the defence filed by the respondent on 16 January 2003, the replying affidavit of Narendra Kumar Agarwal, the respondents'Managing Director sworn on 15 January 2003 and filed on 16 January 2003, to the subsequent compromises reached in the letter dated 22 January 2003 signed jointly by the applicant's then advocates on record, Cheptumo and Company Advocates and Nyachae and Company advocates, leading to the recording of the consent decree on 22 January 2003 and issue thereof on 26 February 2003.

When Mr *Gichuki King'ara*, counsel for the applicant urged this matter before me on 27 April 2004 he told the Court in as many words that the consent order/decree be reviewed. The applicant had no knowledge of it when it was recorded, counsel for the applicant then did not have authority to and entered into such a consent order without the applicant's authority. Counsel also told the Court that there was an error apparent on the fact of the record, the consent was intended to record a consent in respect of the chamber summons application of 20 December 2002 and not the entire suit, and thus become a judgment leading to the issue of a decree and not an order. Counsel also attacked the decree for not dealing with the issue of the chattels whose value he said was far in excess of the value to the land on which the machinery was situated; and that this fact is acknowledged by the respondent. The applicant's counsel also attacked the charge, for being defective, and not complying with the provisions of section 108 of the Registered Land Act, and that therefore it was null and void. Unless the respondent was restrained the application was open to double jeopardy as under both the charge, and the consent decree, the respondent was at liberty to sell the suit property together with plant, equipment, machinery and the chattels situate on the suit property.

Counsel for the applicant also told the Court that in the alternative, the applicant be permitted to remove the plant, machinery and equipment from the suit premises within one year presumably from the date of the order under this application.

In response to the applicant's counsel's submissions, Mr *Ashitiva*, counsel for the respondent relied upon and reiterated the averments contained in the replying affidavit of Mr Narendra Kumar Agarwal, the respondent's Managing Director, and already referred to above. The conduct of the applicant had not been exemplary. The applicant had partially observed the terms of the consent decree to the extend of even issuing cheques for the payment of the full decretal sum, but for their being dishonoured, this matter would have been finalised. The prayers being canvassed under this application had been canvassed before. The letter containing the terms of the consent decree was signed by both counsel for the applicant and the respondent respectively. The applicant's counsel had authority as a recognised agent of the applicant to negotiate and sign the consent letter in this professional capacity. Having observed the terms of the consent decree, the applicant cannot now be heard to say that his counsel had no authority to sign or that they had no knowledge of the terms thereof. Counsel for the applicant cannot accuse the Deputy Registrar for issuing a decree rather than an order. The consent letter stated that the case be marked as settled thus making the consent letter, a judgment of the Court by the consent of the parties, and issue a decree and not an order.

The issue regarding the defectiveness and therefore legality of the charge had also been previously urged, and had been settled by the consent decree. The

respondent had issued a valid statutory notice dated 7 June 2002, and the same had been acknowledged by Messrs Mackecha and Company Advocates on 19 July 2002 on behalf of the applicant and that the schedule exercise of the statutory power of sale which had been scheduled for 23 January 2003 were regular and lawful in terms of the Registered Land Act and the Auctioneers Rules 1997. The applicant had therefore failed to make out any *prima facie* case entitling him to the injunctive reliefs sought on this leg of the application.

On the alternative prayer, that injunctive relief do issue in respect of the plant, machinery and equipment and other chattels, the respondent's counsel Mr *Ashitiva* in the presence of the applicant's counsel, *Gichuki King'ara*, on 4 May 2004 told the Court that the respondent was willing to give a written undertaking in terms of paragraph 16 of the replying of affidavit of Narendara Kumar Agarwal, sworn and filed on 11 December 2003 in respect of High Court civil case number 773 of 2003 between the applicant and the respondent. Both counsel confirmed that such an undertaking would take away the equipment, plant and machinery from the ambit of the charge, and thus leave the respondent with the liberty to realise its security by sale of the suit property together with other improvements thereon other than the said machinery, plant and equipment.

What has been set out above are essentially the facts and the submissions of counsel on this matter. I will now revert to the law. As stated at outset of this ruling, the application is expressed to be brought under the provisions of Order XLIV, rules 1, 3 and 4 (not rule 3 as stated in the application), and Order XXXIX, rules 1, 2 and 3 of the Civil Procedure Rules and section 3A and 80 of the Civil Procedure Act, and all enabling provisions of the law.

Reference to rule 4 of the said order is because the Judge who passed the decree or order is no longer attached to this Court and the application may be heard by any other Judge who is attached to the Court at the time the application comes for hearing. The decree for review was made by Honourable Mr Justice Ringera (as he then was) who is no longer attached to this Court and hence this Court has jurisdiction to determine this application. Otherwise rule 1 of the said Order provides that:

> 1(1) any person considering himself aggrieved:
>
> (*a*) by decree or order from which an appeal is allowed but from which no appeal has been preferred, or
>
> (*b*) by a decree or order from which no appeal is hereby allowed.

And who desires a review of the decree passed or order made may apply for a review of judgment to the Court which passed the decree or made the order without unreasonable delay:

> (*a*) upon the discovery of new and important matter or evidence, which after the exercise of due diligence was not within his knowledge or could not be produced by him at the time when the decree was passed or the order was made;
>
> (*b*) on the account of some mistake or error apparent on the face of the record; or
>
> (*c*) for other sufficient reason.

Rule 3 thereof says that where it appears to the Court that there is not sufficient ground for a review, it shall dismiss the application, and where it is of the opinion that the application for review should be granted, it shall grant the same, (rule 3(2)). The only proviso is that no review shall be granted on the ground of a new matter or evidence which the applicant alleges was not within

his knowledge, or could not be adduced by him when the decree was passed or order made, except upon strict proof of such allegation.

For the record, the following cases were cited to the Court in support of the application for review by the applicant. They are:

(1) Galot and others v Kenya National Capital Corporation [1993] LLR 1628 (CCK).

(2) Kimita and another v Wakabiru [1985] LLR 246 (CAK).

(3) Tropical Food Products International v Eastern and Southern African Trade and Development Bank and another [2001] LLR 1530 (CCK)

(4) *Simiyu v Housing Finance Co of Kenya* [2001] 2 EA 540.

(5) Kenya Commercial Bank Ltd v Kariuki [2001] LLR 1642 (CCK).

(6) *Wasike v Wamboko* [1982-88] 1 KAR 625.

(7) Kanorero River Farm Ltd and others v National Bank of Kenya Ltd [2001] LLR 1056 (CCK)

These cases concerned the subject at issue here. In *Galot and others v Kenya National Capital Corporation* the issue was whether the Court has jurisdiction to review consent orders and the grounds for interfering with a consent order. The case of *Wasike v Wamboko* also concerned a review of a consent judgment, and so did the case of *Kanorero River Farm Ltd*. For the purpose of the first leg of the applicant's application I shall refer to the holding in *Wasike v Wamboko* from the judgment of Hancox JA at 626 and 628. At 626 he said:

> "It is now settled law that a consent judgment or order has contractual effect and can only be set aside on grounds which would justify setting a contract aside, or if certain conditions remain to be fulfilled, which are carried out".

In *Purcell v FC Trigell* [1970] 3 All ER 671, Winn LJ said at 676:

> "It seems to me that, if a consent order is to be set aside, it can really only be set aside on grounds which would justify the setting aside of a contract entered into with knowledge of the material matters by legally competent persons, and I see no suggestion here that any matter that occurred would justify setting aside or rectification of this order looked as a contract."

That decision was followed in *Channel Ltd v FW Woodworth and Co Ltd* [1981] 1 All ER 745, per Buckley LJ at 571, and in *Siebe Gorman and Company v Principal* [1982] LR 185 per Lord Denning MR at 189 and Everleigh LJ at 191. It seems the position is exactly the same in East Africa. It was set out by Windham J as he then was, and approved by the Court of Appeal for East Africa, in *Hirani v Kassam* [1952] 19 EACA 131 at 134 as follows:

> "The mode of paying the debt, then, is part of the consent of judgment. That being so, the Court cannot interfere with it except in such circumstances as would afford good ground for varying or rescinding a contract between the parties. No such ground was alleged here. The position is clearly set out in *Section ... Judgments and Orders* (7 ed) Volume 1 at 124, as follows:
>
> > '*prima facie* any order made in the presence of and with consent of counsel is binding on all parties to the proceedings or action, and on those claiming under them and cannot be varied or discharged unless obtained by fraud or collusion, or by an agreement contrary to the policy of the Court or if the consent was given without sufficient material facts, or in misapprehension or in ignorance of material facts, or in general for a reason which would enable the Court to set aside an agreement'".

This passage was followed by the same court in *Brooke Bond Liebig v Mallya* [1975] EA 266 at 269 in which Law Ag P said:

> "A court cannot interfere with a consent judgment except in such circumstances as would afford good ground for varying or rescinding a contract between parties".

On the position of the parties advocates, it is not necessary to record in a consent judgment or order that "parties" or "their advocates" consent to the consent judgment or order entered, for the advocates as recognised agents of their clients it will be an unusual situation where a consent judgment or order would be entered into except in the presence of either the parties or their advocates. In *Chandless-Chandless v Nicholson* [1994] 2 All ER 315 at 317 Lord Greene MR stated the universal practice is to record that a judgment or order is by consent, if that be the case, and it is difficult to believe unless demonstrably shown otherwise that the Court would so head the judgment if it were not the case, at least so far as the Judge was aware. Further *Waugh v HB Clifford and sons* [1982] Ch 374 is persuasive authority that a solicitor or counsel would ordinarily have ostensible authority to compromise a suit so far as the opponent is concerned.

Following the words of Hancox JA in *Flora Nasike*'s case I can detect no valid reasons on the record for saying that there exist grounds such as I have referred to which would justify the setting aside of the consent decree as a contract. Following again the edicts of rule 3(1) of the Order XLIV, that where it appears to the Court that there is not sufficient ground for review, it shall dismiss the application. I am of the view that for the reasons given, there are no grounds or sufficient grounds for varying or setting aside the consent decree passed on 22 January 2003 and issued on 26 January 2003 and this part of the applicant's application fails.

This leaves the Court to consider the second substantive leg of the applicant's application, that injunctive reliefs be granted to the applicant's pending the determination of this suit, that is to say, the respondent be restrained from selling by public auction or otherwise, and the respondent's by itself or by its officers, employees, servants or agents, be restrained from selling the suit property (that is to say title number Eldoret Municipality Block 10/34) pending the determination of this suit. From the analysis of the facts of this case and findings above that there are no grounds for reviewing the consent orders herein, the plaintiff has not satisfied the cardinal principles for granting of an interlocutory injunction laid down in the case of *Giella v Cassman Brown and Co Ltd* [1973] EA 358. These are firstly that the applicant must establish a *prima facie* case with a probability of success. Secondly that unless an injunction is granted, the applicant will suffer irreparable loss which will not be sufficiently compensated in damages, and thirdly if in doubt, the Court will decide the matter on the balance of convenience.

Even if the respondent were not a sound lending institution, this is one of those cases where the Court would refuse to grant an interlocutory injunction. The applicant has not made a *prima facie* case with a probability of success. Counsel for the applicant told the Court that the respondent never gave the necessary statutory notice required under the provisions of section 74 of the Registered Land Act. A reading of paragraphs 10 of the defence dated and filed on 16 January 2003 clearly shows that such notice was given. As to whether the charge was defective and therefore unenforceable, I find that the charge on the face of it clearly states that it was an instrument prepared in a manner approved by the Chief Land Registrar in terms of section 108 of the Registered Land Act. Similarly the responsible Land Registrar examined it and caused it to be

duly registered. There are no other grounds for impinging its legality or validity, and therefore enforceability. The applicant's application must also fail in this ground as well.

Finally, there is left to deal with, the applicant application in the alternative, "that without prejudice to the foregoing, injunctive relief do issue in respect of the plant, machinery and equipment and other chattels". On this point, the respondent's counsel told the Court that the respondent was prepared to concede that in absence of a chattel's mortgage it was not entitled to sell the applicant's plant, machinery and equipment and other chattels situate on the suit property that is land. Indeed this is the legal position, for in the absence of such a chattels mortgage or a general debenture, the respondent has no legal basis for selling the said movable and therefore removable assets, on the footing that the land and other improvements on the suit property are adequate if sold at the best price in a forced sale and would satisfy the consent decree. The applicant therefore succeeds on this point, and the respondent is therefore restrained from advertising for sale, by public auction or private contract, the plant, equipment and machinery and other chattels currently installed in buildings stores or other facilities in the suit land and shall issue to the applicant written undertaking in terms that the respondent shall in advertisement of the suit land specifically exclude from such advertisement reference to the sale of the plant, machinery and any equipment and other chattels situate upon the suit land, and shall carry out such advertisement strictly in terms of and in conformity with the contract, charge instrument, decree and all statutory and legal provisions applicable to the intended sale".

There shall be orders accordingly. As each party has on its own peculiar way succeeded in this matter, I order that each party shall bear its own costs.

For the applicant:
G King'ara

For the respondent:
Ashitiva

Haji and others v Abdalla and others
[2004] 2 EA 69 (CAT)

Division:	Court of Appeal of Tanzania at Zanzibar
Date of Judgment:	6 November 2003
Case Number:	71/01
Before:	Lubuva, Munuo and Nsekela JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Appeal – Record of appeal – Decree – Incorporation of a wrongly dated decree in record of appeal – Whether appeal incompetent and to be struck out.

[2] Civil procedure – Appeal – Appeal record incomplete – Whether appeal should be struck out.

Editor's Summary

The appellants had filed a suit in the District Court at Vuga, Zanzibar against the respondents claiming ownership of a house which they claimed to have purchased from one Mgeni Ali. According to the appellants, the respondents had only been allowed to stay in the house as tenants. For the respondents, it was claimed that they had inherited the suit house from their grandmother. The trial District Court decided in favour of the appellants holding that they were the rightful owners of the house.

The respondents were dissatisfied and appealed to the Regional Court at Vuga. The Regional Magistrate allowed the appeal and set aside the decision of the District Court. The appellants thereafter appealed to the High Court Zanzibar which disallowed the appeal. They further appealed to the Court of Appeal of Tanzania.

The High Court Judge had signed the judgment on 12 November 1998 but delivered the same on 23 November 1998. The decree attached to the record of appeal bore the date 12 November 1998.

Held – The non-incorporation in the record of appeal of the extracted decree rendered the appeal incompetent. As a wrongly extracted decree of 12 November 1998 was incorporated in the record, the appeal was incompetent and would be struck out. *National Bank of Commerce v Magongo* [1996] TLR 394; *Salim v Mahmoud* civil appeal number 4 of 1992 and *Euroconsul (Africa) BV v French and Hastings* civil appeal number 20 of 1996 (UR) followed.

Cases referred to in judgment:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Euroconsul (Africa) BV v Frech and Hastings CAT civil appeal number 20 of 1996 (UR) – **F**

National Bank of Commercial v Methusela Magongo [1996] TLR 394 – **F**

Salim v Mahmoud, CAT civil appeal number 4 of 1992 (UR) – **F**

Judgment

LUBUVA, MUNUO AND NSEKELA JJA: This is a straight forward case. However the way in which it was dealt with on appeal before the High Court Zanzibar, is not free from difficulty. This is apparent from a brief outline of the facts giving rise to the appeal.

In the District Court at Vuga, Zanzibar, the Appellants, Juma Steni Haji, Haji Steni Haji, Makame Haji Steni, Habiba Juma Steni, Khadija Hamza Steni and Pili Khamis Mwadini, filed a suit against the respondents claiming ownership of a house which they claimed to have purchased from one Mgeni Ali. According to the appellants, the respondents had only been allowed to stay in the house as tenants. For the respondents, it was claimed that they had inherited the suit house from their grandmother. The trial District Court decided in favour of the appellants holding that they were the rightful owners or inheritors of the house.

The respondents were dissatisfied by the appealed to the Regional Court at Vuga. Allowing the appeal and setting aside the decision of the District Court, the Regional Magistrate held that the respondents were entitled to the disputed house. The appellants unsuccessfully appealed to the High Court, Zanzibar. Hence this appeal.

On 2 May 2002, when the matter was called on for hearing, it transpired that the first appellant, Juma Steni Haji and Haji Steni Haji, the second appellant, had died. It was also brought to the attention of the Court that the third appellant, Makame Haji Steni had not signed the memorandum of appeal which the appellants, four, five and six had duly signed. Adjourning the hearing of the appeal, the Court made the following order:

(i) To await a full bench decision in another matter touching on the status of the present appeal;

(ii) For legal representatives to be appointed for appellants 1 and 2 reported to be dead; and

(iii) For Makame Haji Steni to take necessary steps to join the others as appellants.

In this session of the Court, on 3 November 2003, when again the matter cameup for hearing, the situation had not changed much. The executive secretary to the Wakf and Trust commission had been appointed administrator of the estate of the first and second deceased appellants. In that regard, Mr *Abdulhakhim Ameir*, Learned State Attorney, appeared for the Wakf and Trust Commission. The third appellant, Makame Haji Steni had not yet been formally placed on the record, he had neither signed the memorandum of appeal which the other appellants had signed nor filed any memorandum of appeal.

On the other hand, Mr *Abdulhakhim Ameir*, Learned State Attorney, indicated that he was facing difficulties in representing the first and second deceased appellants in court. He said that the central issue of controversy between the appellants and the respondents was the suit house in respect of which the matter had been taken to court resulting in the appeal in this Court. In the circumstances, it was his view that whichever position he took in the matter on appeal in the Court, he would be taken to have taken sides. For that reason, he prayed to withdraw from representing the first and second appellants in this appeal. According to him, it is better that he remains as the administrator of the estate only.

For his part, Makame Haji Steni, said that because the appellants are family members, he prayed to withdraw from this appeal in order to avoid any further delay in the hearing of the appeal.

In the event, the Court granted Mr *Abdulhakhim Ameir*, Learned State Attorney's application to withdraw from further legal representation in court on behalf of Wakf and Trust Commission for the first and second appellants. Consequently, as no appeal had been instituted since the notice of appeal was filed on 30 November 1998, in terms of the provisions of rule 84(*a*) of the Court Rules 1979 the notice of appeal in respect of the first, second and third appellants, was deemed to have been withdrawn.

Therefore, the ultimate position was that until the time of hearing the appeal, only the appeal in respect of the fourth, fifth and sixth appellants had dully been instituted. As the fourth, fifth and sixth appellants, namely Habiba Juma Steni Hadji Hamza Steni and Pili Hamis Mwadini respectively, together with

Makame Haji Steni on one hand and Mr *Ussi Khamis Haji*, learned counsel for the respondents agreed, hearing of the appeal proceeded in respect of these appellants.

As already indicated, the fourth, fifth and sixth appellants were without the service of counsel. They had nothing substantial to add to their memorandum of appeal. However, differently stated, the essence of their brief statements was to the effect that they left it for the Court to consider their appeal in the light of the law and circumstances of the case. It was their view that the matter had been pending in court for too long without finalisation.

Mr *Ussi Khamis Haji*, learned counsel for the respondents, after considerable prevarication, observed that there were a number of irregularities in the judgment of the High Court. For instance, he said the way in which the judgment of the High Court had been written left much to be desired. According to him, the Learned Judge merely dismissed the appeal without giving reasons for the decision. Secondly, because of glaring irregularities pertaining to the High Court judgment which, it is not clear when it was delivered, Mr *Ussi* took the view that the whole proceedings in the High Court was null and void. He invited the Court to declare the same null and void with direction to remit the matter to the High Court for hearing the appeal by another Judge.

With respect, we think there is merit in the submission by Mr *Ussi Khamis Haji*. From our scrutiny of the record, it is apparent that this, otherwise straightforward case was messed up on appeal in the High Court in a number of aspects which, we think is unnecessary to go into the details at this stage. The pertinent issue at this stage is the competence of the appeal before this Court. It is common knowledge that under the provisions of rule 89(1) of the Court Rules, it is mandatory for the record of appeal to have attached the documents listed therein. On such document is the extract of the decree. In this case, is there a proper extract of the decree attached? As Mr *Ussi* correctly in our view observed, the judgment, as borne out from the record of appeal, at page 67 is problematic. First, it is not clear when it was delivered because at the end of it, it is shown:

> "Dated the 12 November 1998.
>
> Signed W Dourado,"
>
> Judge.

Then curiously, the following is recorded:

> Mr Lusiano,
>
> Judgment will be read on Monday 23 November 1998 at 8:30am
>
> Signed: W. Dourado,
>
> Judge.
>
> Read in the presence of the appellants and Mr Ussi for respondents.
>
> Signed W Dourado,"
>
> Judge.

From this, it is not clear whether the judgment was delivered on 12 November 1998, when the Learned Judge signed the judgment or on 23 November 1998, at 8:30am as apparently directed to Mr Lusiano.

In an effort to satisfy ourselves when the judgment was delivered, we have had occasion to peruse the original record. It is clearly indicated that the judgment was delivered on 23 November 1998. It was also duly signed by the

Learned Judge. So, we take it that the judgment was delivered on 23 November 1998.

With regard to the decree, the notice of appeal and the memorandum of appeal, the date shown are equally confusing. While both the memorandum of appeal and the decree which was signed by the Learned Judge show 12 November 1998 as the date when the judgment, subject of the appeal, was delivered, the notice of appeal shows 23 November 1998. We take it that the decree showing 12 November 1998 which was signed by the Learned Judge is authentic. In that case, it goes without saying that the record of appeal pertaining to the judgment of 23 November 1998, has a wrong attachment of the decree. Namely, it is attached to a decree of 12 November 1998 and not of 23 November 1998.

It is now settled that non-incorporation in the record of appeal of the extracted decree renders the appeal incompetent. In *National Bank of Commercial v Methusela Magongo* [1996] TLR 394, the Court held the appeal incompetent. In part, the Court stated:

> Under rule 89(1)(*h*) of the Court of Appeal Rules of 1979, it is mandatory for the record of appeal to contain copies of the documents listed therein which is the order appealed against.

The Court held similar a view in *Salim v Mahmoud*, CAT civil appeal number 4 of 1992 (UR) and *Euroconsul (Africa) BV v Frech and Hastings* CAT, civil appeal number 20 of 1996 (UR).

In the instant case, as a wrong extracted decree of 12 November 1998, was incorporated in the record, the appeal before us is incompetent. It is accordingly struck out. No order as to costs.

For the appellants:
Abdulhakhim Ameir

For the respondents:
Ussi Khamis Haji

Haule v Republic
[2004] 2 EA 73 (CAT)

Division:	Court of Appeal of Tanzania at Mbeya
Date of Judgment:	2 May 2004
Case Number:	44/04
Before:	Ramadhani, Nsekela and Msoffe JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Murder – Provocation – Whether quarrelling and abuse constitute provocation – Whether person provoked to be convicted of murder or manslaughter.

Editor's Summary

The appellant engaged in an argument with the wife and, according to the daughter, they quarrelled and were abusing each other. It was after the altercation that the appellant picked up a piece of wood

and struck the wife on the head killing her.

The appellant was charged and convicted of murder. He appealed to the Court of Appeal on the sole ground that "in the circumstances of this case, the appellant should have been convicted of manslaughter and not murder. It was the appellant's contention that he was provoked by the deceased.

Held – There was a greater probability that the appellant was provoked from the evidence of the daughter that her parents had quarrelled and abused each other.

Although malice aforethought can be inferred from the amount of force which an offender employs in inflicting fatal injury and also from the weapon used and the vulnerability of the part of body attacked, those factors do not negate the defence of provocation. *Michael alias Tall v R* [1994] TLR 195 and *Nyingo v R* [1995] TLR 178 considered.

The appellant killed on provocation and was therefore convicted of manslaughter and sentenced to imprisonment for five years.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Gandhi and others v R [1996] TLR 12

Michael alias Tall v R [1994] TLR 195 – **C**

Nyingo v R [1995] TLR 178 – **C**

Tarimo v R [1993] TLR 142

Judgment

RAMADHANI, NSEKELA AND MSOFFE JJA: The appellant had been hospitalised for more than two months and upon his discharge he went home where he found his wife, Gerwanda daughter of Joseph Henjewele, the deceased, and his daughter Felista Kevin Haule (PW3). The appellant saw four chickens which he had not left behind when he went to hospital and so he asked the deceased where the birds had come from. The deceased replied "rudely" according to the investigator DC Michael (PW2). Their daughter, PW3, the only witness, said that after that enquiry by the appellant, "they quarrelled, father and mother. They were abusing each other." The appellant himself said "… and she asked me if I could ask for everything [I] ate at home".

It was after that altercation that the appellant picked up a piece of wood measuring 75cm long by 20cm diameter, according to the investigator, PW2, and struck the deceased on the head.

That story satisfied the Learned trial Judge who found the appellant guilty of murder as charged and sentenced him to death. The appellant is aggrieved and hence this appeal in which he was represented by Mr V *Mkumbe*, learned counsel, and the respondent/republic was represented for by Mr *Manyanda*, Learned State Attorney.

Mr *Mkumbe* presented a sole ground of appeal; "in the circumstances of this case, the appellant should have been convicted of manslaughter and not of murder." The learned advocate pointed out that the sole eyewitness, PW3, said that "They were abusing each other" and that the investigator, PW2, said that

he was told by the appellant that there was an exchange of harsh words. The learned advocate said that these harsh words or abuses were not mentioned in court. He pointed out further that words could be provocative as was decided by this Court in *Tarimo v R* [1993] TLR 142. He asked us to find that there was provocation.
In reply Mr *Manyanda* submitted that there was no provocation. He submitted that the only words spoken were those which the appellant himself said that the deceased asked him why he did not ask about everything he ate at home. The Learned State Attorney went further to point out that PW2 merely repeated what he was told by the appellant himself.

The only issue here is whether or not there was provocation. But first of all what is provocation in law?

Section 202 of the Penal Code (chapter 16) provides:

> 202 The "term provocation" means and includes, except as hereinafter stated any wrongful act or insult of such a nature as to be likely, when done to an ordinary person, or in the presence of an ordinary person to another person who is under his immediate care, or to whom he stands in conjugal, parental, filial or fraternal relation, or in the relation of master or servant, to deprive him of the power of self-control and to induce him to commit an assault of the kind which the person charged committed upon the person by whom the act or insult is done or offered.
>
> When such an act or insult is done or offered by one person to another, or in the presence of another to a person who is under the immediate care of that other, or to whom the latter stands in any such relation as aforesaid, the former is said to give the latter provocation for an assault.

In this case there were utterances which the appellant claims to have provoked him. As already said, we have two versions: one, of the daughter, PW3, which does not say much but that her parents abused each other. Then we have the account of the appellant that after he had asked the deceased where she got the four chickens, the deceased retorted whether he, the appellant, that is, had always asked where the food he ate came from. This reply is what made the appellant lose his self-control and hit the deceased. Was such a reply an insult under section 202 quoted above?

According to *Oxford Advanced Learner's Dictionary* (6 ed) 2000, an "insult" is "a remark or an action that is said or done in order to offend somebody." If that is so, then we have no difficulty to consider as "insults" under the provisions of section 202 the so called "harsh words" or "abuses." The question is if the insults are of such a nature likely to deprive the appellant the power of self control and to induce him to commit such assault on the deceased? In short, were the insults provocative?

The litmus test of whether or not an insult was provocative, according to section 202, is the ordinary person who is defined as follows:

> For the purpose of this section the expression "an ordinary person" shall mean an ordinary person of the community to which the accused belongs.

What an ordinary person of the community of the appellant would or would not do is in the province of the assessors. So, that question had to be put to the assessors for a specific determination. Was that done in this case? We are aware of what this Court said in *Gandhi and others v R* [1996] TLR 12.

> The word "may" in section 283(1) of the Criminal Procedure Code (now section 298(1) of the Criminal Procedure Act of 1985 is unambiguous and crystal clear;

> and thus the trial Judge's summing of the case to his assessors is not mandatory, but is prudent as a matter of practice.

It is our opinion that, apart from summing up being prudent, once the Learned Judge has decided to sum up then it should be thorough. In the present case the Learned Judge summed up as follows in relevant places:

> The accused said that he was provoked by the sight of 4 chickens having previous knowledge that his late wife had sexual affairs with one Beatus he reasonably believed that those 4 chickens might have been given to the deceased by the said Beatus. Besides that he was more angered by the reply of the deceased when asked as to where the chickens were from and the answer he got that "you have been eating many other things without asking where they came from, why today ask about the chickens".
>
> Likewise, the learned counsel for the accused have submitted that this Court should admit the defence of provocation so that it could find the accused guilty of a lesser offence that is manslaughter and not murder.
>
> It is now your duty to give me your independent opinion, as to whether you believe from the evidence that the accused maliciously killed the deceased or it was by bad luck as he said, so that he is found guilty of manslaughter.

From the summing up it does not appear to us that the assessors were told what constitutes provocation in law as provided by section 202 of the Penal Code. Again the last paragraph did not charge the assessors with the specific duty of making a finding of whether or not there was provocation, that is, whether that reply by the deceased would have made an ordinary person in the community to lose his self-control and do what the appellant did. Then, the directive of the Learned Judge that the assessors were to make a finding of whether the appellant killed "by bad luck as he said" was, in our opinion, misleading.

The misdirection is clearly manifested, for example, in the muddled opinion of the first assessor, Ms Akwinatha Hyera:

> My Lord, from the evidence, there is no dispute as to the death of the deceased. The accused, by bad luck he was hospitalised for over two months and might have been affected by the drugs, he got at the hospital, on being angered, he could without reasoning cause the death of the deceased. Finally, I leave it to the Court for its decision.

The assessor talks of "being angered", did she find that there was legal provocation and if so, what decision was she leaving to the Court to make? The second assessor, on the other hand, considered the presence of the chickens and he then said "[the appellant] should not have taken the club and beat his wife, he was to refer the matter to the authority." Is that the same as saying that there was no provocation? It would appear that the Learned trial Judge took it to mean so when he said.

> I agree with the opinion of the gentleman assessor that these words spoke by the deceased could not amount to provocation, but were fair comments by the deceased.

If the words spoken by the deceased "were fair comments", as the Learned Judge understood the gentlemen assessor to have said, we ask: why did the gentleman assessor find it necessary for the appellant "to refer the matter to the authority?" Why do you refer a fair comment to authorities?

Besides that the Learned Judge did not at all discuss the opinion of the first assessor who as we have said, found that the appellant was "angered".

It is our opinion that had the Learned Judge properly addressed the assessors on what provocation is and then charged them specifically to make a finding of whether or not there was provocation, the assessors would have come out more

clearly. It is clear to us that there was a great probability that the appellant was provoked from the evidence of PW3 that her parents quarrelled and abused each other and from what the appellant said that the deceased answered him. So, we find that there was provocation.

Mr *Manyanda* referred us to the decision of this Court in *Michael alias Tall v R* [1994] TLR 195 where it was said that malice aforethought may be inferred from the amount of force which an offender employs in inflicting fatal injury. He used that decision as authority for his contention that because of the weapon used by the appellant, the number of times he used it and the fact that he struck the head, the most vulnerable part of the body, then, even if there was provocation, the appellant used excessive force and, so, it was murder.

What this Court said in *Michael* is valid. In fact malice aforethought can be inferred not only from the amount of force used but also from the weapon used, and the vulnerability of the part of the body attacked. However, those factors do not negate the defence of provocation. We said so in *Nyingo v R* [1995] TLR 178.

> Normally the defence of provocation is available in circumstances which would otherwise constitute murder except for the sudden loss of control of oneself as a result of some act which provokes the accused person.

We may add here that by definition killing on provocation is murder which is reduced to manslaughter because of provocation. Section 201 provides:

> 201. When a person who unlawfully kills another under circumstances which, *but for the provisions of this section would constitute murder***,** does the act which causes death in the heat of passion caused by the sudden provocation as hereinafter defined, and before there is time for his passion to cool, he is guilty of manslaughter only.

We can put it in mathematical terms that: killing on provocation is manslaughter and is equal to murder plus provocation.

We find that the appellant killed on provocation and we, therefore, convict him of manslaughter. Taking into account the time he has already spent in custody, it is our opinion that a sentence of a term of imprisonment for five years will meet the justice of the case. It is so ordered.

For the appellant:
Mr Mkumbe

For the respondent:
Mr Manyanda, State Attorney instructed by Attorney-General

Huka and others v Republic
[2004] 2 EA 77 (CAK)

Division:	Court of Appeal of Kenya at Nyeri
Date of Judgment:	7 May 2004
Case Number:	114/03,117/03 and 135/03
Before:	Tunoi, O'kubasu JJA and Onyango Otieno AJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

[1] Crime – Robbery with violence – Accused persons identified – Whether evidence of identification had been properly scrutinised by trial and first appellate courts – Whether first appellate court was justified in taking judicial notice at the time of dawn in that part of the country – Whether other contradictions in the case had been properly analysed.

[2] Criminal Procedure – Appeal – Whether first appellate court had properly scrutinised the evidence – Whether contradictions in the prosecution case had been adequately considered by the first appellate court.

[3] Evidence – Judicial notice – Judicial notice taken as to the time when dawn breaks in a particular season in the locus in quo *– Whether the judicial notice taken as an element necessary for discharge of the burden of proof was appropriate in a criminal case.*

Editor's Summary

The evidence against the three appellants was that they attacked the complainant with the aid of three other persons at 5:30am in the morning. When the complaint was leaving his house in the morning of the next day, he was accosted by the three appellants who robbed him while armed with a knife and injuring his neck and left leg.

Apart from the complainant, the appellants were also identified by an associate of the complainant who responded to the alarm and encountered the appellants, whom he also knew and recognised. A third witness, a watchman from the area, also encountered six people whose faces he saw but did not know their names. Each appellant was later arrested separately and charged with the offence. There were some contradictions about the clothes that the third appellant was wearing, and also about how the knife which was allegedly used in the offence got to the police station.

The appellants were convicted by the trial court. Their convictions were upheld on first appeal to the superior court. An issue was taken regarding the identification of the accused with the appellants argued that it was pre-dawn and dark at the time of the alleged offence. The superior court took judicial notice of the fact that dawn broke early at the *locus in quo*, and proceeded to affirm the convictions. On second appeal:

Held – The first appellate court ought to have examined afresh the evidence of visual identification of the accused to ensure that any possibility of error was eliminated. The Court must act with caution in accepting evidence of identification where it is the main basis of the case against the accused. While recognition is more reliable than identification of a stranger, the Court should take account of the possibility that mistakes in recognition of close relatives or friends can occur. *Wamunga v Republic* criminal appeal number 20 of 1989, *Okeno v Republic* [1972] EA followed; *R v Turnbull* [1976] 3 All ER 549 applied.

The first appellate court ought not to have advanced its own theory by way of judicial notice on the amount of light at the *locus in quo*. *Okale and others v Republic* [1965] EA 555 followed.

There were some contradictions in the prosecution's evidence regarding the clothes being worn by the third accused and the sequence of events in respect of the knife alleged to have been obtained from the scene of the offence. The superior court failed to perform its duty to analyse and resolve this evidence. If the superior court had analysed this evidence, it may have come to a different conclusion on the entire case. The second appellate court cannot undertake that exercise as it can only deal with matters of law. The appeal would therefore be allowed and the convictions quashed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Okale and others v Republic [1965] EA 55 – **F**

Okeno v Republic [1972] EA – **F**

Wamunga v Republic criminal appeal number 20 of 1989 – **F**

United Kingdom

R v Turnbull [1976] 3 All ER 549 – **AP**

Judgment

TUNOI, O'KUBASU JJA AND ONYANGO-OTIENO AJA: These three appeals were heard together. The three appellants, Ahmed Dima Huka, Nuno Ali Jaldesa and Hassan Jatani abdi (we shall refer to all of them in this judgment as "the appellants") were charged in the Senior Resident Magistrate's Court at Nanyuki with the offence of robbery with violence contrary to section 296(2) of the Penal Code. In the subordinate court, Nuno Ali Jaldesa was the first accused. The particulars of the charged were that on the night of 16 and 17 February 2000 at Nanyuki town in Laikipia District within Rift Valley Province jointly with others not before the Court, being armed with an offensive weapon namely a knife robbed Sheikh Abdullahi Mohamed of cash KShs 21 000-00 a jacket, ID card, a plot letter, an Islamic hat and a walking stick all valued at KShs 21 450-00 and at or immediately before or immediately after the time of such robbery with violence wounded the said Sheikh Abdullahi.

The learned Senior Resident Magistrate after hearing the case found the three appellants guilty, convicted them and sentenced each of them to death. In so convicting them, the learned Magistrate stated *inter alia* as follows:

> "From the foregoing therefore, I am satisfied that the prosecution has established beyond a reasonable doubt that the accused in the dock and three others in the dock (*sic*) while armed with a knife which I found to be a dangerous weapon did rob PW6 on 16 February 2000 at about 5:30am of the listed items and during the said robbery his left leg hence sustaining maim as per P3 form produced by PW1. This amounts to an offence under section 296(2) which accused are charged with and I find each of the accused guilty on that offence as charged".

The appellants, being dissatisfied with that decision and of course being dissatisfied with the death sentence, lodged appeals in the superior court, being High Court criminal appeal numbers 330, 301 and 322 of 2003 respectively. Those appeals came up before Juma and Mitey JJ who after hearing the same appeals (which were consolidated and heard together) dismissed the appeals stating in conclusion that:

> "The appellants contended that 5:30am was early in the morning for them to have been identified properly. We take judicial notice that in the month of February and March the sun rises very early in this part of Kenya and we are satisfied that PW2 and PW6 positively identified the appellants. The learned Senior Resident Magistrate

> clearly analysed the evidence before him and directed himself on the issue of the law and we are satisfied that he came to the correct conclusion in convicting the appellants. We therefore dismiss the appeals of the appellants."

The appellants were still dissatisfied and have brought this second appeal.

Although at the time the appeals were heard all the appellants were represented by their learned counsel, Mr *Mukunya*, the three petitions of appeal filed were all filed by the appellants in person and in all of them, the main complaints were that the appellants were not properly identified; that there were serious contradictions in evidence of the prosecution witnesses as to the time when the offence was alleged to have taken place; whether there was enough light for purposes of proper identification and whether a knife exhibit 2 was the knife used by the third appellant against the complainant, Sheikh Abdullahi (PW6) during the robbery.

In brief facts of the case were that the complainant, Sheikh Abdullahi (referred to in this judgment as Abdullahi), operates a butchery in Laikipia town. On 15 February 2000 he was with the accused persons until evening. On 16 February 2000, he left his house at 5:30am. He had KShs 2 000-00 in his coat. As he left the house, Ahmed Dima Huka held him up. Nuno Ali Jaldesa pulled off his coat and he saw Hassan Jatai go towards him with a knife. There were three other robbers with the appellants. As he was held, the others including one Hassan Nguyo (still at large) joined the three in attacking him. Nguyo squeezed his neck and Hassan Jatani stabbed him with a knife on the left leg at the thigh. The six people (the three appellants plus three others) took whatever they wanted and went away. Abdulahi raised alarm and members of the public responded. He was taken to the hospital. Hussein Nguyo Abdi (PW2) (referred to hereinafter as Abdi) who was earlier on with Abdullahi but had passed through the butchery and was therefore not with Abdullahi at the time of the robbery heard his screams, closed the butchery and ran towards the source of the screams. As he took a corner, he met with six people running away. He knew the same people who included the three appellants. They were in the same dresses they had in court during the trial when Abdi gave evidence. Abdi took the complainant, Abdullahi to the hospital. Francis Mwangi (PW3), a watchman in the vicinity, also responded to the alarm. He met with six people and saw their face but he did not know their names. Later, each appellant was arrested at a different place on different dates after the robbery. Fatuma Mohamed (PW7) identified the knife allegedly used in the robbery as a knife taken from her butchery by the third appellant.

The above were the brief facts of this case. It will be noted from the same facts that only Abdullahi, the complainant, witnessed the robbery on him. Abdi said he met people running. That was at 5:30am and they were six people. Francis Mwangi also met six people at that time. Fatuma Mohamed says the knife she was shown in court was from her butchery and was usually carried by the third appellant. It will also be noted, that none of the appellants were found in possession of any stolen items. All these meant that in law, the subordinate court had to properly analyse the evidence before it and decide on whether each or any of the appellants was properly identified before a conviction could be entered. This is trite law and whether the Court is dealing with a case of recognition, as Abdullahi and Abdi seem to imply by their evidence on record, still the Court has to examine the evidence of visual identification in a criminal

case very carefully to ensure that any possibility of error is eliminated. In the case of *Wamunga v Republic* criminal appeal number 20 of 1989 at Kisumu, this Court stated as follows:

> "We now turn to the more troublesome part of this appeal namely the appellant's conviction on counts 1 and 2 charging him with the robbery of Indakwa (PW1) and Lilian Adhiambo Wagude (PW13). Both these witnesses testified that they recognised the appellant among other robbers who attacked and robbed them what we have to decide now is whether that evidence was reliable and free from possibility of error so as to find a secure basis for the conviction of the appellant. Evidence of visual identification in criminal cases can bring about miscarriage of justice and it is of vital importance that such evidence is examined carefully to minimise this danger. Whenever the case against a defendant depends wholly or to a great extent on the correctness of one or more identification of the accused which he alleges to be mistaken, the Court must warn itself of the special need for caution before convicting the defendant in reliance on the correctness of the identification. The way to approach the evidence of visual identification was succinctly stated by Lord Widgery CJ in the well known case of *R v Turnbull* [1976] 3 All ER 549 at 552 where he said:
>
> > 'Recognition may be more reliable than identification of a stranger; but even when the witness is purporting to recognise someone whom he knows, the jury should be reminded that mistakes in recognition of close relatives and friends are sometimes made'".

In the same way the superior court, on hearing the appeal as a first appellate court had a duty to analyse the evidence that was before it, evaluate it and draw its own conclusion always bearing in mind that it did not have the opportunity to see the demeanour of the witnesses and giving allowance for the same. In the case of *Okeno v Republic* [1972] EA this Court held *inter alia* as follows:

> "(vi) It is the duty of a first appellate court to reconsider the evidence, evaluate it itself and draw its own conclusion in deciding whether the judgment of trial court should be upheld".

In this case the robbery is alleged to have taken place at 5:30am. In fact, even this evidence as to time is also contradicted as Mirichu Ndonga (PW1) clinical officer Nanyuki Hospital who examined Abdullahi said in cross-examination by third appellant.

> "I attended the patient at 5:30am".

That in effect means that if Mirichu Ndonga's evidence is accepted then the robbery could have taken place much earlier than 5:30am.

However, assuming it was at 5:30am it was according to Abdullahi still dark and electric light was being used. The appellants maintain it was still dark. The superior court did not resolve that contradiction. Instead it added to it by advancing its own theory so that there was sufficient light at 5:30am. In our view, this robbery offended the settled law found in the case of *Okale and others v Republic* [1965] EA 55 which discourages courts from putting forward theories not canvassed in evidence or in counsels' speeches. The superior court had to analyse the evidence adduced in the subordinate court and make a finding on its own as to the time when the robbery took place and further make a finding whether in its opinion the circumstances were favourable for proper identification. To do so it had to find whether Abdi was correct when he maintained that there was enough light at the time of the robbery or whether Abullahi was right that at the time it was so dark that electric light had to be on for proper visibility. This was important as the complainant, Abdullahi and Abdi, are the only two witnesses who claimed to have recognised the appellants that early

morning. Secondly, there were also contradictions in evidence in dresses which the robbers wore at the time of the robbery. Abdi said.

> "The accused were dressed as they are now (first accused with a green jacket, checked shirt, second accused greenish short sleeved jacket and third accused a T-shirt)".

And Francis Mwangi said in answer to cross-examination by the third accused.

> "You are not dressed in the clothes you had that day as that day you had a jacket and you now have only a long sleeved T-shirt".

The third contradiction in the prosecution case was on whether or not an identification parade was organised for any of the appellants. Abdullahi said in cross-examination by Nuno Ali Jaldesa as follows on this aspect:

> "The second accused and third accused declined to participate in the parade but you did and I picked you out".

Whereas number 42741 PC Wekesa (PW11) who investigated the case stated in answer to Ahmed Dima Huka as follows:

> "The three of you declined to participate in a parade which was to be conducted by Deputy OCS IP Musenye claiming PW6 already knew you".

The above is just some of the contradictory evidence in this case as concerns identification which the superior court had a duty to analyse and resolve but which in our humble opinion it did not. As this is a second appeal, we cannot undertake the same exercise here as ours is to consider only matters of law and not matters of fact. We feel, however, that if the superior court had analysed the same, it may very well have come to a different conclusion on the entire case. In any case the appellants were prejudiced by the failure of the superior court to resolve the same contradictions on appeal.

Before we conclude this judgment, there is another matter which we need to consider also which though not on identification as such, but is connected to it as it helped the subordinate court decide on the veracity of the prosecution witnesses. This was the handling of the knife Exhibit 2. As we have stated, Fatuma Mohamed identified the knife to be a knife from her butchery which the third appellant used to have. However, Abdullahi says he took the knife to the police station after coming from hospital without stating where he got the knife from. Whereas the superior court dismissed the appeal on the ground among others that the knife was found at the scene of the robbery, Abdi in answer to the third appellant stated:

> "The knife which had been left behind was collected by the watchman whose name I do not know and is the one who also handed it to the police".

The only watchman called as a witness was Francis Mwangi and he never talked of having taken the knife to the police.

This contradictory evidence was also not subject to proper analysis by the superior court so as to establish whether the knife in question could be connected to the third appellant or not.

As we have stated, we cannot undertake the same exercise here but we do feel, if evidence about the knife exhibit 2 was analysed by the superior court as is required in law, that court may have come to different conclusion.

The Learned State Counsel, Mr *Orinda*, did not oppose this appeal, and with respect, we agree with him.

In the result, this appeal is allowed, conviction in each is quashed and sentences set aside. The appellants are set free forthwith unless otherwise lawfully held.

For the appellants:
Mr SN Mukunya instructed by *Kagondu & Mukunya Adv*

For the State:
Mr Orinda State Counsel instructed by Attorney-General

Kabebe v Makau and another
[2004] 2 EA 83 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	22 April 2004
Case Number:	1222/99
Before:	Ochieng AJ
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Affidavit – Jurat – Jurat not stating where affidavit sworn – Whether omission fatal – Section 5 – Oaths and Statutory Declarations Act (Chapter 15) – Rule 10 – Oaths and Statutory Declarations Rules.

[2] Amendment – Leave to amend –Plaint amended without leave – Whether entire suit liable to be struck out.

Editor's Summary

Before the commencement of the trial of the suits the first and third defendants raised preliminary objections to the suits on grounds, *inter alia*, that one of the suits was based on a plaint that was amended without leave of the Court and that the affidavit in support of the plaintiff's originating summons was incurably defective because the jurat did not state where the affidavit was sworn. They asked the Court to strike out the two suits.

Held – Although the plaintiff amended his plaint in the first suit without leave of the Court the main suit would remain alive and only the amendments would be struck out. Section 5 of the Oaths and Statutory Declarations Act and rule 10 of the Oaths and Statutory Declarations Rules requires that the place where an affidavit is sworn be indicated in the jurat.

The embossment of a commissioner for oath's rubber stamp showing "Nairobi" is not in compliance with rule 10 because that only shows the commissioner's postal address.

The omission in the jurat to state where the affidavit was sworn is not fatal and the Court has a discretion to allow an affidavit notwithstanding the omission. The Court may in some instances direct that the affidavit be re-sworn. *DB Shapriya and Company Ltd v Bish International BV* [2002] 1 EA 47 considered, *Amira (K) Ltd v National Irrigation Board* [2001] 2 EA 333 approved, *Odongo v National Social Security* [1999] LLR 1024 (CCK).

The preliminary objections were dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Amira (K) Ltd v National Irrigation Board [2001] 2 EA 333 – **APP**

DB Shapriya and Co Ltd v Bish International BV [2002] 1 EA 47 – **C**

Narok Transit Hotel Limited and another v Barclays Bank of Kenya Ltd [2001] LLR 852 (CCK) – **C**

Odongo v National Social Security [1999] LLR 1024 (CCK) – **AP**

Ruling

OCHIENG AJ: The hearing of the consolidated suit was listed before me on 10 March 2004. However, before the trial commenced, the parties agreed that it would be logical for the first and third defendants, (the applicants) to first canvass their preliminary objection.

By a notice of preliminary objection dated 10 December 2003, the said first and third defendants had put the plaintiff on notice about preliminary objection. This decision is thus in relation to the preliminary objection, which was in the following terms;

> "Take notice that the first and third defendants herein will raise a preliminary objection to the hearing of these two consolidated suits and pray that same be struck out or dismissed with costs on the following grounds:
>
> 1. That the first suit namely High Court civil case number 963 of 1997 is based on a plaint that was amended without leave of the Court.
> 2. That the land which is the subject matter of the claim in the first suit does not exist.
> 3. That the second suit namely High Court civil case number 1222 of 1999 (OS) is based on a lie as can easily be gleaned from Exhibits LK3 and LK4 annexed to the plaintiff's affidavit dated 15 June 1999 in support of the originating summons, and secondly from Exhibits NM4 and NM5 annexed to the first defendant's affidavit in reply thereto dated 27 September 1999.
> 4. That in any event the plaintiff's said affidavit dated 15 June 1999 in support of his originating summons is incompetent, null and void in that it is incurably defective as it does not comply with the requirements of the Oaths and Statutory Declarations Act (Chapter 15) of the Laws of Kenya".

I will consider each of the grounds of the preliminary objection, in turn.

1. *Lazaro Kabebe v Ndege Makau and Silas Njogu Mariano* High Court civil case number 963 of 1977 was filed on 4 May 1977. The Court records also have an amended plaint which was filed in court on 16 May 1991.

The applicants contend that the plaintiff did not obtain the leave of the Court to amend the plaint. The plaintiff concedes that the amendment was effected without the leave of the Court.

Pursuant to the provisions of Order VIA, rule 1(1), the plaint could have been amended without leave before the pleadings were closed. Once the pleadings were closed, the plaint could only be amended with leave of the Court. As

the amendments were effected without the requisite leave of the Court, the same are hereby struck off the record. However, the striking out of the amended plaint does not have any adverse impact on the plaint which was filed on 4 May 1977. In other words, the plaint is still validly in place, and the plaintiff would be entitled to prosecute it. The only time when the striking out of an amended plaint would dispose of the suit is when the said amended plaint was valid; In other words, if the amended plaint was either filed before close of pleadings, or otherwise if it was filed with leave of the Court. This preliminary objection is overruled.

2. *Lazaro Kabebe v Ndege Makau and Anjelo Naibu Mugo* High Court civil case number 1222 of 1999 (OS).

It is the defendants submission that this suit was filed with an incurably defective supporting affidavit. The said affidavit is said to have failed to meet the requirements of the Oaths and Statutory Declarations Act (Chapter 15) of the Laws of Kenya. In particular, it is faulted for failing to conform to the form of jurat, set out in the third schedule of that statute.

Rule 10 of the Oaths and Statutory Declarations Rules stipulates that the forms of jurat shall be those set out in the third schedule. Thereafter, the third schedule sets out the form, as follows:

> "Sworn before me
>
> Declared
>
> This ……. day of …19 … at …….
>
> Commissioner for Oaths".
>
> The plaintiff's affidavit in this suit has the following form of jurat:
>
> "Sworn by Lazaro Kabebe on the 15 June 1999, in the presence of".

The jurat is then embossed by the rubber stamp of the Commissioner for Oaths, Kirti Chunilal Shah, whose postal address is shown as PO Box 45839, Nairobi.

There is no doubt that the affidavit does not have the form of jurat set out in the third schedule, and for that reason, the defendants pray that it be struck out.

I note that the main flaw in the jurat is the failure to disclose the place at which the affidavit was made. It is to be emphasised that whilst it is embossed with a "rubber stamp" which bears the name "Nairobi" on it, that merely defines the postal address of the Commissioner for Oaths. The said reference does not in any way indicate that the affidavit itself was sworn before the Commissioner for Oaths, when he was at Nairobi. Even if the affidavit had been sworn before the same Commissioner for Oaths when he was at Thika or Mombasa, the address of the Commissioner for Oaths would have remained the same.

The provisions of section 5 of the Oaths and Statutory Declarations Act stipulates that:

> "Every commissioner for Oaths before whom an oath or affidavit is taken or made under this Act shall state truly in the jurat or attestation at what place and on what date the oath or affidavit is taken or made".

Thus by failing to state in the jurat where the plaintiff's affidavit was made, the said affidavit offends the provisions of section 5. For that reason, the defendants have asked the Court to strike it out. On the other hand, the plaintiff asks me to treat the omission as a mere procedural defect, which does not invalidate the affidavit.

In the case of *DB Shapriya and Company Ltd v Bish International BV* [2002] 1 EA 47 at 49 Ramadhani JA expressed himself thus:

> "I have surveyed the affidavit of Kishor Shapriya and it is glaringly evident that the jurat does not disclose the place where the affidavit was made. Admittedly, there is a rubber stamp impression of Mr EI Moamry, learned advocate, which has 'Dar-es-Salaam' on it. The rubber-stamp impression reads; 'said HEI Moamry Advocate Notary Public and Commissioner for Oaths, Dar-es-Salaam'.
>
> This is on all fours with the *Narok Transit Hotel Limited and another v Barclays Bank of Kenya Ltd* [2001] LLR 852 (CCK). The Learned Judge, Otieno J found the affidavit to contravene section 5 which is in *pari materia* with our section 8 Professor Fimbo invited me not to be persuaded by that authority which he regarded to be bad law because it omitted to discuss the purpose of section 5. He submitted that the purpose is authenticity that the deponent was actually sworn. According to Professor Fimbo authenticity could be achieved by the rubber stamp impression. So, to him the omission is trivial.
>
> But as I have said above the requirements to be contained in an affidavit have all to be observed to make it authentic. Here that has not been the case. It is not for the deponent to pick and choose what is and what is not important".

On my part, I do not think that the yardstick for determining the fate of the deficient affidavit is whether the omission is trivial or important. I also believe that it is sufficient for the Court to take cognisance of the fact that it is a requirement of the substantive statute. Parties ought therefore to accept it as such, whether they deem it to be trivial or important.

In the *DB Shapriya* case (*supra*), Ramadhani JA upheld the preliminary objection against the use of the defective affidavit. The law report did however not indicate whether the application itself was either struck out or dismissed by Ramadhani JA.

In the case of *Amira (K) Ltd v National Irrigation Board* [2001] 2 EA 333, Mwera J declined to strike out a plaint that was supported by a verifying affidavit which did not state, in the jurat, where the affidavit had been sworn. He granted leave to the plaintiff to rectify the verifying affidavit.

In this case, the plaintiff relied heavily on the decision by Ringera J, in *Odongo v National Social Security* [1999] LLR 1024 (CCK). In that case the Court expressed itself thus:

> "Speaking for myself, I am in respectful agreement with Commissioner Visram, that by virtue of Order XVIII, rule 7 of the Civil Procedure Rules, the Court has discretion to overlook any irregularity in the form of jurat of an affidavit filed in any proceedings before it.
>
> The words of the rule are plain enough. This view of the matter is fortified, if fortification is necessary, by what the learned editors of Halsbury's Laws of England (3 ed) Volume 14, state in paragraph 847. Citing authority, they propounded that:
>
> > 'The parties cannot waive irregularities in the form of a jurat, but where the place of swearing is omitted, the Court may possibly assume that the place was within the area in which the notary before whom it was taken was certified to have jurisdiction and the irregularity, may be overlooked'.
>
> From the above commentary, it would appear as if the mischief sought to be cured by the rule in England was the need to state the place where an affidavit was taken, was the possibility of taking of affidavits by commissioners or notaries outside their area of jurisdiction. That sort of mischief would not appear to be real in a case such as the present one where the affidavit is clearly taken in Kenya by a Kenyan Commissioner of Oaths, for the reason that section 4(1) of the Oaths and Statutory Declarations Act

empowers a Commissioner for Oaths to administer an Oath or taken an affidavit in any part of Kenya".

I find the reasoning of Ringera J to be wholly sound, and I do adopt it herein. I therefore conclude that whereas the omission in the jurat is obvious, the same is not fatal. I do accept the affidavit pursuant to the discretionary power donated to this Court by the provisions of Order XVIII, rule 7. Thus, notwithstanding the defect in the jurat, I do receive the affidavit of the plaintiff, for use in this suit. I have decided to exercise my discretion in this manner as I hold the considered view that the acceptance of the affidavit does not occasion any prejudice to the defendants. And whereas, I may in some instances be more inclined to direct that the affidavit be re-sworn and filed within a stipulated period of time, I think that in the circumstances of these old cases, in which the defendants only raised the preliminary objection at the eleventh hour, it is best that no more time be lost. One case was filed in 1977, and the second one in 1999, and after the parties had agreed on the statement of issues to be placed before the trial court, and when the trial was set to commence in December 2003, the defendants raised this preliminary objection. I do not think that the timing of the said preliminary objection speaks favourably of the defendants' desire to have the cases proceed expeditiously. This preliminary objection is overruled.

3. Subject matter non-existent (?) The defendants have asserted that the land which is the subject matter in *Lazaro and Silas Njogu v Ndege Makau and Silas Njogu Mariano* High Court civil case number 963 of 1977 does not exist.

However, much as that preliminary objection was cited by the defendants, they did not canvass the point before the Court. The said preliminary objection is thus overruled.

4. *Lazaro Kabebe v Ndege Makau and Anjelo N Mugo* High Court civil case number 1222 of 1999 (OS) "is based on a lie".

In order to advance his submissions to support this preliminary objection, the defendants counsel, Mr Ngare, said that the plaintiff had not been on the suit property for an uninterrupted period of 12 years. He then started narrating the history of the plaintiff's occupation, in an endeavour to make his point. However, Mr *Ndege*, advocate for the plaintiff raised an objection to that line of submissions. He said that the defendant's advocate was precluded from adducing evidence from the bar. He emphasised that it was not permissible for evidence to be led on an issue that was raised as a preliminary objection, because the proper place at which evidence ought to be given was at the trial.

The defendants advocate insisted that he was entitled to put forth, before the Court, such material as was necessary. He contended that his right to put forward such material was founded upon the fact that he was an officer of the Court.

At that point in time, I did make a ruling on the following terms:

> "A preliminary objection ought to be founded strictly on the law or material which is apparent on the face of the record. It would be improper for any party raising a preliminary objection to seek to adduce evidence before the Court. Therefore the objection by the plaintiff is upheld.
>
> The defendants are directed to limit their preliminary objection accordingly."

I then invited the defendants advocate to proceed with his preliminary objection, within the limits set out in my ruling. However, he then indicated that he had finalised his said preliminary objection.

In my considered opinion, the defendants did not make out any substantive material upon which the Court could determine whether or not this originating summons was based on a lie. Therefore this preliminary objection is overruled.

Accordingly, I have overruled all the four (4) grounds of preliminary objection that were raised by the defendants. The plaintiff shall have the costs of the said preliminary objections.

The parties are hereby directed to make haste in setting down for trial, these consolidated suits. And the registry is requested to facilitate an expeditious disposal of the suits, by allocating hearing dates on a priority basis.

For the plaintiff:
Mr Ndege instructed by *S Ndege & Co*

For the defendants:
Information not available

Kafuku and others v Nsanjo Multipurpose Agricultural Marketing Primary Co-operative Society Ltd
[2004] 2 EA 88 (CAT)

Division:	Court of Appeal of Tanzania at Mwanza
Date of Judgment:	19 August 2003
Case Number:	17/00
Before:	Ramadhani, Mroso and Munuo JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Administrative law – Procedure for expulsion of member of co-operative society.

[2] Co-operative Society – Membership – Expulsion of members – Principles of natural justice – Whether members lawfully expelled from co-operative society – Section 47(1) Co-operative Societies Act, Rules 15(a), (e) and 16(c) Co-operative Societies Rules.

Editor's Summary

The appellants sued the respondent in the High Court for special damages for being expelled from membership of the respondent co-operative society. The appellants had been expelled by a resolution of an ordinary general meeting for holding illegal meetings with intent to break up the respondent society. Evidence led showed that the appellants had organised an illegal meeting which enlisted 170 people out of whom only 50 were genuine members and the rest fake members. The applicants had been availed an opportunity to defend themselves at the general meeting though they did not do so. They claimed TShs 1 326 939 membership contribution to the respondent society.

The High Court dismissed the appellant’s case and they appealed to the Court of Appeal on grounds that the Learned Judge erred in holding that the appellants were lawfully expelled and that the Learned Judge erred in holding that the applicants had failed to prove their case on balance of probability.

Held – The expulsion of the appellants from the respondent society was lawful because the appellants contravened section 47(1) of the Co-operative Societies Act, rules 15(*a*), (*e*) and 16(*c*) of the Co-operative Societies Rules and by-laws 14(*a*) of the respondent's 1993 by-laws.

The appellants were given a hearing before they were expelled from the society and therefore no principles of natural justice were compromised or breached by the respondent society.

Appeal dismissed with costs.

No cases referred to in judgment

Judgment

RAMADHANI, MROSO AND MUNUO JJA: In civil case number 5 of 1998, the present seven appellants sued for:

(i) TShs 18 886 000-00 special damages for loss of tobacco profit;

(ii) TShs 1 326 939-00 membership contribution to the defendant co-operative society;

(iii) Interest;

(iv) Costs; and

(v) Any other relief deemed fit by the Court.

The defendant denied the claim. The High Court, before Mchome J dismissed the suit with costs giving rise to the present appeal.

The appellants were, until 28 December, 1996, members of Nsanjo Multipurpose Primary Co-operative Society Limited. On the material date they were expelled from the respondent co-operative society by a resolution of an ordinary general meeting for holding illegal meetings with intent to breakup the respondent society. Dissatisfied with the termination of their membership, the appellants sued the defendant society for special damages, interest on the principal sum and costs of the suit.

Although the appellants did not seek restoration of their membership, they did complain that they were condemned unheard which is contrary to the rules of natural justice.

Mr *Mtaki*, learned advocate, represented the appellants. The respondent was represented by Mr *Kayaga*, learned advocate. Counsel for the appellants filed three grounds of appeal namely:

1. That in view of the testimony of the respondent's witness, one Mashaka Masudi Mpongwe (DW2) that she did not know the grounds for the expulsion of the appellants from the respondent co-operative society, the Learned Judge erred in law in holding that the appellants were lawfully expelled.
2. That on the evidence on record, the Learned Judge erred in holding that the appellants had failed to prove their case on the balance of probabilities.

On ground one of the appeal, counsel for the appellants contended that DW2 Mashaka Masudi Mpongwe, supported the applicants case that they were condemned unheard and that the Learned Judge ought not to have dismissed the suit. He pointed out that DW2 attended the general meeting in question but she did not know why the appellants were expelled which implied that the appellants were not accorded a hearing before being expelled from the society.

In that regard, Mr *Mtaki* maintained, the Learned trial Judge should have held that the termination of the appellants' membership from the respondent co-operative society was unlawful. Counsel for the appellants also faulted rule 16 of the co-operative societies rules, government notice number 408 of 1991 which deals with the termination of membership without prescribing the procedure of expelling members. Rule 16 of *Gazette* notice number 408 of 1991 provides:

> "16 Save as is provided by paragraph (2), a member may be suspended or expelled:
>
> (*a*) …
>
> (*b*) …
>
> (*c*) For any action which may be held by the committee and or *a general meeting to be dishonest* or contrary to the stated objects of the co-operation." (emphasis mine)

Submitting on ground two of the appeal, Mr *Mtaki* contended that the appellants were not given a hearing before being dismissed from the respondent society so the termination was illegal and in contravention of the principles of natural justice which rendered the expulsion a nullity. We note however, that Mr *Mtaki* sought no order for restoration of membership in the respondent society.

As for ground three of the appeal, counsel for the appellants contended that the latter established their case on the balance of probabilities so the Learned trial Judge erred in dismissing the suit. He faulted the trial Judge for not considering Exhibit P8 which supports the appellants claim. Mr *Mtaki* prayed that the appeal be allowed with costs.

Mr *Kayaga*, learned advocate, supported the decision of the High Court and urged the Court to uphold the same. He expressed doubt on the credibility of DW2 who did not focus on the meeting, counsel for the respondent contended, which is why her testimony should not be accorded any weight. Counsel for the respondent stressed that the appellants were lawfully expelled because they convened an illegal meeting in an attempt to break the respondent society. The illegal meeting, he stated, enlisted 170 people out of whom only 50 were genuine members, the rest were fake members and they constituted the majority. He further argued that the provisions of rule 16 of government notice number 408 of 1991 was fully complied with so the termination of the appellants was lawful. He also observed that under section 47(1) of the co-operative Societies Act number 15 of 1991, every member of the society is bound by the provisions of Act number 15 of 1991 and the by-laws enacted thereunder. It is the contention of Mr *Kayaga* that the appellants were expelled under the regulations of the respondent society, namely regulation 11(*e*) and 21(i)(ii) of the respondent's 1993 regulations, a copy of which was annexed to the respondent's list of authorities. Counsel for the respondent insisted that the appellants were availed an opportunity to defend themselves at the general meeting which expelled them so no principles of natural justice were contravened.

Responding to ground three of the appeal, Mr *Kayaga* contended that the evidence adduced by the appellants failed to prove the claim on the balance of probabilities which was why the trial Judge correctly dismissed the suit with costs. Counsel observed that under section 71(*a*) of the Co-operative Societies Act number 15 of 1991, only members could get loans from the society. Section 71(1) of Act number 15 of 1991 provides:

"71(1) A registered society shall not make a loan to any person other than a member."

Contending that the appellants failed to prove the TShs 18 886 000-00 special damages they claimed, Mr *Kayaga* submitted that having been expelled from the respondent society, the appellants no longer qualified for loans for farm inputs. With regard to the refund of contributions by the appellants to the *Jichangie Mwenyewe* fund, counsel for the respondent stated, the *Jichangie Mwenyewe* contributions of the appellants totalled only TShs 619 911-00 as shown in members register, Exhibit D11. Under the circumstances the respondent's counsel prayed that the appeal be dismissed with costs.

It appears to us that there are two issues for determination in this appeal, namely:

(*a*) Whether the appellants were lawfully expelled from Nsanjo Multipurpose Co-operative Society limited: and

(*b*) Whether the appellants were given an opportunity to defend themselves before being expelled from Nsanjo Multipurpose Cooperative Society limited.

We are satisfied that the evidence on record supports the trial Judge's decision that the expulsion of the appellant form the respondent society was lawful. One, the testimony of DW1 Michael Chacha, the respondents secretary at the material time, established that the appellants were expelled consequent to their convening an illegal meeting wherein they enlisted 170 people out of whom genuine members numbered 50 only. We think the appellants lined up fake members with intent to damage the activities of the respondent society because the fake members were the majority and were thence capable of passing a resolution which could have ruined the business of the respondent.

We also agree with the respondent's counsel that the expulsion of the appellants was lawfully executed under the provisions of rules 15 and 16 of the Co-operative Societies Rules, government notice number 408 of 20 September 1991 which states:

"15. Membership shall be terminated:

(*a*) In accordance with the by-laws;

(*b*) Upon the member's death;

(*c*) Upon the member's ceasing to hold a share or shares and any contributions as required by the by-laws of the society;

(*d*) Upon the member ceasing to be a resident of the area of operation of the society;

(*e*) By expulsion;

(*f*) For failure to participate in the economic activities of the society as required by the by-laws;

(*g*) Upon a member becoming of unsound mind; and

(*h*) By withdrawal."

It appears to us that the expulsion of the appellants fell under rules 15(*e*) and 16(*c*) of the Co-operative Societies Rules of 1991. Rule 16(*c*) provides, *inter alia*:

"16(*c*) For any action which may be held by the committee and a general meeting to be dishonest or contrary to the stated objects of the co-operation."

Convening an illegal meeting in which more than double the number of attendants were fake members manifested the appellants intention to wreck the respondent society. Thence we agree with the Learned trial Judge's decision

that the general meeting of the respondent society rightly dismissed the appellants on the 28 December 2001. As Mr *Kayaga*, learned advocate pointed out, the appellants had to abide by the provisions of their society's by-laws as stipulated under the provisions of section 47(1) of the Co-operative Societies Act number 15 of 1991 which states:

> "47(1) Every by-law of a registered society shall upon registration be binding upon the society and the members thereof to the same extent as if the by-law was signed by each member of the society and contained as a covenant by each such member to observe the provisions of the by-laws."

By convening an illegal meeting the appellants therefore contravened the provisions of section 47(1) of the Co-operative Societies Act of 1991 and rule 15(*a*) of the Co-operative Societies Rules, government notice number 408 of 1991.

We wish to observe that the requirement of the respondent's members to comply with their societies by-laws is also provided for in by-law 14(*a*) of the respondent society's by-laws which were duly registered with the Registrar of Co-operative Societies, development division on the 2 August 1993. The material by-laws were appended to the list of authorities filed by the respondent's counsel. By-law 14(*a*) of the Nsanjo Multipurpose Primary Co-operative Society states in Kiswahili:

> "14. Haki na wajibu wa wanachama:
>
> (a) Kila mwanachama atawajibika kuzigatia masharti ya chama kuwa ni mkataba wake na chama. Pia chama kitawajibika kuzingatia masharti haya kuwa mkataba kati yake na wanachama kulingana na kifungu 47 cha sheria na 15 ya 1991."

Hence, like the Learned trial Judge, we are of the settled view that the expulsion of the appellants from the respondent society was lawful because the appellants failed to comply with the provisions of section 47(1) of the Co-operative Societies Act of 1991, rules 15(*a*)(*e*) and 16(*c*) of the Co-operative Societies Rules, government notice number 408 of 1991 and by-laws 14(*a*) of the respondent's 1993 by-laws.

The second issue is whether the appellants were expelled without being accorded an opportunity to defend themselves. On this issue, the Learned trial Judge had this to say:

> The plaintiffs say the general meeting was just shouting and jeering at them and ordered them to quit the society. But the defence witness allege there were hearings and the plaintiffs stated their cases. The minutes of the meeting, tendered in court as D2, states there were 3 cases of disciplinary action. One of them was the plaintiffs' group which he called an illegal meeting to sabotage the society. From the evidence and the minutes of the meeting. I am not convinced even on the balance of probabilities that the plaintiffs were condemned unheard. The authority of the ordinary general meeting to expel members from membership has not been disputed by the plaintiffs. I am not convinced that their expulsion was unlawful.

We have no difficulty holding that the decision of the trial Judge is fully supported by the admission by PW1 Nuru Saidi Kafuku who stated:

> When it came to the agenda of dismissing us I did not contribute. I was confused. It is other members not the plaintiffs who contributed. We were all confused. Those who had no confusion contributed. Those who debated decided that we be dismissed. I have not told this Court that the issue of our dismissal was not debated upon.

From the above evidence of PW1, we find no basis for interfering with the finding of the trial Judge that the appellants were given a hearing before they

were expelled from the society, which is to say, no principles of natural justice were compromised or breached by the respondent society.

For the reasons stated above, we dismiss the appeal with costs.

For the appellants:
Mr Mtaki

For the respondent:
Mr Kayaga

Re Kahawa Sukari Ltd
[2004] 2 EA 93 (CCK)

Division:	Milimani Commercial Courts of Kenya at Nairobi
Date of ruling:	7 March 2003
Case Number:	23/02
Before:	Ringera J
Sourced by:	OP Nagpal
Summarised by:	M Kibanga

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[1] Companies Act – Member of a company – Who constitutes a member of a company – Section 211 – Companies Act (Chapter 486).

[2] Company law – Grant of letters of administration of estate of a deceased member – Failure of the administrator to be registered as a member – Whether the administrator member by virtue of the grant.

[3] Company law – Petitioner with grant of letters of administration ad colligenda bona *in respect of the estate of a deceased member – Whether the petitioner a member by virtue of the grant – Section 211 Companies Act (Chapter 486).*

Editor's Summary

The petitioner was the son of one Paul Mungai (deceased) who was a director and shareholder of a company known as Kahawa Sukari Limited together with three others as its inception in 1982. In 2000 one of the directors, Laban Muiruri Kimungu, died and his widow was made a director and signatory of the company's account pending her obtaining letters of administration of her deceased husband's estate.

The petitioners family requested the directors to make the petitioner a director of the company. The directors advised the family to first obtain letters of administration of the estate. The petitioner obtained a grant of administration *ad coligenda bona* which did not state the purpose for which it was issued, and informed the company but the directors still refused to transfer his father's shares to him. The petitioner consequently filed this petition under section 211 of the Companies Act seeking orders that he be made a director and signatory of its accounts; he be made available records of sales of the company from its inception or in the alternative; he be supplied with its audited accounts, he be

supplied with its audited accounts and an injunction to restrain the directors from setting plots and its accounts be frozen pending their compliance with the Court order. The petitioner then took out a chamber summons restraining the

respondent from selling or disposing of the property belonging to the respondent and from operating its bank accounts. The company also filed an application to restrain the petitioner from advertising the petition. Both applications were argued together.

It was argued for the company that the petitioner did not have *locus standi* to file the petition under section 211 and that the conditions for grant of an injunction were not satisfied.

Held – A grant *ad colligenda bona* which did not state the purpose for which it was granted was void *ab initio* and incurably defective.

A grant of letters of administration intestate is not sufficient to constitute the petitioner a member of the company under section 211 of the Companies Act. A person who obtains grant *ad colligenda bona* is not a representative of the estate of the deceased until he obtains a full grant. Even a person with a full grant cannot be treated a member of a company until he is entered in the register of members; *Re Jeryrn Street Turkish Baths Limited* [1970] 3 All ER 57 distinguished, *Re Meyer Douglas Pty Ltd* [1965] VR 638 approved.

Orbiter dictum, the petitioner would have made out one of the conditions for relief under section 211, if he had the *locus standi*, because of the discriminatory manner in which the petitioner had been treated. The dwindling nature of the company's assets would have exposed the petitioner to the risk of financial injury and on a balance, an interlocutory injunction would have been granted.

Application for injunction was dismissed. Application to stop advertisement was allowed. Each party to bear its own costs.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Australia

Re Meyer Douglas Pty Ltd [1965] VR 638 – **C**

United Kingdom

Re HR Harmer Ltd [1958] 3 All ER 689 – **C**

Re Jeryrn Steet Turkish Baths Ltd [1970] 3 All ER 57 – **D**

Scott v Scott (London) Ltd [1940] 3 All ER 509

Ruling

RINGERA J: Geoffrey Murihia Muigai, the petitioner herein, is the son of the late Paul Muigai. Sometime in 1982, the late Paul Muigai together with three others, namely, Laban Muiruri Kimungu, Edward Rurii Kanjabi, and Stephen Benson Mbugua incorporated a company called Kahawa Sukari Limted (hereinafter called "the company"). The four were the only shareholders and directors of the company and they were all signatory to the company's accounts. Each had a stake of 25% shareholding in the company. The company acquired a property known as land registration number 10901/20 and subdivided it into

3 479 plots for sale. The scheme is called Kahawa Sukari Estate. The main business of the company is to sell those plots to willing buyers. The company is also said to own a subsidiary firm known as membley which is said to be the proprietor of another property known as land registration number 10901/46 which has also been subdivided into plots for sale. That ownership is disputed.

On or about September 2000 Mr Laban Muiruri Kimungu died. His widow, Naomi Wambui Muiruri was subsequently admitted as a director of the company and made a signatory to the companies' accounts. She was admitted a director on the representation that she had applied for a grant of letters of administration to her husband's estate. Indeed the resolution of the board of directors made on 13 February 2001 was that Mrs Muiruri as the intended administrator be admitted into the board with powers to vote pending the issuance of and ratification by the grant of letters of administration.

Then on 10 March 2002, Paul Muigai died. His family requested the directors of the company to allow the petitioner to join the board of the company as a representative of the deceased. The family was advised that it was necessary for a family member or several members to obtain letters of administration to the estate of the deceased. The petitioner applied for and obtained a grant of administration *ad colligenda bona*. He notified the company of the fact. Despite that notification he was not admitted to the board or made a signatory to the company's accounts or otherwise made a representative of the deceased's estate in the company. The petitioner also complains that even during the lifetime of his father the directors of the company had refused to accept his father's transfer of his shares in the company to him.

Feeling frustrated by what he felt to be unfair and discriminatory treatment by the directors of the company, Mr Geoffrey Murihia Muigai has filed a petition under the provisions of section 211 of the of the Companies Act seeking to be relieved of the oppression complained of therein. He seeks orders that he be made a director of the company and a signatory of its accounts, that he be availed records of sales of the company from its inception to date. In the alternative that he be supplied with audited accounts and an injunction to restrain the directors from selling or entering into agreements for sale of any further plots and the accounts of the company be frozen pending compliance with the other orders sought. After lodging the petition on 17 September 2002, the petitioner took out a chamber summons on 18 September 2002 in which he sought interlocutory injunctive relief. That application was amended on 19 September 2002 and is the subject of the present ruling. The relief sought is expressed in the following terms:

> "1. The respondents be restrained; by an order of injunction, from selling, or offering for sale, or otherwise disposing of, or attempting to dispose of (whether gratuitously or for consideration), any part of the assets of Kahawa Sukari Limited, including but not limited to the unsold plots in Kahawa Sukari Estate and membley housing scheme; and the said respondents be also restrained, by an order of injunction, from accepting, and/or receiving any monies from any party as consideration for the sale of any of the said assets and the respondents be further restrained, by an order of injunction, from executing any documents of transfer (or presenting or processing such documents for registration of any such transfers) pending the hearing and determination of the petition herein.
>
> 2. Unless with the express approval of and under the supervision of the Court, the respondents be restrained from drawing any cheques, or withdrawing any monies from the Kahawa Sukari Limited bank accounts, particularly

account number 0102010671400 at Standard Chartered Bank Limited, Kimathi Street Branch, Nairobi, pending the hearing and determination of the petition herein".

The application is said to be made on the grounds that:

(i) The respondents have despite request and after setting pre-conditions which have been satisfied by the petitioner, refused, failed or neglected to avail the company's record to the petitioner.

(ii) The respondents have also refused, failed or neglected to appoint the petitioner as a director of the company, and to make him a signatory to the company's accounts, thereby prejudicing the interest of the estate of the late Paul Muigai Wakabu in the company.

(iii) The respondents, acting in collusion, and to the exclusion of the said estate, have continued to deal with the company's assets, and to conduct its business, to the detriment of the estate of the said deceased.

The company on its part filed an application on 1 October 2002 to restrain the petitioner from advertising the petition. Both applications were canvassed before me at considerable length by Mr *Kimani* Muhoro, counsel for the petitioner and Mr OP *Nagpal*, counsel for the company, on 7 November 2002, 17 December 2002, 16 January 2003, 29 January 2003 and 13 February 2003. From the nature of the arguments made, the principal issues for determination are first, whether or not the petitioner has *locus standi* to file the petition and consequently to seek injunctive relief, and, secondly, if he has *locus standi*, whether or not he has established a case for injunction on the usual principles. I think I should first deal with the issue of *locus standi*.

Section 211(1) and (2) of the Companies Act (hereinafter called "the Act") provides as follows:

"211 (1) Any member of a company who complains that the affairs of the, company are being conducted in a manner oppressive to some part of the members (including himself) or, in a case falling within subsection (2) of section 170, the Attorney-General, may make an application to the Court by petition for an order under this section.

(2) If on a such petition the Court is of opinion:

(*a*) that the company's affairs are being conducted as aforesaid; and

(*b*) that to wind up the company would unfairly prejudice that, part of the members, but otherwise the facts would justify the making of a winding-up order on the ground that it was just and equitable that the company should be wound up'

the Court may, with a view to bringing to an end the matters complained of, make such order as it thinks fit, whether for regulating the conduct of the company's affairs in future, or for the purchase of the shares of any members of the company by other members of the company or by the company and, in the case of a purchase by the company, for the reduction according to the company's capital, or otherwise".

It was common ground that only a member of a company can petition for relief under section 211 of the Act. The dispute was as to whether the petitioner herein was a member of the company. The petitioner's argument in summary form was to this effect. He had at the time he filed the petition a grant *ad colliqenda bona* in terms of section 67(1) of the Law of Succession Act (Chapter 160). That grant made him a personal representative of the estate of the deceased. According to article 29 of table A, (which is part of the company's articles as it was not expressly excluded) in the case of the death of a member who

was a sole holder of a shares(s) his personal representative shall be the only person recognised by the company as having any title to his interest in the share. And in the English case of *Re Jeryrn Steet Turkish Baths Ltd* [1970] 3 All ER 57 it was held that personal representatives of a deceased member of a company must be regarded as members of the company for the purposes of section 210 of the Companies Act of 1948. That provision is identical to section 211 of the Kenya Companies Act.

The company's argument as I understood it was this. The grant obtained by the petitioner was invalid because it did not indicate the purpose for which it had been issued and accordingly it did not confer any rights on the petitioner. Furthermore, the same had expired before the petition was lodged. In any case, even if it was a valid limited grant of letters of 'administration *ad colligenda bona* it did not make the petitioner a shareholder of the company and accordingly he could not complain of being oppressed as a shareholder. The case of *Re Jeryrn Steet Turkish Baths Ltd* was distinguished on the basis that the companies' articles in that case were different from the articles of the company herein. In particular it was pointed out that article 20 therein provided that the legal representative of a deceased member shall be recognised by the company as having title to the share whereas article 29 of table A herein stated that such a person would be recognised as having a title to the deceased's interest in the share. I now turn to a consideration of these rival arguments.

The grant issued to the petitioner was a limited grant of letters of administration *ad colligenda bona* under section 67(1) of the Act. It was issued on 18 June 2002. It was expressed to be for a period of three months. The usual words expressing the purpose for which it was issued, that is to say "collecting and getting in and receiving the estate and doing such things as may be necessary for the preservation of the same and until further representation be granted" were cancelled out. It is that cancellation which counsel for the company submits renders the grant invalid. Counsel for the petitioner on his part argued a grant *ad colligenda bona* is just that. It is a limited grant issued for collecting and getting in and receiving the estate. He did not think that the cancellation of the words in question was material. For myself, I agree with the submission of counsel for the company. The cancellation of the words in question, though a permissible amendment of the form prescribed for such a grant by rule 36(2) of the probate and administration rules by virtue of rule 70 had the effect of rendering the grant meaningless. It ceased to be a grant *ad colligenda bona* for collecting and getting in the estate. Having lost that character it became a wholly meaningless and incurably defective instrument.

Now although it was renewed at the time the petition was filed and subsequently thereafter, the renewal could not render it valid. It was invalid *ab initio*. In those premises, even if a limited grant *ad colligenda bona* made the petitioner the personal representative of the estate of the deceased, Paul Muigai, and gave him a basis for being recognised as being entitled to the interest of the deceased in the shares in question, the grant that the petitioner obtained could do nothing of the sort as it was a defective one. That conclusion completely destroys the foundation of the petitioner's claim to *locus standi* in this matter.

Furthermore, even if the grant was a valid one, I am of the opinion that it would not have been sufficient to constitute the petitioner a member of the company within the meaning of section 211 of the Companies Act for the

following reasons. First a grant of letter of administration *ad colligenda bona* cannot in my opinion confer on the grantee the status of a personal representative of the deceased. Under section 2 of the Succession Act, a personal representative is defined as "the executor or administrator of a deceased person. And administrator is in turn defined to mean a person to whom a grant of letters of administration has been made under the Act. To my mind, the grant of letters referred to can only be a full grant for a limited grant *ad colligenda bona* cannot and does not confer on the grantee the right to administer the estate of the deceased and accordingly such a grantee cannot be the administrator of the deceased within the meaning of the law.

Secondly, in my opinion, even the holder of a full grant of letters of administration, who is truly the personal representative of a deceased shareholder is not and cannot be treated as a member of the company. Article 29 of table "A" makes him the person entitled to be recognised as having any title to the deceased's interest in the shares. Such a person is not a member of the company? Section 211 does not define the expression. However, section 28 of the Act to which neither counsel drew my attention provides:

> "28 (1) The subscribers to the memorandum of a company shall be deemed to have agreed to become members of the company, and on its registration shall be entered as members in its register of members.
>
> (2) Every other person who agrees to become a member of a company, and whose name is entered in its register of members, shall be a member of the company".

From the above definition, it is apparent that a member of the company is such person as has been entered in the company's register of members. Accordingly a personal, representative of a deceased member cannot *ipso facto* be regarded as a member of the company. He must first get his name into the register. Taking that view of the matter, I must respectfully decline to follow the *dictaum* the English case of *Re Jeryrn Street Turkish Baths Ltd* (*supra*) to the effect that even if a personal representative of a deceased member is not registered as a member of the company, he must be regarded as a member of the company for the purposes of section 210 of the English Companies Act of 1948 a diction which counsel for the petitioner placed considerable reliance. In taking that position, I am a little fortified – if fortification be necessary - by the fact that in the Australian case of *Re Meyer Douglas Pty Ltd* [1965] VR 638, a decision contrary to the one taken by the English court was taken and that Professor Gower seems to think that the Australian decision is more convincing. See *Gower's Principles of Modern Company Law* (4 ed) at 668 note 84. Now, although the pertinent Australian law report is not available to me and I cannot therefore know what rational path the Court trod in arriving at its decision, I take comfort that I am not alone in not following the English decision. And for whatever it is worth let me emphasis that I have not declined, to follow *Re Jeryrn Street Turkish Baths Ltd* on the basis of the distinctions which counsel for the company sought to draw between it and the present case which I thought were distinctions without a difference but on my understanding of the import of section 28 of the Kenya Companies Act. It will be recalled that counsel had sought to distinguish between the expressions "title to the share" used in article 20 in that case and "title to the interest in the share" used in article 29 of table A. The two phrases are in my opinion synonymous but the latter is a more elegant expression in that a share is not a chattel to which one can have title but is strictly speaking a bundle of rights to which the shareholder has an interest.

The upshot of my consideration of the issue of *locus standi* is that the petitioner was not a member of the company at the institution of the petition and the purtenant application for interlocutory injunctive relief and, accordingly, he had no *locus standi* to institute the proceedings. On this ground alone his application founders.

Having arrived at the above firm conclusion, it is strictly not necessary to delve into the merits of the application. However, seeing that counsel spent considerable time canvassing the matter, I think I should in deference to their efforts deliver myself, albeit shortly, on that aspect of this matter.

On the assumption that the petitioner is a member of the company, does he have a *prima facie* case with a probability of success at the trial? For one to get relief under section 211 of the Act, one must establish that:

(i) The affairs of the company are being conducted in a manner oppressive to some part of the members (including himself).

(ii) The facts complained of would justify the making of a winding-up order on the ground that it would be just and equitable that the company should be wound up; and

(iii) However, to wind up the company would unfairly prejudice that part of the members.

The section is clearly intended to afford an alternative remedy to an oppressed minority. There was some dispute here as to whether the petitioner was a minority. I accept the submission on his behalf that he is a minority. To have 25% shareholding in a company even though that is equal to the holding of each of the other members is to be clearly a minority *vis a vis* the others combined. What determines whether one is a majority or a minority is the voting power. If ones voting power is less than the combined voting power of the other shareholders, one is a minority. Have the affairs of the company been conducted in a manner oppressive to him? In the leading English case of *Re HR Harmer Ltd* [1958] 3 All ER 689, it was held that within the context of section 210 of the English Companies Act of 1948, the words “oppressive” meant “burdensome, harsh and wrongful” and that the oppressive conduct complained of must affect the complainant(s) in their capacity as members of the company. The complaint here is that the directors of the company refused to accept the transfer of the deceased’s shares to the petitioner during the lifetime of the deceased, they have since the death of the deceased member refused to allow the petitioner to join the board of the company, or to be signatory to the company accounts, or otherwise to represent the estate of the deceased in the company. It is also complained that the company’s affairs are being run with less than probity and propriety in that tax and annual return are not being made, no accounts are being kept and no audits have been done and there has been no accounting of any sort to the estate of the deceased. In so far as the estate of the deceased is concerned, comparison is unfavourably drawn with the way the directors treated the family of Laban Muiruri Kimungu upon his death. His widow was appointed a director of the company upon her mere representation that she had applied for a grant of administration to his estate and even though in the event the grant she obtained was *ad colligenda bona* limited to payment of rates! She was also made a signatory to the company’s accounts. The petitioner contends that the treatment he has been subjected to is clearly discriminatory. The directors’ answer to the above complaints is this. In the case of the refusal to accept the transfer of the deceased shares to the petitioner during the lifetime

of the deceased, they contend that it is the deceased himself who changed his mind and so notified the board orally at a meeting at which he presided. To that the petitioner responds that the minutes of the company show the deceased was asked to confirm his decision in writing but he never did so. As regards the refusal to admit the petitioner into the company or to appoint him a director and a signatory to the accounts, the directors maintain they are entitled to do so as long as the petitioner does not have a valid full grant of letters of administration duly confirmed and the matter is in any case in their discretion and they have a veto power. In the premises the petitioner is not entitled as of right to be registered as a shareholder let alone to be appointed a director. As regards non consultation with and non involvement of the estate of the deceased in the management of the companies' affairs, they hold that they are not obliged by law or the articles to accommodate the estate of the deceased in that regard. As regards complaints of discrimination, they hold that they acted with propriety in admitting Mrs Muiruri to the board and making her a signatory to the accounts but even if they were wrong to do so, they are not obliged to perpetuate their error by according the petitioner similar treatment. And of course they deny want of probity and propriety in the management of the company's affairs. To those answers, the petitioner has a reply. The articles of the company do not confer on the directors a veto to refuse to admit the personal representative of a deceased member as a shareholder of the company or to appoint him as a director; exclusion from participation in the affairs of the company was a violation of an obligation so basic that it would in itself justify the winding-up of the company; he is entitled to be treated in the same manner as Mrs Muiruri and in fact his case is better than hers as he had complied with the company's request that he first obtain a grant of administration before seeking to be admitted to membership of the company; and that if the company had been submitting annual statutory returns as well as tax returns and if it had been producing audited accounts, nothing would have been easier than to annex such documents to the replying affidavits.

I have considered all the above arguments. In my opinion the refusal by the company to register the share transfer from Paul Muiruri to the petitioner during the lifetime of Mr Muiruri cannot be a basis of relief under section 211 because it is not an act or omission which affected the petitioner as a member of the company. He could not as an unregistered transferee of his father's shares be regarded as a member of the company. And as regards the refusal to admit the petitioner into the company as a shareholder, director, or signatory to the accounts, I agree with the submissions made on behalf of the company that the registration of any transfer of shares to any person other than an existing member and the appointment of a director are all matters in which the directors have according to the company's articles of association a veto power. In that regard articles 7 and 8 of the company and articles 29 and 30 of the table A which have not been expressly excluded and are accordingly applicable are pertinent.

They provide:

> "7. The directors may, in their absolute discretion and without, assigning any reason thereon, decline to register any transfer of a share (whether or not it is a fully paid share) to a person of whom they shall not approve, not being already a member of the company, and they may also decline to register the transfer of a share on which the company has a lien.

8. *Subject to the provisions of the last proceedings clause*, any share may be transferred by a member to any child, or other issue, son, son-in-law, daughter, daughter-in-law, father, mother, brother, sister, nephew, niece, wife or husband of such member and any share of a deceased member may be transferred by his executors or administrators to any child or other issue, son-in-law, daughter-in-law, son, daughter, father, mother, brother, sister, nephew, niece, widow or widower of such deceased member may specifically have bequeathed the same, any share standing in the name of the trustees of the will of the deceased member may be transferred upon any change of trustees to the trustees for the time being as such will (*sic*).

29. In case of the death of a member the survivor or survivors where the deceased was a joint holder, and the personal representatives of the deceased where he was a sole holder, shall be the only person recognised by the company as having any title, to his interest in the shares; but nothing herein contained shall release the estate of a deceased joint holder from any liability in respect of any share which had been jointly held by him with other persons.

30. Any person, becoming entitled to a share in consequence of the death or bankruptcy of a member may, upon such evidence being produced as may from time to time properly be required by the directors and subject as hereinafter provided, elect either to be registered himself as holder of the share or to have some person nominated by him registered as the transferee thereof, *but the directors shall in either case, have the same right to decline or suspend registration as they would have had in the case of a transfer of the share by that member before his death* or bankruptcy, as the case may be." (emphasis added)

Counsel for the petitioner relied on the proviso to article 32 of table A to contend that the directors had no veto power to decline to register a personal representative as a shareholder. Article 32 provides:

"32 A person becoming entitled to a share by reason of the death or bankruptcy of the holder shall be entitled to the same dividends and other advantages to which he would be entitled if he were the registered holder of the share except that he shall not, before being registered as a member in respect of the share, be entitled in respect of it to exercise any right conferred by membership in relation to meetings of the company.

Provided always that the directors may at any time give notice requiring any such person to elect either to be registered himself or to transfer the share, and if the notice is not complied with within three months the directors may thereafter withhold payment of all dividends, bonuses or other moneys payable in respect of the share until the requirements of the notices have been complied with".

It is plain to me that this article is concerned with the payment of dividends. It is not the article that governs the transfer of shares. The latter is governed by the preceding Articles 29 and 30 as read together with Articles 7 and 8. In that regard the wording of Article 7 expressly confers a veto power. And the transfer of shares whether *inter vivos* or on the death of a member are by dint of the opening words of Article 8 expressly subjected to such veto power. Article 30 is to the same effect the transmission of shares on death of a member is subject to the same limitations as apply during the life time of the member. I am accordingly unable to accept the submission that the directors do not have a veto power. In the case of *Scott v Scott (London) Ltd* [1940] 3 All ER 509. It is held that:

"On general principles where the executrix has the legal right to the shares on which the deceased testator was the registered holder, in the absence of any power of veto

> conferred on the company by its articles of association, she is entitled to have her name entered on the register if she so desires as ancillary to her legal title to the shares in question".

That shows the primacy of the articles. And that is as it should be for the articles constitute the contract between members of the company *inter se* and between them and the company itself. Having taken that view of the matter can it be said that the directors conduct is oppressive to the petitioner? I am of the opinion that the refusal by the directors to register the petitioner as a shareholder being a matter within the discretion of the directors and indeed a matter on which they have veto power cannot on its own be said to be oppressive conduct and particularly so where, as here, the directors have not flatly refused to do so but have insisted on the applicant obtaining a full grant of letters of administration to the estate of the deceased member. As regards the refusal to admit the petitioner as a director and signatory to the account, again I can see nothing in the articles conferring on a personal representative to a deceased member such a right. So no right of the petitioner has been violated. On the contrary Article 12 contemplates that as long as there are at least two directors all would be well with the company. So no right of the petitioner has been violated. How about the treatment of the petitioner compared to that of Mrs Muiruri? I think there is no way the directors can explain and they have not explained to my satisfaction their preferential treatment of Mrs Muiruri. She had no better right than the petitioner to be admitted as a shareholder, a director and a signatory to the accounts of the company. I agree with the submissions made on behalf of the petitioner that looking at the history of this company it cannot but be viewed as a quasi-partnership where it was desirable to have a representation of each of the original subscribers or their personal representatives and where mutual respect and confidence were given a premium. I believe it is those considerations which led to the rapid absorption of Mrs Muiruri into the company soon after the demise of her husband. That was quite proper. The same considerations lead to the conclusion that the petitioner should have been accorded similar treatment. In my opinion, the directors treatment of the petitioner is tantamount to saying this: "although we did not use our discretion and veto against Mrs Muiruri, we are perfectly entitled to do so against you". To that I can only say that whereas the directors legal right to do so is possibly unassailable, their conduct is manifestly discriminatory against the petitioner. Discrimination is not conduct merely devoid of legal basis. It is to afford different persons different treatment on the same facts. As the English say, what is sauce for the goose must be sauce for the gander. To treat the petitioner as Mrs Muiruri was treated is not to perpetuate an error but to accord two successors of deceased member's equal treatment. The discrimination with which the petitioner has been visited is, I further venture to suggest, harsh and wrongful conduct which qualifies as oppression within the meaning of section 211. As regards the management of the company with want of probity and propriety, I agree with the submissions of the petitioner that if indeed the company had been filing annual returns or making regular tax returns or keeping audited books of accounts nothing would have been easier than to show copies thereof. In the premises, I think that the complaint about want of probity and propriety on the part of the directors is, on balance, made out. However, although such a consideration may be sufficient to wind up the company on the

grounds that it may be just and equitable to do so, I cannot regard it as oppression of the petitioner's rights as the entire membership of the company and not just one member or a part of the members only are affected.

To summarise my consideration of the matter so far, I am of the opinion that the petitioner has *prima facie* made out one of the conditions for relief under section 211, namely that the affairs of the company have been conducted in a manner oppressive to him as a result of the discrimination to which he has been subjected. Would the facts proved justify the making of a winding-up order on the just and equitable grounds? I am of the tentative view that the facts of the discrimination and the want of probity and propriety in running the affairs of the company would justify the making of a winding-up order against the company on that ground in a winding-up petition. How would such an order impact on the petitioner? I think it would unfairly prejudice him. A winding-up of the sort of company here under consideration would not be in the best interest of any member including the petitioner. In short, I think the petitioners would have had a *prima facie* case with a probability of success at the trial if the issue of *locus standi* had been settled in his favour. In those circumstances I would have found that he had surmounted the first important hurdle in his quest for interlocutory injunctive relief. And I would have gone further to find that in all the circumstances the petitioner was exposed to a risk of injury which could not have been adequately compensated in damages given the dwindling nature of the asset base of the company and the fact that want of probity in terms of accounting made it difficult to contemplate that an award of damages would not be a writ written on water. In those premises, I would have been favourably inclined to grant interlocutory injunctive relief to the applicant.

In conclusion let me state this. Although I think the petitioner has on the whole a good case for interlocutory injunctive relief on the merits, I am compelled to dismiss his application on the basis that he has no *locus standi*. In those circumstances and particularly considering my finding that the petitioner has been a victim of discrimination I think I am entitled to depart from the usual rule that costs follow the event. I order that each party bears its own costs of the application for injunction. As regards the company's application to restrain the advertisement of the petition, the same must succeed in view of my finding that the petitioner had no *locus standi* to institute the petition. There will accordingly be an order that the petitioner be restrained from by himself or by his servants and/or agents from advertising or causing to be advertised the petition for winding-up the company in the Kenya *Gazette* or elsewhere or to take any further proceedings upon the said petition until further orders of the Court. And again I would order that each party bears its own costs of that application.

Last but not least let me say this aside. While I accept the powerful submission by Mr *Nagpal*, counsel for the company, that a company is not to be managed on the basis of exhortations of mourners at a funeral and while I recognise that Mr *Kimani*, counsel for the petitioner, has, obviously on his client's instructions said some rather unsavoury things about the directors of the company, I nonetheless express the hope that the company which was managed by the four founder members as directors and signatories of the accounts will in the very near future take such steps as will allow the petitioner, a son of one of the founder members to occupy his late fathers place in the board and in the management of the company. In that connection, I do hope that the petitioner, too, on his part will facilitate such action by obtaining a valid grant of letters of

administration to the estate of his late father. I do hope that the directors will be gentlemen who can rise above any abuse that has been hurled their way and honour the wishes of their departed colleague and chairman. Until that happy day I am constrained to reiterate that the orders of this Court are that the application by the petitioner filed on 18 September 2002 is dismissed and the company's application filed in court on 1 October 2002 succeed to the extent indicated hereinabove and that each party will bear their own costs of the two applications.

Orders accordingly.

For the petitioner:
Mr Kimani Muhoro instructed by *Kimani Muhoro & Co*

For the respondent:
Mr OP Nagpal instructed by *OP Nagpal & Co*

Kanyua v Nganga
[2004] 2 EA 104 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	1 March 2004
Case Number:	2038/96
Before:	Ochieng AJ
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Affidavit – Affidavit not sworn – Whether unsworn affidavit curable.

[2] Pleadings – Form of – Originating summons supported by an unsworn affidavit – Amended originating summons supported by sworn affidavit – Whether amended originating summons cure original originating summons.

Editor's Summary

The applicant instituted suit in the High Court by way of originating summons. The respondent filed a replying affidavit saying he was not the registered owner of the suit premises. The applicant applied to join the registered owner as the second respondent. The amended originating summons was supported by the affidavit of the applicant. At the hearing the first respondent raised a preliminary objection saying the originating summons was a nullity because the applicant's supporting affidavit had not been sworn.

The applicant argued that because the amended originating summons was supported by a sworn affidavit, the original originating summons was not defective.

Held – The filing of an amended originating summons would not cure original originating summons where the originating summons was supported by a defective affidavit.

An originating summons not supported by an affidavit is incurably defective; *Gawo v Nairobi City*

Council [2001] 1 EA 69 applied. An affidavit which is not sworn is fatally defective and cannot support an originating summons.

The originating summons was struck out.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Igweta v M'ethaa and another [2001] LLR 3502 (CAK)

United Kingdom

Gawo v Nairobi City Council [2001] 1 EA 69 – **AP**

Ruling

OCHIENG AJ: The applicant had instituted these proceedings by way of an originating summons, dated 30 May 1996. The said proceedings were instituted pursuant to the provisions of Order XXVI, rule 3D of the Civil Procedure Rules, section 28 of the Registered Land Act, sections 37(*a*) and 38 of the Limitations of Actions Act, and all other enabling provisions of the law. The originating summons was supported by the affidavit of Mary Wanjiru Kanyua, the applicant.

Following service of the originating summons upon the respondent Muchai Ng'ang'a, the respondent filed a replying affidavit. The only deposition in the said replying affidavit, which is relevant to this ruling, is that the respondent was not the registered proprietor of the suit property. In the light of that revelation, the applicant conducted a search at the Thika Lands Registry, and ascertained that the suit property was registered in the name of Ng'ang'a Njoroge. Having thus ascertained the identity of the registered proprietor the applicant applied to this Court to have Ng'ang'a Njoroge joined as a respondent to the suit.

When the applicant filed an amended originating summons dated 28 May 2001; the new pleading incorporated Ng'ang'a Njoroge as the second respondent. The amended originating summons was supported by the affidavit of Mary Wanjiru Kanyua (the applicant). The affidavit was sworn on 28 May 2001.

When the case came up for hearing before me on 26 January 2004 the first respondent raised a preliminary objection. In a nutshell, the respondent submitted that the originating summons was a nullity because the applicant's supporting affidavit had not been sworn.

It is common ground between the parties that the affidavit attached to the originating summons dated 30 May 1996 filed in court had not been commissioned by a Commissioner for Oaths. As far as Mr *Mbiyu* advocate is concerned, the failure to commission the affidavit rendered the entire suit fatally defective. He noted that the provisions of Order XXXVI, rule 3D(2) require the originating summons to be supported by an affidavit. And therefore, as the document titled "affidavit" which was filed in support of the originating summons had not been commissioned the said originating summons was a nullity, as there was no supporting affidavit.

In answer to the respondent's submissions, Mr Olewe did not purport to offer any cure to the original document. However, he did clearly state that the case presently before the Court is the amended originating summons dated 28 May 2001. That pleading was supported by the applicant's affidavit, which had been duly sworn before Leah W Mbuthia, an advocate and Commissioner for Oaths.

In reply to the applicant's submissions, the respondent emphasised that the amendment of pleadings does not cure the fatality of the original suit. He emphasised that the suit itself dates back to 16 August 1996, when it was originally filed.

Both advocates are correct to some degree. The applicant is correct insofar it is true that the pleading presently before the Court is the amended originating summons. But of course, the said amended originating summons would not be capable of amending the failure to have commissioned the original supporting affidavit. Indeed the only real amendment was the introduction of a second respondent. Thus the respondent is correct, when he says that the suit still dates back to 1996. If the said original originating summons were fatally defective, could the amendment which added another party to the proceedings cure the defect? The answer must be in the negative.

I also note here that the applicant's advocate informed the Court that the supporting affidavit was actually sworn before Mr AD Rachier, advocate and Commissioner for Oaths. Basically, what seems to have happened is that the applicant's advocates filed an affidavit which had not been commissioned by Mr Rachier, whilst the document bearing the stamp and signature of the Commissioner for Oaths was inadvertently retained in the file of the applicant's advocates. But all this is in the realm of conjecture. However, what is clear is the fact that the sworn affidavit was not made available to the Court.

Order XXXVI, rule 3D provides as follows:

> "(1) An application under section 38 of the Limitation of Actions Act shall be made by originating summons.
>
> (2) The summons shall be supported by an affidavit to which a certified extract of the title to the land in question has been annexed".

The said provisions are very clear. It is mandatory that the originating summons, by which the proceedings are initiated, be supported by an affidavit. Thus if the originating summons was not supported by an affidavit, it would be irregular. But does such irregularity go to jurisdiction, so as to render the originating summons fatally defective?

In order to answer this question adequately, the Court believes that there is need to draw a parallel between the provisions of Order XXXVI, rule 3D and Order VII, rule 2. The latter reads as follows:

> "The plaint shall be accompanied by an affidavit sworn by the plaintiff verifying the correctness of the averments in the plaint".

In effect, the provisions of the two rules both require the pleadings by which a suit is commenced to be supported or accompanied by an affidavit. Although Order VII, rule 2 was only introduced fairly recently, it has already been litigated upon on numerous occasions. I therefore believe that I should be able to receive a reasonable amount of guidance from some decisions on that provision.

Mr *Mbiyu* advocate for the defendant cited the authority of *Gawo v Nairobi City Council* [2001] 1 EA 69. In that case, the Court of Appeal held that the provisions of Order VII, rule 1(2).

> "Clearly state that the plaint shall be accompanied by an affidavit sworn by the plaintiff verifying the correctness of the averments contained in the plaint. Mr *Wamalwa* for the applicants sought to show that the affidavit in support of the application served the same purpose to be served by the affidavit which should have accompanied the plaint. In our view, the rule is so clear as to leave no room for such interpretation".

I do adopt the said decision of the Court of Appeal, and adopt it in this case. The net result would be that if the originating summons was not supported by an affidavit, there would be no other conclusion other than that the said originating summons was incurably defective. To borrow the words of Shah JA in *Igweta v M'ethaa and another* [2001] LLR 3502 (CAK).

> "Yes, if a procedural defect is fundamental to the proceedings a case of nullity may arise and a nullity, of course, is not curable because what is null and void *ab initio* remains so".

In the light of the foregoing, I must now attempt to answer the question as to whether the failure to file a sworn affidavit is a mere procedural inadequacy that does not go to jurisdiction. Is such a defect curable?

The provisions of Order XVIII, rule 7 stipulate as follows:

> "The Court may receive any affidavit sworn for the purpose of being used in any suit notwithstanding any defect by misdescription of the parties or otherwise in the title or other irregularity in the form thereof".

Thus if the affidavit has some defect by misdescription of the parties or otherwise, or other irregularity in form, the Court could possibly exercise its discretion and receive it in evidence.

However, that rule clearly envisages an affidavit that had been sworn. Once an affidavit had been sworn if it had irregularity in form, the Court could possibly receive it. The difficulty in this case is that the "affidavit" of Mary Wanjiru Kanyua attached to the originating summons dated 30 May 1996 was neither dated nor sworn. At best the said document could be described as the final draft of Kanyua's affidavit. It could not become an affidavit until and unless it was sworn by Kanyua before the Commissioner for Oaths. I therefore have no alternative but to conclude that the originating summons was not supported by an affidavit, as requited by Order XXXVI, rule 3D. The said originating summons is thus fatally defective, and must be struck out, with costs.

However before I conclude this ruling, I wish to observe, obiter, that the plaintiff's "affidavit" in this case bears a signature which I presume was that of the intended deponent. If that be the case, it would mean that the said document was signed by the plaintiff, in the absence of the commissioner for oaths. It would appear that the document would thereafter have been presented to the commissioner for oaths for his signature and stamping. Any party, advocate or commissioner for oaths who might be practising this method of administering any oath or taking of any affidavit must be reminded that such a practice is completely irregular. The practice may lend itself to many people doing it due to convenience, but anybody practicing it must appreciate that, strictly speaking, the final document is not an affidavit. Whereas it might be difficult for the Court or any other third party to ascertain the facts that the commissioner for oaths appended his stamp and signature in the absence of the signatory to the said document, if the truth should be out, the document would definitely be

struck out. And this Court would also make recommendations, in such cases, that the professional body that regulates the practice of advocates, (who are commissioners for oaths) should take the appropriate disciplinary actions against such professionals.

I know that some advocates and parties may frown at these remarks, but I hope that everybody concerned will take time to digest it. Remember that if you are a commissioner for oaths and you append your stamp and signature to a document not signed in your presence, you really have no idea whether or not the signature had been forged. The said document would also be telling a lie on the query face of it, whereat it proudly declares that it had been "sworn before me".

In conclusion, and for the avoidance of any doubt, I order that the originating summons dated 30 May 1996 be struck out with costs. The consequence of this order is that the amended originating summons dated 28 May 2001 stands struck out too.

For the applicants:
FN Wamwalwa instructed by *FN Wamalwa & Co*

For the defendant:
Mbiyu Kamau instructed by *Mbiyu Kamau & Co*

Kariuki v Irungu
[2004] 2 EA 108 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	24 February 2004
Case Number:	892/00
Before:	Ochieng J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Civil procedure – Third party – When a third party may be lawfully joined – Whether subject matter between plaintiff, defendant and third party must be same – Procedure – Application to strike out third party notice – When application should be filed – Order I, rule 18 – Civil Procedure Rules.

[2] Insurance – Third party – Whether insurance company may be joined as a third party in an accident claim – Whether striking out third party diminishes insurance obligation to satisfy judgment eventually passed – Section 10(1) Insurance (Motor Vehicle Third Party Risks) Act.

Editor's Summary

The plaintiff instituted suit in his capacity as the legal representative of James Kariuki Njuguna who died following an accident. The respondent was the registered owner of the motor vehicle in which James Kariuki Njuguna was travelling as a passenger at the time of the accident.

After the defendant filed his defence, he applied to the Court for leave to issue a third party notice against his insurance company. The Court granted leave and issued a third party notice. After being served with the third party notice, the third party entered appearance and the respondent filed an

application under Order I, rule 18 of the Civil Procedure Rules seeking directions. The third

party responded by filing a notice of preliminary objection and also by lodging an application to strike out the third party notice. The latter application was heard first.

The third party contended that an insurer could only be liable after judgment had been entered against its insured and not before. Further, the issue between the plaintiff and respondent was based on tort whereas the issue between the respondent and third party were based on contract. The third party therefore prayed for striking out of the third party notice.

The respondent argued that improper procedure had been invoked by the third party who should have waited for the determination of the application for directions before filing its application for striking out.

Held – The subject matter between the third party and respondent was based on contract and was therefore different from the subject matter between the plaintiff and the respondent which was based on tort. The third party was therefore not lawfully joined. *Walusumbi v Attorney-General of Uganda* [1959] EA 223 followed.

Under Order I, rule 18 of the Civil Procedure Rules, a third party is provided with an opportunity at which they can have the third party notice set aside. Although the application to serve the third party notice was premature, the same would still be dealt with by the Court. *Varsani v Kanjee Naranjee (Kenya) Limited* [1977] KLR 171 followed.

By striking out the third party notice, the Court does not in any way diminish the duty imposed on the insurance company under section 10(1) of the Insurance (Motor Vehicle Thirty Party Risks) Act, to satisfy the judgment that may be passed against the defendant.

Third party notice struck out.

Cases referred to in ruling

East Africa

Varsani v Kanjee Naranjee (Kenya) Limited [1977] KLR 171 – **F**

Walusumbi v Attorney-General Uganda [1959] EA 223 – **F**

United Kingdom

Carpenter v Ebblewhite [1938] KB 41 – **D**

Ruling

OCHIENG J: The suit herein was instituted by the plaintiff in his capacity as the legal representative of James Kariuki Njuguna who died following an accident. The respondent as the registered owner of the motor vehicle in which James Kariuki Njuguna was travelling, as a passenger, at the time of the accident.

After the respondent had filed his defence, he applied to this Court for leave to issue a third party notice. Although I have failed to trace the proceedings in which the Court granted leave, I do not doubt its existence. In any event, the parties herein have not made that an issue before me. I will therefore presume that the Court did grant the requisite leave.

The Court records show that the third party notice was served upon the third party on 24 November 2000. After the third party entered appearance, the respondent filed an application pursuant to the provisions of Order 1, rule 18 of the Civil Procedure Rules, seeking directions. The said application for directions is dated 2 March 2001, and was filed on the same date. The third party responded by filing a notice of preliminary objection, and also by lodging an application to strike out the third party notice.

The matter before the Court today is the application by the third party to strike out the third party notice. The said application, which is dated 6 March 2001 also, seeks consequential orders, to set aside any third party proceedings, as well as the costs of the said proceedings.

Miss *Munene* advocate who appeared for the applicant submitted that pursuant to the provision of section 10(1) of the Insurance (Motor Vehicles Third Party Risks) Act Chapter 405, an insurer could only be liable after judgment had been entered against its insured. Therefore as this claim against the insured was still at the stages of infancy, the third party proceedings would be an abuse of court process. The applicant cited the case of *Carpenter v Ebblewhite* [1938] KB 41 as authority for the submission that where there was no dispute between the insurer and the insured, the third party proceedings would be deemed frivolous.

Having read the *Carpenter v Ebblewhite* case, I have noted that the plaintiff in that case had incorporated into his statement of claim, a prayer for a declaration that the insurance company was liable to satisfy any judgment which the plaintiff obtained against the respondent. To that extent therefore the case is distinguishable from the matter before me. However, I deemed it instructive to recite here the editorial note, which reads as follows:

> "It has long been the policy of the law that an action for personal injuries should be contested in ignorance of, and regardless of, the fact the respondent is insured. This addition to the parties of that action would avoid a subsequent action between the successful plaintiff and the insurance company, and would do much to reduce the costs in such cases; but as the judgments herein clearly demonstrate, such addition is in many respects contrary to the policy of the law".

It is my considered view that the policy of the law was, and still is that a claim against a respondent ought to proceed to trial regardless of whether or not the said respondet is insured. The presence or lack of an insurance policy must not be allowed to influence the mind of the trial court when it is called upon to adjudicate on the issues of liability of the respondent, and the quantum, if any, to be awarded. Similarly, even in the event that the respondent was insured, I think that the Court handling the case ought not to be influenced, (at the time when it is handling the dispute between the plaintiff and the respondent), by such considerations as to whether the insurance policy is valid, void, voidable or is otherwise the subject of a dispute between the respondent and the insurer. I have made these observations not by way of concluding this application, but only to illustrate one point: that notwithstanding the outcome of the present application, I strongly believe that it would be undesirable for a court to hear a case between the plaintiff and the respondent, at the same time as a claim between the said respondent and his insurer.

Even from a more practical approach to the matter, I ask myself what role the insurance company would be playing on the issue of liability between the plaintiff and respondent. Would an insurance company have any evidence on

such maters save that which it obtained from the insured and possibly from an investigator? I do not think so. Of course, I recognise the fact that an insurance company would most probably have greater financial resources that would make the life of an insured more comfortable if the said insurance company gave full backing in the investigations and legal representation. However, the insurance company as far as I am aware is not generally under an obligation to provide logistical support to the insured. The fundamental legal responsibility imposed by the statute Chapter 405 is to pay to the persons entitled to the benefit of a judgments obtained against the insured. For these reasons, an insurance company might deem it prudent to actively participate in legal proceedings involving its insured, as by so doing they would be an active participant in proceedings that would possibly have a direct impact on them. But the law does not generally impose an obligation on the insurance company to provide legal representation to the insured. However, I do recognise the fact that an obligation to provide legal representation may arise contractually, if so provided for in the policy of insurance.

The third party has submitted that the notice issued to it should be struck out because the subject matter between the plaintiff and respondent is completely different from that between the respondent and the third party.

As between the plaintiff and respondent, the claim is founded on tort and it arises out of a road traffic accident. On the other hand, the subject matter between the respondent and the third party arises out of a contract of insurance. In support of its arguments, the third party has cited the decision of Lyon J in *Walusumbi v Attorney-General of Uganda* [1959] EA 223.

In that case the Court held that in order that a third party be lawfully joined, the subject matter between the third party and respondent must be the same as the subject matter between plaintiff and respondent and the original cause of action must be the same.

In answer to the application the respondent's advocate Mr *Kahonge* submitted that the Civil Procedure Rules do not set out any procedure for striking out third party notices. He said that the only provisions that address the subject of striking out pleadings is Order VI, rule 13. He therefore urged me to dismiss the application. However, I do not find merit in this particular submission. As far as I am concerned, the absence of any specific rule for filing an application to strike out a third party notice would not be a bar to such an application. I fully accept Miss *Munene*'s submission on this point; that the Order L, rule 12 provides a complete answer to the matter. The said rule provides as follows:

> "Every order, rule or other statutory provision under or by virtue of which any application is made must ordinarily be stated, but no objection shall be made and no application shall be refused merely by reason of failure to comply with this rule".

The respondent also submitted that this application was premature. Their contention is that the application should be dismissed, or at the very least be stayed pending the hearing of the respondent's application for directions. As far as the respondent is concerned, the third party ought to canvass the issues raised by this application at the stage of directions. It was pointed out to the Court that in the *Yafesi* case the issue was dealt with during the summons for the third party directions.

I agree with the respondent's observation that in the *Yafesi* case the issue was dealt with at the stage of third party directions. But as I have noted earlier in

this ruling I do not believe that the lack of a specific provision for making the application would be fatal to the said application. I also believe that it is not mandatory that relief has to be sought in exactly the same manner as was done in previous cases. In any event I find it hard to reconcile the respondent's submission on this point, to the earlier submission to the effect that the Civil Procedure Rules do not have any specific provisions for an application to strike out a third party notice. If there are no specific provisions as stated by the respondent, why should the third party wait until the hearing of the application for direction to put forward its case for wanting to cease being party to this suit? But I believe that the answer is to be found in Order 1, rule 18, which provides as follows:

> "If a third party enters an appearance pursuant to the third party notice, the respondents giving the notice may apply for directions, and the Court upon the hearing of such application may, if satisfied that there is a proper question to be tried as to the liability of the third party, order the question of such liability as between the third party and the respondent giving the notice to be tried in such manner, at or after the trial of the suit as the Court may direct; and, if not so satisfied, may order such judgment as the nature of the case may require to be entered in favour of the respondent giving notice against the third party".

In the *Yafesi* case when the Court was commenting on the scope of the legal provisions governing the grant of direction, it had the following to say;

> "The powers of the Court on the application for directions are now very wide. The master may at any time set aside third party proceedings".

Thus I do come to the conclusion that Order 1, rule 18 does provide the third party an opportunity at which they can have the third party notice set aside. It does therefore follow that this application was, strictly, not necessary. The third party could have canvassed the same issue at the hearing of the respondent's application for directions. The said application for directions is still pending before this Court. To that extent I must agree with the respondent's assertion that the application to strike out the third party notice was premature.

The manner in which the application has been drawn up gives the Court only 2 options; to either strike out the third party notice, or otherwise hold that it should remain in force. In contrast, the provisions of Order 1, rule 18 give the Court several options. The Court could strike out the third party notice; or it could direct that the issue of liability be tried at the trial. The third option is for the Court to direct that the issue of liability be tried after the trial of the suit. In effect, the rule provides a much more conducive opportunity to address the issues pertaining to the manner in which the third party notice can be dealt with.

But in the final analysis, I cannot see the purpose that would be served by my putting off my decision on this mater, and asking another Judge to deal with a matter that has been fully canvassed before me, only for the reason that the matter ought to be dealt with at the hearing of the application for directions. I am fortified in my decision to make a substantive decision on the application, (even though it may have been brought prematurely, and under the wrong procedure), by the decision of the Court of Appeal in *Varsani v Kanjee Naranjee (Kenya) Limited* [1977] KLR 171 at 174. In that case the Court of Appeal expressed itself thus;

> "Besides, we note that the Judge went ahead and heard the application notwithstanding his view that the wrong procedure had been adopted and gave a reasoned ruling. This being so, the question of the procedure in this case is of academic interest and

> cannot affect this Court's decision on the merits of the application, Mr Khanna argues that the holding at that stage was judicial to the applicant. We do not agree, right or wrong the Judge gave no reasons for his decision and we do not agree with Mr Khanna's submission that, having held that the wrong procedure had been adopted, the Judge's reasons for dismissing the application should be regarded as obiter. He made it clear that although he considered the procedure by way of chamber summons to be wrong he would nevertheless deal with it, and this he did."

Section 10(1) of Chapter 405 imposes a duty on the insurer to satisfy a judgment against the insured. The insurance company herein does not wish to participate in the trial of the dispute between the plaintiff and the respondent. I cannot see any justification for forcing them to continue to participate in the said proceedings. I do therefore grant the prayers numbered 1, 2 and 3 in the chamber summons dated 6 March 2000. But the respondent should nonetheless take comfort in the provisions of section 10(1) of the insurance (Motor Vehicles third party risks) Act Chapter 405. By striking out the third party notice, the Court has not in any way dismissed the duty imposed on the insurance company to satisfy the judgment (if any), that may be passed against the respondent.

In conclusion, I do strike out the third party notice. However, each party will bear its one costs of the application.

For the applicant:
Miss Munene

For the respondent:
Mr PM Kahonge instructed by *Macharia Kahonge & Co*

Katumo and another v R
[2004] 2 EA 113 (HCK)

Division:	High Court of Kenya at Nairobi
Date of Judgment:	2004
Case Number:	174 and 183/00
Before:	Ochieng and Makhandia AJJ
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Criminal law – Appeal – Retrial – Factors to be considered by court before ordering a retrial.

Editor's Summary

The appellants had been convicted on charges of robbery with violence contrary to section 296(2) of the Penal Code. Following the conviction, they were sentenced to death. They appealed on both conviction and sentence.

When the appeal came up for hearing, the State conceded the appeal on the grounds that unqualified prosecutors had participated in the proceedings contrary to the provisions of sections 85(2) and 88 of the Criminal Procedure Code. The State then made an application for re-trial on the grounds that the evidence which was adduced before the trial Court was overwhelming and that

therefore the appellants should not be permitted to enjoy their freedom simply because of a technicality during the trial.

Held – A retrial will be ordered only where the original trial was illegal or defective; it will not be ordered where the conviction is set aside because of insufficiency of evidence *Suma v Republic* [1964] EA 481 followed.

The charges against the appellants arose from a very serious incident in which four people lost their lives through the hands of merciless robbers. The interests of justice would best be served by a re-trial.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Suma v Republic [1964] EA 481 – **F**

Judgment

OCHIENG AND MAKHANDIA AJJ: These two appeals were consolidated, as they both arose out of one criminal case in the Court below.

The appellants had been convicted on charges of robbery with violence contrary to section 296(2) of the Penal Code. Following conviction, they were sentenced to death, as prescribed by law. Being dissatisfied with the conviction and sentence the appellants preferred appeals. The appeals were filed against both conviction and sentence.

However, when the appeal (now consolidated), was due to be heard before us, on 6 May 2004, the Learned State Counsel, Miss Otieno conceded the appeal. The concession was made on the grounds that unqualified prosecutors had participated in the proceedings, contrary to the provisions of sections 85(2) and 88 of the Criminal Procedure Code.

Following the concession by the State, the appeal automatically succeeds. Accordingly, the conviction and sentence imposed on the appellants is hereby set aside.

But before any further orders could be made, to enable the appellants to gain their freedom, the State made an application for re-trial. It was submitted that the evidence which was adduced before the trial court was overwhelming, and that therefore the appellants should not be permitted to enjoy their freedom, simply because of a technicality during the trial.

Upon a perusal of the record of the proceedings before the trial court, it is noted that applicant number one was the tenth accused, while appellant number two was seventh accused. The two appellants were said to have been part of a gang which descended upon Kisiiki Market, Yatta Division, Machakos District, on the night of 22 January 1997. The two appellants were identified by PW4, a retired nurse who was then operating a shop at the market. In her testimony, she said that she and her three children had hidden in the roof of her shop after she had observed part of the mayhem through her shop window. She testified that the appellants and a few other members of the attacking group entered her shop, but by then she was hiding in the roof. The gang switched on the lights of her vehicle. By so doing, they provided her with sufficient light to positively identify the appellants, amongst the robbers.

PW10, a teacher at Mavoloni Secondary School, also identified the appellants herein, inside the bar. A pressure lamp was on, at the material time.

We note that whilst the second appellant disputed his identification by PW1, for the reason that the said PW1 had a case with the appellant's father, there was no serious challenge to the identification by PW4 and PW10.

We note that the charges against the appellants arose from a very serious incident, in which four people lost their lives, through the hands of merciless robbers. Many others were maimed or otherwise injured, in varying degrees. There is no doubt that there was a robbery with violence at the material time. From the evidence adduced before the trial court, it appears more probable than not that the appellants were part of the gang that orchestrated the robbery.

This Court has forewarned itself that a retrial ought not be ordered if by doing so, the prosecution will be accorded an opportunity to seal any apparent loopholes in the evidence adduced earlier. We have also borne in mind that:

> "In general a retrial will be ordered only where the original trial was illegal or defective; it will not be ordered where the conviction is set aside because of insufficiency of evidence". – per Russel J in *Suma v R* [1964] EA 481.

The trial herein was defective, as it was partially conducted by someone who is not legally qualified to conduct prosecutions in Kenya. That is the sole reason why the appeal has been allowed.

For the foregoing reasons, we hold the considered view that the interests of justice will be best served by a re-trial. Accordingly, we hereby order that the appellants shall be retried. We further direct that the trial be conducted by any Magistrate of competent jurisdiction, other than Mr EO Awino.

For the appellants:
Information not available

For the respondent:
Miss Otieno, State counsel instructed by Attorney-General

Kenindia Assurance Company Ltd v Kamithi and another
[2004] 2 EA 115 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	28 May 2004
Case Number:	94/04
Before:	Omolo, Tunoi JJA and Ringera AJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Insurance law – Material facts – Non-disclosure, concealment or misrepresentation thereof – Whether contract of insurance automatically avoided or voidable – Delay in repudiating – Whether insurer's right to avoid or repudiate vitiated.

[2] Insurance – Premiums – Life policy – Obligation to pay premiums – Waiver and estoppel – Whether payment of premiums on a life policy after death of insured could operate as a waiver and estoppel on the insurer.

Editor's Summary

The first respondent and her husband, Stephen Kamithi, took out a joint life assurance policy with appellant (Kenindia). In the proposal form, the first respondent and her husband stated that the husband did not have a usual medical attendant; that no illness, accident or medical condition had prevented the husband from carrying out his work due to such condition in the last five years and that no other life assurance was then in force over the deceased's life. The husband and wife were referred to two doctors by the appellant who, on examination, revealed that the husband had a heart condition. As a result of this relation, premiums payable were increased.

The appellant issued a joint life policy on the strength of the proposal form and declaration signed by the husband and wife for an assured sum of KShs 4 million. It was a term of the contract of insurance that if any untrue averment was contained in the proposal or declaration, the contract of insurance would be null and void and all monies which should have been paid in respect of the contract would stand forfeited to the appellant.

The husband passed away five months after entry into force of the contract of assurance and the wife notified the appellant. She also made a claim in her capacity as a beneficiary as well as an insured. The wife was interviewed and recorded a statement with the appellant's investigator. In the statement she disclosed that the deceased had a private doctor, who had referred the deceased to South Africa for medical treatment. She also disclosed that the deceased had previously been admitted to Nairobi Hospital with pneumonia for which he was treated and discharged. She further disclosed that the deceased had two other life policies with different insurers.

The appellant wrote to the first respondent that it had discovered gross non-disclosure of material facts on the proposal form and the claim therefore stood repudiated. The first respondent had continued to pay premiums after the deceased's death which amount was refunded by the appellant. No refund of the premiums paid up to the time of the demise of the deceased were paid. After the appellant declined to settle the claim, the first respondent and her son, the second respondent who had jointly obtained a grant of letters of administration to the estate of the deceased, filed a suit in the High Court for recovery of the sum assured.

The High Court found that there was the clearest evidence of non-disclosure of material facts by the deceased and that the appellant was entitled to repudiate the policy at the time it became aware of the true position regarding the information received from the deceased. The Judge further found that in the circumstances of this case, the appellant had, however, lost its right to repudiate the policy as it did not do so within a reasonable time of becoming aware of the non-disclosures and untruths but on the contrary continued to accept premiums from the first respondent. The Judge held for the plaintiffs and awarded them the sum of KShs 4 million.

The appellant Appealed to the Court of Appeal.

Held – Non-disclosure or concealment or misrepresentation of material facts did not have the effect of automatically voiding a contract of insurance, but its effect was to make the contract voidable at the instance of the insurer. If and when an insurer became possessed of all the facts entitling him to avoid

or repudiate the policy for reason of non-disclosure, concealment or misrepresentation of material facts, he would be entitled to elect to avoid or affirm the contract at once, or to have a reasonable time to weigh his options. If he opted to delay his election, the delay *per se* would not have the effect of vitiating his right to avoid or repudiate the contract. The delay would only be prejudicial to his rights if it had prejudiced the assured or the rights of third parties who had intervened as a result thereof, or it was of such a length as to be evidence that the insurer had in truth decided to accept liability. *Allen v Robles* [1969] 1 WLR 1193; *South British Insurance Company Ltd v Samiullah* [1967] EA 659 considered.

The High Court had erred in finding that the appellant had lost its right to repudiate the policy when after learning of the concealed information it had failed to repudiate immediately. The appellant was entitled to a reasonable time to weigh his options and delay in doing so did not and could not lose him his right to repudiate.

Since the policy in question was a joint life policy, the obligation to pay premiums ceased on date of maturity or the death of the assured whichever came first. The obligation to pay premiums in the circumstances of this case ceased on 11 April 1999 when the deceased (one of the joint lives insured) died. In those circumstances the continuing cover under the policy came to an end and the premiums paid thereafter were inconsequential to the rights and obligations under the policy. Where there was no obligation to pay premiums, it can never be the case that payment thereof could operate as a waiver or an estoppel on the right to repudiate a policy obtained through non-disclosure, concealment or misrepresentation of material facts. A waiver and estoppel could only operate on a continuing policy.

Appeal allowed.

Editor's Note

This case has overturned the decision in *Kamithi v Kenindia Assurance Co* [2001] 2 EA 394.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

South British Insurance Company Ltd v Samiullah [1967] EA 659 – **C**

United Kingdom

Allen v Robles [1969] 1 WLR 1193 – **C**

Ayrey v British Legal and United Provident Assurance Co [1918] 1 KB 136 – **C**

Clough v London and North Western Railway Co [1871] LR 7 – **C**

Judgment

RINGERA AJA: This is an appeal by Kenindia Assurance Company Limited (the appellant) against the judgment of the High Court of Kenya whereby it was ordered to pay to Margaret Nduta Kamithi and George Njenga Kamithi, suing as personal representatives of the estate of Stephen Kamithi, (the respondents) the sum of KShs 4 million (four million) together with interest thereon from the date of filing suit until payment in full. The said sum of KShs 4 million was the value of a joint life assurance policy taken by the first respondent and her deceased husband Stephen Kamithi.

The brief facts of the matter as discernible from the record of appeal appear to be the following. By a proposal form for a life assurance policy dated 7 December 1998, Stephen Kamithi (the "deceased") and Margaret Nduta Kamithi (the first respondent) jointly applied to the appellant for a policy of life assurance. It was an express term of the proposal that all statements and answers given by the deceased and the first respondent in the proposal were true, full and complete in every particular and that they had not withheld any information. The deceased and the first respondent further declared that the statements in the proposal and the declaration should be the basic of the contract of assurance between them on the one hand and the appellant on the other hand. The deceased and the first respondent agreed that if any untrue averment was contained in the proposal or declaration the contract of assurance should be null and void and all monies which should have been paid in respect of the contract should stand forfeited to the appellant. The deceased and the first respondent signed the proposal and declaration.

In the proposal the deceased and the first respondent stated with regard to the deceased, *inter alia*, that:

(*a*) the deceased did not have a usual medical attendant;

(*b*) no member of the family of the deceased, living or dead suffered from any hereditary disease (for example diabetes, stroke, mental disorder, heart disease, high blood pressure);

(*c*) no illness, accident or medical condition had prevented the deceased from carrying out his work and that the deceased had not remained absent from his work due to such condition in the last five years;

(*d*) no other life assurance was then in force over the deceased's life.

On the basis of the information provided, the premium was fixed at KShs 37 259. The policy term was for 12 years. After completing that proposal form, the deceased and the first respondent were on the same day referred by the appellant to Dr JN Muiru for a medical examination. They were examined on 9 December 1998. They were also examined by a Dr Chege and X-rays were taken. The examinations revealed that the deceased had a heart condition. As a result of that revelation the premium was increased to KShs 44 925.

On the strength of the proposal and declaration and the subsequent medical examination, the appellant on 19 January 1999 issued a joint life insurance policy number 948694 on the lives of the deceased and the first respondent, effective from 7 December 1998 for an assured sum of KShs 4 million on the terms and conditions set out in the policy. The class of assurance was said to be a 12 year dynamic advantage plan with profits. The policy specification schedule also provided that the monthly premium would be KShs 44 925 payable by banker's

order until the stipulated date of last payment or previous death of the life assured. The stipulated date of last payment was 27 November 2010. It was an express term of the policy that the proposal from and declaration were the basis of the insurance. Clause 4 of the conditions and privileges of the policy provided, *inter alia* that in case it should thereafter appear that any untrue or incorrect statement was contained in the proposal and declaration, or in any of the statements referred to therein, or that any material information had been withheld, then and in every such case the policy shall be void, and all claims to any benefits in virtue thereof shall cease and determine, and all moneys that had been paid in consequence thereof shall belong to the company. Concerned with the increased premium, the deceased and the first respondent visited the appellant's offices. They were advised by a Mr Njau and as a result of the advice received, they requested and were allowed to alter the plan and term of the policy form dynamic advantage, 12 years to multiple advantage, 15 years, and the monthly premium was reduced from KShs 44 925 to KShs 42 884. The dates of last payment and maturity were also changed to 7 November 2013 with effect from 7 March 1999. That endorsement to the policy was made on 10 March 1999.

The deceased passed away on 11 April 1999. His death was notified to the appellant via a letter dated 1 May 1999 under the hand of the first respondent. In the letter the first respondent also put up a claim in her capacity as a beneficiary as well as an insured. A death certificate was attached. On 18 June 1999, the first respondent was interviewed by, and recorded a statement with, the appellant's investigator. In the statement, she disclosed that the deceased had a private doctor, a Dr Gikonyo, who in 1996 had referred the deceased to South Africa for medical treatment. During the sojourn of two weeks, the deceased was given a heart by-pass-operation. She also disclosed that in 1995 he had been admitted to Nairobi Hospital with pneumonia for which he was treated and discharged. She further disclosed that the deceased had two other life policies with Alico whose numbers were 4146073 and 3577837 which policies had already been settled.

On 9 August 1999, the appellant wrote to the first respondent to the effect that following its investigations into the genuineness of the claim, it had been found that there was gross non disclosure of material facts on the proposal from signed and dated 7 December 1998 and, in the circumstances, the claim stood repudiated. It would also appear that despite the death of the deceased, premiums continued to be paid on the policy by banker's order until the first respondent instructed their bank to stop. On 5 November 1999, the appellant refunded to the first respondent a sum of KShs 257 442 being the amount erroneously received after the death of the assured. No refund of the premiums paid up to the time of the demise of the deceased was paid. After the appellant declined to settle the claim by the first respondent the first respondent and her son, the second respondent, who had jointly obtained a grant of letters of administration to the estate of the deceased, filed a suit in the High Court for recovery of the sum assured.

After hearing the evidence adduced by the respondents (the appellant elected not to call any evidence) and the submissions made by the respective parties' advocates, Mbaluto J, in a reserved judgment, found there was the clearest evidence of non-disclosure of material facts by the deceased in that the answers to the questions in the proposal from on whether the deceased had a usual medical

attendant, whether he had other policies in force, whether he had any hereditary disease, and whether he had been prevented from carrying out his work by illness, accident or medical condition had all been untrue or incorrect. In that regard, the Learned Judge found that that the first respondent had in her evidence admitted that the deceased used to be treated by Dr Gikonyo who had been his doctor sine 1990, that he had a heart disease and was off duty for three weeks when he went to South Africa for a heart operation, and that at the time of completing the proposal form, the deceased had other life policies with Alico Kenya Limited and Mercantile Life and General Assurance Company Limited. The Learned Judge further found that by reason of non-disclosure of material facts the appellant was entitled to repudiate the policy at the time it became aware of the true position regarding the information it had received from the deceased and the first respondent. The Judge further found that in the circumstances of this case the appellant had, however, lost its right to repudiate the policy as it did not do so within a reasonable time of becoming aware of the non-disclosures and untruths but on the contrary continued to accept premiums from the first respondent. As regards continued acceptance of premiums after the demise of the deceased, the Learned Judge reasoned as follows:

> "The deceased died on 11 April 1999 and the death was reported to the defendants on 1 May 1999. From that date up to 5 November 1999, the defendant continued to accept the monthly premium of KShs 42 884 on the joint policy without raising any query on the matter. In his submissions, Mr *Fraser* for the defendant said that the premiums were accepted because they were being paid through a banker's order which the first plaintiff had failed to stop upon the death of the deceased. However, I am unable to see what would have obliged the first plaintiff to stop payments of the premiums prior to the receipt of communication from the defendant of its intention to repudiate the policy and particularly when the defendant was all the while, accepting the payments without complaint. In any case, the defendant having tendered no evidence whatsoever in this matter regarding that or indeed any other issue, there is nothing to support what Mr *Fraser* says".

As regards failure to repudiate the policy within a reasonable time after being aware of material non-disclosures, the Learned Judge reasoned as follows:

> "The defendant had a right to repudiate the policy upon the discovery of non disclosure of material facts by the deceased. Accordingly, although the evidence is not very clear when the defendant first became aware of the matter, at the very latest it knew by 18 June 1999 that the answer to the question regarding other life policies was untrue and that it had the right to repudiate the policy. In my opinion therefore, the defendant lost the right to avoid the policy by accepting further premiums on the policy from that moment".

In reaching those conclusions, the Learned Judge relied heavily on the following passage in the Law of Insurance by *Raoul Colinvaux* (5 ed) 1984 paragraph 5-02:

> "The duty to disclose it not an implied term of the contract itself. Unlike fraud or a breach of condition, non-disclosure never by itself gives to a claim for damages. Avoidance of the whole contract is the only remedy. Once the aggrieved party (i) knows all the facts, and (ii) has had a reasonable time in which to make up his mind, he must make his election once and for all. He need not exercise it, however, until he knows all the facts; being put on inquiry is not sufficient. Thus where, although the assured has suppressed or misrepresented a fact he discloses it to the insurance office before they pay a claim, they cannot after payment recover back the money. Similarly where the insurers receive notice that the risks insured against have

been misrepresented, concealed or incompletely disclosed and accept further premiums on the same policy, they lose their right to avoid it".

In those premises, the Learned Judge held for the plaintiffs and awarded them the sum of KShs 4 million with interest thereon from the date of filing suit until payment in full.

In the course of his judgment, the Learned Judge also dealt at length on the evidential status of two documents marked as "MFIA" and "MFIB" which had been introduced on record on the basis that they were referred to in the appellant's notice to the respondents to admit documents but which were not formally produced by the appellant at the trial. The Judge found the said documents were not evidence in the case. As decision in this appeal does not turn on the Judge's finding with regard to whether or not the said documents were evidence in the trial, no more will be said of them and the ground(s) of appeal pertinent thereto will not be considered.

From the above judgment, the appellant has preferred this appeal on the grounds that:

(i) the Judge erred in holding that the appellant was only entitled to repudiate the policy at the moment in time the appellant becomes aware of the true position;

(ii) the Judge erred in holding that the appellant did not repudiate within a reasonable time and thereby lost the right to repudiate;

(iii) the Judge erred in holding that the appellant lost the right to repudiate or avoid the policy on 18 June 1999;

(iv) the continuing cover under the policy came to an end on the death of the first of the deceased or the first respondent, (*sic*). Therefore no premiums were payable after the death of the deceased. In the circumstance the receipt of premiums paid by banker's order after the death could not amount to a waiver or an estoppel on the right to repudiate;

(v) the Judge erred in holding that payments made by banker's order in the appellant's account could constitute a waiver or estoppel;

(vi) the Judge erred in holding that there was no evidence that the premiums were paid by the first respondent by banker's order and continued until the first respondent stopped the banker's order; and

(vii) the Judge erred in holding that the respondents were entitled to judgment in the sum of KShs 4 000 000 with interest thereon from the date of filing suit until payment in full.

For their part, the respondents availed themselves of the procedural latitude conferred by rule 91 of the Court's Rules and filed a notice of grounds for affirming the decision of the superior court on grounds other than those relied upon by the said court. Those grounds were:

(i) that the appellant having prior to the issuance of the subject policy subjected the deceased to a medical examination by its own nominated doctors and having accepted loaded premiums thereto for five months before the subjects death is therefore precluded by estoppel and/or waiver from repudiating the claim/policy; and

(ii) adverse inference ought to be drawn against the appellant for its failure to call material witnesses namely the said doctors and its underwriters to support its averments.

Mr *Fraser*, who represented the appellant in this appeal, as he did in the superior court, argued that in law the appellant was not obliged to repudiate the policy upon discovering the non-disclosures or misrepresentations by the assured and,

accordingly, it was under no obligation to do so within a reasonable time. The assured had a choice to make. In that regard, he referred to *Colinvaux's Law of Insurance* (*supra*), paragraph 5-02 where it is stated:

> "Where the assured conceals something he knows to be material such concealment is fraud. But in any case the effect of mere non-disclosure on an insurance contract is to some extent the same as with the effect of fraud. The party aggrieved, when the matter comes to his knowledge, may choose either to carry on with the contract or not. It is voidable at the election of the aggrieved party, as opposed to that class of contract which is void by operation of law".

In further support of his submissions, counsel cited the English Court of Appeal decision in *Allen v Robles* [1969] I WLR 1193, at page 1196 letters E-H where the Court cited with approval the following passage from *Clough v London and Nothwestern Railway Company* [1871] LR 7 Exch 26 at 34:

> "We agree with what seems to be the opinion of all the Judges below, that if it can be shown that the (insurers) have at any time after knowledge of the fraud, either by express or by unequivocal acts, affirmed the contract, their election has been determined forever. But we differ from them in this, that we think the party defrauded may keep the question open as long as he does nothing to affirm the contract".

The English Court of Appeal then proceeded to express the view that if the insurer discovered that there was a claim and that the insured was in breach of a condition, they were in a position to elect either by refusing to indemnify; or to accept a liability or indemnity; or it was open for them to delay their decision. In the later regard, the Court stated that mere lapse of time would not lose them their right to decide to refuse to indemnify; the lapse of time would only operate against them if thereby there was prejudice to the insured or if in some way rights of third parties had intervened or if the delay in itself was of such a length as to be evidence that they had in truth decided to accept liability.

Counsel also relied on *Mac Gillivray on Insurance Law* (9 ed) 1997 paragraph 17-27 where it is posited:

> "If the assured has failed in his duty of making full disclosure, the insurer may, on discovering the full facts, elect to avoid the contract of insurance, and he may do so either before or after the loss has occurred. The contract cannot therefore be said to be automatically avoided by non-disclosure; it remains in force until avoided by the insurer ... unless there has been wilful or fraudulent concealment on the part of the assured, the premiums paid are returnable".

As regards the effect of the retention of premiums paid before the death of Mr Kamithi and the receipt of further premiums after his death and even after discovery of the non-disclosure and misrepresentations, Mr *Fraser* argued with regard to the former that they were not refundable as the insurance was at risk on the life of Mrs Kamithi and both the proposal form and the policy itself made it clear that in the event of non-disclosure or misrepresentation of material facts the premiums paid would be forfeited to the insurer. With respect to receipt of premiums after death and discovery of non-disclosure, he argued that the evidence from Mrs Kamithi showed that payments thereof was by banker's cheque and they continued until she stopped the payments. He contended that such payments were in any event inconsequential as the life of the policy came to an end with the death of one of the assured and, accordingly, no premiums were payable thereafter and the insurer could not be estopped from repudiating the policy on the basis that it had accepted premiums which were not payable.

He argued that it was only in the case of an ongoing policy where acceptance of premiums after knowledge of facts giving rise to right to repudiate could possibly stop the insurer from repudiating. Counsel also invoked Spencer Bower and Turner's *The Law Relating to Estoppel by Representation* (3 ed) 1977 on pertinent principles concerning estoppel and waiver. At paragraph 310, the law is stated as follows.

> "The doctrine of election as applicable in the law of estoppel may be summarised as follows: where A, dealing with B, is confronted with two alternative and mutually exclusive courses of action in relation to such dealings, between which he may make his election, and A so conducts himself as reasonable to induce B to believe that he is intending definitely to adopt the one course, and definitely to reject or relinquish the other, and B in such belief alters his position to his detriment, A is precluded, as against B, from afterwards resorting to the course which he has thus deliberately declared his intention of rejecting".

Mr Muturi *Kigano*, too, argued for the respondent in this Court, as he did in the superior court. His principal contention was that although the deceased might have lied in the proposal form, the appellant immediately become aware of the fact that the deceased had a heart condition and that he had a usual medical attendant in the name of Dr Gikonyo as a result of the medical examination and inquiry carried out by Dr Muiru on the instructions of the appellant and, consequently, when the appellant accepted the premiums and subsequently loaded them to KShs 44 000 and later to KShs 42 884 it waived its rights to subsequently repudiate the policy on the basis of the statements in the proposal form. In counsel's view, a new contract of insurance constituted by the proposal as varied by the subsequent medical examination and the acceptance of premiums was created. Counsel emphasised that the appellant accepted premiums for four months before the death of Mr Kimithi and that those premiums were not returned. Counsel relied on the following passages from *Halsbury's Laws of England* (4 ed) Volume 25:

> Paragraph 440
>
> "If what is relied on as a waiver is conduct after a breach has occurred, the conduct must be such as to indicate an intention to treat the contract as still subsisting. There can be no waiver unless the insurers have full knowledge of the material circumstances".
>
> Paragraph 422
>
> "The dividing line between estoppel and waiver is so fine as to be in many cases almost indistinguishable. In theory a waiver of a contractual right is something contractual involving agreement express or implied, between the parties; estoppel, however, is merely a rule of evidence or law by which a party is precluded from asserting the existence of a fact, including a right. Therefore, conduct by the insurers making performance of a condition either impossible or unnecessary can be set up as a waiver if there is the requisite assent to or consideration for it. Alternatively, the same conduct can be relied on as an estoppel if it has induced the assured to believe that the condition need not be performed or that accrued rights are not going to be enforced, and to act accordingly. However, if it follows a breach of a condition, the conduct must be such as to lead the assured to the belief that the contract is being treated by the insurers as valid notwithstanding the breach, as where they accept a renewal premium or do or demand something without any justification except the policy. There must, however be a reliance on the part of the assured on the representation as to the continued validity of the policy imparted by the insurer's conduct and a consequential alteration in his position. Unless the assured is misled, there is no estoppel".

Counsel submitted on the basis of the foregoing that in this case, the insurer was aware of all material circumstances when it issued the policy after receiving the medical report and that the insured was induced to believe the policy was in force. He invoked the passage previously cited from *Colinvaux's Law of Insurance* (*supra*) that where the insurer receives notice that the risks insured against have been misrepresented concealed or incompletely disclosed and accept further premiums on the same policy, they lose their right to avoid it. Counsel also relied on the following passage from *Chitty on Contracts* (27 ed) Volume II at page 904:

> "Non-disclosure or misrepresentation makes the contract voidable, not void, so that the aggrieved party has an election whether or not to avoid the contract. Once the aggrieved party knows all the facts, he should inform the other party within a reasonable time if he elects to avoid the contract, for otherwise his subsequent conduct may be taken to be either an affirmation of the contract, or as leading the other party to suppose that the contract is being affirmed and causing him to act accordingly. Thus where the aggrieved party does some act which is inconsistent with an intention to avoid the contract, such as paying a claim, or accepting further premiums after knowledge of a non-disclosure or misrepresentation, the right to avoid the contract will be lost. However, the right will not be lost unless the aggrieved party does know all the facts; being put on inquiry is not sufficient. Once the aggrieved party has made his election, it is irrevocable".

Reference was also made to the decision of the East Africa Court of Appeal in *South British Insurance Company Ltd v Samiullah* [1967] EA 659, where it was held that when an insurer came to know that an insured had concealed a material fact when obtaining a policy, he was entitled from that moment or within a reasonable time thereafter to repudiate and should have repudiated the policy. And in *Ayrey v British Legal and United Provident Assurance Co* [1918] 1 KB 136, it was held that the acceptance of premiums by the agent of the insurer with full knowledge that there had been a non-disclosure of material facts was a waiver by the company of the breach of the clause in the proposal form entitling it to avoid the policy for such non-disclosure.

In concluding his arguments, Mr *Kigano* submitted that on the facts the insurer waived its right to repudiate the policy, compensated itself for the higher risk by loading the policy, and led the assured to believe that a valid policy of insurance had been entered into. All that, in his view, lent substance to ground (1) of the notice of grounds for affirming the superior court's decision. Counsel further submitted that even if grounds for repudiating the policy existed, it was incumbent on the appellant to prove them through its own witnesses and as it had failed to call any evidence, the Court inferred that such evidence would have been adverse to the appellant. All in all, he asked for the dismissal of the appeal with costs here and below.

In a brief reply, Mr *Fraser* pointed out that according to the evidence of the first respondent, the loading of the policy was due to the discovery that the deceased had previously had a heart operation. In response to the point that the appellant knew of the non-disclosure of material facts when it accepted the premiums, counsel argued that the appellant did not know of the other lies until after the death of the deceased. Such lies included the fact that he had been hospitalised for pneumonia, that he had a usual medical attendant, and that he had other life insurances. In his view, if one was caught on one lie, it did not follow that all the other lies had been forgiven. He emphasised that the repudiation of the policy was on things other than the deceased's medical condition

relating to the heart. As regards the facts that Mr Maingi PW2, (who filled in all the answers in the proposal form) knew that the deceased had Dr Gikonyo for his regular doctor and that he had other life policies with Alico, Mr *Fraser* submitted that according to the evidence of Mr Maingi himself he was Mr Kamithi's insurance agent and referred to Mr Kamithi as his client and, accordingly, his knowledge could not be imputed to the company and even the Learned Judge below had not made such an imputation.

Having considered the grounds of appeal, the grounds for affirming the decision of the superior court, and the arguments canvassed by the advocates for the parties, the following view commends itself to me. Grounds (1), (2) and (3) of appeal raise the issue of the effect of non-disclosure or concealment of material facts on the contract of insurance and the time frame, if any, within which the insurer may exercise its right to repudiate or avoid the policy by reason of non-disclosure or misrepresentation or concealment of material facts. On the authority of the passage here before cited from *Chitty on Contracts, Mac Gillivray on Insurance Law* and *Colinvaux's Law of Insurance* it is evident that the position in law is that non-disclosure or concealment or misrepresentation of material facts does not have the effect of automatically avoiding a contract of insurance. It's effect is to make the contract voidable at the instance of the insurer. As regards when the option should be exercised, the textbooks and judicial authorities apparently express different views. In *Colinvaux* it is stated that once the insurer knows all the facts (as opposed to merely being put on inquiry) and had had a reasonable time in which to make up his mind, he must make his election once and for all. In Chitty it is said that once the insurer knows all the facts he should inform the assured within a reasonable time if he elects to avoid the contract. From those two works, the impression one gets it not that it is incumbent on the insurer who has known the full facts to elect to avoid the contract at once or within a reasonable time thereafter but that he is entitled to a reasonable time in which to make up his mind either way and he should communicate such decision to the assured. Be that as it may, in *South British Insurance Company Ltd v Samiullah* (*supra*) Law JA with whom the other member of the East African Court of Appeal concurred, took the view that from the moment the insurer became aware of the facts entitling it to repudiate within a reasonable time thereafter, it could and should have repudiated the policy. The editor of the law report in holding (ii) puts the matter somewhat differently by positing, "from that moment, or a reasonable time thereafter, the appellant should have repudiated the policy." I think the editor's note is a misrepresentation of the view of the Judge. In my opinion, the ratio of the case is that the insurer was entitled on discovery of non-disclosure or concealment to repudiate the contract at once or within a reasonable time thereafter. The decision does not purport to deprive the insurer of his right to elect to avoid or affirm the policy. In *Allen v Robles and another* (*supra*), the English Court of Appeal decided that an insurer who had discovered non-disclosure, or misrepresentation of material facts had three choices. It could elect either (i) to refuse to indemnify, or (ii) to accept liability to indemnify, or (iii) to elect to delay the decision. The Court said that if the option of delay was adopted, the mere lapse of time would not lose them their right to decide to indemnify; lapse of time would only operate against them if thereby there was prejudice or if in some way rights of third parties had intervened or if the delay in itself was of such a length as to be evidence that

they had in truth decided to accept liability. In my judgment what the authorities established is this; if and when the insurer becomes possessed of all the facts entitling him to avoid or repudiate the policy for the reason of non disclosure, concealment or misrepresentation of material facts, he is entitled to elect to avoid or affirm the contract at once or to have a reasonable time to weigh his potions. If the opts to delay his election, the delay *per se* will not have the effect of vitiating his right to avoid or repudiate the contract. Delay would only be prejudicial to his rights if it has prejudiced the assured, or the rights of third parties had intervened as a result thereof, or it was of such a length as to be evidence that the insurer had in truth decided to accept liability.

How do those principles apply in the circumstances of this case? In my judgment, Mbaluto J was in error to find and hold that the appellant having, at least on 18 June 1999, known that the deceased had concealed information about the existence of other life policies and that the insurer was, accordingly, entitled to repudiate the policy, it should have done so from that moment or within a reasonable time thereafter failing which he lost his right to repudiate. As seen above, the insurer was entitled to a reasonable time to weigh his options and delay in doing so did not and could not, without more, lose him his right to repudiate. And in this case, there was no more to the delay as it was not contended and it had not been shown that the insured was prejudiced thereby or that the rights of third parties had intervened, and, as will shortly be clear, the delay could not in the circumstances of this case have amounted to an affirmation of the contract. In the premises grounds (1), (2) and (3) of the appeal succeed.

As regards the effect of continued receipt of premiums after 18 June 1999, I think it is best to deal with ground 6 of the appeal first. It will be recalled that the purport of that ground was that the Judge was in error in holding that there was no evidence that the premiums were paid by the first respondent and continued to be paid until the first respondent stopped them. Now from the proposal form itself and the policy both of which were exhibited, it was clear that monthly premiums were to be paid by way of banker's order. And Mrs Kamithi, the first respondent, testified that such was the mode of payment and the payments continued until she put a stop to them. In those circumstances, the Judge was plainly in error in his finding that there was no evidence that the premiums were paid by banker's order and continued until stopped by the first respondent. In that connection, it should be stated that credible and admissible evidence once adduced in a trial is not appropriated to any party and may be relied upon by any party to the proceedings. The next matter for consideration is the effect, if any, of the acceptance of those premiums from 18 June 1999 until November 1999 when a refund thereof was made to the first respondent. Mr *Fraser*'s submissions that those payments could not constitute a waiver of the insurer's right to repudiate the policy or operate as an estoppel against the assertion of such a right are, in my view, irresistible. It is clear from the policy specification schedule that the policy in question was a joint life policy and he obligation to pay premiums ceased on maturity date or death of the assured whichever came first. Accordingly the obligation to pay premiums in the circumstances here ceased on 11 April 1999 when the deceased (one of the joint insured) died. In those circumstances the continuing cover under the policy come to an end and the premiums paid thereafter were inconsequential to the rights and obligations under the policy. Where there is no obligation to pay the premium, it can never be the case that payment thereof operates as a

waiver or an estoppel on the right to repudiate a policy obtained through non-disclosure, concealment or misrepresentation of material facts. A waiver and estoppel could only operate on a continuing policy. Those considerations eluded the Learned Judge and they do distinguish this case from the authorities which affirm that acceptance of premium after knowledge of the material facts entitling an insurer to repudiate operate to deny him the right to subsequently repudiate the contract. In the result, I am of the opinion that grounds (4), (5) and (6) of the appeal succeed. That only leaves for consideration the respondent's grounds for affirming the decision on grounds other than those relied upon by the Learned Judge.

It bears repetition that the superior court found that the appellant was entitled to repudiate the policy on grounds of non-disclosure of material facts concerning whether the assured had a usual medical attendant, whether he had other life policies in force, whether he had been prevented from carrying out his work by illness, accident or medical condition, and whether he had any hereditary disease. There was no cross appeal from those findings. There being no such cross appeal, the respondents' second ground of affirming the decision is a vain one as the evidence which ought to have been called could only relate to non-disclosure of material facts. That ground must therefore be peremptorily rejected. The other ground for affirming the decision was that the appellant having caused the deceased to be examined by its own doctor and having known as a result of such examination that the deceased had a heart condition, and having loaded the premium as a result of that revelation, the appellant was precluded by waiver and/or estoppel from repudiating the policy. Having weighed the rival arguments, I have taken the view that if it had been the case that the insured had attempted to repudiate the policy on the basis of information relating to the deceased's heart condition, it would have been precluded from doing so by both waiver and estoppel: Waiver in that in the circumstances of this case, the appellant could have been said to have agreed to continue the policy notwithstanding the deceased's non-disclosure and misrepresentation of his heart condition in consideration of payment of enhanced premiums; and estoppel in that by not repudiating the policy and by accepting premiums after knowing the truth about his heart condition, the insurer had represented to the deceased that the policy would continue to be a valid one and the deceased had altered his position to his detriment by paying the enhanced premium. However, insurer here did not seek to avoid the policy only on grounds of the deceased's heart condition. The policy was also sought to be and was avoided on the grounds that the had not disclosed that he had a usual medical attendant, he had previously been hospitalised for pneumonia, and he had other policies of life assurance. In my view these other non-disclosures could not be said to have been waived nor could the insurer be said to be estopped from relying thereon to repudiate the policy by virtue of the fact that it had accepted an enhanced premium in consideration of the deceased's known heart condition. As counsel for the appellant said colourfully, forgiveness of one lie did not connote forgiveness of all the other lies. In the premises, this ground of affirming the decision is also rejected.

In the upshot, I would allow this appeal, set aside the judgment and decree of the superior court and substitute therefore an order dismissing the plaintiffs' suit in the High Court with costs. I would award the costs of the appeal to the appellant.

Tunoi and Omolo JJA concurred in the judgment of Ringera AJA.

For the appellant:
Mr AK Fraser instructed by *Hamilton Harrison & Mathews*

For the respondents:
Mr M Kigano instructed by *Kigano & Associates Advo*

Re Kenya National Federation of Co-operatives Ltd and others
[2004] 2 EA 128 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	1 March 2005
Case Number:	1621/04
Before:	Ibrahim J
Sourced by:	N Regeru
Summarised by:	M Kibanga

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[1] Judicial review – Application for leave to apply for judicial review – Applicant not making a full disclosure of facts – Whether applicant under duty to make full material disclosure of facts to court.

[2] Judicial review – Application for leave to apply for judicial review – Leave and stay granted – Application made to set aside the stay and for dismissal of application for leave – Affidavit supporting application sworn by a director without a resolution of the board of directors – Whether affidavit admissible.

Editor's Summary

The Kenya National Federation of Co-operatives Limited (KNFC) filed an application seeking leave to apply for judicial review to squash the decision of the Communication Commission of Kenya (CCK) which has granted a global service mobile (GSM) licence to accompany called Econet Wireless Kenya Limited (EWK). KNFC also sought an order of *mandamus* compelling CCK to grant KNFC the GSM license. The application for leave was granted and was to operate as a stay pending the hearing and determination of the main application. It was ordered that EWK be made a party to the proceedings.

EWK was aggrieved by the granting of the leave to stay and filed an application for the Court to discharge the stay under and dismiss the KNFC'S application. The grounds of the application were *inter alia* that KNFC had not made material disclosure in its application of 26 November 2004. Rapsel Limited, a member of EKW, opposed the application on the ground that one Zachary Wazara who had sworn to the affidavit on behalf of EWK was not authorised or competent to do so. The objection was preliminary in nature. The objection was opposed on the ground that Mr Wazara was presumed, as the director, to have authority to swear to the affidavit. It was argued that Mr Wazara's interest in EWK conflicted with those of the other shareholders.

Held – The issue of directorship was contended by both sides and raised facts which required

evidence to be determined by the Court. It was not a pure point of law.

The action of Mr Wazara to instruct counsel and to swear to an affidavit was done *bona fide* to protect the company's asset, namely the GSM licence and there was no suggestion that action was done *ultra vires*. The act was capable of ratification by the board of directors; *Banford v Banford* [1969] All ER 969 adopted.

The objection raised on the basis of there being conflict between Mr Wazara's interest and those of the other shareholders was again one of fact. The Court had no jurisdiction to deal with any internal company conflicts under Order LIII.

Although EWK was an interested party or a secondary respondent it had sufficient interest in the matter, the licence being its asset, to bring the application. The non-disclosure of material facts by KNFC in the application for leave was deliberate and calculated and had the said facts been disclosed the Court might have reached a different conclusion.

The rule of the Court requiring *uberimae fides* on the part of an applicant for an *ex parte* injunction applies equally to the case of an application for a writ of prohibition, *King v General Commissioners for Purposes of the Income Tax Acts for the District of Kesisington* [1917] 1 KB 48; *R v Metropolitan Police Force Disciplinary Tribunal, ex parte Lawrence* [1999] EWHC Admin 588; *R v Leeds City Council ex parte Hendry* [1994] Admn LR 444 D all approved*; Uhuru Highway Development Ltd v Central Bank of Kenya and others* [1995] LLR 389 (CAK) applied, *Memory Corporation PLC v Sidhu (number 200)* 1 WLR 1443 applied. The Court must insist on strict compliance with the rules pertaining to non- disclosure in order to afford protection to the absent parties at the *ex parte* stage.

The order of stay was discharged and the KNFCS application for leave dismissed with costs.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bugerere Coffee Growers Ltd v Sebaduka and another [1970] EA 147 – **C**

Kenya Telecommunications Investment Group Limited v Elecommunication 7 Commission of Kenya miscellaneous application number 1267 of 2003 – **AP**

Mukisa Biscuit Manufacturing Co Ltd v West End Distributors Ltd[1969] EA 696 – **C**

Nitin Properties Limited v Kalsi and another [1989] LLR 289 CAK – **C**

Uhuru Highway Development Limited v Central Bank of Kenya and others [1995] LLR 389 (CAK) – **AP**

United Kingdom

Bamford v Bamford [1969] All ER 969 – **AP**

Bank Mellat v Nikpour [1985] FSR 87 – **C**

Brink's Mat Ltd v Elcombe and others [1988] 3 All ER (CA) 188 – **C**

Dalglish v Jarvie (1850) 2 Mac & G 231

Lloyds Bowmaker Ltd v Britannia Arrow Holdings plc (Lavens, third party) [1988] 3 All ER 178 – **C**

March Rich and Company Holding v Krasner 1988

Memory Corporation plc v Sidhu (No. 2) 1 WLR 1443 – **AP**

King v General Commissioners for the Purposes of the Income Tax Acts for the District of Kensington ex parte Princess Edmond De Polignac [1917] 1 KB 487 – **APP**

R v Leeds City Council *ex parte* Hendry [1994] Admn LR 444D – **APP**

R v Metropolitan Police Force Disciplinary Tribunal ex parte Lawrence [1999] EWHC Admin 588 – **APP**

Ruling

IBRAHIM J: On the 25 November 2004 the Kenya National Federation of Co-operatives Limited filed an application under *inter alia* the provisions of section 8 and 9 of the Law Reform Act (Chapter 26) Laws of Kenya and Orders LIII, rules 1, 2 and 4 of the Civil Procedure Rules and section 3A of the Civil Procedure Act for leave to be granted to it by way of judicial review for the following orders that:

> "1. This application be heard and disposed of *ex parte* in the first instance.
>
> 2. (*a*) An order of *certiorari* to bring to the High Court the decision of the Communication Commission of Kenya made on 19 August 2004 granting a Global Service Mobile (GSM) licence to Econet Wireless Kenya Limited for the purposes of being quashed.
>
> (*b*) An order of *certiorari* to bring to the High Court the licence issued to Econet Wireless Kenya Limited on the 10 November 2004 for purposes of being quashed.
>
> (*c*) An order of *mandamus* compelling the Communication Commission of Kenya (CCK) to grant the third GSM licence to the consortium that was awarded the tender to operate a third GSM network on the 19 September 2003.
>
> 3. That the grant of leave herein to operate as a stay of the matter complained of herein before, that is to say, the leave do operate to stay performance or operation of the licence of the Global Service Mobile (GSM) issued to Econet Wireless Kenya Limited pending the hearing and determination of the substantive application.
>
> 4. The application also seeks an order that the costs of these proceedings be borne by the respondent."

The application was supported by an affidavit sworn by one Mr Charles Muchiri, the Vice Chairman of the applicant company on the 25 November 2004. This application was placed before me under certificate of urgency on the next day on 26 November 2004. I certified the application as urgent and proceeded to hear it *ex parte* as contemplated by Order LIII, rule (2).

Upon hearing the submissions of the applicant's counsel Mr Kahonge and Mr *Karanja* I granted all the prayers sought except that I directed that costs would be in the main application. I further ordered that the main application be filed within 21 days and that Econet Wireless Kenya Limited be made a party to the proceedings as a second respondent or first interested party as it may deem fit.

In the said application the Kenya National Federation of Co-operatives (hereinafter referred to as "KNFC") claim that:

(i) The Communication Commission of Kenya (hereinafter referred to as "CCK") made a decision on 19 August 2004 granting a Global Service Mobile (GSM) licence to Econet Wireless Kenya Limited.

(ii) The CCK had on 10 November 2004 issued the said licence to Econet Wireless Kenya Limited (hereinafter referred to as "EWK").

It is common ground that EWK was a constortium company consisting of four shareholders or partners which came together for the purpose of bidding for the tender and award of the Kenya GSM licence. These shareholders and/or partners were:

1. KNFC, a Kenyan company established and owned by co-operative societies and unions in Kenya (Kenya Co-operative Movement).
2. Econet Wireless International Pty Limited (hereinafter referred to as "EWI"), an international telecommunications company having its headquarters in South Africa.
3. Rapsel Limited, a Kenyan company, and
4. Corporate Africa Limited, a Kenyan company.

The effect of the Orders granted by this Court on 26 November 2004, *inter alia*, was to stay and prohibit the use, performance and operation of the licence for the Global Service Mobile (GSM) issued to EWK pending the hearing and determination of the substantive application to be filed by KNFC. EWK as the licensee, granted and owner of the licence was aggrieved by the said orders granted *ex parte*.

As a result, EWK filed in this Court an application under a certificate of urgency on 3 December 2004 for the following orders:

1. That the application be certified urgent on the grounds set out in the certificate of urgency filed and listed for hearing on a priority basis on such date and at such time as the Court may direct;
2. That the *ex parte* leave granted to the Kenya National Federation of Co-operatives Limited on 26 November 2004 to apply for prerogative orders of *certiorari* and *mandamus* in this case as set out in the chamber summons dated 26 November 2004 be set aside and the order for stay issued on the same day be discharged;
3. That the chamber summons dated 26 November 2004 filed by the applicants be dismissed with cost; and
4. That KNFC be condemned to bear the costs of the applicant.

This application by EWK was placed before me on 6 December 2004 when I certified it as urgent and fixed the *inter partes* hearing thereof on 10 December 2004. The hearing commenced in earnest on 17 December after all parties, including interested parties who appeared, had placed themselves on record and filed their respective court papers.

Apart from the applicant EWK, and the respondent for purpose of the application, KNFC, the others parties who appeared and filed affidavits respectively were:

1. CCK in support of the application.
2. Corporate Africa Limited in support of the application.
3. Rapsel Limited in opposition of the application.

Before commencement of the hearing of the application the Court dealt with several preliminary issues, and applications in respect of which it gave its directions.

One application which deserves mention at this stage is one by a company called Kenya Telecommunications Investment Group which sought to be joined in the proceedings as an interested party and be given leave to participate in EWK's application. The Court declined to grant the leave and directed that they await the outcome of the application to set aside the orders of 26 November 2004.

The grounds set out in EWK's application are as follows:

(*a*) That there is no, or no sufficient material placed by the applicants before this Honourable Court to show that KNFC has a *prima facie* case to apply for any of the prerogative orders.

(*b*) That in obtaining the orders that it did, *ex parte*, on 26 November 2004 KNFC:

(i) Withheld and suppressed from the attention of this Honourable Court facts relevant and material to the issues before the Court.

(ii) Deliberately distorted and misrepresented the facts applicable to this matter.

(iii) Deliberately misled this Honourable Court as to the true state of the dealings between the parties hereto and in particular as amongst the members of the consortium.

(iv) Wilfully failed to disclose to this Honourable Court that it has consistently defaulted on its obligations in this matter and failed to discharge its obligations under the various agreements made between the parties.

(v) Misrepresented, distorted and taken out of context its purported 82% interest in the consortium.

(vi) Has failed to do equity even as it itself seeks equity.

(vii) Has come to this Honourable Court with unclean hands.

(viii) Failed to discharge that duty owed to this Honourable Court to place before the Court at the *ex parte* stage all such material as would assist the Court to do justice to all the parties concerned.

(ix) Has, in the result, abused the process of this Honourable Court.

(*c*) That had KNFC disclosed and availed to this Honourable Court the true and full facts it is unlikely that the ourt would have made the orders that it did on 6 November 2004.

(*d*) That in all circumstances of this matter, KNFC is not entitled to the leave given or to the order for stay granted on 26 November 2004.

(*e*) That consequently the chamber summons herein dated 26 November 2004 ought to be dismissed with costs.

The application EWK is supported by an affidavit sworn on 3 December 2004 by one Zachary Wazara who is said to be a director of both EWK and EWI. Right at the beginning of the hearing, this affidavit had been challenged by Rapsel Limited. The said company apart from replying affidavit also filed a notice of preliminary objection on 16 December 2004 in the following terms:

"1. The said application dated 3 December 2004 is incompetent in law since it is supported by an affidavit sworn by a person without authority to do so on behalf of EWK.

2. The said affidavit sworn in support of the application dated 3 December 2004 is inadmissible on the grounds of conflicts of interest on the part of Mr Zachary Wazara, the deponent, and should be struck out."

Mr *Kibe*, counsel for Rapsel Limited proposed to argue these preliminary objections before EWK argued its application. However, since I had my reservation as to whether the said objections raised pure points of law and in order to save precious judicial time, I directed that they be raised in Rapsel's submissions in reply. Since the said objections are claimed to be preliminary in nature, it

would be prudent for the Court to dispose of them at the beginning of this ruling since if they are successful and are upheld, Mr Wazara's affidavit would have to be struck out thereby disposing of the entire application on these grounds alone.

Preliminary objection number 1 – Mr Zachary Wazara's authority to swear to the affidavit on behalf of EWK.

Rapsel Limited through Mr *Kibe* argued that at no time did the board of directors of EWK pass any resolution for Mr Zachary Wazara to swear to the affidavit sworn on 3 December 2004 in support of the application on behalf of EWK. He says that at the material time, there were only two directors of the board and there is no evidence that the two met as a board for this purpose and of more importance, no resolution was passed to authorise the making of the said affidavit. That a director cannot on his own make decisions on behalf of the board. Further, that the act of Mr Wazara swearing to the affidavit is not one capable of ratification. That the acts capable of ratification are those of the board of directors and not an individual director.

Mr *Kibe* relied on the decision in *Bugerere Coffee Growers Ltd v Sebaduka and another* [1970] EA 147 in which High Court of Uganda (Youds J) held that when companies authorise the commencement of legal proceedings, a resolution or resolutions have to be passed either at a company or board of directors' meeting and recorded in the minutes. The Court on this ground among others dismissed the suit holding that no such resolution had been passed authorising the proceedings.

In response Mr *Regeru* for EWK submitted that EWK came to court on the basis of a court order. He submitted that it is the Court which made EWK a party and directed that it should be served. That EWK was, therefore, in the proceedings participating in compliance with an express court order which as a law abiding person, it could not disregard. Further, that Mr Zachary Wazara was indeed a director and the chairman of EWK a fact known by all parties. Mr *Regeru*, referred the Court to resolutions of the board of directors and the chairman of EWK a fact known by all parties. Mr *Regeru*, referred the Court to resolutions of the board of directors of EWK made on 9 March 2004 in which the board of directors of EWK was purportedly reconstituted. He also said that the chief executive of Rapsel Limited, Mr Manga Mugwe, in his own affidavit sworn on 16 December 2004 confirmed that Mr Wazara was a director of EWK.

EWK argued that since Mr Wazara was a director of EWK, it is presumed that he has the authority of the company to swear to the affidavit on its behalf unless it can be shown otherwise. That a director of a company is an agent of the company and has authority to act on the company's behalf in certain matters. That the swearing to an affidavit or making of an application as the one before the Court does not amount to institution of proceedings which requires the boards resolution. Further, that the action taken by Mr Wazara in trying to protect the assets of EWK is *intra vires* the powers of the board of directors and is capable of ratification.

I have considered the submissions on both sides and I am of the view that:

1. Firstly, whether the point of law regarding Mr Wazara's authority is as envisaged by the principles laid down in line with *Mukisa Biscuits v West End Distributors Limited* [1969] EA 700.

The submissions made by counsel demonstrate that Rapsel Limited is of the view that at the time the affidavit was sworn the company had two directors only namely, Mr Eliphason Mwaura and Mr Peter Kibiriti. Rapsel relied on a letter dated 11 November 2004 from the Registrar of companies. On the other hand, Mr *Regeru* referred to a purported resolution of the board of directors of EWK made on 9 March 2004 in which a new board of directors were purportedly appointed to include additional directors as follows: Apollo Kariuki representing KNFC, Nguru Wachira representing KNFC, Kairu Mbuthia representing KNFC, Manga Mugwe representing Rapsel Limited, Zachary Wazara representing EWI, Rugare Chidembo representing EWI and Chris Wadman representing EWI.
The initial directors, Mr Kibiriti represented Corporate Africa while Mr Mwaura Njiri represented EWI. The said resolutions which were shown to the Court were signed by four directors including Mr Manga Mugwe. The Court also confirmed that in paragraph 3 of his aforesaid affidavit, Mr Mugwe the chief executive of Rapsel Limited depones that both himself and Mr Wazara were directors of EWK. The Court deems that such directorships could only have arisen from the said resolution. The Court had sight of the notification of change of particulars of directors and secretaries (Form 203 A) dated 9 March 2004 and the receipt dated 6 May 2004 issued by the Registrar General allegedly in respect of the filling of these returns.

As each side disputes the position of the other side in respect of the directorship, I do hereby hold the first preliminary objection by Rapsel Limited is based on a contentious factual issue and which requires evidence to be produced and determined by the Court. It is not a pure point of law and the same is therefore dismissed.

In the event I am wrong. I would have held that Rapsel Limited is the one which has raised the preliminary objection, it must be deemed that it accepts the facts in EWK's application to be correct for purposes of objection. In the case of *Nitin Properties Limited v Kalsi and another* [1989] LLR 289 CAK, the Court of Appeal said:

> "It must be born in mind that for a preliminary point to succeed the facts as alleged in the plaint are deemed to be correct".

In the present application, when considering the preliminary objection raised the Court must deem that the facts in Mr Zachary Wazara's affidavit are correct. If this be the case then the Court would accept that Mr Wazara is a director of EWK and the interim chairman of the boards of directors. The Court would also accept that on 9 March 2004 a new board of directors was constituted increasing the number of directors from two to nine.

The grant of the *ex parte* orders herein had the effect of prohibiting the use, performance and operation of the licence for the GSM issued to EWK. EWK could not commence any operations or transact any business in this connection. EWK was paralysed so to speak. EWK being aggrieved was entitled to come to court to protect its valuable asset as there can be no dispute that the licence is indeed a very valuable and important asset and the owner is EWK.

The issue is whether the action of Mr Zachary Wazara to file the application and to swear to the affidavit in support thereof was authorised by a resolution of the board of directors. Mr Wazara, when faced with the preliminary objection did not produce any resolution or evidence that indeed the board of directors authorised him to not only file the application but to swear to the affidavit

herein. Mr *Regeru* as indicated earlier argued that the said actions of Mr Wazara were *intra vires* the company's articles of association and therefore capable of ratification by the board.

In *Halsbury's Laws of England* (4 ed) Volume 7 at paragraphs 504 (at 292) it is stated as follows:

> "Acts *ultra vires* ...
>
> Any act of the directors which is not *ultra vires* the company, may be ratified by the company in general meeting, or at an informal meeting of all the shareholders, or by the acquiescence of all shareholders without a meeting".

In the English case of *Bamford v Bamford* [1969] All ER 969, the Court of Appeal in England held that that issue of shares by the directors of a company, which is *intra vires* the company and directors but voidable because the directors were actuated by improper motives and so guilty of misfeasance, can be ratified after full and frank disclosure by the directors to the shareholders by an ordinary resolution of the shareholders in general meeting. Lord Harman LJ put this principle very succinctly when he observed (at 972):

> "it is *trite* law, I had thought, that if directors do acts, as they do everyday, especially in private companies, which, perhaps because there is no quorum, or because their appointment was defective, or because sometimes there are no directors properly appointed at all, or because they are actuated by improper motives, they go on doing for years, carrying on the business of the company in the way in which, if properly constituted, they should carry it on, and then they find that everything has been, so to speak, wrongly done because it was not done by a proper board, such directors can, by making a full and frank disclosure and calling together the general body of the shareholders, obtain absolution and forgiveness of their sins; and provided the acts are not *ultra vires* the company as a whole everything will go on as if it had been done all right from the beginning. I cannot believe that it is not a common place of company law. It is done everyday. Of course, if the majority of the general meeting will not forgive and approve, then the directors must pay for it".

In the light of the aforesaid sound principles of law I am persuaded by, I ask myself firstly: Are the actions of Mr Wazara in instructing counsel to file this application and in swearing to the affidavit in support capable of ratification by the board of directors or general meeting of the company? I am of the view rightly or wrongly, the action of EWK through Mr Wazara's decision is one for the protection of the company's asset or at least one for which it has parted with at least $15 million to CCK to secure the licence. There are claims albeit contested that it has incurred much more than this. Ordinarily, such a decision would be taken by the board of directors through a resolution. It would be a routine matter as it would be their duty to do so. So far, there is no suggestion by any party that such a decision would not be *intra vires* the company's articles or that the board properly constituted could not be able to decide upon it.

It is my view that the action of Mr Wazara was taken to protect the company's asset, the licence is *bona fide* in the interest of the company and it is a duty laid on the board of directors by their office as directors to act in all matters committed to them *bona fide* in the interest of the company. I hold that the said action is capable of ratification not only by the general meeting but by the board of directors, if they are committed to the welfare, benefit and interest of the company.

It follows, therefore, that this Court cannot interfere with such a decision or action by Mr Wazara. If Mr Wazara lacked any authority to make the affidavit,

the Court will not intervene at this stage as it is an act capable of ratification by the board or the general meeting.

I would therefore have dismissed the first preliminary objection on this ground.

Preliminary objection number two: Whether the affidavit by Mr Zachary Wazara is inadmissible on the grounds of conflict of interests on his part?

Rapsel Limited contends that the affidavit sworn in support of the application dated 3 December 2004 is inadmissible on the grounds of conflict of interests on the part of Mr Zachary Wazara. Mr *Kibe* in his submissions says that Mr Wazara in the said affidavit is advancing the cause and interest of EWI in the name and guise of a directorship of EWK. That the other consortium members save EWI did not consent or give him authority to do so. That Mr Wazara, as a director of EWK, owes a duty of care to Rapsel Limited which is supposed to be a shareholder of EWK and entitled to sit on the board. That Mr Wazara, as a director of EWK, is in a fiduciary position and cannot in law take a position adverse to the interests of the shareholders, in this case Rapsel Limited. That Mr Wazara made the affidavit well knowing that the directors representing members of the consortium are involved in an adversarial litigation or disputes. That the interest of EWI and Rapsel are not the same and are in conflict, at the material times, a fact known by Mr Wazara who wears two hats, namely, a director in both EWK and EWI. Rapsel Limited prays that the said affidavit be declared inadmissible by this Court and the same struck out.

I have considered this preliminary point of law and the various submissions of counsel. First and foremost, the contention as to whether there is a conflict of interest between Mr Wazara's position as a deponent in these proceedings and his position as a director of EWK considering the interest and position of consortium members is a matter of fact and evidence. For Mr *Kibe* to attempt to persuade the Court on this point, he was compelled to refer to the correspondence, agreements and other documents annexed to various affidavits. This alone demonstrates and confirms the Court's view that the second preliminary objection is not a pure point of law. For the Court to determine the existence of the conflict its has to refer to evidence. Counsel himself could not desist from doing this in advancing the said argument.

Be that as it may, it is a fact that from the positions taken in this matter, the affidavits and other documents there are serious differences and disputes between the consortium members and partners/shareholders in EWK. It has been revealed and came to the fore that in these proceedings EWI and Corporate Africa are on one side while KNFC and Rapsel Limited are on the other side. Mr Wazara is a director and representative of the interests of EWI in EWK. It may appear and may even be proved later that indeed when Mr Wazara speaks for EWK, he is also advancing the interests of EWI and if there is an internal conflict, he will not remain independent and impartial. The likelihood is that he will always take a position in favour of EWI. I would say the same would apply to Mr Manga Mugwe the Chief Executive of Rapsel Limited. He is director of EWI and also Rapsel Limited as a consortium member. If there is a board room dispute, surely, it would be natural for Mr Mugweto to take a position to protect the interests of Rapsel Limited. It follows that the aforesaid so-called conflict of interest would cut across the board of all directors of the respective consortium members.

However, the Court would wish that the parties redirect themselves and focus to the real questions for the Court's determination in this matter. The application filed by KNFC is for judicial review orders namely, order of *certiorari* and *mandamus* in respect of decisions of CCK. It does not require any persuasion, therefore, that the said application and what is before the Court is not and I emphasis not, a shareholders' dispute or proceedings to determine any questions of differences or disputes between KNFC, EWI, Rapsel Limited and Corporate Africa. The Court has no mandate or jurisdiction under Order LIII, to hear or resolve disputes between shareholders in a company whether private or public. That's for the civil and/or commercial courts. What is before this Court are matters pertaining to the discharge of statutory duties of CCK and its conduct and decisions thereof.

As a result, any matters of conflict of interest between EWI and Rapsel Limited or the conduct of Mr Wazara in these proceeding in this regard are irrelevant. Let Rapsel Limited be assured that this Court will not take into account any part of Mr Wazara's affidavit that purports to discuss the rights, interests and conduct of Rapsel Limited and in particular in so far as it relates to shareholding or equity, capital contributions, agreements between shareholders, alleged breaches thereof etcetera. These are not for this Court to decide not only in the present application but also in the substantive application filed by KNFC. Any reference to the above issues could only be in connection with the award of the tender to EWK, the grant of the licence and the compliance with the terms and conditions thereof and the provisions of the Kenya Communications Act.

I therefore do hereby dismiss the second preliminary objection for the aforesaid reasons.

Before the Court delves into the main grounds on which EWK's application is grounded, namely, the question of non-disclosure and suppression of material facts, information and documents, it must in essence deal with the question of jurisdiction raised by Rapsel Limited which really ought to have been one of EWK's *locus standi*, rather than jurisdiction of the Court.

Rapsel Limited contends that the orders sought by KNFC in its application for leave and stay and the substantive orders sought in the main application are by way of judicial review under Order LIII of the Civil Procedure Rules. That the orders granted by the Court on 26 November 2004 were made against CCK which is the true respondent in this matter. That EWK strictly is an interested party and as such does not have the *locus standi* to apply to set aside or discharge the *ex parte* orders granted. That the said orders cannot in law be available to EWK. That the appropriate time for EWK to respond or say its piece is at the hearing of the substantive application. Finally, that for EWK to be allowed to prosecute its application and if it is successful, would deny Rapsel Limited its right to canvas its interest and participate in the judicial review application.

It is the Court's views that although CCK is the principal respondent and that it is its decision and conduct which are under attack in the main application, the licence granted belongs to and is the property and asset of EWK. Although it could be said to be a secondary respondent or even an interested party and not the main respondent, it is the one that has been most affected by the grant of the *ex parte* orders. The licence is EWK's property and there can be no dispute that it is a valuable asset. Its operation and implementation has been

stopped through the Court orders herein. EWK cannot mobilise or roll-out its project as intended. EWK is naturally aggrieved and it is not a surprise that it has moved this Court in the manner it has. I do hold that EWK has more than sufficient right and interest in these proceedings. It has the *locus standi* to bring the application just as CCK which also filed a similar application subsequently has. The novelty of the application cannot deprive EWK of its right to participate in these proceedings including challenging the *ex parte* orders granted. I therefore, hold this Court has the jurisdiction to entertain the present application.

Another point of law that Rapsel Limited raised which ought to be considered by the Court at this stage is that the standard the Court is to apply when considering the question of alleged non-disclosure of material facts at the time an applicant applies for leave *ex parte* in judicial review applicants ought to be lower than in cases of *ex parte* applications for injunctions. Mr *Kibe* argued that most of the authorities or cases regarding principles applicable to non-disclosure of material facts related to *ex parte* applications for injunctions. He submitted that in an application for injunction the applicant does not require leave for the Court to commence the proceedings. That in injunction applications what is sought is a remedy or relief pending the hearing of the application *inter partes* in the main suit. That an *ex parte* injunction will be set down for hearing *inter partes* and the parties have the opportunity to argue the matter before the Court on its full merits. That a party in an injunction application must demonstrate that the orders were obtained properly and the Court is required to record its reasons for the grant of *ex parte* orders. That if an applicant is not successful in his *ex parte* application for injunction, the remedy is still available at the *inter partes* stage. Mr *Kibe* further contended that it is different when it comes to applications for leave to file judicial review applications. That in an application for leave to stay, if the Court does not grant these at the threshold, then that is the end of the matter as far as those prayers are concerned. That judicial review applications are not to give remedies to private parties but to ensure the performance of statutory duties by public bodies. That if the threshold for obtaining leave was made so high, then the supervisory jurisdiction of the Court would be rendered meaningless and many would be denied access to judicial review. That in applications for leave the Court is not required to go into the matters in depth and all the applicant has to show is that he has an arguable case. Finally, that the stay orders if granted are only provisional and can be set aside. That also in private disputes the litigant does not need the permission of the Court to institute proceedings while under Order LIII, it is mandatory to obtain leave of the Court before commencing judicial review proceedings and, therefore, the standards cannot be the same and the Court must be more liberal in the latter cases.

In response to the aforesaid arguments, EWK and CCK referred to the case of *R v Metropolitan Police Force Disciplinary Tribunal ex parte Lawrence* [1999] EWHC Admin 588 in which the High Court of England observed:

> "It is essential that parties whose seek leave to move for judicial review should appreciate that they have a duty to make full disclosure of all potentially material matters to the Court".

This statement seems to counter the arguments by Mr *Kibe* who did not cite any authority to support his aforesaid submission on this point. Mr *Amoko* for

CCK availed to the Court extracts from the "*Judicial Review Handbook*" (3 ed) by Michael Fordham which is an essential and must have handbook on judicial review. At page 352, the author says that a claimant for permission is under a duty to make full and frank disclosures to the Court of all material facts and matters. He says:

> "21.5 Claimant's duty of Candour
>
> A claimant for permission is under an important duty to make full and frank disclosure to the Court of all material facts and matters. It is especially important to draw attention to matters which are adverse to the claim, in particular: (1) any statutory restriction on the availability of judicial review; (2) any alternative remedy; (3) any delay/lack of promptness and so need for an extension of time. In facing up to adverse points, the claimant will have an early opportunity to explain why those points are not fatal and why the case should be permitted to proceed (that is 'confess and avoid'). The duty of 'full and frank disclosure' harks back to the time when permission for judicial review was '*ex parte*' (without notice to the defendant/interested parties). That has changed".

In Kenya, the position has not changed and Order LIII actually contemplates that applications for leave be heard *ex parte*. The said Handbook cites the case of *R v Leeds City Council, ex parte Hendry* [1994] Admn LR 444D in which Latham J observed:

> "It is of fundamental importance that applications for judicial review should be made with full disclosure of all material available to the claimant this is a case which I can properly use in order to send a message to those who are making applications to this Court reminding them of their duty to make full disclosure; failure to do so will result in appropriate cases in the discretion of the Court, being exercised against (a claimant) in relation to the grant of (a remedy)".

The aforesaid statement in the handbook and observations in the above case demonstrate that indeed the requirement of full and rank disclosures by applicants in judicial review is the same as in injunction applications. There is no criteria for lowering of standards in the said statements. If anyone had any doubts then reference to the *cause celeb're* regarding the principles of full and frank disclosures and the consequences of non-disclosure of material facts would put the matter to rest. This is the oft-cited case of *King v General Commissioners for the Purposes of the Income Tax Acts for the District of Kensington* ex parte *Princess Edmond De Polignac* [1917] 1 KB 487 which was in respect of a judicial review application and which has been approved and applied by our own Court of Appeal in a string of appeal cases and the principles therein are now part of our law.

I, therefore, find that there is no distinction when applying the said principles to cases of judicial review. It does not matter the type of case or matter, once a matter is before the Court in the absence of another or other parties (*ex parte*) the duty of full and frank disclosures are imposed on applicants and the standard must always be fairly high considering the authorities.

This brings me to the main questions in these application by EWK which is supported by CCK and Corporate Africa. In its affidavit in support of the application for leave sworn by Mr Charles Muchiri the vice chairman of KNFC, the applicant, *inter alia*, stated as follows:

> "12. That on 19 March 2004 the first respondent, Communications Commission of Kenya, placed, a *Gazette* notice number 2113 that it intended to grant a GSM licence to a company going by the name Econet Wireless Kenya Limited of

post office number 79630, Nairobi (annexed hereto and marked CM5 is a copy of the *Gazette* notice).

13. That on the 19 August 2004, the first respondent, officially and publicly made and announced a decision to proceed and grant the GSM licence to Econet Wireless Kenya Limited. It never officially communicated this decision to the applicant who only learnt of the event in the press and from the first respondent commission's official website. (annexed hereto and marked CM6 is a print out from the commissions website which speaks for itself).

14. That on the 23 August 2004, the applicant officially complained to the first respondent of the impropriety of its action in granting the licence and also highlighted the massive flaws and fraud in awarding that licence to Econet Wireless Kenya Limited (annexed hereto and marked CM7 is a copy of the said letter).

15. That on 10 November 2004 despite protestations by the applicant; the first respondent issued the third GSM licence to Econet Wireless Kenya Limited. This was done without any communication or invitation of the applicant to the occasion. The applicant learnt about the grant of the licence in the press and from the first respondent's official website. (annexed hereto and marked CM8 is a copy of a print out from the said commissions website evidencing the matters herein bespoken).

16. That Econet Wireless Kenya Limited did not exist at the time the provisions of the third GSM licence was subjected to tender. Econet Wireless Kenya Limited did not participate or qualify for the tender to operate the third GSM system in Kenya. The successful bidder was the Econet Wireless Consortium.

17. That indeed Econet Wireless Kenya Limited was registered on 27 November 2003 over two (2) months after qualification of the Econet Wireless consortium. (Annexed hereto and marked CM9 is a copy of the certificate of incorporation of Econet Wireless Kenya Limited).

18. That Econet Wireless Limited was incorporated with a share capital of KShs one hundred thousand and only two shareholders and directors were stated as:

    (*a*) Elizaphason Mwaura Njiri – 1 share

    (*b*) Peter Kibiriti –1 share

    Annexed hereto and marked CM10 is a copy of the memorandum and articles of incorporation of Econet Wireless Kenya Limited.

19. That indeed by a letter dated 11 November the Registrar of companies confirmed the position in numbers 17 and 18 above. (annexed hereto and marked CM 11 is a copy of the letter from the Registrar of companies).

20. That in making the application for the licence the first respondent clearly and with an ulterior motive represented to the Communication Commission of Kenya that it was indeed a representative of the consortium that won the tender. I state further that the second respondent, Econet Wireless Kenya Limited masqueraded as constituting all partners of the consortium which won the tender, this was untrue as Econet Wireless Kenya Limited is owned and directed by only two individuals; Elizaphason Mwaura Njiri and Peter Kibiriti who had nothing to do with the tendering process (see attachment CM5).

21. That the first respondent by grossly abdicating its statutory duty to ensure strict compliance with legal tender requirements and its own terms and conditions clearly abetted this anomaly and stubbornly refused to correct the situation when the fraudulent act was brought to its attention by the applicant's official.

22. That the first respondent, Communication Commission of Kenya had a duty to satisfy itself that the shareholding and composition of Econet Wireless Kenya included and reflected all the parties that constituted the consortium that won the tender as per its own requirement that the application included a confirmation of the shareholding by the Registrar of companies.

23. That at no time after the tender was won was the character and shareholding of the winning consortium changed. I state further that it is now manifest that none of the partners that won the tender benefited from the process clearly defeating the entire procurement process.

24. That given the prevailing public interest in the process the first respondent acted beyond its powers and flagrantly abused the legal provisions and its own regulations in awarding the licence to a company that was not a participant in the tender process. I state further that as presently constituted, the operation of the third GSM licence will now benefit two private individuals' shareholders namely:

(*a*) Elizaphason Mwaura Njiri – 1 share

(*b*) Peter Kibiriti –1 share

This is contrary to public policy and cannot have been the intention of the government in deciding to grant a third GSM licence to Econet Wireless Consortium which included the applicant.

..."

I have set out the aforesaid paragraphs in their entity as these are the facts which KNFC relied on heavily in the *ex parte* application for leave to stay and referred to by its counsel achieving the impact and results desired. The Court relied on these factual statements in reaching its decision to grant leave to stay.

The Court made its decision on two major grounds:

1. That KNFC's protestations and objections contained in its letter of 23 August 2004 were brushed aside and CCK did not at all respond to the said letter and serious issues and allegations made therein.

2. That in breach of legal provisions and its own regulations and the terms and conditions of the tender, CCK had awarded the licence to EWK yet the said company did not constitute all the 4 shareholders or consortium partners thereby changing the character and shareholding composition of the winning consortium in breach of section 4.5 of the tender rules and conditions. And also in breach of section 3 of the tender document which made it mandatory that Kenyan investment in the consortium was to be retained at a level not less than 30% of the entire investment.

In the application to set aside the order of stay and dismissal on the ground of non-disclosure, suppression and concealment of material facts EWK and CCK in their respective affidavits have annexed massive documents and correspondence which they allege were withheld and suppressed from the Court's attention. EWK and CCK also alleged that KNFC deliberately distorted and misrepresented the facts applicable to the matter. It is not practical for the Court to set out all the aforesaid documents and correspondence produced by EWK and CCK and their contents. They are just too many. However, I have gone through all of them and have understood their contents. This being a court of record, the said documents and correspondence are deemed to be part of the proceedings and evidence before the Court.

CCK in an affidavit sworn by Mr Sammy Kirui the director general of CCK produced a letter dated 31 August 2004 which it says was its response in detail to the allegations made by KNFC in its letter of 23 August 2004. It is a four page letter which is in detail and blow for blow responds to the allegations made by KNFC. Upon consideration of the contents, one gets a different picture of the allegations made by KNFC and the position of CCK. Whether the answers are wholly sufficient and sound or correct is not the issue. The crucial point is that CCK did respond to the protestations and objections by KNFC in

an elaborate letter to it. KNFC did not disclose this fact to the Court. To the contrary KNFC expressly in its affidavit and through counsel's submission at the *ex parte* hearing asserted that CCK never responded to its letter of 23 August 2004.

KNFC did not file any affidavit to deny that it had not received the said letter. During its submissions its counsel admitted the existence of the said letter and argued that it did not "address" the issues raised in KNFC's letter. As stated above herein, one of the reasons the Court granted the *ex parte* orders of leave to stay was that the Court was made to believe that CCK never responded to the letter of protestations and objections which to me was a very serious issue. It comes to light now that not only did CCK respond but it has in writing and the letter detailed. KNFC received the letter as it was addressed to it and had possession of it at the time of making the *ex parte* application. When faced with the allegations of suppression and concealment, it had no answer and did not attempt to explain why it misled the Court that there was no reply from CCK. In the affidavit of Mr Zachary Wazara for EWK, the applicant produced various agreements between the consortium members. One of them was titled heads of agreement. Clause 2.2 of the agreement KNFC and EW1 stipulates as follows:

> "The parties agree that, if the consortium is declared by the Communications Commission of Kenya to be the successful bidding entity for the project; they will form a single purpose entity ("the project company") with the name Econet Wireless Kenya Limited to engage in the operation, financing; expansion and development of the project".

EWK also produced a letter dated 24 February 2004 (correct date said to be 12 March 2004). It was addressed to KNFC and dealt with *inter alia*, the incorporation of EWK. In the said letter EWI explained that the shareholders of the company would be: KNFC – 82%, EWI – 10%, Rapsel – 4%, Corporate Africa – 4%.

EWK through the said affidavit also produced resolutions of the interim board of EWK passed in a meeting dated 9 March 2004. This resolution has been referred to earlier in this ruling. The existing directors then were: Mr Kibiriti, representing Corporate Africa Limited and Mr Mwaura Njiri, representing EWI.

The board resolved to appoint additional directors as follows: Apollo Kariuki representing KNFC, Nguru Wachira representing KNFC, Kariri Mbuthia representing KNFC, Manga Mugwe representing Rapsel Limited, Zachary Wazara representing EWI and Rugare Chdembo representing EWI.

There were also resolutions relating to shareholdings. All the four consortium members' interests appeared to be catered for. The resolution was signed by Mr Apollo Kariuki for KNFC. The heads of agreements were executed by KNFC and were quite detailed and elaborate. They dealt with the agreements *inter alia* relating to shareholding. The said agreements and resolutions were not produced by KNFC in its application for leave and stay.

In its response, KNFC questioned the material relevance and validity of the said documents. It did not deny that it was aware of their existence, was party to them and they were in its possession at the time of the *ex parte* application.

It is not necessary for the Court to reproduce each and every document or letter tendered by EWK and CCK in this application many of which have been

confirmed to have been within the knowledge of KNFC and of which it had possession.

In the case of the *King v The General Commissioners for Purposes of the Income Tax Acts for the District of Kensington* (citation above); the Court of Appeal held:

(1) That the rule of the Court requiring *ubberima fides* on the part of an applicant for an *ex parte* injunction applied equally to the case of an application for a rule *nisi* for a writ of prohibition.

(2) That there having been suppression of material facts by the applicant in her affidavit, the Court would refuse a writ of prohibition without going into the merits of the case.

Lord Cozens – Hardy MR in this landmark case said: (at 504)

> "It is a case in which it seems to me there was plainly a suppression of what was material, and we cannot be too strict in regard to that which to the best of my belief has been a long established rule of the Court in applications of this nature and has been recognised as the rule. The authorities in the books are so strong and so numerous that I only propose to mention one which has been referred to here, a case of high authority, *Dalglish v Jarvie* (1), which was decided by Lord Langdale and Rolfe B. The head-note, which I think states the rule quite accurately is this: "it is the duty of a party asking for an injunction to bring under the notice of the Court all facts material to the determination of his right to that injunction; and it is no excuse for him to say that he was not aware of the importance of any facts which he has omitted to bring forward. Then there is an observation in the course of the argument by Lord Langdale.
>
> It is quite clear that every fact must be stated, or even if there is evidence enough to sustain the injunction, it will be dissolved." That is to say he would not decide upon the merits, but said that if an applicant does not act with *uberrimae fides* and put every material fact before the Court it will not grant him an injunction, even though there might be facts upon which the injunction might be granted, but that he must come again on a fresh application".

I have been asked to invoke the said principles in respect of the non-disclosures on the part of KNFC. After a careful consideration of the letters and agreements and facts referred to above and considering several other letters and documents which were left out by KNFC, I am of the view that the said letters and documents were material facts which if availed to the Court at the *ex parte* stage could have affected the decision of the Court. It is for the Court to decide on the ultimate materiality and extent of relevance. It is not for the applicants or his counsel to decide on this aspect. Considering the contents of the letter from CCK, the heads of agreement and the resolutions, I hold that they were very material and relevant to the application and I may possibly have reached a different decision with regard to the order of stay.

Since the said documents and correspondence were in the possession and/or within the knowledge of the KNFC, I find that there was a deliberate concealment and suppression of extremely crucial relevant and material facts. In *Uhuru Highway Development Limited v Central Bank of Kenya and others* [1995] LLR 389 (CAK), the Court of Appeal applied the principles of non-disclosure which were enunciated in the case of *Brink's Mat Ltd v Elcombe* [1988] All ER (CA) 188 (at 193-194). Ralph Gibson LJ dealt with the question of materiality when he said:

> "Whether the facts not disclosed is of sufficient materiality to justify or require immediate discharge of the order without examination of the merits depends on the importance of the fact to the issues which were to be decided by the Judge on the

> application. The answer to the question whether the non-disclosure was innocent, in the sense that the fact was not known to the applicant or that its relevance was not perceived, is an important consideration but not decisive by reason of the duty on the applicant to make all proper inquiries and to give careful consideration to the case being present".

It is my view that the two grounds the basis upon which I granted the *ex parte* application were quite important, namely, whether CCK had refused to consider and respond to the applicant's objections and whether or not KNFC had CCK permitted changing of the character and shareholding of the winning consortium by granting the licence without ensuring that KNFC was still a shareholder and its interest protected while sustaining the minimum 30% local ownership of the consortium company, EWK. In the light of what I have found above, the non-disclosure was not innocent as KNFC had in its possession most of the documents and letters which were produced by EWK and CCK in this application and in particular the ones that I have specifically mentioned. The KNFC when faced with the allegations of non-disclosure did not attempt to explain why it left out the said documents, correspondence and information but instead played down the materiality of the said matters.

KNFC argued that the Court could still maintain the *ex parte* orders granted if it found that despite the non-disclosures, the leave and stay could still be properly granted had they been disclosed or availed to the Court. This aspect was considered in the *Brink Mat*'s case. It was held (at 194).

> "(vii) finally 'it is not for every omission that the injunction will be automatically discharged. A *locus poenitentiae* sometimes be afforded' See *Bank Mellat v Nikpour* [1985] FSR 87 at 90 per Lord Denning MR. The Court has a discretion, notwithstanding proof of material non-disclosure which justifies or requires the immediate discharge of the *ex parte* order nevertheless to continue the order to make a new order on terms: when the whole of the facts; including that of the original non-disclosure, are before it, (the Court) may well grant such a second injunction if the original non-disclosure was innocent and if the injunction could properly be grant*e*d had the facts been disclosed.' (see *Lloyds Bowmaker Ltd v Britannia Arrow Holdings plce (Lavens, third party)* 3 All ER 178 at 183 per Glidewell LJ)."

In this application, I have already held that the non-disclosure was deliberate and calculated and that had the said letters documents and facts been disclosed to me I would not possibly have granted the orders of stay. Robert Walker LJ in the case of *Memory Corporation PLC v Sidhu* (number 200) 1 WLR 1443 cites an unreported case – (*March Rich and Company Holding v Krasner*, 1988) in which Carnwath J said:

> "Full disclosure must be linked with fair presentation. The Judge must be able to have complete confidence in the thoroughness and objectivity of those presenting the case for the applicant. Once that confidence is undermined he is lost".

That's the way I feel now, lost. The Court must insist on strict compliance with the rules pertaining to non-disclosure in order to afford protection to the absent parties at the *ex parte* stage.

Finally, I come to the question of alternative remedy. EWK and CCK have strongly submitted that there was an alternative remedy available to KNFC under the provisions of the Kenya Communications Act yet KNFC did not disclose this important fact and as such the *ex parte* orders ought to be discharged.

Section 102(1) of the Kenya Communications Act, number 2 of 1998 provides:

> "102(1) There shall be established an Appeal Tribunal for the purpose of arbitrating in cases where disputes arise between the parties under this Act".

Ransley J in the case of *Kenya Telecommunications Investment Group Limited v Elecommunication 7 Commission of Kenya* miscellaneous application number 1267 of 2003 had the occasion to interpret this provision and also dealt with the question of alternative remedy. He said as follows:

> "This alternative remedy is to be found in section 102(1) of the Kenya Communications Act which established an Appeal Tribunal for the purpose of arbitrating in cases where disputes arise between the parties under this Act. The word "dispute" is not defined in the Act but I take it that it would include a refusal to grant a licence to anyone under section 25 of the Act . I am of the view that there is an alternative remedy in this case. Is this one of those exceptional cases where judicial review proceedings should be invoked?
>
> Nothing has been shown to me that is exceptional in this case. It might I suppose be considered to be a speedier procedure however that in itself would not be sufficient. Parliament has under the Act provided a tribunal, which can deal with the question of the refusal of a licence. That tribunal has special expertise in dealing with such matters. It is only if this tribunal itself fails in some ways to dispense with justice that a case for judicial review could be preferred against is decision".

I am inclined to adopt the views of my brother in these proceedings. The KNFC and Rapsel limited here argued that section 102(1) is not available to KNFC since it is not a "party" as contemplated by the said provisions. That being only a consortium member and not one of the bidders as EWK etc, then it could not invoke the said provision. With respect, this is not a sound argument. The tender recognised the participation of consortiums or partners in the bidding process, both local and international. It was the duty of CCK to maintain a certain ratio in the equity participation and as such had direct dealings with the consortium members. Indeed the correspondence and documents shown to the Court demonstrate that CCK throughout dealt with the consortium members before and after the award of the tender and did so individually and collectively. I therefore hold that KNFC was a "party" contemplated by section 102(1) of the Kenya Communications Act and could refer grievances to the tribunal.

Was KNFC guilty of non-disclosure of the existence of an alternative remedy and if the Court found that the non-disclosure was deliberate, should it set aside or discharge the *ex parte* orders of stay on this ground? It is true that an applicant and its counsel are requited to carry out a diligent inquiry on all facts including the applicable law before making an *ex parte* application. It is a duty of an applicant to inquire as to whether there exists an alternative remedy. In this case, KNFC and its counsel must have studied the provisions of the Kenya Communications Act or at least the Court will assume so because the application was brought also under the provisions of the said act. So they knew of the existence of the alternative remedy. However, in view of Mr Kahonge's submissions it would appear that the failure to point out or refer to section 102(1) of the Act was not to conceal or suppress this fact but was due to a misapprehension of the law. I hold that KNFC's counsel sincerely believed that his client was not entitled to invoke the provisions of section 102(1). As a result, I will not make any orders on this ground.

In conclusion, on the basis of the reasons set out above I hold that the applicant EWK has proved that KNFC withheld and suppressed from the attention of this Court facts relevant and material to the issues before it during the

ex parte hearing of the application for leave. As a result I do hereby set aside and discharge the orders of leave and stay granted on 26 November 2004 in terms of prayer two of the notice of motion dated 3 December 2004.

In order to demonstrate the seriousness with which the Court takes the issue of none disclosure in *ex parte* applications, the Court hereby dismisses KNFC's application for leave for judicial review orders in terms of prayer 3.

KNFC shall pay EWK's, CCK's and Corporate Africa's costs of this application orders accordingly.

For the applicant:
N Regeru instructed by *Njoroge Regeru & Co*

For the first respondent:
Karanj

For second respondent:
JRA Wananda instructed by *Shapley Barret & Co*

For third respondent:
AOW Amoko instructed by *Inamdar & Inamdar Adv*

Kibalama v Alfasan Belgie CVBA
[2004] 2 EA 146 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of Judgment:	2 June 2004
Case Number:	19/02
Before:	Mukasa-Kikonyogo CJ, Kitumba and Byamugisha JJA
Sourced by:	LawAfrica
Summarised by:	M Adriko

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[1] Civil procedure – Admission – Judgment upon admission – Meaning of admission – Order 11, rule 6, Civil Procedure Rule – Damages – Contract – Assessment of damages – Whether damages should be assessed by court even when the plaintiff has lost the suit.

[2] Civil procedure – Pleadings – Contract – Pleading contents of a contract in pleadings – Contract – Trade custom – Meaning of trade custom – When trade custom can be pleaded by a party to the contract.

Editor's Summary

The appellant, in 1994 was introduced to the export manager of the respondent for the purposes of carrying on the business of importing drugs in Uganda. It was alleged that a verbal agreement was made between the parties pursuant to which the appellant verbally placed orders together with payments in cash which would be transferred to the respondent's bank account in Europe. The

respondent would dispatch the drugs to Uganda. Appellant claims to have had a telephone discussion with the respondent's export manager during which he placed an order for drugs worth US$ 15 000. The respondent did not send the drugs.

In a civil suit, the appellant claimed a sum of US$ 15 000 or its equivalent in Ugandan Shillings; general damages for breach of contract, interest on the sum at the bank rate from the date of transfer until payment in full and costs of suit.

At trial, the appellant relied on pleadings which, among other omissions, did not include any documents showing the type of drugs ordered, whether any dispatchments of drugs were made and the unit costs of the drugs, if any. He then tried to plead a trade custom to the effect that transactions of the kind referred to in this suit would be made in a verbal form and that this was common in the drugs trade. The trial Judge dismissed the suit.

The appellant appealed.

Held – In suits based on contract, the plaint must allege the contract and then its breach. The plaint must also state the terms of the contract, the time when the cause of action arose, whether contract was express or implied, whether it was oral or written; the dates and names of the parties thereto.

The plaint in this case did not state the type of drugs that were supposed to be delivered, the quantities of the drugs nor when the breaches occurred. Thus it did not satisfy the provisions of Order 7, rule 1(*e*) of the Civil Procedure Rules which require a plaint to state facts constituting a cause of action and when it arose.

A trade usage is a particular course of dealing between parties who are in a business relationship. The usage must be known to all persons who normally enter into that relationship and must thus be presumed to have intended to adopt that course of dealing and to have incorporated it into their contractual relationship unless by agreement it is expressly or impliedly excluded. For a course of dealing to become a usage, it must be so well known by the parties affected by it, it must be certain, it must be reasonable and it must not be contrary to legislation or a fundamental principle of law. A trade usage may be proved by a calling witnesses with clear, convincing and consistent evidence that the usage exists as a fact, is well known and has been practiced by those affected by it. (Newbold P in *Harilal v Standard Bank* [1967] EA 512 quoted with approval, *Bhogal v International Computers (EA) Ltd* [1972] EA 55 cited).

In order to rely on trade custom or usage, the appellant had to show a consistent course of dealing in which the terms of the verbal agreement between himself and the respondent had been incorporated in the past. He also had to show that he and the respondent knew of those terms in question. Under section 47of the Evidence Act (Chapter 6), the Court may need the opinion of persons having the means of knowledge on usage or custom if it has to form an opinion about it.

The appellant did not adduce evidence from any source other than himself on which the Court could have made an inference of the trade usage or custom that he was claiming. He thereby failed to prove the existence of the contract for the supply of drugs.

Under Order 11, rule 6, judgment can be entered at any stage of the suit where an admission of facts had been made. Such an admission, however, must be unequivocal in order to entitle the party to judgment without waiting for the determination of any other question between the parties.

Although the respondent company admitted receiving US$ 15 000 from the appellant, this did not amount to an admission under Order 11, rule 6 Civil Procedure Rules since it explained that his money was a partial payment of a debt the appellant owed it.

Damages are awarded for breach of contract after proof that the terms of the contract were breached. However, even when the plaintiff fails to prove breach of contract, it is a prudent judicial practice for the trial Judge to assess the damages the successful party would otherwise have been entitled to, had he succeeded in the suit. This is vital in saving time when, the appellate Court orders that the case be remitted to the trial court for the assessment of damages. (*Sell v Associated Motor Boat Co* [1968] EA 123, *Mute v Elikana* [1975] EA 201, *AKPM Lutaaya v Attorney-General* civil appeal number 10 of 2002 (UR) followed).

The trial Judge should have assessed the damages although the plaintiff's suit had been dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Bhogal v International Computers EA Ltd [1972] EA 55 - **APP**

Harilal v Standard Bank [1967] EA 512 – **APP**

Lutaya v Attorney-General civil appeal number 10 of 2002 (UR) – **F**

Mute v Elikana [1975] EA 201 – **F**

National Enterprises Corporation and others v Nile Bank Ltd civil appeal number 17 of 1994 (UR) – **F**

Selle v Associated Motor Boat Co [1968] EA 123 – **F**

Judgment

BYAMUGISHA JA: On the 28 January 1998, the appellant filed a suit in the High Court of Uganda against the respondent claiming a sum of US$ 15 000 or its equivalent in Uganda shillings; general damages for breach of contract; interest on the sums at bank rate from the date of transfer till payment in full and costs of the suit.

The facts that led to the institution of the proceedings as they can be gathered from the pleadings filed by the parties appear to the following. In or around 1994 the appellant was introduced to the export manager of the defendant, one Eddy Van Qudendijck for purposes of carrying on the business of importing drugs in Uganda. It was alleged that the agreement between them was verbal in that the appellant would verbally place orders with cash, which would be transferred, to the respondent's bank account in Europe. On receipt of the money, the respondent would in turn dispatch the drugs to Uganda. On 12 January the appellant claimed that after a telephone discussion with the respondent through Eddy Van Qudendijck he placed an order for drugs worth US$ 15 000 for the benefit of Cox Research Laboratories. He dispatched the stated amount to the respondent's bank account and same was received. The respondent failed or refused to send the drugs hence the suit.

In its written statement of defence and counterclaim, the respondent denied the appellant's claim. It averred that the appellant never placed any order for drugs as it was claimed. Instead it was stated that one time the appellant owed the respondent the sum of US$ 34 590-90 and that the US$ 15 000 paid by the appellant to the respondent was in settlement of that debt. This left an outstanding balance of US$ 19 590-90 which the respondent counterclaimed

against the appellant. In reply to the written statement of defence and counterclaim, the appellant denied the indebtedness. He contended that the counterclaim was raised because of the suit.

At the trial the following agreed issues were framed for the Court's determination namely:

1. Whether there was a contract between the plaintiff and the defendant for the sale of drugs worth US$ 15 000-00;
2. If there was a contract, whether it was breached; and
3. The remedies to which the plaintiff is entitled.

On the respondent's counterclaim two issues were framed, namely:

1. Whether there was any debt owed to the defendant/counterclaimant by the plaintiff.
2. If so, whether the payment of US$ 15 000-00 was meant to liquidate that debt.

The Learned trial Judge answered the first issue in the negative. She did not find it necessary to determine the rest of the issues. The respondent did not adduce any evidence and the counterclaim was dismissed with costs to the appellant. Being dissatisfied with the decision, the appellant filed the instant appeal on the following grounds:

1. The Learned trial Judge erred in law when she reached an erroneous conclusion that because there was no written document, there was no legally binding contractual relationship between the parties.
2. The Learned trial Judge erred in law and fact when she failed to appreciate the custom of trade between the plaintiff and the defendant and or conduct of the parties.
3. The Learned trial Judge ought to have entered judgment, in favour of the appellant upon the respondent admitting receipt of US$ 15 000-00 from the appellant in its written statement of defence and counterclaim.
4. The Learned trial Judge erred in law and fact when she failed to award damages and interest to the appellant upon the conclusion of the appellant's case and submission thereof.
5. The Learned trial Judge erred in law and fact when she failed to enter judgment in favour of the appellant after he had proved his case and the respondant failed to rebut it.
6. The Learned trial Judge failed in her discretion to direct the case to a fair conclusion thereby causing a serious miscarriage of justice.

The appellant's prayer was that the appeal should be allowed and the appellant be awarded the reliefs prayed for in the plaint and the lower court's decision be set aside.

When the appeal came before us, Mr *Ndyomugabe*, learned counsel for the appellant, argued grounds 3 and 5 of the appeal together and the rest of the grounds separately.

In his submission, counsel stated that not every agreement or contract should be written. He stated that contracts are either oral, written or partly oral or partly written. He relied on the provisions of section 2(1) of the Contract Act (Chapter 73 Laws of Uganda) which enjoins courts in Uganda to apply the Common Law of England when interpreting contracts. He referred to the elements that constitute a valid contract as contained in *Halsbury's Laws of England* (4 ed) paragraph 203. These elements are:

1. There must be two or more separate and definite parties to the contract;
2. Those parties must be in agreement, that is there must be a consensus *ad idem*;
3. Those parties must intend to create a legal relationship in the sense that the promises of each side are enforceable simply because they are contractual promise; and
4. Consideration, or some other factor which the law considers sufficient must support the promise by each party.

Learned counsel submitted that all the four essential elements of a contract existed in the instant case. He also referred us to section 4(1) of the Sale of Goods Act that provide as follows:

> "Subject to the provisions of this Act and of any Act in that behalf, a contract of sale may be made in writing (either with or without seal) or by word of mouth or partly in writing and partly by word of mouth, or may be implied from the conduct of the parties".

He pointed out that the Learned trial Judge erred in law to hold that since the contract was not in writing, there was no binding legal relationship. It was his contention that the Learned Judge made a correct observation when she stated that the appellant and the respondent had some dealings with each other. But he criticised her for contradicting herself by stating that it was not clear whether such dealings were meant to create a legal relationship binding at all. He contended that the parties chose to deal with each other in that manner. He cited the case of *Bhogal v International Computers* EA Ltd [1972] EA 55 where the requirements of a trade usage or custom were judicialy explained. Learned counsel further contended that the appellant gave a detailed account of how he imported drugs. He invited us to apply the provisions of section 4(1) (*supra*) and *Bhogal*'s case to the facts of this appeal.

In his response to the above submissions, Mr *Muganwa*, learned counsel for the respondent, stated that a contract has four basic elements namely:

1. Offer and acceptance.
2. Consideration.
3. Intention to create a legal relationship.
4. Parties.

He claimed that counsel for the appellant in his submission did not bring out the four elements. He stated that the submissions stated the nature of a contract that is partly oral or partly in writing. But there was no evidence to prove a binding contract. It was his contention that the conduct of the parties can be used to determine the nature of the contract. He supported the finding of the trial Judge in that there was no evidence on which an inference could be made that there was a valid contract between the parties.

Generally in suits based on contract, the plaint must allege the contract and then its breach. The plaint must also state the terms of the contract as it was when the plaintiff's cause of action arose; whether the contract was express or implied; whether it was oral or written and if written the dates and the names of the parties must be stated. The appellant in pleading the contract now under dispute stated in paragraph 4 of the plaint as follows:

> "The plaintiff's claim arises under and upon the following facts:
>
> (*a*) In or around 1994 the plaintiff was introduced to the export manager of the defendant one Eddy Van Qudendijck for purposes of carrying on business with the defendant whereby the plaintiff would import drugs from the defendant in Uganda.

(*b*) The plaintiff and the defendant verbally agreed that the plaintiff would always place an order with cash which would be transferred to the defendant's bank account in Europe and by telegraphic transfer before the defendant dispatched the goods to the plaintiff in Uganda as evidenced by transaction vouchers hereto attached in one bundle and marked 'A'.

(*c*) In the same year (1994) the plaintiff was verily recognised and appointed distribution agent of the defendant's products in Uganda Manufacturers Association Trade show at Lugogo in Uganda as evidenced by annexture 'B' herewith annexed in one bundle.

(*d*) On 12 January 1996 after a telephone discussion with the defendant through the said Eddy Van Qudendijck, the plaintiff placed an order for goods worth 15 000 (Fifteen thousand United States Dollars) for the benefit of Cox Research Laboratories and as per the terms of the agreement the plaintiff dispatched the said money by telegraphic transfer to the defendant's bank account and the defendant acknowledged receipt thereof. The transaction voucher is hereto attached and marked 'E'".

In pleading the breach, the appellant stated in paragraph six thereof as follows:

> "Despite several demands and reminders and in breach of contract the defendant has refused and/or neglected to send the goods worth the stated sum or any part therefore or to refund the said sum of US$ 15 000 thereby necessitating the Court action".

The terms of the alleged contract as pleaded state the parties and the consideration. The terms neither stated the type of drugs that were supposed to be delivered and the quantities nor when the breach of breaches occurred. The provisions of Order 7, rule 1(*e*) require a plaint to state the particulars constituting a cause of action and when it arose. It was however submitted that there was a custom or trade usage between the parties and the appellant relied on *Bhogal*'s case for that assertion. The facts of that case were that the plaintiff was employed by the defendant on a work permit, and towards the end of his contract the defendant asked the plaintiff to leave on its expiry. The plaintiff claimed to be entitled to be paid compensation at the rate of one month's salary for every year of service with the plaintiff, firstly on the basis of an award of the Industrial Court made between the employers and employees in the motor trade, and alternatively on the basis that there was a custom to pay such benefits. In dismissing the claim of a custom the High Court of Kenya relied on the case of *Harilal v Standard Bank* [1967] EA 512 where at 516 Sir Charles Newbold P said:

> "As a trade usage may be described as a particular course of dealing between parties who are in a business relationship, which of course the dealing is generally known to all persons who normally enter into that relationship that they must be presumed to have intended to adopt that course of dealing and to have incorporated it into their contractual relationship unless by agreement it is expressly or impliedly excluded. Before a course of dealing can acquire the character of a trade usage it must first be so well known to the persons who would be affected by it that any such person when entering into a contract of a nature affected by the usage must be taken to have intended to be bound by it; secondly, be certain in the sense that the position of each of the parties affected by it is capable of ascertainment and does not depend on the whim of the other party; thirdly, be reasonable, that is, that the course of dealing is such that reasonable men would adopt it in circumstances of the case; and finally, be such as is not contrary to legislation or to some fundamental principle of law".

In this same case Sir Newbold stated the standard of proof when he said:

> "A trade usage may be proved by calling witnesses, whose evidence must be clear, convincing and consistent, that the usage exists as a fact and is well known and has been acted on generally by persons affected by it".

The *Bhogal* case is not binding on this Court having been decided by the High Court of Kenya. However, the principles relied upon were set out in the decision of the East Africa Court of Appeal and therefore the said principles can be relied upon by this Court to determine the facts of this case.

In rejecting the appellant's claim of a verbal contract together with the alleged trade usage or custom the Learned trial Judge at 99 of the record said:

> "Even if it is granted that the parties did agree that the terms governing their relationship was to remain verbal, one would nevertheless, expect that there would be some documents or record of the transaction considering that they are supposed to have been transacting with each other for at least a year. One would have expected some proforma invoices of the drugs involved in each transaction. One would have expected some record of the type of drug, the quantity and the cost per unit and total cost of drugs involved in each of the transactions involved in 1995. One would have expected shipping documents as well as clearing documents to be available".

I entirely agree with the conclusions reached by the Learned trial Judge. Whereas it is quite acceptable for parties to enter into a verbal contract and perform their obligations arising out of that contract in a manner they deem fit, I do not think that when it comes to the contract now under consideration, the Court should accept wholesale the evidence as presented. The contract was allegedly entered into verbally and it was conducted on telephone. There was no harm in that. The advances that have been made in information technology has made it possible for many people across the globe to conduct business with each other in the manner described by the appellant. It is, however, inconceivable that the appellant had no documentary evidence of his transactions with the respondent to prove the dealings. He attached bundles of some documents involving drugs that was sent to him by the respondent. Those drugs were used in the trade fair of Uganda Manufacturers Association at Lugogo. He had no documents to show that the respondent sent him any drugs for the money he transferred to it in 1994/95. The alleged drugs could not have been sent to him by telephone. He adduced documentary evidence from Uganda Commercial Bank to prove the transfer of money to the respondent's bank account. He should have gone further to prove that when he sent the money in previous dealings the goods were also sent using the means verbally agreed upon.

It probably explains why the appellant did not plead the means by which the respondent was supposed to send the goods because no drugs were supposed to be sent. To be a good contract, there must be a concluded bargain, and a concluded contract settles everything that is necessary to be settled and leaves nothing to be settled by agreement between the parties. The contract pleaded by the appellant with respect, did not settle everything to create a binding relationship.

In order to rely on trade usage or custom, the appellant had to show a consistent course of dealing in which the same terms have been regularly if not invariably incorporated in the past. He had also to show that he and the respondent knew of those terms in question. In my view, previous dealings as is being claimed in this appeal were relevant in order to prove actual knowledge and consent those terms by both parties. If previous dealings show that a man or woman knew of and agreed to a term on say 99 occasions, there would be a basis for saying that the term was incorporated in the contract.

In the matter now before us, although the respondent did not testify at the trial, in its written statement of defence, it acknowledged receipt of the money. It was averred that the money was meant to repay a debt owed by the appellant. In his testimony, the appellant acknowledged that he had owed the respondent some money but he had repaid it. He did not adduce evidence of that payment. There was also evidence that the appellant had sent bank drafts to the respondent on behalf of some people and that those drafts were dishonoured. As the Learned trial Judge rightly observed in my view, the possibility that the appellant sent the money in question on behalf of other people could not be ruled out. The appellant did not prove on a balance of probabilities the purpose for which he sent the money in question.

In any case, the provisions of section 47 of the Evidence Act (Chapter 6 Laws of Uganda) requires that before a court forms an opinion as to usages, tenets, etc, the opinion of persons having special means of knowledge is relevant. The section states as follows:

"When the Court has to form an opinion as to:

(*a*) the usage and tenets of anybody of men or family;

(*b*) the Constitution and government of any religious or charitable foundation; or

(*c*) the meaning of words or terms used in particular districts or particular classes of people, the opinion of persons having the means of knowledge thereon are relevant facts".

The appellant did not adduce evidence from any other source on which the Court could have made an inference of trade usage or custom that he was claiming. Such evidence would have come from people with knowledge of trade in drugs that the appellant was supposed to import from the respondent. In my humble opinion, the Judge was right to reject his evidence.

The above discussion disposes of the first and second grounds of appeal, which ought to fail.

The third ground of appeal complained that the trial Judge erred in not having entered judgment in favour of the appellant upon admission that it received US$ 15 000-00. It is correct that the respondent admitted receiving the stated amount in paragraph 5(iv) of its written statement of defence and counterclaim.

Under Order 11, rule 6 of the Civil Procedure Rules, judgment can be entered at any stage of the suit where an admission of facts has been made. Normally admissions are admissible against the maker. Such an admission must be unequivocal in order to entitle the party to judgment without waiting for the determination of any other question between the parties. In this case the respondent did not unequivocally admit receiving the said money and the purpose for which it was sent. Instead it averred that the appellant sent the money because he owed it the sum of US$ 34 590-90 and in an attempt to settle the debt, he sent the stated amount, leaving a balance of US$ 19 590-90. This amount was claimed in the counterclaim that was dismissed for want of prosecution. The trial Judge cannot be faulted for not entering judgment on admission. This ground was not well founded and it ought to fail.

The rest of the grounds can be dealt with summarily. The fourth ground complained that the Learned trial Judge erred in law when she failed to award damages and interest. Damages are normally awarded for breach of contract

after proof that the terms of the contract were breached. In view of may own findings that the appellant failed to prove his case, he was not entitled to any damages.

However, I would like to observe that there is a growing tendency among members of the High Court bench who fail or omit to assess damages they would have awarded the plaintiff, had the action succeeded. I shall refer to some authorities to illustrate why there is need for this practice to be observed. This first case is *Selle v Associated Motor Boat Co* [1968] EA 123. The Court counselled that it is desirable and advisable for a judge of first instance to decide all issues raised in the case so that further expenses and delay may be avoided in the event of the appellate court having to adopt a course of remitting the file to the High Court for assessment of damages. The file was remitted to the High Court to do the needful. The second case is *Mute v Elikana* [1975] EA 201 where the Court of Appeal for East Africa (as it then was) had occasion to comment on the need to assess damages even though judgment is given in favour of the defendant. At 202 Law Ag P said:

"Where the judgment is, with respect less satisfactory, is in the almost complete lack of specific findings on the allegations of negligence pleaded on both sides, and the Judge's failure to make findings as to damages to which the appellant would have been entitled had he been successful. *This should always be done in a suit for damages, even though judgment is given for the defendant*". (emphasis added)

The file was remitted to the High Court to assess damages due to the plaintiff.

In a recent decision of the Supreme Court in the case of *Lutaya v Attorney-General* civil appeal number 10 of 2002 (UR) Tsekooko JSC who wrote the lead judgment with which other members of the Court agreed, had occasion to comment on failure by the trial court to assess damages. At page 19 of the judgment he said:

> "It is a well established judicial practice that in this type of case, a trial court should indicate what it would have awarded as damages if the plaintiff had established his claim: See *National Enterprises Corporation and others v Nile Bank Ltd* civil appeal number 17 of 1994 (UR). The Supreme Court remitted the record to the trial Judge to assess damages. The observations made in those cases were of course orbiter. But the practice must be observed by the lower courts".

In the instant appeal, the appellant failed to prove his claim and therefore the trial Judge did not err in not awarding him any damages although she should have assessed them. Failure by the trial Judge to enter judgment in favour of the appellant in my view did not occasion any miscarriage of justice notwithstanding failure by the respondent to adduce any evidence.

All in all, the appellant failed to prove his case and his appeal to this Court ought to fail. I would uphold the judgment and orders of the judgment and orders of the High Court. The appeal would accordingly, be dismissed with costs to the respondent.

Mukasa-Kikonyogo CJ and Kitumba JA concurred in the judgment of Byamugisha JA.

For the appellant:
D Ndyomugabe instructed by *Davis Ndyomugabe and Co*

For the respondent:
CS Muganwa instructed by *Mwesigwa Rukutana and Co*

Lutaya v Attorney-General
[2004] 2 EA 155 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of Judgment:	19 March 2004
Case Number:	10/02
Before:	Odoki CJ, Oder, Tsekooko, Mulenga and Kanyeihamba JJSC
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Tort – Vicarious Liability – Soldiers – Government Soldiers on duty without provisions – Soldiers invading private land – Whether invasion done in the course of employment – Whether Attorney-General vicariously liable.

Editors' Summary

The appellant sued the respondent in the High Court for general and special damages for trespass. In the plaint, it was stated that soldiers of the National Resistance Army, who were employees of the government, trespassed upon the appellant's land, cut down trees and timber to build huts and also removed food from the appellant's land for themselves and their families. The respondent admitted the existence of the soldiers at the station near the appellant's farm but denied the existence of the farm or that they trespassed and stated that if they trespassed, they did so on a frolic of their own.

The High Court dismissed the suit. An appeal to the Court of Appeal was also dismissed on the ground that the respondent was not vicariously liable for the acts of the soldiers. The appellant then appealed to the Supreme Court.

Held – As the Ministry of Defence deployed soldiers at that station to perform State duties, failure by the Ministry to make provisions for the soldiers tempted them to use initiative to survive in order to perform State duties. What the soldiers did was done in the course of their duty and the respondent was vicariously liable; *Muwonge v Attorney-General* [1967] EA 7 followed.

Appeal was allowed and matter referred to the High Court for assessment of damages.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Barugahare v Attorney-General civil appeal number 28 of 1995 (unreported) – **C**

Kafumbe Mukasa v Attorney-General [1984] HCB 33 – **C**

Muwonge v Attorney-General [1967] EA 7 – **F**

Sembatya v Attorney-General civil appeal number 21 of 1994 (unreported) – **C**

Judgment

TSEKOOKO JSC: This appeal arises from the decision of the Court of Appeal which upheld the judgment of the Principal Judge dismissing the appellant's action.

There is a little confusion in the recording of evidence from witnesses and the numbering of witnesses in the trial court record. But the facts appear clear Lutaya, the appellant, at all time material to these proceedings, was the registered proprietor of a piece of land comprised in leasehold register volume 425 folio 13 block 97 plot 1, situate at Kyaggwe, in Mukono District. He established a farm in one part of the land, (hereinafter referred to as the "land"). He brought an action in trespass against the respondent Attorney-General in the High Court. In the action he claimed for general damages and special damages for trespass to the land.

In the plaint, it was alleged that during February 1995, 600 soldiers of the National Resistance Army (NRA), now Uganda Peoples Defence Forces (UPDF), who were deployed at Mpoma satellite station, trespassed on the land and caused substantial damage to the farm by cutting down trees and removing all available timber, which was in his exclusive and demarcated forest for construction of residences at the satellite station and that the soldiers together with their dependants continuously engaged in firewood collection and burning charcoal on a commercial basis. In the process the soldiers ruined the appellant's hitherto well preserved and treasured forest cover. In his written defence, the respondent admitted the presence of some soldiers at the station, but denied they were 600. He also denied knowledge of the existence of a farm and the alleged damage to it by the soldiers. The respondent stated further that if any soldiers trespassed, they did so on a frolic of their own.

In the trial court, six issues were framed for determination. The Principal Judge, who tried the action, answered the first and second issues in the affirmative and the rest of the issues in the negative.

Issue number 4 was key in the case, both during trial and on appeal, and it was whether the Attorney-General was liable for the acts of the soldiers belonging to Uganda Peoples Defence Forces (UPDF). The Learned Principal Judge held that the Attorney-General was not liable. The appellant appealed to the Court of Appeal where he lodged six grounds. The fourth ground upon which the Court decided the appeal was whether the respondent was vicariously liable for the act of the soldiers. The Court of Appeal answered this in the negative and so dismissed the appeal.

The appeal before us is founded on two grounds, the first of which was amended with leave of the Court.

The grounds are formulated as follows:

1. The learned Justices of the Court of Appeal erred in law in holding that the Attorney-General was not vicariously liable for the acts of the soldiers of the National Resistance Army (NRA).
2. The learned Justices of the Court of Appeal erred in law and fact when they held that the crux of the case was the vicarious liability of the Attorney-General and refused to entertain other grounds of the appeal raised.

In substance these grounds are about the same thing. Submitting on the first ground, Mr *Semuyaba*, for the appellant, argued that on the evidence available, the Court of Appeal erred in holding that the acts of the soldiers did not bind the Attorney-General and that the Court misdirected itself and misinterpreted the evidence of Brigadier Nanyumba (PW6) when it held that his evidence was hearsay. Counsel contended that the soldiers who cut the appellant's timber and trees did so in the course of their duty. He further contended that the Court wrongly applied the principle of vicarious liability as enunciated in the decision

of *Muwonge v Attorney-General* [1967] EA 7. In support of his contention that the Attorney-General is liable, learned counsel relied on *Kafumbe Mukasa v Attorney-General* [1984] HCB 33, *J Barugahare v Attorney-General* civil appeal number 28 of 1995 and *Mutyaba Leonard Sembatya v Attorney-General* civil appeal number 21 of 1994 Supreme Court (both unreported). Mr *Wamambe*, State Attorney, supported the decision of the Court of Appeal, arguing that the Court acted properly when it relied on vicarious liability principles in *Muwonge* case to hold that the respondent was not liable for the alleged acts of the soldiers. Learned State Attorney also supported the view of the Principal Judge who had opined that Brigadier Nanyumba gave evidence to support the appellant as a friend, contending that the Brigadier's evidence as well as that of the appellant himself is hearsay. The State Attorney argued that the cases cited by appellant's counsel are distinguishable and that if the soldiers went to the land they were not officially ordered, employed or authorised to trespass on the land.

In his contentions, Mr Semuyaba relied mainly on the evidence of four witnesses. These were the appellant himself who is PW1, of Kibuuka Joseph (PW5) who was the appellant's worker and driver and Brigadier Nanyumba (PW6).

In the Court of Appeal, Okello JA, delivered the lead judgment with which the other members of the Court concurred. The learned Justice of Appeal first considered the fourth ground of appeal before he upheld the decision of the Principal Judge who tried the suit. The fourth ground read as follows:

> "The learned Principal Judge misdirected himself on the law of vicarious liability and erred in law in finding that the respondent is not vicariously liable for the acts of the National Resistance Army (NRA) soldiers".

During the trial the Principal Judge, considered issue number 4 which was "whether the Attorney-General is liable for the Acts of the Uganda Peoples Defence Forces (UPDF)".

In his written arguments, counsel for the present appellant contended before the Principal Judge, that National Resistance Army/Uganda Peoples Defence Forces (NRA/UPDF) soldiers are servants of the government, just like the policemen were in *Muwonge v General* case. He therefore argued that the acts of the army personnel who collected timber and crops from the appellant's farm to supplement their government provisions were acts done in the course of their employment. Therefore, the government was vicariously liable for the acts of the soldiers. Counsel argued that the evidence of the appellant (PW1), of Edward Semucho (PW4), of Kibuuka Joseph (PW5), and Brigadier Nanyumba (PW6), proved that the respondent's servants entered the appellant's land, got and used materials from the land to build huts, burnt charcoal and sometimes collected food. He also contended that there was no evidence establishing that the soldiers collected or could collect materials from anywhere else other than the appellant's farm.

The learned Principal Judge first disposed of the third issue which was "whether National Resistance Army (NRA) soldiers invaded the plaintiffs farm land and caused extensive damage to the crops thereon and forest cover" before he resolved the fourth issue.

The learned Principal Judge alluded to the relevant averments in paragraphs 2, 3 and 4 of the plaint, then to the evidence of the appellant, that of Semucho (PW4) of Dr Alum (PW3) and Brigadier Nanyumba and concluded

that the plunder of the farm was done from or prior to 1973 by soldiers of the pre-Nanyumba era as well as by ordinary people. He held that Nanyumba was a liar who was helping a friend, the appellant.

The learned Principal Judge opined that the appellant should have produced evidence of the places where the burning charcoal took place, the particulars of the soldiers, of trucks, of the market where the charcoal had been sold and even one or two customers to whom the soldiers had sold the charcoal. He concluded that "it was not only the National Resistance Army/Uganda Peoples Defence Forces (NRA/UPDF) who caused the extensive damage to the property". Consequently, he answered the third issue in the negative thereby holding definitely that the respondents servants did not participate in the damage complained of. Having thus made that finding, the learned Principal Judge found it easier to answer the fourth issue also in the negative. These finding are a little puzzling especially on the basis that Nanyumba was a liar. Brigadier Nanyumba does not appear to have been cross-examined on his evidence. To brand him a liar when his evidence was not challenged is with respect unfair. The fact that he had known the appellant was not good enough for labelling him a liar and holding him unreliable. He testified that he was the Chief of Staff at the material time and continued:

> "Mr Lutaya complained about his farm near Mukono. This is a copy of the communication (Exhibit P3). I received a copy of it. We as the army were occupying the area and that the army had destroyed Lutaya's property. When I received this communication it was my duty to task the commander. I do not remember what the response of the unit commander was. But he confirmed that Uganda Peoples Defence Forces (UPDF) was occupying the land near Mr Lutaya's and that they had damaged his crops. I was not informed of the number of troops.
>
> The State sometimes may not be able to cater for the needs of the army. The local commander may take the initiative to secure provisions. So Mr Lutaya's complaint is not unusual".

This evidence appears to be that of a neutral witness who was doing his best to recollect what he could remember.

The appellant testified about the crops, the fruits and the trees planted on his farm. He also stated that there was a natural forest and that in 1995 soldiers who were guarding Mpoma satellite station were without provisions. According to him:

> "From the day the soldiers arrived there was the invasion of my managed forest to collect timber for the construction of their huts. They cut my forest by literally invading my forest and took it over. When they were challenged the soldiers said the commander had sent them. I went to complain to the commander. I complained that my workers were frightened out of their wits. The commander said they wanted shelter and the men were sent by orders from above. They needed huts and firewood; they needed water, the cutting of the forest started around January 1995 or even earlier. Since then this has continued up to date. I established there were about 300 soldiers of National Resistance Army (NRA)."
>
> Eventually the population grew to about 600 people, including wives and children. Those who are transferred they were destroying the old huts for health reasons.
>
> Each time there is a reshuffle, there is new cutting. When I filed the suit the cutting had taken one year.
>
> As a result my forest reserve has been severely depleted. It continues to be harvested at random without inventory, without remuneration and without any arrangement whatsoever. The soldiers have concentrated on natural forest and on the high and tall trees on the deliberately managed forest".

The evidence of Nanyumba implicitly supported this evidence.

The appellant was cross-examined at length and he substantially repeated what he stated in examination in chief about the destruction of the forest, charcoal burning and ferrying of poles.

Edward Semucho (PW4) had worked on the farm before 1994. His evidence shows that during the time he was at the farm, the soldiers were not very many. He also implied that the damage claimed by the appellant was rather exaggerated and that much of the farm had been neglected. According to his evidence, fruit trees (avocados, bananas, mangoes, jackfruits) were there and by 1994 they were bearing fruits. When he revisited the farm in 1996, avocados, mangoes and jackfruits and been roughly handled and damaged. He did not say who damaged them. The appellant used to market his fruits. According to Semucho, soldiers went to the farm from 1992. By 1996 there were many huts of soldiers and "bush" from the farm had been cut to build these huts. The soldiers used to collect firewood from the farm. This evidence supports that of the appellant.

Ssewadde Sonko (PW3) an agriculturist and one of the expert witnesses counted fruit trees on the appellant's farm and produced his report (Exhibit P4) in which he assessed the value of the loss.

In April 1997, the appellant engaged Dr John Alum, a forest expert to value the damage to the farm. He and his assistants produced a report (Exhibit P2). At the time he saw no evidence of charcoal burning but trees had been harvested from the forest. He saw some huts. For security reasons, he could not photograph the huts occupied by soldiers.

Now, in the Court of Appeal, as already pointed out, the appeal was disposed of after consideration of only one ground, namely ground 4, which hinged on vicarious liability of the respondent because of the activities of the soldiers on the appellant's farm. In his lead judgment Okello JA, cited passages from the *Muwonge* case (*supra*) in which Sir Charles Newbold, the President of the East Africa Court of Appeal, set out the principles of vicarious liability. The learned Justice of Appeal then referred to a passage in the judgment of the Principal Judge from which the learned Justice of Appeal concluded that the Principal Judge "certainly tended to give a narrower interpretation to the principle of vicarious liability of a master than was stated in *Muwonge v Attorney-General*".

Thereafter he stated the principle to be:

> "Once the acts were done by the servant in the course of his employment, it is immaterial whether he did it contrary to his master's orders or deliberately, wantonly negligently or even criminally or did it for his (servant's) own benefit, the master is vicariously liable so long as what the servant did was merely a manner of carrying out what he was employed to carry out".

In the Court of Appeal counsel for the appellants had argued that by cutting poles to construct huts, the soldiers' conduct made the respondent liable vicariously.

According to Okello JA the crucial question to answer in the case was whether when the soldiers cut poles for making their huts or when the soldiers collected fire wood or burnt charcoal, those were acts which soldiers were employed to do or the manner of carrying out what they were employed to do. He then referred to the appellant's complaint to the local commander of National Resistance Army (NRA) and the latter's reply that: "The men were sent by order from above."

The learned Justice of Appeal concluded that there was insufficient evidence to establish vicarious liability.

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It is common ground that soldiers camped next to the appellant's farm. They therefore, had opportunity for access to the farm. Appellant's evidence that the soldiers trespassed to this land is supported by that of Edward Semucho. Further, Brigadier Nanyumba testified that soldiers were in the area and that the appellant complained about the damage caused to this farm by those soldiers. Therefore the Brigadier tasked the local commander who informed him that soldiers had damaged the appellant's crops. The Brigadier stated that the State sometimes may not be able to cater for the needs of the army. Therefore the local commander "may take initiative to secure provisions. So Mr Lutaya's complaint is not unusual".

The trial Judge held that in this evidence the brigadier in this regard was helping his friend, the appellant. In my view and with all due respect, this finding is without proper foundation. The brigadier was not cross-examined about the motive for testifying as he did. He was not asked whether he was helping a friend or was simply telling the truth or falsehood. That means that his evidence remained untainted and credible. This entitled the trial court to make such inferences as are reasonable within the context. In my opinion the most reasonable inference on the evidence as a whole is that normally when the soldiers lack provision for their needs, they help themselves. They can do this, for instance by invading a nearby forest to get firewood. The appellant testified that soldiers cut his forest so as to construct huts for the soldiers to live in while performing their duty. This forced the appellant to raise his complaint directly with the local commander who was in charge of the soldiers. The commander was then obliged to tell the appellant, in effect, that what the soldiers were doing, for example, cutting timber, was okayed from superiors. It was not in these circumstances incumbent upon the appellant to embark on the exercise of establishing the truth of that commander's statement. He was entitled to assume and believe that the soldiers had been authorised to construct huts using materials from the appellant's forest. Mind you, the soldiers were supposed to be housed by the State. No houses appear to have been provided. The soldiers

constructed the huts while on official duty so as to be comfortable. They were therefore, performing official functions in a crude way.

Both the Learned Principal Judge and the Court of Appeal appear to regard what the local commander told the appellant as hearsay. I cannot agree. I think it has evidential value. What the appellant reported is as much evidence in as such a statement was made, as it is evidence of what was taking place as factual and truthful. In that regard, the evidence of Kibuka Joseph (PW5) is important. He testified:

> "Between 1995-96 I saw soldiers coming to visit us. They would gather firewood and timber for building. They ate matoke, tomatoes, fene, et cetera. Accompanied Lutaya to report to chairman RC1 Kiswera. He gave us a letter to take to Mpoma satellite to report to the boss of the soldiers. There were many soldiers coming. Some were sitting, others picking firewood, others moving in and out. Their uniports were more than 100. They continued despite our complaint. I know the environs of the farm. There is nowhere else they could have collected firewood".

This witness was not challenged on this evidence. It is my view that if it was a question of one soldier or two soldiers doing the damage complained of by the appellant once or twice or stealthily, it could accord with the findings of both the learned Principal Judge and the Court of Appeal. But, where, as it is quite evident in this case, that groups of soldiers made it routine to harvest timber and fruits for themselves or for performing their functions, it ceases to be a frolic of the soldiers. The matter appears to have been so routine and so apparently official that the appellant had to complain not only to RCs but also to the Resident District Commissioner and to the commanding officer and eventually to the Chief of Staff of the army. The latter in reality acknowledged the damage which he impliedly attributed to failure by the State to provide for soldiers.

In my opinion, these acts of the soldiers were really official and they bound the respondent in terms of the vicarious liability principles enunciated in the *Muwonge* case. I therefore hold that both the Principal Judge and the Court of Appeal erred when each held that there was no vicarious liability for the respondent arising from the conduct of the soldiers.

The Ministry of Defence deployed soldiers at Mpoma satellite station to perform State security matters. The Ministry of defence was bound to provide accommodation and food to the soldiers. Failure to make the provisions for the soldiers tempted the soldiers or their commanders to use initiative for the soldiers to survive in order to be able to perform the State duties. Surely it can not lie in the mouth of the respondent to say that in those circumstances soldiers did what they did at their peril or that they should have slept in the open to face the vagaries of nature or that the soldiers should perform duties on empty stomachs. I cannot agree. I think that vicarious liability for the respondent was proved and therefore ground one must succeed. It follows that ground two must succeed because the Court of Appeal should have considered the other grounds.

This means the appeal must succeed. What is the consequence of this success?

In his plaint:

(*a*) The appellant prayed for damages arising from trespass to land.

(*b*) Damages for loss of property and business investment valued at UShs 255 800 000.

(*c*) A permanent injunction restraining the defendants from trespassing on the plaintiff's land.

(*d*) Costs.

The learned Principal Judge held that the loss claimed was speculative. He appears to have ignored prayers (*a*) and (*c*) and concentrated on prayer (*b*).

In his view:

> "As I have stated it cannot be stated that only the soldiers of National Resistance Army/Uganda Peoples Defence Forces NRA/UPDF could have invaded the plaintiff's farmland and harvested crops, wood and timber. For anyone therefore making a claim of the loss, there must be apportionment of the cause of the loss. In particular it is now trite law that special damages must not only be specially pleaded but they must in addition be specifically proved. I confess I have not found any proof of damage attributed wholly or even partially to be National Resistance Army/Uganda Peoples Defence Forces NRA/UPDF soldiers. The financial loss adduced is based on quantitative and market speculation".

He dismissed the suit. So he awarded no damages.

He said nothing about the prayer for an injunction. It is a well established judicial practice that in this type of cases, a trial court should estimate what it would have awarded as damages if the plaintiff had established his claim. If the learned Principal Judge had followed this practice, I would have considered his estimate of the damages on the matter. In this case he said nothing about the prayer for trespass to land. There is definitely proof that the soldiers trespassed on the appellant's land. In that respect, he is entitled to some damages for trespass. Consequently he would be entitled to the grant of the prayer for injunction. I agree that damages for timber, charcoal and fruits may have been exaggerated. But since there is evidence of damage, some reasonable amount should have been awarded. This Court is not in a position to assess the damages now. This should be done by the trial court. Meantime I would grant the injunction.

For the foregoing reasons, I would allow the appeal, I would set aside the judgments and orders of the two courts below. I would remit the record to the trial Judge for him to assess and award damages for:

(*a*) Trespass to land; and

(*b*) Special damages.

I would award the appellant the costs in this Court and in the two courts below. The taxed costs will carry interest at the rate of 6% per annum from date of judgment till payment in full.

ODOKI CJ: I have had the advantage of reading in draft the judgment prepared by my learned brother Tsekooko JSC, and I agree with him that this appeal should be allowed with the orders he has proposed.

The main issue in this appeal is whether the Court of Appeal erred in holding that the Attorney-General was not vicariously liable for the acts of the soldiers of National Resistance Army (NRA), which forms the first ground of appeal.

I agree that there was sufficient evidence to prove that the soldiers who plundered the appellant's farm and forest were acting within the course of their employment because the trees, timber and firewood they removed from the appellants forests were used by them to facilitate the performance of their duties. The trees and grass they removed were used to build houses and huts for their barracks and the firewood was used to cook the food they had secured

from his land. These activities were part of the manner in which they were enabled to carry out their duties. It was immaterial if the manner in which they carried out their duties was improper or unauthorised, so long as it was merely a manner of carrying out their duties. *Muwonge v Attorney-General* [1967] EA 7.

The soldiers' employer namely the government benefited from the activities of soldiers since there was evidence from their supervisors that it was normal for soldiers to obtain these supplies for themselves when the government failed to provide them. Therefore there was at least an implied authorisation for the soldiers to help themselves on the appellants' property.

However, from the evidence of the officer in charge of the soldiers and Brigadier Nanyumba, who was the then Chief of Staff, it is clear that the authorities were aware of what was happening and did nothing to stop it. On the contrary, it was alleged that the soldiers were doing so because of the orders from above.

In those circumstances, the respondent was clearly vicariously liable for the actions of the soldiers which were committed in the course of their employment, and the Court of Appeal erred in holding otherwise.

In view of the fact that the learned Principal Judge did not, as he should have done, assess the damages he would have awarded had he found for the appellant, I agree that the case be remitted back to the trial Judge to assess general and special damages payable to the appellant. I also agree that a permanent injunction be issued against the respondent to stop the soldiers from trespassing and plundering the appellant's land.

As the other members of the Court agree with the judgment and orders proposed by Tsekooko JSC, this appeal is allowed with the orders as proposed by the learned Justice of the Supreme Court.

Kanyeihamba, Mulenga and Oder JJSC concurred with the judgment of Tsekooko JSC.

For the appellant:
Mr J Semuyaba instructed by *Semuyaba Iga & Co*

For the respondant:
Wamambe

Mariaria and others v Matundura
[2004] 2 EA 163 (CAK)

Division:	Court of Appeal of Kenya at Kisumu
Date of ruling:	26 March 2004
Case Number:	301/03
Before:	O'Kubasu JA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Appeal – Time – Extension of time – Delay of three and a half months – Delay attributable to applicant's previous counsel – Whether extension of time would be granted – Rule 4 Court of Appeal

Rules.

Editor's Summary

The applicant filed an application seeking extension of time to file a notice and record of appeal. It was claimed that the delay was due to missing documents which were not traced in time by the applicant's previous counsel. The respondent urged the Court not to accommodate the carelessness of counsel, and also argued that the abandonment of the prayer for extension of time to file notice of appeal rendered the application defective.

Held – The decision whether or not to extend time for appealing is essentially discretionary. The Court will take into account (1) the length of the delay, (2) the reason for the delay, (3) the chances of the appeal succeeding if the application is granted, and (4) the degree of prejudice to the respondent if the application is granted.

A three month delay without proper explanation like in the current case was inordinate. The litigant in such a case can claim damages from his advocate. The application would therefore be dismissed with costs.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Mutiso v Mwangi [1997] LLR 630 (CAK) – **APP**

Omar Transmotors Ltd and another v Onyango [2002] LLR 3774 (CAK) – **APP**

Samken Ltd and another v Tussel and another [1999] LLR 898 (CAK) – **APP**

Ruling

O'KUBASU JA: Before me is an application by way of notice of motion brought under rules 4 and 42 of the Court of Appeal Rules in which the applicants are seeking the following orders:

> "1. That this Honourable Court be pleased to extend the time within which the applicant may file the notice of appeal and the record of appeal from the judgment and decree of the High Court of Kenya given by honourable Mr PKK Arap Birech on the 26 October 2001.
>
> 2. That the Court be pleased to make reasonable provisions for the costs of the application.

This application is based on the following grounds:

> "(*a*) That the applicants filed the notice of appeal timeously and obtained a certificate of delay.
>
> (*b*) That due to some oversight the proceedings and certificate of delay were misplaced and when the same were traced the period between then and filing the appeal was too short to file the appeal.
>
> (*c*) That further there are some necessary documents that were left in the record of the superior court which were not easily accessible on time.
>
> (*d*) That it is just and reasonable to grant the prayers sought".

When this application came up for hearing on 25 March 2004 Mr *Soire*, for the applicant, stated that he was abandoning the prayer for leave to file notice of appeal out of time. He then proceeded to explain what led to this delay. The blame was put on Mr Masore the advocate who was handling this matter in the superior court and also prepared the papers for the intended appeal.

In opposing this application Mr *Onsongo* for the respondent started off by pointing out that the application was defective since the prayer of notice was abandoned. It was Mr *Onsongo*'s view that the advocate for the applicants exhibited a sloppy and careless manner in dealing with this matter.

Under rule 4 of this Court's rules the Court has what has been referred to as unfettered discretion in granting leave. However, this discretion must be exercised Judiciary. How is this discretion to be exercised? In *Mutiso v Mwangi* [1997] LLR 630 (CAK) this Court stated:

> "It is now well settled that the decision whether or not to extend time for appealing is essentially discretionary. It is also well settled that in general the matters which this Court takes into account in deciding whether to grant an extension of time are first the length of the delay, secondly the reason for the delay thirdly (possibly) the chances of the appeal succeeding if the application is granted, and fourthly the degree of prejudice to the respondent if the application is granted".

The Court then continued:

> "Bearing these principles in mind and applying them to the instant case the appellant took almost three and half months to file the present application after the appeal was struck out for the second time. In our judgment with respect to the period of delay of almost three and a half months, in any view of it is substantial. In *Samken Ltd and another v Tussel and another* [1999] LLR 898 (CAK) this Court found a delay of about three months long".

It is to be noted that the judgment of the superior court that the applicant with to challenge was delivered on 26 October 2001. A notice of appeal was filed within the prescribed time. The intended appeal should have been filed by the end of 2001 but the applicants obtained certificate of delay hence they had to lodge the record of appeal by 11 October 2003.

That was not done. The reason given for that failure was that there was oversight on the part of the advocate and one of the applicants.

In *Omar Transmotors Ltd and another v Onyango* [2002] LLR 3774 (CAK) Omolo JA dealing with an application similar to this one had the following to say:

> "Legal business can no longer be handled in such a sloppy and careless manner. Some clients must learn at their cost that the consequences of careless and leisurely approach to work by the advocates must fall on their shoulders".

Mr *Onsongo* urged me to consider the current application in the light of what was stated in the foregoing decision.

In "*The Due process of Law*" 1980 London Butterworths at 93 Lord Denning said:

> "Whenever a solicitor by his inexcusable delay deprives a client of his cause of action, his client can claim damages against him, as for instance when a solicitor does not issue a writ in time, or serve it in time or does not renew it properly. We have seen I regret to say several such cases lately. Not a few are legally aided. In all of them the solicitors have, I believe, been quick to compensate the suffering client; or at least their insurers have. So the wrong done by this delay has been remedied as much as can be. I hope this will always be done".

I have given the background to this application as explained by Mr *Soire* and taking into account the principles to be applied in exercising my discretion under rule 4 of the rules I do not think the applicants have given sufficient explanation to warrant the Court's discretion being exercised on their favour. It is true that the Court has unfettered discretion but like all judicial discretion must

be exercised upon reason not capriciously. Even sympathy alone would not assist a party. Justice must look both ways as the rules of procedure are meant to regulate administration of justice and they are not meant to assist the indolent.

In view of the foregoing I am satisfied that this is not a proper case in which to exercise my discretion in favour of the applicants. Consequently, this application fails and the same is dismissed with costs to the respondent.

For the applicant:
JO Soire instructed by *JO Soire and Co*

For the respondent:
RB Onsongo instructed by *Onsongo and Co*

Michira v Gesima Power Mills Ltd
[2004] 2 EA 166 (CAK)

Division:	Court of Appeal of Kenya at Kisumu
Date of Judgment:	9 July 2004
Case Number:	197/01
Before:	Omolo, O'Kubasu and Githinji JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Land – Sale Agreement – Rescission – Whether inactivity by either party in endeavouring to perform contract may amount to rescission.

[2] Land – Sale Agreement – Uncertainty – Whether there was a meeting of the minds – Whether agreement capable of being performed – Whether a party may recover damages on an uncertain agreement.

Editor's Summary

The respondent by an Agreement of Sale, agreed to sell land reference number 209/4194/16 situated in the city of Nairobi to the appellant at a price of KShs 10 000 000. The sale agreement provided *inter alia*, that KShs 1 000 000 (being 10% of the purchase price) shall be paid by the purchaser upon the vendor executing the agreement; that part of the balance of the purchase price namely KShs 2 000 000 shall be paid to the respondant within seven (7) days of the respondent delivering the parcel of land in vacant possession to the applicant. At clause 6 of the agreement it was provided that "the respondant undertakes to accomplish and deliver certificate of title in the applicant's name to the applicant free of any encumbrances excepting the existing occupation within ninety (90) days from the date of execution of this agreement and further that this condition is of essence to this contract". There was also a term in the sale agreement that any party in breach of any conditions would be liable to the other party to pay 40% of the purchase price.

The appellant paid the KShs 1 000 000 to the respondent. The transaction did not go through and

the respondent ended up selling the property to another person. The appellant filed suit, claiming damages of KShs 4 million, refund of KShs 1 000 000 and special damages of KShs 90 000. The appellant contended that the respondent was in breach of the agreement by failing to obtain agreed consents and delivering vacant possession; further that the

respondent was in breach of the agreement, clause 6, by failing to deliver the certificate of title to the appellant within the stipulated 90 days from the date of agreement. The respondent denied any breach of the agreement and averred that the sale agreement was conditional on delivering vacant possession, and claimed damages by way of counterclaim for breach of the agreement by the appellant.

The parties partially compromised the suit by consenting to the refunding of KShs 1 000 000 to the appellant. The issue of damages proceeded to trial. The Court found that neither of the two parties to the agreement was at any time in a position to perform its part of the agreement since the agreement was vague, uncertain and contradictory and further that there was no meeting of the minds. The agreement was found to be void and incapable of enforcement.

The appellant appealed to the Court of Appeal.

Held – There was no meeting of the minds of the contracting parties thereby making the contract incapable of performance. The agreement did not provide for the time within which the balance of purchase price would be payable or secure the payment. The fact that the agreement was uncertain on the fundamental term on the payment of the purchase price made the entire agreement void for uncertainty. Further, the agreement was capable of being construed as providing for two different dates for giving vacant possession by the respondent and this was evidence of uncertainty. Neither party could be held to be in breach of the uncertain agreement or be entitled to any damages from the abortive agreement.

Alternatively, since neither party actively endeavoured to perform his obligations in order to bring the contract to fruition, it can be inferred from that inactivity that the parties had mutually rescinded the agreement by abandoning it thereby discharging each party from the performance of the agreement.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Openda v Ahn [1984] KLR 208 – **C**

Selle v Associated Motor Boat [1968] EA 123 – **F**

Shah v Shah [1988] KLR 289 – **F**

Judgment

OMOLO, O'KUBASU AND GITHINJI JJA: This is an appeal from the judgment and decree of the superior court (Mbaluto J) by which the superior court dismissed the appellant's claim for damages for breach of contract for the sale of land with no order as to costs.

By an agreement for sale dated 21 August 1996 the respondent in this appeal agreed to sell land reference number 209/4194/16 situated in the city of Nairobi to the appellant at a price of KShs 10 000 000. The relevant clauses of the agreement are set out below in extenso:

"3. That the agreed purchase price shall be paid to the respondent as follows:

(i) KShs 1 000 000 (one million shillings only) being (10%) percent of the purchase price shall be paid by the purchaser upon the respondant executing this agreement by cheque number 196780 Kenya Commercial Bank Kisii branch dated 21 August 1996.

(ii) Part of the balance of the purchase price namely KShs 2 000 000 (read KShs two million shillings only) shall be paid to the respondant within seven (7) days of the vendor delivering the parcel of land in vacant possession to the purchaser.

4. That the purchaser undertakes to pay stamp duty required by the Commissioner of Lands and/or District Registry or any other government department to secure the registration of the plot in the purchaser's name.

5. That further to contents of the paragraph 4 above the respondant undertakes to obtain all required consents from all relevant government offices to facilitate the transfer and due registration of the parcel of land in the purchaser's name free of all encumbrances and extends the lease to 99 years.

6. That the respondant undertakes to accomplish and deliver certificate of title in the purchaser's name to the purchaser free of any encumbrances excepting the existing occupation within Ninety (90) days from the date of the execution of this agreement and further that this condition is of essence to this contract.

7. KShs 7 000 000 (read seven million shillings only) shall be paid upon the respondant complying with condition number 6 herein.

8. That should any party default any of the conditions stated above the party in breach shall be liable to the innocent party for the equivalent in money of forty percent (40) of the purchase price herein".

That agreement which was apparently drawn by the parties themselves was signed before an advocate. According to the abstract of title produced in the superior court the respondents acquired the suit land on 4 October 1973. It is a leasehold property registered under the Registration of Titles Act for an initial term of 51 years from 1 January 1953 which term was varied to 66 years on 5 March 1974.

The appellant filed the present suit on 18 February 1997. He averred in paragraph 4 of the plaint that the respondent was in breach of clause 3 of the agreement by failing to obtain the agreed consents and delivering vacant possession to the appellant. He further averred in paragraph 5 of the plaint that the respondent was also in breach of clause 6 of the agreement by failing to deliver the certificate of title to the appellant within the stipulated 90 days from the date of execution of the agreement. He pleaded that he had suffered damages as a result of the breach and claimed:

"(*a*) damages as per clause 8 of the sale agreement – KShs 4 million.

(*b*) refund of part consideration paid to the defendant KShs 1 000 000.

(*c*) special damages totalling KShs 90 000".

The respondent in the defence and counterclaim denied any breach of the agreement and averred that the sale agreement "was conditional in delivering vacant possession as there were seven tenants occupying the premises" and claimed damages by way of counterclaim for breach of same agreement by the respondent. On 9 June 1997 the appellant's claim was partially compromised when an order was recorded in the following terms:

"By consent judgment for plaintiff against the defendant for KShs 1 000 000 with costs and interest.

2. By consent issue of general damages for breach of contract to proceed to trial".

The evidence of the appellant at the trial was brief. He testified that he paid a down payment of KShs 1 million that the balance was to be paid upon execution of the transfer; that the plot had tenants and that he was to obtain vacant possession on completion of the purchase price; that completion was not done within 90 days; that defendant (respondent) told him to wait but did not give him a reason for delay; that after respondent failed to complete, he instructed his lawyer to write a letter notifying him of the default and that he made a search in the lands office after respondent failed to transfer the property and discovered that respondent had on 13 March 1997 sold the same property to one General Timothy Orwenya for KShs 10 000 000.

The evidence of Stanley Mayieko, a director of the respondent was similarly brief. It was part of his evidence that the appellant did not pay the balance of KShs 9 million within the 90 days; that appellant kept on saying that he would pay and that he was looking for a bank loan; that the respondent could only have given the appellant vacant possession upon payment of the balance of purchase price; that no transfer was prepared and that after the expiry of the 90 days on 21 August 1996 the respondent sold the property to another person on 13 March 1997 for KShs 10 000 000.

Upon consideration of the evidence the Learned Judge concluded:

> "My view of this matter based on the evidence as briefly summarised above is that neither of the two parties to the agreement was at any time in a position to perform its part of the agreement. Accordingly given vague, uncertain and contradictory nature of the agreement it is clear that there was no meeting of the minds of the contracting parties. The agreement between them is clearly void and incapable of enforcement. Consequently, the clause providing for the payment of KShs 4 million by either of the parties who breached the contract upon which suit is founded is not enforceable against either party. Furthermore, here is in my view no adequate or satisfactory evidence that either party, was in breach of the agreement".

Nonetheless, the Learned Judge ordered the respondent to pay interest on deposit of KShs 1 million (which had been refunded at the date of judgment) "at commercial rates" in order to return the parties to respective position they were in prior to the payment.

There are 13 grounds of appeal but in our view grounds number 3, 4, 5 are the principal grounds which substantially express the appellant's grievances to this Court:

> "3. The Learned trial Judge erred in law and in fact in failing to make a finding that it is the defendant who breached the agreement therefore was liable to pay KShs 4 000 000 in terms of clause 8.
>
> 4. The Learned trial Judge's interpretation of the agreement its terms thereof is wrong.
>
> 5. The Learned trial Judge erred in law and in fact in making a finding that the agreement was vague, uncertain, contradicting void and unenforceable".

This being a first appeal the appreciation of the evidence and the construction of the agreement for sale of land by the Learned Judge of the superior court is obviously not binding on this Court. This Court is free to come to different findings of fact or different construction of the agreement for sale of land from that of the trial Judge, of course bearing in mind that we neither saw nor heard the witnesses who testified before the Judge – see *Selle v Associated Motor Boat* [1968] EA 123.

This appeal mainly concerns the construction of the agreement for the sale of land entered into by the parties on 21 August 1996. The Learned trial Judge observed that the agreement appears to have been "home-made" and that it contains several contradictory clauses framed in unusual terms. That fact does not give room to this Court to tamper with the agreement. As Apaloo JA said in *Shah v Shah* [1988] KLR 289 at 292 paragraph 35, in respect of an agreement drawn by laymen:

> "One must bear in mind that this agreement was drawn up by laymen. They did not use any legal language and the Court can only interpret the sense of their agreement and not interpolate it with any technical legal concept".

If the words of the agreement are clearly expressed and the intention of the parties can be discovered from the whole agreement then the Court must give effect to the intention of the parties.

Mr *Ouma* learned counsel for the appellant contended, among other things, that the respondent did not raise the issue of ambiguity of the agreement in its defence; that the issue of appellant paying money or depositing money with the lawyer before transfer was not in the agreement and that there was no evidence that appellant was not in a position to perform his obligations under the contract.

Mr S*inganga* for the respondent, on the other hand, supported the findings of the Learned Judge that the contract was uncertain and contradictory and illustrated this by reference to certain clauses of the agreement.

The Learned Judge examined the material clauses of the agreement themselves to find out their meaning and also contrasted them with the oral testimony of the parties. He them came to the conclusion that clauses 3(ii) and clause 6 as read with clause 7 were contradictory in that while clause 3(ii) provided that the respondent had to deliver vacant possession before part payment of KShs 2 million clause 6 as read with clause 7 provided that the property would be delivered subject to existing tenancies. The Learned Judge also found from the oral testimony of the witnesses that the parties were not in agreement on how the applicant price would be raised; when the balance of the applicant price was to be paid and when the respondent was to give vacant possession.

Although Mr *Ouma* disputed that the agreement was ambiguous he conceded that the agreement provided for two alternative periods when the respondent could give vacant possession, namely, either at any time during the life of the contract as condition for payment of KShs 2 million by the appellant or on the date of completion.

We have considered the agreement and the submissions of the respective counsel. There was no evidence that since the agreement was made on 21 August 1996 any of the parties endeavoured to perform its part of the agreement.

Indeed, there was complete inactivity during the 90 days duration of the contract. The transfer which according to the respondent was to be prepared by the appellant's advocate was not prepared. The appellant's demand letter dated 22 January 1997 was written nearly two months after the expiry of the contractual date of completion.

It is surprising that even in that letter the appellant did not offer to complete the agreement or insist in the performance of the agreement by the respondent.

Instead he demanded payment of KShs 4 million pursuant to clause 8 of the agreement of the alleged breach of the agreement by the respondent.

It is evident that by 22 January 1997 when the demand letter was written the land, the subject matter of the agreement, was still subsisting for the respondent transferred it to another person on 13 March 1997, over three months after the contractual date of completion. Admittedly, the respondent sold the land at the same price that he had contracted to sell to the appellant.

All those circumstances show that the respondent was in a position to complete the agreement by the time the appellant claimed damages for breach of contract. So what prevented the parties from completing the contract?
We believe that the answer must be because, as the Learned Judge correctly found, there was no meeting of the minds of the contracting parties thereby making the contract incapable of performance. It is strange that in the suit that the appellant filed on or about 18 February 1997 he did not seek the equitable relief of specific performance although the land had not been sold to another person. It is therefore also probable that the appellant could not raise the balance of the purchase price.

In addition to factors which made the Learned Judge conclude that the agreement was void, there is also the uncertainty about the payment of the purchase price. Clause 7 as read with clause 6 of the agreement envisages that the land would be transferred to the appellant before he pays the balance of the purchase price which in this case is KShs 9 million.

Indeed, that is how the appellant has construed the agreement which prompted Mr Stanley Mayieka, a director of the respondent to state that the respondent did not mean to give property to the appellant before payment. This is, indeed, an unusual clause for it is a condition precedent to specific performance of an agreement for sale of land that the applicant must pay or tender the purchase price at the time and place of competing the sale – see *Openda v Ahn* [1984] KLR 208 at 218 paragraphs 10 to 15. That clause would mean that the contract would be executed first before the balance of purchase price becomes due and payable. The agreement did not even provide for the time within which the balance of purchase price would be payable or secure the payment. The fact that the agreement is uncertain on the fundamental term of the payment of the purchase price makes the entire agreement void for uncertainty.

Lastly, the fact that the agreement is capable of being construed as providing for two different dates for giving vacant possession by the respondent is itself evidence of uncertainty.

In the final analysis, we are satisfied, like the Learned Judge, that the entire agreement is void for uncertainty and that neither party can be held to be in breach of the agreement or be entitled to any damages from the abortive agreement.

Alternatively, since neither party actively endeavoured to perform his obligations in order to bring the contract to fruition, it can be inferred from that inactivity that the parties had mutually rescinded the agreement by abandoning it thereby discharging each party from the performance of the agreement.

Those being out views, it is not necessary to investigate whether or not the KShs 4 million claimed is a penalty or liquidated damages or whether it is recoverable in additional to refund of the deposit.

For those reasons, we are satisfied that the Learned Judge reached the correct decision and that this appeal has no merit. We accordingly, dismiss the appeal with costs to the respondent.

For the appellant:
Ouma

For the respondent:
Singanga

Mohamed and another v Industrial Court of Tanzania and others
[2004] 2 EA 172 (CAT)

Division:	Court of Appeal of Tanzania at Dar-es-Salaam
Date of Judgment:	19 December 2003
Case Number:	35/99
Before:	Ramadhani, Mroso and Nsekela JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Civil procedure – Appeal – Right of appeal to High Court in matter where Industrial Court has been sued.

[2] Labour law – Industrial Court – Immunity from court process – Whether Industrial Court was immune from being sued – Whether a party had recourse to High Court where a matter was still pending in the Industrial Court – Section 9A – Permanent Labour Tribunal Act – Section 4 – Permanent Labour Tribunal (Amendment) Act.

Editor's Summary

The appellants had been employed by the Tanzania Telecommunications Co Ltd (fourth respondent). The services of the appellant were terminated when he was declared redundant. The appellants complained to their trade union JUWATA. Its Secretary General reported the matter to the labour commissioner as required by law. The labour commissioner in turn inquired into the causes and circumstances of the dispute and with the approval of the Labour Minister referred it to the Industrial Court (first respondent). The first respondent was to inquire into the dispute and thereafter report to the Minister (second respondent). The decision by the Minister, based on the report by the first respondent, was to constitute an award when pronounced and registered by the first respondent. However, as at the time of the suit, the first respondent had not yet carried out the inquiry.

While the inquiry by the Industrial Court was being awaited, the appellants' trade union (JUWATA) reached a voluntary agreement with the employer in which the appellants and others were to be reinstated in their employment. That agreement was irregularly submitted in June 1992 to the first respondent for registration as an award. Because of the irregularity, the appellants considered the

award null and void and complained to the Labour Minister. In 1995,

the first respondent carried out an inquiry in the absence of the parties in dispute and sent an advisory opinion to the labour commissioner. The appellants considered the advisory opinion also to be null and void because it had been conducted in breach of the rules of natural justice. He filed a suit in the High Court in September 1997, seeking declarations that the decision and award of the Industrial Court was null and void, a declaration that the appellants were still in employment of the Tanzania's Telecommunications Co Ltd and an order compelling the Industrial Court to make a report to the Labour Minister as by law required.

The respondents raised two points of preliminary objection; that no cause of action had been disclosed and that if a cause of action had been disclosed, then the claim was time barred. The High Court Judge held that the proper way for the appellants to challenge the Industrial Court's actions was by applying for prerogative orders. It also held that the plaintiffs' claim was time barred since the cause of action had arisen in 1986 and filed in after six years had lapsed.

The appellant appealed to the Court of Appeal.

Held – The appellants' suit against the Industrial Court was incompetent because the Court cannot be sued. As relates to the other respondents, the appellants' suit was premature because the reference to the Industrial Court was still pending and the appellants would not take another avenue by filing suit when the previous recourse was still unexhausted.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Barnard v NDLB [1953] 2 QB 18 – **C**

Esso Standard Tanzania Ltd v DR Kaijage civil appeal number 6 of 1989 – **C**

Judgment

RAMADHANI, MROSO AND NSEKELA JJA: This is an appeal against a ruling of the High Court commercial division, following preliminary objections to a suit which the appellant had filed in the Court. It will be necessary to give a brief background to the suit which the appellant had filed in the High Court.

The appellant, Seleman Mohamed, and another (who had also appealed but has withdrawn from the appeal) had worked for the fourth respondent, the Tanzania Telecommunications Company Limited. According to the plaint, the services of the appellant were terminated on 30 June 1986, when he was declared redundant. The appellant and other employees who were also declared redundant complained to their trade union, JUWATA. Its Secretary General reported to the Labour Commissioner under section 9A(1) of the Permanent Labour Tribunal Act, number 41 of 1967, as amended by section 4 of the Permanent Labour Tribunal (Amendment) Act number 18 of 1977. The Labour Commissioner inquired into the causes and circumstances of the dispute and, with the approval of the Minister responsible for labour matters, referred it to

the Industrial Court, the first respondent in this appeal. The first respondent was to inquire into the dispute and thereafter report to the Minister, who is the second respondent in the appeal. The decision of the Minister, based on the report by the first respondent, would constitute an award when pronounced and registered by the first respondent. Apparently, the first respondent has not carried out the inquiry to date.

Whilst the inquiry by the first respondent was being awaited the appellants' trade union and the employer reached a voluntary agreement in which the appellant and others were to be reinstated in their employment. That agreement was irregularly submitted to the first respondent for registration as an award. That was in June 1992. Because of the irregularity, the appellant considered the award null and void, and complained to the Minister responsible for labour matters.

In 1995 the first respondent carried out an inquiry in the absence of the parties in dispute and sent an advisory opinion to the labour commissioner, who is the third respondent in this appeal. The appellant considered that advisory opinion also to be null and void because it proceeded from a breach of the principles of natural justice, that is to say, the failure to hear the stakeholders before submitting the opinion. To the extent that the advice of the first respondent to the third respondent appeared to confirm the award which had proceeded from the voluntary agreement and which the appellant had considered to be null and void, the advice was also considered illegal. The appellant believed he had suffered injustice and prejudice because of alleged failure by the respondents to comply with the statutory requirements of the Industrial Court of Tanzania Act. He listed some of the injustices he suffered as including non-reinstatement in his employment, loss of repatriation pay, loss of substance allowance, loss of long service award, loss of promotion and loss of unpaid wages and fringe benefits. He sought reliefs in court by filing his claim on 12 September 1997. The main reliefs were:

1. A declaration that:

   (*a*) the decisions and awards of the Industrial Court are null and void and of no effect in law.

   (*b*) The appellant (then plaintiff) was still in the employment of the Tanzania Telecommunications Company Limited and was entitled to be paid wages and fringe benefits.

2. An order that a report by the Industrial Court of Tanzania be made to the Minister responsible for labour matters as requited by section 9A(1) of the Permanent Labour Tribunal Act, number 421 of 1967 as amended by section 4 of the Permanent Labour Tribunal (Amendment) Act number 18 of 1977 and the Minister makes a decision arising from the report, as per section 9B of the Act.

After the pleadings had been filed and the case was ready for hearing the first, second, third and fifth respondents jointly raised two points of preliminary objection. These were (in the order they were recorded by the High Court).

(1) That no cause of action had been disclosed, and

(2) That if a cause of action had been disclosed, then the claim was time barred.

In answering the first point of objection the High Court, Kalegeya J said:

> "Clearly the war by the plaintiffs is waged against the actions or non-actions (*sic*) by the Industrial Court of Tanzania. They are complaining against that Court's failure to

> decide on the trade dispute referred to it, (against) an award of a voluntary agreement which did not pass through the legally prescribed procedure, and subsequent advice confirming this award by the same court to the labour commissioner".

Although the quoted passage appears to suggest that the High Court had found that a cause of action had been disclosed from the plaint, the Court proceeded to say that the appellant should not have field a suit but should have petitioned for prerogative orders. The Court said:

> "a proper way by which the inactions and actions of the Industrial Court can be challenged is by way of applying for prerogative orders and not by way of a suit as the plaintiffs have done".

As regards the second point of objection, the High Court held that the action was based on contract which has a limitation period of six years. Since according to the High Court, the cause of action arose in 1986 by 1997 (over ten years later) when the action was filed in court the limitation period of six years had long passed. The Judge said:

> "if it was to be held that the plaintiff could come to this Court by way of a suit as they did, clearly they would be barred by limitation of time. This is so because, the cause of action should be taken to have arose (*sic*) in 1986 when they were declared redundant. Again this would be based on contract of employment between them and the fourth defendant. A suit founded on such contract can only be instituted within six years of the accrual of the cause of action".

The Court concluded:

> "The two preliminary objections raised by the first, second and fifth defendants are accordingly sustained".

It followed that the Court dismissed the action on the basis of the preliminary points of objection and found it unnecessary to deal with the preliminary objections which were raised by the fourth respondent.

In this appeal six substantial grounds have been raised. These are that:

1. The Learned trial Judge erred in law in not holding that the Court has jurisdiction to entertain a suit in which a declaratory judgment or order is sought.
2. The Learned trial Judge erred in law in holding that a suit for a declaratory judgment is barred by limitation of time.
3. That the Learned Judge erred in law in holding that the only way to challenge non-actions and actions of the Industrial Court is by way of applying for prerogative orders.
4. In computing time within which to file a suit, the Learned trial Judge erred in law and fact in not taking into consideration that:
   (*a*) The voluntary agreement complained of was registered by the Industrial Court on 16 June 1992.
   (*b*) The labour commissioner's letter reference number KZ/U.10/mg/385/23 dated 2 March 1999 issued under the then section 10 of the Industrial Court Act.
   (*c*) The advice made by the Industrial Court to the labour commissioner on or about 3 August 1995 under the then section 10 of the Industrial Court of Tanzania Act of 1967.
5. Since the Industrial Court has not enquired into the dispute and made a report thereon to the Minister, the trial Judge erred in law and fact in not holding that there was and there is still a continuing cause of action and therefore, that the suit was filed in time.

6. In the circumstances the High Court ought to have made an order striking out or amending any matter which was unnecessary or scandalous or which tended to prejudice, embarrass or delay the fair trial of the suit.

Among the prayers which were made to this Court are that the appellant be allowed to amend the plaint and that the suit be heard by the High Court on merits.

At the hearing of the appeal the first appellant appeared in person and the first, second and fifth respondents were represented by Mr *Chidowu*, Learned State Attorney, and the fourth respondent was represented by Mr *Swai*, learned advocate. The appellant had lodged in Court, under rule 99 of the Court rules, a written statement of his arguments in support of his appeal and, therefore, could not address the Court except, with the leave of the Court, replied briefly to submissions by Mr *Chidowu*.

In this appeal we have to confine our decision to what the High Court said in relation to the points which were raised in the preliminary objection. Those were whether the plaint as filed by the appellant disclosed a cause of action against the respondents and whether, if the first point is answered in the affirmative, whether the suit was in any case time barred.

Although the appellant sued the five respondents, his main grievance was against the first respondent, the Industrial Court. This view is supported by the nature of the reliefs which were sought from the High Court. The High Court held the same view. But the High Court did not really go into and decide whether the appellant had a cause of action against any of the respondents. It merely decided that the appellant had used the wrong avenue; that he should have applied for the issue of relevant prerogative orders and not to file a suit.

In his written arguments to this Court the appellant has argued that the High Court was wrong to say that the only way to challenge the action and in actions of the Industrial Court was by seeking the prerogative orders of the High Court. He submits that one can sue for a declaratory decree. He said that under section 7(2) of the Civil Procedure Code of 1966 an aggrieved party may sue for a declaratory judgment or order.

It is true, of course, as submitted by the appellant, that a party may sue for a declaratory judgment or order. But the High Court did not say that one could not do so. What the High Court said was that if a person wanted to challenge the "inactions and actions of the Industrial Court" one could do so by petitioning for the prerogative orders of the High Court. In other words, one could not sue the Industrial Court in the High Court or in any other court for that matter. Was the High Court right in saying so?

The appellant referred to a book titled "*Sheria na haki zako na 2 – Utaratibu wa Sheria wa Kutatua Migogoro ya Kazi*" by James L Mwalusanya J as he then was. The passage which the appellant relied on reads as follows:

> *"Njia ya pili ambayo mahakama Kuu hutumia kutengua maamuzi ya vyombo vya dola au vyombo vya nidhamu, ni kutoa tamko (declaratory judgment) chini ya kifungu cha 7(2) cha Kanuni za Mashauri ya Madai (Civil Procedure Code) Sheria Na* 49 of 1966. *Uamuzi Ukitenguliwa basi mfanyakazi anarudishwa kazini – tazama kesi ya* Esso Standard Tanzania Ltd v DR Kaijage *civil appeal number 6 of 1989: niliyoitaja hapo juu). Utaratibu huu wa kuomba tamko (declaration) ni bora zaidi ya ule wa amri za mamlaka (prerogative orders). Kwanza kesi za aina hii zinaweza kufunguliwa wakati wowote, yaani hakuna kikomo cha muda uliopangwa kuwa ufungue kesi katika muda fulani. Pili huna haja ya kuomba kibali cha*

> *Mahakama Kuu kabla ya kufungua kesi ya kuomba tamko. Tatu unaruhusiwa kuunganisha madai ya fidia kwa hasara uliyopata ulipoachishwa kazi bila halali na madai ya kuomba tamko (declaration) – tazama kesi ya* Barnard v NDLB [1953] 2 QB 18."

We have not been able to see and read the said book but we do not read in the passage any clear statement that a person can sue the Industrial Court. Mr *Chidowu*, Learned State Attorney, did not allude to this point in his submissions. We are of the view, however, that although the Industrial Court of Tanzania still retains some characteristics of an administrative tribunal (like the erstwhile Permanent Labour Tribunal), yet it is a court which appears to be of similar stature as a division of the High Court, so that it cannot at least be said to be an inferior tribunal to the High Court. So, it is doubtful if the High Court can call to itself decisions of the Industrial Court and quash them. But it is unnecessary to decide in this appeal whether a person can petition the High Court to exercise its review powers over the Industrial Court. No decision of the Industrial Court was sought to be reviewed by the High Court. The appellant had sought to sue the Industrial Court and we are of the view that the appellant could not do so. It follows that if one could not sue the Industrial Court, as the appellant purported to do, the question of whether the appellant had a cause of action against the Industrial Court did not arise. Similarly, the question whether the suit would or would not be time barred would not arise. But all this is as far as the Industrial Court only was concerned. How about the other respondents?

As mentioned earlier, the High Court did not relate to the preliminary objection of the other respondents. But we are of the considered opinion that even if the High Court were to discuss the points of preliminary objection in relation to the other respondents it would have found that the appellant's suit was premature. Therefore, there was no cause of action up to the time the suit was filed.

According to the appellant, the Industrial Court was supposed to inquire into the circumstances that led to this being declared redundant and report to the Minister. If the report disclosed that the appellant was wrongfully terminated through redundancy, it would possibly recommend in its report to the Minister that he be reinstated and to get all the necessary consequential benefits. Unfortunately, according to the appellant, the Industrial Court has not fulfilled that task to date. So, unless the reference to the Industrial Court was withdrawn or formally abandoned, the appellant could not just decide to take another avenue by filing a suit in court when the previous recourse was still unexhausted. It would appear, therefore, that even the question of whether the suit was time barred did not really arise because the suit, as it related to the other respondents, was premature.

The High Court upheld the preliminary objections, but we think it was unnecessary for the reasons we have given. We hold that the suit was incompetent as far as the Industrial Court was concerned and premature in relation to the other respondents.

Considering the approach we have taken, it is unnecessary to consider the remaining grounds of appeal. We dismiss the appeal but for different reasons from those which were urged by Mr *Chidowu*. We make no order for costs.

For the applicant:
Chidowu

For the fourth respondent:
Swai

Muchoki v Attorney-General
[2004] 2 EA 178 (HCK)

Division:	High Court of Kenya at Nairobi
Date of Judgment:	9 November 2004
Case Number:	2733/96
Before:	Visram J
Sourced by:	I Lenaola
Summarised by:	M Kibanga

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[1] Negligence – Hospital admitting a child patient – Patient disappearing from hospital and later found dead – Death occurring outside the hospital – Whether hospital liable in negligence.

[2] Tort – Negligence – Patient disappearing from hospital and found dead – No particular employee of hospital found negligent – Res ipsa loquitur *– Whether hospital liable nonetheless – No rebuttal of plaintiffs evidence.*

Editor's Summary

The Plaintiff took his daughter, aged four, to Karatina District Hospital for treatment. Her mother left the girl in hospital at about 5:30pm the same day and when the mother came to see her daughter the following morning, she had disappeared. A search was mounted for the young girl and she was found dead by a river outside the hospital premises.

The plaintiff sued the Attorney-General for general and special damages in negligence for the disappearance and the subsequent death of his daughter.

Held – Plaintiff having established that the child was left in the care of the hospital, it was encumbent upon the hospital to prove there was no negligence on its part. The circumstances of the case called for the application of the doctrine of *res ipsa loquitor*.

Although no particular employee of the hospital could be said to have been negligent, the negligence was as a result of some kind of organisational failure; *Cassidy v Ministry of Health* [1951] 2 KB 343 applied.

Liability was entered wholly against the defendant.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means

explained; "**F**" means followed; "**O**" means overruled)

East Africa

Hassan v Nathan Mwangi Kamau Transporters and others [1982-88] I KAR 946 – **F**

Hussein and another v Charo and another [1998] LLR 837 (CAK) – **F**

Kenya Breweries Ltd v Saro civil appeal number 144 of 1990 – **F**

Nthenge v Tawfiq Bus Services Limited High Court civil case 178 of 1997 – **F**

United Kingdom

Cassidy v Ministry of Health [1951] 2 KB 343 – **AP**

Judgment

VISRAM J: On 21 February 1991 the plaintiff and his wife took their little daughter, Susan Njeri, then only four years old, to the Karatina district hospital for treatment. It was approximately 12:30pm. The doctors examined her and decided to admit her as an in-patient. The child's mother left her in the care of the hospital and went home. She returned to see her little daughter at 4:30pm on the same day. She found her there, being treated, and stayed with her until 5:30pm when the "visitor's hours" ended, and she left her for home. That was the last time she saw her child alive.

The following morning, at around 6:30am, she returned to the hospital. The child had disappeared. The hospital staff told her that the child had gone missing the previous night. They began a frantic search for the child who was eventually found dead by the Ragati River in Karatina, the following morning.

Those are the plain, hard and uncontroverted facts established before this Court.

Little Njeri's father, Ephraim G Muchoki, filed this action for damages on 5 November 1996 in his capacity as the father and administrator of the estate of his deceased child. He sued the Attorney-General on behalf of the ministry of health which had control and management of the Karatina district hospital in accordance with the Public Health Act, (Chapter 242) Laws of Kenya.

In his plaint, which was amended on 18 February 2002 to incorporate special damages for KShs 5 796 pursuant to an order of this Court, the plaintiff alleged negligence and breach of duty of care by the hospital resulting in the child's disappearance and subsequent death. He claims general damages from the defendant.

In its defence filed on 9 April 1997, the Attorney-General admitted, in paragraph 3 of the plaint, that the child had been admitted to the hospital as an in-patient on the material day, but denied any negligence, putting the plaintiff to strict proof of all the allegations. The defendant, however, did not call any witnesses, and, therefore, the only evidence before this Court is that offered by the plaintiff. Those facts, as provided by the plaintiff, are uncontroverted as I indicated at the beginning of this Judgment. According to evidence adduced it is abundantly clear that the child was left in the care of the hospital, that sometime between 5:30pm (after the departure of the child's mother) and the following morning, the child strayed out of the hospital and was found dead by the river, still wearing a hospital uniform. In my view, this is a case where the doctrine of *res ipsa loquitur* applies. The plaintiff having established that the child was left in the care of the defendant hospital, it was then upon the hospital to prove that there was no negligence on its part, or on the part of its servants. This it failed to do.

In written submissions filed before this Court, the plaintiff's counsel, Mr Atkins Jusa *Ambani*, argued that even though no particular person at the hospital could be identified as being negligent, the hospital breached its duty of care to the child in that it allowed the child to stray away from the hospital, and in failing to ensure that the child was safe and secure while in its care.

I agree with counsel's submissions. Jones MA in his book *Medical Negligence* (1996), Sweet and Maxwell, at paragraph 7.015 states:

> "The concept of direct liability of a hospital is used in two distinct ways. First where the authority itself is at fault in the manner in which is has performed its functions, although it may not be possible to identify any particular employee who was negligent. This may be categorised as some form of organisational failure".

In *Cassidy v Ministry of Health* [1951] 2 KB 343 Singleton LJ says at 353:

> "Where the thing is shown to be under the management of the defendant or his servants, and the accident is such as in the ordinary course of things does not happen if those who have the management use proper care, it affords reasonable evidence in the absence of explanation by the defendant that the accident arose for want of care".

In his oral submissions, the defendant's counsel argued that negligence had not been proved because the plaintiff's only evidence was that the child had disappeared, and that no one at the hospital was found to blame for it. This argument is clearly untenable in view of what I have stated earlier. Counsel also submitted that either there was "foul play" in the disappearance of the child, or that the child's father "had some knowledge of this event, hence his appearance at the hospital at odd hours". This argument was not supported by any evidence, has no basis, and is simply ridiculous. His other argument that the suit was time barred having been filed out of time also had no basis, as Amin J had granted leave to file this suit out of time on 3 September 1996.

The facts, as I have outlined above, are simple and straightforward and lead inexorably to the conclusion that when a hospital accepts a patient for treatment, it must not only use reasonable care and skill to cure him of his ailment, but must also provide a safe and secure environment for such treatment. The duty, I believe, is even greater upon certain classes of patients such as the physically challenged and young children who may need a more careful watch over their safety. Here, the Karatina district hospital clearly breached that duty of care to his little child, and was grossly negligent in allowing her to stray beyond her bounds all the way to the river where she was found dead, still wearing the hospital uniform.

Accordingly, and for reasons outlined, I have no hesitation in holding the defendant liable in negligence to the plaintiff. The next issue is the quantum of damages payable.

In his written submissions, counsel for the plaintiff has argued that damages are payable under the following 3 heads:

1. Law Reform Act,
2. Fatal Accidents Act, and
3. Special Damages.

I agree with him, and will attempt to assess the damages under the above heads.

Law Act

The deceased child was only four at the time of her unfortunate death. But she was a happy and healthy child, and a source of joy and love to her parents. I will follow the judgment of Honourable Musinga J who awarded KShs 80 000

under this head to the parents of a three year old child in *Nthenge v Tawfiq Bus Services Limited* High Court civil case 178 of 1997 Nakuru and awarded the same amount in respect of this four year deceased child.

Following the same case I will award KShs 10 000 for pain and suffering.

Fatal Act

Once again, I find parallels between this case and the *Nthenge* case (*supra*) and will adopt the reasoning in that case as follows:

> "Under the Fatal Accidents Act damages are awarded for loss of dependence as well as special damages. In *Hassan v Nathan Mwangi Kamau Transporters and others* [1982-88] I KAR 946 the Court of Appeal held that in Kenya parents are entitled to rely on their children in old age to support them. However, in that case, the deceased had been admitted to a university to study architecture and so the parents of the deceased had a reasonable expectation of some income from the deceased son. The situation is quite different in the case of a three year old child as there is no pointer as to what he would have done in life. It would therefore be purely speculative and therefore Judicialy wrong to hold that such a minor child would have grown up, go through education successfully, get employment and earned a given amount of money and supported his parents with a specified amount of money over a given period. Therefore the damages to be awarded under Fatal Accidents Act for loss of dependency can only be conventional.
>
> In *Kenya Breweries Ltd v Saro* civil appeal number 144 of 1990 where the deceased was aged 6 years, the Court of Appeal approved an award of KShs 100 000. In *Hussein and another v Charo and another* [1998] LLR 837 (CAK) the Court of Appeal upheld an award of KShs 176 000 where the deceased was 6 years old. In 1994, Justice Githinji, as he then was awarded general damages of KShs 120 000 where the deceased was seven years old.
>
> I therefore believe that an award of KShs 200 000 is reasonable under the Fatal Accidents Act".

Following the above case, I have also come to the same conclusion, and awarded KShs 200 000 under the Fatal Accidents Act.

By an amendment in the plaint, a sum of KShs 5 797 was pleaded for special damages. Receipts produced in Court totalled KShs 5 814. However, I can only allow what was pleaded, and hereby award KShs 5 796 as special damages.

Accordingly, I enter judgment for the plaintiff as follows:

(1) Under the Law Reform Act: KShs 90 000-00

(2) Under the Fatal Accidents Act:KShs 200 000-00

(3) Special damages:KShs 5 796-00

Total KShs 295 796-00

I also award costs and interest to the plaintiff as prayed in the plaint.

For the plaintiff:
Mr AJ Ambani instructed by *AJ Ambani & Co*

For the defendant:
Information not available

Muti v Kenya Finance Corporation and another
[2004] 2 EA 182 (HCK)

Division: High Court of Kenya at Nairobi

Date of ruling:	10 March 2004
Case Number:	199/03
Before:	Ochieng AJ
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Estoppel – Equitable estoppel – Plaintiff defaulting in loan repayment – First security sold – Plaintiff acknowledging sale and pleading for waiver of balance and discharge of second security – Defendant, waiving and discharging security – Plaintiff suing in respect of first security – Whether plaintiff estopped from suing – Order VI, rule 13(1)(b) and (d) – Civil Procedure Rules – Whether suit an abuse of court process.

Editor's Summary

The plaintiff borrowed an amount of KShs 330 000-00 from the defendant in 1987 on the security of two of his properties. The plaintiff defaulted in paying and the defendant sold one of the properties by public auction for KShs 700 000-00. In January 2002, the plaintiff wrote to the defendant requesting the defendant to waive the balance of the interest and release the title documents of the unsold property to the plaintiff. The defendant agreed to the request.

The plaintiff subsequently brought action against the defendant challenging the sale of the property earlier sold by public auction.

The defendant (applicant) brought an application to strike out the plaint under Order VI, rule 13(1)(*b*) and (*d*) of the Civil Procedure Rules. The main ground of the application was that the plaintiff (respondent) was equitably estopped from bringing the suit because by his letter seeking waiver and release of title documents he made a representation that the sale of his property by public auction was proper and lawful.

Held – The plaintiff/respondent made representations to the defendant/applicant in the letter intending that the defendant should act upon the representation. The plaintiff acknowledged the sale and its finality on the basis of which acknowledgement his account balance was waived.

By writing off the plaintiff's/respondent's debt the defendant/applicant discharged the remaining security and can not counterclaim for the balance. The defendant also lost its entitlement to realise the second security and suffered some damage.

The doctrine of estoppel operated against the plaintiff/respondent.

Application was allowed.

No cases referred to in ruling

Ruling

OCHIENG AJ: This is an application to strike out the plaintiff's suit. The application is brought pursuant to the provisions of Order VI, rule 13(1)(*b*) and (*d*) of the Civil Procedure Rules, which reads as follows:

> "At any stage of the proceedings the Court may order to be struck out or amended any leading on the ground that:
>
> (*a*) ...
>
> (*b*) It is scandalous, frivolous or vexatious; or
>
> (*c*) ...
>
> (*d*) It is otherwise an abuse of the process of the Court,
>
> and may order the suit to be stayed or dismissed or judgment to be entered accordingly, as the case may be".

The application is supported by the affidavit of Mr BK Mitei, the liquidation agent of the first defendant, (hereinafter cited as the applicant).

By his affidavit, Mr Mitei sets out the following facts, which were also relied upon extensively by Mr *Bundotich*, advocate of the applicant:

(i) The plaintiff was given a loan of KShs 320 000 in 1987. The loan was given by the applicant.

(ii) As security for the loan, the plaintiff charged two (2) properties, title numbers; Kabete/Kabete/887 and Kabete/Kabete/889.

(iii) The plaintiff defaulted in his loan repayments. After several attempts to realise the security comprised in Kabete/Kabete/887, it was finally sold by public auction, to the second defendant, on 22 August 2001. The purchase price was KShs 700 000.

(iv) After the sale, the plaintiff wrote to the liquidator of the first defendant, requesting that the balance still outstanding be written off, as the plaintiff was financially incapacitated.

(v) The liquidator agreed to write off the balance in order to achieve the process of the write off, the liquidator sought and obtained court sanction.

(vi) The first defendant wrote off the balance and thereafter discharged the title number Kabete/Kabete/889, and released the said title to the plaintiff.

(vii) Subsequently, the plaintiff instituted this suit, challenging the sale of LR Kabete/Kabete/887.

Given the scenario set out in paragraphs (i) to (vii) above the applicant contends that the plaintiff cannot be allowed to prosecute this suit. The applicant says that the conduct of the plaintiff was akin to those of someone who had accepted the sale, and who was only seeking reprieve from further action that could otherwise be undertaken by the first defendant, to recover the balance of the debt that was still outstanding.

Furthermore, the applicant acted on the plaintiff's acknowledgement of the auction sale, and in response to his request, the first defendant wrote-off the balance of the loan, (with the Court's sanction), and discharged the second security. In these circumstances, the applicant submits that the plaintiff is estopped by law from raising any issues regarding the validity or otherwise of the sale of Kabete/Kabete/887. It is said that if the plaintiff was allowed to prosecute this suit, the first defendant would be greatly prejudiced, as they had previously discharged the second security, to their detriment.

The applicant has submitted that it wrote off the balance of the debt, and discharged the second security on the understanding that the plaintiff had waived

any claims and/or rights in relation to the suit property. In effect, the Court is right in relation to the suit property. In effect, the Court is being asked to bar the plaintiff from proceeding with this case, by striking it out, on the basis of equitable estoppel.

In response to the application, the plaintiff has submitted that estoppel has no application in this case. His argument is that the wording of the letter dated 8 January 2002 could not found estoppel as alleged or at all. At this juncture, I consider it necessary to set out the terms of that letter:

> "Asaph Gathungu Muti
>
> PO Box 60817
>
> Nairobi
>
> 8 January 2002
>
> The Director
>
> Deposit Protection Fund
>
> Central Bank of Kenya
>
> Thro
>
> The Liquidation Agent
>
> Kenya Finance Bank (In-liquidation)
>
> Central Bank of Kenya
>
> Nairobi
>
> Dear Sir,
>
> *Re Outstanding Debt: Kenya Finance Bank Ltd (In Liquidation)*
>
> I wish to address you on the above matter as follows:
>
> I was granted a loan of KShs 330 000 by Kenya Finance Corporation Ltd in July 1987 to assist me rear chickens. My business of chicken rearing however collapsed due to various adverse factors ranging from high prices of feed, poor market and theft.
>
> Being a subsistence farmer with no other income, I have over the years strived to pay to the bank whatever little I could afford. I have so far managed to pay over KShs 105 000.
>
> The bank sold my property securing the debt LR number Kabete/Kabete/887 in August 2001 realising a total amount of KShs 700 000.
>
> I am an old man aged 78 years and not engaged in any economic activity from which I could raise income to service the debt.
>
> I also have no further property which I could sell to raise further funds as the only property left is the plot where I live with my family. I have absolutely no other source of income and sale of my home would condemn me and my family to destitution.
>
> Given my present circumstances as outlined above, and the fact that the bank has fully recovered the original principal amount of KShs 330 000 and a portion of interest from the amount already received I wish to humbly plead with the bank to waive the outstanding debt on this account which is comprised wholly of interest.
>
> I look forward to your kind consideration of my request.
>
> Yours faithfully,
>
> Asaph Gathungu Muti"

The salient portions of that letter, for the purposes of the application before me are paragraphs 4, 5, 6 and 7. In paragraph 4, the plaintiff acknowledges the fact that the applicant sold LR Kabete/Kabete/887 in August 2001, for KShs 700 000.

The plaintiff then explains in paragraphs 5 and 6 that he is unable to engage in any economic activity from which he could raise income to service the debt. He therefore requested the applicant not to sell the only other property, as that would condemn him and his family to destitution.

And finally, at paragraph 7 of the letter, the plaintiff pleads humbly with the applicant to waive the outstanding debt on his account.

From my reading of the letter, I understand the plaintiff to have acknowledged that after the applicant recovered KShs 700 000 from the sale of LR Kabete/Kabete/887, the plaintiff's account still reflected an outstanding debt. He pleaded with the applicant to write off the balance of the debt, so as to save him and his family from destitution.

After due consideration, the applicant wrote to the plaintiff on 21 March 2002, notifying him that the applicant had decided to write off the loan balance. Thereafter, the balance was written-off after the Court gave its sanction. However, the plaintiff submits that the letter of 8 January 2002 cannot be read in isolation. He says that the letter must be read within the circumstances then prevailing, and in particular as espoused in the letter dated 24 August 2001. The relevant part of that letter reads as follows:

> "I am in receipt of notification of sale of my above property, dated 26 June 2001 from Messrs Forefront Agencies, but regret to note that you had not served me with the mandatory 90 days statutory notice".

It is contended that that letter, which was written 4 days before the sale, proves that the plaintiff had at all material times raised issues against the sale. The plaintiff submits that he was not attacking the right of the applicant to sell the charged property. He was attacking the method applied by the applicant in selling the suit property. He says that insofar as the letter dated 8 January 2002 did not comment on the propriety of the sale, the plaintiff cannot be estopped from challenging the propriety of the sale, by this suit.

The plaintiff then went on to illustrate the fact that the plaint raised several triable issues, which he ought to be allowed to canvass before the Court. Examples of such triable issues are:

(*a*) Failure to serve a statutory notice on the plaintiff;

(*b*) Irregularity in the notice;

(*c*) Bad faith on the part of the chargee, when it switched the date of sale;

(*d*) Failure to give notice to the DC contrary to section 77(6) of the Registered Land Act (Chapter 300); and

(*e*) Sale at an under-value.

When the applicant was called upon the reply to the plaintiff's submissions, they categorically stated that the application before the Court should not be concerned with the question as to whether or not the plaint discloses triable issues. The Court was invited to limit its consideration to the issue of the doctrine of estoppel only, and to decline to inquire into the substantive matters raised in the plaint.

It is my considered view that if the question to be considered was regarding whether or not the plaint raised any triable issues, the plaintiff would be correct. On the face of it, the plaint does raise several important questions of law and fact. Therefore had I been dealing with an application for summary judgment, I would most certainly have declined to grant judgment summarily. But

in this case, the applicant has invoked the doctrine of estoppel. In other words, the applicant is stating that whether or not the plaint raises some triable issues, the plaintiff ought not to be allowed to prosecute the suit.

In the *English and Empire Digest* Volume 21 at 288, is to be found a useful commentary on estoppel. It reads as follows:

> "If a man, either in express terms or by conduct, makes a representation to another of the existence of a certain state of facts which he intends to be acted upon in that way, in the belief of such a state of facts, to the damage of him who so believes and acts, the first is estopped from denying the existence of such a state of facts".

The same said commentary goes on to cite another example of the manner in which estoppel operates. It puts it in the following words:

> "If a man, whatever his real meaning may be, so conducts himself that a reasonable man would take his conduct to mean a certain representation of facts and that it was a true representation and that the latter was intended to act upon it in a particular way to his damage, the first is estopped from denying that the facts were as represented."

Applying the foregoing principles to the case before me, I hold as follows; that the plaintiff did make some written representations to the applicant by the letter dated 8 January 2002. I also hold that the plaintiff intended that the applicant should act upon the said representations in a particular way. I understand the plaintiff to have intended to relay a message to the applicant, that he was well aware that the suit property had been sold. Through the said sale the applicant had recovered KShs 700 000, but that still left an outstanding balance, which he was pleading should be written off. To my mind, if the plaintiff was pleading for the write-off of the balance only, it implied that he had accepted the finality of the auction sale, which gave rise to the sum of KShs 700 000 that had been credited to his account. I cannot comprehend how the can be seeking to challenge the very sale which resulted in this account being credited with the purchase price. If he had intended to challenge the sale, there would have been nothing simpler than his filing a suit to do so, outright.

I also accept the applicant's contention that they relied upon the plaintiff's representation aforesaid, and then took action to write off the balance of the loan, and thereafter discharged the remaining security. Having taken these actions, the plaintiff's loan account no longer had any debits, as the same had been written off. The applicant would thus be precluded from lodging a counter-claim in this suit for any outstanding loan, as the records would not be reflecting any outstanding balances.

Similarly, following the discharge of the second security, and the release of the title documents to the plaintiff, the applicant lost its entitlement to realise the said second security.

The sum total of these steps undertaken by the applicant is that the applicant has become extremely prejudiced. I therefore hold that it would be completely iniquitous to permit the plaintiff to prosecute the suit herein. The only recourse that commends itself to me, as being just and equitable in this case is to uphold the doctrine of estoppel against the plaintiff. Consequently, I grant orders in accordance with prayer 1 of the chamber summons dated 22 October 2003. The suit herein is therefore struck out with costs.

For the applicant:
Mr SK Bundotich instructed by *Cheptumo & Co*

For the respondent:
Information not available

Muwonge v Musah
[2004] 2 EA 187 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of Judgment:	1 June 2004
Case Number:	77/01
Before:	Engwau, Kitumba and Byamugisha JJA
Sourced by:	LawAfrica
Summarised by:	M Adriko

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[1] Contract – Breach – Determination by the party in breach of contract.

[2] Contract – Terms – Incorporation of extraneous matters in the express terms of the contract – Sections 90 and 91 Evidence Act Chapter 6.

Editor's Summary

The appellant and the respondent entered into an agreement for the purchase and sale of a plot of land respectively. By a written agreement between them, the respondent sold the land to the appellant at a price of U Shs 7 000 000.

The appellant made a part payment of UShs 650 000 to the respondent. The rest of the purchase price was, according to the agreement, to be paid upon a Special Certificate of Title being procured by the respondent in the appellant's names. The terms of this informal agreement were reduced to a formal agreement.

At the time of this agreement, the respondent was indebted to the Non-Performing Assets Recovery Trust (NPART) to the tune of UShs 4 000 000 and had mortgaged his property to secure this loan. The appellant was aware of this but it was not a term of the sale agreement that he was required to pay the outstanding balance (UShs 6 350 000) of the purchase price for the plot of land expeditiously to enable the respondent redeem his mortgage with NPART.

On 14 May 1998, the respondent wrote to the appellant telling him that the sale agreement for the purchase of land had terminated on 31 January 1998, the day when he resold the land to a third party.

On 5 May 1998 the appellant by his own effort, procured the requisite certificate of title without the respondent's endeavour. The third party lodged a caveat on the title which it, however, abandoned and withdrew all its claims over the suit land.

The appellant filed a civil suit seeking, among others, declaration that the respondent was in breach of the sale agreement. The trial Court dismissed the suit on the ground that it was part of the

agreement that the appellant would pay the balance of the purchase price of the suit land within such time as would enable the respondent to clear his indebtedness to NPART. Having failed to do so, the appellant was in breach of the agreement and the respondent was entitled to treat the agreement as repudiated. The trial Court ordered the refund of U Shs 650 000 to the appellant.

The appellant appealed to the Court of Appeal.

Held – Sections 91 and 92 of the Evidence Act (Chapter 6) bar the adduction of extraneous evidence to contradict, rebut, vary or otherwise alter the terms of a written document except under special circumstances mentioned in section 92(*a*)-(*f*). The admission of evidence that the appellant was aware of the respondent's indebtedness to NPART at the time of the sale agreement, so as to condemn him for breaching the agreement by failing to pay the balance of the purchase price in time to enable the respondent to redeem his mortgage, would contradict, vary, add to or subtract from the terms of the sale agreement.

The procurement of a Special Certificate of Title was condition precedent to the payment of the balance of the land sale price by the appellant. Both parties did not specify a date on which this money was to be paid (*Osman v Mulangira* Supreme Court civil case number 38 of 1995 (UR) distinguished). Hence the appellant was not in breach of the contract.

By relying on the NPART debt, the Learned trial Judge had relied on a matter extraneous to the contract between the parties.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bitwire v Uganda Supreme Court civil case number 23 of 1995 – **F**

Jinabhai and Co Ltd v Eustace Sisal Estate Ltd [1967] EA 153

Kifamunte v Uganda Supreme Court civil case number 10 of 1995 – **F**

Osman v Haji Haruna Mulangira Supreme Court civil case number 38 of 1995 (UR) – **D**

Pandya v Republic [1957] EA 336 – **F**

United Kingdom

Turner v Forwood [1951] 1 All ER 746

Judgment

ENGWAU JA: This is an appeal against the judgment and orders of the High Court in High Court civil suit number 559 of 1998 in which the appellant's suit against the respondent was dismissed with costs and the court ordered that the appellant be refunded his Ug Shs 650 000 paid to the respondent as part payment of the purchase price of land.

The brief facts of this case were that on 19 December 1997, the respondent sold his registered land comprised in Kibuga Block 8, plot number 484, to the appellant for an agreed purchase price of UShs 7 000 000. On that day the appellant made part payment of UShs 650 000 to the respondent. The transaction

was reduced an informal agreement written by the parties themselves, Exhibit P1. On 29 December 1997 a formal agreement between the parties confirming the same terms was drawn by a firm of advocates, Exhibit P2.

In Exhibits P1 and P2 it was specifically agreed that upon a special certificate of title being procured by the respondent, the appellant would pay the remaining balance of UShs 6 350 000 and the appellant would be given vacant possession of the said land and the same would also be transferred into his name. The respondent, at the time, was indebted to the Non-Performing Assets Recovery Trust (NPART) in the sum of UShs 4 000 000. He had mortgaged some property for that loan. The appellant was aware of the respondent's indebtedness to NPART and, therefore, the need to pay the balance of UShs 6 350 000 to avoid the sale of the respondent's property worth UShs 200 000 000. Although the appellant was aware of the respondent's indebtedness and need for payment the balance, this was not one of the terms of the contract for sale of the said land.

The respondent, however, wrote Exhibit D2 on 14 May 1998 claiming that the deal between the parties had effectively terminated on 31 January 1998. Apparently that was the date when the respondent sold the land in dispute to a third party, Messrs Goodways Trustees Limited. On 5 May 1998 the appellant on his own procured the requisite special certificate of title, Exhibit P4, without involving the respondent. As a result, the respondent and Messrs Goodways Trustees Limited lodged a caveat on Exhibit P4.

Consequently, Messrs Goodways Trustees Limited abandoned its claim over the suit land and vacated the caveat on 18 May 1999. The appellant then withdrew the suit against it, leaving only the respondent with whom it was jointly and severally sued. On 30 March 2001, the appellant's suit via High Court civil case number 559 of 1998 was dismissed with costs, hence this appeal.

The memorandum of appeal contains 6 grounds, namely:

1. The Learned trial Judge erred in law and fact in that he failed to take into account the provisions of sections 90 and 91 of the Evidence Act (Chapter 43) and/or wrongly relied on matters that were extraneous to the suit of contract.
2. The Learned trial Judge erred in law and fact in that he wrongly relied on an unpleaded and/or unproved defence, and thereby wrongly dismissed the appellant's suit.
3. The Learned trial Judge erred in law and fact in that, having held that the appellant had established his claim, he went on to hold that the respondent was entitled to rescind the contract, thereby contradicting himself and wrongly dismissing the appellant's suit.
4. The Learned trial Judge erred in law and fact in that he failed to subject the evidence adduced to an adequate and exhaustive scrutiny, and relied on mere speculation, thereby coming to the wrong conclusion that the appellant was the party in default.
5. The Learned trial Judge erred in law and fact in that he misdirected himself about the nature and extent of the appellant's loss and the value of the suit land.
6. The Learned trial Judge erred in law and fact in that he proceeded to determine an issue which had been expressly abandoned by the appellant, along with the prayers based thereon.

Mr *Tibaijuka*, learned counsel for appellant, argued grounds 1, 3 and 5 separately and grounds 2, 4 and 6 together. Mr *Kuguminkiriza* learned counsel for the respondent, followed the same order and I shall follow the same.

On the first ground, the complaint is that the suit land was the subject of a written contract comprised in two documents, to wit, Exhibits P1 and P2. It was the contention of counsel for the appellant that in determining which of the two parties was in breach of that contract, the Learned trial Judge should have considered the terms of the contract, particularly the time when the balance was payable under the contract. He argued that the Learned trial Judge instead relied on extraneous matters in complete disregard of the express terms of the contract. Counsel submitted that the trial Judge relied on the admission of the appellant that he (the appellant) was aware of the respondent's indebtedness to NPART in the sum of UShs 4 000 000. He then concluded that the respondent was entitled to rescind the contract to redeem his property worth UShs 200 000 000 since the appellant had failed to pay the balance to rescue the respondent.

Learned counsel contended that the respondent's indebtedness to NPART and the alleged deadline of 14 February 1998 by which it was supposed to be settled, do not feature anywhere in the express terms of the contract. What features in the express terms of the contract, according to counsel, is that the appellant was supposed to pay the balance of UShs 6 350 000 after the respondent had procured a special certificate of title. The appellant would then be given possession of the suit land, and the same would be transferred into his names. In counsel's view, the Learned trial Judge was wrong when he based his decision on a debt between the respondent and NPART which was not an express term of the contract. He relied on the provisions of section 91 and 92 of the Evidence Act and the case of *Osman v Mulangira* Supreme Court civil case number 38 of 1995 (UR).

Mr *Kuguminkiriza*, learned counsel for the respondent, does not agree that the Learned trial Judge failed to take into account the provisions of section 91 and 92 of the Evidence Act and/or wrongly relied on matters that were extraneous to the suit contract. Counsel conceded that Exhibits P1 and P2 are the two documents that formed the contract. He, however, submitted that in determining which of the two parties was in breach of the contract, the Court had to look at the evidence as a whole including the express terms in Exhibits P1 and P2 and other evidence that was available to the Court in the suit. In counsel's view, the issue of the respondent being indebted to NPART formed part of the evidence that was adduced in Court. He pointed out, for example, during cross-examination, the appellant admitted thus:

> "Musonge told me he had pledged property to NPART. He asked me to advance him money to offset the NPART debt. I did not advance him any money".

Counsel submitted, therefore, that, that piece of evidence was not an extraneous matter as if formed part of the evidence that was assembled before court.

Learned counsel further submitted that since both parties were aware of NPART debt, it was not necessary to put it in an agreement of sale. According to counsel, the appellant was aware of it and that was why he admitted it. In counsel's view, the Learned trial Judge was right to hold thus:

> "It is more likely in the circumstances that he failed to meet the deadline for payment of UShs 4 000 000, which the defendant needed for NPART debt and consequently the defendant decided to sell the property to the second defendant. I do find, therefore, that the first defendant was entitled to rescind the contract since the plaintiff had failed to meet his part of the bargain".

Mr *Kuguminkiriza* then submitted that the Learned trial Judge was right to rely on the issue of NPART because he was not adding to or varying the terms of the contract as the evidence was given by the appellant himself in Court.

As regards the case of *Osman* (*supra*) Mr *Kuguminkiriza* submitted that the case is distinguishable from the present one. In that case the balance of the purchase price was to be paid by instalments on specific dates. In the present case, counsel submitted that no specified date for payment of the balance was indicated. In the premises, *Osman*'s case is not applicable to the present one. In the result, the first ground should be dismissed.

As the first appellate court, it is our duty to re-appraise the evidence as a whole and subject it to fresh scrutiny and reach our conclusions. See rule 29(1)(*a*) of the Rules of this Court; *Pandya v Republic* [1957] EA 336; *Charles B Bitwire v Uganda* Supreme Court civil case number 23 of 1995 and *Kifamunte Henry v Uganda* Supreme Court civil case number 10 of 1995. Having done that, the central issue, in my view, for determination in the first ground of this appeal is which of the two parties was in breach of the contract?

An answer to that pertinent question, in my view, lies on the express terms of both parties as stated in Exhibits P1 and P2 as well as other evidence adduced during the trial. It is not in dispute that both parties had expressly stated in Exhibits P1 and P2 that the balance of the purchase price, UShs 6 350 000 would be paid to the respondent upon him procuring a special certificate of title. According to pleadings and the evidence of the appellant, PW1 that special certificate of title, annexture C, was obtained on 5 May 1998 by the appellant in the names of the respondent, though the responsibility to do so was squarely on the respondent.

During the hearing of the suit, the appellant admitted that the respondent was indebted to NPART. He learnt of NPART debt with the respondent on 19 December 1997 the very day he deposited UShs 650 000. He also went to NPART and learnt that the respondent had mortgaged land with them. This is what the appellant said during re-examination:

> "I learnt of Musonge's NPART debt when I paid the deposit of UShs 650 000. I went to NPART and I learnt that he had mortgaged land with them. NPART is not mentioned in the memorandum of sale".

Besides, during cross-examination, the appellant stated thus:

> "Musonge told me he had pledged property to NPART. He asked me to advance him money to offset the NPART debt. I did not advance him any money".

The next question is:

Can all the above evidence of admission by the appellant be considered alongside the express terms stipulated in Exhibits P1 and P2?

An answer to that question, in my view, lies on the provisions of section 91 and 92 of the Evidence Act which read as follow:

> "91. When the terms of a contract or of a grant, or of any other disposition of property, have been reduced to the form of a document, and in all cases in which may matter is required by law to be reduced to the form of a document, no evidence, except as mentioned in section 79, shall be given in proof of the terms of that contract, grant or other disposition of property, or of such matter except the document itself, or secondary evidence of its contents in cases in which secondary evidence is admissible under the provisions hereinabove before contained".

> "92 When the terms of any such contract, grant or other disposition of property, or any matter required by law to be reduce to the form of a document, have been proved according to section 91, no evidence of any oral agreement or statement shall be admitted, as between the parties to any such instrument or their representatives in interest, for the purpose of contradicting, varying, adding to or subtracting from its terms; but:
>
> (*a*) any fact may be proved which would invalidate any document, or which would entitle any person to any decree or order relating thereto, such as fraud, intimidation, illegality, want of due execution, want of capacity in any contracting party, want or failure of consideration or mistake in fact or law;
>
> (*b*) the existence of any separate oral agreement as to any matter on which a document is silent, and which is not inconsistent with its terms, may be proved. In considering whether or not this paragraph applies, the Court shall have regard to the degree of formality of the document;
>
> (*c*) the existence of any separate oral agreement, constituting a condition precedent to the attaching of any obligation under any such contract, grant or disposition of property, may be proved;
>
> (*d*) the existence of any distinct subsequent oral agreement to rescind or modify any such contract, grant or disposition or property may be proved, except in cases in which that contract, grant or disposition of property is by law requited to be in writing or has been registered according to the law in force for the time being as to the registration of documents;
>
> (*e*) any usage or custom by which incidents not expressly mentioned in any contract are usually annexed to contracts of that description may be proved it the annexing of the incident would not be repugnant to, or inconsistent with, the express terms of the contract;
>
> (*f*) any fact may be proved which shows in what manner the language of a document is related to existing facts".

Clearly, the above provisions of section 91 and 92 of the Evidence Act, including the exceptions in section 92, do not allow the admission of evidence adduced by PW1 during both cross-examination and re-examination as part of the express terms stipulated in Exhibits P1 and P2 by both the appellant and respondent. The admissibility of that evidence would, in my view, contradict, vary, add to or subtract from the terms expressly stated in Exhibits P1 and P2. The procurement of a special certificate of title was a condition precedent before the appellant could pay the balance of the purchase price of UShs 6 350 000 to the respondent. As both parties did not specify a date on which to pay that balance of the purchase price that alone distinguishes the present case from the case of *Shariff Osman* (*supra*) where instalments were supposed to be paid on specific dates.

It is also clear from the written statement of defence that the respondent never pleaded any oral agreement relating to NPART debt nor did he adduce any evidence to that effect. I would, therefore, agree with counsel for the appellant that by relying on the NPART issue, the Learned Judge, with due respect, had relied on an extraneous matter to the contract. The appellant, in my view, was and is no a party in default. He procured the special certificate of title on 5 May 1998 although he was not duty bound to do so and he issued a cheque for the balance of the purchase price which was rejected by the respondent. The first ground alone in my view, disposes off this appeal and I need not

consider the remaining grounds of appeal. In the result, I would allow the appeal and grant the appellant the reliefs sought in the High Court with costs here and in the Court below.

BYAMUGISHA JA: I had the benefit of reading in draft form the lead judgment prepared by Engwau JA. I agree with him that this appeal ought to succeed. However, I have my own remarks to make.

The appellant and the respondent herein, entered into a sale agreement on the 29December 1997 (Exhibit P2). It was for the sale of land comprised in Kibuga block 8 plot number 484 at Mengo Estate in Kampala District. The consideration was UShs 7 million and the appellant paid a deposit of UShs 650 000. The balance of the purchase price was to be paid after a Special Certificate of Title have been issued and an instrument of transfer had been executed in favour of the appellant. The Special Certificate of Title was procured on or about the 5 May 1998 or thereabouts. On the 11 May 1998, the appellant drew a cheque in favour of the respondent for the balance of the purchase price. The respondent rejected the cheque allegedly because the appellant was in breach of the agreement of paying the balance of the purchase price by the 31 January 1998.
Consequently, the appellant filed a suit against the respondent claiming a number of reliefs as contained in the plaint. Before the hearing of the suit commenced, the appellant discovered that the respondent had re-sold the land to a third party – Messrs Goodways Trustees Ltd who had in turn lodged a caveat on the property. Consequently an amended plaint was filed which averred fraud against both defendants. On the 18 May 1999 the second defendant abandoned its claim over the suit property and removed its caveat. The suit against it was withdrawn by consent of both counsel and the allegations of fraud were abandoned. The respondent in his written statement of defence filed on 1 July 1998 averred that he was under pressure from NPART to settle a Uganda Commercial Bank loan. He further averred that the appellant interfered with the process of procuring the Special Certificate of Title. In paragraph 8 he averred that the memorandum of sale was repudiated due to the appellant's own conduct.

At the trial, the following were the agreed issues:

1. Whether the plaintiff or the defendant beached the contract for the sale of land in issue.
2. Whether the plaintiff is entitled to the remedies prayed for.

The trial Judge found that the appellant was in breach of the agreement of sale and he dismissed the suit hence the instant appeal.

The memorandum of appeal contains the following grounds:

1. The Learned trial Judge erred in law and fact in that he failed to take into account the provisions of sections 91 and 92 of the Evidence Act and/or wrongly relied on matters that were extraneous to the suit contract
2. The Learned trial Judge erred in law and fact in that he wrongly relied on an unpleaded and/or unproved defence, and thereby wrongly dismissed the plaintiff's suit.
3. The Learned trial Judge erred in law and in fact, having held that the plaintiff had established his claim, he went on to hold that the respondent was entitled to rescind the contract, thereby contradicting himself and wrongly dismissed the plaintiff's suit.

4. The Learned trial Judge erred in law and in fact in that he failed to subject the evidence adduced to adequate and exhaustive scrutiny, and relied on mere speculation, thereby coming to the wrong conclusion that the appellant was the party in default.

5. The Learned trial Judge erred in law and in fact that he misdirected himself about the nature and extent of the appellant's loss and the value of the suit land.

6. The Learned trial Judge erred in law and in fact that he proceeded to determine an issue, which had been expressly abandoned by the appellant, along with the prayers, based thereon.

It was proposed to ask the Court for the following orders:

(i) Allowing the appeal.

(ii) Setting aside the judgment and orders of the High Court and substituting thereof an order allowing the appellant's suit against the respondent.

(iii) Granting the appellant all the remedies prayed for in his submissions in the High Court.

Both counsel filed written submissions. From the submissions filed and on perusal of the evidence and the pleadings as a whole, I think one main issue emerged that is whether the trial Judge was right to rely on the respondent's alleged indebtedness to NPART (Non-Performing Assets Recovery Trust) instead of relying of the terms of the sale agreement.

In submitting on this issue, Mr *Tibaijuka*, learned counsel for the appellant, complained that the trial Judge placed too much reliance on extraneous matters and disregarded the terms of the contract. He relied on different passages in the judgment to illustrate this point. He pointed out that the provisions of sections 91 and 92 of the Evidence Act were applicable to the facts of this appeal.

Mr *Kugumikiriza*, for the respondent supported the findings of the trial Judge. He stated that the appellant was aware of the respondent's indebtedness to NPART and he stated so in cross-examination.

In order to resolve the issue at hand, regard must be had to the provisions of the law that were cited by counsel for the appellant and then determine whether they apply to the instant case. Section 91 states as follows:

> "When the terms of any such contract, grant or other disposition of property, or any matter required by law to be reduced to the form of a document, and in all cases in which any matter is required by law to be reduced to the form of a document, no evidence, except as mentioned in section 79, shall be given in proof of the terms of that contract, grant or other disposition of property, or of such matter except the document itself, or secondary evidence of its contents in cases in which secondary evidence is admissible under the provisions hereinbefore contained".

The substance of this section is that a contract in a form of a document, and any other matter that the law requires to be reduced in a form of a document has to be proved by the production of the document itself and that no extrinsic or parole evidence shall be given to prove its contents. The rule is sometimes based on the "best evidence" principle sometimes on the doctrine of estoppel and sometimes on substantive law. The contract for the sale of land was produced in court as Exhibit P2. Both parties signed it on the 29 December 1997. Paragraph 5 of the agreement provided for the mode of paying the purchase price. It stated as follows:

> "(*a*) The purchaser has paid to the vendor the sum of UShs 650 000 (UShs six hundred fifty thousand) on or before the execution of these presents receipt whereof the vendor does hereby acknowledge.

(*b*) The purchaser will pay to the vendor the balance of the purchase price being the sum of UShs 6 350 000 *after* the *Special Ccertificate of Title* which is now in process of preparation is *issued* and an instrument of *transfer* of the property is duly executed in favour of the purchaser". (emphasis supplied)

The agreement did not mention the debt of NPART and the matter was not raised in the written statement of defence. Therefore, the issue is whether the admission of parole evidence and its reliance by the trial Judge contravened the provisions of section 92 (*supra*) which partly reads as follows:

"When the terms of any such contract, grant or other disposition of property, or any matter required by law to be reduced to the form of a document have been proved according to the last section, no evidence of any other agreement or statement shall be admitted, as between the parties to any such instrument or their representative in interest, for the purpose of contradicting, varying, adding to, or subtracting from its terms: but:

(*a*) ...

(*b*) the existence of any separate oral agreement as to any matter on which a document is silent, and which is not inconsistent with its terms, may be proved. In considering whether or not this paragraph applies, the Court shall have regard to the degree of formality of the document;

(*c*) the existence of any separate oral agreement, constituting a condition precedent to the attaching of any obligation any such contract, grant or disposition of property, may be proved.

(*d*) ...

(*e*) ... "

The rationale for the exclusion rule is stated by Phipson on Evidence (14 ed) at 1019 paragraph 37-12 to be:

"that when the parties have deliberately put their agreement into writing, it is conclusively presumed between themselves and their privies that they intend the writing to form a full and final settlement of their intentions, and one which should be placed beyond the reach of future controversy, bad faith or treacherous memory".

In the case of *Jinabhai and Co Ltd v Eustace Sisal Estate Ltd* [1967] EA 153 Spry JA at 160 stated the general rule of exclusion in these words:

"It is a general rule of interpretation that where there is an express provision in a contract, the Court will not imply any provision relating to the same subject matter".

In the case of *Turner v Forwood* [1951] 1 All ER 746 Denning LJ at 749 said:

"The rule excluding parole evidence only applies when the parties set down in writing the terms agreed".

When the language used in a document and the terms are clear and unambiguous, the duty of the Court is to give effect to the meaning of the words used.

There is a presumption that when parties put what they have agreed upon in writing, they are bound or intended to be bound by it. Therefore the terms agreed upon should be protected from unwarranted disputes and alterations. The presumption can be rebutted in circumstances set out under the section.

In the instant case, no evidence was led by the respondent to show the exception set out under the section. The respondent's letter of 14 May 1998 (Exhibit D2) set out what I would consider to be conditions precedent. They were:

1. That the appellant commissioned his lawyer Mr Kulumba-Kiyingi to ensure that the duplicate title deed is processed and released before 30 January 1998.

2. That the appellant was permitted to buy the property by NPART provided he paid UShs 4 million before 14 February 1998 to enable the respondent to redeem his property, which was due for auctioning on 14 February.
3. That on 22 February he called the respondent to express his disappointment with his lawyer who had not taken practical steps in performing his obligation.
4. That on 4 February the appellant rang the respondent stating that he had failed to raise 4 million shillings.
5. That on 12 February the appellant attempted to ring the respondent who told him that the deal was terminated on 31 January 1998 and he (appellant) should come and collect his deposit.

At the trial, the appellant admitted that he knew about the respondent's debt with NPART. He denied that he agreed to advance any money to the respondent. As I stated earlier, the respondent in his written statement of defence filed on 1 July 1998, did not raise the matters he raised in his letter of 14 May. This letter was written and probably backdated, after the appellant had tendered a cheque for the balance of the purchase price. I think, with the greatest respect, the Learned trial Judge was wrong to rely on the respondent's indebtedness to NPART to find that the appellant was in breach of the terms of the sale agreement. That piece of evidence varied and contradicted the clear terms of what the parties had agreed upon in writing. I do not think the respondent would have kept quiet, if indeed the appellant had breached the terms of any oral agreement. The letter itself is full of contradictions. It states that the appellant was required to pay 4 million shillings by 14 February and at the same time, it states that the agreement was terminated on the 30 January 1998. These matters were not raised in the pleadings and the Learned trial Judge did not address his mind to them.

I would allow the appeal in the terms proposed by Engwau JA.

Kitumba JA concurred in the judgment of Engwau JA.

For the appellant:
Tibaijuka instructed by *Tibaijuka and Co*

For the respondent:
Kuguminkiriza

Mwangi v Braeburn Ltd
[2004] 2 EA 196 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	9 July 2004
Case Number:	12/04
Before:	O'Kubasu JA, Onyango Otieno and Ringera JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Civil procedure – Injunction – Mandatory injunction – Principles for grant of interlocutory mandatory injunctions – Order XXXIX, rule 1, 2 and 3 Civil Procedure Rules.

[2] Contract – Privity – Contract between school and parents for enrolment of minor – Whether

minor may sue on the contract.

Editor's Summary

The appellant filed a suit through his next friend and father Moses K Mwangi against the respondent seeking a mandatory injunction for release to him of his school leaving certificate and final examination certificate, a declaration that the continued holding of the said certificates was illegal and general damages for breach of contract.

During the subsistence of the suit in the lower Court, the respondent filed an application pursuant to the provisions of Order VI, rule 13(1)(*a*), (*b*), (*c*), (*d*), Order XXXI, rules 1 and 2 of the Civil Procedure Rules for orders that the appellant's suit be dismissed or struck out on grounds that the filing of the suit contravened the law in that no written authority by the next friend was made and filed before or on the institution of the suit; that the appellant had no *locus standi* against the school and that the whole suit was a sham, unmentorious, vexatious, embarrassing, frivolous and an abuse of the Court process.

Before the respondent's application could be heard, the appellant filed his own application under Order XXXIX, Rules 1, 2 and 3 of the Civil Procedure Rules seeking an order to compel the school to release to him his school leaving certificate and the final examination certificate unconditionally pending the hearing and determination of the suit.

The appellant's application was heard first and granted by the Magistrate finding that the appellant was not a party to the contract between the respondent and his parents and was not claiming relief under the contract but only sought his rights to get the proceeds of his work. She also found that there was no justification in the continued retention of the certificates.

As regards the respondent's application, the Magistrate declined to grant the same finding that the omission to file a written consent by the next friend was a curable defect, and secondly that the suit disclosed triable issues as to warrant the same proceeding for trial.

The respondent appealed against the Magistrate's decisions in the two applications to the High Court. The High Court Judge found that there existed no privity of contract between the appellant and the respondent and therefore the appellant had no right in his own right to the certificate or exam results. He faulted the Magistrate's decision ordering the release of the certificates to the appellant. The Judge also ordered that the suit proceed to hearing as ordered by the Magistrate.

The appellant was dissatisfied and appealed to the Court of Appeal from the High Court's holding that he had no right to the certificates. The respondent cross-appealed on the High Courts' refusal to strike out the suit and instead ordering for the same to proceed for hearing.

Held – The Learned Judge was correct in finding that the contract was between the appellant's parents and the school and accordingly only the parents could sue for any alleged breach thereof. The order for mandatory injunction made in favour of the appellant could not stand. Further, the application for mandatory injunction ought not to have been allowed on any proper consideration of the principles governing the grant of mandatory injunctions since the case was a most contentious one. *Despina Pontikos* [1975] EA 38, *Mucoha v The Ripples Ltd* civil application number Nai 186 of 1992 (UR) and *Localball International v Agro Export* [1986] 1 All ER 901considered.

The Learned Judge having found that the appellant had no privity of contract with the school and that he could not therefore seek the relief's he sought for breach of contract, it inexorably followed that the suit ought to have been struck out.

Appeal dismissed, cross appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Despina Pontikos [1975] EA 38 – **C**

Mucoha v The Ripples Ltd civil application number Nai 186 of 1992 (UR) – **C**

United Kingdom

Locabail International Finance Ltd v Agroexport and others [1986] 1 All ER 901 – **C**

Judgment

O'KUBASU JA, ONYANGO OTIENO AND RINGERA JJA: The appellant Dickson Mwangi (hereinafter referred to as "Dickson") is a minor suing through his next friend and father Moses K Mwangi. The respondent, Braeburn Limited, is a limited liability company trading as Braeside School. (The school). In a plaint filed in the superior court and dated 21 March 2003, Dickson pleads that he enrolled in the school on or about September 1999 and completed his studies on or about June 2003; that during that period his school fees were duly and promptly paid and at the time of leaving the school he had no fees in arrears and owed the school no dues; that when he joined the school he was required under the regulations to deposit a refundable caution money in he sum of KShs 6 000 which became due for collection upon his completion and successful clearance with the school; that it was an express and/or implied term of enrolment and the contract pursuant thereto that upon his completion with the school he would be issued with a school leaving certificate, caution money would be refunded and the certificate of the final examination would be released to him once the results were released by the examining body; that he completed school in June 2002 and the final results were released on or about September 2002 but the school refused to release the leaving certificate, refund the caution money and release the final examination certificate; and that in consequence of the school's breach of the above conditions, he has suffered loss and damages, mental anguish, and has lost several opportunities of being sponsored by his current school for several activities and openings. He accordingly prayed for (*a*) an order compelling the school, its servants' agents, administrators and any or all the persons to release to him this school leaving certificate and the final examination certificate, (*b*) a declaration that the continued holding of the said certificates was illegal and unlawful and without justifiable cause, (*c*) KShs 6 000 being caution money, and (*d*) general damages for breach of contract.

In a statement of defence filed on 3 April 2003, the school denied the legality and the capacity of the next friend to file the suit. It also denied that Dickson enrolled in the school in the manner pleaded and stated that Dickson together with two other children namely; Angel Wanjiru Mwangi and Christopher Kitabu Mwangi, were admitted to the school upon the express application by their parents/guardians namely Moses K Mwangi and Elizabeth Wanjiru Mwangi by way of application forms dated 28 August 1999 which were accepted by the school. The school further stated that privity of contract was between itself and the parents and that the responsibility of paying school fees was upon the said parents. It denied the averments by Dickson and stated that he had no *locus standi* as against the school in respect of all claims raised; that even the sum of KShs 6 000 was not refundable at all to the parents as a sum of KShs 146 553 was due and owing from them in respect of one term's fees charged in lieu of notice not issued by them upon the withdrawal of their children from the school and books to the value of KShs 10 250 issued to the said children for which books to the value of KShs 3 000 were held by Dickson) had not been returned to the school; that Dickson had not suffered any loss, and if he had, the school was not liable for the same, and that the caution money and the certificates could only be released to the parents or their nominees upon compliance with the terms and conditions of the contract and by specifically settling the sum of KShs 146 553, duly outstanding, returning all the books (or paying for their value) held by all the children and upon clearing with the school's various departments. The school further stated that it has a lien over the caution money and certificates for as long as the parents have not met their obligations in accordance with the terms of the agreement, stipulations, customs and usage as are practised in the education sector. Last, but not necessarily the least, the school pleaded that Dickson's suit was incurably defective, brought in bad faith; was vexatious, baseless in law, and an abuse of the Court process only aimed at assisting the parents to reap the benefits of a contractual arrangement without honouring their obligations to the school. It asked that Dickson's suit should be dismissed or struck out with costs to be met by his advocates or his father Moses K Mwangi.

In a reply to the defence, Dickson reiterated the contents of the plaint and denied the allegations contained in the defence save where the same consisted of admissions. He stated that he had capacity to sue the school through the next friend. He confirmed that he was admitted to the school in the year but denied that he was enrolled with Angel Wanjiru Mwangi and Christopher Kitabu Mwangi upon the express application of their parents by way of application forms dated 28 August 1999 which were accepted by the respondent. Dickson also denied the averment by the school that privity of contract was between his parents on the one hand and the school on the other and that the responsibility of payment of fees was upon the said parents. He further stated that he had a cause of action and a *locus standi* to protect his rights which rights could not be contracted away by the school and his parents. He averred that he could enforce a cause of action arising out of the pupil-school relationship and all the terms therein implied and it was those rights that he sought to enforce. He further denied that the school had a lien over the caution money and certificates as pleaded in the defence. And of course he denied that his suit was defective and unmeritorious. On 21 March 2003, Dickson applied to Court by way of chamber summons expressed to be under Order XXXIX, rules 1, 2 and 3 of the

Civil Procedure Rules and section 3A of the Civil Procedure Act and all other enabling provisions of the law for an order to compel the school to release to him his school leaving certificate and the final examination certificate unconditionally pending the hearing and determination of the suit. Although it was not so stated, the application was plainly for an interlocutory mandatory injunction. The application was heard and determined by the senior resident Magistrate (MA Murage (Mrs)) who allowed it. In a short ruling she stated as follows:

> "From the annexure of the respondent marked as B1 (the application for registration forms) it is quite clear that the parents signed individual contracts for each child. There are no fees owing in respect of the applicant (Dickson). The applicant is not a party to the contract and does not seek relief from the contract but seeks under his own rights to get the proceeds of his work. This has nothing to do with the contract between the parents and the school. If there is a breach of contract between parties then the right channel is to seek specific performance or damages thereof, applicant is a third party to those issues and no sufficient reason has been advanced to justify the continued retention of the certificate. Consequently, I find that the application is meritorious. I allow it as prayed".

On its part, the school had on 3 April 2003 moved the Court pursuant to the provisions of Order VI, rule 13(1)(*a*), (*b*), (*c*) and (*d*), Order XXXI, rules 1 and 2 of the Civil Procedure Rules, and section 3A of the Civil Procedure Act for orders that Dickson's suit be dismissed or struck out and the costs of the suit and the application be borne by his father or his advocate. The application was made on the grounds that the filing of the suit contravened the mandatory provisions of law in that no written authority by the next friend was made and filed before or on the institution of the suit. Dickson had no *locus standi* against the school, and the whole suit was a sham, unmeritorious, vexatious, embarrassing, frivolous and an abuse of the Court process. That application was heard and a ruling delivered on 10 April 2003. It was dismissed by the same Senior Resident Magistrate on the grounds, firstly, that although no written consent by the next friend had been filed when the suit was filed, the omission was a curable defect which did not warrant the striking out of the suit; and secondly, the suit disclosed such triable issues as whether the minor could seek a declaration or his right without suing through the parents, whether the minor was a third part in the suit or there were direct issues between him and the school, whether the contract between the school and his parents barred him from seeking declarations of his rights and whether his parents had complied with the requirements of the specific contract between them and the school as concerns the minor and, in those premises, the suit deserved to go for a full hearing.

In the record of proceedings it is clear that the application dated 3 April 2003 was heard and determined prior to the one of 21 March 2004.

The school was dissatisfied with the ruling and orders of the subordinate court. It filed civil appeal number 230 of 2003 against the order refusing to dismiss or strike out the suit and civil appeal number 317 of 2003 against the order of mandatory injunction to release the certificates to Dickson. Both appeals consolidated and canvassed before Ransley J. After hearing arguments, the Learned Judge of the superior court on 28 November 2003 delivered a concise ruling in the following words:

> "In this suit, the minor is sent to school in pursuance of a contract between himself and the school. No privity of contract existed between the school and the child. If default occurs in the obligations imposed by the contract it is for the principal participants to enforce them individually. In my view the minor has no right in his own right to the certificate or exam results. These are matters, which must be dealt with

by the parents and the school. Thus if the school unreasonably withholds a school certificate, it is the parent who has the property in the certificate and he is the person with the right to seek its return. In the result, I set aside the ruling of the Magistrate in the lower court with costs to the appellant.

In view of my decision herein, the appeal against the ruling of the Magistrate in civil appeal number 230 of 2003 is academic as the suit should proceed to hearing as ordered by the Magistrate".

It was now the turn of Dickson to cry. He has appealed to this Court. In his memorandum of appeal he has listed the following eight grounds of appeal:

"1. The Learned Judge erred in fact and in law in failing to decide on all the issues presented before the Court and making a decision against the weight of the arguments and the law thus causing a miscarriage of justice. The Judge made no conclusive decision on the matters presented.

2. The Learned Judge erred in fact and in law in holding that the appellant cannot sue the respondent for the release of his certificates.

3. The Learned Judge erred in fact and in law in purporting to hold that the respondent was entitled to hold the appellant's certificate over the disputed withdrawal penalties in respect of his brother and sister when in fact the appellant responsibilities and obligations to the respondent had fully been complied with. The Learned Judge failed to appreciate the fact the appellant cleared school in June and the certificate was available in September 2002 and the purported breach the reason for which the respondent is withholding the certificate, arose in December 2002 long after the respondent became liable to release the certificate to the appellant.

4. The Learned Judge erred in holding that the appellant had no right in his own right to the certificate and examination results from the appellant.

5. The Judge erred in law in holding that it is the appellant's parents who have property in the appellant's certificate and the parent is the one with the right to seek its release.

6. The Judge erred in finding that the issue of the appellants certificate was a subject of the contract entered into between his parents and the respondent when he ought to have found out that the release of certificate by the respondent was not provided for in the enrolment forms signed by the parent and respondent and the appellant's right to his certificates was a separate right capable of being enforced by the appellant.

7. The Learned Judge erred in law in failing to appreciate the law applicable in protecting minors rights and find the respondent and the appellant's parent could not and cannot in law contract away the child's rights.

8. The Learned Judge erred in failing to find that the appellant's right to his certificate is a fundamental right which affects his entire future career and livelihood and should not be inhibited by selfish and unilateral motives. The appellant had been denied his right to education and the withholding of the certificates was not only unlawful, illegal against the public policy but also immoral".

He prayed for the appeal to be allowed with costs and for the decision and order appealed from to be set aside in their entirety and the withheld certificate to be released.

The school has in turn filed a notice of grounds for affirming the decision of the superior court in civil appeal number 317 of 2003. In the notice of grounds for affirming the decision upon grounds additional to those relied upon by the superior court, the school relies on the following additional ones:

(1) That the Learned Judge erred in law and in fact by not finding that the plaintiff's application dated 21 March 2003 in Chief Magistrate Court case number 2787 of 2003 was fatally defective and that the whole suit was incurably defective;

(2) That the Learned Judge erred in law and in fact by not finding that the plaintiff/applicant (appellant) had not satisfied all the other principles covering issuance of mandatory injunctions and of prayers sought; and

(3) That the Learned Judge erred in law and in fact in failing to conclusively find that the plaintiff and his parents had not satisfied their obligations with the defendant (respondent) and that the defendant was thus entitled to retain the suit certificates.

And in the cross appeal in respect of KCCA Number 230 of 2003, the school contends that the said decision ought to be varied or reversed to the extent and in the manner and on the grounds:

(1) That the Learned Judge erred in fact and in law in failing to allow the appeal and set aside the subordinate court's ruling/decision delivered on 10 April 2003 and allow the defendant's (respondent's herein) application dated 3 April 2003 hence strike out the plaintiff's (appellant's herein) Chief Magistrate Court case number 2787 of 2003 with costs;

(2) That the Learned Judge erred in fact and in law in ordering that Chief Magistrate Court case number 2787 of 2003 do proceed for full hearing whereas he had held/found that the plaintiff (appellant herein) has no *locus standi* against and privity of contract with the defendant (respondent herein), and

(3) That the Learned Judge erred in law and in fact by failing to find that the plaintiff (appellant herein) had failed to comply with Order XXXI, rule 1 of the Civil Procedure Rule and that it was incurable in the circumstances.

It asks the Court for orders that High Court civil appeal number 230 of 2003 be allowed, that the decision or order that Chief Magistrate Court case number 2787 of 2003 (Milimani Commercial Courts) do proceed to full hearing be set aside, and the suit be struck out with costs to itself.

Having heard and considered the lengthy submissions by counsel for the parties, we think it is necessary to restate what the matter before this Court is all about. The pitch and marrow of it is whether the superior court was right to allow the school's appeal against the order of mandatory injunction made by the subordinate court on 22 May 2003, and to decline to deal with the school's appeal against the order of 10 April 2003 declining to strike out the suit.

With regard to the appeal against the order of mandatory injunction, it is clear the Learned Judge found there was no contract for the provision of education services as between Dickson and the school: the contract was between his parents and the school and, accordingly, only the parents could sue for any alleged breach thereof. That being so, the order for mandatory injunction made in favour of Dickson could not stand. We entirely agree with the findings and conclusions of the Learned Judge of the superior court. Dickson's suit was predicated on the plaint filed. From the said plaint and in particular paragraphs 6 and 7 thereof, it was clear that his cause of action was breach of contract for the provision of education services and associated benefits such as leaving and examination certificates upon successful completion of school. And yet from the material before us, it was clear that the contract for the provision of education services to him was constituted by the application for registration and its acceptance. That application was made by his parents and accepted by the school. The minor was not a party thereto even though it was made for his benefit. That being so, the finding by the superior court that Dickson was not

privy to the contract and he could not therefore sue on it cannot be faulted. The Judge was right that the minor had no right of his own to the certificate or examination results independent of the contract between his parents and the school. It was fallacious to suggest, as was suggested by counsel for the appellant, that the minor had an independent contract or quasi-contract with the school and that the certificates were his own property. He could never have been in the respondent's school for a start to earn the certificates without the enrolments contract between his parents and the school. If any authority were required for the above elementary propositions of law, we would refer to the following in *Halsbury's Laws of England* (3 ed) Volume 8, Paragraph 110, where the learned editors posit the law as follows:

> "As a general rule a contract affects only the parties to it, and cannot be enforced by or against to it, and cannot be enforced by or against a person who is not a party, even it the contract is made for his benefit and purports to give him the right to sue or to make him liable upon it".

And at paragraph 1241 it is posited that:

> "In schools which are not maintained by local education authorities the relations between the parents and the proprietor of the school are governed by the terms (express or implied) or the contract for the education of the child".

The equivalent of Britain's non-maintained schools in Kenya would be private schools such as the one Dickson attended.

Apart from want of privity of contract between Dickson and the school, we think his application for mandatory injunction ought not to have been allowed on any proper consideration of the principles governing the grant of mandatory injunctions. In the *Despina Pontikos* [1975] EA 38 at 57, the East African Court of Appeal (the predecessor of this Court) said:

". . . this Court has held more than once that interlocutory mandatory injunctions should only be granted with reluctance and only in very special circumstances".

And *in Kamau Mucoha v The Ripples Ltd* civil application number Nai 186 of 1992 (UR) this Court held that temporary mandatory injunctions will only be granted exceptionally and in the clearest cases. In England, in the case of *Locabail International Finance Ltd v Agroexport* [1986] 1 All ER 901, the Court of Appeal held that:

> "A mandatory injunction ought not to be granted on an interlocutory application in the absence of special circumstances and then only in clear cases either where the Court thought that the matter ought to be decided at once or where the injunction was directed at a simple and summary act which could easily be remedied or where the defendant had attempted to steal a march on the plaintiff. Moreover, before granting a mandatory interlocutory injunction the Court had to feel a high sense of assurance that at the trial it would appear that the injunction had rightly been granted, that being a different and higher standard than was required for a prohibitory injunction".

Even on the Magistrate's own conclusions with regard to the application to strike out the suit, that the said suit raised several triable issues which deserved to go for a full trial, it could not be said that Dickson's case was a very clear one. On the contrary, it was a most contentious one.

So whichever way we look at the matter we cannot but affirm the decision of the superior court to set aside the order of mandatory injunction granted to Dickson.

With respect to the High Court appeal against the Magistrate's order refusing to strike out the plaint, we think that the Learned Judge erred in finding the same to be academic and further ordering that the suit should proceed to hearing as ordered by the Magistrate. The Learned Judge having found that Dickson had no privity of contract with the school and that he could not therefore seek the reliefs he sought for breach of contract, it inexorably followed, in our view that the suit ought to have been struck out. It was therefore an error to find the appeal to be academic and to order that the suit to proceed to hearing. There was no point in ordering a suit which was in the circumstances frivolous and vexatious to proceed to trial.

To summarise, although we are disturbed by the school's withholding of Dickson's certificates and do not encourage such a practice, we have come to the clear conclusion that in law, Dickson's suit was unsustainable for want of privity of contract between him and the school. We also feel sad that the minor is the victim of the tussle between his parents and the school.

The upshot of the matter is that we dismiss the appeal with costs and allow the cross appeal respecting High Court civil appeal number 230 of 2003. We accordingly set aside the order that Chief Magistrate Court case number 2797 of 2003 (Milimani Commercial Courts) do proceed to full hearing and substitute therefore an order striking out the appellant's said suit with costs to the respondent. The costs of the appeal and of the superior court shall be paid by Dickson's father and next friend.

Those, then, are the orders of the Court.

For the appellant:
Information not available

For the respondent:
Information not available

Mwesiga v Nuti
[2004] 2 EA 204 (CAT)

Division:	Court of Appeal of Tanzania at Dar-es-Salaam
Date of ruling:	15 December 2003
Case Number:	63/01
Before:	Munuo JA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Court of Appeal – Time – Extension of time – Incompetent application – Whether court had discretion to extend time to a lay party to lodge a compliant application – Rules 3(2)(b), 10 and 43(b) Court of Appeal Rules (Tanzania).

Editor's Summary

The applicant instituted an application in the High Court seeking extension of time within which to lodge an appeal against Probate and Administration Cause Number 20 of 1994. The application was

denied and the applicant instituted a similar application in the Court of Appeal. The appellant had not been represented by counsel when instituting the application and did not comply with the requirements of rule 10 of the Court of Appeal Rules.

The respondent raised a preliminary objection to the application on grounds that (*a*) the application was hopelessly time barred and offended rule 43 of the Court Rules and (*b*) the application was incompetent for failure to comply with rule 10 of the Court Rules.

The respondent contended that the High Court had rejected the applicant's application because it was time barred.

Held – The application was not time barred for it was filed within the statutory period. However, the application was in contravention of rule 10 of the Court of Appeal Rules and the second preliminary objection would be upheld and the applications truck out. But under rule 3(2)(*b*) of the Court of Appeal Rules, the Court had a discretion to make an order for the purpose of better meeting the ends of justice and make directions on its own motion of the procedure to be adopted or make any other necessary order. In the present case the Court would extend time to enable the applicant time to institute an application which complies with the law. *Litiame v Naftali* civil appeal number 62 of 1999 followed.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Loitiame v Naftali civil appeal number 62 of 1999 – **F**

Ruling

MUNUO JA: The learned advocate for the respondent, Mr *Nyangarika* filed a notice of preliminary objection dated the 19 June 2002 on the ground that:

(*a*) The application is hopelessly time barred and thus offends rule 43(*b*) of the Tanzania Court of Appeal Rules, 1979.

(*b*) The application is incompetent for the same reason that it has been filed under wrong provisions of the law and indeed offends rule 10 of the Tanzania Court of Appeal Rules, 1979.

Asserting the facts deponed to the counter-affidavit of the respondent, counsel for the applicant observes that probate and administration cause number 20 of 1994 was determined on the 27 May 1999 as evidenced by annexure A to the counter-affidavit. Thereafter the applicant unsuccessfully lodged a similar application, that is, miscellaneous civil application number 128 of 2000 in the High Court of Tanzania at Dar-es-Salaam before Bubeshi J. Hence the present application for extension of time to appeal against the decision in probate and administration cause number 20 of 1994. However, as the advocate of the respondent pointed out, the notice of motion was wrongly brought under rule 46(3), it ought to have been instituted under rule 43(*b*) of the Court Rules which provides.

"43(*b*) Where an appeal lies within the leave of the Court, application for leave shall be made in the manner prescribed in rules 46 and 47 within fourteen days of the decision against which it is desired to appeal or, where application for leave to appeal has been made to the High Court and refused, within fourteen days of that refusal."

The advocate of the respondent contended that the present application is time barred because the High court rejected miscellaneous civil application number 128 of 2000 because it was time barred. He did not demonstrate in terms of dates how and why the present application is time barred. The ruling in Miscellaneous civil application number 128 of 2000 is not among the documents filed by the applicant. On the 5 February 2002 the Court ordered the applicant to file the said ruling but she instead filed the judgment in probate and administration cause number 20 of 1994 which though relevant, is not the subject of this application.

Ms *Mnguto*, learned advocate for the applicant, contended that the present application is within time for Bubeshi J rejected miscellaneous civil application number 128 of 2000 on the 17 May 2001 and thirteen days later, that is, on the 30 May 2001, the applicant brought this application within the 14 days period of limitation.

It is my considered view that the application is not time barred for it was filed within the statutory period of limitation of 14 days as provided for under rule 43(*b*) of the Court of Appeal Rules of 1979. For that reason the first preliminary objection raised by Mr *Nyangarika* is not tenable. I accordingly overrule the preliminary objection pertaining to the application being time barred.

Mr *Nyangarika*'s contention on the application being brought on wrong provisions of the law and the applicant not complying with rule 10 of the Court rules has merit. Realizing her problem of legal literacy, the applicant applied for legal aid on the 10 December 2001 saying that she has no means to engage an advocate. At the hearing she was represented by counsel but by that time it was too late in the day to rectify the record of this application.

Rule 10 of the Court of Appeal rules provides:

> "10 (1) Except where the nature of the document renders it impracticable, every document prepared for use in the Court shall be on foolscap paper of durable quality: only one side of the paper shall be used and a margin of not less than one and a half inches shall be left on the side of the sheet to permit binding in a book form.
>
> (2) All documents prepared for use in the Court shall be clear and easily legible and may be printed, mimeographed, typewritten, written or reproduced in photostat, photography, type lithography, stencil duplicating, xerography or in any combination of those media.
>
> (3) In every criminal appeal …
>
> (4) The pages of every application and, in criminal cases, of the record of appeal, and in civil cases, of the memorandum of appeal and the record of appeal shall be numbered consecutively.
>
> (5) In all applications and appeals, every tenth line of each record shall be indicated in the margin on the right side of the sheet.
>
> (6) Whatever medium is adopted for the production and reproduction of documents for use in the Court, the taxing officer shall on taxation allow only those costs which would in his opinion have been incurred by using the most economical method permitted or available."

As stated earlier on, the applicant did not comply with rule 10 of the Court Rules. Although she was represented in the High Court, she sought legal aid in this application because she could not afford the services of an advocate.

In the case of *Loitiame v Naftali* civil appeal number 62 of 1999, Court of Appeal of Tanzania at Arusha (UR) the Court extended time to enable an

unrepresented appellant to properly institute his appeal. Here the applicant filed the record of the application without the assistance of counsel so like in the case of *Loitiame*, this Court is bound to exercise its power under rule 3(2)(*b*) of the Court of Appeal Rules, 1979 to rectify the situation. Rule 3(2)(*b*) provides:

> "3(2) Where it is necessary to make an order for the purpose of:
>
> (*a*) …
>
> (*b*) better meeting the ends of justice; or
>
> (*c*) … the Court may, on application or *on its own motion*, give directions as to the procedure to be adopted or make any other order which it considers necessary."

In the light of the above the second preliminary objection is upheld. The application is struck out. But under rule 3(2)(*b*) of the Court of Appeal Rules, time is extended from today to 20 January 2004 to enable the applicant to institute an application and comply with the Court order of the 5 February 2002 by filing the ruling, the subject of this application. Costs to abide the result of the intended appeal.

For the applicant:
Ms Mnguto

For the respondent:
Mr Nyangarika

Namuddu v Uganda
[2004] 2 EA 207 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	17 January 2001
Case Number:	3/99
Before:	Wambuzi CJ, Oder, Tsekooko, Karokora and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	M Adriko

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[1] Criminal procedure – Appeals – Third appeal – Leave to appeal granted by Court of Appeal when appeal raises matters of public or general importance – Meaning thereof.

[2] Criminal procedure – Appeals – Third appeal – Leave to appeal granted by Supreme Court – Hearing an application to Supreme Court for leave to appeal – Whether Supreme Court is confined to matters before the Court of Appeal when it refused to grant leave for third appeal.

[3] Criminal procedure – Appeals – Third appeal – Third appeal requires certificate of Court of Appeal granting leave to appeal – Leave granted when appeal raises matters of great public or general importance – Section 6(5) Judicature Act (Chapter 13).

Editor's Summary

The applicant and another were jointly charged with and convicted of causing financial loss contrary to section 258(1) of the Penal Code and abuse of office contrary to section 83 of the Penal Code. They appealed successfully to the High Court against their convictions and sentence but this appellate

decision was overturned on second appeal by the Court of Appeal. Despite not having the requisite leave of the Court of Appeal, the appellants lodged a third appeal to the Supreme Court. Thereafter, they applied to the Court of Appeal for a certificate to enable them pursue their appeal to the Supreme Court. The Court of Appeal declined to grant leave on the grounds that the issues raised in the application were not points of law of considerable public or general importance and were not novel.

The applicant, decided to apply for leave for a third appeal to the Supreme Court. She brought her application under section 6(5) of the Judicature Act, 1996 and rules 37(1)(*b*), 41(1) and 42(1) of the Supreme Court Rules of 1996.

Held – The Court of Appeal may grant a certificate for a third appeal to the Supreme Court only when it is satisfied that the appeal raises a question or questions of law of greate public importance or that it raises a question or questions of law of general importance.

However, section 6(5) of the Judicature Act empowers the Supreme Court to grant leave for a third appeal, if in its overall duty to see that justice is done, it considers that the appeal should be heard. Therefore, when hearing an application for a third appeal, the Supreme Court is not bound by the above restrictions imposed on the Court of Appeal when it is considering an application for a certificate. While the Court of Appeal is restricted to questions of law, the Supreme Court has power to consider other matters.

For an appeal to raise a question of great general or public importance, that question should be sufficiently general or public in outlook (*Rex v Mohammed Shah s/o Lal Shah* [1939] 6 EACA 103 quoted, *R v Daines, R v Williams* [1961] 1 All ER 290, *Ashdon v R* [1973] 58 Cr App R 339 and *Verries v DPP* [1966] 50 Cr App R 315 distinguished).

The applicant had been convicted on two courts, which stemmed out of the same transaction contrary to section 20 of the Penal Code. Thus her appeal raised a significant question of great public or general importance. (*R v Doobs* [1951] EACA 319, *Santokh Kehar v R* [1955] 22 EACA 440 followed).

Application allowed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kassim Mpanga v Uganda Supreme Court criminal appeal number 30 of 1994 – **D**

Muiruri v Republic [1973] EA 86 – **C**

Republic v Dobbs [1951] 18 EACA 319 – **F**

Rex v Mohamed Shah s/o Lal Shah [1939] 6 EACA 103 – **C**

Santokh Singh Kehar v Republic [1955] 22 EACA 440 – **D**

United Kingdom

Ashdon v Republic [1973] 58 Cr App R 339 – **D**

Attorney-General for Northern Ireland v Gallagher [1963] AC 349 – **D**

Gelberg v Miller [1961] 1 All ER 291 – **C**

Republic v Williams, R v Daines [1961] 1 All ER 290 – **D**

Verrier v DPP [1966] 50 Cr App R 315 – **D**

Ruling

WAMBUZI CJ, ODER, TSEKOOKO, KAROKORA AND MUKASA-KIKONYOGO JJSC: The applicant, Namuddu Christine, has brought this application by notice of motion seeking leave to appeal to this Court against the decision of the Court of Appeal in Court of Appeal criminal appeal number 4 of 1997. The application is brought under section 6(5) of the Judicature Statute, 1996 and rules 37(1)(*b*), 41(1) and 42(1) of the Supreme Court rules, 1996.
There is a procedural error. The notice is sub-headed as "Appeal from the ruling of the Court of Appeal of Uganda at Kampala dated 25 November 1999". In view of the wording of both subsections (5) of section 6 of The Judicature Statute and rule 37(1)(*b*), this matter is a fresh application to this Court even though the effect of it is to enable this Court to review the decision of the Court of Appeal when it refused a certificate to appeal. Be that as it may, the application was originally lodged on behalf of two applicants (Professor Senyonga and C Namuddu) who had been jointly charged, tried and convicted by a Chief Magistrate in Buganda Road Court. The original first applicant was Professor Senyonga and the second applicant was and is Namuddu Christine. For reasons we do not want to go into, Professor Senyonga decided not to pursue the application. It is the application of the second applicant, Namuddu Christine, that has been argued before us. We shall hereinafter refer to her as the applicant.

The application is supported by an affidavit sworn by the applicant on 8 December 1999. In the affidavit, the applicant sets out the back ground to this application.

The applicant was the under secretary in the ministry of agriculture, animal husbandry and fisheries where Professor Senyonga was the permanent secretary. For conduct arising from the performance of their duties in the ministry, the two were jointly charged with and convicted of causing financial loss contrary to a contravention of clause 258(1) of the Penal Code, in one count and abuse of office clause 83 of the Penal Code in another count. They were each sentenced to imprisonment for five years in the first count and three years in the second count, the two sentences were to run concurrently. They were also each ordered to pay compensation in the sum of UShs 20 million. They succeeded in their appeal to the High Court but on appeal against the High Court decision, the Court of Appeal reversed the decision of the High Court and restored that of the Chief Magistrate. The two appealed to this Court (Supreme Court criminal appeal number 6 of 1999). The appeal was lodged without a certificate of the Court of Appeal or the requisite leave of this Court as required by rule 37(1)(*b*) and or section 6(5) of the Judicature Statute, 1996. The applicant and Professor Senyonga thereafter applied to the Court of Appeal for a certificate to enable them appeal to this Court. The Court of Appeal declined

to grant the requisite certificate on grounds that the issues raised in the application to that court were not points of law of considerable public or general importance and of some novelty. Now the applicant asks us to grant her leave to appeal against the convictions and the sentences.

The two grounds in the notice of motion are formulated as follows:

> "1. The intended appeal raises matters of general importance for the Court to review in order to see that justice is done.
>
> 2. Whether the doctrine of strict liability could be applied in a case where a permanent secretary/under secretary who relies on technocrats in the day to day performance of his work can be criminally liable in a matter where he has not been shown to have benefited".

Mr *M Kabega*, counsel for the applicant referred us to the decision of the Court of Appeal and criticised that court for its reliance on the decision of this Court in *Kassim Mpanga v Uganda* Supreme Court criminal appeal number 30 of 1994. In effect Mr *Kabega* contended that the two cases are distinguishable because in *Mpanga's* case there was overwhelming evidence against the appellant who had confessed that he had misused his powers and that he had diverted money which accrued as interest on loans. learned counsel criticised the Court of Appeal for upholding the conviction of the applicant because of her failure to ensure proper accountability. He cited *Attorney-General for Northern Ireland v Gallagher* [1963] AC 349 (at 358) for the view that "the present law" should not be strictly interpreted so as to deny the applicant a right for her case to be considered by this Court. He submitted that there is a matter of public general importance and therefore we should grant this application. learned counsel half-heartedly stated that one of the grounds for the intended appeal was that the law and the decision based on it are bad.

For the respondent, Mr *Michael Wamasebu*, principal State Attorney, repeated the arguments he made in the Court of Appeal that for an application under rule 37(1)(*b*) to succeed, the applicant must show that the application is a proper application for which a certificate should be given.

In his view, the applicant's affidavit does not disclose evidence that the application raises matters of public or general importance. He argued that neither did the affidavit show that the Court of Appeal erred in its decision. The learned Principal State Attorney supported the decision of the Court of Appeal to the effect that section 258(1) of the Penal Code Act does not create an offence of strict liability and that the issue of whether the applicant should be held responsible for acts and omissions of other officers working under her (her technocrats) is a policy matter and not a matter of law and that if we granted leave that leave would amount to rewriting section 258(1).

In so far as is relevant, section 258(1) reads as follows:

> "258(1) Any person employed by the government, who in the performance of his duties, does an act or omits to do any act knowing or having reason to believe that such act or omission will cause financial loss to the government shall be guilty of the offence of causing financial loss".

A third appeal to this Court can be entertained only on a certificate given by the Court of Appeal or on leave being granted by this Court to the effect that the intended appeal raises one or more matters of public or general importance which would be proper for this Court to review in order to see that justice is done: section 6(5) and rule 37(1)(*b*). Subsections (5) and rule 37(1)(*b*) are worded somewhat differently but the effect of the two provisions is the same.

Unfortunately both provisions do not define the expression “great public or general importance”.

Section 6(5) states:

> “Where the appeal emanates from a judgment of a Chief Magistrate or a Magistrate Grade I in the exercise of their original jurisdiction and either the accused person or the director of public prosecutions has appealed to the High Court and the Court of Appeal, the accused person or the director of public prosecutions may lodge a third appeal to the Supreme Court with the certificate of the Court of Appeal that the matter raises a question or questions of law of great public or general importance or if the Supreme Court, in its overall duty to see that justice is done, considers that the appeal should be heard”.

It appears to us that for leave to be granted by this Court, this Court is not restricted to the decision of the Court of Appeal once that Court refuses to grant the requisite certificate. Whereas it can be said that the application to this Court is in the nature of an appeal because the application arises only after the Court of Appeal refuses to grant a certificate, when this Court considers the application to review, this Court is not necessarily confined to only the matters which were considered by the Court of Appeal before it declined to give the certificate. To that extent *Gallaghers* case (*supra*) is not helpful because there the House of Lords considered a provision which was not quite similar to section 6(5) and rule 37(1)(*b*). The case was concerned with jurisdiction of the House of Lords to hear an appeal where the Court below had given a certificate that a point of law was involved but refused to grant leave. *Gallagher* is distinguishable in one other respect in that there the Court of Appeal actually certified that a point of law of general public importance was involved but the Court refused to grant leave. It was the House of Lords which granted the leave and eventually allowed the appeal. Furthermore the English/Irish Statute interpreted in *Gallagher* case talked of “general public importance” whereas section 6(5) refers to “a questions of law of great public or general importance or if the Supreme Court, in its overall all duty to see that justice is done, considers that the appeal should be heard”.

To clarify further we would like to quote section 1(2) of the Administration of Justice Act, 1960 of United Kingdom which read as follows:

> “(2) No appeal shall lie under this section except with the leave of the Court below or of the House of Lords: and such leave shall not be granted unless it is certified by the Court below that a point of law of general public importance is involved in the decision and it appears to that court or to the House of Lords, that the point is one which ought to be considered by the House”.

There are decided cases to the effect that the House of Lords could not grant leave under that subsection without the prior certificate of the Court of Criminal Appeal: See *Gelberg v Miller* [1961] 1 All ER 291.

We agree with Mr *Kabega* that the decision in *Mpanga* case (*supra*) is irrelevant to the application before us. That case was decided in 1994 before the Judicature Statute (Statute 13 of 1996) and the current rules of the Supreme Court were enacted in 1996. By 1994 when *Mpanga* case was decided there were no provisions in our law similar to section 6(5) or rule 37(1)(*b*). The *Mpanga* appeal was a second appeal which required no leave to institute it. In that regard *Mpanga* case is not helpful. Even if the case were relevant, facts are more distinguishable from the facts of the present case.

Under subsection (5) of section 6, this Court will grant leave if the Court, in its overall duty to see that one word justice is done, considers that the appeal should be heard. In other words this Court is not bound by the restrictions placed on the Court of Appeal, when that court is considering an application for a certificate. The Court of Appeal grants a certificate where it is satisfied:

> "(*a*) that the matter raises a question or questions of law of great public importance; or
>
> (*b*) that the matter raises a question or questions of law of general importance".

On the other hand, this Court will grant leave if it considers that in order to do justice the appeal should be heard. Anything relevant to doing justice will be considered including questions of law of general or public importance.

It appears to us that in deciding whether or not to grant leave we are not restricted to questions of law like the Court of Appeal. We have power to consider other matters.

In that case we do not with respect agree with Mr *Wamasebu* that the applicant must necessarily show that a certificate should be given.

We have not been able to lay our hands on any decided authority from Uganda or any other East African jurisdictions, which illustrates what constitutes "matters of public or general importance" or "a question of law of great public or general importance".

We have looked at *Rex v Mohamed Shah s/o Lal Shah* [1939] 6 EACA 103 where the East African Court of Appeal dismissed an appeal against conviction for murder. The appellant sought leave to appeal to the Privy Council by virtue of article 3(*b*) of the Eastern African (Appeals to Privy Council) Order in Council, 1921. The article is not available to us but judging from the judgment in the case, and the Judicial Committee Rules, 1954, we surmise that the article generally required all intending appellants to seek leave of the East Africa Court of Appeal or the Privy Council itself and obtain such leave before lodging an appeal. In the application the affidavit in support of the application for leave was sworn by a counsel for the applicant. In the affidavit, counsel averred that he believed that questions arising from the Judgment of the Court were of great general and public importance and also of great importance in connection with the conduct of criminal trials in the Colony of Kenya. Counsel cited in his affidavit instances which constantly arise in many criminal trials in courts in Kenya and elsewhere. Because of this the East Africa Court of Appeal refused leave on the ground that assuming article 3(*b*) applied, the Court must be guided by the test as to whether the questions involved are of great general or public importance rather than the matters which must constantly occur in criminal trials. The Court did not discuss what is a question of great general or public importance to be of help. But the inference we draw from the brief ruling is that the question should be sufficiently general or public in application, as would need settlement or clarification by a higher appellate court.

It may be that the expressions we are discussing have not been defined by statutes because each expression covers many circumstances which when considered in a particular case can constitute a "question of great general or public importance".

In England section 33(2) of the Criminal Appeal Act, 1968 makes provision closer to our section 6(5). The said section 33(2), states that:

> "2. The appeal lies (to the House of Lords) only with the leave of the Court of Appeal or the House of Lords: and leave shall not be granted unless it is certified by the Court of Appeal that a point of law of general public importance is involved in the decision and it appears to the Court of Appeal or the House of Lords (as the case may be) that the point is one which ought to be considered by the House".

In *R v Daines, R v Williams* [1961] 1 All ER 290, the Court of Criminal Appeal (UK) considered the two applications for leave to appeal to the House of Lords under section 1(2) of Administration of Justice Act, 1960 which is identical to section 33(2) of the Criminal Appeal Act, 1968 (*supra*). The application sought a certificate that a point of law of general public importance was involved. The ruling is very brief and does not explain what is a point of law of general public importance. But it appears that the issue in the appeal was a misdirection of the jury by the chairman on corroboration. This was deemed an ordinary matter and not a question of great public importance.

In *Ashdon v Republic* [1973] 58 Cr App R 339 the Court of criminal appeal considered an application under section 33(2) of the Act of 1968 whether or not a point of sentencing policy may constitute a point of law which can be certified as of general public importance if no reasonable tribunal could have passed the sentence. In that case the Court of criminal appeal referred to a number of decided cases where certification was either given or refused.

The Court then concluded that where the trial Judge has passed a sentence, which was within his discretion, no point of law of general public importance could arise for the purpose of an appeal against such sentence. The Court did not state as to what should be regarded as a point of law of general public importance. But an instructive example is the case of *Verrier v DPP* [1966] 50 Cr App R 315. That was a case where a conspiracy to commit an offence of obtaining by false pretences was charged. The substantive offence carried a maximum sentence of five years' imprisonment. On conviction of the conspiracy charge, the trial Judge imposed upon the accused a sentence of seven years' imprisonment. Upon the matter going to the Court of Criminal Appeal, the Court dismissed the appeal but it certified that a point of law of general public importance was involved in their dismissal of the appeal against the seven years sentence. The certificate stated:

> "Whether in the proper exercise of judicial discretion a court can pass a sentence exceeding five years' imprisonment for conspiracy to defraud by false pretences in a case where, had the conspiracy been carried out, there could only have been one charge of obtaining by false pretences".

All the English Court decisions we have referred to which arise from the provision of the 1960 and 1968 Acts relate to questions of law. The provisions in section 6(5) of Statute 13 of 1996 and rule 37(1)(*b*) do not restrict us to questions of law only.

The issue we are required to decide is whether or not the application has or has not raised such matters as are contemplated by section 6(5) or rule 37(1)(*b*) upon which we can say that we want justice to be done in the case from which this application springs.

The matters raised by the applicant before us were in our view, properly dealt with by the Court and we are unable to fault that Court.

However, we note that the applicant was charged with and prosecuted for and convicted on two counts, already mentioned, in which the facts arise from the same transaction. The charge-sheet on which the applicant was charged with the two offences shows that the two counts are based on the same transactions which occurred between June 1992 and July 1993, that is, signing Bank of Uganda cheques amounting to UShs 89 036 431. Therefore the question we have had to ask is whether it was proper to convict and to sentence her for the two offences which arise from the same facts? In that regard section 20 of the Penal Code Act and section 39 of the Interpretation Decree 1976 are pertinent. Section 20 reads as follows:

> "A person shall not be punished twice either under the provisions of this code or under the provisions of any other law for the same offence".

There is a wealth of decisions to support the principle embodied in the above provision namely that if the facts of a case disclose one act and no more, an accused cannot be punished twice for that act. Because of the conclusions we have reached, we find it unnecessary to refer to more than two of those cases.

In *Republic v Dobbs* [1951] 18 EACA 319, the accused, a District Officer, was convicted of (1) stealing of government trophies by a person in public service, and (2) unlawful possession of the same government trophies. He was sentenced on each count. On appeal it was held that taking into account the accused's official position the charge of being in unlawful possession of game trophies must have failed had the prosecution not been able to prove an act of conversion. Accordingly the two offences flowed from the same act. The accused had thus been punished twice for the same act.

In *Santokh Singh Kehar v Republic* [1955] 22 EACA 440 accused was convicted and sentenced to consecutive sentences on two counts (1) of attempting between certain dates to procure A to destroy the depositions required in certain Supreme Court proceedings and (2) of attempting between the same dates to procure A to steal the same depositions. His desire was to achieve the destruction of the depositions to prevent their being used in a Supreme Court trial. There was no finding by the trial Magistrate that there were separate solicitations to steal and to destroy. On appeal it was held that accused had been punished twice for the same act, it not having been shown that there were distinct acts of solicitation.

These and many more authorities arise from the three East African Jurisdictions including that of Uganda. The appeals related to provisions identical with section 20 of our Penal Code. Similar reasoning arises from section 39 of Interpretation Decree, 1976. The provisions of section 39 of the Interpretation Decree 1976 read as follows:

> "39. Where an act constitutes an offence under two or more enactments, then the offender shall be liable to be prosecuted and punished under either or any of those enactments, but shall not be liable to be punished twice for the same offence".

The Kenya High Court interpreted a similar provision in *Muiruri v Republic* [1973] EA 86. The appellant was charged with shop breaking and theft clause 306 of the Penal Code of Kenya. In the course of the trial a second count of robbery with violence clause 296 of the Penal Code was added. The facts showed that the offences were based on the same incident. He was convicted and sentenced to five years and eighteen years respectively. On appeal the appellate court held that, by virtues of section 63 of Kenya Interpretation

and General Provisions Act, the accused can neither be convicted nor sentenced on two charges where the same act is an offence under different laws. The Court approved *Republic v Dobbs* (*supra*).

The Kenyan provision (section 63) reads as follows:

> "63 Where an act or omission constitutes an offence under two or more written laws, the offender shall, unless a contrary intention appears, be liable to be prosecuted and punished under any of such laws, but shall not be liable to be punished twice for the same offence".

Although counsel for the applicant did not raise the matter pertaining to section 20 and section 39 before us or indeed before the Court of Appeal, we consider that in order to do justice in this case, in the light of the provisions of section 20 of Penal Code, and section 39 of the Interpretation Decree, 1976, we think that the applicant is entitled to a review of the case by this Court. Therefore the application is allowed.

For the applicant:
M Kabega instructed by *Tumusiime Kabega & Co*

For the respondent:
M Wamasebu

Ngarachu and another v Republic
[2004] 2 EA 215 (HCK)

Division:	High Court of Kenya at Nairobi
Date of Judgment:	3 June 2004
Case Number:	10/00
Before:	Ochieng and Makhandia AJJ
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Criminal procedure – Autrefois *convict – Accused persons charged with same offence for which he had earlier been convicted – Whether latter conviction can stand – Section 77(5) Constitution of Kenya.*

Editor's Summary

The appellants were charged and convicted of the offence of robbery with violence contrary to section 296(2) of the Penal Code. At the appeal, it transpired that the appellants had been charged earlier with the offence of simple robbery contrary to section 296(1) of the Penal Code (Chapter 63) for which they were convicted and sentenced. The charges related to the same offence and the complainant was one and the same person.

Held – Section 77(5) of the Constitution provide for the principle of *autrefois* convict and the appellants should not have been charged with the same offence for which they had earlier been convicted of. They have therefore suffered injustice and the appeal would be allowed.

No cases referred to in judgment

Judgment

OCHIENG AND MAKHANDIA AJJ: The appellants in the instant case, John Ng'ang'a Ngarachu and David Githinji Gatu were charged with two counts of robbery with violence contrary to section 296(2) of the Penal Code. Particulars of the charge were succinctly outlined in the charge sheet. Following a full trial in which the prosecution called five witnesses, the trial Magistrate was convinced of their guilt and consequently convicted them as charged. He sentenced them to death as provided for in the law. Being aggrieved by the sentence and conviction the appellants lodged individual appeals.

When the two appeals came up for hearing they were consolidated by consent of the parties involved. At the very commencement of the hearing Mr *Makura*, the Learned State Counsel who appeared for the State intimated to the Court that the State was conceding the appeal. The sole ground upon which the State took that step was that the appellants suffered double jeopardy. The Learned State Counsel submitted that the appellants were earlier on charged with the offence of simple robbery contrary to section 296(1) of the Penal Code. This was in criminal case number 1170 of 1999 in the Chief Magistrate's Court at Nyeri.

They were convicted and sentenced on 3 September 1999. They were again charged on 13 August 1999 with two counts of capital robbery. The Learned State Counsel submitted that the applicants ought not to have been charged with the first count of capital robbery as the facts were similar and witnesses who testified were the same as those who testified against the appellants in the initial trial for the offence of simple robbery. Indeed at some point in the proceedings the initial trial Magistrate disqualified himself saying that he had dealt with a similar case before. The Learned State Counsel submitted that the appellants ought not to have been tried and convicted on the subsequent charge of capital robbery. Applying the principle of *autrefois* convict as enshrined in section 77(5) of our Constitution, the Learned State Counsel urged the Court to allow the appeal, quash the conviction and set aside the sentence.

We have perused the lower Court proceedings in respect of criminal case number 1469 of 1999 that spurred this appeal and criminal case number 1170 of 1999 in which the appellants had been tried and convicted for the offence of simple robbery. The latter file had, earlier on, been requested for by the appellants to be availed at the hearing of this appeal. Our careful perusal of the record confirms what the Learned State Counsel has submitted. The witnesses in the two cases were identical. The evidence and the facts of the two cases were similar. Indeed one Samuel Wamiti Muhihu who was the complainant in criminal case number 1170 of 1999 was also the complainant in the second count of capital robbery in criminal number 1469 of 1999. His testimony in both cases is the same.

Section 77(5) of our Constitution provides, as follows:

> "No person who shows that he has been tried by a competent court for a criminal offence and whether convicted or acquitted shall again be tried for that offence or for any other criminal offence of which he could have been convicted at the trial of that offence, save upon the order of a superior court in the course of appeal or review proceedings relating to the conviction or acquittal".

It is clear from the record of the trial Court, that this cardinal provision of our constitution was breached and the appellants thereby suffered injustice. The initial trial Magistrate is recorded in the proceedings to have said:

> "I have dealt with the case before. In the interest of justice, case fixed for hearing on 30 August 1999 in Court number 3".

It beats logic for a trial Magistrate to disqualify himself from a case because he has heard it before and then refer it to another Magistrate to hear the same.

The upshot of the appeal is that it is allowed, the conviction quashed and sentenced set aside. The appellants are set at liberty unless they are otherwise lawfully held.

For the appellants:
Information not available

For the respondent:
Makura instructed by Attorney-General

Ngare v Attorney-General and another
[2004] 2 EA 217 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	5 July 2004
Case Number:	173/03
Before:	Ang'awa, Lenaola and Emukule AJJ
Sourced by:	E Monari
Summarised by:	A Mwanzia

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[1] Constitution of law – Procedure – Fundamental rights and freedoms – Reference to High Court – Applicant not following procedure under the rules – Whether applicant must first make application to subordinate court – Whether section 84(1) to be read subject to section 84(b) of the Constitution – Whether rules prescribing procedure for Constitutional references unconstitutional – Whether preliminary objection may be raised in a constitutional reference – Sections 84(1) and (6) Constitution of Kenya.

Editor's Summary

The applicant filed a constitutional matter as a direct reference, under sections 65, 77(1), 77(2) and 84(1) of the constitution of Kenya. The applicant was challenging the constitutionality of the Anti-Corruption Court to which he had been charged with a number of offences under the Prevention of Corruption Act (Chapter 65) Laws of Kenya.

The DPP contended that the application was bad in law as it did not comply with the procedure set out by the rules made under section 84(6) of the Constitution ie the Constitution of Kenya, Protection of Fundamental Rights and Freedoms of the Individual Practice and Procedure Rules of 2001, Legal Notice number 133 of 2001. He averred that the application being in the manner of a constitutional

reference was made directly to the High Court without regard to the procedure set out by the rules made pursuant to section 84(6) as read with section 84(1) of the constitution. The applicant had not first applied to the subordinate court where his trial was being heard before making the reference to the High Court.

The applicant countered the preliminary objection on four grounds; that in interpreting constitutional matters, courts should do so liberally and give it the widest possible interpretation, more so in questions regarding fundamental rights; that section 84(1) and (3) of the constitution confers on an applicant unlimited right of access to the constitutional Court *viz* High Court; that the rules made under Legal Notice number 133 of 2001 were unconstitutional to the extent that they attempt to derogate from the applicant's right of access to the High Court; and that the nature of the matter before the Court was such that it could not be determined by a preliminary objection and the applicant ought to be allowed to canvass his application fully and that it be determined on its merit.

Held – Matters of fundamental rights and alleged violations of those rights were serious issues and the provisions relating to fundamental rights were meant to assure the citizens to come before the High Court unhesitantly and without any constraint. *Kuria wa Gathoni and another v Attorney-General* High Court miscellaneous application number 1384 of 2001.

An aggrieved party had access to the High Court under section 84(1) of the Constitution but subject to the procedures under section 84(6) of the Constitution.

The rules made under section 84(6) of the constitution *vide* Legal Notice number 133 of 2001 were not inconsistent with the constitution as neither the purpose nor the object of the rules had been shown to be invalid.

Application struck out.

Cases referred to in ruling:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Chizondo and others v Republic [1998] LLR 5308 (HCK) – **C**

Githunguri v Republic [1986] KLR 1 – **C**

Karani v Chairman (KANU) and others High Court miscellaneous civil case number 238 of 2002 – **C**

Kipruto arap Chelashaw v Republic High Court miscellaneous criminal application number 693 of 2003 – **F**

Kuria wa Gathoni and another v Attorney-General High Court miscellaneous application number 1384 of 2001 – **F**

Mukisa Biscuit Manufacturing Co Ltd v West End Distributors Ltd [1969] EA 696 –**C**

Ngui v Republic [1985] KLR 268 – **C**

Niazsons (K) Ltd v China Road and Bridge Corporation [2001] 2 EA 502

Njeru v Republic [1979] KLR 154 – **C**

Njogu v Republic [2000] LLR 2275 (HCK) – **C**

Njoya and others v Attorney-General and others[2004] 1 EA 194 (HCK)

Nyangau v Nyakwana [1986] KLR 712 – **C**

Okunda and another v Republic [1970] EA 45 – **C**

Pattni v Republic – 1998 – **F**

Republic v EL Mann [1969] EA 357 – **AP**

Riungu v Republic High Court criminal application number 472 of 1996 – **F**

Speaker of the National Assembly v Karume [1992] LLR 3070 (CAK) – **C**

Ssemogerere and others v Attorney-General (3) [2004] 2 EA 276 (SAF) – **AP**

Wasike v Swala [1985] KLR 425 – **C**

Canada

Queen v Big M-Drug Mart Ltd [1986] LRC 332 – **C**

United Kingdom

Juando v Attorney-General [1971] AC 9972 – **C**

Ruling

ANG'AWA J, LENAOLA AND EMUKULE AJJ: On 13 May 2002, Livingstone Maina Ngare (hereinafter referred to as "the applicant") filed the instant constitutional matter as a direct reference, under sections 65, 77(1), 77(2)(*a*) and 84(1) of the Constitution of Kenya. He also relied on the inherent powers of the High Court and all other enabling provisions of the law.

In the originating summons, the applicant is challenging the constitutionality of the anti-corruption Court at which he had been charged with a number of offences under the Prevention of Corruption Act (Chapter 65) Laws of Kenya.

The matter was placed before the Honourable Chief Justice and parties appeared before him on 30 July 2003, 30 September 2003 and finally on 19 February 2004 when His Lordship constituted this three Judge bench to determine the matter in question.

The Objection

When the application came for hearing on 2 June 2004, the director of public prosecution (DPP), Mr Philip *Murgor* raised a preliminary objection on points of law and procedure notice of which he had given to the applicant on 28 March 2004. Counsel for the applicant, Mr George *Sichangi* sought time to prepare for the preliminary objection and his request was granted.

On 9 June 2004, the learned DPP commenced submissions on the preliminary objection with support by counsel for the Kenya Anti-Corruption Commission, Mr Evans *Monari*. The commission had by this time been enjoined in the proceedings as the second respondent.

The grounds for the preliminary objection were as follows:

"(1) That the application (by way of an originating summons) was bad in law as it did not comply with the procedure set out by the rules made under section 84(6) of the constitution (the Constitution of Kenya, Protection of Fundamental Rights and Freedoms of the Individual) Practice and Procedure Rules of 2001, Legal Notice number 133/2001.

(2) That the application is bad in law as it does not conform with the provisions of the Civil Procedure Act, and in particular Order XXXVI of the rules under the Civil Procedure Act.

(3) That the application is incompetent and bad in law as it offends the provisions of the Constitution since what the applicant prays for does not touch on the provisions of section 70-83 (inclusive) of the Constitution.

(4) That the application is frivolous and an abuse of court process as it is only tailored to delay the proceedings in the lower court.

(5) That the application is misconceived, bad in law and incompetent and should be struck out".

Only grounds 1, 4, and 5 were argued and it was the submission of the DPP, that from the record of the anti-corruption Court, it was clear that the application before us being in the manner of a constitutional reference was made directly to the High Court without regard to the procedure set out by the rules made pursuant to section 84(6) as read with section 84(1) of the Constitution. That being the case, the reference is invalid and should be dismissed.

Section 84(1) provides as follows:

> "Subject to subsection (6) if a person alleges that any of the provisions of section 70 to 83 (inclusive) has been, is being or is likely to be contravened in relation to him (or, in the case of a person who is detained, if another persons alleges a contravention in relation to the detained person), then without prejudice to any other action with respect to the same matter which is lawfully available that person can/or that other person) may apply to the High Court for redress".

Subsection (6) provides as follows:

> "The Chief Justice may make rules with respect to practice and procedure of the High Court in relation to the jurisdiction and powers conferred on it by or under this section (including rules with respect to the time within which application may be brought and references shall be made to the High Court)".

The rules envisaged by subsection (6) were made *vide* Legal Notice number 133 of 2001 by the Bernard Chunga CJ (as he then was) and they are known as "The Constitution of Kenya, Protection of Fundamental Rights and Freedom of the Individual Practice and Procedure Rules, 2001" (herein after referred to as "the Rules").

The DPP submitted that whereas the application before court was brought *inter alia* under section 84(1) aforesaid the application failed to take cognisance of rules 2, 3, and 4 of the rules.

Rule 2 provides as follows:

> "Where an accused person in a criminal case or a party to a civil suit in a subordinate court alleges contravention of his fundamental rights or freedoms under section 70 to 83 inclusive of the constitution in relation to himself, *he shall apply informally to the presiding Magistrate during the pendency* of the proceedings before that court can file a reference to the High Court to determine the question of the alleged violation". (emphasis added)

Rule 3 provides as follows:

> "If the presiding Magistrate is satisfied that there is merit in the allegation, and that it has not been made frivolously merely to delay the trial, he shall grant the application, whereupon the applicant shall frame the question to be determined by the High Court".

Rule 4 provides as follows:

> "Where the presiding Magistrate refuses to grant the application under rule 3, he shall proceed with the trial, without prejudice to the right of the applicant to renew the application in the High Court in any appeal that may follow his conviction by the Magistrate or conclusion of the matter in the subordinate court".

In the light of the clear procedure set out above, and there being no issues framed in the subordinate court, we were urged to find there was nothing to determine at this stage and the application before court had been rendered

fatally defective. In any event, we were further told, the only procedure known to the rules by which an applicant can file a direct reference to the High Court is rule 9 which in any event does not apply to the circumstances of this case and is therefore unhelpful to the applicant and the Court. Rule 9 provides as follows:

> "Where contravention of fundamental rights and freedoms is alleged otherwise than in the course of proceedings in a subordinate court or the High Court, an application shall be made directly to the High Court".

The learned DPP then referred this Court to the cases below:

1. *Karani and others v Chairman (KANU) and others* High Court Miscellaneous civil case number 238 of 2002 (Oguk and Rimita JJ (UR))

This was a case where three life members of a political party, the Kenya African National Union (KANU) filed a constitutional reference by way of an originating motion seeking certain orders that are not of relevance here. A preliminary objection was taken by the respondents as to their capacity to be sued as officials of a society and in their official capacity. While holding that the society was not a legal person with capacity to sue or be sued, the Court also noted that a person alleging contravention of fundamental rights must adhere to the procedure and practice as set out in the rules made under section 84(6) of the Constitution.

2. *Kipruto arap Chelashaw v Republic* High Court miscellaneous criminal application number 693 of 2003

In this case, a Constitutional reference was filed under section 84 and the applicant sought orders *inter alia* that the anti-corruption Court which was trying him in criminal case number 27 of 2003 was:

> "not a court established by the constitution, statute or parliament under section 65 of the constitution and therefore not a court established by law or a court of competent jurisdiction as provided or envisaged by section 77 of the constitution and the Court does not have the requisite attributes to try the case under the constitution".

The declaration sought in that case was therefore very similar to the orders sought in the matter before this Court, and we were urged to follow the findings of Kubo J on a preliminary objection taken by State. The objection was partly based on the fact that whereas there were pending proceedings before the subordinate court, the applicant chose, as has the applicant herein, to come to the High Court directly. The Learned Judge categorically held that the procedure to come to the High Court was clearly set out in the rules under Legal Notice number 133 of 2001 (*supra*) and therefore it was unprocedural for the applicant to allege infringement of fundamental rights and freedoms by directly saying so to the High Court, without first making the same allegation and applying to file a constitutional reference, to the subordinate court. The Learned Judge upheld the objection.

Reply to the objection

In reply to the arguments above, learned counsel for the applicant urged this Court to find that the preliminary objection was misconceived and in showing that fact he submitted on four basic points:

1. That in interpreting Constitutional matters, courts should do so liberally and give it the widest possible interpretation, more so in questions regarding fundamental rights.

2. That section 84(1) and (3) of the Constitution confers on an applicant unlimited right of access to the Constitutional Court *viz* the High Court.

3. That the rules made under Legal Notice number 133 of 2001 are unconstitutional to the extent that they attempt to derogate from the applicant's right of access to the High Court.

4. That the nature of the matter before court is such that it cannot be determined by a preliminary objection and the applicant ought to be allowed to canvass his application fully and that it be determined on its merit.

We were urged to look to the Constitution of Kenya and in interpreting the relevant sections in as far as this matter is concerned, we should take the liberal approach and in that regard we were referred to the cases of:

(*a*) *Republic v EL Mann* [1969] EA 357

In this case, the Court held *inter-alia* that where there was no ambiguity in the riding of the Constitution, then the same should be construed according to the ordinary and natural sense of the words.

(*b*) *Okunda and another v Republic* [1970] EA 45 Mwendwa CJ, Chana Singh and Simpson JJ

The Court in this case held that where laws of the East African community were inconsistent with the Constitution of Kenya, the same would be void under section 3 of that constitution. Similarly, we were urged to find that where any law is found to be inconsistent with our constitution, then the same should be declared void.

The applicant argued on this point that sections 84(1) and (3) of the Constitution granted him an unlimited right of access directly to the High Court. This being the case, it does not matter that he did not initially make his complaint regarding allegations of violations of his fundamental rights and freedoms at the anti-corruption Court. It was his contention therefore that he was properly before this Court.

Section 84(3) provides as follows:

> "If in proceedings in a subordinate court a question arises as to the contravention of any of the provisions of sections 70 to 83 (inclusive) the person presiding in that court may, and shall if any party to the proceedings so requests, refer the question to the High Court unless, in his opinion, the raising of the question is merely frivolous and vexatious".

Subsection (4) then provides that:

> "where a question is referred to the High Court in pursuance of subsection (3), the High Court shall give its decision upon the question and the Court in which the question arose shall dispose of the case in accordance with that decision".

Mr *Sichangi* argued that his client's case is that the anti-corruption Court is unconstitutional and if it is, then it cannot for example take the directions under subsection (4) above. Further, that his client has chosen not to submit to such a court hence the application to challenge its constitutionality directly to the High Court. He relied on the following authorities on the point:

(*a*) *Njeru v Republic* [1979] KLR 154 (number 1)

In that case the applicant was refused an adjournment to call a witness in her criminal trial. She did not file a constitutional reference at that time as she was entitled to do under section 84(3) of the Constitution and was convicted and sentenced. She applied for leave to appeal out of time. The application was

refused. She then applied to the High Court under section 84(1) of the Constitution alleging violation of her right to reasonable facilities to conduct a defence as enshrined in section 77(*e*) of the Constitution.

It was held:

> "that although failure to ask the trial court to refer a question under section 84(3) did not preclude a subsequent application under section 84(1), the application would be refused since the applicant (by applying for leave to appeal out of time and raising on that application the issue of the refusal of an a adjournment) availed herself of an "other action" available to her and the Court should not be asked to adjudicate more than once on the same issue".

Mr *Sichangi* also read out portions of the ruling in the *Karimi* case whose import was that section 84(1) and section 84(3) are not mutually exclusive but he further urged the point that the applicant in that case accessed the High Court directly and rules under section 84(6) were not an impediment to her doing so.

(*b*) *Ngui v Republic* [1985] KLR 268

The applicant had filed an application under section 84(1) of the Constitution for an order that section 123 of the Criminal Procedure Code (Chapter 75) was inconsistent with section 72(5) of the Constitution as it purported to make her ineligible for bail for the offence of robbery with violence contrary to section 296(2) of the Penal Code. That section of the Criminal Procedure Code is therefore void to that extent.

The Court held that it had jurisdiction to consider the matter under section 84(1) of the Constitution. Again, no mention was made of the rules under section 84(6).

(*c*) *Githunguri v Republic* [1986] KLR 1 Madan Ag CJ Aganyanya, Gicheru JJ

The relevance of this case to the matter at hand is that as we were informed, the High Court once seized of a matter under section 84(3) can return an opinion to guide the subordinate court. In the matter before us, we were told that serious and weighty issues would be raised and require determination so that the subordinate court would be properly guided on issues of procedure and law. A further point raised was that this Court should look to the substance of the issue before it and not to the procedure used as substance is weightier than procedure.

(*d*) *Chizondo and others v Republic* [1998] LLR 5308 (HCK)

The Chief Magistrate, Mombasa, Aggrey Muchelule Esq referred a question to the High Court under section 84(3). Ang'awa J heard arguments whether the matter could be heard by a single Judge. The Learned Judge after hearing the parties ordered that the file be placed before the Chief Justice to constitute a three Judge bench to determine the question. The learned Chief Justice while remitting the matter back to the High Court for hearing by a single Judge also stated that notwithstanding the absence of rules under section 84(6), the High Court can properly determine the matter under section 84(1) and that the party could approach the Court by more than one way known to our practice and procedures.

(*e*) *Riungu v Republic* High Court criminal application number 472 of 1996 O'Kubasu and Owuor JJ

The Court held that a party seeking a constitutional remedy, such as the one the applicant in that matter was seeking, could approach, the Court either directly under section 84(1) or by a reference by the subordinate court under

section 84(3). We were urged to find that the approach under section 84(1) by the applicant herein is an option available and properly taken by him.

Further reliance was placed on the case of:

(*f*) *Kuria wa Gathoni and another v Attorney-General* High Court miscellaneous application number 1384 of 2001

The point that is of relevance as regards this case is that in matters of preservation, protection and enforcement of fundamental rights, court should not fetter itself nor attach conditions in granting those rights and therefore section 84(1) is a correct vehicle to bring parties to the protective arms of the High Court.

Although only partly raised in the substantive application, Mr *Sichangi* attacked, the rules made *vide* Legal Notice number 133 of 2001 because having argued that an applicant has a constitutional right to come to the High Court directly, the rules, specifically rule 2 in as far as is ties the applicant's hands to the subordinate Court is unconstitutional. He also urged the point that since in the applicant's mind the rules were unconstitutional and the Court itself unconstitutional, he could not submit to it by following the rules and specifically the one requiring him to initially raise the allegation of violation of rights in the Subordinate Court. Further that all the anti-corruption Court does as regards the applicant's case is a nullity for all these reasons.

In furtherance of this point, reliance was then placed on the cases of:

(*a*) *Wasike v Swala* [1985] KLR 425

It was held in this case that where a trial Magistrate proceeded to determine a subject matter whose value exceeded his pecuniary jurisdiction, the Court had no jurisdiction, and its proceedings a nullity.

(*b*) *Nyangau v Nyakwana* [1986] KLR 712

The point here was that, where an arbitral tribunal heard the dispute outside of the time allowed, its decision subsequently was rendered a nullity.

(*c*) *Halsbury's Laws of England* Volume 9 (1954 ed) on the oft-quoted statement that where an inferior tribunal exceeds its jurisdiction, the High Court has jurisdiction to declare its proceedings a nullity and issue the writ of prohibition.

It was urged on behalf of the applicant that in proceedings of this nature:

> "where violation of fundamental rights are being alleged, issues arising, cannot be disposed of by way of preliminary objections. The reason given is that the issues are so fundamental that the Court ought to make a determination based on all the matters raised and not just those of form or procedure. In the instant reference, it was therefore argued that the issues raised in points 1 to 3 above are so weighty and touch on an individual's fundamental rights and freedoms and violation thereof, that this Court should not shut the door in his face so early in the proceedings".

In support of this contention we were asked to follow the holdings in:

(*a*) *Mukisa Biscuit Manufacturing Co Ltd v West End Distributors Ltd* [1969] EA 696

In this case the Court expressed displeasure at the practice of raising preliminary objections and further stated that such objections can only be raised where there is an issue of pure law whose determination at that point would dispose of the suit. The Court is therefore not being asked to delve into disputed matters of fact.

(*b*) *Niazsons (K) Ltd v China Road and Bridge Corporation* [2001] 2 EA 502

Following the decision in Mukisa Biscuit above, where the respondent in the above matter raised a preliminary objection going to the validity of the dispute resolution clause in the contract between the parties, the Court found that the

objection was improperly raised as it required the Court to consider whether it was incapable to perform the contract by dint of the allegedly invalid clause. The objection was disallowed as consequence.

We were urged to disallow the preliminary objection for all of the above reasons and get to the merit of the applicant's constitutional reference.

Findings

I. Constitutional Interpretation

We have been asked to look at the issues raised in the originating summons and approach them liberally. We agree, matters of fundamental rights and alleged violations of these rights are serious issues and as was said by their Lordships in the case of *Kuria wa Gathoni* (*supra*) the provisions relating to fundamental rights:

> "were meant to assure the people of this country to come, before this Court unhesitantly and without any constraint where there has been, there is or there is a likelihood of a breach of rights enshrined in sections 70 to 83 (inclusive) of the Constitution".

We also take the view that in interpreting the Constitution, regard must be had to the language and the wording of the Constitution so that where there is clearly no ambiguity we have no reason to depart therefrom. Thankfully, in the instant case no ambiguity has been claimed. Ambiguity and inconsistency cannot be the same thing. The approach taken in *Republic v El Mann* shall therefore be our approach in this matter.

We are not alone in taking that approach as the Constitutional Court in *Njoya and others v Attorney-General and others* [2004] 1 EA 194 (HCK) only recently took the same approach and approved the decision in the case of; *Njogu v Republic* [2000] LLR 2275 (HCK)

II. Does section 84(1)(3) unlimited access to the High Court?

It is our considered view on this question that regard must be had to the fact that all the authorities quoted by the applicant's Counsel can be categorised into two groups:

(*a*) those that were delivered prior to September 2001 when Legal Notice number 133 of 2001 was issued, and

(*b*) those that were delivered subsequent to the said legal notice

In category (*a*) therefore will fall the cases of:

(i) *Njeru v Republic* – 1979

(ii) *Ngui v Republic* – 1985

(iii) *Githunguri v Republic* – 1986

(iv) *Riungu v Republic* – 1996

(v) *Chizondo v Republic* – 1998

(vi) *Pattni v Republic* – 1998

In category (*b*) are the following cases:

(i) *Kuria wa Gathoni v Republic* – 2001

(ii) *Karani v Chairman KANU* – 2002

(iii) *Kipruto arap Chelashaw v Republic* – 2003

Very obviously, the reason why in category (*a*), section 84(6) and the rules made thereunder was not considered was precisely because there were no rules then existing. A party would therefore apply under section 84(1) directly as

there was no other way save for the procedure under section 84(3) that a person could access the Constitutional Court in matters of alleged violation of fundamental rights. In the *Karimi* case specifically, the applicant could not come to the High Court under section 84(3) because the subordinate Court had became *fundus officio* and therefore, the applicant could only then approach the High Court by the alternative procedure under section 84(1). The argument by Mr *Sichangi* that no mention of the rules was made in those decisions is therefore spurious.

Regarding the procedures under section 84(1) and that under section 84(3), we agree with the interpretation given in the *Riungu* case (*supra*).

The Court said:

> "it would appear that there are two ways in which a party may make an application for constitutional remedy. Under section 84(3) of the Constitution there is what we may call direct application to the High Court and under section 84(1) of the Constitution, the applicant would come to the High Court by way of reference by a Subordinate Court".

The applicant herein by his own admission and election in his application chose to come by way of section 84(1). Chesoni CJ in the *Chizondo* case (*supra*) in discussing that section quoted the case of *Juando v Attorney-General* [1971] AC 9972.

The Learned Judge specifically restated the statement of the judicial committee in Guyana where it was held that:

> "The right to apply to the High Court for redress conferred by article 19(1) (this article is in all material respects, similar to section 84(1) of the Constitution of Kenya) was expressed to be subject to paragraph 6 of that article and since neither parliament nor the rule-making authority of the Supreme Court had exercised their power under article 19(6) to make provision with respect to practice and procedure the method was unqualified and the right wide enough to cover application by any form of procedure by which the High Court could be approached to invoke its power".

The reason therefore why a party could come directly under section 84(1) was because the absence of rules under section 84(6) made the approach unqualified and a party could come by any procedure including as Chesoni J said, even by way of a plaint.

> "However, Counsel for the applicant did not note that section 84(1) and its application is subject to section 84(6). Where there were no rules made under section 84(6) it would be superfluous, to subject section 84(1) applications to procedures and practices under section 84(6) because they did not exist. It is our view, however, that once rules were made, then a party ought to follow those rules because:
>
> (i) Section 84(1) and section 84(6) should be read together and not as Mr *Sichangi* has done, selectively and to the exclusion of each other.
>
> (ii) Whereas section 84(1) is the section which protects the fundamental rights, section 84(6) gives the procedure for approaching the High Court to enforce these rights.
>
> (iii) The Constitution specifically gave the Chief Justice the power to enact the rules and the Chief Justice did so under Legal Notice number 133 of 2001. A party cannot now ignore these rules as if they did not exist. As Kubo J said in *William Kipruto arap Chelashaw v Republic* (*supra*) and we agree.
>
> "Procedural rules are not made for fun but for a purpose".

We also take note that the Court of Appeal was emphatic way back in 1992 that procedures that are enacted should be followed. This was the holding in *Speaker of the National Assembly v Karume* [1992] LLR 3070 (CAK).

Where the Court of Appeal stated:

> "In our view, there is considerable merit in the submission that where there is a clear procedure for the redress of any particular grievance by the Constitution or an Act of Parliament, that procedure should be strictly followed".

Having said so it is instructive that all the authorities in category (*b*) above applied the rules as framed by the Chief Justice. In *Kuria wa Gathoni* (*supra*) the Court stated as follows:

> "We note that this application has been appropriately made under the rules".

Even in the *Kamlesh Pattni* case (*supra*), the Court therein observed that;

> "Section 84(1) as it provides is only subject to the practice and procedure of rules when made under section 84(6)".

This was said a year before the rules were enacted, and the Court clearly understood that the rules under section 84(6) are applicable, once enacted.

We have said enough to show that access to the High Court under section 84(1) has to be by way of the procedure set out under section 84(6), and necessarily therefore the rules should be applied.

We have not been called upon to discuss as yet the constitutionality or otherwise of the anti-corruption Court and we shall not proceed on that line. Whether therefore its decision either way will be a nullity is a matter for decision on another day. As regards the rules however, we have shown above that they are indeed made pursuant to a constitutional duty imposed on the Chief Justice. He has discharged that obligation and in time too. The lamentation of Judges such as Ang'awa J in *Ali Chizondo* (*supra*) and the bench in the *Kamlesh Pattni* case regarding lack of rules under section 84(6) has come to an end and parties should follow the rules, since they now exist and they exist to be followed unless properly challenged.

We are also aware in finalising this point that the purpose of legislation must be looked at to see whether or not it is unconstitutional. Section 84(6) so far as we see was intended to create a procedure for bringing section 84(1) applications. We have not seen anything in those rules nor have we been shown that their purpose has been defeated.

As was said in the landmark constitutional case in the Supreme Court of Uganda *Ssemogerere and others v Attorney-General* [2004] 2 EA 276 (SCU) and quoting from a decision in *Queen v Big M-Drug Mart Ltd* [1986] LRC 332:

> "Both purpose and effects are relevant in determining constitutionality, either purpose or an unconstitutional effect can invalidate legislation. All legislation is animated by an object the legislature intends to achieve. The object is realised through the impact produced by the operation and application of the legislation. Purpose and effect respectively in the sense of the legislation's object and its ultimate impact are linked, if not indivisible. Intended and actual effects have often been looked to for guidance in assessing the legislation's object and thus the validity".

As we said earlier, neither the purpose nor the object of the rules have been shown to be invalid and we so rule.

We agree that when Sir Newbold, president of the Court in *Mukisa Biscuits* (*supra*) derided the practice of raising unnecessary preliminary objections, he stated what is the rule regarding what proper preliminary objections are, that is, they are in the nature of a demurrer. A demurrer would put the entire matter

to rest. The question before us is simple; does the High Court have the jurisdiction to hear this matter where, there has been a clear breach of procedure that flows directly from the Constitution? When confronted with this question, the bench in the *Eliphaz Riungu* case had this to say:

> "In our view we thought that if the learned DPP wanted to challenge the jurisdiction of this Court to entertain this application, then that should have been raised as a preliminary point of objection, and by so doing save everybody's time in the, event that this Court has no jurisdiction".

If indeed as it is true that a preliminary objection would dispose of a matter completely, what better time to raise it than at the very earliest? If the applicant ought not to be in this Court and should be sent back where he came from, more so for breach of procedure, what better time to tell him so, than at his maiden appearance before this Court? We do not find merit in the contention that the preliminary objection was raised prematurely and we so rule.

We were asked by Mr *Murgor* to dismiss the application for the reasons that we have enumerated above. Our position however is that where a preliminary objection is raised and upheld as we have, then the right thing to do is to strike out the application which we hereby proceed to do.

Accordingly, the preliminary objection is hereby allowed as prayed.

1. On the question whether section 84(1) allows an applicant to access the High Court directly, we have ruled that he can only come to the High Court using the procedure contained in the rules made under section 84(6) of the Constitution.
2. On whether the rules aforesaid are unconstitutional, we have held that in the circumstances and context of this case, we see no such, unconstitutionality.
3. On whether, a preliminary objection of the nature of the one raised here is properly so raised, we hold that it is so and the same is hereby upheld.
4. In reaching our conclusion, we have had regard to the language and tenor of the Constitution and the matter at hand and taken a literal/liberal interpretation of the issue before us.

The application dated 13 May 2002 is therefore struck out with costs to the respondents.

Orders accordingly.

For the applicant:
G Sichangi instructed by *Sichangi and Co*

For the first respondent:
P Murgor instructed by Attorney-General

For the second respondent:
E Monari instructed by *Daly and Figgs and Co*

Noble Builders (U) Ltd and another v Sandhu
[2004] 2 EA 228 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	4 March 2004
Case Number:	15/02
Before:	Mulenga JSC
Sourced by:	LawAfrica

Summarised by: M Kibanga

[1] Costs – Security for costs – Supreme Court Rules – Rule 100(3) – Circumstances under which security for costs may be ordered in appeal.

Editor's Summary

The respondents petitioned to the High Court for orders to wind up the first applicant and declare the second applicant a delinquent director and the orders sought were granted. The applicants successfully appealed to the Court of Appeal and the High Court decision was set aside with costs to the applicants. The respondents appealed to the Supreme Court.

Meanwhile the applicants filed bills of costs were assessed at total of UShs 34 164 400. The applicants filed an application in the appeal to the Supreme Court contending that they would incur further costs if they won in the appeal and prayed for orders *inter alia* that the respondent furnishes further security for costs, past costs and costs of the pending appeal. The respondent lived in Canada and had no assets or business interests in Uganda.

Held – It is well settled that the burden lies on the applicant to show sufficient cause why the appellant should furnish further security for costs over and above the amount fixed by the rules. What amounts to sufficient cause is a matter for the Court's discretion, depending on the circumstances of the case before it.

Demonstrable lack of reasonable chances of success for an appeal is sufficient cause. Inability to pay *per se* is not a ground for ordering security for costs; *De Bry v Fitzgerald and another* [1990] 1 All ER 560 distinguished. A defendant should be entitled to security if there is reason to believe that, in the event of his succeeding and being awarded costs, he will have real difficulty in enforcing the order.

Application allowed. Further security for costs ordered.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bank of Uganda v Nsereko and others civil application number 7 of 2002 (SC)

Patel v American International Banking Corporation civil application number 9 of 1989 – **C**

Uganda Commercial Bank v Multi Constructors Limited [1994] LLR 260 (SCU) – **C**

United Kingdom

De Bry v Fitzgerald and another [1990] 1 All ER 560 – **D**

Porzelack KG v Porzelack (UK) Limited [1987] 1 All ER 1074 – **D**

Ruling

MULENGA JSC: By notice of motion dated 26 September 2002, brought under rule 100(3) of the Supreme Court Rules of 1996, the above named applicants apply for orders that:

(*a*) The respondent furnishes further security for costs, past costs and costs of civil appeal number 41 of 2002 within a period determined by the Court, failing which the appeal be dismissed with costs.

(*b*) Costs of and incidental to this application, be provided for.

The application is supported by the affidavit of Raghbir Singh Sandhu, the second applicant, sworn on 27 September 2002, and his several supplementary affidavits sworn on subsequent dates.

The background to the application is very brief. On 19 September 2000, in Companies Cause Number 16 of 2000, the respondent petitioned the High Court for orders to wind up the first applicant and declared the second applicant a delinquent director. The High Court entered judgment for the respondent, granting the orders for which he had applied. The applicants successfully appealed to the Court of Appeal, which on 20 May 2002, set aside the judgment of the High Court and awarded to the applicants, costs of the appeal and of proceedings in the High Court. The respondent appealed to this Court in civil appeal number 13 of 2002, which has not yet come up for hearing.

In the meantime, the applicants filed bills of costs in the two lower courts. At the time of hearing this application, the applicants' bill of costs in the High Court had been taxed and allowed at UShs 28 079 000; and on reference to a single Judge of the Court of Appeal, their costs in that court, had been reduced to UShs 6 085 400. The applicants contend that the total costs so far owing from the respondent is UShs 34 164 400, and that they will incur further costs in respect of the appeal pending in this Court.

Apart from asserting that the costs so far incurred in the lower courts are quite substantial, the applicants base this application on the grounds that:

(*a*) The respondent is a foreigner currently resident in Canada, without any property or investments in Uganda.

(*b*) The respondent's appeal has no likelihood of success.

(*c*) It is in the interest of justice, to order for further security for costs.

In his affidavit in reply, Jaspal Singh Sandhu, the respondent, avers that he has not refused or failed to pay the costs, and that there is no ground for suspecting that he will be unable to pay if he loses the pending appeal as he is not impecunious. He also avers that his appeal to this Court is not devoid of merit; and that the applicants have not shown special circumstances to justify the need for further security for costs.

At the hearing of the application, Mr *Byenkya*, learned counsel for the applicants submitted that the purpose for security for costs pending disposal of an appeal, is to ensure that a party who has been successful in the lower courts is not left without recourse for his costs, in the event of repeated success in the further appeal. He maintained that in the instant case the applicants had already incurred substantial costs in the sum of over UShs 34 million, which was likely to increase by about another UShs 10 million, in respect of the pending appeal. Counsel argued that because the respondent does not reside, and has no assets or investments, within the Court's jurisdiction, the applicants would be left without recourse in the event of their likely success in the pending appeal.

According to learned counsel, the statutory sum of UShs 400 000 deposited in court as security for costs is utterly inadequate. He stressed that a successful party should not be left to the vagaries of having to pursue costs through proceedings in foreign jurisdictions. He relied on the decision in *Patel v American International Banking Corporation* civil application number 9 of 1989. While conceding that security for costs should not be used to stifle further appeals, he proposed that having regard to the circumstances of the instant case, the sum of UShs 50 million would be a reasonable amount for further security.

Mr *Mubiru-Kabege*, learned counsel for the respondent, submitted that the order for security for costs is discretionary, and the Courts use it sparingly. According to him, the order for security for costs is appropriate only where there is evidence to show inability to pay. Non-payment of past costs, residence outside of the Court's jurisdiction and lack of assets or investments therein, are not evidence of inability to pay. He conceded that residence outside jurisdiction is a factor the Court may take into consideration, but argued that it is not sufficient ground alone. He pointed out that Canada is within the Commonwealth, so that, pursuant to the Judgment Extension Act (Chapter 12) and the Reciprocal Enforcement of Judgments Act (Chapter 21), if the applicants succeed in the pending appeal, they would not find it difficult to recover their costs in Canada. Counsel also stressed that the Court should not allow an order for security for costs to have the effect of fettering the appeal process. He contended that in the instant case, an order for further security for costs could drive the respondent from the seat of justice. He submitted that though the respondent was able to pay, he would find it imprudent to tie so much money in court instead of putting it to profitable use. In support of his submissions, counsel cited *Uganda Commercial Bank v Multi Constructors Limited* [1994] LLR 260 (SCU); *Bank of Uganda v Nsereko and others* civil application number 7 of 2002 (SC); *Porzelack KG v Porzelack (UK) Limited* [1987] 1 All ER 1074 and *De Bry v Fitzgerald and another* [1990] 1 All ER 560.

Rule 100 of the Supreme Court Rules of 1996 provides as follows:

> "(1) Subject to rule 108, there shall be lodged in Court on the institution of a civil appeal as security for the costs of the appeal the sum of UShs 400 000.
>
> (2) Where an appeal has been withdrawn the Court may direct the cross-appellant to lodge in the Court as security for costs, the sum of UShs 400 000 or less.
>
> (3) The Court may, at any time, *if the Court thinks fit*, direct that further security for costs be given and may direct that security be given for the payment of past costs relating to the matters in question in the appeal".

Under rule 108 the Court may, on application, exempt an appellant from depositing security for costs if it is satisfied that the appellant lacks the means to pay, and that the appeal has a reasonable possibility of success.

I deduce from these two rules that the general principle is that an appellant should provide security for costs of the appeal, unless the Court exempts him due to inability. It is noteworthy that even a party who files a cross-appeal with no obligation to deposit any security for costs, may subsequently be required to do so if the main appeal is withdrawn. In addition, the Court may direct the appellant, in appropriate circumstances, to increase the security for costs of the appeal; and/or to deposit security for past or earlier costs. All this tends to portray security for costs in civil appeals as the norm rather than the exception. Nevertheless, it is well settled that the burden lies on the applicant to show sufficient cause why the appellant should furnish further security for costs, over

and above the amount fixed by the rules. What amounts to sufficient cause, is a matter for the Court's discretion, depending on the circumstances of the case before it.

One of the grounds of this application is that the respondent's appeal has no reasonable chance of success. I am inclined to the view that demonstrable lack of reasonable chances of success for an appeal is sufficient cause for the Court to order an appellant to furnish, not only further security for costs of the appeal, but also security for past costs. In the instant case, however, the applicant's contention that the appeal has no reasonable chance of success is countered by the respondent's contention that his appeal is not devoid of merit. Neither party has advanced its contention, by evidence or argument, beyond the mere claim, albeit by affidavit, that it hopes to succeed. I cannot place reliance on either contention. Secondly, although Mr *Mubiru-Kabenge* sought to make his client's ability to pay the costs an issue, the application is not based on any allegation that the respondent is unable to pay. Perhaps what is nearer to the point is the respondent's willingness to pay the costs, since he has not paid the costs so far incurred. What is more, I do not accept that inability to pay *per se* is the only ground for ordering security for costs. I therefore do not need to consider whether the respondent is able to pay the costs in the event of losing the pending appeal.

The significant ground in support of the application is the assertion that the respondent is a foreigner who resides in Canada, and who has no property or investments in Uganda. The respondent does not expressly admit or deny the assertion. He merely contends in paragraph 7 of his affidavit in reply, that, "the assertion is not supported by any evidence and is no proof of inability to pay". The second applicant retorts in his supplementary affidavit of 14 November 2004:

> "4. In reply to paragraph 7 of the respondent's in reply. I personally know the respondent and he has lived in Canada with his family since the early 1990's and I know of no assets that belong to him in Uganda against which execution can issue should we be successful in the appeal.
>
> 5. I verily believe that his lack of property in Uganda is the reason why he does not name any assets that belong to him in his affidavit in reply".

All this is affidavit evidence, which the respondent does not contradict. In my view, it is sufficient proof that the respondent is a foreigner, who is ordinarily resident outside the Court's jurisdiction, and who has no assets in this country. This factor is significant because it lends weight to the applicants' fear that if they succeed in the pending appeal, they might not readily recover the costs awarded to them. In default of voluntary payment of the costs, neither the person nor the assets of the respondent would be available within the Court's jurisdiction for attachment.

The respondent's principal response is that in case of such default, the applicants would be able to enforce the orders for costs through execution proceedings in a Canadian Court, by virtue of provisions of the Judgments Extension Act (Chapter 12) and the Reciprocal Enforcement of Judgments Act (Chapter 21). Chapter 12 makes provision for the execution, in Uganda through Uganda courts, of decrees and warrants issued by the Courts of Kenya Malawi and Tanzania. Chapter 21 makes similar provision for judgments of superior courts in the United Kingdom and the Republic of Ireland. Each of the two Acts empowers the Minister, by statutory orders, to extend the application of

the Act to judgments of courts in any other commonwealth country. In the view of the respondent's counsel, a Uganda court order would be enforceable in Canada – a commonwealth country, without difficulty. It is in this context, that learned counsel invited me to follow the two English decisions in *Porzelack KG v Porzelack (UK) Ltd* (*supra*) and *De Bry v Fitzgerald and another* (*supra*), in each of which the defendant's application for security for costs on the ground that the plaintiff was a foreigner resident outside the Court's jurisdiction, was rejected. In rejecting the application, the Court took into account *inter alia* the Civil Jurisdiction and Judgments Act 1982 of the UK, which gave effect to a convention on enforcement of judgments within EEC countries. Under that convention, enforcement of judgments of courts of one EEC member country in other member countries is relatively easy.

I am not persuaded to follow those decisions for two reasons. First, the applications in those cases were rejected on basis of several considerations, which are not applicable to the instant case. In the *Porzelack's* case, the Court noted that under the convention the defendant was availed "substantial and improved rights" to enforce an order for costs in West Germany and considered that to be "an important but not decisive" factor. One of the other factors it took into consideration was that if it ordered the security for costs on the scale requested, the plaintiff's action would be stifled. In *De Bry*'s case, the Court of Appeal set aside an order for security for costs made by the lower court. It criticised the Judge of first instance for failing to appreciate that by virtue of the said convention, enforcement of an English judgment within the EEC was *prima facie* relatively cheap and effective. In addition to that, however, the Court took into account the fact that the plaintiff had, within the Court's jurisdiction, a considerable fund, albeit of yet unascertained value, which could be used to satisfy any order for costs made against him. The circumstances of the two cases are distinguishable.

My second reason is that the respondent has not laid any foundation for his submission on this aspect. While it is not disputable that Canada is a commonwealth country, the respondent does not show, by affidavit or otherwise, that the Minister ever extended application of either (Chapter 12) or (Chapter 21) to judgments of Canadian Courts. More importantly, the respondent does not show that judgments of Ugandan courts are enforceable in Canada without difficulty. It is noteworthy that before making a statutory order under Chapter 21, the Minister must be satisfied that the legislature of such other commonwealth country has made reciprocal provisions. Unlike the Courts in the two English cases, I am unable to say that enforcement of a Ugandan court order for costs in Canada, is *prima facie* easy, let alone cheap.

In *De Bry's* case (*supra*), Lord Donaldson MR, referred to Order 23 of the English RSC, which provides for security for costs, and at page 565 g-i, said that its rationale is that:

> "A defendant should be entitled to security if there is reason to believe that, in the event of his succeeding and being awarded costs of the action, he will have real difficulty in enforcing that order. If the difficulty would arise from the impecuniosity of the plaintiff, the Court will of course have to take an account of the likelihood of his succeeding in his claim, for it would be a total denial of justice that poverty should bar him from putting forward what is *prima facie* a good claim. If, on the other hand, the problem is not that the plaintiff is impecunious but that, by reason of the way in

> which he orders his affairs, including where he chooses to live and where he chooses to keep his assets, an order for costs against him is likely to be unenforceable, or enforceable only by a significant expenditure of time and money, the defendant should be entitled to security".

In my view, that rationalisation is equally applicable to rule 100 of the rules of this Court. And I am constrained to add that having regard to what I said earlier in this ruling about security for costs in appeals, the Court should even more readily grant such security in an appeal where the respondent has incurred substantial costs, which remain unpaid.

In the instant case, the problem that the applicants anticipate or fear is because the respondent chooses to live in Canada and to have no assets in Uganda. His attitude, as disclosed by his counsel, that he would rather put his money or more profitable use than to secure payment of costs in a litigation he initiated, which is bound to exacerbate the applicants' fear, is also a matter of choice. In the circumstances, I think that this is a fit case where the applicants should be accorded further security. I therefore allow their application. I direct that the respondent gives further security for costs of the appeal and for payment of past costs, by depositing in the Court, within thirty days from the date of this ruling, the sum of UShs 40 000 000. I also order that the applicants shall have the costs of this application.

For the applicants:
Mr Byenkya

For the respondent:
Mr Mubiru-Kabege

Ntabgoba v Editor-in-Chief the Newvision Newspaper and another
[2004] 2 EA 234 (HCU)

Division:	High Court of Uganda at Kampala
Date of Judgment:	17 March 2004
Case Number:	113/03
Before:	Tinyinondi J
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Tort – Libel – Defamatory matter – Meaning of defamation – Elements of libel –Whether Plaintiff had suffered any damages – Compensatory damages, including aggravated element, and exemplary damages – Measure of damages.

[2] Tort – Libel – Defence of fair comment – Distinction between statement of fact and comment.

[3] Words and phrases – "Defamatory matter" – Perception of the ordinary man.

Editor's Summary

The plaintiff was the principal Judge in charge of the High Court. An article appeared in the defendant's publication which referred to a case he had handled in which he allegedly failed to apply

equal speed in granting bail to two persons charged jointly with an offence of abuse of office. The article imputed a corrupt

motive to the plaintiff. The defendant's publication failed to publish an apology when formally contacted, and instead responded that it would call as a witness the Chief Justice in the threatened libel case. The plaintiff testified that he was greatly defamed by the said article, that his reputation had been severely damaged and that he was entitled to an award of damages.

The defence denied that the publication in question was defamatory, and in the alternative pleaded fair comment.

Held – Under the law, a man is entitled to his good reputation. *Scott v Sampson* [1882] 8 QBD 203 adopted. If a defamatory statement is made in a written publication, a tort of libel is committed for which damages are awardable. *Ratcliffe v Evans* [1892] 2 QB 524 adopted. For a statement to be defamatory, it must be false and must lower the plaintiff in the estimation of the reasonable reader. *Astaire v Campling* [1966] 1 WLR 34 adopted. The plaintiff has the burden to prove that the words complained of are defamatory. If the words are defamatory in their natural and ordinary meaning, the plaintiff only needs to prove publication. The plaintiff in this case had testified and proven the publication and the injury to his reputation. The burden then shifted to the defendant who failed to call any witnesses and had therefore failed to show that the words did not import a defamatory meaning.

The question of whether the words complained of were capable of conveying a defamatory meaning was a question of law. The Court was not bound to accept the evidence or opinions of witnesses but must make its own finding on the ordinary meaning of the words, and whether a reasonable man would be likely to understand the words in a defamatory sense. In this case, the Court would hold that the words complained of did contain defamatory matter.

To succeed in a defence of fair comment, the defendant must show that the words are comment and not a statement of fact, that there is a basis of fact (which is true) for the comment complained of and that the comment is on a matter of legitimate public interest.

Libel is a wrong actionable "*per se*" and the plaintiff need not prove actual damage. In this case, the plaintiff went ahead and showed the devastating effect the publication had on him physically and psychologically. The plaintiff would be entitled to general damages, such sum as would be sufficient to compensate for the damage to his reputation, vindicate his good name and take account of the distress, hurt and humiliation which the defamatory publication has caused. In determining the measure of damages, the Court would look at awards in related libel cases. The Court would also consider the nature of the libel, the extent of the publication, the conduct of the defendant (including whether an apology was offered) before and after the publication and during the hearing. In view of the conduct of the defendant herein and the other factors considered, an award would be made for general and aggravated damages under one head of UShs 30 million.

Exemplary damages would be awarded where an award of general and aggravated damages was not sufficient, in view of the need to teach the wrongdoer a lesson. To obtain exemplary damages, a plaintiff must show that the publication was carried on for profit, that it was done with reckless disregard of the law or with knowledge of its illegality, and that it was done because the prospects of

material advantage outweighed the prospects of material loss. In this case, the award of compensatory damages would be sufficient to deter the defendant, and there would be no award of a further sum as punitive damages.

Judgment given for the sum of UShs 30 million as compensatory damages (inclusive of exemplary damages), a permanent injunction against future defamatory publication, interest and costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Biwott v Clays Ltd [2000] 2 EA 334 – **AP** and **C**

Journal Printing v Maclean [1896] 23

Machira v Mwangi [2001] 1 EA 110

Matembe and another v Cheye and another High Court civil suit number 104 of 1995 – **AP** and **C**

Mayanja v Mulengera Newspaper and others – **AP** and **C**

Odongkara v Astles [1970] EA 374 – **AP** and **C**

Sempa v Cheye and another High Court civil case suit 644 of 2001

Shah v Uganda Argus [1971] EA 362 – **A** and **F**

Wanetosi v Okware and others High Court civil suit 575 of 1996 – **A**

Wavamuno v Cheye High Court civil suit number 651 of 1995 – **AP**

United Kingdom

Astaire v Campling [1966] 1 WLR 34 – **A**

Broome v Cassell and Co [1972] AC 1079 – **A** and **AP**

Capital and Counties Bank Ltd v George Henry and Sons [1982] 7 AC 741

Groom v Crocker [1939] 1 KB 194

Hibbins v Lee [1864] 4F and F 243

John v MGN Ltd [1996] 2 All ER 35 – **A** and **AP**

Joynt v Cycle Trade Company [1904] 2 KB 294

Lefroy v Burnside (number 2) [1879] 4 LR TR 556

Ley v Hamilton [1935] 1 53 LT

Manson v Associated Newspapers Ltd [1965] 1 WLR 1038

Morgan v Odham's Press [1970] 1 WLR 820 (CA) – **A** and **F**

Newstead v London Express Newspaper Ltd [1940] 1 KB 377 – **A**

Ratcliffe v Evans [1892] 2 QB 524 – **A** and **AP**

Rookes v Banard [1964] AC 1129 – **A** and **AP**

Rubber Improvement Ltd v Associated Newspapers Ltd [1964] AC 234

Scott v Sampson [1882] 8 QBD 203 – **A**

Tolley v JB Fry and Sons Ltd [1930] 1 KB – **A** and **F**

Walkin v Hall [1968] LR 3 QB – **A** and **AP**

Judgment

TINYINONDI J: I propose to set down the pleadings *extenso*. On 28 February 2003 the plaintiff filed his plaint in this Court. It reads:

"1. The plaintiff is a made adult of sound mind, a judge of 25 years standing and for the last 15 years he has been the principal Judge in charge of the High Court and. He is ranked third in the hierarchy of the Courts of judicature. He is the Courts below. His duties *inter alia* are to ensure that there is no corruption in the judiciary resident in Kampala and his address of service for purposes of this suit is C/o Babigumira and Co Advocates, ground floor, total house plot 29/33, Jinja road.

2. The first defendant is the Editor-in-Chief of the new vision newspaper and the second defendant is a printing and publishing corporation of the same newspaper which is widely read in Uganda and the world at large. The plaintiff's advocates undertake to effect service of court process upon all the defendants.

3. The plaintiff's claim against the defendants jointly and/or severally is for libel, for reckless, falsely and maliciously printing and/or publishing and/or causing to be published and concerning the plaintiff, an article in the New Vision newspaper.

4. The facts constituting the plaintiff's cause of action are as follows:

(*a*) In the New Vision newspaper volume 17 number 304 of 21 December 2002 on page 9, under the heading "corruption alive and well in judiciary", the second defendant published a libellous story against the intended plaintiff.

(*b*) The story stated, *inter alia*,

(i) President Yoweri Museveni has time and again criticised the judiciary for corruption and the Judges have been quick to deny it.

(ii) Those of us in practice can tell you that if you apply for bail today in the High Court, you will be extremely lucky to get a hearing date within a fortnight.

(iii) On November 4, Dr William Ngwanwa and Dr *Lule* were charged at Buganda Road Court for abuse of office and cause financial loss to the National Drug Authority.

(iv) Because the Chief Magistrate has no powers to grant bail in the two charges, both accused were remanded.

(v) Dr Nganwa is said to be 65 years old while Dr *Lule* is 51 according to the charge sheet.

(vi) Under the law, both would qualify for release on bail on account of their age. However, to the surprise of many, on 6 December, Dr Nganwa was produced before the principal Judge, Herbert Ntabgoba and granted bail. But his application was not on the cause list for that week. Advocates are always told that once a case does not appear on the cause list then nothing can be done for a client.

(vii) It is also worth noting that there were many earlier applications filed before the principal Judge and which had been allocated dates beyond 5 November because his diary was crowded. So, how did Dr Nganwa's application that was filed on the same day he appeared for plea before the Magistrate, get a hearing date on the third day?

(viii) What is even more intriguing is that Dr Nganwa's co-accused, Dr Lule, had his application fixed for hearing two weeks later! What is the yardstick?

(ix) Did Nganwa get favourable treatment because of legal reasons a young lawyer like me cannot understand? We have now heard rumours that there is a judge of the Supreme Court who offered to make 'things easier' for Nganwa. Dr Nganwa is now back in his office working as if nothing ever happened!

(x) Corruption in high places can only be inferred from the action of those in the chair. Is there no corruption in the High Court amongst some Judges?

A photocopy of the said article is hereby annexed and marked 'A'.

5. The said words were and are in their natural and ordinary meaning highly defamatory of the plaintiff.

6. Alternatively but without prejudice to the foregoing, by the said words, the defendants jointly and/or severally meant and/or were understood to mean that the plaintiff:

(*a*) Is a corrupt judicial officer/Judge.

(*b*) Abused his office.

(*c*) Committed the offence of corruption and/or abuse of office

(*d*) Was not fit to hold the office he then held.

(*e*) Not fit to be a judge let alone a principal Judge.

7. The article is outrageous, malicious and defamatory because of the following:

(i) The intended defendants knew very well or ought to have known that the above very serious allegations were being made against a judicial officer who is the third ranking in the judiciary hierarchy, yet they were comfortable to publish the article whose author withheld his/her name.

(ii) The editor made special emphasis that the letter demands special attention.

(iii) The photograph of the Honourable Chief Justice CJB Odoki was introduced in the middle of the article to attract wild attention.

(iv) The intended defendants did not bother to cross-check the allegations for if they had done, they would have discovered the following:

(*a*) The policy of the intended plaintiff in handling cases which affect human rights (for example *Habeas Corpus* or bail application) is not to put them in the queue.

(*b*) That Dr Nganwa's application is number 82 of 2002 filed on 19 November 2002 and the main ground for his application was advance age.

(*c*) That Dr Lule's application was not filed until 20 November 2002 and his only ground was for the application was grave illness.

(*d*) That Dr *Lule* needed a medical report from Luzira where he was detained which was not received until 21 November 2002 and was not forwarded to Court until 27 November 2002.

(*e*) That the hearing notice for hearing the application was issued on 2 December 2002 and his application was heard and he was granted bail on 4 December 2002.

(*f*) That when Dr Nganwa's application was heard, there was no other bail application pending before the principal Judge.

(*g*) That the two applications having been filed separately, on different dates and on different grounds, they could not be heard together.

8. By the publication of the said words, the defendant jointly and/or severally intended to and did, for financial gain, jointly and/or severally greatly injure the credibility and reputation of the plaintiff by lowering him in the eyes of right-thinking members of the judiciary, international legal organisations, and society generally, causing him to be brought into public scandal, hatred, ridicule and contempt, thereby suffering loss and damage for which the defendants are liable.

9. Statutory notice to intended defendants was served on the defendants but no apology has been published. (A copy of the affidavit of service is hereto attached and marked annexure 'B').

10. The cause of action arose at Kampala within the jurisdiction of this Honourable Court".

On 13 March 2003 the defendants filed a joint written statement of defence which read:

"1. Save as herein admitted the defendants deny each and every allegation and claim in the plaint in total.

2. The defendants admit paragraph 2 save for the wide circulation, and paragraph 9 of the plaint and add that their address for purposes of this suit shall be C/o Messrs Dodere and Nalyanya advocates, third floor Impala house, 13/15 Kimathi avenue, PO Box 22490, Kampala.

3. The defendants deny paragraphs 1, 3, 5, 6 and 7 and shall put the plaintiff to strict proof thereof, in particular that it is not true:

   (*a*) that the president has not time and again criticised the judiciary for corruption;

   (*b*) that hearing dates for bail are within a fortnight of filling;

   (*c*) that there are no earlier applications before the Court heard after Dr Nganwa's.

4. The defendants shall also at the trial contend that the publication appeared as a letter of a concerned advocate citizen and therefore merely an opinion of a subscriber.

5. The defendants shall also contend that the plaintiff is a public officer, holding a public constitutional, office and is not above public comment.

6. The defendants shall also aver that the publication was substantially true in exposing the delays in the administration of justice in general for which there is a well known public outcry, and as such is a fair comment.

7. In the alternative, but without prejudice to the foregoing the defendants shall aver the letter was a fair comment in the interest of the public.

8. The defendants deny the insinuations alleged in paragraph 7 of the plaint and shall put the plaintiff to strict proof thereof.

9. The defendants deny the injury allegedly suffered and shall contend that the plaintiff is not liable for any act done in the discharge of his official duties as a judicial officer, and as such could not have suffered the injury alleged.

10. The jurisdiction of the High Court of which the plaintiff is himself the direct head is not admitted, in light of the plaintiff's position in the High Court, and the defendant shall seek for arbitration".

We held a scheduling conference in accordance with Order XB of the Civil Procedure (amendment) Rules of 1998. Accordingly:

1. The agreed facts were:

   (*a*) that the defendants published the article complained of;

   (*b*) the status of the plaintiff.

2. The following documents were admitted:

   (*a*) *The "New Vision" Issue* Volume 17, number 304 dated 21 December 2002.

   (*b*) The Court files of Dr Ngawa and Dr Lule.

   (*c*) The cause list of 16-20 November 2002 as Exhibit "D1".

   (*d*) "*The Judiciary Today*" newsletter article in:

      (i) issue number 8 of October 2002

      (ii) issue number 9 of November 2002

      (iii) issue number 1 of January 2003

Collectively as Exhibit "D2".

At the hearing the following issues were agreed and framed.

1. Whether the publication was defamatory of the plaintiff;
2. Whether the publication was a true and fair comment;
3. Whether the plaintiff suffered any injury;
4. What remedies would the successful party be entitled to.

PW1, Jeremiah Herbet Ntabgoba, testified as hereafter. He was the principal Judge of the High Court of Uganda, having held that position for the last 15 years. Since 14 June 1978 he had been a *puisne* judge of this Court. In his capacity of Principal Judge the plaintiff headed the High Court, assisted the Chief Justice in the administration of the High Court and all the Courts below. This was in accordance with article 141 of the Constitution. His duties as the Judge of the High Court entailed allocation of duties to the Judges and assigning Judges to outpost stations. He also heard cases like any other Judges.

The plaintiff further testified as follows. He was in the habit of reading newspapers and download news on the internet. He had read the "New Vision" of 21 December 2002 and the article therein where the editor of the paper demanded special attention to be given to that article. The article "Corruption alive and well in the Judiciary". In the midst of the article a photograph of the Chief Justice, in his professional wig, was posed. The article alleged that two doctors applied for release on bail and continued.

> "Sir - I am an advocate working in some small chambers in Kampala. President Yoweri Museveni has time and again criticised the Judiciary for corruption and the Judges have been quick to deny it.
>
> Those of us in practice can tell you that if you apply for bail today in the High Court, you will be extremely lucky to get a hearing date within a fortnight. On 4 November Dr William Nganwa and Dr *Lule* were charged at Buganda Road Court for abuse of office and causing financial loss to the National Drug Authority. Because the Chief Magistrate has no powers to grant bail in the two charges, both accused were remanded. Dr Nganwa is said to be 65 years old while Dr *Lule* is 51 according to the charge sheet.
>
> Under the law, both would qualify for release on bail on account of their age. However, to the surprise of many, on 6 December, Dr Nganwa was produced before the principal Judge, Herbert Ntabgoba and granted bail. But his application was not on the cause list for that week! Advocates are always told that once a cause does not appear on the cause list the nothing can be done for a client. It is also worth noting that there were many earlier applications filed before the principal Judge and which had been allocated dates beyond 5 November because his diary was crowded. So, how did Dr Nganwa's application that was filed on the same day he appeared for plea before the Magistrate, get a hearing date on the third day?
>
> What is even more intriguing is that Dr Nganwa's co-accused, Dr Lule, had his application fixed for hearing two weeks later! What is the yardstick? Did Nganwa get favourable treatment because of legal reasons a young lawyer like me cannot understand? We have now heard rumours that there is a judge of the Supreme Court who offered to make "things easier" for Nganwa. Dr Nganwa is now back in his office working as if nothing ever happened!
>
> Corruption in high places can only be inferred from the action of those in the chair. Is there no corruption in the High Court amongst some Judges Justice Benjamin Odoki, the Chief Justice should look into such practices".

The plaintiff further testified that these allegations insinuated that he was corrupt since the heading was "corruption alive and well in the Judiciary". That

the last sentence of the article paused the question: “Is there no corruption in the High Court amongst some Judges?”

The plaintiff testified that the paper circulates all over Uganda and is also posted on the internet. That he was a married man with children; three of them in USA who telephoned him asking him what they read about. Many of his friends including Judges in Kampala contacted him about the article.

When the plaintiff’s lawyers contacted the defendants, the latter’s cynical reply was that they would call the Chief Justice as their witness. The plaintiff contacted the Chief Justice as his boss to find out if he would testify against him when he had not contacted him before about the allegations.

PW1 further testified about his official policy regarding the hearing of cases. With regard to human rights cases (*habeas corpus* and bail applications) he did not put these in the queue that is according to the date of filling. Provided both sides are ready for the hearing, he would hear them. He heard these cases mainly in the afternoons after he had dealt with other types of cases. As a person administering justice, he believed that if a person applies for release on bail that person is anxious to get out of prison or to know his fate if the application is rejected. So it would be unjust to keep that person in suspense unless there be no time to hear the case.

The plaintiff further testified that he did not favour Dr Nganwa. In fact his case was heard before Dr *Lule* applied for a date. He did not hear Dr Nganwa’s case on 6 December 2002 as claimed in the offending article. He heard it earlier, on 20 November 2002. No one prevailed over him to hear Dr Nganwa’s application. When Dr Nganwa’s lawyers asked for a hearing date the plaintiff told them he was handling another case. When the case did not continue the plaintiff informed the staff in the criminal registry that he was in a position to hear Dr Nganwa’s case. He in fact did so that afternoon. On 21 November 2002 Dr *Lule* applied to have his case heard. Thus the two applications were different. Dr Lule’s staggered because he was yet to obtain a medical certificate. The plaintiff could not therefore be said to have acted to the prejudice of Dr *Lule* because Dr *Lule* could not ask for a hearing date when he was not ready with a medical certificate. When Dr *Lule* obtained the certificate, the plaintiff who was then in Kisoro, was contacted on telephone by this clerk. The plaintiff replied that he would return to Kampala on Monday. He would hear a *habeas corpus* case on Tuesday and hear Dr Lule’s application on Wednesday. That is what actually transpired.

The plaintiff also testified that the publication had adverse effect on him personally. After reading it, he had an agonising and sleepless weekend because all along he thought he would be the last person to be accused of corruption given that one of his duties was to fight corruption on which subject he had written extensively and addressed both the Judges and Magistrates. He felt dejected because:

(i) So many people read the article;

(ii) His CV, which is on the Internet, was gravely damaged;

(iii) No one came out to retract the defamatory article or offer an apology.

That at the dusk of his life someone was damaging his whole life which caused the plaintiff the greatest worry. He would be retiring in 2004 after serving the

government in key positions of Administrator General and Registrar General without being accused of corruption.

Referring to his prayers in the plaint, the plaintiff testified that the most important was contained in paragraph 9(*d*). Prayer (*b*) was necessary because the defamation was false, reckless and outrageous. He noticed also that the author's name was withheld. That for any paper worth its salt once it received such allegations it should have verified with him in which case he would have willingly given them the files which spoke for themselves. That instead, the defendants went ahead and recklessly published the falsehood and when the plaintiff's lawyer contacted them they refused/neglected to apologise. Hence the prayer in his paragraph 9(*b*) which was further aggravated in the written statement of defence.

In cross-examination PW1 testified as follows. There could be corruption in the Judiciary as in any other government department. He had written extensively on the subject and also stated that there were delays both on the bench and at the bar. The delays on the bench were many and due to lack of Judges and other factors. As a result there was a huge amount of backlog. It was not Court practice to hear cases which were not cause listed, save where the parties agreed. Other exceptions were where the case involved human rights like bail applications and *habeas corpus* applications; provided, always, that the parties agreed to the hearing. In the case of Dr *Lule* there was no delay because he relied on grave illness as his only ground but had to await a medical certificate from Luzira Prison and thereafter apply for a hearing date. When he obtained one he applied for a date which coincided with the hearing of *habeas corpus* application. Dr Lule's application was heard and a release on bail granted on the very day the plaintiff fixed it. Thus there was no delay. These events were no record. It was a lie that both Dr Nganwa's and Dr Lule's application were filed at the same time but that Dr Nganwa's was heard first. Dr Lule's was filed after Dr Nganwa's had been heard.

PW2, Edward Kangaho, testified as herebelow. He was a clerical officer in the Judiciary attached to the principal Judge since 1998. He recollected bail applications by both Dr Nganwa and Dr *Lule* which applications were before the principal Judge in 2002. They were heard separately because they were filed on separate dates. Dr Nganwa's was criminal miscellaneous application number 82 of 2002 filed on the 19 November 2002 while Dr Lule's was criminal miscellaneous application number 83 of 2002 filed on 21 November 2002 – (Both files were recovered as Exhibits "P1"and "P2" respectively). The grounds for Dr Nganwa's application were mainly advanced age in which case he did not need to produce a medical certificate in Court. Dr *Lule* required such a certificate from Luzira where he was detained. Dr Nganwa's application was heard on 20 November 2002 and he was released on the same day. The hearing of Dr Lule's application was initially 2 December 2002; but on that day the trial Judge was not around. So it was fixed for hearing on 4 December 2002, when it was heard and allowed.

In cross-examination PW2 testified that he had served in the Judiciary since 1996 and as PW1's clerk since 1998. PW1's workload was heavy. PW1 was always in Court, save when on leave or he had no case fixed for hearing before him. Matters of very urgent nature could be heard even when they were not cause listed. Such matters included bail applications which affected human

rights. A bail application could be heard even one month after filing like where a medical report took as long to obtain.

When referred to Exhibit "P2", PW2 testified that Dr Lule's application was received in the High Court on 20 November 2002. The medical report was received on 27 November 2002. The application was first fixed for 2 December 2002 but adjourned to 4 December 2002 when it was heard and granted the same day.

When referred to Exhibit "P1", PW2 testified that Dr Nganwa's application was filed on 19 November 2002 and heard on 20 November 2002. With this evidence the plaintiff rested his case.

The defendants offered not to call any evidence. Both counsel agreed on filing written submissions which they duly did according to their scheduled times.

I will now address the first issue. I propose to split into two.

(*a*) Whether or not the publication was defamatory; and

(*b*) if it was, whether or not it was defamatory of the plaintiff.

With regard to (*a*) I start with an important preface. Under our law and, I believe, in all civilised jurisdictions, a man is entitled to his good name and to the esteem in which he is held by others. He also has a right to claim that his reputation shall not be disparaged by defamatory statements made about him to a third person or persons without lawful justification. The other civilisations so found long ago. (See *Scott v Sampson* [1882] 8 QBD 203).

If a defamatory statement is made in writing or some permanent form the tort of libel is committed and the law assumes damages. (See *Ratcliffe v Evans* [1892] 2 QB 524 at 528).

A defamatory statement is one which tends to lower a person in the estimation of right thinking members of society generally or to cause him to be shunned or avoided or to expose him to hatred, contempt or ridicule or to convey an imputation on him, disparaging or injurious to him in his office, profession, calling, trade or business. (See "*Gatley on Libel and Slander*" (8 ed) para 31).

There is, however, a rider to the above statement.

In *Astaire v Campling* [1966] 1 WLR 34 at 41, Diplock LJ stated:

> "A statement does not give rise to a cause of action against its publisher merely because it causes damage to the plaintiff. *The statement must be false and it must be defamatory of the plaintiff*, that is to say, the statement must itself contain, whether expressly or by implication, a statement of fact or expression of opinion which would lower the plaintiff in the estimation of a reasonable reader who had knowledge of such other facts, not contained in the statement, as the reader might reasonably be expected to posses". (emphasis is mine)

The burden to prove that the words complained of are defamatory rest on the plaintiff. In paragraph 115 of Gatley (*ante*) it is stated:

> "Where the words complained of are defamatory in their natural and ordinary meaning the plaintiff need prove nothing more than their publication. The onus will then lie on the defendants to prove from the circumstances in which the words were used, or from the manner of their publication or other fact known to all those to whom the words were published, that the words would not be understood by reasonable men to convey the importation suggested by the mere consideration of the words themselves".

And in *Newstead v London Express Newspaper Ltd* [1940] 1 KB 377 it was stated:

> "Whether the plaintiff is referred to by name, or otherwise clearly identified, the words are actionable even if they were intended to refer to some other person".

I will quickly dispose of this matter here and now. At the beginning of the hearing I conducted a scheduling conference. The first of the agreed facts was that the defendants published the article complained of. This fact is backed by the statement in paragraph 115 of *Gatley* (*ante*) that the plaintiff discharged the burden on him. Moreover, after the plaintiff testified about the criminal proceedings he conducted, he went on to state:

> "At the dusk of my life someone was damaging my whole life. I would be retiring in 2004 after serving the government in the key positions of administrator general and Registrar general without being accused of corruption".

It would be at this point that the defendants would come in to discharge their burden of proving that "from the circumstances in which the words were used or from the manner of their publication the words would not be understood by reasonable men to convey the importation by the mere consideration of the words themselves" (see the *Newstead* case (*ante*)).

Counsel for the defendants cross-examined the plaintiff to some extent. The defendants did not call any evidence. After due consideration of the plaintiff's evidence and the defendants' default in calling evidence I find and hold that the defendants failed to discharge the burden that had shifted on to them.

I go on to discuss the role of the Court in this type of case. In *Morgan v Odhams Press* [1970] 1 WLR 820 (CA) it was reiterated:

> "It was well settled that *the question whether* the words complained of are capable of conveying a defamatory meaning is a question of law and, *is therefore, one calling for the decision of the Court*". (emphasis added)

In *Shah v Uganda Argus* [1971] EA 362 at 365D, Youds J had the following to say:

> "Of *course I am not bound to accept the evidence or opinions expressed by witnesses and must form my own opinion and make my own finding as to whether or not the newspaper article was defamatory of the plaintiff*, but having listened to the evidence and bearing in mind that I must consider the position of the reader of the article (who might be reasonably excepted to possess knowledge that the plaintiff) I have come to the conclusion and so find that the newspaper article was defamatory of the plaintiff". (emphasis is mine)

In deciding whether or not the statement is defamatory, the Court must first consider what meaning the words would convey to the ordinary man (see *Rubber Improvement Ltd v Daily Telegraph Ltd*, *Rubber Improvement Ltd v Associated Newspaper Ltd* [1964] AC 234 at 258). Having determined the meaning the test is whether, under the circumstances in which the words were published, a reasonable man to whom the publication was made would be likely to understand it in a defamatory sense. (See *Capital and Counties Bank Ltd v George Henry and Sons* [1982] 7 AC 741 at 745).

This approach was earlier stated in *Tolley v JB Fry and sons Ltd* [1930] 1 KB where Scutton J said this:

> "The Judge has to decide whether the publication complained of is capable of being understood by reasonable people as bearing the meaning alleged or a defamatory meaning. He is not to decide what its meaning is but what it is capable of bearing to reasonable people".

Further, decided cases indicate that the meaning of words for the purpose of the law of defamatory is not a question of legal construction since laymen will read

into words an implication more freely than a lawyer. The meaning is that which the words would convey to ordinary persons. The Court must not put a strained or unlikely construction upon words. (See *Rubber Improvement Ltd v Daily Telegraph Ltd*, *Rubber Improvement Ltd v Associated Newspapers Ltd* [1964] AC 234 at 258).

In paragraph 58 of *Gatley* (*ante*) it is stated:

> "It is defamatory to impute to a man in any office any corrupt, dishonest, or other misconduct and this is so whether the office is public or private".

With the hindsight of the above principles I now proceed to decide whether the article was defamatory. I find that without "any strained or unlikely construction" the words in this were capable of bearing to an ordinary reasonable person that the plaintiff acted corruptly when handling the applications of Doctors Nganwa and *Lule* by favouring Dr Nganwa at the expense of Dr Lule. My answer to (*a*) of the first issue therefore is that the publication (Exhibit "P1") was defamatory.

Was the publication defamatory of the plaintiff? There is no gainsaying that the article mentioned the plaintiff both by his office and his full names. There is thus no question or doubt about the identity of the plaintiff. To the ordinary and reasonable person the article was capable of conveying the message that the plaintiff corruptly conducted the application of Dr Nganwa favourably while sidelining Dr Lule's application. The article imputed to the plaintiff that, of all the Judges in the Uganda Judiciary, the Principal Judge acted corruptly, dishonestly and disgracefully. My answer to (*b*) of the first issue is that the article was defamatory of the plaintiff.

I now turn to the second issue. To succeed in a defence of fair comment the defendant must show that the words are comment and not a statement of fact. He must show that there is a basis of fact for the comment contained or referred to in the matter complained of. He must also show that the comment is on a matter of public interest, one which has expressly or implicitly put before the public for judgment or is otherwise a matter with which the public has a legitimate interest. If, however, the plaintiff can show that the comment was not made honestly or was actuated by malice, he will defeat the plea. (See *Gatley* (*ante*) paragraph 692 and *Salmon and Heuston on the law of torts* (21 ed) at 185).

Thus, in may considered view, the burden of proof starts in the defendants' courtyard to prove the three ingredients above cited.

Where the publication was comment is a question of the Judge in our circumstances where the trial is conducted without a jury. In *Salmon and Heuston* (*ante*) at 181 it is stated:

> "It is essential to the plea of fair comment that the matter must appear on the face of it to be a comment and not a statement of fact. The facts on which the comment is based must be stated or referred to and the imputation must appear as an expression of the defendant's opinion on the facts. *It is a quest for the jury* (read "Judge") whether the words on their true construction in their context, amount to a positive statement of fact or an expression of opinion or an inference. If they are the former they must be justified. If the defendants cannot justify them, then the only issue for the jury (read "Judge") is the amount of damages".

Furthermore it is the law that the facts on which the comment is based must be true. If they do not exist the defence of fair comment must fail (see *Lefroy v*

Burnside (number 2) [1879] 4 LR TR 556 at 565 and 566). The comment must not misstate facts because a comment cannot be fair which is built on facts which ate not truly stated. (See *Joynt v Cycle Trade Company* [1904] 2 KB 294).
In the case before me the defendant refused/failed/neglected to call any evidence to prove his allegations contained in paragraphs 6 and 7 of the written statement of defence. Of course the plaintiff and PW2 testified and tendered Exhibit "P1" and "P2". The plaintiff's evidence stood unchallenged, even in cross-examination. It clearly showed that the publication was not based on any true facts. One of the blatant falsehoods in the article was that the plaintiff heard Dr Nganwa's application on 6 December 2002 which in fact he heard on 20 November 2002. Even after the plaintiff gave evidence of this and other facts and was not contradicted, no attempt was made by the defendant to peruse the Court record, salvage by amending the written statement of defence or call evidence in rebuttal.

It cannot be gainsaid that Court proceedings are matters of public interest which a newspaper may criticise; but if the comment is on facts which are inaccurately reported or do not exist cannot be fair comment (see *Gatley* (*ante*) paragraph 718) and *Hibbins v Lee* [1864] 4F and F 243. In the absence of defence evidence but in the face of the plaintiff's evidence, I find and hold that the defendant failed to prove that the publication was both comment and fair comment at that.

I now address the third issue. In cases of libel actionable "*per se*" the plaintiff need not prove actual damage for "the law presumes that some damage will flow in the ordinary course of things from the mere invasion of his absolute right to reputation (see *Ratcliffe v Evans* [1892] 2 QB 528).

The present case is one where, in my considered view, the libel is actionable "*per se*". I rely on *Gatley* (*ante*) paragraph 143 where it is stated:

> "If the plaintiff proves that a libel has been published of him, his cause of action is complete".

From the discussion I have gone through hereinabove I repeat that I find and hold that the plaintiff had proved, on a balance of probabilities, that he was defamed by the publication in question. Of course the plaintiff testified, at great length, about the adverse and devastating effect the publication had on him physically (sleepless nights pondering over the ruin the article had reigned on his long and impeccable career as a public servant) and his achievements in the office. This, in my view, was to supply more meat to the skeleton. I hold for the plaintiff on the third issue.

I now turn to the remedies. In paragraph 9(*a*) of the plaint the plaintiff prayed for general damages. In *Walkin v Hall* [1968] LR 3 QB at 399 Blackburn J said:

> "Where disparaging words are spoken of a person, and either actual injury has flowed from them or they were spoken of him in the way of his trade, in contemplation of law, damage had accrued to the person defamed".

The principle governing the award as stated in *John v MGN Ltd* [1996] 2 All ER 35 at 47:

> "The successful plaintiff in a defamation action is entitled to recover, as general compensation damages, such sum as will compensate him for the wrong he has suffered. *That sum must compensate for the damages to his reputation; vindicate his good name; and take account of the distress, hurt and humiliation which the defamatory publication has caused*". (emphasis is mine)

I repeat the plaintiff's evidence here. In his evidence-in-chief he said:

> "The publication had adverse effect on me. I had an agonising and sleepless weekend because all along I thought I would be the last person to be accused of corruption because one of my duties is to fight corruption".

These are hurt feelings, in my view.

In his further evidence-in-chief the plaintiff stated:

> "I still feel dejected because:
>
> (*a*) So many people read the article.
>
> (*b*) Under the internet I have a CV which was gravely damaged by the article.
>
> (*c*) No-one has come out to apologise or retract the article.
>
> At the dusk of my life someone damaging my whole life that is my greatest worry".

This, in my considered view, is clear evidence of injury both to feelings and reputation. In cross-examination this evidence was neither alluded to nor dented in any other manner, especially so because the defendant did not call any evidence. I therefore hold that the plaintiff is entitled to his head of damages, to wit, compensatory general damages.

In paragraph 9(*a*) the plaintiff prayed for general damages. Learned counsel for the plaintiff submitted for 100 000 000 (one hundred million shillings only). He cited *Biwot v Clays Ltd* [2000] 2 EA 334 at 340 (HCKO) where the Kenya High Court awarded the plaintiff KShs 15 million which counsel for the plaintiff alleged was equivalent to UShs 700 million. He also cited *Machira v Mwangi* [2001] 1 EA 110 when the Kenya High Court awarded the plaintiff KShs 2 million. Counsel converted this to UShs 250 million. Counsel further cited several cases of this Court including *Wavamuno v Cheye* (*ante*) where this Court awarded the plaintiff UShs 15 million and *Sempa v Cheye and another* High Court civil suit 644 of 2001 where this Court awarded UShs 15 million. Of course counsel for the defendants prayed for dismissal of the suit. In the alternative he submitted that the Court should, if, at all it was to award any damages, award "very nominal damages only to assuage his (plaintiff's injured self-estimation of himself".

Counsel's argument was that the "plaintiff did not lead any evidence showing that the publication complained of lowered him in the estimation of right-thinking members of society. No such right-thinking members of society were called to give evidence". I have already covered this aspect when dealing with the first issue and need not repeat myself.

Counsel for the defendants further submitted that in paragraph 2 of their written statement of defence they denied wide circulation of the "New Vision" and that the plaintiff failed to prove it. It is to be noted that the defendant did not call any evidence to contradict or challenge PW1's evidence that the "New Vision" circulates all over Uganda and is also posted on the Internet. This evidence was not even cross-examined on by defendants' Counsel. The defendants have better knowledge of the circulation of their paper. However this Court takes judicial notice that the paper has wide circulation in the whole of Uganda, and is read in the countries of East Africa. In *Wanetosi v Okware and others* High Court civil suit 575 of 1996.

William Edward Catkat Pike testified, *inter alia*:

> "I am the Editor-in-Chief and managing director of the New Vision Publishing

> Company at the material time (18 October 1996) the second defendant was publishing 30 000 (thirty thousand only) copies of the "New Vision". The second defendant is the leader in the market. The "New Vision" is read throughout East Africa".

With the foregoing I do not subscribe to counsel for the defendants' submissions which were not backed by any evidence. I dismiss them.

Counsel for the defendants further submitted that although the nature of the libel could be a guide in assessing damages the publication in the present case referred to corruption "in regard to the judiciary as a whole and not the plaintiff". I have already dismissed this matter when dealing with issue number 1(*b*). There I have stated that the article referred to the plaintiff both by his office and full names. It went ahead to point out only two applications which were handled by the plaintiff. It made the conclusion: "Is there no corruption in the High Court amongst some of Judges?" No other Judge's name was mentioned expressly or implicitly. No other court file was referred to explicitly or implicitly. It is my holding that even the blindest of the blind could have "seen" that this article expressly referred to the plaintiff alone. Counsel for the defendants' submission, therefore, has no merit.

A spate of cases on damages for defamation have been decided. I will cite only a few:

(*a*) *Wavamuno v Cheye* High Court civil suit number 651 of 1995 where the plaintiff prayed for UShs 50 million but was awarded UShs 15 million in general damages.

(*b*) *Odongkara v Astles* [1970] EA 374 where the plaintiff was awarded 5 million.

(*c*) *Mayanja v Editor of Mulengera Newspaper and others* where the plaintiff was awarded UShs 6 million in general damages and UShs 2 million as aggravated damages.

(*d*) *Matembe and another v Cheye and another* High Court civil suit number 104 of 1995 where the two plaintiffs were awarded UShs 11 million each in general damaged.

(*e*) *Biwott v Clays Ltd* [2000] 2 EA 334 where the plaintiff was awarded UShs 15 million in compensatory an exemplary damages and a permanent injunction was granted restraining the defendants from selling and circulating the book complained of.

The plaintiff in this case, I repeat, is the third highest-place in the hierarchy of the Uganda Judiciary. He commands a highly respectable standing both locally and internationally, having previously "served as the administrator general and Registrar general without being accused of corruption".

In *Wavamuno* (*ante*) AE Mpagi-Bahigeine J said:

> "In this regard I have to consider the plaintiff's position and standing, the nature of the libel and the mode and extent of the publication the absence of apology or retraction and the whole conduct of the defendant from the time the article was published down to the date of judgment and I think this it is pertinent to echo the words of Mackinnon LJ in *Groom v Crocker* [1939] 1 KB 194 at 231 that 'A soiled reputation seems assured of more liberal assuagement than a compound fracture'. I however do not consider that money alone can assuage a tarnished image reputation of his (a man's) name is much more important. But it may be observed that damages are at large because it is impossible to weigh closely the compensation which will compensate a person for an insult offered or the pain of false accusation. It is never possible to track a scandal and know which quarters the poison may reach." (See Lord Atkin in *Ley v Hamilton* [1935] 1 53 LT at 386).

I adopt these persuasive words.

Given his undisputed status the plaintiff would be entitled to a higher award than the award given in *Wavamuno* and *Matembe*, Honourable Lugayizi J.

I considered the "nature of the libel". Corruption is being internationally hounded aggressively. I have told of the evidence the plaintiff gave about the damage the publication visited his hitherto untarnished reputation. I haveshown the extent of the publication and absence of apology or retraction. Shortly I will reflect on the conduct of defendants and their counsel before publication, after publication, when the statutory notice was served, after filing of the pleadings and during the hearing. I feel this is an opportunity point to reiterate to words of AE Mpagi-Bahigaine J in the *Wavamuno* case (*ante*) where she stated:

> "I do consider the defendants have turned investigative journalism into speculative and imaginary journalism. It is a matter of regret that they have developed a culture of disrespect and intimidation to the very people they are supposed to inform and educate. Failure to research and substantiate what they write leaves the Courts in no doubt that they are gradually abandoning their very important role of educating and informing the public and turning into an oppressive and persecuting machinery intended to demoralise and intimidate the public".

I adopt these sentiments without any gloss. These sentiments were voiced on 24 October 1995 when the judgment was delivered. Alas! Since then the journalists have not picked the cue. I have also taken into account the element of inflation since the awards I have cited were made.

I find support in the matters I have considered, under this head of damages in the following statements of the law.

In paragraph 1325 of *Gatley* (*ante*) it is stated:

> "At the trial of an action for defamation the plaintiff may show the mode and extent of the publication with a view to the amount of damages. If the libel is published in a newspaper the plaintiff may give in evidence the extent of the circulation. "Surely the proprietor of a newspaper, with a very large circulation, is to be visited with large damages for a libel published it than one of a more limited circulation" (see *Journal Printing v Maclean* [1896] 23 Ontarion app R 324.

In paragraph 1327 of *Gatley* (*ante*) it is stated, *inter alia*:

> "The jury in assessing the damages are entitled to look at the whole conduct of the defendant from the time when the libel was published down to the very moment of the verdict. Quite obviously the award must include factors for inquiry to the feelings, the anxiety and uncertainty undergone in the litigation, the absence of apology or the malice of the defendant. Any evidence which goes to show that the defendant had no belief in the truth of his statement will be evidence of malice. If the defendant published untrue defamatory matter recklessly without considering or caring whether it be true or not, he is treated as if he knew it to. See "*Gatley*" (*ante*) paragraph 769 and 1342. The defendant's recklessness or gross negligence in publishing an untrue defamatory statement may also be taken".

I have hereinbefore shown that from the unchallenged and uncontradicted evidence of the plaintiff at the circulation of the "New Vision" paper is all over Uganda and crosses to our sister republics and is even on the internet. I therefore hold that the paper has a wide coverage and publishes than 30 000 copies every day.

The conduct of the defendants. Before the publication the defendants must have known that the article referred to two Court files. These are public documents available to anyone for perusal. The defendants did not bother to

peruse them. They very well knew that the article concerned the third-highest placed Judge in the hierarchy of the country's judiciary consisting of about forty bewigged Judges and is one of the three arms of the government. When publishing the editor demanded from the otherwise non-committed reading public to pay special attention to the highlighted article "Corruption alive and well in the Judiciary". Furthermore the defendants withheld the name of the author of the article. In my considered view this amounted to calculated reckless malice and callousness. My further view is that by demanding the public to pay special attention the defendant's intention was to increase their sales and make a profit at the expenses of the plaintiff.

After publishing. The plaintiff issued a statutory notice to sue on the defendants. It was dated 23 December 2002. It was served on the defendants 23 December 2002 as evidenced by the affidavit of service of Niwandinda Kab Anthony sworn on 8 January 2003. This was pleaded in paragraph 8 of the plaint. This allegation was not denied in the defendant's written statement of defence. And it was never denied throughout the proceedings. In the penultimate paragraph of the statutory notice the plaintiff's counsel pointed out the contents of the articles complained of were *inter alia*, false. The notice subsisted till 28 February 2003, when the plaintiff filed this suit. For all this period the defendants did not bother to go out and find out the truth from the Court files, the plaintiff, or Court clerks. They never offered any apology. Instead they went ahead to file and filed the written statement of defence (*ante*).

During the hearing: The hearing commenced on 20 August 2003. The plaintiff was ready to proceed. However counsel for the defendants sought an adjournment "with a view to negotiating a settlement". He asked for two weeks. The hearing was adjourned and fixed for 5 September 2003. On 21 August 2003 counsel for the defendants wrote to the Registrar, High Court reference ODKI/VIS/163/97. In this letter defendants' counsel wrote, *inter alia*,

> "Given the fact that:
>
> 1. The plaintiff as the principal Judge is the administrative head of the tribunal before which his matter is presented.
> 2. The nature of the "allegations" of delay and corruption in the High Court, being the subject of contention.
> 3. The Registrar himself, Mr Lawrence Gidudu is detailed as witness for the plaintiff, together with other officers of the High Court.
> 4. The trial Judge, the learned Justice Gideon Tinyinondi himself sometimes acts as acting principal Judge.
> 5. The trial Judge above, has himself filed a statutory notice of intention to sue the same defendants, for a similar cause of action, claiming UShs 50 000 000 (see notice attached).
>
> Our client is left with no option but to conclude that there is a manifest likelihood of bias, and or miscarriage of justice.
>
> For these reasons, the defendant's hands are clearly tied and humbly request that its above concerns be brought to the attention of the trial Judge and that the Learned Judge steps down from the conduct of this matter if it is not stayed altogether and referred to arbitration, before an arbitrator if both parties' choice preferably the right Honourable Mr Justice Wako Wakambuzi (retired), before the next hearing date".

This in may view, was unprofessional conduct by counsel. The legitimate procedure was:

(*a*) To apply to the trial Judge to disqualify himself from hearing the case, give and defend the reasons and obtain a ruling.

(*b*) Not to take it upon himself to appoint and assign Court work to a retired Judge whom the whole legal fraternity and many citizens of Uganda knew was not endeared to the plaintiff both officially and personally.

However, on 5 September 2003 counsel for the defendants stated that a settlement was no longer possible. He then raised and repeated his objections in the said letter in open Court. It is noteworthy he abandoned the objection to my trying the case. On 10 September 2003 plaintiff's counsel replied. I delivered my ruling, overruling the objections, on 17 September 2003. On 20 November 2003 when the case came up for hearing, defendant's counsel sought the last adjournment to pursue settlement. He asked for one week. I granted it and fixed the case for hearing on 27 November 2003. On the fixed date the plaintiff and counsel were in Court. Neither the defendants nor their counsel were present. Counsel for the plaintiff applied *ex parte* stating that the defendants' counsel had asked for the last adjournment promising to settle but had never communicated to the plaintiff or his counsel. I granted the request, being satisfied by the reasons advanced. Hearing started at 9:03am. At 9:50am counsel for the defendants materialised and asked Court to finish him with the Court record for him to peruse and cross-examine the first witness (the plaintiff.) I granted the request but the proceeding continued normally for the second witness who was cross-examined and closed the plaintiff's case. Hearing was adjourned to 15 January 2004 for cross-examination of PW1. This was done. The proceedings in the case were closed and judgment reserved. I have gone to this length to show that the conduct of the defendants was cynical, spiteful and deplorable. They played delaying tactics of all sorts and, in cross-examination, persisted in an imputation they ought to have known, but for their being ostriches, that was unresearched and uninformed. I find support from *Gatley* (*ante*) paragraph 1329. I also find for malice on the defendants' part.

From the above discourse I find and hold that the plaintiff is entitled to compensatory damages.

In his paragraph 9(*b*) of the plaint the plaintiff prayed for aggravated "damages for the outrageous publication". In "Gatley" paragraph 1452 it is stated:

> "In awarding 'aggravated damages' the natural indignation of the Court at the injury inflicted on the plaintiff is a perfectly legitimate motive for making a generous, rather than more moderate award, to provide an adequate solatium; that is because the injury to the plaintiff is actually greater, and, as the result of the conduct exciting the indignation, demands a more generous solatium".

I have failed to trace any decided authority or authoritative treatise that states that general damages and aggravated damages are awardable under separate heads. On the other hands the statements and cases quoted in *Gatley* (*ante*) indicate that when the Court is considering the damages in both heads the same bases are used. It is in the light of this that I consider a sum of UShs 30 million (thirty million shillings only) adequate for both general and aggravated damages to which the plaintiff is entitled.

In paragraph 9(*c*) of the plaint the plaintiff prayed for exemplary/punitive damages. In *Gatley* (*ante*) paragraph 1454 it is stated:

> "Exemplary damages, or punitive damages as they are otherwise described, may be awarded for two categories only

(i) ...

(ii) Where the defendant's tortious act has been done with guilty knowledge, for the motive that the chances of economic advantage outweigh the chances of economic, of perhaps physical penalty".

I need only emphasise that this branch of the law was long ago settled in *Rookes v Banard* [1964] AC 1129 and for the purpose of this case the pertinent speech of Lord Delvin is at 1227:

> "it" (that is the motive of making a profit) " a factor also that is taken into account in damages for libel; one man should not be allowed to sell another man's reputation for profit. Where a defendant with a cynical disregard for a plaintiff's rights has calculated that the money to be made out of his wrongdoing will probably exceed the damages at risk, it is necessary for the law to show that it cannot be broken with impunity. This category is not confirmed to money-making in the strict sense. It extends to cases in which the defendant is seeking to gain at the expense of the plaintiff some object perhaps some property which he covets – which either he could not obtain at all or not obtain except at a price greater than he wants to put down. Exemplary damages can properly be awarded whenever it is necessary to teach a wrongdoer that tort does not pay".

In *Broome v Cassell and Co* [1972] AC 1079, it was said:

> "It is true, of course, as was well pointed out by Windgery J in *Manson v Associated Newspapers Ltd* [1965] 1 WLR 1038, 1045, that the mere fact that a tort, and particularly a libel, is committed in the course of business carried on for profit is not sufficient to bring a case within the second category. Nearly all newspapers, and most books, are published for profit. What is necessary in addition is (i) knowledge that what is proposed to be done is against the law or a reckless disregard whether what is proposed to be done is illegal or legal, and (ii) a decision to carry on doing it because the prospectus of material advantage outweigh the prospects of material loss. It is not necessary that the defendant calculates that the plaintiff's damages if he sues to judgment will be smaller than the defendant's profit. This is simply one example of the principle. The defendant may calculate that the plaintiff will not sue at all because he has not the money (I suppose the plaintiff in a contested libel action like the present must be prepared nowadays to put at least 30 000 pounds at some risk), or because he may be physically or otherwise intimidated. What is necessary is that the tortious act must be done with guilty knowledge for the motive that the chances of economic advantage outweigh the chances of economic, or perhaps physical, penalty".

In the case before me the plaintiff in his evidence-in-chief, when referred to paragraph 9(*c*) of the plaint, merely stated:

> "The claim for exemplary damages was aggravated in the defence pleadings".

He did not expound on this statement. Probably after a long spell testifying he became exhausted. I have hereinabove stated that the manner/method used by the defendants where the editor of the paper made a clarion call demanding the public to give "special attention" could be motivated by a desire to make more bucks in his sales at the expense of the plaintiff. In passing I again mention that the defendants did not call evidence to contradict this. I hold that the plaintiff is entitled to this head of damages. In paragraph 14 of *Gatley* (*ante*) it is stated:

> *Relation to compensatory damages.*
>
> "In a case in which exemplary damages are appropriate, a jury should be directed that if, but only if, the sum which they have in mind to award as compensation (which may, of course, be a sum aggravated by the way in which the defendant has behaved to the plaintiff) is inadequate to punish him for his outrageous conduct, to mark their

> disapproval of such conduct and to deter him from repeating it, them it can award some large sum. But there must be no double counting.
>
> The only practical way to proceed is first to look at the case from the point of view of compensating the plaintiff. He must not only be compensated for proved actual loss but also for any injury to his feelings and for having had to suffer insults, indignities and the like. And where the defendant has behaved outrageously very full compensation may be proper for that. So the tribunal will fix in their minds what sum would be proper as compensatory damages. Then if it has been determined that the case is a proper one for punitive damages the tribunal must turn its attention to the defendant and ask itself whether the sum it has already fixed as compensatory damages is or not adequate to serve the second purpose of punishment or deterrence. If they think that that sum is adequate for the second purpose as well as the first they must not add anything to it. It is sufficient both as compensatory and punitive damages. But if they think that sum is insufficient as a punishment then they must add to it enough to bring it up to a sum sufficient as punishment. The one thing which they must not do is to fix sums as compensation and as punitive damages and add them together. They must realise that the compensatory damages are always part of the total punishment".

After due consideration of the evidence in the case and the law I am satisfied that this is a proper case where punitive damages should be awarded. However considering the sum of UShs 30 million which I have awarded as compensatory and aggravated damages as being adequate I propose not to add anything more.

In paragraph 9(*d*) the plaintiff prayed for a permanent injunction against the defendants restraining them from any future outrageous publication against him. I hereby grant if.

To conclude, I hereby enter judgment for the plaintiff against the defendants for:

1. Compensatory general damages inclusive of exemplary damages of UShs 30 million (thirty million shillings only).
2. A permanent injunction against the defendants restraining them from any future defamatory publication against the plaintiff.
3. Interest at 18% on a(1) from the date of judgment till payment in full.
4. Costs of the suit.

For the plaintiff:
Miss G Babihuga instructed by *Babihuga & Co*

For the defendants:
Mr D Owor instructed by *Kituuma Magala & Co*

Onjallah v Kenya Commercial Bank Ltd
[2004] 2 EA 253 (CAK)

Division:	Court of Appeal of Kenya at Kisumu
Date of Judgment:	9 July 2004
Case Number:	259/01
Before:	Omolo, Githinji JJA and Ringera AJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

[1] Banking – Banker/customer relationship – Debit of customer's account in favour of third party – Whether bank may debit customer's account in favour of a third party for money remitted or fraud belonging to the third party.

Editor's Summary

The appellant was a customer of the respondent bank where he maintained two accounts. Sometime in 1994, the appellants accounts were debited by the respondent for the sum of KShs 402 151-85 on advise from Mumias Outgrowers Company Limited who wrote to the bank claiming the sum as erroneously and fraudulently remitted to the appellant's accounts from the company.

The appellant sued the respondent in the High Court seeking to recover the amounts debited together with damages for breach of duty by the respondent bank not to disclose his account or the State thereof to third parties. The respondent's defence was that the amounts were remitted to the appellant's employers Mumias Ougrowers Company Limited after the company discovered that the said money had been sent to the bank fraudulently.

Respondent called its branch manager who testified that the bank had received two letters from Mumias Outgrowers company advising them of the fraud and seeking remittance of the amount. The High Court Judge dismissed the appellant's case finding that the money deposited in the appellant's accounts were unprocedurally prepared and therefore erroneous. He also held that if the amounts in those accounts were legitimate, the appellant was obliged to prove so and he had not discharged that duty.

The appellant appealed to the Court of Appeal. The issue on appeal was whether a bank could lawfully debit its customer's account without reference to that customer and pay out all or any of the money credited into that account to a third party who claimed the same on the basis that the remittance into the customer's account was erroneous for having been made by mistake or as a result of a fraud on the third party by the customer.

Held – Money paid by a third person to the bank either directly, or on account of a bank's customer, is refundable if it is established that it was paid under a mistake of fact and the mistake has been brought to its attention before the bank has either paid it out to the customer, or settled its accounts with the customer in a manner which would amount to payment, or otherwise done something which has so prejudiced its position that it would be inequitable to require a refund. *Kerrison v Glyn, Mills, Currie & Co* [1912] LJ KB 465; *Kleinwort, Sons & Co v Dunlop Rubber Co* (1907-08) 97 LJ 263 adopted.

Since the respondent bank did not call an independent witness from Mumias Outgrowers company to show that the company had paid the money to the bank under a mistake of fact, the bank was in breach of its contractual obligation to its customer to pay out any deposit(s) in the customer's account to the customer or to his order. The appellant had, however, not established his claim for damages for breach of duty by the respondent bank not to disclose his account or state thereof to third parties.

Appeal allowed, with costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Kerrison v Glyn, Mills, Currie & Co [1912] LJ KB 465 – **A**

Kleinwort Sons & Co v Dunlop Rubber Co (1907-08) 97 LT 263 – **A**

Judgment

OMOLO, GITHINJI JJA AND RINGERA AJA: In an amended plaint filed in the superior Court on 3 November 1997, Lazarus Masayi Onjallah the appellant herein, pleaded that he was at all material times a customer of the Kenya Commercial Bank, the respondent herein, at its Mumias Branch and that he maintained two interest earning accounts, namely, number 128-028-828 in his own name and number 128-038-219 in the name of his minor son, Antony Mukandia Masayi. He further pleaded that as at 24 June 1994 his account number 128-028-828 had a credit balance of KShs 398 000 while his minor son's account had a credit balance of KShs 52 000 which sums added to a total of KShs 450 000. He further pleaded that on 27 June 1994 when he went to withdraw his money from the aforesaid accounts he was dismayed to find that he could not withdraw the said amount or any part thereof as the accounts had been frozen by the branch manager. The appellant further pleaded that on 4 January 1995 he was able to withdraw a sum of KShs 47 000 being interest earned over a period of six months. He averred that the freezing of his accounts were unlawful and without justification and in total contravention of banking provisions and that the act of freezing was an adverse infringement of the privileged relationship between himself and the respondent bank. He averred further that according to the information available to him, he was not allowed to withdraw money from his accounts because the respondent had transferred the entire amount and interest thereon from his accounts to its own account and unlawfully appropriated the same. In those premises, he claimed from the respondent the sum of KShs 450 000 together with all accrued interest at current bank rates and general damages for breach of contract from 24 June 1994 until payment in full or, in the alternative, a reactivation of the said accounts unconditionally after disclosure to him of a duly computed standing balance. He complained that despite demand and notice of intention to sue given, the respondent had officially refused to comply and offer amends.

In answer to those averments in the amended plaint, the respondent filed an amended defence on 2 December 1997. The respondent admitted its relationship with the appellant and the existence of the accounts pleaded. It denied that the appellant's accounts had the credit balances pleaded as at 24 June 1994 and averred that the amounts pleaded in the plaint were erroneous payments credited into the appellant's accounts and that the same were refunded to the appellant's employers, Mumias Outgrowers Co Ltd in June 1994. The respondent further averred that the appellant demanded its money after tracing from their records that the said money had been sent to the bank fraudulently. Indeed, so the respondent further pleaded, upon the discovery of the fraud, the appellant's

employer decided to have him arrested and charged with a criminal case of fraud at Kakamega. The respondent also denied that the appellant was allowed to withdraw the sum of KShs 47 000 as interest as claimed, or that the appellant was unable to withdraw the principal sum of KShs 45 000, or that the appellant's accounts were unlawfully frozen. The respondent averred that it did not hold any money for the appellant as the same had been paid to his employer and he was aware of the fact.

After hearing the evidence and submissions, commissioner of Assize PK Birech made the following findings of fact and law. The appellant was a customer of the respondent bank at Mumias Branch. He maintained three savings accounts and one current account. The savings accounts were numbers 128-028-828 in his own name, number 128-035-211 in his minor child's name, and number 128-025-311 in his wife's name. Between August 1993 and April 1994 some money was remitted into those accounts by Mumias Outgrowers company (Mocco). The money remitted into the accounts came from the 15% retention dues which had been unprocedurally prepared and remitted into those accounts. The remittances was therefore erroneous. When the error was detected and the respondent was asked by Mocco to return the money, the respondent acceded to that request and returned what was available which was the sum of KShs 402 151-85. On that premises, the respondent could not be held to have unlawfully frozen the appellant's accounts as an error or fraud had been discovered and the remitter of the funds asked for the said funds to be refunded which the respondent did without delay. If the appellant had a right to the sum of KShs 450 000 his remedy was against the body who laid a claim of that amount and to whom it was remitted. As regards alleged disclosure of the details of the appellant's account with the respondent, it was found that it was not the respondent who made the disclosures and that even if there had been such disclosure the appellant did not suffer any damage "given the way the whole episode was". The appellant's evidence that he was a successful businessman who used to make regular deposits into those accounts were not truthful. In the result, the appellant had not proved his case on a balance of probabilies and his suit was dismissed.

Having heard the arguments canvassed by both parties in this appeal we think that the issue of law which arises is whether a bank could lawfully debit its customer's savings account without reference to that customer and pay out all or any of the money credited into that account to a third party who claimed the same on the basis that the remittance into the customer's account was erroneous for having been made by mistake or as a result of a fraud on the third party by the customer. Unfortunately, neither party furnished the Court with any authority on the point. The appellant was on his part, content to argue that the debit of his account by the bank without reference to him was in breach of the contractual relationship between banker and customer and the respondent was equally contented to impress on the Court that this was not an ordinary case of banker and customer but one where the customer had fraudulently induced the deposit made into his account with the respondent. Our own research does not disclose any direct authority on the point. We have therefore to approach the matter from general principles of banking law as they apply to deposit accounts, as the accounts in question here were all savings accounts.

In *Halsbury's Laws of England* (4 ed) Volume 3, paragraph 40, the learned editors posit the law as follows:

> "The receipt of money by a banker from or on account of his customer constituted him the debtor of the customer. The banker is normally liable to repay only the person from whom he received the money. The receipt of money on deposit account constitutes the bankers a debtor to the depositor but not a trustee for him. The debt is repayable either on demand or on conditions agreed with the depositor".

The above proposition would appear to support the appellant's contention that the bank could not pay out or debit his account with any money save to himself or to his order on conditions agreed with him. However the respondent bank's position is that it debited the appellant's accounts and paid out therefrom the sum of KShs 402 151-85 on the request of Mocco who claimed to have remitted funds into those accounts by mistake. The *prima facie* issue therefore is whether money allegedly paid into a customer's bank accounts by mistake could be refunded to the payer.

The law appears to be settled that money paid under a mistake of fact is repayable. In *Kerrison v Glyn, Mills, Currie & Co* [1912] LJ KB 465, the House of Lords held that the position of a banker does not differ from that of any other recipient of money acting as an agent and, accordingly, money paid to a banker under a mistake of fact can be successfully re-demanded from the banker by the person who so paid it. In the words of Lord Mersy at 472:

> "No doubt when a banker receives money either from his customer or from a third person on account of his customer, he becomes his customer's debtor for the amount so received. But this does not entitle the banker to retain money which in common honesty ought not to be kept. If indeed, the banker has paid over the money to his customer, or has altered his position in relation to his customer to his detriment, on the faith of the payment, the banker may refuse to repay the amount any may leave the person who has paid him to enforce his remedy against the customer".

To similar effect is an earlier decision of the House of Lords in *Kleinwort Sons & Co v Dunlop Rubber Co* (1907-08) 97 LT 263. Summarising the authorities, Lord Atkinson posited the position as follows:

> "Whatever may in fact be the true position of the defendant (the banker) in an action brought to recover money paid to him under a mistaken of fact, he will be liable to refund it if it be established that he dealt as a principal with the person who paid it to him. Whether he would be liable if he dealt as agent with such person will depend upon this, whether before the mistake was discovered, he had paid over the money which he received to the principal, or settled such an account with the principal as amounts to payment, or did something which so prejudiced his position that it would be inequitable to require him to refund".

On the basis of the above authorities it may be concluded that money paid by a third person to the bank either directly, or on account or a bank's customer, is refundable if it is established that it was paid under a mistake of fact and the mistake has been brought to its attention before the bank has either paid it out to the customer, or settled its account(s) with the customer in a manner which would amount to payment, or otherwise done something which has so prejudiced its position that it would be inequitable to require a refund.

How do those principles apply to the matter at hand? The respondent bank acted on two letters from Mocco dated 19 and 20 May 1994. Both letters claimed that money had been remitted to certain accounts (which included the appellant's account) by mistake and asked for a return thereof. There was no explanation of the nature of the mistake and it was accordingly not possible to tell whether the mistake was one of fact or law. And at the trial the respondent bank did not call any witness from Mocco to establish the basis of the latter's

claim to the money in the appellant's accounts'. The only witness called by the respondent was its station head at the Mumias Branch who testified that the bank received the two letters and acted thereon and ventured the opinion that as the bank had received the money from Mocco and it had returned the same, it was not in breach of contract with the appellant. And the learned commissioner of Assize on his part did not, and he indeed could not on the above evidence, make a finding of fact that the money paid to the bank account of its customer was paid under a mistake of fact. He was content to hold that the moneys deposited in the appellant's accounts were unprocedurally prepared and remitted thereto and was therefore erroneous. He further held that if the amounts in those accounts were legitimate, the appellant was obliged to prove so and he had not discharged that duty.

In our view, in the absence of any proof that Mocco and paid the money to the respondent bank under a mistake of fact, the other findings and conjectures by the superior court as to how the money ended in the appellant's accounts were irrelevant and the ultimate finding that the respondent bank was obliged to and acted properly in refunding whatever was in the appellant's accounts to the third party was erroneous in law. In the circumstances of this case, the bank was in breach of its contractual obligation to its customer to pay out any deposit(s) in the customer's account to the customer or to his order. And the amount paid out to a third party in breach of that contract was the sum of KShs 402 151-85. The position would have been different had the respondent bank proved, probably by calling Mocco as a witness, that the remission of the money into the appellant's account was mistaken and the appellant was in fact not entitled to the amount so deposited in his account. Take for example a person who robs one bank and deposits the proceeds of the robbery in his account with another bank. That robber would clearly not be entitled to the proceeds of the robbery deposited in his account and the receiving bank would be, in law, justice and fairness entitled to pay out the money to the robbed bank, secure in the knowledge that it would be able to prove, if asked, that the money so paid out from the customer's account had been the proceeds of a robbery committed against the bank to which the money had been paid back. In this case the respondent bank merely contained itself by saying that it had been asked to refund the money by Mocco who had paid it into the appellant's account. That was insufficient to relieve the respondent bank of its obligations to the appellant.

As regards the appellant's claim for damages for breach of the duty by the respondent bank not to disclose his account or the State thereof to third parties, we are satisfied, as the superior court was, that the claim was not established.

In the result, we would allow the appeal with costs, set aside the judgment and decree of the superior court and substitute therefore judgment for the appellant in the sum of KShs 402 151-85 together with interest thereon at court rates from the date of filing suit until payment in full and the costs of the suit.

For the appellant:
Information not available

For the respondent:
Information not available

Registered Trustees of Korea Evangelical Church v Yum Yun Hwa and another

[2004] 2 EA 259 (CAT)

Division: Court of Appeal of Tanzania at Dar-es-Salaam

Date of ruling: 23 December 2003

Case Number:	80/03
Before:	Ramadhani, Mroso and Nsekela JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Appeal – Record of appeal – Application seeking injunction pending revision of proceedings – Record of appeal incomplete – Whether application incompetent and to be struck out.

[2] Court of Appeal – Injunction – Procedure – Whether Court of Appeal may entertain application brought under rule 3 – Whether rule 9(2)(b) appropriate.

Editor's Summary

The High Court had granted an application of the first respondent Yum Yun Hwa administratrix of her late husband that the properties of her late husband be collected and handed over to a court broker. The applicants were aggrieved by the process of collecting the properties and filed an application in the High Court objecting to the collection. Their application was dismissed and the applicants moved to the Court of Appeal seeking an injunctive order against the respondents pending the hearing and determination of revision proceedings at the Court of Appeal. The application was made under rule 3 of the Court Rules.

The respondents raised a preliminary objection to the application on grounds that the application had been filed under wrong provisions of the law and that the orders sought were unmaintainable in law. The respondents contended that the application ought to have been made under rule 9(2)(*b*) of the Court Rules after filing of an appeal and not under rule 3. Further, the respondents argued that the application was incompetent since the revision proceedings had not been annexed and there was therefore no basis upon which the application was predicated.

Held – The application was not incompetent for failure to be brought under rule 9(2)(*b*) since it was not seeking stay of execution but was rather seeking injunctive orders. Since injunctive orders were not provided for under the rules, the application was properly brought under rule 3.

There was no evidence of existence of the revision application upon which the injunctive orders were sought. The record of appeal was therefore incomplete and the application incompetent and would be struck out with costs.

Preliminary objection sustained.

No cases referred to in ruling

Ruling

LUBUVA JA: The application by notice of motion filed under certificate of urgency seeks to move the Court for the following orders:

> That the Court be pleased to give a protective order restraining the respondent their agents, workmen servants and whoever is acting on their behalf from selling and or suing the properties which were collected and handed over to the first respondent by the second respondent wrongly pending the hearing and determination of the revision.

From the affidavit sworn by one Youn Yeoun Chin, a registered trustee of the Korean Evangelical Church, in support of the application, the background giving rise to the case is as follows: On 16 May 2003, in High Court probate and administration cause number 20 of 2001, the High Court granted the application of the first respondent, Yum Yun Hwa, adminisratrix of her late husband that the properties of her late husband be collected and handed over to the Court broker. The process and execution of the order collecting the properties by the Court broker aggrieved the applicants. On 30 July 2003, their application objecting to the process of collecting the properties was dismissed by the High Court. The applicants have filed this application seeking the above order.

At the commencement of hearing the application before me Mr *Hosea*, learned counsel for the respondents raised a preliminary objection upon the grounds that:

1. The application is incompetent because it has been filed under wrong and inapplicable provisions of the law.
2. The orders that are sought in the application are unmaintainable in law.

In support of the preliminary objection, Mr *Hosea* submitted that after the application for stay of execution, raising the attachment and investigation was dismissed by Luanda J on 30 July 2003, it was open for the applicants to pursue the matter on appeal. The process of appealing, he said, was set in motion when the notice of appeal was lodged on 6 August 2003 but the appeal was not instituted. Instead Mr *Hosea* further stated, the applicants apparently, filed an application for revision followed by this application for injunctive orders pending hearing and determination of the intended revision. As this is a matter which is more appropriate for appeal, it is improper for the applicants to invoke section 3(2) of the appellate Jurisdiction Act of 1979 and rule 3 of the Court Rules and not rule 9(2)(*b*) in filing the application, Mr *Hosea* contended.

As correctly submitted by Mr *Mgare*, learned counsel, assisted by Mr *Myovela*, learned counsel for the applicants, this is not an application for stay of execution, it is an application for what is described as injunctive orders. In that case, the application of rule 9(2)(*b*) is irrelevant. Therefore, the competence or otherwise of the application cannot in my view, be grounded on the non-application of rule 9(2)(*b*) of the Court Rules of 1979 as Mr *Hosea* urged me to accept. It is common knowledge that the injunctive orders are not provided for under the rules. It is for that reasons that and as contended by Mr *Mgare* the application was filed under rule 3. In that situation, I do not think that the application can be said to be incompetent on the ground, if may well be so on other grounds as I shall presently advert to. It would be a different matter if at a later stage it is found that there is no merit or otherwise in the application or the alleged revision. I am therefore unable to accept Mr *Hosea*'s contention that

the application is incompetent on account of the fact that rule 3 was invoked instead of rule 9(2)(*b*) in filing it.

Mr *Hosea* has also raised another point in ground two. It was his contention that the application is incompetent because there is no basis upon which the application is made. According to him, there is nothing on the record of the application to show that there is in fact an application for revision pending in this Court. As such, he further contended, the Court cannot be moved to make orders pertaining to a pending matter in the Court the existence of which has not been established. He urged the Court to strike out the application on account of its being incompetent.

Both Mr *Mgare* and Mr *Myovela*, learned counsel for the appellants, addressed the Court in turn. On ground two of the preliminary objection, the essence of their submission was to the following effect. While it was conceded that the record of the application does not contain any document or evidence to show that the application for revision had been filed in this Court, learned counsel sought to inform the Court from the bar that revision application number 79 of 2003 was filed in this Court on unspecified date and that it was served on the first respondent on 1 September 2003. For this reason, it was strongly urged that the application was properly before the Court.

It is common ground that the record in this application does not contain any document to show that there was a revision application filed in the Court pending the finalisation of which the injunctive orders are sought. It goes without saying that the record in this application is incomplete. It was as a result of the Court's prompting that Mr *Mgare*, learned counsel, revealed to the Court that civil application number 79 of 2003 had been filed in court and that the first respondent had been served on 1 September 2003. It is trite principle that the Court cannot take for granted the existence of certain facts on the basis of information from the bar as Mr *Mgare* attempted to do in this case. All the more so, for the basic factors such as the existence of the revision application upon which the orders were sought. It was imperative for counsel for the applicants to ensure that this aspect was clearly brought out in the supporting affidavit showing the number of the application and when it was filed with a copy of the application attached. Apart from the merits of the application, the Court would then be in a position to satisfy itself on its existence and the time when it was filed. After all, it is a requirement of the law that applications for revision have to be filed within 60 days of the decision in respect of which revision is sought. In the circumstances, it would be presumptuous on the part of the Court to grant the orders sought in respect of an application for revision the existence of which is not supported by any evidence. On this, with respect, both Mr *Mgare* and Mr *Myovela*, did not attempt to give an explanation for the omission in the record of documents relating to the revision application.

The record before me being incomplete, I am not persuaded from the bar to assume the existence of the revision application. Accordingly, the application being incompetent, the preliminary objection raised by Mr *Hosea* is sustained with the result that the application is struck out with costs.

For the applicants:
Mr Mgare and *Mr Myovela*

For the respondent:
Mr Hosea

Shabani v NBC Holding Corporation
[2004] 2 EA 262 (CAT)

Division:	Court of Appeal of Tanzania at Dar-es-Salaam
Date of ruling:	2 December 2003
Case Number:	105/00
Before:	Mroso JA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Appeal – Notice of appeal – Service – Failure to serve notice within seven days – Proceedings – Letter to Registrar – Failure to copy letter to other party – Whether notice of appeal and the appeal incompetent – Rules 77(1), 82 and 83 Court of Appeal Rules of 1979 (Tanzania).

Editor's Summary

The respondent had appealed to the Court of Appeal against the judgment and decree of the High Court, Mapigano. The applicant filed an application by notice of motion under rules 77(1), 82 and 83(2) of the Court of Appeal Rules, seeking that the respondent's appeal be struck out on grounds that no appeal lay to the Court and that some essential steps in the proceedings had not been taken as required by law within the prescribed time.

The applicant contended that the appellant had served it with the notice of appeal some fifteen days out of time in contravention of rule 77(1) which required the notice to be served within seven days. The respondent had also not sent to the applicant a copy of the letter, if any, applying from the Registrar for copies of proceedings as required under rule 83(2) of the Court Rules. The respondent therefore had failed to take an essential step within the prescribed time and had violated rules 77(1), 82 and 83(2) of the Court Rules.

Held – Non-compliance with the provisions of rules 77(1) and rule 83(2) of the Court of Appeal Rules nullifies a notice of appeal or an appeal. The notice of appeal and the appeal are therefore incompetent and struck out. *Sunderji and another v Jamal* [1993] TLR 224 followed.

Application allowed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Azizi and another v Hassanal, civil appeal number 21 of 1990 (UR) – **F**

Ngowi v Ngowi [1984] TLR 120 – **F**

Sunderji and another v Jamal [1993] TLR 224 – **AP**

Valambia v Transport Equipment Limited [1992] TLR 246 – **F**

Ruling

MROSO JA: In this application by notice of motion under rules 77(1), 82 and 83(2) of the Court Rules, the applicant prays that an appeal to this Court by the respondent be struck out. The grounds for the prayer are that no appeal lies to this Court and that some essential steps in the proceedings had not been taken as required by law within the prescribed time.

The respondent, Hamisi Shabani, had appealed to this Court against the judgment and decree of the High Court, Mapigano, dated 13 December 1999. On 28 November 2000 the applicant brought this application while the application was pending hearing, the respondent died on 18 May 2002. Zainabu Dabali, the wife of the late respondent, was on 23 June 2003 appointed by the Primary Court at Mbagala, Dar-es-Salaam to be the administratrix of the estate of her late husband and at the hearing of the application on 1 December 2003 she applied for and was appointed by this Court under rule 3(2)(*a*) of the rules to be legal representative of the respondent and therefore appeared at the proceedings as such.

Mr *Rweyongeza*, learned advocate, represented the applicant. He explained that, according to the affidavit of one Elizabeth *Mamba*, a legal officer of the applicant, the respondent lodged the notice of appeal on 20 December 1999 but did not serve a copy of the notice of appeal on the applicant until on 11 January 2000 which was some 22 days later. But rule 77 (1) of the Court Rules require a copy of the notice of appeal to be served on the applicant within seven days after 20 December 1999. So, the copy of the notice of appeal was served on the applicant some 15 days out of time. The respondent, therefore, according to Mr *Rweyongeza*, had failed to take an essential step within the prescribed time and had violated both rules 77(1) and 82 of the Court Rules, 1979.

Apart from the failure by the respondent to comply with rule 77(1), he also did not send the applicant a copy of the letter, if any, applying to the Registrar for copies of proceedings as required by rule 83(2) of the Court Rules.

The legal representative, Zainabu Dabali, did not dispute those allegations by the advocate for the applicant. I therefore, find as a fact that the respondent served on the applicant a copy of the notice of appeal fifteen days out of time and did not send to the applicant a copy of the letter applying for copies of proceedings. What are the consequences?

In *Sunderji and another v Jamal* [1993] TLR 224 this Court said at 227 of the law report:

> "There is a long and unbroken chair of authorities by this Court that non-compliance with the provision of rule 77(1) and rule 83(2) of the Court of Appeal Rules, nullifies a notice of appeal or an appeal".

Decisions of this Court such as *Valambia v Transport Equipment limited* [1992] TLR 246; *Azizi and another v Hassanal* civil appeal number 21 of 1990 (UR) and *Ngowi v Ngowi* [1984] TLR 120 were cited in the *Sunderji* case in support of the decision which was taken by this Court.

In view of the above authorities, it is abundantly clear that the present application must be allowed. The notice of appeal and the appeal to this Court by the respondent are incompetent and are hereby struck out. Mr *Rweyongeza* did not ask for costs and, therefore, there will be no order for costs.

For the applicant:
Mr Rweyongeza

For the respondent:
Ms E Mamba

Re Sheela Supermarket Ltd
[2004] 2 EA 264 (CCK)

Division:	Milimani Commercial Courts of Kenya at Nairobi
Date of ruling:	23 June 2004
Case Number:	54/00
Before:	Azangalala AJ
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Company law – Winding-up – Procedure – Petition presented together with verifying affidavit – Verifying affidavit not stamped by court – Preliminary objection raised as to validity of petition – Whether petition complied with winding-up Rules – Rule 25 Companies (Winding-up) Rules.

Editor's Summary

The petitioner had filed the petition seeking winding-up of the company. The petition was accompanied by a verifying affidavit sworn on the 30 November 2000. The verifying affidavit was not stamped by the Court. No other affidavit had been filed subsequent to the filing of the petition. Counsel for Santowels Limited, one of the opposing creditors, raised a preliminary objection to the petition on grounds that the verifying affidavit was sworn and filed contrary to the provisions of rule 25 of the Companies (Winding-up) Rules which requires that the verifying affidavit be filed within four days after presentation of the petition.

Counsel for the petitioner opposed the preliminary objection arguing that any defects were curable as the creditors would suffer no prejudice.

Held – The verifying affidavit was not sworn and filed in accordance with the provisions of rule 25 of the Companies (Winding-Up) rules and the result therefore was that the petition in this case had not been verified by an affidavit. The verifying affidavit was the *prima facie* evidence of the contents of the petition. In the absence of such evidence the petition would be struck out with costs for failure to comply with the provisions of rule 25 of the Companies (Winding-up) Rules.

Cases referred to in ruling

JM Mugo Investments Company Ltd v Mathu and another Nairobi High Court civil case number 192 of 2000 (UR)

Jovenna East Africa Ltd v Onyango and others [2002] LLR 2016 (CCK)

Ruling

AZANGALALA AJ: This petition came up for hearing before me on 23 March 2004. Mr *Mogeni* counsel for Santowels Limited one of the opposing creditors

applied to raise a preliminary objection to the petition. Mr *Nyawara* sought to know the nature of the objection to enable him respond. I therefore adjourned the hearing of this petition to 21 May 2004 and allowed Counsel for the said creditor file his notice of objection to the petition which notice was filed on 22 April 2004.

The objection was based on the ground that the petitioner had not complied with the mandatory provisions of rule 25 of the Companies (Winding-up) Rules. Counsel for the said creditor argued that this winding-up petition was filed on 1 December 2000. The petition itself is dated 28 November 2000. Annexed to the petition is a verifying affidavit sworn on 30 November 2000. The verifying affidavit was not stamped by the Court. No other affidavit has been filed subsequent to the filing of the petition. According to counsel the verifying affidavit was sworn and filed contrary to the provisions of rule 25 of the Companies (Winding-up) Rules which regulates presentation of petitions. Counsel therefore argued that there is no valid verifying affidavit. There is therefore no *prima facie* evidence of the contents of the petition. The petition should therefore be struck out. The other advocates for the rest of the opposing creditors associated themselves with the submissions of Mr *Mogeni* for Santowels Ltd.

Mr *Nyawara* for the petitioner opposed the preliminary objection arguing that the verifying affidavit was valid and was filed in accordance with rule 25 of the Companies (Winding-up) Rules. If the verifying affidavit has defects the same are curable under Order XVIII, rule 7 and 9 as the creditors shall suffer no prejudice. Counsel relied on the decisions in the following cases. *JM Mugo Investments Company Ltd v Mathu and another* Nairobi High Court civil case number 192 of 2000 (UR) and *Jovenna East Africa Ltd v Onyango and others* [2002] LLR 2016 (CCK). In these cases the plaints were accompanied by defective affidavits but whereas the affidavits were struck out the plaints were not.

Mr *Mogeni* in reply submitted that the cases relied upon by counsel for the petitioner were irrelevant as the defective verifying affidavits were filed pursuant to the provisions of the Civil Procedure Rules and not under the Companies (Winding-up) Rules.

Rule 25 of the Companies (Winding-up) Rules provides as follows:

> "25 Every petition shall be verified by an affidavit, which shall be sworn by the petitioner or by one of the petitioners if more than one, or where the petition is presented by a corporation, by a director, secretary or other principal officer thereof and *shall be sworn and filed within four days after the petition is presented, and such affidavit shall be prima facie evidence of the contents of the petition*". (emphasis mine)

The petition in this case was presented on 1 December 2000 verification of this petition by way of an affidavit should have been done within four days of 1 December 2000. The record does not show that an affidavit of any kind was sworn and filed after 1 December 2000. The only affidavit on record is the one sworn on 30 November 2000. There is no court stamp to indicate when it was filed. There is no separate filing fees for the same to show that this affidavit was filed after the presentation of the petition. There is no doubt that it was filed together with the petition to which it is annexed. It is clear therefore that the verifying affidavit sworn on 30 November 2000 was not sworn and filed in accordance with the provisions of rule 25 of the Companies (Winding-up) Rules. The result is that the petition in this case has not been verified by an

affidavit. It is the verifying affidavit which is the *prima facie* evidence of the contents of the petition.

Counsel for the petitioner opposed the preliminary objection on the basis that the affidavit in this case is defective. Indeed the two authorities relied upon dealt with defective affidavits. The position in this case is quite different. There is no application for leave to swear and file a verifying affidavit out of time. With respect to counsel for the petitioner the position of a plaintiff under the Civil Procedure Rules is quite different from that of a petitioner under the Companies (Winding-up) Rules.

In the result, I uphold the preliminary objection and hold that the petitioner has not complied with the mandatory provisions of rule 25 of the Companies (Winding-up) Rules. The petition is hereby struck out with costs.

For the petitioner:
Mr OJ Nyawara instructed by *PJ Kakad & Co*

For the respondent:
Mogeni

Soki v Republic
[2004] 2 EA 266 (CAK)

Division:	Court of Appeal of Kenya at Kisumu
Date of Judgment:	26 March 2004
Case Number:	26/04
Before:	Omolo, Githinji JJA and Onyango Otieno AJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Crime – Robbery with violence – Whether there was proper identification of the accused.

[2] Criminal Procedure – Alibi defence – Defence of alibi rejected on basis of collateral challenge to different evidence – Alibi defence not considered on its merits in the first appeal – Whether there was an error of law entitling the accused to an acquittal.

Editor's Summary

The prosecution witnesses testified to a robbery with violence within the precincts of the complainant's house. The complainant and fellow witness claimed to have identified the accused by recognition from a lamp in the house, as the accused was a relative. The accused raised an alibi defence.

The trial Magistrate considered the accused's alibi and rejected it because the accused had lied about how he came to report to the office of the police officer. The Magistrate concluded that the deceit of the accused was an indication of guilt and hence the alibi was only an afterthought. On first appeal, the High Court Judge failed to consider afresh the defence of the accused.

Held – The first appellate court has a duty to carefully analyse and weigh any conflicting evidence and draw its own conclusion on the same, bearing in mind that it had not seen or heard the witnesses.

The superior court had failed to re-consider the matter afresh in order to draw its own conclusion, merely agreeing with the trial Magistrate that the alibi defence was an afterthought and of no probative value. *Njoroge v Republic* [1982-88] 1 KAR 134 followed.

If the Court had considered all the evidence in the case, it is possible that a different decision would have been arrived at. The appeal would therefore be allowed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Njoroge v Republic [1982-88] 1 KAR 134 – **F**

Judgment

OMOLO, GITHINJI JJA AND ONYANGO OTIENO AJ: The charge that was brought against the appellant in the subordinate court at Homa Bay was that of robbery with violence contrary to section 296(2) of the Penal Code. On 10 March 2002, at night, Peterlis Anduko Ayuago (PW1), (whom we shall refer to in this judgment as the complainant) and his wife Roselida Owino (PW2) were in their house. It would appear that it was raining at the relevant time as Roselida Owino went out to tap water. As she was returning into the house, two people attacked them. They cut Roselida on the hand and demanded money. When she said she had no money, they turned to the complainant and cut him on the hands, on the head and stepped on him. The complainant told them to take all the money he had which was KShs 12 000 being the proceeds of two bulls he had sold recently and which money the complainant had kept in his pocket. They took the money. They had a *panga* and *simis*. Complainant said in evidence that he was able to recognise one of the attackers and that was the appellant. There was a lamp in the house which enabled him to see the attackers. Further, the complainant knew the appellant before the incident as the appellant was the son of the complaint's uncle and came from the same village as the complainant. After the attackers left, the complainant raised an alarm and his neighbours came to his compound. One of those who came was PW3 who alleged that he could not rescue the complainant earlier because the door to his house was tied with a rope from outside and could not open until he forcefully made it open. The complainant and some neighbours reported the incident to the chief and then went to Magunga health centre for treatment. complainant was treated and discharged. He then made a report at Magunga police post on the next day 11 March 2002 where he was issued with a P3 form which he took to Magunga Health Centre. In the meanwhile, the appellant had also reported to the chief of Gwasi location (PW4 whom we shall refer to as the chief) complaining that he was being wrongly implicated in the robbery. The chief escorted him to Magunga police post and handed him over to the police who included PC Jomo Chapia (PW5) who arrested him and later escorted him to Mbita police station where he was charged with the offence.

In his defence, the appellant first raised an alibi, stating that on the date of the incident, he had transported farm produce on a donkey to a customer at Sindo. As the customer arrived at the meeting venue at 5:00pm and as it rained briefly that day, he could not return home and he stayed the night at a lodging at Sindo. Next morning on 11 March 2002, he boarded a matatu back home. He produced receipt for the lodging and receipt of matatu as Exhibit D1 and D2

respectively. On arrival home, he together with his wife took some crates of tomatoes to Magunga and that was when the chief told him for the first time that he was a suspect in a robbery that had taken place against the complainant. The chief arrested him and took him to the police post where he was rearrested and later taken to Mbita police station and he was later arraigned before court. Secondly, the appellant also claimed that the complainant had a land dispute with his father.

After full hearing, the trial court found the appellant guilty, convicted him of the offence and sentenced him to death. He appealed to the superior court but the same court dismissed the appeal.

This is a second appeal and thus, we are bound to consider the appeal on matters of law only. We reiterate and emphasise this Courts' decision in the case of *Njoroge v Republic* [1982-88] 1 KAR 134 where it was held, *inter alia*, as follows:

> "1. It is the duty of the first appellate court to remember that parties are entitled to demand of the Court of first appeal a decision on both questions of fact and of law, and the Court is required to weigh conflicting evidence and draw its own inference and conclusions, bearing in mind always that it has neither seen nor heard the witness and make due allowance for this".

It is with the above in mind that we now consider this appeal. The appellant, as we have stated raised mainly two defences. The first was one of alibi and the second was that there were grudges between the appellant's father and the complainant. Our understanding of the appellants defence is that he could not be properly identified as he was not at the scene of the robbery and the complainant's evidence together with that of his wife and his grandson were all fabricated stories against him. On the other hand the complainant and his wife were certain in their evidence that the appellant was one of their attackers. These were conflicting versions and demanded that the trial court had to carefully consider, analyse and evaluate the evidence that was before him both by the prosecution's witnesses and the appellant. He had to consider whether the circumstances for identification were favourable or not. He had to consider whether the defence of alibi was well founded and whether it was properly displaced by the prosecution case. The consideration had to clearly be born out by the record. Equally, the first appellate court, as was stated in the case of *Njoroge v Republic* (*supra*) had a duty to carefully analyse and weigh conflicting evidence and draw its own conclusion on the same, bearing in mind that it had not seen or heard the witnesses.

On the defence of alibi raised by the appellant, the Learned Magistrate mentioned the same in his summary of the evidence before him but in his consideration of same, he stated as follows:

> "Turning to the accused alibi defence to the effect that he spent the night in question at Sindo trading centre where he had gone to sell maize and tomatoes and that upon his return back home the following day he was summoned by PW4 at about 4pm and asked if he knew about the robbery which he denied, PW4 did confirm before the Court that in fact it was the accused who presented himself at his office on his own account to report that he was being wrongly implicated with robbery that had taken place in PW1's home the previous night. The open lie by the accused is an indication of guilt. The receipt and ticket (Exhibit D1 and 2) did not appear genuine and are documents that can only be obtained without any difficulty. I reject the accused alibi defence as an afterthought".

We have perused the entire record of appeal and particularly the proceedings. We cannot see any evidence adduced either by the prosecution or by the appellant that would justify the conclusion the Learned Magistrate came to, namely that the appellant's alibi was an open lie and an indication of guilt. He may not have been truthful when he said that PW4 summoned him and asked him if he knew about the robbery at the complainant's home but the burden was on the prosecution to displace his alibi.

The prosecution did not lead any evidence from which one could conclude that the two receipts produced by the appellant were false. The Learned trial Magistrate rejected them on the basis that the appellant might have told a lie on a different point. The High Court did not make any findings of its own on the alibi defence. We do not know if the High Court would have come to the same conclusion as the Magistrate on that point. On a second appeal, we must resolve that doubt in favour of the appellant with the result that the appellant's defence of alibi was wrongly rejected by the trial court and the first appellate court merely endorsed that rejection. That entitles us to interfere with the findings of the two courts.

The appellant also claimed that the complaint was made as a result of grudge between the complainant and the appellant's father over a piece of land that was in dispute between the two. The Learned trial Magistrate did not consider this defence and never made any finding on it. The superior court dismissed it stating that the issue was introduced by the appellant late and was not accorded an opportunity to be tested and countered and stated further as follows:

> "In most cases it can be assumed to have been an afterthought.
>
> In our minds, it is our believe (*sic*) that had the appellant genuinely known that there was a land dispute in existence and that was going to form the basis of his (*sic*) defence, then this should have come out much earlier rather then (*sic*) keeping it in his bosom as last weapon which could not be tested in cross examination when raised".

The Court ended its observation by saying that the trial Magistrate must have seen the issue was of no probative value. It did not make any decision on the issue and in our humble opinion, abdicated its role of analysing that evidence (considering that the appellant was unrepresented, and that the appellant was facing a serious charge which carried the death sentence) and making its own conclusion on the same. As it stands, all that superior court did was to state that the matter was introduced late and as there was no opportunity to cross-examine on it, the trial court found it was not of probative value. That evidence was on record and deserved to be fully considered and either dismissed or accepted.

There was one other matter that we feel should have been given some consideration. The chief stated in his evidence in chief as follows:

> "They informed me that they had been attacked the previous night by some thugs and that they could identify one of them. They reported that they were robbed of money and they suspected one Lucas Okinyi because he had seen them selling an animal".

The record does not show that both the trial Magistrate and the superior court considered this evidence which did show that the complainant suspected the appellant merely because, the appellant was present when the complainant was selling his (complainant's) animals. This was conflicting evidence when one considers complainant's other evidence that he saw the appellant at the scene of

the robbery and the definite evidence that it was the appellant together with another person who actually attacked them. We do not say that anything would have necessarily turned on this evidence, but it was the duty of the two courts below to consider it together with other evidence. If that was done, it is possible that a different conclusion could have been arrived at.

The consequence of all the above is that we do not have the benefit of the evaluation by the superior court of the effect in its analysis of the evidence against and for the appellant on the defence of alibi raised by the appellant. Equally we do not have the benefit of the trial courts analysis of evidence on the question of grudge between appellant's father and the complainant and the effect of the same on the entire case. That situation was not made better by the superior court in its declining to analyse the defence raised by the appellant of the grudges and the effect of the same on the case and lastly, the trial court and the superior court did not consider the effect of the evidence of PW4 on the entire case. As we have stated hereinabove, after analysing the same, they might have reached the same conclusion or they might have reached a different conclusion, but what is important is that they should have analysed the same defences and the evidence of PW4 before reaching a conclusion either way. Without the same analysis, there is a doubt as to what would have been their conclusion had they analysed the same. The same doubt must go to the appellant.

Before we allow this appeal, as we must do, we need to comment on the manner P3 (Exhibit 1) was produced and the way it was dealt with by the trial court and the superior court. Section 77(1) allows any document purporting to be a report under hand of a government analyst, medical practitioner or any ballistics expert, document examiner or geologist upon any person, matter or thing submitted to him for examination or analysis to be used in evidence. The same could be produced by a police officer as was done in this case provided the accused does not object. It is however necessary that in a case such as this where an accused person is not represented by a counsel, that the accused be made aware of the consequences of the P3 or such other documents being produced by the police in the absence of the maker of such a document. The Court should explain to the accused his right to insist on seeking to cross-examine the maker if he so wishes. In this case, the appellant should have been made aware that he could seek to cross-examine the maker of P3 if we so wished. That was not done but we make haste to add that in our view, nothing turns on that omission as in any case the ingredients of the offence of robbery were satisfied even if injuries were not proved.

We allow this appeal, quash conviction and set aside the sentence. The appellant is set at liberty unless otherwise lawfully held.

For the appellant:
Information not available

For the respondent:
Information not available

Southern Tanganyika Game Safaris and another v Ministry of Natural Resources and Tourism and others

[2004] 2 EA 271 (HCT)

Division: High Court of Tanzania at Dar-es-Salaam

Date of Judgment: 4 march 2004

Case Number: 301/02

Before: Kimaro J

Sourced by: LawAfrica

Summarised by: A Mwanzia

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[1] Contract – Lease agreement – Breach – Non-payment of rent and taxes – Whether lease lawfully terminated – Improvement done on rental property without landlord's consent – Whether lessee may recover value of improvements.

Editor's Summary

The plaintiff and second defendant (Hotel Tours and Management Ltd), entered into a contractual relationship through a lease agreement allowing the plaintiff to use and occupy for its guests and tourists tents, camp outhouses, airstrip, motor vehicles and boats then used by the second defendant at a place known as Mbuyu Safari Camp situated at Selous Game Reserves. Under the lease agreement, the plaintiff was to pay rent of US$ 30 000 or its equivalent in Deutsche Marks yearly and was also obligated to pay all taxes and game park fees to the Ministry of Natural Resources and Tourism (first defendant herein) as well as submission of returns.

The first defendant terminated the lease and the plaintiff sued all the defendants claiming there was frustration of the contract which led to the termination of the same. The plaintiff prayed for a declaration on the lawfulness of the lease agreement, special damages, general damages, interest and costs.

Issues framed for determination were (*a*) whether the lease agreement was lawfully terminated (*b*) whether the first defendant's closure of the impugned camp was lawful (*c*) whether the plaintiff suffered loss as a result of the said closure (*d*) what relief's were the parties entitled to.

Held – Final submissions should relate to the pleadings and evidence which was adduced in the trial. Final submissions were not evidence but only aimed at providing a guide to the Court in resolving the issues before the Court. *Vidyarthi v Ram Rakha* [1957] EA 527 followed.

The lease agreement was lawfully terminated, the plaintiff having failed to comply with the clauses of the lease agreement that required him to pay rent and relevant taxes. This was in contravention of section 37(1) of the Law of Contract Ordinance.

The plaintiff was not entitled to recover monies expended in improving the rented property since the same was done without permission from the landlord and was a breach of the lease agreement.

Suit dismissed with costs.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Vidyarthi v Ram Rakha [1957] EA 527 – **F**

Judgment

KIMARO J: The plaintiff and the second defendant created a contractual relationship through a lease agreement (Exhibition P1). The plaintiff is a limited liability company which deals with photographic tourism. The lease agreement allowed the plaintiff to use and occupy for its guests and tourists tents, camps outhouses, airstrip motor vehicles and boats then used and occupied by the second defendant at a place known as Mbuyu Safari Camp situated at Selous Game Reserves. The rent payable to the second defendant under the lease agreements was USD 30 000 or its equivalent in Deutsche Marks (DM) yearly. The second defendant is a subsidiary/sister company of the third defendant. The third defendant holds 100% shares in the second defendant.

Under Exhibit P1, the plaintiff was obligated to pay all taxes and game park fee to the Ministry of Natural Resources and Tourism as well as submission of returns. That is why the first and fourth defendant are also joined in the suit.

The lease agreement was for 10 years, starting from 29 June 1994 (clause). The plaintiff avers that there was a frustration of the contract which resulted into the termination of the contract. The plaintiff is praying for judgment and decree against the defendants jointly and severally for the following orders:

(i) Declaration on the lawfulness of the lease up to the completion of the lease period.

(ii) Specific damages of USD 60 000 and others mentioned in the plaint.

(iii) General damages.

(iv) Interest

(v) Costs.

All the defendants denied liability.

The issue framed for the determined of the Court are:

(i) Whether the lease agreement was lawfully terminated.

(ii) Whether the first defendants closure of the impugned camp was lawful.

(iii) Whether the plaintiff suffered loss as a result of the said closure.

(iv) To what relief's are the parties entitled to.

On the first issue both Mr Chidowo, the Learned State Attorney who appeared for the first and fourth defendants and Mr *Mujulizi*, the learned advocate who appeared for the third defendant submitted that the first issue should be answered affirmatively because the circumstances justified the termination of the same. They both said that the evidence tendered by the defence witnesses and the plaintiffs own admission, was that the plaintiff fell in arrears of reserved rent and government taxes. The Court was referred to the terms of the lease agreement on the payment of rent and taxes as well as section 37(1) of the Law of Contract Ordinance, Chapter 433.

Mr *Maira*, the learned advocate who appeared for the plaintiff on the other hand submitted that the question of lawful termination does not arise because the lease agreement was void *ab initio* because it was perpetuated by fraud on the part of the second defendant. His contention was that there was nondisclosure of information by the second defendant. With greatest respect to Mr *Maira*, such a submission for a summing up of the case is a misplacement. The validity of the lease agreement is not what forms the cause of action for the plaintiff in this case. It was not pleaded. It was not an issue in the case. Nor was any evidence led by the plaintiff on this aspect. The case of *Vidyarthi v Ram Rakha* [1957] EA 527 is an authority on what the contents of final submissions should relate. They should relate to the pleadings and the evidence which was adduced in the trial. Final submissions are not themselves evidence. They are aimed at providing a guide to the Court in resolving the issues before the Court. They must therefore be directed to what was pleaded and the evidence that was led during the trial.

The clarification having made, I will say that the submissions by Mr *Maira* on the first issue cannot be considered, let alone be accepted by the Court. They do not relate in any way to the plaintiffs pleadings, the issue which has been referred to, nor is there any evidence to support linkage of the submissions made by Mr *Maira* in respect of the first issue.

Both Mr Chidowo and Mr *Mujulizi* submitted quite correctly, that the relationship between the landlord and tenant was contractual and parties to the lease agreement are duty bound to comply with their respective covenants of lease agreement.

Under clause 7(*a*) and (*c*) of the lease agreement, (Exhibit P1), the plaintiff was obliged to pay all taxes and game park fees payable to the Ministry of Lands Natural Resources and Tourism.

The testimony of the defence witnesses Augustine Mundala (DW1) and Eliaezer Mwakilwa (DW2) was that the plaintiff fell into arrears of entry fees for tourists as well as conservation fees. Mr Agricola Athanas Magoho (DW3) told the Court that the plaintiff defaulted in payment of rent to the landlord. The plaintiff admitted falling back in the payment of the entry fees and conservation fee. He associated his default with the September 11 bombing of the United States of America Embassies in Dar-es-Salaam and Nairobi as well as the bombing of the hotels in Zanzibar and Mombasa. He said terrorist activities were a set back in the tourist industry worldwide. They resulted in higher operational costs than the revenues. As regard the default in payment of rent this evidence is not disputed.

There is evidence showing that prior to the closure of the camp, the plaintiff was reminded and warned to make good the arrears of reserved rent and government taxes (Exhibit D2). A letter dated 3 March 2000 (Exhibit D5) contains an express admission by the plaintiff of his failure to pay the outstanding park fees. Following the plaintiff's persistent failure to comply with the express terms of the lease agreement, the plaintiff was served with a notice of breach of the terms and conditions of the lease agreement (Exhibit D3). That was on 28 May 1999. Even then, the plaintiff ignored and or neglected compliance of the terms and conditions of the lease agreement.

A notice of termination of the lease agreement pursuant to clauses 7(*c*) and (*j*) and 9(*c*) was served on the plaintiff on 15 June 1999.

The plaintiff's main complaint is that the lease agreement was terminated by the Minister without authority because the lease agreement was not made between the plaintiff and the Minister. The plaintiff tendered into court letters of cancellation of the agreement authored by the Minister. They were admitted by the Court as Exhibit P2 and P3.

The evidence on record shows that by Exhibit D3, the plaintiff was notified of the breach of terms and conditions of the lease agreement. These were payment of the reserved rent on the days and manner agreed upon, payment of taxes and game park fees to the ministry of lands and natural resources as well as submission of returns and alteration or addition of any of the premises or camp without the consent of the lessor. These are the covenants in clauses 7(*a*), 7(*c*) and 7(*j*) respectively. Exhibit D3 is dated 28 May 1999. DW3 said the termination followed on 15 June as per Exhibit D4. The lease was terminated on 15 June 1999.

Exhibit D5 dated 3 March 2000 is clear evidence that the plaintiff received Exhibit D3 but did not clear the outstanding arrears of rent and taxes. It was only when the Minister for natural resources and tourism wrote to the plaintiff that the plaintiff seriously engaged in measures in defence of its position. It cannot be said that the lease agreement was terminated by the Minister for tourism on 3 June 2002. The lease agreement was terminated by the lessor on 15 June 1999 and it was lawful terminated.

Section 37(1) of the law of contract ordinance camp 433 requires the parties to a contract to perform their respective promises. The section reads:

> "The parties to a contract must perform their respective promises, unless such performance is dispensed with or excused under the provisions of this ordinance or any other law".

The plaintiff having failed to comply with the clauses of the lease agreement that required him to pay rent and relevant taxes under the lease agreement, the contract was lawfully terminated.

Mr *Maira*'s submission for the second issue was that the first defendant was not privy to the lease agreement and had no authority to close the impugned camp. The plaintiff was making payments to the first and second defendant until they demanded the concession letter from the second defendant until they were denied. Still they continued to pay the first defendant the outstanding fees. Mr *Maira* made reference to the bomb attacks referred to herein before and how they affected the tourist business but still the plaintiff kept on paying taxes to the first defendant.

Both Mr Chidowo and Mr *Mujulizi* responded by saying that the first defendant was entitled to close the impugned camp after the plaintiff defaulted in paying taxes.

The plaintiff has admitted failure to pay the taxes and fell in arrears. PW1 Alfred Moozer, the Executive and managing director of the plaintiff said:

> "We conceded there was some fees due".

Exhibit D5 is a clear admission by the plaintiff of being in arrears. Therefore, it is not true as submitted by Mr *Maira* that the plaintiff was paying taxes in accordance with the agreed schedule. The evidence on record shows that the

lease agreement was terminated by the second defendant way back in June 1999 but the plaintiff continued to carry on business. The closure of the camp came after the lease was lawfully terminated by the second defendant because of the plaintiff's failure to honour the terms of the lease agreement. Although the plaintiff claimed that the lease agreement was not terminated no evidence was led to prove the existence of the lease agreement after the second defendant terminated it. In terms of section 110(1) and (2) of the Evidence Act, 1967 the burden was on the plaintiff to prove the existence of the lease agreement, which was not done in this case.

The third issue relates to loss purported to have been suffered by the plaintiff because of the closure of the camp. Mr *Maira* submitted that the plaintiff invested about TShs 423.4 million to change the camp and made it a beautiful place loved by tourists after finding it in a dilapidated state when the plaintiff started operations. The closure of the camp frustrated all the investments. He said the period in which the plaintiff ran the business built good relationships, goodwill and reputation within and outside Tanzania which were made on trust and years of hard work but all have now been destroyed.

Mr Chidodwo's response was that the plaintiff was granted by the first defendant temporary permission to extend camp activities up to November for purposes of enabling the plaintiff to accommodate the bookings made up to 7 November 2002. He said bookings made thereafter were done at the plaintiff's own risk and the first defendant cannot be held liable.

Mr *Mujulizi* on the other hand submitted that the improvements alleged to have been done by the plaintiff on the rented premises was another breach. The lease agreement required the plaintiff to have a prior approval of the lessor – second defendant (clause 7(*j*) of Exhibit P1) which the plaintiff did not have.

Clause 7(*j*) of Exhibit P1 reads:

> "The lessee hereby covenants with the lessor as follows:
>
> (*j*) Not without the previous consent in writing of the lessor or his agent to make or permit to be made any alteration or addition to any of the premises or in the camp or outmain or injure or alter any of the walls or timber of any structure. The lessee can erect new tents/buildings or make improvements to the property with the consent of the lessor, such consent not to be unreasonably withheld".

Mr *Mujulizi* submitted correctly that the improvements effected by the plaintiff in the context demonstrated by the plaintiff were illegal and unjustified for want of consent from the second defendant. In this perspective the plaintiff cannot be entitled to damages against the second and third defendant. Not even against the first defendant because the lease agreement was terminated in June 1999 and the plaintiff was only granted temporary extension up to November 2002. If he went beyond that period and made advanced bookings up to this year, then the plaintiff must bear the consequences alone. The circumstances as they stand, do not support the plaintiffs contention that it suffered loss as a result of the closure of the camp. The lease agreement was lawfully terminated because of breach of the terms and conditions of the lease agreement by the plaintiff well before he made those bookings.

Lastly, is the relief(s). The plaintiff having failed to establish the claims it is praying for, the suit is dismissed with costs.

For the plaintiff:
Mr Maira

For the first and fourth defendants:
Ms Teri

For the second and third defendants:
Mr Mujulizi

Ssemogerere and others v Attorney-General (3)
[2004] 2 EA 276 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of Judgment:	29 January 2004
Case Number:	1/02
Before:	Odoki CJ, Oder, Tsekooko, Karokora, Mulenga, Kanyeihamba JJSC and Byamugisha AJSC
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Constitution – Amendment – Procedure to be followed – Whether Act 13 of 2000 complied with procedure for amending Constitution – Whether Constitution may be amended by implication and infection – Whether Act 13 of 2000 was unconstitutional – Articles 28, 41(1), 44(c), 128(1) (2) (3), 137(3), 259 and 262 Constitution of Uganda.

[2] Constitutional Court – Jurisdiction – Whether Constitutional Court had jurisdiction to hear petition challenging an Act of Parliament unconstitutional – Article 137(3) Constitution of Uganda.

Editor's Summary

Paul K Ssemogerere and Zachary Olum petitioned the Constitutional Court seeking a declaration that the Referendum and Other Provisions Act of 1999 was null and void on the ground that parliament had passed it without a quorum. The Constitutional Court dismissed the petition as incompetent and decided that it has no jurisdiction to entertain the petition. The petitioners appealed to the Supreme Court which allowed the appeal and held that the Constitutional Court had jurisdiction to decide whether or not the Referendum and Other Provisions Act was passed in accordance with the provision of the Constitution. The petition was referred back to the Constitutional Court for hearing.

The Constitutional Court heard the petition and declared null and void the Referendum and Other Provisions Act which had been passed without the requisite quorum and in disregard of the Constitutional provisions applicable. As a result of that judgment, parliament passed the first amendment to the 1995 constitution (Uganda), namely, the Constitution (Amendment) Act number 13 of 2000. It was introduced in parliament, debated, passed and received presidential assent.

The three appellants, Messrs Paul Ssemogerere, Zachary Olum and Juliet Rainer Kafire filed a constitutional petition against the Attorney-General challenging *inter alia*, the constitutionality of the

Constitution (Amendment) Act number 13 of 2000. The Constitutional Court declared by a majority that it had no

jurisdiction to interpret one provision of the Constitution against another or others. It decided that it could only hear one ground which it framed, namely, whether Act 13 of 2000 was passed in compliance with the procedural requirements for the amendment of the Constitution. The Constitutional Court dismissed the petition and held that Act 13 of 2000 had properly amended articles 88, 89, 90, 97 and 257 which were specifically enumerated in the long title to the amending bill. The Court further held that the Act had not amended any other articles of the Constitution.

The appellants appealed against the majority decision of the Constitutional Court.

Held – The Constitutional Court was under a duty to make a declaration. In denying that it had jurisdiction to make a declaration, the Learned majority Justices of the Constitutional Court had abdicated the function of the Court and their decision was made *per incuriam*. *Attorney-General v Tinyefuza* constitutional appeal number 1 of 1997; *Ssemogerere and another v Attorney-General* [2000] LLR 5 (SCU) followed. *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU); *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301 overruled.

In amending article 88, 89, 90 and 97 of the Constitution, parliament failed to comply with the provisions of the Constitution in that the bill effecting their amendment should have been accompanied by a certification by the speaker of parliament indicating that the bill had complied with the provisions before the presidential assent.

The Constitution (Amendment) Act 13 of 2000 was unconstitutional and should be struck out as null and void.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Attorney-General v Tinyefuza constitutional appeal number 1 of 1997 – **F**

Chapaa and others v Attorney-General constitutional petition number 6 of 2000 (UR) – **D**

Dodhi v National and Gridlays bank Ltd [1970] EA 195 – **C**

Kiriri Cotton Company Limited v Ranchoddas Kesharji Dewani [1958] EA 239 – **C**

Opolo v Attorney-General [1969] EA 631 – **C**

Rwanyarare and another v Attorney-General [1999] LLR 43 (CAU) – **O**

Serugo v Kampala City Council and another constitutional appeal number 2 of 1998 (SC) (UR) – **C**

Sowabiri and another v Uganda (SSC) criminal appeal number 5 of 1990 – **C**

Ssemogerere and another v Attorney-General [1999] LLR 1 (CAU) – **F**

Ssemogerere and another v Attorney-General [2000] LLR 5 (SCU) – **F**

*Tinyefuza v Attorney-Genera*l constitutional appeal number 1 of 1997 (SC) (UR) – **F**

Tinyefuza v Attorney-General constitutional case number 1 of 1996 – **F**

Uganda Law Society and another v Attorney-General [2001] 1 EA 301 – **O**

Canada

The Queen v Big M Drug Mart Limited [1986] LRC 332 – **C**

India

KC Gajapati Narayan Deo v Orissa [1954] SCRI (53) ASC 375 – **C**

Kesavananda v State of Kerala AIR 1654 SC 788 – **C**

Kesavananda v State of Kerala AIR 1973 SC 146 – **D**

Singapore

Teo Soh Lung v Minister of Home affairs and others [1990] LRC – **C**

South Africa

Phato v Attorney-General [1999] 3 LRC 587 – **C**

United Kingdom

Attorney-General for Alberta v Attorney-General for Canada [1979] – **C**

Attorney-General for Ontario v Reciprocal Insurers [1924] AC 326 – **C**

Bribery Commissioner v Ranasinghe [1965] AC 132 – **F**

House of Lords Practice Statement (Judicial Precedent) [1966] I WLR 1234 – **C**

Morgan Pty Limited v Dy Commissioner of Taxation for NSW [1940] AC 838 – **C**

Stockadale v Hansard [1839] 9 Ad and E1 – **C**

Union Colliery Company of British Columbia v Bryden [1899] AC 580 – **C**

Young v Bristol Aeroplane Company Limited [1944] KB 718 – **C**

United States

Smith Dakota v North Carolina 192 US 268 [1940] – **C**

Judgment

KANYEIHAMBA JSC: The background of this appeal is as follows:

Sometime in 1999, Paul K Ssemogerere and Zachary Olum petitioned the Constitutional Court, petition number 3 of the same year seeking a declaration that the Referendum and Other Provisions Act of 1999 which was passed by parliament on 1 July 1999 was null and void on the ground that parliament had passed it without a quorum. The Constitutional Court dismissed the petition as incompetent and decided that it had no jurisdiction to entertain the petition. The petitioners appealed to this Court by way of constitutional appeal number 1 of 2000. On 31 May 2000 we delivered judgment in which we allowed the appeal and held that the Constitutional Court had jurisdiction to decide whether or not the Referendum and Other Provisions Act was passed in accordance with the provisions of the Constitution. We directed that the Constitutional Court should hear the petition on its merits.

Following our judgment in that appeal, the Constitutional Court heard constitutional petition number 3 of 1999 between the same parties and delivered its judgment on 10 August 2000. In that judgment, the Constitutional Court declared null and void the Referendum and Other Provisions Act number 2 of 1999 which had been passed by parliament without the requisite quorum and in disregard of the constitutional provisions applicable. As a result of that judgment, parliament passed the first amendment to the 1995 Constitution, namely the Constitution (Amendment) Act number 13 of 2000. It was introduced in Parliament debated, passed and received presidential assent on the same day, namely the 31 August 2000.

The three appellants Messrs Paul Ssemogerere, Zachary Olum and Miss Juliet Rainer Kafire, filed a constitutional petition against the Attorney-General challenging, amongst other things, the constitutionality of the Constitution (Amendment) Act number 13 of 2000.

The petitioners filed their petition in the Constitutional Court under article 137 of the Constitution. In the petition, they *inter alia*, challenged the validity of the Constitution (Amendment) Act 13 of 2000. The petition contained several grounds and prayers. However, the Constitutional Court, having held that it was bound by its previous decisions on similar matters, declared by a majority that it had no jurisdiction to interpret one provision of the Constitution against another or others. It decided that it could only hear one ground which was framed by the Court itself, namely, whether Act 13 of 2000 was passed in compliance with the procedural requirements for the amendment of the Constitution. In consequence, by a majority of three to two, the Constitution (Amendment) Act 13 of 2000 had properly amendment articles 88, 89, 90, 97 and 257 which were specifically enumerated in the long title to the amending bill. The Court further held that the Act had not amended any other articles of the Constitution as alleged by the petitioners. The appeal before this Court is against the judgment of the majority Learned Justices of the Constitution Court.

The memorandum of appeal in this Court contains six grounds which are framed as follows:

1. The Learned majority justices of the Constitutional Court erred in law and fact when they held that section 5 of the Constitution (Amendment) Act 2000 did not amend articles 28, 41 (1) and 44(*c*) of the Constitution by the implication and infection which articles require amendment in accordance with articles 259 and 262 of the Constitution.
2. The Learned majority justices of the Constitutional Court erred in law and fact when they held that section 5 of the Constitution (Amendment) Act 2000 did not amend articles 1 and 2 (1) and (2) of the Constitution by implication and infection, which articles require any amendment to be in accordance with articles 259 and 262.
3. The Learned majority Justices of the Constitutional Court erred in law and fact when they held that section 5 of the Constitution (Amendment) Act, 2000 did not amend articles 128(1) (2) and (3) and 137(3) of the Constitution by implication and infection which articles require amendment in accordance with articles 259 and 262.
4. The Learned majority justices of the Constitutional Court erred in law and fact when they held that the petitioners/appellants had not proved that parliament did not follow the required procedure under articles 259 and 262 of the Constitution when enacting the Constitution (Amendment) Act 2000.

5. The Learned majority justices of the Constitution Court erred in law when they failed to distinguish between a waiver of parliamentary procedure and non-compliance with the constitutional provisions under articles 258, 259 and 262 of the 1995 constitution of Uganda.

6. The Constitutional Court erred in law and fact and misconstrued the gist of the petition and the petitioners' contention when they held that a Constitutional Court would have no jurisdiction to construe part of the Constitution as against the rest of the Constitution and thereby came to a wrong conclusion.

Mr *Lule*, SC and Mr *Balikuddembe* represented the appellants and Mr *Bireije*, Commissioner for Civil Litigation assisted by Mr Okello *Oryem*, Senior State Attorney, both from the Attorney-General's Chambers appeared for the respondent.

Mr *Lule* for the appellants argued grounds 1, 2, 3, 4 and 5 together and ground 6 separately. He submitted that the appeal had arisen because of the failure by the majority Learned Justices of Appeal to resolve several allegations brought before them including the allegation that the enactment of the Constitution (Amendment) Act 13 of 2000 did not comply with the constitutional provisions for amending certain provisions of the 1995 constitution and that some provisions of that same Act contravene or are at variance with several provisions of the 1995 Constitution.

Mr *Lule* contended that Chapter 18 of the Constitution prescribes in articles 258, 259, 261 and 262 the procedure which an amendment of the Constitution must follow. Counsel contended further that the Constitution classifies those provisions into three groups each of which requires its own special procedure that parliament ignored when enacting Act 13 of 2000. He pointed out those provisions with which parliament did not comply. I will be discussing them in this judgment.

Mr *Lule* contended that the majority Justices of the Constitutional Court erred in holding that only those provisions of the Constitution which were expressly mentioned by the Act were amended. Counsel contended that whether or not a provision of a Constitution is amended depends on the purpose and effect of the purported amending instrument. In law, a provision can be amended by implication or by infection. In Mr *Lule*'s view, even though not specifically mentioned in Act 13 of 2000, the reading of its sections indicate clearly that articles 1, 2(1), 2(2), 28, 41(1) 44(*c*), 128(1), (2), (3) and 137 (3)(*a)*, were all amended either by implication or infection.

It was also Mr *Lule*'s contention that by amending article 41, the Constitution (Amendment) Act infected article 44(*c*) which prohibits any derogation from the enjoyment of the right to a fair hearing. Counsel further contended that by re-enacting article 41 and adding on it two more clauses, Parliament not only diluted that article's original authority, but amended it without following the procedural rules required of it by the Constitution.

Counsel submitted that previously, both this Court and the Constitutional Court held section 15 of the National Assembly (Powers and PrivilegesAct), Chapter 249 inoperative in so far as it was in conflict with the provisions of article 41 and yet, the Constitution (Amendment) Act 13 of 2000 had restored the provisions of that earlier Act which had also been held to be in the conflict with the Constitutional right to a fair hearing. Counsel contended that the necessity to seek leave from Parliament to release information from therein or to

require a Member of Parliament to give evidence, adversely affects the provisions of article 41.

Mr *Lule* contended that if Parliament were to effectively amend the provisions of the Constitution it had to strictly follow the procedures and conditions prescribed by the Constitution itself and therefore the majority Justices of the Constitutional Court erred in law in holding that such procedures and conditions are internal to Parliament and failure to follow them cannot affect the legislation made by that August House. In counsel's opinion these Constitutional requirements are mandatory and Parliament cannot do indirectly what it is prohibited from doing directly. In Counsel's view, for Parliament to do so would result in colorable legislation.

On ground 6, Mr *Lule* contended that the majority Learned Justices of the Constitutional Court erred in law in holding that they had no jurisdiction to construe one part of the Constitution as against another or the rest of it. Counsel contended that the appellants had presented convincing evidence in their respective affidavits. In counsel's view, their affidavits dealt with matters of which they had personal knowledge since two of them are members of Parliament and had been present when the Constitution (Amendment) bill went through its various stages in Parliament. Mr *Lule* pointed out that on the other hand, the affidavit in support of the respondent's case was by a State Attorney who was not a member of Parliament.

Counsel cited the cases of *Ssemogerere and another v Attorney-General* [2000] LLR 5 (SCU) and *Ssemogerere and another v Attorney-General* [1999] LLR 1 (CAU), *Tinyefuza v Attorney-Genera*l constitutional appeal number 1 of 1997 (SC) (UR), *The Queen v Big M Drug Mart Limited* [1986] LRC 332, *HM Seervai* on the *Constitutional Law of India* and *Teo Soh Lung v Minister of Home Affairs and others* [1990] LRC in support of his submissions.

For the respondent, Mr *Bireije* supported the majority judgment of the Constitutional Court. He contended that Parliament had correctly followed the right procedure when enacting Act 13 of 2000. Counsel contended that the only issue before the Constitutional Court for determination was whether Parliament had complied with the relevant constitutional provisions when amending articles 88, 89, 90 and 97 and in creating a new article 257A. He further contended that the petitioners had failed to produce evidence to prove their allegation that Parliament had not followed the correct procedure. In Counsel's view, the provisions which were the subject of the amendment required conformity with articles 258, 261 and 262(2)(*a*) of the Constitution and Parliament fully complied with these provisions. Counsel contended further that the amendments effected by Act 13 of 2000 did not require compliance with article 262(*b*), as claimed by counsel for the appellants. It was Mr *Bireije*'s further contention that all the constitutional provisions which Act 13 of 2000 affected had been clearly identified and expressly stated in the amending bill and consequently those other provisions named by the appellants as having been amended were not amended since the latter were not specifically named.

Counsel contended that the amendment did not in any way affect article 137 as alleged in the petition because even today people continue to enjoy the right to petition the Court if they claim that any of their constitutional rights have been violated or threatened. Mr *Bireije* conceded that the Constitutional Court has jurisdiction to harmonise various parts of the Constitution but contended that in this particular case, the Court was only concerned with one issue,

namely whether Parliament had enacted Act 13 of 2000 in accordance with the constitutional procedure applicable for this kind of legislation. It was counsel's Contention that Parliament had correctly complied with that procedure. He cited the cases of *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301 and *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU) in support of his submissions.

I will first consider the issue raised in ground 6 of this appeal which I regard as of preliminary nature and on which the Constitutional Court made a finding. By a majority, the Constitutional Court held that it had no jurisdiction to consider and make a pronouncement on one part of the Constitution in relation to any other or more parts of the same Constitution. In her judgment, Mukasa-Kikonyongo, Learned DCJ stated,

> "Once the correct procedure for enacting a Constitutional Amendment Act is complied with, its provisions become part and parcel of the Constitution. They cannot be challenged in this Court. This Court by a majority of 3 to 2 in constitutional petition number 5 of 1999, *Doctor Rwanyarere and Haji Bandru Wegulo v Attorney-General*, held that this Court would not have jurisdiction as against the rest of the Constitution All that this Court could do was to determine whether the challenged Act was enacted in accordance with the procedure for enacting constitutional amendments".

Re-echoing the same view, Kato JA, as he then was observed:

> "When the petition came up for hearing on 10 November 2000, a preliminary objection was raised by Mr Deus Byamugisha acting director for Civil Litigation on behalf of the respondent. In the objection, he challenged the jurisdiction of the Court to hear the petition since the petitioners were asking the Court to declare part of the Constitution to be inconsistent with another part. The Court ruled it had no power to declare one article of the Constitution inconsistent with another, but it could deal with the question as to whether or not a correct procedure was followed when Act 13 of 2000 was passed".

In her concurring judgment, Kitumba JA said:

> "It is clear from the Constitution (Amendment) Act that the articles of the Constitution which Parliament amended were specified and are articles 88, 89, 90, 97 and 257. It is not the duty of this Court to look into the effect or implication of those amendments as doing so would be trying to interpret one constitutional provision against another. This Court declined to do that. See *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU) and this Court's ruling in the instant petition on 29 November 2000".

I note that in the judgments of the majority Justices of the Constitutional Court, great reliance was placed on the decisions of the same court in *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU), *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301, *Chapaa and two others v Attorney-General* constitutional petition number 6 of 2000, (Constitutional Court (UR). It is also evident from both the record of proceedings and the judgments of the Constitutional Court that other authorities including binding ones form this Court were cited by counsel for the appellants. In those other authorities such as *Tinyefuza v Attorney-General* (*supra*). *Ssemogerere and another v Attorney-General* (*supra*) and *Serugo v Kampala City Council and another* constitutional appeal number 2 of 1998 (SC) (UR) judicial interpretation of constitutional instruments and other legal documents were extensively and in my opinion, exhaustively examined, explained and pronounced upon by this Court. Other leading authorities were cited and relied upon by this Court. Moreover, in guiding the

Constitution Court, some of these authorities were cited by counsel in favour of the appellant's petition.

The record of proceedings before the Constitutional Court indicates quite clearly that counsel for the appellants made submissions on how constitutional amendments are interpreted by courts. Thus, Mr *Lule* lead counsel for the appellants in Constitutional Court submitted:

> "Constitutional appeal number 1 of 2000 at 32 article 41 was held to be linked with article 44 by Honourable Wambuzi CJ at page 15 of his judgment. He linked various Articles Amendments of one affects others. Honourable Tsekooko's at 7 and 8, Honourable Karokora's at 7 and 9, Honourable Mulenga's at 15 and 19, Honourable Kanyeihamba's at 10, 11 and 14. Honourable Oder at 5 and 10. I submit articles 42 and 44, 128 and 28(1) are all linked".

Counsel for the appellants cited additional authorities from the commonwealth and other jurisdictions such as the *The Bribery Commissioner v Ranasinghe* [1965] AC 132, *Phato v Attorney-General of South Africa* [1999] 3 LRC 587. *The Queen v Big M Drug Mart* [1986] LRC 332. With great respect, I do not agree with the Learned DCJ that all the authorities cited were irrelevant.

With great respect, the majority of the Learned Justices of the Constitutional Court do not appear to have taken into account counsel's submissions and relevant authorities cited to that court. The approach they adopted is almost tantamount to taking a maiden voyage into the mystery of interpretation.

The view of the majority Learned Justices of the Constitutional Court that once Parliament has passed a constitutional amendment correctly that amendment becomes part of the Constitution and thereafter cannot be questioned in a court of law is, to say the least, a negation of article 137(3)(*a)* which provides that a person who alleges that "an Act of Parliament or any other law or anything in or done under the authority of any law is inconsistent with or in contravention of this Constitution may petition the Constitutional Court for a declaration to that effect, and for redress where appropriate".

In my view, an Act of Parliament which is challenged under article 137(3) remains uncertain until the appropriate court has pronounced itself upon it. The Constitutional Court is under a duty to make a declaration, one way or the other. In denying that they had jurisdiction to make a declaration on this petition, the Learned Majority Justices of the Constitutional Court abdicated the function of that court.

Only the dissenting Learned Justices of the Constitutional Court found it necessary to refer to these other authorities. Thus, Twinomujuni JA observed in his judgment:

> "Following its earlier decisions and those of the Supreme Court of Uganda in *Tinyfuza v Attorney-General* constitutional case number 1 of 1996, *Attorney-General v Tinyefuza* constitutional appeal number 1 of 1997 and *Ssemogerere and another v Attorney-General* [2000] LLR 5 (SCU) this Court held that:
>
> (*a*) Section 15 of the National Assembly (Powers and Privileges) Act contravened article 41 of the Constitution.
>
> (*b*) Section 15 of the National Assembly (Powers and Privileges) Act contravened article 28(1), 41 and 44(*c)* of the Constitution.
>
> It was a result of these decisions that Paul Ssemogerere and Honourable Zachary Olum were able to obtain the evidence that enabled them to succeed in constitutional petition number 3 of 1999".

Justice Mpagi-Bahigeine JA, the other dissenting Learned Justice of the Constitutional Court referred to those same binding and leading authorities including *Attorney-General v Tinyefuza* (*supra), Ssemogerere and another v Attorney-General* (*supra*) and *The Queen v Big M Mart Limited* [1986] LRC 332 in her judgment.

In the case of *Tinyefuza v Attorney-General* (*supra*), the petition was considered by the Constitutional Court differently constituted from that which heard this appeal and on the constitutional interpretation, Manyindo DCJ as he then was observed,

> "The entire Constitution has to be read as an integrated whole and no one particular provision destroying the other but each sustaining the other. This is the rule of harmony, rule of completeness and exhaustiveness and the rule of paramountacy of the written Constitution. The third principle is that the words of the written Constitution prevail over all unwritten conventions, precedents and practices. I think it is now also widely accepted that a court should not be swayed by considerations of policy and propriety while interpreting provisions of the Constitution".

The other Learned Justice of the Court Acting Justice Okello, Acting Justice Mpagi-Bahigeine Acting Justice Tabaro and Acting Justice Egonda-Ntende agreed or expressed the same views.

Guidance as to how to interpret a constitutional instrument in relation to other documents including those which are not specifically mentioned by that instrument may be discerned from article 273 of the Constitution. It provides:

> "273(1) subject to the provisions of this article, the operation of the existing law after the coming into force of this Constitution shall not be affected by the coming into force of this Constitution, but the existing law shall be construed with such modifications, adaptations, qualifications and exceptions as may be necessary to bring it into conformity with this Constitution".

This provision shows quite clearly that provisions of the Constitution or any other law do not have to be specifically mentioned to be amended by implication or infection. I am therefore not persuaded by the arguments of respondent's counsel that if constitutional provisions are not specifically mentioned in an amending bill they cannot be held to have been amended. This argument is not founded in logic or precedent. It attempts to clothe Parliament with an apparent authority to do what is not permitted to do by the Constitution with the result that what it enacts has the appearance of a law, but it is a law which has no substance to it. This is what the Learned lead counsel for the appellants called colourable legislation. Curiously however, this assertion managed to find comfortable accommodation in the judgments of some of the Learned Justices of the Constitutional Court.

In the Canadian Supreme Court case of the *The Queen v Big M Drug Mart Limited* (*supra*) at 332 it was said,

> "Both purpose and effect are relevant in determining constitutionality; either an unconstitutional purpose or an unconstitutional effect can invalidate legislation. All legislation is animated by an object the legislature intends to achieve. This object is realised through impact produced by the operation and application of the legislation. Purpose and effect respectively, in the sense of the legislation's object and its ultimate impact, are clearly linked, if not indivisible. Intended and achieved effects have been looked to for guidance in assessing the legislation's object and thus the validity".

In *Smith Dakota v North Carolina* 192 US 268 [1940] the United States Supreme Court expressed the opinion that:

> "It is an elementary rule of constitutional construction that no one provision of the Constitution is to be segregated from the others and to be considered alone but that all the provisions bearing upon a particular subject are to be brought into view and to be interpreted as to effectuate the great purpose of the instrument".

When a court ignores or overlooks a binding precedent and decides a case as if that precedent does not exist, its decision is said to be a decision *per incurium*. I agree with Twinomujuni JA where he laments in his dissenting judgment that in the Constitutional Court,

> "We appear to be bent on adjudicating this Court out of existence by declining to exercise jurisdiction conferred expressly or by implication by article 137(3)".

In my opinion, the majority Justices of the Constitutional Court were in error and their decision, in so far as it holds that that court has no jurisdiction to adjudicate on a provision of the Constitution in relation to others, is a decision *per incurium*. In this context, it is my view that *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU) and *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301, were wrongly decided. Ground six of this appeal therefore ought to succeed.

I will next consider and resolve grounds 1, 2, 3, and 4. These grounds relate to the contention by the appellants that the Constitutional Court erred in holding that Act 13 of 2000 did not amend articles 1, 2(1), 2, 28, 41(1), 44(*c*), 128(2), (3) and 137(3) of the Constitution and that even in relation to those articles it intended to amend, Parliament did not comply with the provisions of the Constitution.

In order to resolve this matter, it is necessary to examine what is meant by amending the Constitution, peruse the provisions of the Constitution (Amendment) Act 13 of 2000 and then decide whether or not its provisions had the effect of amending the articles and clauses of the Constitution which have been enumerated above, either directly, indirectly or by infection as contended by the appellants.

I find the meaning of "Amendment of the Constitution" as ably set out in the dissenting judgment of Twinomujuni JA to be most persuasive. The Learned Justice of the Constitutional Court said:

> "The meaning of this phrase is to be found in article 258 of the Constitution. It states that the Constitution can only be amended if:
>
> '(i) An Act of Parliament is passed.
>
> (ii) The Act has the effect of adding to, variation (*sic*) or repealing any provision of the Constitution.
>
> (iii) The Act has been passed in accordance with Chapter 18 of the Constitution'.
>
> If an Act of Parliament has the effect of adding to varying or repealing any provision of the Constitution, then the Act is said to have amended the affected article of the Constitution. There is no difference whether the Act is an ordinary Act of Parliament or an Act intended to amend the Constitution. The amendment may be effected expressly, by implication or infection, as long as the result is to add to, vary or repeal a provision of the Constitution. It is not material whether the amending Act states categorically that the Act is intended to affect a specified provision of the Constitution. It is the effect of the amendment that matters".

The Constitution (Amendment) Act 13 of 2000 which was enacted, assented to and commenced on the 31 August 2000 is brief and contains six sections. The long title to the Act reads as follows:

> "An Act to repeal and replace article 88 of the Constitution and make provisions in relation to quorum; to amend article 89 of the Constitution to provide for the manner of ascertaining the majority of votes cast on any question; to repeal and replace article 90 of the Constitution; to recognise the role of the committee of the whole house in the passing of bills and to make provisions in relation to the functions of committees of Parliament; to amend article 97 of the Constitution to protect the proceedings of Parliament from being used outside Parliament without the leave of Parliament; and to insert a new article 257A to ratify certain past acts relating to procedure".

Section 1 of the Act prescribes the short title to the Act. Sections 2-5 contain provisions which attempt to amend or would have the effect of amending existing provisions of the Constitution. Section 6 creates an additional clause to the Constitution. On the face of it, Act 13 of 2000 shows that Parliament expressly attempted to amend articles 41, 88, 89, 90, 97 and 257 of the Constitution. Two questions to be answered are whether any other constitutional provisions were amended by implication or infection and whether all the amendments whether express, implied or by infection, were passed in accordance with the procedure prescribed by the Constitution.

I will first consider whether each of the provisions listed in the grounds of appeal was amended in any of the ways mentioned and if so whether the procedure prescribed by the Constitution for amending it were adhered to by Parliament. The appellants deponed and their counsel submitted that section 5 of Act 143 of 2000, amended articles 1 and 2(1) and (2), 128(1), (2) and 137(3)(*a*) of the Constitution. The respondent contended that since none of these articles and clauses were specifically mentioned in the amending Act, they were not amended. Section 5 provides as follows:

> "Article 97 of the Constitution is amended
>
> (*a*) By renumbering the existing article as clause (1) of that article; and
>
> (*b*) By inserting immediately after the new clause (1) the following new clauses,
>
> (2) Notwithstanding article 41 of this Constitution, no Member or Officer of Parliament and no person employed to take minutes of evidence before Parliament or any Committee of Parliament shall give evidence elsewhere in respect of the contents of such minutes of evidence or the contents of any document laid before Parliament or such committee as the case may be, or in respect of any proceedings or examination held before Parliament or such committee, without the special leave of Parliament first obtained.
>
> (3) The special leave referred to in clause (2) of this article may during recess or adjournment of Parliament be given by the Speaker or during a dissolution of Parliament, by the Clerk to Parliament".

In my view, the enactment of section 1 of Act 13 of 2000 *per se*, does not affect or amend the provisions of article 1 of the 1995 Constitution since in enacting the Act, Parliament believed it was exercising the sovereignty of the people as their representative body. The enactment was not an attempt to oust the sovereignty of the people even if Parliament may have been mistaken in doing what it did.

On the other hand, section 5 in so far as it prescribes new clauses (2) and (3) of article 97 which are intended to restrict a citizen's unhampered "access to information in the possession of the State or any other organ or agency of the State" when the Constitution of Uganda in article 41 guarantees and entrenches that right, is not only in conflict with that same article but constitutes a blatant

attempt to clothe Parliament with supremacy which in Uganda lies in the majesty and sanctity of the Constitution.

Regarding the right of a citizen to access information in the possession of the State, my learned brother Mulenga JSC expressed a view in *Ssemogerere and others v Attorney-General* constitutional appeal number 1 of 2002 (*supra*) with which I agree entirely. The Learned Justice said:

> "Whereas under section 121 of the Evidence Act the State had unfettered discretion whether or not to release an official document on grounds of national security article 41 of the Constitution recognises the citizen's right of access to any information in the possession of the State except where release of such information is likely to prejudice State security or sovereignty. Consequently, the Court has become the arbiter between the citizen who desires to access such information and the State which may want to protect the information from release".

Consequently, in my opinion, in so far as section 5 of Act 13 of 2000 purports to restrict that access unconstitutionally it conflicts with the Constitution and therefore, is null and void.

Under article 28(1), a person is entitled to the right of a fair, speedy and public hearing before an independent and impartial court of tribunal established by law. Consequently, by subjecting that right to the exigencies of Parliament and the whimsical discretion of its personnel, section 5 attempts to amend article 28(1) by implication and article 44(*c*) by infection. Article 128 prescribes and guarantees the independence of the Judiciary. In my view, the provisions of Act 12 of 200, while not affecting that independence, whittles away the importance of article 28(3). Clause 3 of article 28 enjoins all organs ands agencies of the State which include Parliament, members of Parliament, the Speaker and the Clerk of Parliament to accord to the Courts such assistance as may be required to ensure the effectiveness of the Courts. By giving Parliament, the Speaker and the clerk of Parliament the sole discretion as to who and what may assist the Court and when the function of the Courts to administer justice fairly, speedily and impartially would be so severely restricted by the provisions of Act 13 of 2000 as to be rendered illusory. Similarly, in so far as section 5 of Act 13 of 2000 restricts the right of members of Parliament and the use of *Hansard* and other Parliamentary records to assist petitioners, the Constitutional Court and other courts to proceed effectively, the provisions of articles 137(3) and those others guaranteeing the administration of justice would be amended by infection.

I now turn to the second issue of procedure. It is to be appreciated that all the provisions of the Uganda Constitution are entrenched. Not a single provision of the Constitution may be altered without following a special procedure. The easiest and simplest of these procedures is an amendment by Parliament alone when the sole purpose of the bill is to amend the Constitution and the measure is supported on the second and third readings in Parliament by not less than two-thirds of all members of Parliament in accordance with the provisions of articles 261. In relation to bills amending articles prescribed in articles 259 and 260, a period of at least fourteen days must lapse between the second and third readings of the bill. The Constitution is silent as to what period of time must lapse between the second and third readings of a bill of this kind. However, whether passed under article 261 or under articles 259 or 260, the bill cannot be assented to by the President unless it is accompanied by a certificate of the speaker that the provisions of Chapter 18 of the Constitution have been

complied with. Regarding bills passed under articles 259 and 260, there is a further requirement that they be accompanied by a certificate of the electoral commission signifying that the amendment has been approved at a referendum or , as the case may be, ratified by the district councils in accordance with the provisions of Chapter 18.

In *Tinyefuza*'s case (*supra*), I cited the famous statement of Sir Owen Dixon which he expressed in 1965 in the *Law Quarterly Review* 590 at 604 thus:

> "The law existing for the time being is supreme when it prescribes the conditions which must be fulfilled to make a law but the question of what may be done by the law so made, Parliament is supreme over the law",

and then concluded that if Parliament is to successfully claim and protect its powers and internal procedures it must act in accordance with the constitutional provisions which determine its legislative capacity and the manner in which it must perform it functions.

Sir Owen was of course describing situations in countries such as the United Kingdom where Parliament and not the Constitution used to be supreme. In Uganda, it is in the people and the Constitution that sovereignty resides. However, even in the United Kingdom before the creation of the European Union of which that country is a member, it was always emphasised that Parliament was obliged to obey the Constitutional rules which were prior to the exercise of its sovereignty.

In the case of *Stockadale v Hansard* [1839] 9 Ad and E1, the House of Commons which is the elected chamber of the British Parliament passed a resolution authorising the printing and publication of *Hansard* which contained defamatory statements against the plaintiff. The plaintiff brought a suit against the printers and publishers of *Hansard* who were then directed by the House of Commons to plead in defence that they had printed and published *Hansard* under the express orders of the House of Commons and that that house was the sole Judge of its privileges and immunities and therefore *Hansard* should not be questioned in any court of law. The High Court of England rejected that defence on the ground that no resolution of the House of Commons alone could oust the jurisdiction of the Kingdom, a legislative bill must be supported by both the House of Commons and the House of Lords and be assented to by the Monarch. These requirements constitute the formula for making law in that Kingdom and cannot be waived.

In Uganda, courts and especially the Constitutional Court and this Court were established as the bastions of the defence of the rights and freedoms of the individual and against oppressive and unjust laws and acts. Courts must remain constantly vigilant in upholding the provisions of the Constitution. Only in this way can we in Uganda avoid situations in some other countries which were ably described by Professor Nwabueze of Nigeria in his book entitled *Constitutions in Emergent Nations* in the following terms:

> "The term 'constitutional government' is apt to give the impression of a government according to the terms of a Constitution. There are indeed many countries in the world today with written Constitutions but without constitutionalism. A Constitution may also be used for other purposes than a restraint upon government. It may consist to a large extent of nothing but lofty declarations of objectives and a description of the organs of government in terms that import no enforceable restrains. Such a Constitution may indeed facilitate or even legitimise the assumption of dictatorial powers by the government. Indeed, it is not an exaggeration to conclude that for

> many countries a Constitution is nothing more than a proclamation of what governments are entitled to do, and often do, to restrain the liberty of citizens or deprive them of proprietary interests. In a number of developing countries, Constitutions are perceived by those in power, not as protectors of human rights and the liberties of the individual but as instruments for legitimising the exercise of power. For the opponents of these rulers, Constitutions are understood in terms of the government's legitimacy to exercise arbitrary power, to impose unreasonable laws, arrest and detain persons whose guilt is often highly suspect, to impose restrictions on certain freedoms and rights and to do whatever the ruling oligarchy deems necessary and in the interest of society".

The founders and makers of the Uganda 1995 Constitution were determined to avoid the situations described by the Learned professor. They thus wrote in the preamble to the Constitution that:

> "We, the people of Uganda
>
> Recalling our history which has been characterised by political and constitutional instability,
>
> Recognising our struggles against the forces of tyranny, oppression and exploitation,
>
> Committed to building a better future by establishing a socio-economic and political order through a popular and durable national Constitution based on the principles of unity, peace, equality, democracy, freedom, social justice and progress, exercising our sovereign and inalienable right to determine the form of governance for our country, and having fully participated in the Constitution making process,
>
> Noting that a Constituent Assembly was established to represent us and to debate the draft Constitution prepared by the Uganda Constitutional Commission and to adopt and enact a Constitution for Uganda,
>
> Do hereby, in and through this constituent Assembly solemnly adopt, enact and give to ourselves and our posterity, this Constitution of the Republic of Uganda, this 22 September 1995,
>
> For God and My country".

I have reproduced these solemn words of dedication lest we ever forget them. It is the solemn duty of the Courts of Uganda to uphold and protect the people's Constitution.

With the greatest respect, I disagree with the views of the majority Learned Justices of the Constitutional Court which they expressed in their respective judgments. Thus, Mukasa-Kikonyogo, Learned DCJ said:

> "There was nothing to stop Parliament from applying its own rules in amending the Constitution,"

Kato JA reiterating what he had said in the earlier case of *Uganda Law Society and another v Attorney-General* (*supra*) observed:

> "The issuance of a certificate is a mere procedural and administrative requirement which does not go to the root of the law making process.
>
> The burden was upon the petitioners to adduce evidence to prove that the act complained of was done without compliance with the required procedure. The burden has not been discharged".

Kitumba JA concurring remarked:

> "Regarding the absence of the certificate of compliance from the Speaker of Parliament as required by article 262(2)(*a*), I agree with Mr *Bireije*'s submissions that absence of the certificate is not fatal".

In my opinion, the requirements of Chapter 18 are mandatory and cannot be waived, not even by Parliament. Consequently, and with the greatest respect,

the majority of the Learned Justices of the Constitutional Court erred in law holding that those provisions could be waived and that in any event, they were not essential to validating any constitutional amendment. Be that as it may, it is apparent that Parliament failed to comply with the constitutional provisions when attempting to amend by implication or infection articles 2(1), 28, 41(1), 44(*c*) 128(2), (3) and 137(43). Any amendments to articles 2(1), 44 and 128 need to be referred to a decision of the people for approval by them in a referendum. The amendment of the articles 28, 41(1) and 137(3) need to be passed by two thirds majority on each of the second and third readings of the bills. Thereafter, a bill must be accompanied by the certificate of the speaker to the effect that it has been passed in accordance with the provisions of Chapter 18. Since the respondent has persistently denied that any of these articles and clauses were amended, the Attorney-General was hardly in a position or mood to show that these provisions were properly amended and indeed in my opinion he failed to do so.

Regarding the provisions which the respondent admits to have been expressly amended, namely articles 88. 89, 90 and 97, it is my view that their amendment failed to comply with the provisions of the Constitution in that the bill effecting their amendment should have been accompanied by a certification by the speaker of Parliament indicating that the bill had complied with the provisions before the presidential assent. In my opinion since the respondent failed to prove that the Constitution was complied with, the amendment failed to become an act of Parliament and consequently cannot be regarded as part of the Constitution.

I will finally consider and determine ground 5 of the appeal. It was contended on behalf of the appellants that the majority Learned Justices of the Constitutional Court erred in law when they failed to distinguish between a waiver of Parliamentary procedure and non-compliance with the constitutional provisions under articles 258, 259 and 262 of the 1995 Constitution. Counsel for the respondent advanced submissions which were in favour of the decision of the majority Justices of the Constitutional Court. I dealt with certain aspects of this ground when determining the other grounds of this appeal. It can never be over emphasised that whereas constitutional provisions may be amended constitutionally, they can never be waived at all.

I respectively disagree with all the three views of the majority Justice of the Constitutional Court which I alluded to earlier on this judgment. Those views are not founded in our constitutional law or precedent since 1995. They constitute an error in law and fact. With great respect the onus of proving that a bill is accompanied by the speaker’s certificate should always be on the Attorney-General whenever he is a party of the fact in accordance with the provisions of section 105 of the evidence Act.

I regard all the amendments contained in section 2, 3, 4 and 5 of the Constitution (Amendment) Act 13 of 2000 as merely intended to prescribe internal rules of procedure in Parliament and its committees. They might as well have been prescribed by ordinary legislation or even rules of Parliament. However, in so far as they are intended to be substitutes for the present constitutional provisions in articles 88, 89 and 90 and were not enacted in accordance with the procedure prescribed by the Constitution, they are null and void.

The appellants' petition before the Constitutional Court contained *inter alia,* complaint 1(*e*) which was framed as follows:

> "Section 3 introducing a new provision (1) and section 6 introducing a new provision 257A of the Constitution (Amendment) Act 2000, are unconstitutional for being inconsistent with articles 88 and 137, particularly of clauses (1) and (3) of the Constitution in that the sections do not only provide for the imaginary past violations of the Constitution in matters of formal procedure but they also lay a foundation for future violations too, where the members of Parliament may, without a quorum, vote on any question proposed for a decision of Parliament by using a voice of "ayes" and nays" which, by reason of the amendments cannot be subjected to the scrutiny of courts when it is the Courts solemn duty to interpret and protect the Constitution under the unamended article 128(1), (2) and (3) of the Constitution and clause 1 of the National Objectives and Directive Principles of State Policy.

This complaint is reproduced in each of the judgments of the Learned Justices of the Constitutional Court. However, none of the Learned Justices makes a decision on the matter. The reason for this is easily discernible from what transpired in that court. At the commencement of the hearing of the petition and on the submissions of counsel for the respondent, the Court ruled that it had no jurisdiction to enquire into the alleged unconstitutionality of the Constitution (Amendment) Act of 2000 and that the only jurisdiction it had was to determine whether that Act had been passed in accordance with the procedure laid down in the Constitution. It is thus apparent that the Constitutional Court declared itself incompetent to adjudicate on that complaint. In my view, this Court must therefore pass judgment on that part of the petition for a number of reasons.

First since the Constitution excludes *ex-officio* members of Parliament from voting, the methodology of the "ayes" and "nays" does not ensure that those non-voting members are excluded from voting. Secondly and perhaps more significantly, articles 259(1) and 261 provide, *inter alia,* that a bill for an Act of Parliament seeking to amend any of the provisions of the Constitution shall not be taken as passed unless it is supported at the second and third readings by the votes of not less than "two thirds of all members of Parliament". This contrasts with the provisions of article 89 which prescribe the procedure for passing ordinary bills and making other decisions. It is provided there that except as otherwise prescribed by the Constitution or any law consistent with it, any question proposed for decision of Parliament shall be determined by a majority of votes of members "present and voting".

For the foregoing reasons, I regard article 257A referred to in section 6 of the Constitution (Amendment) Act of 2000 to be superfluous and of no constitutional or legal consequences.

I am constrained to state in the clearest of terms that the procedural rules and mode of ascertaining majorities for effecting constitutional amendments are not found in the Constitution (Amendment) Act 13 of 2000 but in the provisions of the Uganda Constitution of 1995 itself. It is evident therefore that the two thirds majority of all members of Parliament that the two thirds readings of a bill to amend the Constitution cannot be ascertained by voice voting under the Parliamentary practice of using shouts of "ayes" or "nays" to indicate consent or dissent, respectively. In my view, for Constitutional amendment the voting in Parliament should be determined by the head count of members in favour of and against the amendment at the second and third reading by lobby division or

such other mode as can ascertain that the supporters of the amendment are two thirds of the total number of members of Parliament. In my opinion, it is the strict observance of the constitutional rules of procedure for determining the will of the majority in Parliament that will create and nurture a culture of belief in Ugandans that they are truly and democratically represented and governed.
For these reasons I would allow ground five of the appeal.

All in all, I would allow this appeal. I would make the following declaration and orders:

1. That the Constitution (Amendment) Act 13 of 2000 is unconstitutional and should be struck down as null and void.
2. I would award costs to the appellants in this Court and in the Constitutional Court.
3. I would certify two counsels for the appellants.

KAROKORA JSC: I have had the benefit of reading in draft the judgment prepared by my learned brother, Kanyeihamba JSC and I agree with him that the appeal must succeed. I only wish to add my voice on the issue of whether the Constitution (Amendment) Act 13 of 2000 amended articles 1, 2(1)(2), 28, 41, 44(*c*) and 128(1) of the Constitution in addition to those which had been expressly mentioned by Constitution (Amendment) Act 13 of 2000 as the articles which were intended to be amended. I shall hereinafter refer to the Act as Act 13 of 2000.

Mr *Lule* (SC) appearing for appellants, submitted that section 5 of the Act 13 of 2000 expressly amended articles 88, 89, 90, 97, 257 and 257A of the Constitution. He contended that the majority Justices of Constitutional Court were in error when they held that Parliament never amended articles 1, 2(1) (2), 28, 44(*c*) and 128(1) of the Constitution. He submitted that article 41 was amended by implication whilst articles 1, 2(1) (2), 28, 44(*c*) and 128(1) were amended by infection. Counsel submitted that amendment by infection means that the amendment of an article had the effect of amending an article which had not been specifically mentioned at all. He contended that it was in material that the amending Act did not categorically state that the Act intended to affect those articles. What was material was the effect, design and the impact the amendment had on these other articles. He cited the case of the *Queen v Big M Drug Mart Limited* 1987 LRC 332 in support of his submission. On the other hand, Mr Denis *Bireije*, counsel for the respondent, submitted that articles which were amended were expressly mentioned by the Act 13 of 2000 as articles 88, 89, 90, 97, 257 and 257A. He contended that articles 1, 2(1)(2), 28, 41, 44(*c*) and 128(1) were none of those mentioned to be amended. Counsel submitted that the amendment was done in accordance with articles 258, 261 and 262(2)(*a*) of the Constitution, but he contended that amendment did not require compliance with article 262(2)(*b*). Counsel contended that the appellant had failed to prove that the amendment was not done in accordance with the procedure laid down in the Constitution.

In order to determine whether section 5 of the Act 13 of 2000 affected more articles that those mentioned by the amending Act, particularly articles 1, 2(1)(2), 28, 41, 44(*c*) and 128(1) of the Constitution, it is necessary to go through the preamble to the Act and section 5 of the Act itself. The preamble to the Act states as follows:

> "An Act to repeal and replace articles 88 of the Constitution to make provision in relation to quorum, to amend article 89 of the Constitution, provide for the number of

> ascertaining the majority of votes cast on any question, to repeal and replace article 90 of the Constitution too recognise the role of the committee of the whole house in the passing of bills and to make provisions in relation to the function of the committees of Parliament, to amend article 97 of the Constitution to protect the proceedings of Parliament from being used outside Parliament without the leave of Parliament; and to insert a new article 257A to ratify certain past Acts relating to procedures".

Section 5 of Act 13 of 2000 which amended article 97 renumbered article 97 as clause 5(1) of the article. Immediately after the new clause (1) there follows a new clause (2) which reads as follows:

> "Notwithstanding article 41 of this Constitution no member or officer of Parliament and no person employed to take minutes of evidence before Parliament or any committee of Parliament shall give evidence elsewhere in respect of contents of such minutes of evidence or the contents of any such committee, as the case may be, or in respect of any proceedings or examination held before Parliament or such committee, without the special leave of Parliament first obtained".

What we are concerned with here is the impact the Act has on a citizen's right of access to information in possession of the state or any other organ. I agree with submission of Mr *Lule* counsel for appellant, that though Act 13 of 2000 was not purposely enacted to derogate on the right to fair hearing a careful examination of the preamble to the Act and section 5 of the Act *vis-à-vis* articles 41 and 44(*c*) shows clearly that the Act had the effect. In my view so long as the Act had this effect on the non-derogable right to fair hearing it does not matter what the purpose behind the enactment was. In the case of *Tinyefuza v Attorney-General* constitutional appeal number 1 of 1997 the majority Justices of the Supreme Court held that on the advent of the 1995 Constitution, article 41, section 121 of the Evidence Act which was intended to shield all unpublished official records from being used in evidence was declared unconstitutional. The section provided *inter alia*:

> "No one shall be permitted to give any evidence derived from unpublished official records relating to any affairs of State except with the permission of the officer at the head of the department concerned who shall give or withhold such permission as he thinks fit".

Then in *Ssemogerere and another v Attorney-General* [2000] LLR 5 (SCU) the Constitutional Court upheld the decision of the Constitutional Court that to the effect that on the advent of 1995 Constitution, section 15 of the National Assembly (Powers and Privileges) Act became null and void. Section 15 of the above Act stated as follows:

> "Save as provided in this Act, no member or officer of the Assembly and no person employed to take minutes of the evidence before the Assembly shall give evidence elsewhere in respect of the contents of any document laid before the Assembly or such committee as the case may be or in respect of any proceedings or examination held before the Assembly or such committee as the case may be without special leave of Assembly first had and obtained".

In the instant case Parliament transplanted the nullified provision of section 121 of the Evidence Act see *Tinyefuza v Attorney-General* (*supra*) and into section 5(2) of the Act 13 of 2000.

Whereas Parliament had powers under article 259 of the Constitution to amend any provisions of the Constitution, I agree with Mr *Lule* (SC)'s submission that the amendment brought about by section 5(2) of the Act 13 of 2000 had the effect of amending articles 1, 2(1) (2), 28, 41, 44(*c*) and 128(1) of the

Constitution by implication/infection. A number of decided cases from common law jurisdiction illustrate amendments of infection.

In the case of *The Queen v Big M Drug Mart Limited* [1986] LRC 332, the respondent had been charged with unlawfully carrying on the sale of goods on a Sunday, contrary to the Lord's Day Act of 1970 and acquitted by the trial court. The Court of Appeal dismissed the appeal. Further appeal to the Supreme Court of Canada the main question was whether the Act especially section 4 which prohibited any one to sell any thing or offer for sale or purchase any goods, chattels or to carry on any business of his ordinary calling on that day, infringed the right of freedom of conscience and religion guaranteed by section 2 of the Canadian Charter of Rights and freedom.

The Supreme Court stated:

> "Both purpose and effects are relevant in determining constitutionality, either an unconstitutional purpose or an unconstitutional effect can invalidate legislation. All legislation is animated by an object the legislature intends to achieve. The object is realised through the impact produced by the operation and application of the legislation. Purposes and effect respectively in the sense of the legislation's object and its ultimate impact are linked, if not indivisible. Intended and actual effects have often been looked to for guidance in assessing the legislation's object and thus the validity".

See also the *Attorney-General for Ontario v Reciprocal Insurers* [1924] AC 326 from Canada and the *Bribery Commissioner v Ranasinghe* [1965] AC 172 from Ceylon. In my view, if it was to be otherwise, Parliament could amend any provisions of the Constitution, including the entrenched provisions without complying with the prescribed procedure in Chapter 18 of the Constitution as long as it avoided mentioning them in the amending Act.

Now, the question is whether Act 13 of 2000 amended articles 1 and 2 of the Constitution. Article 1 of the Constitution provides:

> "1. All powers belong to the people who shall exercise their sovereignty in accordance with this Constitution".

Article 2 of the Constitution provides:

> "2. (1) the Constitution is the Supreme Law of Uganda and shall have binding force on all authorities and persons throughout Uganda.
>
> (2) If any other law or any custom is inconsistent with any of the provisions of the Constitution, the Constitution shall prevail and that other law or custom shall to the extend of the inconsistency be void".

The provisions of these articles are very clear. It is the people of Uganda who are sovereign and exercise their sovereignty through the Constitution. It is the Constitution, not Parliament nor Executive nor Judiciary which is supreme. Each of these organs can only exercise the jurisdiction conferred on it by the Constitution. None can confer on itself jurisdiction not authorised by the Constitution.

Under the 1995 Constitution, independence of organs of state must go with responsibility and accountability. Each of these organs must be transparent and accountable in their operations. Under articles 1 and 2 people are sovereign and exercise their sovereignty through the Constitution which is Supreme Law of Uganda and has a binding force on all authorities and persons throughout the country. Article 41 was enacted to guarantee transparency. Any attempt to whittle down article 41 would conflict with articles 1 and 2 and would be an attempt to amend them.

In the instant case the complaint is against section 5(2) of Act 13 of 2000 which amended article 97 of the Constitution, which I have already quoted in this judgment. I must state that I agree with the judgments of Mpagi-Bahegeine and Twinomujuni JJA and especially the passage in the judgment of Twinomujuni JA where he stated *inter alia* that:

> "The above amendment section (5)(2) of Act 13 of 2000 which amended article 97 of the Constitution can only survive in a jurisdiction where Parliament like in the United Kingdom is supreme. In Uganda today, the amendment amounts to a *coup* against the sovereignty of the people and Supremacy of the Constitution. It can not exist side by side with articles 1 and 2 in the same Constitution. It contravened the two articles and Parliament alone cannot pass such amendment unless it first consults the people in a referendum in accordance with Chapter 18 of the Constitution. I would hold that although section 5(2) of the Constitution (Amendment) Act 13 of 2000 did not expressly and specifically name articles 1 and 2 of the Constitution as being amended, yet it had the effect or repealing or varying the articles and therefore it amended them by necessary implications".

I would add that section 5(2) 8 At 12 of 2000 further amended article 128(1) of the Constitution by implication, because as the Act stands, courts cannot access minutes of evidence taken before Parliament or any committee of Parliament without first seeking leave from Parliament, which leave can be granted or withheld – thus making Parliament supreme to the Constitution.

I have already stated in the course of this judgment that section 15 of the National Assembly (Powers and Privileges) Act became unconstitutional on the advent of 1995 Constitution in the case of *Ssemogerere and another v Attorney-General* (*supra*) by this Court and therefore in contravention of articles 28, 41 and 44(*c*) of the Constitution. In the instant case, by seeking to elevate provisions of section 15 of the National assembly (Powers and Privileges Act) which had already been declared unconstitutional in *Ssemogerere and another* (*supra*) into an amendment to article 97 of the Constitution. Parliament amended articles 28, 41 and 44(*c*) of the Constitution by implication

The next question is whether Parliament had powers to amend articles 1, 2, 28, 41, 44(*c*) and 128(1) of the Constitution.

There is no doubt that under article 258(1) of the Constitution, Parliament can amend any provisions of the Constitution by addition, variation or repeal in accordance with the procedure laid down in Chapter 18 of this Constitution.

However, whereas the Parliament had powers to amend those articles, it had to do so in strict compliance with the provisions of articles 259, 262(1) and (2).

Article 259(1) specifically states that a bill for an Act of Parliament seeking to amend any of the provisions of this Constitution which include articles 1, 2 44(*c*) and 128(1) shall not be taken as passed unless:

(*a*) It is supported at the second and third readings in Parliament by not less than two thirds of all the members of Parliament; and

(*b*) it has been referred to a decision of the people and approved by them in a referendum.

Articles 262 goes further and states that:

"(1) The votes on the second and third readings referred to in article 259 and 260 of the Constitution shall be separated by at least fourteen sitting days of Parliament.

(2) A bill for the amendment of this Constitution which has been passed in accordance with this chapter shall be assented to by the President only if:

(*a*) It is accompanied by a certificate of the speaker that the provisions of this chapter have been complied with in relation to it; and

(*b*) in the case of a bill to amend a provision to which articles 259 or 260 of this Constitution applies, it is accompanied by a certificate of the Electoral Commission that the amendment has been approved at a referendum or as the case may be ratified by the district councils in accordance with this Chapter".

Each of the three petitioners adduced evidence through their unchallenged affidavits. Both Zachary Olum and Juliet Reiner Kafire are members of Parliament and averred that they were in Parliament when Act 13 of 2000 was debated and passed.

(i) Honourable Zachary Olum's unchallenged affidavit averred that the bill was passed in two days instead of not less than fourteen days prescribed by the Constitution.

(ii) That it was not referred to the people in a referendum.

(iii) It was not accompanied by the certificate of Electoral Commission that the amendment had been approved at a referendum or as the case may be, ratified by the district councils in accordance with this Chapter.

(iv) That it was not accompanied by the certificate of the Speaker of Parliament certifying that the provisions of Chapter 18 had been complied with.

The respondent never refuted the above averments. The affidavit of Patricia Mutesi from the Attorney-General's chambers did not claim that she attended Parliament when the bill was being debated. Clearly an omission or neglect to challenge the evidence in chief on a material or essential part by cross examination would lead to the inference that the petitioners' averment was accepted subject to its being assailed as inherently or palpably incredible. See the case of *Sowabiri and another v Uganda* (SSC) criminal appeal number 5 of 1990.

In the instant case, although the petitioners never averred that they saw the bill being submitted to the President and that they never saw the speaker's certificate stating that the provisions of Chapter 18 of the Constitution had been complied with, in my view, the petitioners' unchallenged averments in their affidavits were sufficient to discharge the burden cast on them. The fact that the President assented to the bill was not conclusive that all the formalities precedent to the passing of the bill had been complied with.

On this point, Kato JA as he then was stated that:

> "I agree with him (Mr *Bireije*'s). It is my opinion that the above provision was intended to avoid the President signing for something not legally passed by the Parliament. The issuance of a certificate is a mere procedural and administrative requirement which does not go to the root of the law making process. Since the President assented to the Act, in the absence to the contrary, one is compelled to conclude that before he did so he was satisfied that all the formalities had been carried out. My holding so on this point is based on the legal doctrine which states that all things are presumed to have been performed with all due formalities until it is proved to the contrary".

With all due respect, I cannot agree that the above doctrine applies to cases where there is a supreme law clause requiring the speaker's certificate to accompany the bill. Article 262(2)(*a*) specifically makes it mandatory that:

> "A bill for amendment of this Constitution shall be assented to by the President only if:
>
> (*a*) It is accompanied by a certificate of the speaker that the provisions of this Chapter have been complied with in relation to it".

The House of Lord's decision in the case of the *Bribery Commissioners v Ranainghe* (*supra*) is relevant and is almost on all fours to the instant case. In that case, by section 29 of the Ceylon (Constitutional) Orders-in-Council, 1946:

> (1) provided that subject to the provisions of this order, Parliament shall have power to make laws for the peace order and good government of the Island …
>
> (4) provided that in the exercise of its powers under this section. Parliament may amend or repeal any of the provisions of this order;
>
> in its application to the island;
>
> provided that no bill for the amendment or repeal of any of the provisions of this order shall be presented for the Royal Assent unless it has endorsed on it a certificate under the hand of the speaker that the number of the votes cast in favour thereof in the house of representatives amounted to not less that two thirds of the whole numbers of members of the house. Every certificate of the speaker shall be conclusive for all purposes and shall not be questioned in any court of law.

The respondent was tried and convicted for bribery by the Bribery Tribunal under the Bribery Act of 1954. During the course of trial and argument it emerged that the Act which established the bribery tribunal, though it received Royal Assent had not been accompanied by a certificate of the speaker, certifying that all the requirement under the Ceylon (Constitution). Order-in-Council 1946 had been complied with.

It was submitted for the commissioners that once the Royal Assent was given and the law was enacted, the Court could not go behind it but must take it as a law.

It was held that the principle that one cannot go behind an Act of Parliament does not apply to cases, where there is a supreme law clause requiring the speaker's certificate. Therefore, in the case of amendment and repeal of the Constitution, the speaker's certificate is a necessary part of the legislative process and any bill which does not comply with the precedent to the provision is and remains even though it receives the Royal Assent invalid and *ultra vires.*

Therefore orders made against the respondent who had been tried before a Bribery Tribunal on a charge of bribery were null and void and inoperative since the persons comprising the tribunal were not validly appointed to the tribunal having been appointed pursuant to the *ultra vires* provisions of the Act.

In the instant case, there was no attempt by the respondent to refute appellants' arguments that articles 259 and 262(1)(2) of the Constitution had not been complied with. Mr *Bireije*, counsel for the respondent contended that there was no requirement for interval of fourteen sitting days of Parliament between the second and third readings before the bill was passed.

On the averment by appellants that when submitting the bill for Presidential Assent, there was no speakers certificate, certifying that the provisions of Chapter 18 had been complied with, Mr *Bireije* counsel for the respondent submitted that there was no evidence adduced to show that the copy sent to the President did not have the certificate from the speaker. He also contended that the issuance of a certificate was more of a procedure and administrative requirement which did not go to the root of the law making process. I am not persuaded by these submissions. As stated on the case of *The Bribery Commissioner* (*supra*), where there is a supreme law clause requiring the speaker's certificate to accompany the bill, submitting it for Presidential Assent, that certificate is not procedural and administrative requirement but rather a necessary part of the

legislative process. In my view, the absence of the certificate accompanying the bill, certifying that the provisions of Chapter 18 had been complied with even though it received the Presidential Assent, remained invalid and *ultra vires*. Therefore the stipulated number of fourteen sitting days was not complied with.

Further, since section 5(2) of Act 13 of 2000 amended articles 1, 2, 41, 44 and 128(1) of the Constitution by implication/infection as I have already stated in the course of this judgment and since according to clause (2)(*b*) of article 262 of the Constitution no certificate of the Electoral Commission accompanying the bill, certifying that the amendment had been approved at a referendum in accordance with Chapter 18 of the Constitution, the President's assent would not cure and give life to the bill which was invalid *ab-initio.*

Consequently, in my view, section 5(2) of Act 13 of 2000 infringed the provisions of articles 1, 2(1)(2), 41, 44(*c*) and 128(1) of the Constitution and was therefore unconstitutional. In the result, I would hold that section 5(2) of Act 13 of 2000 is null and void.

I would allow this appeal and grant the relief's sought in the petition and the costs as proposed by Kanyeihamba JSC.

BYAMUGISHA AJSC: I had the benefit of reading in draft form the lead judgment prepared by Kanyeihamba JSC. I also read all the draft judgments that were prepared by the Learned Justices of this Court. I entirely agree with the conclusions that have been arrived at that Act 13 of 2000 is null and void. There was substantial non-compliance with mandatory provisions. These provisions were ably pointed out in the lead judgment. I therefore concur that the appeal ought to succeed. I also agree with declarations that Kanyeihamba JSC has proposed. I have nothing more useful to add.

MULENGA JSC: I had the advantage of reading in draft the judgment prepared by my learned brother, Kanyeihamba JSC. I agree that this appeal ought to succeed. I also had the further advantage of reading, the judgments of my learned brothers, Odoki CJ Oder, Tsekooko and Karokora JJSC with which I agree.

I will briefly give my reasons for allowing the appeal.

The appeal arises from a decision of the Constitutional Court dismissing a petition brought by the above named appellants, under article 137(3) of the Constitution, challenging the constitutionality of the Constitution (Amendment) Act number 13 of 2000, "the Act". I need not repeat the background to the appeal as it is sufficiently set out in the judgment of Kanyeihamba JSC. It suffices to say in their joint petition, the appellants alleged that Parliament passed the Act without due compliance with relevant provisions of the Constitution, and that some provisions of the act violate some articles of the Constitution. The respondent contested the petition, and at the start of hearing, took out preliminary objection to the petition, asking the Court to strike it on two grounds, namely that:

(i) The affidavits supporting the petition were defective and inadmissible; and

(ii) The Court lacked jurisdiction to interpret the Act which had become part and parcel of the Constitution.

The Constitutional Court overruled the objection, holding that the affidavits were admissible, and that the Court had jurisdiction to determine if Parliament followed the proper procedure in passing the Act. However in the course of its ruling it also held that it:

> "Would have no jurisdiction to inquire into the question whether the amending sections, *if they properly became part of the Constitution* were unconstitutional". (emphasis supplied)

That holding had tremendous influence on the final decisions of the Court, as I will illustrate presently. In support of the holding the Court cited its previous decision in *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU) and an Indian decision in *Kesavananda v State of Kerala* AIR 1973 SC 146. I should observe in passing, however that the Court seems to have misconstrued the latter case, as the majority decision therein does not support the said holding. Be that as it may, the petition proceeded to hearing on one framed issue, namely whether the Act:

> "Was passed in compliance with the procedural requirement for the amendment of the Constitution".

which the Court answered by majority of 3 to 2 in the affirmative and dismissed the petition.

My conclusion from reading the preliminary ruling and the judgments in this case, is that the undercurrent, which is what the Court meant to portray in the said holding was that it had no power to declare any provision of the Constitution void. To my mind, however, jurisdiction to interpret or construe a constitutional provision, and power to declare such a provision void, are two different things. Nevertheless, in the final decision, the majority of the Court appears to have considered that their hands were tied by the holding in the preliminary ruling, to the extent that they declined to consider questions, which clearly arose from the pleadings, for fear of "interpreting one constitutional provision against another". The issue of the Courts jurisdiction is now subject of the sixth ground of appeal which reads in part as follows:

> "6. The Constitutional Court erred in law and fact when they held that a Constitutional Court would have no jurisdiction to construe part of the Constitution as against the rest of the Constitution".

The Constitution prescribes the jurisdiction of the Constitutional Court in clause (1) of article 137 as follows:

> "Any question as to the interpretation of this Constitution shall be determined by the Court of Appeal sitting as the Constitutional Court".

The Court is thus unreservedly vested with jurisdiction to determine any question as to the interpretation of any provision of the Constitution. With regard to interpretation of Constitution, the Court's jurisdiction is unlimited and unfettered. This is reiterated in clause (5) which provides for reference of "any question as to the interpretation of this Constitution", arising in any proceedings in a court of law, to the Constitutional Court "for decision in accordance with clause (1)". Clause (3) provides that any person who alleges that a law or any thing done under law, or any act or omission by any person or authority, is inconsistent with, or in contravention of, any provision of the Constitution, has a right to access the Constitutional Court directly by petition. Thereupon the Constitutional Court may grant a declaration that such law, thing, act or omission is inconsistent with or contravenes the provision in question. To my mind, the clause does not thereby preclude the Court from interpreting or construing two or more provisions of the Constitution brought before it, which may appear to be in conflict. In my opinion, the Court has not only jurisdiction. But also the responsibility to construe such provisions, with a view to harmonise

them, where possible, through interpretation. It is a cardinal rule in constitutional interpretation, that provisions of Constitution concerned with the same subject should, as much as possible, be construed as complimenting and not contradicting one another. The Constitution must be read as an integrated and cohesive whole. The Supreme Court of United States of America in *Smith Dakota v North Carolina* 192 US 268 [1940] put the point thus:

> "It is an elementary rule of constitutional construction that no one provision of the Constitution is to be segregated from the others and to be considered alone, but that all the provisions bearing upon a particular subject are to be brought into view and to be interpreted as to effectuate the great purpose of the instrument".

There is no authority, other than the Constitutional Court, charged with the responsibility to ensure that harmonization. Even where it is not possible to harmonise the provisions brought before it, the Court has the responsibility to construe then and pronounce itself on them, albeit to hold in the end that they are inconsistent with each other. Through the execution of that responsibility, rather than shunning it, the Court is able to guide the appropriate authoritieson the need if any, to cause harmonisation through amendment. In my opinion therefore, the decision that the Constitutional Court has no jurisdiction to construe or interpret any provision of the Constitution is misconceived and erroneous in law. The sixth ground of appeal ought to succeed.

Grounds 1, 2 and 3 are complaints based on two combined but distinct contentions. In each ground, it is contended first, that the Court erred to hold that the act did not indirectly amend a set of articles, and secondly that the amendment of the set of articles was required to be in accordance with articles 259 and 262. The second contention is reiterated in ground 4, which is a complaint that the Court erred in holding that the appellants failed to prove non-compliance with procedures under articles 259 and 262. The holding by the majority, in respect of the first contention, was that since the three sets of articles were not included in the preamble along with those to be expressly amended, the Act did not amend any of them by implication or infections as the appellants alleged. With due respect to the three Learned Justices constituting the majority of the Court, this holding was not based on judicial consideration and assessment of the effect of the provisions of the Act on the articles in question. It seems to me rather that the holding resulted from the Learned Justices' avoidance of any such consideration, apparently on the misconceived notion that the Court did not have jurisdiction to interpret conflicting provisions of the Constitution. This is evident from what each one said in response to the contention that the act had the effect of indirectly amending some provisions of the Constitution.

(1) The Learned Deputy Chief Justice said:

> "it is not true as suggested by counsel for the petitioners that Act 13 of 2000 amended other provisions of the Constitution indirectly the Act specifically mentioned all the provisions of the Constitution which it had amended. *I find no evidence to justify that sort of interpretation which if adopted by court might end up amending all the provisions of the Constitution.*

(2) Kato JA (as he then was) said:

> "Parliament in its wisdom listed the articles it was interested in amending this petition in court now is concerned with the procedure followed by the Parliament

but not the effect the amendment will have on other provisions of the law. *The question before the Court is not what effect will the amendment have on existing laws?* The question is: was the proper procedure followed when the Act was enacted?"

(3) And Kitumba JA said:

"It is not the duty of this Court to look into the effect or implication of those amendments as doing so would be trying to interpret one constitutional provision against another". (emphasis added)

Apart from the misconceived notion, I also find that the holding is unsustainable because it is self-defeating. If the position were that the Act was not intended to, and does not amend the articles that the appellants allege it purports to do, then it would follow that any provision of the Act, which is inconsistent with any of those articles, is *ipso facto* void to the extent of that inconsistence. The Constitution empowers Parliament to amend any of its provisions, but does not empower it to make any law that is inconsistence with any of its provisions. Under article 2 any enactment, which is inconsistent but does not amend the Constitution is void to the extent of the inconsistency.

It is common ground that in section 2, 3 and 4, the Act expressly seeks to amend articles 88, 89(1) and 90 by substitution. The centre of controversy is section 5 of the Act that seeks to amend article 97 by addition of two clauses, which by cross-reference exempt Parliamentary minutes and documents from the application of article 41. While article 41 guarantees every citizen the right of access to information in possession of the State, its organ or agency, the amendment by section 5 of the Act reserves absolute discretion in Parliament to permit or refuse citizens access to information in possession of Parliament. In this appeal, Mr *Lule* SC submitted for the appellants that section 5 of the Act has the effect of expressly amending article 41 and amending articles 1, 2, 28, 44 128 and 137 by implication and infection. For the respondent. Mr *Bireije*, the Learned Commissioner for Civil Litigation, conceded that section 5 amends article 41; but he strenuously argued that it does not affect any of the other articles on the ground that an amendment must be specific, not implied. My learned brothers have, in their respective judgments exhaustively considered arguments on both sides. I agree with them that an express amendment of one provision of the Constitution may have the effect of indirectly amending another provision. I also agree that in the instant case, section 5 of the Act has the effect of amending not only article 41, but also articles 28, 44, 128 and 137. If the provisions of section 5 were in force those four articles would have to be construed with modification. I however, agree with Learned Chief Justice for reasons set out in his judgment, that the said section does not have the same effect on articles 1 and 2.

The substance of the second contention in grounds 1, 2 and 3 which is reiterated in ground 4, is that the articles, which the Act indirectly seeks to amend were not passed in accordance with amendment procedures set out in articles 259 and 262. This is slightly misleading since article 259 does not apply to all the articles in question. Article 259, provides that a bill seeking to amend provisions to which it applies.

"shall not be taken as passed unless:

(*a*) it is supported at the second and third reading in Parliament by not less than two-thirds of all members of Parliament; and

(*b*) it has been referred to a decision of the people and proved by then in a referendum".

Article 44 is among the provisions to which article 259 applies. Since section 5 of the Act indirectly seeks to amend provisions in article 44, it ought to have been referred to a decision of the people in a referendum. It is not in dispute that the bill for the Act was never so referred. Section 5 therefore cannot "be taken as passed".

Article 262 sets out several requirements. Those pertinent to the instant case are in clauses (1) and (2). Under clause (1), it is mandatory for the second and third readings of an amendment bill to which articles 259 applies, to be separated by at least fourteen sitting days of Parliament. In the instant case, that requirement was not complied with, because the second and third readings of the bill for the Act (including section 5) were done on the same day. That too was non-compliance in relation to section 5 of the Act. Lastly, clause (2) provides that a bill for the amendment of the Constitution:

> "*Shall be assented to by the President only if:*
>
> (*a*) it is accompanied by a certificate of the speaker that the provisions of this Chapter have been complied with.
>
> (*b*) *in the case of a bill to amend a provision to which article 259 applies it is accompanied by a certificate of the Electoral Commission that the amendment has been approved at a referendum".*

The President assented to the bill for the Act on the same day it was passed by Parliament alone. Needless to say, no certificate of the Electoral Commission could have accompanied the bill, as the bill was never referred to a referendum. Since the Constitution does not authorise the President to assent to any amendment to article 44 without the electoral commission's certificate of compliance, the assent as far as it relates to section 5 of the Act is invalid. Similarly the President is not authorised to assent to a bill seeking, expressly or indirectly to amend any provision of the Constitution unless it is accompanied by the speaker's certificate of compliance. The bill for the Act in the instant case, expressly sought to amend provisions in articles 88, 89, 90 and 97, and article 41 by express reference. It also sought to insert a new article 257A, and in my opinion, it indirectly sought to amend articles 28, 44 and 137. All those amendments had to comply with one or other of the procedures set out in Chapter 18 and the President could assent to the bill containing them, only if it was accompanied by the speaker's certificate of such compliance. Whether any such certificate accompanied the bill, however, is a contentious issue. In his supplementary affidavit in support of the joint petition, the second appellant expressly averred in paragraph 5 and 6 that amendments sought by the Act did not comply with the required special procedures and that in particular:

> "The bill was not accompanied by the prescribed certificate of compliance from the speaker of Parliament".

The respondent did not contradict that averment, either in the answer to the petition or in the only affidavit in support of the answer. At the trial, the contention for the respondent was that the petitioners had the onus to prove the non-compliance which they did not discharge; and in the alternative, that absence of the certificate was not fatal. The majority of the Constitutional Court accepted that contention. Kato JA who discussed the contention at length, upheld it on two grounds. First, he relied on his earlier judgment in *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301, in which he opined that

the requirement for the Speaker's certificate was intended to avoid the President signing something not legally passed, but was not intended to render a law passed by Parliament void, and added:

> "the issuance of a certificate is a mere procedural and administrative requirement which does not go to the root of the law making process. Since the President assented to the Act, in the absence of evidence to the contrary, one is compelled to conclude that before he did so he was satisfied (*sic*) that all the formalities had been carried out. My holding on this point is based on the legal doctrine (*sic*) which states that all things are presumed to have been performed with all due formalities until it is proved to the contrary".

It should be noted, however, that the constitutional requirement is for the speaker to certify that there was compliance not for the President to satisfy himself, by any other means, that all the formalities were carried out. Nor can the "presumption of regularity" be a basis for the conclusion in face of the affidavit evidence to the contrary. The Learned Justice of Appeal held that the second appellant's averment did not prove anything since he did not disclose how he came to know the absence of the certificate. Kitumba JA went further to hold that the second petitioner would not on his own be in possession of the knowledge whether a certificate of compliance was attached to the bill or not, because he was neither the speaker nor a member of staff with the duty to take bills for Presidential Assent. According to the Learned Justice of Appeal because he did not disclose the source of the information, his affidavit was not worthy of belief. It is remarkable, however that neither Learned Justice of Appeal adverted to the fact that the respondent did not positively deny that averment of fact, by affidavit of other evidence. In my opinion the Learned Justices of Appeal were not entitled to reject the evidence without testing its cogency. In view of that, and because that was a fact within the special knowledge of the respondent, I would hold that the onus shifted to the respondent to prove that the bill was accompanied by the speaker's certificate of compliance. He did not discharge the onus. It is mostly unlikely that the respondent would fail to show that the bill was accompanied by the certificate if in fact it had been so accompanied. I would therefore hold that most probably, the bill for the act was not accompanied by the speaker's certificate of compliance.

I do not share the Learned Justices' view that the Presidential Assent is not a law making process. The Constitution allows the President discretion to refuse to assent to a bill, and provides for what has to be done in such special circumstances or eventuality. Save under those special circumstances, which are not applicable in the instant case, a bill does not become law until the President assents to it. In my view therefore, Presidential Assent is an integral part of law making process. Under article 262(2), the Constitution commands the President to assent only if specified conditions are satisfied. The command is mandatory not discretionary. It does not allow for discretion in the President to assent without the speaker's certificate of compliance. In the circumstances, I would hold that in respect of both the express and indirect amendments, the assent to the bill was invalid for non-compliance with the requirement under article 262(2)(*a*). In the result, I would hold that the Act did not become law and its proposed amendments to the Constitution did not become part of the Constitution. Grounds 3 and 4 ought to succeed. On ground 5, I do not wish to add anything to what my learned brothers have said. The ground ought to succeed.

Before taking leave of this case, I am constrained to observe that at the trial the issue of the speaker's certificate was not treated with the seriousness it deserved. In my view, facts pertaining to constitutional questions ought to be proved with certainty rather than being left to the fate of "hide and seek" between litigants, which the rules on the onus of proof evoke. Whether or not the certificate of compliance accompanied the bill was not a difficult fact to ascertain. I would go as far as to say if the parties failed to so, it was open to the Court apart from examining the second respondent as to the source of his knowledge, to call direct evidence from the appropriate officer of Parliament without appearing to unduly descend into the arena". The desirability to decide constitutional issues on ascertained facts cannot be over emphasised.

For the reasons I have indicated I would allow the appeal and grant the declarations and orders proposed by Kanyeihamba JSC.

ODOKI CJ: I have had the advantage of reading in draft the judgment of my learned brother Kanyeihamba JSC and I agree with him that this appeal should substantially succeed.

The facts giving rise to this appeal have been sufficiently outlined in the judgment of my learned brother, Kanyeihamba JSC and it is unnecessary to repeat them.

The appellants have filed six grounds of appeal which are set out in the judgment of my learned brother, Kanyeihamba JSC.

The grounds of appeal raise three main issues for determination. The first is whether the Constitutional Court did not have jurisdiction to construe one provision of the Constitution against another. The second issue is whether the Constitutional (Amendment) Act number 13 of 2000 amended the various articles enumerated by the appellants.

The third issue is whether the right procedure was followed in making the amendments.

With regard to the first issue which covers the sixth ground of appeal, the majority of the Court held that the Court did not have jurisdiction to construe parts of the Constitution as against the rest of the Constitution.

The Learned Deputy Chief Justice Mukasa-Kikonyogo in her lead judgment said:

> "When it came before this Court for the first time on 10 November 2000 counsel for the respondent raised two preliminary issues, one on the affidavits of the petitioners and the second of on the jurisdiction of this Court. It was conceded by the petitioners that there was a difference between a Constitutional Amendment and an Ordinary Act.
>
> Once the correct procedure for enacting a Constitutional Amendment Act is complied with, its provisions became part and parcel of the Constitution. They cannot be challenged in this Court. This Court by a majority of 3:2 in *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU) held that this Court would not have jurisdiction to construe parts of the Constitution as against the rest of the Constitution. See also *Kesavananda v State of Kerala* 1654 paragraph 788 AIR. All that this Court could do was to determine whether the Challenged Act was enacted in accordance with the procedure for enacting Constitutional Amendments".

The Learned Deputy Chief Justice went on to say:

> "In the recent *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301, where a similar Constitutional Petition was heard by this Court, the unanimous

> holding of the Court was that Parliament passed Act 13 of 2000 known as the Constitution (Amendment) Act in accordance with the laid down procedure. The petitioners failed to prove that the procedure was not followed by Parliament. In my view the decision to that effect is still standing as no appeal was filed against it and this Court has not reversed itself. The holding also decided constitutional petition number 6 of 2000 *Karuhanga Chapaa and two others v Attorney-General* in the same way as test case".

This opinion raises questions on the role of precedent in the Constitutional Court or the Court of Appeal, and the question of harmonization of the provisions of the Constitution. With regard to the first question, the doctrine of precedent is now constitutionalised in article 132(4) of the Constitution, which provides:

> "The Supreme Court may, while treating its own previous decisions as normally binding depart from a previous decision when it appears to it right to so; and all other Courts shall be bound to follow the decisions of the Supreme Court on question of law".

This principle is a codification of the principle enunciated in the case of *Dodhi v National and Gridlays Bank Ltd* [1970] EA 195 and the *House of Lords Practice Statement (Judicial Precedent)* [1966] I WLR 1234.

The doctrine of precedent requires lower Courts to follow decisions of higher Courts on question of law. The doctrine also lays down when a Court is not bound to follow a decision of a higher Court. This means that the Constitutional Court/Court of Appeal is bound to follow decisions of the Supreme Court. As regards its own decisions, it would normally be bound by them except under the three circumstances set out in *Young v Bristol Aeroplane Company Limited* [1944] KB 718 which was approved in *Dodhia*'s case (*supra*) where Law JA said at 210:

> "In *Kiriri Cotton Company Limited v Ranchoddas Kesharji Dewani* [1958] EA 239 Sir Kenneth O Cornor P, with the concurrence of other members of the Court held following *Young v Bristol Aeroplane Company Limited* [1944] KB 718 that the principle of *stare decis* is followed by this Court, subject to the following qualifications:
>
> (1) That the Court is entitled and bound to decide which of two conflicting decisions of its own it will follow;
>
> (2) that this Court would be bound to refuse to follow a decision of its own which though not expressly overruled cannot stand with a decision of the Privy Councilor of the House of Lords; and
>
> (3) this Court is not bound to follow a decision of its own if it is satisfied that the decision was given *per incurium"*.

It is clear from these authorities that the Constitutional Court was not obliged to follow its own decision if that decision was in conflict with the decision of the Supreme Court or if the decision was given *per incurium*. In my view the decision of the Constitutional Court in this case is inconsistent with the decision of this Court in the cases of *Tinyefuza v Attorney-General* and *Ssemogerere and another v Attorney-General* (*supra*). In *Tinyefuza* case this Court held that section 121 of the Evidence Act, which prevented the production in evidence of unpublished official records without the consent of head of department was unconstitutional as it was inconsistent with articles 41 of the Constitution which provided for a right to access to information in possession of the State and article 28(1) which provides for a right to fair hearing. Similarly in *Ssemogerere and another v Attorney-General* (*supra*) this Court held section 15 of the National assembly (Powers and Privileges Act) which prevented any member or

officer of the Assembly from giving evidence in respect of Assembly matters without special leave of the Assembly was in conflict with articles 41 and 28 of the Constitution, and was therefore null and void. The provisions of section 5 of Act 13 of 2000 amending article 41 are as we shall see later a reproduction of section 15 of the National Assembly (Powers and Privileges Act) which had been declared unconstitutional. The Constitutional Court was bound to follow these decisions of the Supreme Court, and it erred in not doing so.

The second question is one of harmonisation. The Constitutional Court was in error to hold that it did not have jurisdiction to construe one provision against another in the Constitution. It is not a question of construing one provision as against another but of giving effect to all the provisions of the Constitution. This is because each provision is an integral part of the Constitution and must be given meaning or effect in relation to others. Failure to do so will lead to an apparent conflict within the Constitution.

The second issue is whether the Constitutional (Amendment) Act amended by implication or infection the various articles specified. This issue covers grounds 1, 2 and 3 in the Memorandum of Appeal. The various articles specified in the Memorandum of Appeals were articles 1, 2(1), 2(2), 24(*c*), 28, 41(1), 44(*c*), 128(1), (2)(3) and 137(3)(*a*); The petition did not allege that section 5 of Act 13 of 2000 amended articles 1 of the Constitution by implication or infection. But the matter was argued in the Constitutional Court and this Court. Paragraph 1(*c*) of the petition referred only to articles 2(1)(2) and 3(2) and (4) of the Constitution. The Constitutional Court by majority held that these articles were not amended and therefore the provisions of articles 259 and 260 of the Constitution were not applicable. Mukasa-Kikonyogo DCJ in this respect said:

> "I agree with Mr Denis *Bireije* that article 259 of the Constitution is not relevant. There was no requirement for holding a referendum. The articles which were amended by Act 13 of 2000 were clearly stated as articles 88, 89, 90 97 and 257 of the Constitution. They did not include any of the provisions under article 259 and 260. Articles 1, 2, 28, 41, 44, 79(2) and 128(1) were not amended by Act 13 of 2000, expressly, impliedly or by infection as submitted by Mr *Lule*. In my view it would be wrong for the Court to impute unnecessary implications on the legislators without proof.
>
> In any case, it would be tantamount to putting words in their mouth. The same argument can be extended to the complaints raised by counsel for the petitioners under article 260. The Constitution (Amendment) Act did not amend any provisions of the Constitution under that article in any way. Article 260 of the Constitution is also irrelevant".

The leaned Deputy Chief Justice held that general amendments under article 258 did not require holding of a referendum or approval by districts. While it is true that articles 88, 89, 90 and 97 and 257 of the Constitution were expressly stated in the bill as the subject of amendments, and articles 1, 2, 41, 44, 79(2) and 128(1) were not included, it does not follow that the articles not mentioned in the bill could not be amended by implication or by infection. Article 258(1) which provides for amendment of the Constitution clearly envisages alteration of the Constitution by "way of addition, variation or repeal". The variations need not be directed but can be direct by implication or infection. Article 257(9) which defines amendment also supports this view. It provides:

> "In this Constitution, references to the amendment of any of the provisions of this Constitution or any Act of Parliament include references to the alteration,

> modification or re-enactment, with or without amendment or modification of that provision, the suspension or repeal of that provision and the making of a different provision in place of that provision".

In this connection, I agree with the dissenting judgment of Twinomujuni JA that an amendment may be effected expressly or by implication or infection, and that both the purpose and effect of the amendment are relevant in determining Constitutionality. In considering this point, the Learned Justice said:

> "If an Act of Parliament has the effect of adding to, varying or repealing any provision of the Constitution, then the Act is said to have amended the affected article of the Constitution. The two are treated the same under article 137(3) of the Constitution. The amendment may be effected expressly, by implication or infection as long as the result is to add to, vary or repeal a provision of the result it to add to, vary or repeal a provision of the Constitution. It is immaterial whether the amending Act states categorically that the Act is intended to affect a specified provision of the Constitution. It is the effect of the amendment that matters. It was stated in the Canadian Supreme Court case of the *The Queen v Big M Drug Mart Limited* [1986] LRC 332 that:
>
> > 'Both purpose and effect are relevant, in determining Constitutionality, either an unconstitutional purpose or an unconstitutional effect can invalidate legislation this validity'".

The Learned Justice of Appeal went to say:

> "If it was to be otherwise, Parliament could alter the entire Constitution, including the entrenched provisions, without following the procedure prescribe in Chapter 18 of the Constitution as long as it took care not to specify them in the head note of the amending Act".

I entirely agree with those observations.

In *Opolot v Attorney-General* [1969] EA 631, the question of implied amendment of legislation was considered. The appellant, who was formerly a brigadier in the Uganda army and Chief of Defence staff, was discharged from the army on 7 October 1966 and was detained under emergency regulations. He applied to the High Court for a declaration:

> (*a*) That his discharge was invalid and that he was still a member of the armed forces and chief of defence staff.
>
> (*b*) That the Armed Forces (Discharge) Regulations of 1966 were invalid.

The application was refused by the High Court and the appellant appealed to the Court of Appeal. In dismissing the appeal, the Court of Appeal held *inter allia*, that reference in the Armed Forces Act to "Prime Minister" were to be regarded as impliedly amended by the 1966 Constitution of Uganda, and the word "President" substituted. In this connection the Court said:

> "Finally Mr Kiwanuka submitted that the appellant was not validly discharged from the Armed Forces under the Armed forces (Discharge) Regulations and which took the decision to discharge the appellant was not properly Constituted as its chairman consisted of the President and not as required by section 11 of the Armed Forces Act, of the Prime Minister. The trial Judge rejected this submission and we agree with him. At the time the decision to make the regulations and to discharge the appellant was taken, the office of the Prime Minster no longer existed. It is clear from the 1966 Constitution that section 11 of the Armed Forces Act was to be regarded as impliedly amended by substituting for the words "Prime Minister" the word "President". The implied amendment was not affected by the omission from the Constitution (Modification of Existing Law) Instrument 1966 of any specific amendment to section 11. We consider that the Armed Forces (Discharge) Regulations of 1966 were validly

made by the Defence Council and that the appellant was validly discharged from the Armed Forces by the Defence Council under those regulations, whether or not he was validly discharged by the President acting under any other powers".

What then were the articles which were amended by Act 13 of 2000? In my view articles 1 and 2 of the Constitution were not amended by implication or infection. Article 1 deals with sovereignty of the people and article 2 deals with supremacy of the Constitution. None of the amendments purported to amend expressly or by implication these articles. The amendments did not affect the sovereignty of the people nor the supremacy of the Constitution. The fact that any of the purported amendments were in conflict or did not comply with the requirements of other provisions did not mean that the sovereignty of the people or the supremacy of the Constitution were in any way affected. The fact that Parliament may have exceeded its powers does not mean that it intended to affect the sovereignty of the people or the supremacy of the Constitution Sovereignty still remained with the people and the Constitution remained supreme. Any law which is inconsistent with the Constitution, still remains void to the extend of inconsistency.

As regards article 41 which provides for the right of access to information, I am of the opinion that the article was amended expressly by section 5 of the Act 13 of 2000 which restricted the right of access to information in possession of Parliament. Section 5 amended article 41 by adding the following two new clauses on article 97 of the Constitution.

"(2) Notwithstanding article 41 of this Constitution , no member or officer of Parliament and no person employed to take minutes of evidence before Parliament or any committee of Parliament shall give evidence elsewhere in respect of the contents of such minutes of evidence or the contents of any document laid before Parliament or any such committee, as the case may be, or in respect of any [proceedings or examination held before Parliament or such committee, without the special leave of Parliament first obtained.

(3) The special leave referred to in clause (2) of this article may, during a recess or adjournment of Parliament be given by the speaker or in the absence or incapacity of the speaker or during a dissolution of Parliament, by the Clerk of Parliament".

Article 41 is not an entrenched provision under articles 258 and 260, and therefore Parliament had power to amend it without the requirement of a referendum or ratification by members of district councils. However, section 5 of the act amended article 28 of the Constitution by implication. Article 28 provides for a right to a fair hearing. The right to a fair hearing cannot be guaranteed or exercised unless the public have access to information which they need to support their cases and causes. Courts depend on evidence to establish the truth and to substantiate claims and allegations in disputes. The right of access to information is not absolute but can be restricted on grounds of prejudice to security or sovereignty of the State or interference with the right to the privacy of any other person. Parliament must make laws to prescribe the restrictions. At present Parliament has not done so, and therefore it is incumbent on government to prove the necessity of restricting or denying access to information.

Articles 28 of the Constitution is an entrenched provision by virtue of articles 44 which prohibits derogation from the rights enumerated in that article. The rights upon which there shall be no derogation from their enjoyment are:

(*a*) Freedom from torture, cruel, inhuman or degrading treatment or punishment.

(*b*) Freedom from slavery or servitude.

(*c*) The right to fair hearing.

(*d*) The right to an order of *habeas corpus*.

Rule 98 of the rules of Parliament prohibits the introduction of bills derogating from particular human rights and freedoms. It states:

> "No bill, motion or amendment shall be introduced in the house which in the opinion of the speaker is likely to result in the derogation from the enjoyment of any of the particular human rights and freedoms specified in article 44 of the Constitution.

By amending article 41 in such a way that it restricted the right to a fair hearing, section 5 of the Act amended by infection article 44 of the Constitution which is an entrenched provision under article 259(2)(*c)*. Such an amendment required not only to be passed by two-thirds majority in Parliament, but also the approval of the people in a referendum. Failure to hold a referendum rendered the amendment ineffectual and void.

As regards article 128(1), (2) and (3) which guarantee the independence of the Judiciary and calls upon the various agencies of the State to accord courts any assistance required to ensure their effectiveness, I am unable to say that the amendments by the implication or infection amended these provisions. There was no challenge to or in conflict with these provisions, despite the attempted restriction of access to Parliamentary records.

However, as regards article 137 of the Constitution which provides for the right to challenge the constitutionality of an Act of Parliament or any action by any person or authority, I am of the opinion that this provision was amended by implication. This right, like the right to a fair hearing cannot be exercised effectively if the petitioner is not guaranteed the right of access to information in possession of Parliament.

The third issue was whether the correct procedure was followed in making the amendments. It will be recalled that three methods of amending of the Constitution are provided for in articles 258, 259 and 260. According to the first method, amendments require only two-thirds majority in Parliament, under the second method, amendments require in addition to two-thirds majority, approval in a referendum (article 259(2)), and under the third method amendments require additional ratification by district councils (article 260), in addition to two thirds majority in Parliament.

The bill cannot be passed unless it is supported at the second and third readings in Parliament by not less than two-thirds of all members of Parliament. In addition article 262 lays down procedural requirements for the amendments to be valid. It states *inter alia*:

> "(1) The votes on the second and third readings referred to in articles 259 and 260 of the Constitution shall be separated by at least fourteen sitting days of Parliament.
>
> (2) A bill for the amendment of this Constitution which has been passed in accordance with this chapter shall be assented to by the President only if:
>
> (*a*) It is accompanied by a certificate of the speaker that the provisions of this chapter have been complied with in relation to it; and
>
> (*b*) in the case of a bill to amend provision to which article 259 or 260 of this Constitution applies, it is accompanied by a certificate of the electoral commission that the amendment has been approved at the referendum or as the case may be, ratified by the district councils in accordance with this Chapter.

(3) Where the provisions of clause (2) of this article are complied with in the case of a bill to which articles 259 or 260 of this Constitution applies, the President shall not refuse to assent to the bill".

In 1996 Parliament made rules to govern its procedure. Rule 96 which deals with urgent matters provides:

"96(1) Where the House determines upon the recommendation of the appropriate Committee of the House appointed for the purpose that a particular bill is of an urgent nature, that bill may be introduced without publication.

(2) Copies of a bill referred to in subrule (*r*) shall be distributed to members and the bill may be taken through all its stages in a day notwithstanding anything in these rules".

In her judgment the Learned Deputy Chief Justice said this on the issue of procedure:

> "It was the submission of Mr *Lule* that Parliamentary rules could not supersede those of the Constitution. I would like to point out that the Constitution does not provide for a special procedure to be followed by Parliament when enacting Constitutional Amendment Acts other than those enacted under articles 259 and 260 (*supra*). It only makes provision for Parliament to make its own rules under article 94(1). There was nothing to stop Parliament from applying its own rules.
>
> The affidavits sworn by second and third petitioners did not indicate that Parliament did not comply with the correct rules of procedure for enactment of Acts. Parliament has powers to waive its rules. It was entitled to resort to its own rules to regulate its proceedings during the debate on the Constitution (Amendment) bill number 16 of 2000. It is provided with powers to waive any referendum of its rules where a particular bill is considered urgent. Under rule 96(4) a bill may be taken through all the stages in a day notwithstanding anything in those rules".

On failure to attach a speaker's certificate, she cited the decision in *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301, that failure to attach the speaker's certificate to the bill would not be fatal to the validity as the Act. Yet she acknowledged that:

> "The above provisions of the Constitution were intended to save the President from signing for something not legally passed by Parliament. It was the intention of the legislators to render the law passed by Parliament void. To them the issuance of a certificate was procedural and administrative requirement which does not go to the root of the law making process".

The Learned Deputy Chief Justice quoted the doctrine of *Omnia Praesumuntur rite et solemniter acta donec probetur in contrarium* (all things are presumed to have been performed with all the formalities until is proved to the contrary). She observed in this connection that the petitioner had the burden of proof which was not discharged.

> "It is true that the petitioners filed sworn evidence but in my view it does not add much to their petition. I am unable to find satisfactory evidence to substantiate the allegations made".

The Learned Deputy Chief Justice concluded:

> "I do not agree with Mr *Lule* as already pointed out the amendment of article 97 resulted in the amendment of articles 97 resulted in the amendment of articles 41(1) and 44 of the Constitution which he argued blocked ordinary citizens to have access to information. I disagree with him that the said amendments were linked to other articles which had not been specifically amended like articles 137(*a*) (*supra*)".

The Learned Deputy Chief Justice also held that the required spacing laid down by article 262 of fourteen days between the second and third readings was not applicable to the bill number 16 of 2000. She concluded:

> "The failure to observe the fourteen days period stipulated under article 262(1) of the Constitution in my view, was not applicable to bill number 16 of 2000. All that is required for the amendments under article 258 and 261 of the Constitution is the support at second and third readings of not less that two thirds of all the members of Parliament which was not disputed in this petition.
>
> There was no requirement of spacing at any stage of bill number 16 of 2000 as it is contended for the petitioners".

I am unable to agree with those conclusions. Parliament has the power to make rules of procedure to govern its business, but those rules had to be consistent or *intra vires* the Constitution. Parliament cannot change provisions of the Constitution through its rules. It can only make rules to implement the provisions of the Constitution. Therefore in making amendments the correct procedure laid down in articles 258 to 262 had to be strictly complied with. Those provisions could not be waived by the rules. In the present case, the m.andatory provisions relating to entrenched provisions were not complied with. These provisions require separating the second and third readings of the amendment bill by at least fourteen sitting days of Parliament, and the holding of a referendum or ratification by district councils in specified cases.

The Uganda Constitution is therefore a rigid one as it cannot be amended easily. Although it is not cast in stone, it is intended to serve not only the present generation but the generations yet to come.

The failure to produce a certificate of the speaker and a certificate of the electoral commission which accompanies the bill was fatal to the amendment process where these certificates were required. Once the petitioner alleged that the certificates were not attached, it was incumbent upon the respondent Attorney-General to show that the certificates had been attached to the bill. It was a fact within the special knowledge of the Attorney-General. The Attorney-General failed to do so. The presumption that such certificates existed was rebutted by the allegations made by the petitioner which were not seriously challenged. In the result I would hold that section 5 of Act 13 of 2000 was void for having not been enacted in accordance with the provisions of the Constitution.

In paragraph 1(*e*) of the petition, the Constitutionality of section 3 of the Act 13 of 2000 which introduced a new article 257A in the Constitution was challenged for being inconsistent with articles 88 and 17(1) and (3) of the Constitution on the ground that they provide for a procedure where members of Parliament may without a quorum vote on any question proposed for a decision of Parliament by using a voice vote of "ayes" and "nays" which by reason of the amendment cannot be subjected to the scrutiny of the Courts when it is the duty of the Courts to interpret and protect the Constitution under article 128(1), (2) and (3) of the Constitution and clause 1 of the National Objectives and directive Principle of State Policy.

This ground was not argued in the Constitutional Court. The Court therefore did not pronounce itself on whether the procedure of voting by "ayes" and "nays" was in conflict with the provision of the Constitution. The issue seems to have been raised in this Court in ground 5 of the memorandum of appeal.

This ground complains that the Learned majority Justices of the Constitutional Court erred in law when they failed to distinguish between waiver of Parliamentary procedure and non-compliance with the constitutional provisions under articles 258, 259 and 262 of the Constitution. Be that as it may I shall briefly comment on the issue because of its importance.

Section 6 of the Constitution (Amendment) Act 2000 amended the Constitution by adding section 257 A which provided:

> "Subject to article 92 of this Constitution:
>
> (*a*) No Act, resolution or decision passed or taken or purported to have been passed or taken by Parliament at any time after the commencement of this Constitution using the procedure of voting by a voice vote namely, by the voices of "ayes" for those in favour of the question and "nays" for those against the question shall be taken to be invalid by reason of the use of that procedure:
>
> (*b*) No Act passed or purported to have been passed by Parliament at any time after the commencements of this Constitution shall be taken to be invalid by reason of the fact that the Bill for the Act was not discussed and recommendations made on it to Parliament by a standing committee".

The declared object of this amendment was to ratify certain past acts relating to procedure of Parliament. This is clear from the long title to the Act and the marginal note to the article which states, "Ratification of certain acts relating to procedure of Parliament". This provision was not intended to provide a procedure for passing future amendments to the Constitution. It was a validating provision. I am unable to say that this provision is in conflict with articles 88 and 137(1) and (3) of the Constitution.

In my opinion however, the procedure provided in article 257A does not apply to the amendment of the Constitution where a two-thirds majority of all members of Parliament with voting rights is required to pass such an amendment. The procedure of voting by "ayes" and "nays" is incapable of providing accuracy and certainty that the necessary numbers of members of Parliament required to pass such important legislation have been obtained. The procedure may be applicable in deciding questions where only a simple majority of members of Parliament present and voting is required, in non-contentious matters, as provided under article 89(1) of the Constitution.

In the result this appeal should substantially succeed. I would hold that ground two should fail, ground three should partially succeed, and grounds 1, 4, 5 and 6 should succeed.

In view of the fact that the appeal has substantially succeeded, I would grant the appellants the costs in this Court and Courts below. I would allow a certificate for the two counsels.

As the other members of the Court substantially agree with the judgment of Kanyeihamba JSC, and the orders he has proposed, this appeal is allowed with declarations and orders as set out in the judgment of the Learned Justice of Supreme Court.

ODER JSC: The appellants Paul K Ssemogerere, Zachary Olum and Julliet Rainer Kafire, have appealed to this Court against the whole of the majority decision of the Constitutional Court, (Lady Justice LEM Mukasa-Kikonyogo DCJ, Mr Justice CM Kato JA and Lady Justice CN Kitumba JA) delivered at Kampala on 17 April 2002.

I have had the benefit of reading in draft the judgment of my learned brother Kanyeihamba JSC and I agree with him that the appeal should succeed.

In his judgment Kanyeihamba JSC set out the background to the appeal. I shall not repeat the same in this judgment.

The memorandum of appeal sets out six grounds of appeal as follows:

1. The Learned majority Justices of the Constitutional Court erred in law and fact when they held that section 5 of the Constitutional (Amendment) Act of 2000 did not amend articles 28, 41(1) and 44(*c*) of the Constitution by implication and infection with articles require amendment in accordance with articles 259 and 262 of the Constitution.
2. The Learned Majority Justices of the Constitutional Court erred in law and fact when they held that section 5 of the Constitutional (Amendment) Act of 2000, did not amend articles 28, 4(1) and 44(*c*) of the Constitution by implication and infection which articles require amendment in accordance with articles 259 and 262.
3. The Learned majority Justices of the Constitutional Court erred in law and fact when they held that section 5 of the Constitutional Amendment Act of 2000 did not amend articles 128(1), (2) and (3) and 137(3)(*a*) of the Constitution by the implication and infection which articles require amendment in accordance with articles 259 and 262.
4. The Learned majority Justices of the Constitutional Court erred in law and fact when they held that the petitioners/appellants had not proved that Parliament did not follow the required procedure under articles 259 and 262 of the Constitution when enacting the Constitutional (Amendment) Act 2000.
5. The Learned majority Justices of the Constitutional Court erred in law when they failed to distinguish between a waiver of Parliamentary procedure and con-compliance with Constitutional Provisions under articles 258, 259 and 262 of the Constitution of Uganda.
6. The Constitutional Court erred in law and fact and misconstrued the gist of the petition and the petitioners' contention when they held that a Constitutional Court would have no jurisdiction to construe part of the Constitution as against the rest of the Constitution and thereby came to a wrong conclusion.

The appellants prayed that the appeal be allowed and that the respondent should be ordered to pay the costs here and in the Court below.

Mr GS *Lule*, SC and Mr J *Balikuddembe* represented the appellants and Mr Denis *Bireije* Commissioner for Civil Litigation and Mr Okello *Oryem,* Senior State Attorney, both from the Attorney-General's Chambers appeared for the respondent. Mr *Lule* argued grounds 1, 2, 3, 4 and 5 together and ground 6 separately.

In his submission, Mr *Lule* critized the majority Learned Justices of the Constitutional Court for holding that there was no amendment of the articles mentioned in articles 259 of the Constitution, and that on that ground alone the appellants petition failed. He contended that provisions of the Constitutional (Amendment) Act 13 of 2002 (Act 13 of 2000) amended certain articles of the Constitution expressly, impliedly or by infection. Article 41 was amended expressly and impliedly. That amendment automatically affected articles 44, 28, 1, 2, 128 and 137 of the Constitution. However the Constitutional Courts finding was that as Act 13 of 2000 did not mention those articles in its preamble, it follows that they were not amended or affected. Learned counsel contended that amendment of a constitutional article does not depend entirely on an express statement that the article is being amended. It also depends on the effect of the amending legislation on the article. It is for the Court to determine the intended meaning and effect of the amending statute. The learned counsel then

referred to the decision of this Court in *Attorney-General v Tinyefuza* constitutional appeal number 1 of 1997 (UR) learned counsel submitted that in that case, the Court dealt with the effect of article 41 on section 121 of the Evidence Act as regards the right of access to information.

Learned counsel further submitted that all the procedures laid down in article 262 were applicable to article 41, the amendment of which affected the other articles. They were mandatory and amendments carried out without compliance with article 258(2)(*b*) cannot be part of the Constitution. The learned counsel urged this Court to apply the decision cited in the appellant's list of authorities submitted in this appeal. He added that the same authorities were relied on in the lower court. Some of those authorities are: *Ssemogerere and another v Attorney-General* [2000] LLR 5 (SCU), *The Bribery Commissioner v Ranasinghe* [1965] AC 172 (HL), *The Queen v Big M Drug Mart Limited* [1986] LRC (Constitutional) (332), and *The Constitutional Law of India* (3 ed) Volume 1 by HM Seervai.

Learned counsel also adopted his submission in constitutional petition number 13 of 2000 regarding "colourable" legislation by which, he contended section 5 was used to amend article 41 of the Constitution. On amendment articles of a Constitution by colourable legislation, the learned counsel referred to the Constitutional Law of India (*supra*).

Learned counsel also distinguished the case of *Teo Soh Ling v Minister of Home Affairs and others* [1990] LRC (Constitutional) 490 relied on by the respondent, as not applicable to the instant case. Learned counsel also referred to the respondent's other authority namely *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301 He pointed out that in the judgment of Honourable Lady Justice Mukasa-Kikonyogo DCJ amendment of article 41 of the Constitution by section 5 Act 13 of 2000 was never addressed, but the judgment agreed with the view that section 5 amended article 257 by insertion of a new article 257A and article 97 by insertion of new provisions thereto. The two other members of that court agreed with that holding.

Mr Denis *Bireije* opposed the appeal and supported the majority decision of the Constitutional Court. He argued against the grounds of appeal together. He submitted that the issue for decision before the Constitutional Court was whether Parliament followed the constitutional provisions in amending the Constitution by Act 13 of 2000. In his opinion the articles of the Constitution which were amended by Act 13 of 2000 were articles 88, 89, 90, 97. Another amendment was by insertion of article 257A. Learned counsel contended that the petition in the Constitutional Court was that Parliament did not follow the Constitution in amending those articles but the appellants failed to produce sufficient evidence to prove that Parliament never followed the required constitutional procedure in making amendments. Learned counsel submitted that the articles he has referred to as having been amended did not require their amendment to conform with articles 258, 259 261 and 262 (2)(*a)* as contended by the appellant's counsel. Learned counsel submitted that the articles which were amended were expressly stated in the preamble of the amending statute. Those not expressly mentioned were not amended.

Learned counsel contended that article 41 was amended but he disagreed that the procedure under articles 259 was required to do so. He submitted that article 28 was not amended by the implication or infection. Nor was the procedure

under articles 259 and 262(1) required to do so. Learned counsel also contended that articles 1 and 2 were not amended by Act 13 of 2000. Learned counsel also disagreed with the appellant's contention that by amending article 41 section 5 affected article 28 and 44, because the right to fair hearing was not affected by the amendment of article 41. He contended that the amendment of article 41 did not affect article 128, nor did it affect article 137 because people still have the right to petition under the latter. Regarding the appellant's complaints in grounds 2, 3 and 5 of the appeal that the procedure required by articles 259 and 262(2)(*a)* were not complied with in passing section 5 of the Act, the respondent's Learned counsel argued to the contrary. He contended that no evidence was produced by the appellants to prove that the articles in question were not complied with.

Learned counsel relied on *Teo Soh Lung v Minister of Home Affairs and others* [1990] LRC (Constitution) 490, in support of the preposition that once the correct procedure has been followed in amending the Constitution, the amendments become part and parcel of the amended Constitution. Learned counsel contended that article 257(*a*) permits amendment of the Constitution by modification, but he contended that such an amendment can be effected only if the article to be amended is specifically mentioned in the amending legislation.

Learned counsel submitted that the Constitutional Court has powers to harmonise provisions of the Constitution, but it can do so only when the right procedure has been followed in enacting the amending legislation.

I shall consider grounds 1, 2 and 3 together; grounds 4 and 5 together and 6 separately.

The complaints in grounds 1, 2 and 3 of the appeal are to the effect that the Constitutional Court erred in holding that Act 13 of 200 did not amend articles 1, 2(1) and (2), 28, 41(1), 44(c), 128(2) and (3) and 137(3) of the Constitution.

Section 5 of Act 13 of 2000 amended articles 97 by *inter alia*, introducing two clauses to that article as follows:

> "(2) Notwithstanding article 41 of this Constitution, no member or officer of Parliament and no person employed to take minutes of evidence before Parliament or any committee of Parliament shall give evidence elsewhere in respect of the contents of any document laid before Parliament or any such committee, as the case may be, or in respect of any proceedings or examination held before Parliament or any such committee, without the special leave of Parliament first obtained.
>
> (3) The special leave referred to in clause (2) of this article may, during a recess or adjournment of Parliament, be given by the speaker or in the absence of the speaker or during dissolution of Parliament, by the clerk to Parliament".

In the Constitutional Court the Learned Lady Justice Mukasa-Kikonyogo DCJ said this:

> "I do not agree with Mr *Lule*, as already pointed out, that the amendment of article 97 resulted in the amendments of articles 41(1) and 44 of the Constitution which, he argued, blocked ordinary citizens from having access to information. I disagree with him that the said amendments were linked to other articles which had not been amended like articles 137 (*supra*). Counsel cited a number of authorities in support of his arguments. I had the opportunity to read them but with due respect I do not find them relevant to the instant petition".

Two other members of that court concurred with Learned DCJ.
With the greatest respect, I am unable to agree with the Learned DCJ and the JJA in this regard, because first, in my considered opinion, the new additions made by section 5 of the Act 13 of 2000 to article 97 clearly affected the right of access to information guaranteed by article 41 of the Constitution. Article 41 was expressly amended. They made availability of records of proceedings of Parliament, for instance, *Hansard*, subject to prior approval of Parliament which approval can be granted or denied. If it is denied, the new clauses (2) and (3) of articles 97 do not indicate the reason on which Parliament may deny citizens access to records of its proceedings. Under article 41(1) release of Parliamentary proceedings to a litigant may only be denied if the release of such information is likely to prejudice the security or sovereignty of the State or interfere with the right to privacy of any other person. Moreover, Parliament does not yet appear to have made laws prescribing the classes of information referred to in article 44(2) and the procedure for obtaining access to such information. Secondly, the authorities relied on by the appellant are most relevant to the instant case. I shall refer to only three for purposes of discussing article 41. One is constitutional appeal number 1 of 1997, *Attorney-General v Tinyefuza* (*supra*) In that case, this Court was concerned with *inter alia* section 121 of the Evidence Act and article 41(1) of the Constitution. Section 121 provides:

> "No one shall be permitted to give any evidence derived from unpublished official records relating to any affairs of State, except with the permission of the officer at the head of the department concerned who shall give or withhold such permission as he thinks fit".

During a trial of a petition in the Constitutional Court, the Attorney-General objected to the admissibility of a certain recorded radio message from the Head of State's Commander-in-Chief of the army to the Minister of State for defence concerning the respondent in that appeal. The objection was based on grounds of State security under section 121. The Constitutional Court overruled the objection, which was upheld by this Court. In his judgment Wambuzi CJ (as he then was) put the matter this way:

> "The Court (the Constitutional Court) then went on to consider section 121 of the Act together with articles 28 41, 43, 44 and 273 of the Constitution and concluded:
>
> > 'The Constitution has determined that a citizen shall have a right of access to information in the hands of the State. It has determined the exceptions in a manner that is inconsistent with the application of section 121 of the Evidence Act; it is no longer for the head of department to decide as he thinks fit. The unfettered discretion has been overturned by article 41 of the Constitution and now it is for the Constitutional Court to determine whether a matter falls in the exceptions in article 41 or not. And to this, the State must produce evidence upon which the Court an Act. It has not done so in this instance'.
>
> The objection as to admissibility was overruled and I am unable to fault the reasoning of the Constitutional Court".

In my own judgment in that case I said:

> "The right of access to information is new in the constitutional history of Uganda. The Evidence Act is an old vintage statute of 1909. For this and other reasons I have given I think that article 41 of the Constitution overrides section 121 of the Evidence Act. I have already referred to the views expressed on page 5260 of *Fields Law of Evidence* to the effect that there is a long catena or chain of decisions in which warnings have been given by courts of the menace which supposed privilege implies to the individual liberty and private rights, and to the potency of its abuse. It is this menace

> which in my view, article 41 sets out to limit. The right of access to information must include the right to use such information in a Court of Law in support of a citizen's case".

I still hold the same view.

Article 97 as amended by section 5 of Act 13 of 2000 by introduction of clause (2) and (3) are couched in identical terms as section 15(1) and (2) of the National Assembly (Powers and Privileges Act) (Chapter 249). The effect of article 41(1) of the Constitution on section 15(1) and (2) was considered by this Court in constitutional appeal number 1 of 2000, *Ssemogerere and another v Attorney-General* (*supra*). This is another case to which the appellants referred the Court of Appeal in support of their petition.

Section 15 of the Act provided:

> "15. (1) Save as provided in this Act no member or officer of the assembly and no person employed to take minutes of evidence before the assembly or any committee shall give evidence elsewhere in respect of the contents of such minutes of evidence or contents of any document laid before the assembly or any such committee as the case may be, or in respect of any proceedings or examination held before the assembly or such committee as the case may be without the special leave of the assembly first had and obtained.
>
> (2) The special leave referred to in subsection (1) of this section may be given during a recess or adjournment by the speaker or, in his absence or other incapacity or during any dissolution of the assembly, by the clerk".

Rule 171 of the Rules of Procedure of Parliament of 1996 were worded in identical terms as section 15(1) of the Act.

In that case Learned Justice Kanyeihamba, JSC wrote the lead Judgment. All the other members of the Court except Wambuzi CJ (as he then was) agreed with him on his conclusions on the application of section 15(1) and (2) of the Act (Chapter 249) in the light of article 41 of the Constitution. Kanyeihamba JSC said:

> "It is my view that in the light of the provisions of article 41(1) the argument that a citizen needs permission of Parliament to use *Hansard* or allow members of Parliament to give evidence in court proceedings is unsustainable. In this case, the speaker gave what is known in administrative law as a speaking order. He disclosed that he had consulted the registers of members and used the numbers registered therein to ascertain the quorum. A speaking order is impeachable in courts of law, especially if there is evidence that it was based on a wrong principle. Consequently, since under article 41(1) information in possession of the state is freely available to a citizen except where its release would be 'prejudicial to the security or sovereignty of the State or interference with the right of privacy of any person' I can find no constitutional or legal grounds to prevent the release and use of *Hansard* or stop members of Parliament from giving evidence in courts of law. The Attorney-General did not show nor am I aware that Parliament has made the necessary law under article 41(2). In any event it would be incumbent upon the Attorney-General to show that the information to be excluded as evidence in constitutional petition number 3 of 1999 came within the purview of the exceptions listed in clause 10 of the same article. In my opinion, while it is still a practical necessity for a litigant to write to the state or organ or agency in possession of information one that information is obtained, with or without the co-operation of the State, or organ or agency concerned the information is freely usable and admissible in courts of law unless it fall within the exceptions under article 41(1). Moreover, where the State refuses to release such information, the citizen entitled to receive it may take the necessary legal steps to compel its release".

In the case of *Phato v Attorney-General* [1994] 3 LRC (Supreme Court of South Africa) it was held that the right of access to information by an accused person was required for the exercise of his right to a fair trial within the meaning of section 23 of the Constitution of South Africa, notwithstanding that it was not essential for the exercise of the latter right in circumstances where another law already provided for an alternative method to gain access to some but not all, of the information sought, enabling him to defend the charges against him. A right of access to information in terms of the supreme law, the Constitution, could not be whittled away. Furthermore where information existed which was highly likely to be relevant, such information was 'required" within the meaning of section 23 at least in order to enable the person seeking it to exercise or protest a right to take a proper decision about it. On the facts in that case the first applicant 'required' the information in the police docket and particularly the witness statements in order to prepare for trial.

In the instant case the article 97(2) and (3) as amended by section 5 of Act 13 of 2000 is to restrict the citizen's access to information in the hands of Parliament subject to the absolute discretion of Parliament to release or not to release the information. In my view the provisions of section 5 conflict with the right of access to information, guaranteed by article 41. They are therefore null and void.

Act 13 of 2000 expressly amended article 41 by the introduction of the new clauses (2) and (3) to article 97. Part of the appellant's case is that other articles of the Constitution were amended by implication or infection. These are articles 1, 2(1) and (2) 28, 44(*c*) 128(1) (2) (3) and 137(3). The respondent's contention is that these articles were not amended, just as article 41 was not amended, because the preamble to Act 13 of 2000 did not specifically state that they were to be amended.

Amendment of the Constitution is provided for by article 258 of the Constitution, the provisions of which are to the effect that the Constitution can only be amended if an Act of Parliament is passed for that purpose; the Act has the effect of adding to, varying or repealing any provision of the Constitution; and the Act has been passed in accordance with the provisions of Chapter 18 of the Constitution. To me, it follows that if an Act of Parliament has the effect of adding to, varying or repealing any provisions of the Constitution, then the Act must be said to have amended the affected article of the Constitution. The amendment may be effected expressly by implication or infection, as long as the result is to add to, vary, or repeal a provision of the Constitution. It is immaterial whether the amending act states categorically that the Act is intended to affect a specified provision of the Constitution or not. It is the effect of the amendment which matters. This view, in my opinion is supported by the decision of the Supreme Court of Canada in the *The Queen v Big M Drug Mart Limited* [1986] LRC (Constitutional) with which I agree.

In that case, the respondent had been charged with unlawfully carrying on the sale of goods on Sunday in Calgary, contrary to the Lords Day Act (RSC 1979 CL 13) and was acquitted at the trial. The Alberta Court of Appeal dismissed the appeal and a further appeal was made to the Supreme Court in which various constitutional questions were raised in particular, whether the Act (1) especially section 4, infringed the right of freedom of conscience and religion guaranteed by section 2 of the Canadian Charter of Rights and Freedoms; (2) was justified by section 1 of the Charter; (3) was enacted pursuant to

the criminal law power in section 97 (27) of the Constitution Act of 1867. The Attorneys-General of Canada, New Brunswick and of Saskatchewan intervened in the appeal. The appeal was dismissed because:

(1) Since the true purpose of the Act was to compel the observance of the Christian Sabbath, it, especially section 4, infringed the freedom of conscience and the religion guaranteed by section 2(*a*) of the Charter. Nor was it justified as a reasonable limit under the Charter, because though a secular justification for a day of rest in the Canadian context could be found, it was not the motivation of the legislation.

(2) Per Dickson, Beetz, Mclntyre, Chouinard and Lamer JJ: Both purpose and effect are relevant in determining the constitutionality, either an unconstitutional purpose and an unconstitutional effect can invalidate legislation. All legislations are animated by an object the legislature intends to achieve. This object is realised through the impact produced by the operation and application of the legislation. Purpose and effect respectively, in the sense of the legislation's object and its ultimate impact, are clearly linked if not indivisible. Intended and actual effects have often been looked to for guidance in assessing the legislation's object and thus its validity.

In that case, Wilson J said:

> "While it remains perfectly valid to evaluate the purpose underlying a particular enactment in order to determine whether the legislature has acted within its constitutional authority in division of powers terms, the Charter demands an evaluation of the infringement by even *intra vires* legislation of the fundamental rights and freedoms of the individual. It asks not whether the legislature has acted for a purpose that it within the scope of the authority of that tier of government, but rather whether in so acting it has had the effect of violating an entrenched individual right. It is other words, first and foremost an effects or oriented document".

In my opinion the principles expressed by the Canadian Supreme Court in *The Queen v Big M Drug Mart Limited* (*supra*) apply with equal fore to the instant case.

Another important principle governing interpretation and enforcement of the Constitution, which is applicable to the instant case, is that all provisions of the Constitution touching on an issue are considered all together. The Constitution must be looked at as a whole. In *South Dakota v North Carolina* 192 US 268 (1940) LED the United states Court said at 465:

> "Elementary rule of Constitutional construction is that no one provision of the Constitution is to be segregated from all others to be considered alone, but that all provisions bearing on a particular subject is to be brought into view and to be so interpreted as to effectuate the great purpose of the instrument".

The right to fair hearing is protected by article 28 of the Constitution, clause (1) of which provides that in the determination of civil rights and obligations or any criminal charge, a person shall be entitled to a fair speedy and public hearing before an independent and impartial court or tribunal establishment by law. Under the provisions of article 44(*c*) derogation of the right to fair hearing is prohibited. Under article 128(3) all organs and agencies of State are enjoined to accord to the Courts such assistance as may be required to ensure the effectiveness of the Courts. Parliament is such an organ of State. It should not therefore enact laws which hinder functions of Courts in dispensing justice, of which the right to fair hearing is an important aspect. In my considered opinion a litigant whose right of access to information is curtailed by the amended article 97 of the Constitution cannot enjoy the right to fair hearing under

articles 28(1) and (*c*) if Parliament withholds from him or her Parliamentary proceedings which he/she needs for evidence in a Court of law. By withholding such information from being used in a court of law Parliament would also be violating article 128 (3) of the Constitution.

For the same reasons, a citizen's right under article 137(3) to petition the Constitutional Court for a declaration that an Act of Parliament is inconsistent with, or contravenes, the Constitution would be rendered impossible if Parliament can deny him /her information in its possession which the citizen requires to support his/her petition for that purpose. Denial of such information would inevitably result into denial to the citizen the right to fair hearing and to violation by Parliament of its Constitutional duty under article 128(3). Consequently the Constitutional Court's jurisdiction under article 137(1) is affected in that where a petitioner for the purpose of article 137(3) is denied information to support his/her petition the Constitutional Court cannot give him/her a fair hearing.

In the circumstances, the amendments introduced by section 5 of Act 13 of 2000, which I have discussed in this judgment, are so in conflict with articles 28, 44(*c*) 128(3) and 137(1) and 3) of the Constitution and, therefore null and void.

In view of my finding that Act 13 of 2000 is in conflict with the Constitution, it is my considered opinion that Act 13 of 2000 was "colourable" legislation. A colourable legislation occurs where a legislature lacking legislative power or subject to a constitutional prohibition may frame its legislation so as to make it appear to be within the legislative power or to be free from the constitutional prohibition. Such a law is "colourable" legislation, meaning thereby that while pretending to be a law in the exercise of undoubted power, it is, in fact, a law of a prohibited field.

The principle of colourable legislation has been applied in some Common-Wealth jurisdictions. In *Union Colliery Company of British Columbia v Bryden* [1899] AC 580, the Privy Council held that section 4 of the impugned Act, which prohibited Chinese men of full age from employment in underground workings, was not a law relating to provincial undertakings, nor a law relating to property and civil rights in the province but was in the pith and substance a law relating to naturalisation of aliens, a subject of exclusive Dominion legislative power. Accordingly section 4 was *ultra vires* the Provincial Legislature. In *Attorney-General of Ontario v Eeciprocal Insurers* [1924] AC 326 the Privy Council had to consider, *inter alia*, an attempt by the Dominion of Canada to control contracts of insurance within the Province. The Dominion having failed to secure that control by the Insurance Act of 1910, inserted section 508(*c*) in the criminal code which on behalf of or as agent of a company duly licensed under the Insurance Act of 1917 of Canada. The dominion contended that its power to legislate on criminal law was unfettered and that the impugned law was *intra vires*. Rejecting this contention the Privy Council observed that this claim was a claim to legislate every topic of exclusive provincial legislation by resorting to the entry on criminal law, and that such a claim could not be allowed consistently with the principles governing the interpretation of sections 91 and 92 of the BNA Act of 1869 at 343 the Privy Council said:

> "It is one thing, for example to declare corruption in Municipal elections, or negligence of a given order in the management of railway trains, to be a criminal offence

> and punishable under the Criminal Code; it is another thing to make use of the machinery of the criminal law for the purpose of assuming control of municipal corporations or of provincial railways".

Other cases in which the principle of colourable legislation has been discussed include *Attorney-General for Alberta v Attorney-General for Canada* [1979] AC 117, *Morgan Pty Limited v Dy Commissioner of Taxation for NSW* [1940] AC 838 and *KC Gajapati Narayan Deo v Orissa* [1954] SCRI (53) ASC 375. In the *Gajapati* case (*supra*) Mukhherjea J observed that the doctrine of colourable legislation did not involve any question of *bonafides* or *mala fides* on the part of the legislature. The whole doctrine resolved itself into a question of the competency of a particular legislature to enact a particular law. The whole doctrine of colourable legislation is based upon the maxim that you cannot do indirectly what you cannot do directly. See *Constitutional Law of India* (3 ed) by HM Seervai paragraph 3.15.

In the instant case, Act 13 of 2000, in my view was a colourable legislation, by which Parliament sought to amend articles 28, 41, 44(*c*), 128 and 137(1) and (3) of the Constitution without saying so. It did indirectly what it could not do directly, without complying with the Constitutional procedural requirements. For this reason and the others I have already given in this judgment section 5 of Act 13 of 2000 is in conflict with the provisions of the Constitution in question and is null and void.

Article 1 of the Constitution provides for the sovereignty of the people and for their governance through their will and consent. In my view section 5 of Act 13 of 2000 did not affect or amend article 1 of the Constitution, for it did not remove away or in any way affect the right of the people to exercise their sovereignty in accordance with the Constitution. Nor did the section affect or amend article 2 of the Constitution, which provides for the supremacy of the Constitution.

In the circumstances ground 1 of the appeal should succeed. So should ground 3. On the other hand ground 2 of the appeal should fail.

I shall next consider grounds 4 and 5 together. The Constitution stipulates certain procedural conditions for enacting and assenting to bills intended to amend certain provisions of the Constitution. Firstly provisions of article 259(1) state that a bill for an Act of Parliament seeking to amend provisions of articles 44 and 128(1) shall not be taken as passed unless it is supported at the second and third readings in Parliament by not less than two-thirds of all members of Parliament; under article 261, the same procedure applies to article 41, secondly it had been referred to a decision of the people and approved by them in a referendum; thirdly under article 262(1) the votes on the second and third readings required under articles 259 and 260 shall be separated by at least fourteen sitting days of Parliament; fourthly under article 262(2) a bill for amendment of the Constitution which has been passed in accordance with Chapter 18 shall be assented to by the President only if: (*a*) it is accompanied by a certificate of the speaker that the provisions of Chapter 18 have been complied with in relation to it and (*b*) in the case of a bill to amend a provision to which articles 259 and 260 of the Constitution apply, it is accompanied by a certificate of the electoral commission that the amendment has been approved at a referendum or, as the case may be, ratified by district councils in accordance with Chapter 18.

In her judgment with which other two members of that Court agreed, the Learned DCJ held that there was no requirement to hold a referendum or to have approval by district councils. Such a conclusion on the part of the Learned DCJ in my opinion is not surprising because the Learned DCJ held that only articles 88, 89, 97 and 257 of the Constitution were amended, and that articles 1, 2, 28, 41, 33, 128 and 137(3) were not amended by Act 13 of 2000. The Learned DCJ also held that there was no requirement for spacing of fourteen days between the second and third readings of the Constitution (Amendment) bill number 16 of 2000 (Act 13 of 2000); that the Constitution does not provide for special procedures to be followed by Parliament when enacting Constitutional amendment Acts other than those enacted under articles 259 and 260. It only makes provision for Parliament to make its own rules under articles 9(1). In the instant case, there was nothing to stop Parliament from applying its own rules. The Learned DCJ also held that the affidavits sworn by the second and third appellants did not indicate that Parliament did not comply with the correct rules of procedure. It was entitled to resort to its own rules to regulate its proceedings during the debate of bill number 16 of 2000. Parliament is provided with powers to waive any requirement of its rules where a particular bill is considered urgent. Under rule 96(4) a bill may be taken through all the stages in a day notwithstanding anything in those rules. The Learned DCJ also held that although they were members of Parliament, the affidavits of the second and third appellants did not prove that the speaker's certificate under article 262(2) was not attached to the bill when the bill was sent to the President for his assent thereto. In any case failure to attach the speaker's certificate to the bill would not be fatal to the validity of Act 13 of 2000. Issuance of the speaker's certificate was a mere procedural and administrative requirement which does not go to the root of law making process. Similarly, none of the constitutional amendments effected by Act 13 of 2000 had to be accompanied by a certificate of the electoral commission.

With great respect I am unable to agree with the Learned DCJ and the two JJA that the amendment effected by Act 13 of 2000 did not require approval by the people in a referendum or district councils; that the second and third readings of the amending bill did not require to be separated by 14 days; that the period of 14 days was a mere procedural requirement which Parliament could waive as it wished under rule 96(4) and that the requirements for the speaker's certificate or the certificate of Electoral Commission were mere procedural and administrative requirements which did not go to the root of the law making process.

It is my view that the constitutional procedural requirements for the enactment of legislation for amendment of the Constitution are mandatory conditions, which cannot be waived by Parliament as mere procedural or administrative requirements. There are conditions to be complied with. Mandatory Constitutional requirements cannot simply be waived by Parliament under its own procedural rules. It is also my considered opinion that had the Learned DCJ and Justices of Appeal found that Act 13 of 2000 amended articles 28, 41 44, 128 and 137(1) and (3) they would have found that the Constitutional procedural requirements under articles 258, 259 260(1), 262(1) and (2) were mandatory and that Parliament should have complied with them in enacting Act 13 of 2000.

In my considered opinion this view is supported by the decision of the House of Lords in *the Bribery Commissioner v Ranasinghe* [1965] AC 172. It was held in that case a legislature has no power to ignore the conditions of law making that is imposed by the instrument which itself regulates its power to make law. This restriction exists independently of the question whether the legislature is sovereign. Such a Constitution can be altered or amended by the legislature if the regulating instrument so provides and if the terms of those provisions are complied with, and the alteration or amendment may include the change or abolition of those very provisions. A legislature has no inherent derived from the mere fact of its establishment to make a valid law by the instance; the resolution of a bare majority which its own constitutional instrument has said shall not be valid unless made by a different type of majority or by a different legislative process.

Regarding the findings in the instant case of the Constitutional Court that there was no proof that the requirement for fourteen days interval between the second and the third readings of the bill 16 of 2000 had been fulfilled; that the respective certificates of the speaker and the electoral commission did not accompany the bill to the President for his assent, the second and the third appellants filed affidavits to say that the relevant procedural constitutional requirements were not complied with when Act 13 of 2000 was enacted. Zachary Olum, the second appellant deponed in paragraph six of his affidavit that the bill was not referred to the decision of the people for approval in a referendum, and that the bill was not accompanied by respective Certificate of Compliance from the speaker of Parliament and from the electoral commission. In her affidavit Juliet Rainer Kafire the third appellant deponed in paragraph five of her affidavit that Act 13 of 2000 was passed by Parliament in one day, namely 31 August 2000. It was published in the Uganda *Gazette* on 1 September 2000 and became law the same day. The respondent's answer to the appellant's petition was supported by the affidavit of Patricia Mutesi, a State Attorney in the respondent's chambers. Mutesi's affidavit was silent on the allegations made in paragraph six and five respectively of the second and third appellants which, therefore, were not controverted. In my view, some of these were matters within the special knowledge of the respondent. He alone knew or should have known whether the bill for the enactment of Act 13 of 2000 was accompanied or not by the respective certificates of the speaker and the electoral commission for purposes of assent to the bill by the President. The appellants had no access to official information or material as evidence in the possession of the respondent. By their affidavits, the appellants had made a *prima facie* case that the constitutional requirements were not complied with. The burden to prove matters in question were within his special knowledge. See section 105 of the Evidence Act. Regarding the absence of the 14 days interval the two appellants were members of Parliament and deponed to that fact from their own knowledge. It is my opinion therefore that the appellants proved what they alleged in their affidavits.

In ground 1(*e*) of their petition, the appellants challenged the constitutionality of the new article 257A introduced by section 6 of Act 13 of 2000. The Constitutional Court did not make any decision about that ground of the petition. However, it is my opinion that I should comment on it for purposes of clarification since it relates to a procedure for passing Acts of Parliament. The provisions of the new article 257A are to the effect that no Act or decisions

passed or taken by Parliament at any time after the commencement of the Constitution using the procedure of voting by a voice vote shall be taken to be invalid by reason of the use of that procedure. It follows, in my view, that procedure is inapplicable to passing of Acts of Parliament which where or are intended to amend the Constitution where a majority of two-thirds, majority of all members of Parliament who are entitled to vote, excluding *ex officio* members, which is not possible in a voice count of ayes" or "nays".
In the circumstances, grounds four and five of the appeal should succeed.

I shall consider next ground six of the appeal. The passage of the judgment of the Lady Justice Mukasa-Kikonyogo DCJ with which two members of that Court agreed and which is relevant to this ground of appeal reads as follows:

> "Once the correct procedure for enacting a Constitutional Amendment Act is complied with, its provisions became part and parcel of the Constitution; they cannot be challenged in this Court. This Court by a majority of 3:2 in constitutional petition number 5 of 1999 *Doctor Rwanyarere and Haji Sadim Deguo v Attorney-General* held that this Court would not have jurisdiction to construe parts of the Constitution as against the rest of the Constitution. See also *Kesavananda v State of Kerala* 1654 paragraph 788 AIR. All that this Court could do was to determine whether the challenged Act was enacted in accordance with the procedure for enacting constitutional amendments. This petition was, hence adjourned for hearing to determine the issue of compliance with the laid down procedure. In the recent *Uganda Law Society and another v Attorney-General* [2001] 1 EA 301, where a similar constitutional petition was heard by this Court, the unanimous holding of the Court was that Parliament passed Act 13 of 2000, known ad The Constitution (Amendment) Act, in accordance with the laid down procedure. The petitioners failed to prove that the laid down procedure was not followed by Parliament. In my view the decision to that effect is still standing as no appeal was filed against it and this Court has not reversed itself. The holding also decided constitutional petition number 6 of 2000 *Chapa and others v Attorney-General* in the same way as a test case. When this petition came up for hearing on 18 February 2002 that decision of the Court was brought to the attention of Mr G *Lule* and Mr *Balikuddembe*, Learned counsel for the petitioners, but they replied that their client's case was distinguishable from the two petitions decided. Unlike in the other petitions, they told the Court that they had evidence to prove that the laid down procedure was not followed by Parliament when enacting Act 13 of 2000".

As I understand it, the decision of the Constitutional Court in this passage of the judgment is that the Constitutional validity of an act of Parliament intended to amend the Constitution can be challenged only if proper procedures are not followed in the enactment process. It appears to mean that because such an Act becomes part and parcel of the Constitution it cannot be challenged that it is inconsistent with or contravenes the Constitution even if that is the perception of the petitioner. Such a decision in my view, with respect, would severely limit the jurisdiction of the Constitutional Court as provided for under article 137 of the Constitution.

Jurisdiction is defined in *Mullah on the Code of Civil Procedure* at 225 as:

> "By jurisdiction is meant authority which a court has to decide matters that are litigated before it or to take cognisance of matters presented in a formal way, for its decision. The limits of this authority are imposed by statute charter or commission under which the Court is constituted and may be exercised or restricted by the like means. If no restriction or limit is imposed the jurisdiction is unlimited".

For purposes of ground six of the appeal in the instant case, the jurisdiction of that Constitutional Court to construe Acts of Parliament is set out in article 137 of the Constitution.

"137(1) any question as to the interpretation of this Constitution shall be determined by the Court of Appeal sitting as the Constitutional Court.

(2) …

(3) A person who alleges that an Act of Parliament is inconsistent with or in contravention of a provision of the Constitution may petition the Constitutional Court for a declaration to that effect and for redress where appropriate".

The Constitutional Court's jurisdiction to declare an Act of Parliament inconsistent with or in contravention of the Constitution goes altogether with the one for interpretation of the Constitution. It is unlimited. The constitutionality or otherwise of an Act of Parliament must be construed *vis-à-vis* the Constitution. The Court's jurisdiction in article 137(3)(*a*) must be applied together with one in article 137(1). In my view these provisions apply to any Act of Parliament which a person alleged is inconsistent with or contravenes the Constitution. For purposes of exercising these jurisdictions by the Constitutional Court there can be no distinction between an Act passed to amend the Constitution or an Act passed for other purposes. As long as a person alleges that an Act of Parliament is inconsistent with or contravenes the Constitution, the Constitutional Court shall and should construe the Act of Parliament in the light of the Constitutional provisions it is alleged to be inconsisted with or to contravene whether it is the former kind of Act of Parliament or the latter. For purposes of jurisdiction of the Constitutional Court under article 137(1) and (3)(*a*) there can be no distinction between an Act for amendment of the Constitution and other Acts of Parliament. Whether the petition presented to the Court is to challenge the Constitutionality of an Act in the sense that the Act is allegedly null and void or that the Act enacted in a manner which did not comply with the constitutional procedural provisions such as for instance, requirements under articles 259, 261 and 262(1) and (2), the Constitutional Court has jurisdiction to make a declaration or other redress sought by the petitioner.

Any Act of Parliament intended to amend the Constitution or not, in my view remains valid as against the Constitution until its validity is successfully challenged in the Constitutional Court. To say that the Constitutional Court has no jurisdiction to entertain a petition challenging the Constitutional validity of an Act of Parliament intended to amend the Constitution as long as the relevant procedures are followed in enacting it would, with great respect severely whittle away the jurisdiction of the Constitutional Court under article 137 of the Constitution. Moreover, there is no constitutional provision to that effect.

In the circumstances ground six of the appeal succeeds.

In the result this appeal should substantially succeed. I would allow it with costs in this Court and in the Constitutional Court. I would also make the declaration proposed by Kanyeihamba JSC

TSEKOOKO JSC: This appeal is against the decision of the Constitutional Court dismissing, by a majority , the appellants petition to that court in which the appellants had sought a number of declarations.

I have read in advance, the lead judgment prepared by my Lord Justice GW Kanyeihamba JSC and concurring judgments by my Lord Chief Justice and AH Oder JSC. I agree that this appeal ought to succeed substantially and that the declarations sought by the appellants, as set out in the lead judgment ought to be granted.

In constitutional petition number 3 of 1999, the first and second appellants challenged the validity of the enactment by Parliament of the Referendum and Other Provisions Act, 1999 on ground that the Act had been passed by Parliament without the requisite quorum stipulated in the Constitution. On 23 September 1999, the Constitutional Court summarily dismissed the petition leading to an appeal to this Court which on 31 May 2000 reversed that decision and remitted the matter to the Constitutional Court for hearing. The present respondent was the respondent in the petition. The latter court heard the petition and on 10 August 2000 granted the declarations sought and struck down the Act. There was no appeal. However, on 1 September 2000, the government reacted by moving Parliament to enact the Constitution (Amendment) Act 2000 (Act 13 of 2000) whose effect was *inter alia*, to nullify the said judgment of the Constitutional Court. Act 13 of 2000 amended articles 88, 89, 90 and 97 of the Constitution. The amendment also affected articles 41, among others and introduced a new article 257A. The appellants herein thereupon instituted a fresh petition number 7 of 2000 against the respondent challenging the amendment. In summary this time the appellants contended *inter alia* that:

(*a*) The Act indirectly amended *inter alia* article 41 of the Constitution.

(*b*) Act 13 of 2000 made Parliament Supreme over the Constitution of 1995 yet the reverse is the position.

(*c*) Act 13 of 2000 creates a one party state, the NRM and eliminates other political parties.

On 10 November 2000, when the petition was called for hearing in the Court below, Mr D Byamugisha acting director of Civil Litigation objected first to the competence of the petition and secondly to the jurisdiction of the Court to hear the petition. Ruling on the objection was given on 29 November 2000 overruling the first point of objection but the Court held that it had no jurisdiction "to declare that one part of the Constitution was in conflict with another". After hearing the petition subsequently, the Constitutional Court by a majority of three to two dismissed the petition. The appellants now appeal against the dismissal and base the appeal on six grounds which have been set out in the judgment of Kanyeihamba JSC.

I would like to make observations on ground six of the appeal. For easy reference I will reproduce it and it was formulated this way:

> "The Constitutional Court erred in law and fact and misconstrued the gist of the petition and the petitioner's contention when they held that a Constitutional Court would have no jurisdiction to construe part of the Constitution as against the rest of the Constitution and thereby came to the wrong conclusion".

This ground relates partly to the Court's ruling to which I have just alluded by which the Court accepted Mr Byamugisha's contention that the Court had no jurisdiction to interpret Act 13 of 2000 because the Act was part and parcel of the Constitution and the Court itself cannot construe one part of the Constitution against another part of the same Constitution.

At the commencement of the hearing of the petition in the Constitutional Court and partly because of the earlier ruling alluded to above, the Court disabled and restricted itself by framing only one issue as follows:

> "Whether the Constitutional Amendment Act Number 13 of 2000 complied with the constitutional requirements for amendment of the Constitution".

It would appear from the opening remarks in that court by Mr *Lule* who was counsel for the petitioners, that this was not the only issue which arose from the

pleadings. Indeed in his dissenting judgment, Twinomujuni JA (at 2 and 3) lamented that the issues raise by the petition could have been more directly addressed if the Court considered:

> "Whether the Constitution (Amendment) Act number 13 of 2000 was (consistent or inconsistent) with the Constitution of Uganda".

This shows that the pleadings raised more than one issue and indeed this is reflected in the submissions which were in the Court below and before us.

Now whether it is a constitutional matter or an ordinary suit, it is trite that a trial court must frame all issues arising out of the pleadings so as to determine the matter, or matter in controversy. A perusal of the pleadings in this case (petition and affidavits) shows that among the issues in controversy was consistency or inconsistency between the Act and some other parts of the Constitution. That is what needed to be clearly framed and decided upon.

Be that as it may Mr Godfrey *Lule* SC, counsel for the appellants in this Court argued that the majority Learned Justices of the Constitutional Court erred when they held that the Court had no power to interpret one part of the Constitution against another part. In a way Mr *Bireije*, Commissioner for Civil Litigation, conceded this point when he agreed that the Court had jurisdiction to harmonise various provisions of the Constitution provided that the right procedure of amending the Constitution had been followed. Here he quite properly abandoned the position taken in the Constitutional Court by his colleague, Mr D Byamugisha. He however, glossed over the point whether the Court would have jurisdiction to harmonise the original articles of the Constitution which is the holding of the Constitutional Court.

As noted already on 29 November 2000 the Constitutional Court, which at that time was differently composed, ruled upholding one of the objections to the petition by Mr D Byamugisha that the "Court would have no jurisdiction to inquire into the question whether amending sections if they properly became part of the Constitution were unconstitutional". Mr Byamugisha the then acting director of Civil Litigation had argued during the hearing of the preliminary objection, that once an Act amending the Constitution became law, it became part and parcel of the Constitution. Of course this last point is indisputable. However Mr Byamugisha's strange view suggests that once a Constitution Amendment Act becomes law, and part of the Constitution, it acquires sanctity against interpreting its provisions against the rest of the Constitution. For this strange view, Mr Byamugisha and the Constitutional Court relied on the Indian case of *Kesavananda v State of Kerala* 1654 SC reported at paragraph 788 AIR and on the Ugandan Constitutional Petition decision in *Rwanayaarare and Wegulo v Attorney-General* constitutional petition number 5 of 1999 (UR).

Thus the Constitutional Court in its ruling administered to itself a preventative dose which in effect disabled it from considering one of the relevant issues raised by the petition and, therefore the Court abdicated its duty by declining from examining the impugned articles of the Constitution in order to determine whether the complaints raised in the petition were valid, or otherwise. This is unfortunate.

It is my considered opinion and with due respect to the Constitutional Court, that *Kesavananda* case was misunderstood and therefore misapplied to the facts of the petition. The provisions of our Constitution override that case.

Clauses (1) and (3) of article 137 of our Constitution are very clear. The first clause gives unlimited jurisdiction to the Court to interpret our Constitution. It reads:

> "Any question as to the interpretation of this Constitution shall be determined by the Court of Appeal sitting as a Constitutional Court".

If there was any clear answer to the doubts in the mind of the Constitutional Court as to its jurisdiction to interpret any provision of the Constitution, clause (1) is the answer. In my opinion clause (3) does not fetter in any way whatsoever the powers of the Court contained in clause (1).

Clause (3) reads:

> "1. A person who alleges that:
>
> (*a*) An Act of Parliament or any other law or anything in or done under the authority of an law; or
>
> (*b*) An Act or omission by any person or authority is inconsistent with or in contravention of a provision of this Constitution, may petition the Constitutional Court for a declaration to that effect and for redress where appropriate".

The issue which was in the *Kesavanada* case appears to have been whether an Act of Parliament had become part and parcel of the Constitution. That was and is not the issue in the petition giving rise to the appeal before us. Indeed nobody can dispute the fact that a Constitutional provision introduced by an amendment of the Constitution forms part and parcel of the Constitution.

No copy of the judgment of *Kesavananda* case was availed to us. I have not been able to lay my hands on the full judgment. But passages of it are quoted in the Singaporean case of *Teo Soh Lung v Minister for Home Affairs and others* [1990] LRC (Constitutional) 490. At 504 Chua J quotes a passage from a judgment of one of the Judges in Kesavanada case as follows:

> "Fundamental or basic principles can be changed. There can be radical changes in the Constitution like introducing a Presidential system of government for a cabinet system or a unitary system for a federal system. But such amendment would in its way bring all consequential changes for the smooth working of the new systems". (paragraph 932)
>
> "Those who frame the Constitution also know that new and unforeseen problems may emerge; that problems once considered important may lose their importance because priorities have changed; that solutsssions to problems once considered right and inevitable are shown to be wrong or to require considerable modification; *that judicial interpretation may rob certain provisions of their intended effect*; that public opinion may shift from one philosophy of government to another. The framers of the Constitution did not put any limitations on the amending powers because the end of a Constitution is the safety the greatness and wellbeing of the people. Changes in the Constitution serve these great ends and carry out the real purposes of the Constitution (paragraph 959)". (emphasis supplied)

This passage indicates that written Constitutions are not static and are liable to be amended. There is an obvious implication in this passage that courts have to interpret constitutional provisions to bring the Constitution in line with current trends. Implicit in this is the real possibility that one part of the Constitution can be harmonised with another part of the same Constitution. Further in paragraph (*h*) of the report, Chua J pointed out that Malaysian Courts had declined to follow the *Kesavanada* doctrine. Moreover the decision in the case itself was not unanimous which robs it of its full persuasive value.

Besides, I am of the considered view that even if the provisions of the Constitution (Amendment) Act 2000 are part and parcel of the Constitution, its

provisions as enacted constitute an Act of Parliament. That is how the Act describes itself. According to definitions in the Acts of Parliament Act and the Interpretation Act, "Act or Act of Parliament" means a law made by Parliament. That is so whether the Act amends or does not amend the Constitution.

For the foregoing reasons, I think that the decision of the Constitutional Court in *Rwanyarare and another v Attorney-General* [1999] LLR 43 (CAU) in so far as the Constitutional Court held that it has no jurisdiction to interpret one provision of the Constitution against another represents a wrong approach to our principles of the Constitutional interpretation and in my opinion that case was wrongly decided and represents a wrong view of the law which should not be followed.

Ground six ought therefore to succeed.

I agree with the minority judgment of the Constitutional Court that the appellants had in the main established their complaints as raised by the Constitutional petition. Therefore I would allow the appeal. I agree with the orders proposed by Kanyeihamba JSC.

For the appellants:
GS Lule and J Balikuddembe instructed by *Sebalu Lule and Co*

For the respondent:
D Bireije, Commissioner for Civil Litigation *and Okello Oryem,* Senior State Attorney instructed by the Attorney-General

Tohme v Shoumar and another
[2004] 2 EA 329 (HCT)

Division:	High Court of Tanzania at Dar-es-Salaam
Date of ruling:	23 March 2004
Case Number:	296/02
Before:	Kimaro J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Civil procedure – Judgment – Setting aside ex parte *judgment – Time within which application to be filed – Whether application filed after 21 days incompetent and time barred – Section 95 Civil Procedure Code – Order IX, rule 13(1) and (2) Civil Procedure Rules (Tanzania).*

Editor's Summary

The applicant filed an application for setting aside an *ex parte* judgment entered on 29 October 2003. The application was filed on 21 November 2003. The main reason given to support the application was that the applicants were not duly served as they resided outside Tanzania.

The respondents advocate filed a counter affidavit contending that the applicants were served by publication in a local newspaper. An issue of competency of the application arose.

Held – The limitation period for filing an application to set aside an *ex parte* judgment was 21 days under Order IX, rule 13(2). In this case judgment was entered on 29 October 2003 and the 21 days lapsed on 18 November 2003 yet the application was filed on 21 November 2003. There was no evidence to show that the application was filed within time.

Application dismissed for being time barred.

No cases referred to in ruling

Ruling

KIMARO J: The application before me is for setting aside an *ex parte* judgment entered on 29 October 2003. The application was filed on 21 November 2003 and it is supported by an affidavit of Mr Richard Amerius *Rwabutaza*, the advocate appearing for the applicants in this application. The main reason given to support the application is that the applicants were not duly served as they are residents outside Tanzania. They were not aware of the case.

In a counter affidavit deponed by Mr *El-Maamry*, it is contended that the applicants were served by publication in our local papers (*Daily News* 5 April 2003).

In a reply, Mr *Rwabutaza* has raised several matters, some being legal. Among them is the legality of Mr *El-Maamry*'s representation of the respondent while previously he acted for both parties. The other matters raised are concerned with the effectiveness of the method of service used and the legality of powers of attorney held by the attorneys of the applicant.

The application was argued by written submissions.

Before going to the merit of the application it is important to ascertain the competency of the application.

The application is filed under Order IX, rule 13(1) and section 95 of the Civil Procedure Code of 1996. The limitation period for filing an application to set aside an *ex parte* judgment is 21 days. This is in terms of Order IX, rule 13(2). In this case judgment was entered on 29 October 2003. The 21 days lapsed on 18 November 2003. The application was filed on 21 November 2004. There is no evidence to show that this application is filed within time. It was filed after 21 days.

This aspect alone is sufficient to dispose of the application. It is dismissed with costs for being time barred.

For the applicant:
Mr El-Maamry

For the respondents:
Mr Rwabutaza

Tropical Commodities Suppliers Ltd and others v International Credit Bank Ltd (In Liquidation)

[2004] 2 EA 331 (HCU)

Division: High Court of Uganda at Kampala

Date of ruling: 13 November 2003

Case Number:	132/98
Before:	Ogoola J
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Civil procedure – Stay of execution – Stay of execution by the High Court of its own decision – Procedure and the law applicable – Whether the law applicable in Order 39 or rules of practice derived from Order 39 – Substantial loss – Meaning of substantial loss.

Editor's Summary

The applicants entered a consent judgment in the High Court for UShs 200 million whereupon they paid UShs 72 million. They then applied to set aside the consent judgment. The review application was refused and the applicants filed an appeal against that refusal.

The applicants in the meantime applied to the High Court for a stay of execution against the consent judgment. The application for stay was brought under section 78 of the Civil Procedure Act (Chapter 71) which gives the Court inherent jurisdiction. The respondent argued that the applicable law was Order 39 of the Civil Procedure Rules.

Held – There is no provision in written law governing the procedure for applying for a stay of execution in appeals emanating from the High Court any of its orders.

The procedure for obtaining a stay of execution in the High Court from a ruling emanating from the High Court is governed by rules of practice derived from Order 39. A party must satisfy three conditions to obtain a stay of execution namely; that substantial loss may result unless the order of stay is made, the application has been made without unreasonable delay, and security for costs has been given by the applicants.

Substantial loss does not represent any particular size or amount but refers to any loss, great or small, that is of real worth or value as distinguished from a loss that is merely nominal. Application was allowed. Security for costs of UShs 20 million ordered.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

DFCU Bank Ltd v Lusejjere civil application number 29 of 2003 – **C**

Kaggwa v Kawalya-Kaggwa administration cause number 21 of 1972 – **C**

Kampala Bottlers Ltd v Uganda Bottlers [1995] LLR 223 (SCU) – **D**

Kyazze v Busingye [1990] LLR 190 (SCU) – **APP**

Mugenyi and Co Advocates v National Insurance Corporation Supreme Court civil application number 3 of 1984 (UR) – **APP**

Singh v Runda Coffee Estates Ltd [1966] EA 263 – **C**

Tahar Fourati Hotels Ltd v Nile Hotel International Ltd High Court miscellaneous application number 614 of 2003 – **C**

United Kingdom

Wilson v Church [1879] 12 Ch D 454 – **C**

Others

Re Krause's Estate 173 WASH 1, 21p 2d 268 – **C**

Seglem v Skelly Oil Co 145 KAN – **C**

Ruling

OGOOLA J: The applicants seek a court order to stay execution of this Court's judgment pending the applicants' appeal to the Court of Appeal. The background to this application is quite convoluted. A consent judgment was entered against the applicants for UShs 200 million. The applicants proceeded to pay a part of that decretal amount to the tune of UShs 72 million. Thereafter, the applicants appear to have totally changed their mind one hundred and eighty degrees around. They applied to Court for a review of that consent judgment, on the grounds that their lawyer had no instructions to enter a consent judgment. On 21 May 2003, this Court refused to review the consent judgment, whereupon the applicants filed an appeal to the Court of Appeal against the decision of this Court not to review the consent judgment. It is in these circumstances that the applicants now come to this Court seeking a stay of execution against the consent judgment. On 22 July 2003, the Registrar of this Court granted an interim stay of execution pending the conclusion of this application.

It is noteworthy that the application was brought under the former section 101 (now section 98 Chapter 71) of the Civil Procedure Act. This is noteworthy in as much as the applicants saw it fit not to apply under Order 39, rule 4(3) of the Civil Procedure Rules. Instead, the applicants resorted to the inherent powers of this Court under section 98 of Chapter 71. Counsel for the respondent submitted that Order 39 is the applicable law on the point; and that that Order establishes three basic criteria for applications of this kind. In support of his submission, learned counsel cited the case of *Kampala Bottlers Ltd v Uganda Bottlers* [1995] LLR 223 (SCU). In that application, the Supreme Court held that:

> "The matter (of stay of execution) is clearly governed by Order 39, rule 4(3) of the Civil Procedure Code (*sic*)".

Similarly, the Court of Appeal delivered an identical decision in *DFCU Bank Ltd v Lusejjere* civil application number 29 of 2003 affirming the applicability of Order 39, rule 4(3) to applications for stay of execution.

While the above must be the law, coming as it did from the highest courts in the land, the matter is not entirely without difficulty. In particular, as the heading to that order clearly indicates, Order 39 applies only to "appeals to the High Court." Indeed, rule 1(1) of that Order states as much. It says:

> "Every appeal *to the High Court* shall be preferred in the form of a memorandum signed by the appellant or his advocate and *presented to the Court* or to such officer as it shall appoint in that behalf". (emphasis added)

Similarly, rules 2, 4, 5, 8, 9, 10, 12, 16, 18, 19, 20, 21, 22, 23, 24, 26, 27, 28, 29, 30 and 31 of Order 39 make it absolutely clear that the appeals contemplated in that Order are only appeals to the High Court from lower courts; and not appeals from the High Court itself to the higher courts. After all, the higher courts have their own rules. The question therefore remains as to whether the rules in Order 39 are appropriate for appeals (such as the appeal lodged in the instant matter) from the High Court to the Court of Appeal.

The answer to the above question would on the face of it appear to have been firmly adjudicated and settled once and for all by the Supreme Court itself in *Kyazze v Busingye* [1990] LLR 190 (SCU). In that application, the Court first dealt with a careful analysis of the different provisions of the Civil Procedure Act which provide for appeals from or to the High Court, namely:

(*a*) section 68, which provides for appeals from original decrees and orders of the High Court to the (then) Supreme Court (now Court of Appeal);

(*b*) section 74, which provides for appeals from appellate decrees of the High Court to the (then) Supreme Court;

(*c*) section 77, which provides for appeals from orders given under original jurisdiction in a number of stated instances as of right, and subject to the Civil Procedure Rules.

(*d*) Order 40 of the Civil Procedure Rules, whose combined effect with sections 68 and 77 above is to provide for appeals as of right from certain orders, and appeals with leave in the case of other orders.

After setting forth the above lucid analysis, their Lordships of the Supreme Court then stated quite categorically that:

> "There is no provision in any of the legislation for a stay of execution, and when one looks at Order 39 one finds with some surprise that those rules only govern appeals to the High Court and not from the High Court. This is made more poignant because there are the usual rules concerning a stay of execution relating to appeals to the High Court".

Accordingly, the omission of a specific rule in this behalf is a glaring lacuna in the law. It was seen as a problem by the Supreme Court itself. In this regard, their lordships vented their frustration thus:

> "Why was provision not made for a stay of execution in appeals from the High Court? The main reason seems to have been the statutory power of granting a stay of execution given to the Supreme Court in rule 5(2)(*b*) of the Court of Appeal Rules. In that case, why make provision for the High Court to hear applications first in rule 41?
>
> Had the legislation wished to make provision for a stay of execution in the High Court that could have been done as *Singh v Runda Coffee Estate Ltd* [1966] EA 263 will illustrate, such provision having been made in Kenya. For some reason similar provision was not made in Uganda. It is also significant that power to grant a stay of execution is given to the High Court in cases of appeals to the High Court (but not from the High Court)".

The one firm conclusion to be drawn from the above is that Order 39 does not apply to appeals from the High Court to the higher courts, but only to appeals from the lower courts to the High Court. The Supreme Court has recognised this anomaly in the statutory law of the land. It is to be emphasised, however,

that the anomaly or lacuna exists only in one respect (that is in the statutory rules of procedure only). Otherwise, as so ably stated by Wambuzi P (as he then was) in *Mugenyi and Co Advocates v National Insurance Corporation* Supreme Court civil application number 3 of 1984 (UR):

> "It is well established that the High Court has inherent jurisdiction to stay any of its orders, see *Kaggwa v Kawalya-Kaggwa* administration cause number 21 of 1972 ULR 129; *Singh v Runda Coffee Estate Ltd* [1966] EA 263".

To fill the statutory lacuna then, the Supreme Court in *Kyazze*'s case (*supra*) proceeded to enunciate certain procedures, principles and practice, as follows:

> "The practice that this Court should adopt, is that in general application for a stay should be made informally to the Judge who decided the case when judgment is delivered. The Judge may direct that a formal motion be presented on notice (Order XLVII, rule 1) after notice of appeal has been filed. He may in the meantime grant a temporary stay for this to be done. The parties asking for a stay should be prepared to meet the conditions set out in Order 39, rule 4(3) of the Civil Procedure Rules. The temporary application may be *ex parte*. If the application is refused, the parties may then apply to the Supreme Court under rule 5(2)(*b*) of the Court of Appeal Rules where again they should be prepared to meet conditions similar to those set out in Order 39, rule 4(3)".

The above are rules of practice. Indeed, even though they are derived from Order 39, they are only rules of practice. They are not a statutory edict or enactment. That being the case, it is extremely perplexing then that the same Supreme Court in the *Kampala Bottlers*' case (*supra*), which was heard and decided in 1995 (that is some five years after the *Kyazze*'s case), came out boldly to declare quite emphatically that:

> "The matter is clearly governed by Order 39, rule 4(3) of the Civil Procedure Code (*sic*)".

To compound matters, the *Kampala Bottlers*' case, as well as the *Lusejjer*' case (*supra*) went even a step further to categorically assert that Order 39, rule 4(3)(*c*) requires the applicants to deposit in court security "for costs" only, yet the plain, unequivocal language of that paragraphs (*c*) requires the applicants to give:

> "security *for the due performance of such decree or order as may ultimately be binding upon him.*" (emphasis added)

Thus the above two Supreme Court decisions give rise to a patent conflict and contradiction. Either Order 39 applies (as contended in *Kampala Bottlers*), or it does not (as positively affirmed in *Kyazze*). Moreover, either the security required to be deposited in court during a stay of execution is only security for costs (as asserted in *Kampala Bottlers*), or it is security of the whole decretal amount (as plainly stated in Order 39, rule 4(3)(*c*)).

It is quite evident, given all the above difficulties that the position on these points is badly and urgently in need of a clear restatement of the law. This could possibly be done by the Supreme Court itself, at the earliest available opportunity, in order to straighten out the area of our jurisprudence. Conversely, the Civil Procedure Rules could be expressly amended (at the behest of the Honourable the Chief Justice, through the rules committee). The aim of such an amendment would not only be to iron out the rough edges discussed above, but also to generally enrich and update this area of our rules of procedure. In this connection, I wholeheartedly endorse the sentiments expressed by my brother Lugayizi J, in the similar ruling that his Lordship delivered only one week ago in *Tahar Fourati Hotels Ltd v Nile Hotel International Ltd* High Court

miscellaneous application number 614 of 2003, to the effect that the rules committee should take its responsibility to attend this clear gap in our Rules of Civil Procedure.

Be that as it may, this Court must abide by the above decisions of the Supreme Court and of the Court of Appeal, which have established three conditions for the determination of applications for stay of execution, namely:

(*a*) that substantial loss may result to the applicants unless the order of stay is made;

(*b*) that the application has been made without unreasonable delay; and

(*c*) that security for costs has been given by the applicants.

In the instant application, the applicants averred that substantial loss may result if execution proceeds in as much as the appeal would be rendered nugatory. As the Court of Appeal emphasised in *Lusejjere*'s case (*supra*):

> "It is the paramount duty of a Court to which an application for stay of execution pending an appeal is made to see that appeal, if successful, is not rendered nugatory: See *Wilson v Church* [1879] 12 Ch D 454".

In this regard, the applicants noted that the respondent, who is the judgment creditor, is already in liquidation. Therefore, if all the decretal amount is now recovered through execution of the decree, and if the applicants then succeed on appeal, they would find it extremely difficult to recover that money from the liquidation. I wholly agree that by reason of the respondent banks closure for solvency and its ongoing liquidation the situation is rendered dicey for the applicants.

Nonetheless, the applicants' difficulties in recouping their money from the liquidated bank is only one consideration. The other consideration is whether the loss, if any, arising from those difficulties would be substantial. Hence, the question needs to be asked as to what in law constitutes "substantial loss". In my view, substantial loss need not be determined by a mathematical formula whose computation yields any particular amount. Indeed, *Jowitt's Dictionary of English Law* (2 ed) Volume 2, at 1713, carefully defines the analogous concept of "substantial damages" as:

> "damages *which represent actual loss, whether great or small*, as opposed to nominal damages". (emphasis added)

In similar vein, *Black's Law Dictionary* (6 ed) at 1428 defines the word "substantial" as, *inter alia*:

> "Of real worth an importance, not seeming or imaginary or illusive *Seglem v Skelly Oil Co* 145 KAN 216 page 2d 553, 554. Something worthwhile as distinguished from something without value or merely nominal – in *Re Krause's Estate* 173 WASH 1, 21p 2d 268".

The conclusion is inescapable. Substantial loss does not represent any particular amount or size. It cannot be quantified by any particular mathematical formula. Rather, it is a qualitative concept. It refers to any loss, great or small, that is of real worth or value, as distinguished from a loss without value or a loss that is merely nominal.

In the light of the above definitions, and given the fact that the respondent is in liquidation, there can be no doubt but that the applicants are likely to suffer substantial loss if execution of the decree is not stayed pending disposal of the appeal.

As regards the criterion of delay, I am equally satisfied that the applicants have been extremely diligent in lodging the appeal, and in prosecuting this application. The Court's ruling (in Miscellaneous Application Number 67 of 2002) against which the applicants have now appealed, was delivered on 21 May 2003. The applicants then applied for and were granted an interim stay of execution of 22 July 2003. Thereafter, the appeal was filed on 3 September 2003 as Civil Appeal Number 96 of 2003, and was promptly served on the respondent's counsel. I am thus satisfied that the application has been made without unreasonable delay.

That leaves only the third criterion, namely payment of security. The applicants did not offer any security. The respondent for its part sought security of Ushs 137.5 million, representing the entire balance of the decretal amount. Here again, as discussed elsewhere in this ruling, we are faced with yet another difficulty from the *Kampala Bottlers*' case (*supra*). In that case, their Lordships of the Supreme Court talked in terms of "security of costs". Similarly, in the *Lusejjere* case (*supra*) the Court of Appeal made the categorical statement that:

> "Under Order 39, rule 4(3) of the Civil Procedure Rules an application for stay of execution pending an appeal must be accompanied by payments of security for costs".

Yet, Order 39, rule 4(3) talks generally in terms of "security", without qualification or limitation as to "costs", etc. indeed, Order 39, rule 4(3)(*c*) requires payment of:

> "security *by the applicants for the due performance of such decree or order as may ultimately be binding upon him*." (emphasis added)

The above quoted language seems to embrace security for the entire decretal amount, rather than merely security for the costs of the appeal. This conclusion is fortified further by the existence of such other rules (particularly rule 9 of the same Order 39) which explicitly confer on the Court a discretionary power to "demand from the appellant security for the costs of the appeal". It is quite evident then that the security mentioned elsewhere (especially in rules 4 and 5 of that same Order) cannot be security for costs. Yet their Lordships of the Supreme Court in *Kampala Bottlers*' case (*supra*) categorically held that:

> "Under Order 39, rule 4(3) the applicants must show:
>
> (*a*) ...
>
> (*b*) ...
>
> (*c*) that *security for costs* has been given by the applicants." (emphasis added)

Again, regarding this particular difficulty, this Court must abide by the holding of the Supreme Court. Accordingly, in the instant case, for the application to succeed the applicants must be willing to give security for costs, rather than security for the entire decretal amount as pressed by the respondent's learned counsel. In my view that requirement is eminently more just. Insistence on a policy or practice that mandates security for the entire decretal amount is likely to stifle possible appeals, especially in a Commercial Court, such as ours, where the underlying transactions typically tend to lead to colossal decretal amounts. In the circumstances of this case a figure of about 10% of the decretal amount (of Ushs 200 million) would appear to be quite adequate, if the applicants are willing and ready to pay it.

The application is hereby granted, on condition that the applicants must pay into Court a total sum of UShs 20 million as security for the costs of his appeal.

That amount is to be paid into this Court not later than 14 December 2003. In the meantime, the interim stay of execution that was granted by the Registrar of this Court will continue in force (until that date).

For the first and third applicants:
A Ejalu

For the respondent:
M Kanyerezi instructed by *Mugerwa &Masembe Adv*

Tuke v Dhow Mercantile (EA) Ltd
[2004] 2 EA 337 (HCT)

Division:	High Court of Tanzania at Dar-es-Salaam
Date of Judgment:	17 February 2004
Case Number:	147/02
Before:	Kimaro J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Contract – Loan agreement – Whether plaintiff entitled to recover – Appointment of receiver/manager in event of default.

Editor's Summary

The plaintiff became acquainted with Mr Gulamali Bohari Shah and Yohana Nyakibari who were directors of the defendant company. The defendant had a contract with the Parastatal Sector Reform Commission which allowed it to hire Lupembe Tea Factory for six months. The defendant had no capital for running the factory and through its directors, obtained financing from the plaintiff. The plaintiff was also made a shareholder and director of the defendant company.

The plaintiff had advanced to the defendant TShs 90 million for its operations, with TShs 60 million being secured by debenture whereas the balance was made on a gentleman's agreement.

A dispute arose between the parties as to the amount of money truly outstanding.

The plaintiff sued for payment of the outstanding balance of TShs 38 039 830. Issues framed for determination were (*a*) whether the loan amount under the debenture had been fully liquidated and (*b*) which relief's the were parties entitled to.

Held – The plaintiff had proved his case on a balance of probabilities. The defendant was indebted to the plaintiff in the sum of TShs 38 309 830 being the outstanding balance which had not been repaid. Judgment would therefore be entered for the plaintiff against the defendant for the outstanding amount.

The plaintiff would also be allowed to appoint a receiver/manager to manage the affairs of the defendant in the event of default in payment.

No cases referred to in judgment

Judgment

KIMARO J: The plaintiff became acquained with Mr Gulamali Bohari Shah and Yohana Nyakibari who are the directors of the defendant, in the process of business ventures. The defendant had a contract with the Parastatal Sector Reform Commission which allowed it to hire Lupembe Tea Factory for six months. It had no capital for running the factory. Through one Mr Kahindi who was working with National Chemicals Industries in Tanga, the plaintiff was introduced to the directors of the defendant aforementioned. The plaintiff accepted a request by the defendant's directors to finance the defendant's company. In that process he became a shareholder as well as a director in the defendant company.

Their arrangement of functions for running the factory placed the plaintiff in Mombasa for marketing the tea Mr Gulam was placed at Dar-es-Salaam and Mr Yohana Nyakibari was stationed at Mufindi to supervise production and other processes.

The pleadings and the evidence tendered during the trial show that the plaintiff granted the defendant a loan of TShs 90 million for the purpose mentioned earlier. The parties are now in dispute on how much of the loan which the plaintiff granted to the defendant has not been repaid.

Whereas the plaintiff avers that TShs 38 309 830 is the outstanding balance which the defendant has failed to repay, the defendant denies that there is any outstanding balance. According to the defendant, the plaintiff has been repaid over and above what he had given to the defendant as a loan.

The issues framed for the determination of the Court are:

(i) Whether the loan amount under the debenture has been fully liquidated.

(ii) To which relief(s) the parties are entitled to.

The plaintiff's testimony was that various moneys were loaned to the defendant until the amount reached TShs 90 million. An amount of TShs 60 million of the loan was secured by debenture. The remaining amount of TShs 30 million was loaned on a gentleman's agreement. The money was loaned in instalments. It was for buying tea from the farmers, replacing a damaged generator and doing other activities. The condition for repayment was that it had to take place whenever the money was available. The activities took place during the period 1999-2001.

According to the plaintiff, the parties reached a point when it was no longer necessary for him to continue being stationed in Mombasa because a reliable market had been established. On 4 December 2000 all directors did reconciliation of accounts and it was found that the plaintiff had given the defendant the amount of TShs 90 million. He said he had been repaid TShs 36.5 million. The balance outstanding was TShs 54 190 000. Subsequent to the reconciliation, the plaintiff was paid TShs 13 million leaving a balance of TShs 38 039 830 which he is now claiming from the defendant.

The plaintiff tendered in court the following documents which were admitted in court as Exhibits; the debenture Exhibit P1, the registration form from the debenture Exhibit P2, reconciliation of accounts Exhibit P3 and the letter for demand Exhibit P4.

The other directors of the defendant (Yohana Hillarius Nyakibari (DW1) and Gulam Ali Shah Bohari (DW2)) admitted most of the testimony of the plaintiff.

They admitted their acquaintance was through Mr Kilindi, the plaintiff was their financier, an amount of TShs 90 million was advanced to the defendant by the plaintiff, TShs 60 million was secured by a debenture, the schedule for their duties in running the business together as well as reconciliation of the accounts.

What the two witnesses did not agree with the plaintiff was the balance outstanding. The witnesses said that the plaintiff marketed tea worth USD 97 000 which he never accounted for. The two witnesses said that the plaintiff accounted for only one export and he did not even show the real amount which was realised from the sale. They said the amount of USD 97 000 was more than the loan which the plaintiff had given to the defendant.

Although both witnesses admitted that there was a reconciliation of accounts, DW2 testified that the reconciliation was done to determine what was receivable and what was paid for. They could not record what was determined because all documents pertaining to the exportation of tea were in the factory. The whole exercise was done in the spirit of putting the business in a good position. DW2 admitted that at reconciliation, the plaintiff had been paid TShs 36.5 million. He concluded his testimony by saying that the plaintiff has been wholly paid. The witness said that the plaintiff cannot opt to recover the unprotected money first. He said if the argument is accepted by the Court, the defendant is not indebted to the plaintiff.

Substantially, this is the evidence which was led during the trial.

In his final submissions Mr *Ukongwa*, learned advocate for the defendant submitted that it was the protected loan that was the defendant's priority to pay. He made reference to paragraphs 2.1 and 2.2 of the debenture deed and 6.02 of the loan agreement arguing that these are the documents which gave the defendant authority to have priority on the repayment of the protected loan. His conclusion is that if the value of the tea which was supplied to the plaintiff is considered, added to the amount already repaid to the plaintiff, the plaintiff has been over paid.

Mr *Ngudungi*, the learned advocate appearing for the plaintiff submitted that the evidence on record shows that the defendant has not fully repaid the loan and that TShs 30 million was repaid by the defendant through the gentleman way.

Admittedly, there is no problem at all resolving the issue between the parties because it is an issue of fact.

Although Mr *Ukongwa* tried to convince this Court that the defendant opted to have priority in repayment of the protected loan, through the debenture deed and the loan agreement, there is nothing on record to support him. The loan agreement he referred to was not tendered in court as an Exhibit. The paragraphs in the debenture do not give the defendant such authority. There is therefore no basis for Mr *Ukongwa*'s argument particularly when bearing in mind the existence of Exhibit P3 which Mr *Ukongwa* never mentioned. He remained totally silent on this document, presumably because he knows the effects of the said document.

Exhibit P3 totally defeats the defendant's evidence that the plaintiff has been fully paid. Exhibit P3 is reconciliation of accounts of funds which the plaintiff gave to the defendant. The reconciliation took place on 4 December 2000.

DW2 (Gulam Ali Shah Bohari) admitted being a signatory to the Exhibit for the defendant.

Exhibit P3 shows that the total funds which the plaintiff gave to the defendant was TShs 90 690 500. The total funds which had been repaid to the plaintiff at the time of reconciliation was TShs 36,5 million. The balance which stood outstanding on that date was TShs 54 190 500.

Subsequent to the reconciliation of accounts, PW1 said he was paid in tea worth USD 18 000 and that was on 24 January 2001. The USD 18 000 was equivalent to TShs 13 million. Although DW2 attempted to show that when the reconciliation was done, the proceeds of the tea which was sold by the plaintiff was not taken into consideration, this is an agreement which cannot be accepted by this Court. Both DW1 and DW2 admitted that the plaintiff gave a loan of TShs 90 million to the defendant. Exhibit P3 shows what was paid subsequent to 4 December 2000. DW2 admitted that the plaintiff financed everything and even the amount of TShs 30 million which the parties said was advanced on a gentleman's agreement, was not a gift but a loan. No other transactions of sale of tea by the plaintiff took place in between 4 December 2000 and 24 January 2001. DW2 having made reconciliation on 4 December 2000 with the plaintiff to ascertain what the plaintiff had advanced to the defendant and what had been repaid to him cannot pretend that they did not have all the documents which were necessary for purposes of reconciliation. The parties are bound by their signatures on Exhibit P3.

The evidence considered in totality shows that the plaintiff has not been fully paid. There is an outstanding amount of TShs 38 309 830 which has not been repaid.

This Court makes a finding that the plaintiff has proved his case on a balance of probabilities. He is granted judgment for the TShs 38 309 830 being the principal outstanding, plus interest to be calculated at commercial rate from the date of the receipt of the last instalment to the date of judgment. Thereafter interest to be calculated at the Court rate of 7% till full satisfaction.

In the event the defendant defaults payment, the plaintiff, is allowed to appoint a receiver/manager to manage the affairs of the defendant until such time he is fully paid. The plaintiff is also granted costs.

For the plaintiff:
Mr Ngudungi

For the defendant:
Mr Ukongwa

Unibilt Kenya Ltd (Under Receivership) v Mukhi and Sons Ltd
[2004] 2 EA 340 (CCK)

Division:	Milimani Commercial Courts of Kenya at Nairobi
Date of Judgment:	21 June 2004
Case Number:	219/01
Before:	Azangalala AJ
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

[1] Contract – Lien – Election – Whether by filing suit party loses right of lien – Whether doctrine of election applicable under the circumstances.

Editor's Summary

The plaintiff sued the defendant seeking an order compelling the defendant to deliver to the plaintiff 31 pallets of tin plates, damages, interest on damages and costs. The defendant filed a defence counterclaim seeking a declaration that it had a lien over the said pallets and further sought an order compelling the plaintiff to pay the defendant's charges in default the defendant be at liberty to sell the said pallets to recover its charges.

The parties agreed on issues for determination as follows:

(i) Whether the defendant was put on election between suing the plaintiff for charges or retaining the plaintiff's cargo in exercise of its lien.

(ii) Whether by instituting High Court civil case number 689 of 1998 the defendant had lost its right of lien.

Held – The defendant was not put on election between suing the plaintiff for charges or retaining the plaintiff's cargo in exercise of its lien because the filing of the High Court Suit was consistent with the defendant's lien on the cargo. By instituting the High Court Case the defendant in the present case did not lose its right of lien over the plaintiff's cargo. Suit dismissed, counterclaim allowed with costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Brewer v Sparrow 1827 7B and C 310 (1824-34) All ER 525 – **C**

Re British Tea Table Company [1897] Ltd v The company [1910] 101 LTP 707 – **C**

George Barker (Transport) Ltd v Eynon [1974] 1 All ER 900 – **C**

Judgment

AZANGALALA AJ: By a plaint dated 16 February 2001, the plaintiff sued the defendant seeking an order compelling the defendant to deliver to the plaintiff 31 pallets of tinplate, damages, interest on damages and costs. On 20 March 2001 the defendant filed a defence and set up a counterclaim seeking a declaration that it was entitled to a lien on the said pallets and further sought an order compelling the plaintiff to pay the defendant's charges in default, the defendant be at liberty to sell the said pallets to recover its charges.

The agreed facts are as follows:

1. The defendant rendered to the plaintiff clearing an forwarding services during the period 1997 and July 1998.

2. As at 31 July 1998 the plaintiff was indebted to the defendant in the sum of KShs 3 573 193-10.
3. Under an agreement between the plaintiff and the defendant for the provision of the clearing and forwarding service it was expressly agreed that the defendant "shall have a general as well as a particular lien on all goods for unpaid account".
4. On 9 November 1998 the defendant instituted High Court civil case number 689 of 1998 against the plaintiff to recover the said sum of KShs 3 573 193-10.
5. At the time of institution of High Court civil case number 689 of 1998 the defendant was holding pursuant to its contractual right of lien the plaintiff's cargo namely pallets of tinplate at its warehouse pending payment/settlement of its outstanding account.
6. On 6 March 2000 the High Court of Kenya at Nairobi in High Court civil case number 689 of 1998 decreed that the plaintiff do pay to the defendant the sum of KShs 3 573 193-10, interest and costs which decree remains unsatisfied to date.
7. On 16 March 2000 Kenya Commercial Bank Ltd by a deed of appointment dated 16 March 2000 appointed joint receivers and managers in respect of the plaintiff who in the name of the plaintiff instituted this suit seeking to recover the goods held by the defendant.

Based on the foregoing agreed facts the parties further agreed that the issues for determination are as follows:

1. Whether the defendant in the present suit was put on election between suing the plaintiff for charges or retaining the plaintiff's cargo in the exercise of its right of lien.
2. Whether by instituting High Court civil case number 689 of 1998 the defendant in this suit lost its right of lien.

The parties further agreed that if the findings of the Court on the above issues is in the negative the plaintiff's suit should be dismissed with costs and the defendant's counterclaim should be allowed with costs and if on the other hand the finding of the Court on the above issues is positive then the plaintiff's suit should be allowed and the defendant's counterclaim dismissed with costs.

The parties filed an agreement in the above terms pursuant to the provisions of Order XIV, rule 6 of the Civil Procedure Rules. The matter came before me on 14 May 2004. Mr *Arua* was instructed by the plaintiff and Mr *Kairu* appeared for the defendant. In addition to written submissions filed, counsel made oral submissions in court and highlighted what was in the written submissions.

Counsel for the defendant submitted that the defendant has a lien on the plaintiff's cargo and the filing of High Court civil case number 689 of 1998 did not take away that right. In his view a lien merely confers a passive right of retention. The filing of High Court civil case number 689 of 1998 and the subsequent decree did not substitute the defendant's lien over the plaintiff's cargo as the doctrine of election is not applicable. Counsel relied on *Stroud's Judicial Dictionary* Volume 1 at 787 where the learned author writers:

> "Every case of election therefore presupposes a plurality of gifts or rights with an intention, expressed or implied of the party who has a right to control one or both that one should be a substitute for the other. The party who is to take has a choice but he cannot enjoy the benefit of both".

Counsel further relied on the decision in the case of *George Barker (Transport) Ltd v Eynon* [1974] 1 All ER 900 for the proposition that where a lien exists before the appointment of a receiver the contract conferring the lien is binding

on the receiver. Counsel further relied on the case of *Re British Tea Table Company [1897] Ltd v The company* [1910] 101 LTP 707 for the same proposition that a lien survives the receivership. He prayed that the plaintiff's claim be dismissed and the judgment be entered for the defendant on the counterclaim.

Counsel for the plaintiff submitted that the doctrine of election applies in this case. The defendant elected to sue for its charges and therefore lost the right of lien. Counsel cited five English authorities in support of his submission, one of which was the case of *Brewer v Sparrow* 1827 7B and C 310 (1824-34) All ER 525. In this case the defendant wrongfully sold goods of a bankrupt. The assignees of the bankrupt received the accounts of the sale and accepted from the defendant the balance appearing due on the accounts. It was held that they had elected to ratify the sale and they could not afterwards sue the defendants for conversion. The other four English cases involved the same doctrine of election.

Counsel further submitted that the defendant's counterclaim is incompetent by reason of being *res judicata*. In Nairobi High Court civil case number 689 of 1998 the defendant claimed KShs 3 573 193-10 being its clearing and forwarding charges. By its counterclaim in this suit it seeks to enforce its right of lien. The counterclaim in counsel's view should be struck out. The plea of *res judicata* was however not framed as an issue for my determination.

The agreement between the plaintiff and the defendant for the provision of clearing and forwarding services expressly provided that the defendants "shall have a general as well as a particular lien on all goods for unpaid account." A general lien and a particular lien are both categories of a legal lien. *Halsbury's Laws of England* (4 ed) paragraph 502 at 221 describes the same as a right at common law in one man to retain that which is rightfully and continuously in his possession belonging to another until the present and accrued claims of the person in po.ssession are satisfied.

Paragraph 519 of the said *Halsbury's Laws of England* states:

> "A legal lien is a right of defence and not a right of action and saving special cases does not give any right to sell the thing retained".

The plaintiff herein was not able to pay the defendant's charges. The only way the defendant could recover its charges was therefore by way of a suit. The defendant did so by filing Nairobi High Court civil case number 689 of 1998. In my view the defendant did not have much choice in the matter. The filing of the said suit was not inconsistent with the defendant's lien on the plaintiff's cargo. Indeed in my view the filing of Nairobi High Court civil case number 689 of 1998 was consistent with the defendant's said lien. The doctrine of election would apply if the filing of the said suit would substitute the defendant's lien on the plaintiff's cargo or if the filing of the said suit would be inconsistent with the defendant's lien on the cargo. This in fact is the principle that runs through the cases relied upon by the plaintiff in this case. I have therefore no hesitation whatsoever in finding that the defendant in the present suit was not put on election between suing the plaintiff for charges or retaining the plaintiff's cargo in the exercise of its right of lien.

It follows as day follows night that the answer to the second agreed issue must be in the negative. By instituting High Court civil case number 689 of 1998 the defendant in the present case did not lose its right of lien on the plaintiff's cargo.

The parties submitted on the effect of the receivership of the plaintiff on the defendant's right of lien even though the same was not framed as an issue for my determination. If I had been asked to make a determination on the same, I would have held that the receivership of the plaintiff did not take away the defendant's lien over the plaintiff's cargo. I have found support for this in paragraph 531 and 532 in *Halsbury's Laws of England* (4 ed) volume 28 at 236 where it is stated:

> *531 effect of liquidation*
>
> "where a general lien has been created by contract it is not defeated by the later crystallisation of a floating charge which was in existence but not crystallised at the time of creation of the lien".
>
> *532 effect of receivership*
>
> "where a lien exists before the appointment or where there is a contract authorising the exercise of a general lien in certain events such a contract is binding on the receiver even if the relevant events occur after the date of his appointment".

Having determined the agreed issues in the negative I order that the plaintiff's suit be and is hereby dismissed with costs and the defendant's counterclaim be and is hereby allowed with costs.

Order accordingly.

For the plaintiff:

Mr Arua

For the defendant:

Mr Kairu

Utegi Technical Enterprises (T) Ltd and another v NBC Ltd
[2004] 2 EA 344 (HCT)

Division:	High Court of Tanzania at Dar-es-Salaam
Date of ruling:	16 February 2004
Case Number:	137/02
Before:	Kalegeyaj
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Civil procedure – Affidavit – Falsity of contents – Wrong computation of interest and understatement of purchase price – Whether falsity goes to the root of the application.

[2] Civil procedure – Decree – Execution – Decree more than 12 months – Notice to judgment debtor – Whether court may dispense with notice – Whether reasons for dispensing with notice to be recorded – Order 21, rules 20 (1) and (2) Civil Procedure Rules (Tanzania).

Editor's Summary

The applicants had been indebted to the respondent in the sum of TShs 31 160 059 arising from a loan advanced by the respondent to the applicants and secured by a mortgage. The respondent sued the

applicants seeking recovery of the outstanding sum with interest, an order of foreclosure of the mortgaged property, interest on the decretal sum at statutory rate of 12% and

costs of the suit. Judgment was entered for the respondents on 6 March 2002 as prayed save that the decretal sum would attract interest at the rate of 7% per annum.

The respondent, instead of resorting to court for execution, exercised its statutory powers of sale and caused to be sold the mortgaged property for the sum of TShs 22 500 000. Thereafter, the respondent applied for execution of a decree for the balance of TShs 21 055 439. The application for execution contained arithmetic errors in that the computation of interest.

The respondent's application for execution was by attachment of the first judgment debtor's (applicant) account garnishee order. A letter from the respondent's advocate accompanied the application for execution urging that the garnishee order be issued expeditiously as the judgment debtor was still running the account and in the long run there may be nothing left to attach. The Court issued the orders sought.

The applicants made an application seeking stay of execution of the decree, rescinding of the garnishee order and review. The applicants contended that the respondent had not issued a notice before executing the decree which was more than 12 months after issuance, that the interest computation was wrong as it should have been based at 7%, that the affidavit in support of the execution was false for stating TShs 22 million instead of TShs 22.5 million as the sale price realised and therefore the errors made the garnishee *nisi* untenable and should be rescinded and/or discharged.

The respondent countered that although no notice was issued, the same was curable because the Court could dispense with the notice for good reason, that the computation of interest was wrong and the outstanding amount was therefore TShs 19 607 214-97, that the sale of the property by auction was properly conducted.

Held – Under Order 21, rule 20(2), the Court may dispense with notice where decree was more than twelve months old and although Order 21, rule 20(2) required that reasons for dispensing with the notice be recorded, the Court had acted on the respondent's letter which stipulated that a further delay may lead to depletion of an otherwise liquid account.

The error in computation of interest was rectifiable and did not go to the root of the order. On the alleged falsity of the respondent's affidavit, the understatement of the purchase price by TShs 500 000 did not go to the root of the application to warrant dismissal of the application.

Application dismissed.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Ignazio Messina v Willow Investment SPRL civil application number 21 of 2001 (CAT) – **C**

Ruling

KALEGEYA J: The applicants' chamber summons is for orders that:

"(*a*) The Honourable Court may be pleased to order stay of further execution of the *ex parte* decree dated 5 April 2002.

(*b*) That the garnishee order issued by the Honourable Court as per Honourable Kalegeya J on 13 January 2004 be rescinded.

(*c*) That the Honourable Court be pleased to review its Orders made on 13 January 2001 as per Honourable Kalegeya J.

(*d*) Costs be provided for.

(*e*) Any other order and/or relief that this Honourable Court may deem just and fit to grant".

The background to the matter is as follows:

On 6 March 2002 judgment was entered against the applicants/judgment debtors in the following terms:

> "Judgment is hereby entered in favour of the plaintiff as per the plaint save that the decretal sum shall attract interest of 7% per annum from the date of judgment until settlement in full".

The decree holders/respondents had prayed for judgment and decree against the defendant jointly and severally as follows:

"(i) An order of foreclosure or sale by the plaintiff of all that property known as plot number 161/2/1 occupying 2892 square meters currently registered in the name of Otieno Olung'a Igogo, Certified of Title Number 46978 located at Kurasini Service Trade Dar-es-Salaam.

(ii) Payment by the defendants jointly and severally of the outstanding amount of TShs 31 160 059 plus the amounts in (iii), (iv) and (v) herein below less the proceeds of sale as prayed in (i) above.

(iii) Interest on the decretal sum in (ii) at a rate of 28% as covenanted by the plaintiff and the first defendant from April 1, 2001 to the day of Judgment.

(iv) Interest on the decretal sum at a statutory rate of 12% from the day of Judgment to the payment of the last sent.

(v) Costs.

(vi) Any other relief's that his Honourable Court may deem just to grant.

Treading on failure by the applicants/Judgment debtors to satisfy the decree, the respondent/decree holders instead of resorting to court for execution, decided to exercise powers provided under clause 9(*a*) of the Mortgage Deed. The said clause provided as under:

> "At any tine after the principal moneys and interest hereby secured become payable either as a result of lawful demand being made by the bank under the provisions of clause 8 hereof the bank shall be there upon immediately concurrence on the part of the mortgagor to exercise all statutory powers conferred on mortgages by the Conveyancing and Law of Property Act of 1881 including the power to appoint a receiver and power of sale but without the restrictions imposed by section 20 of the said Act and *provided that* the right of sale shall not effect the bank to foreclosures *and provided further* that any receiver appointed here under after the statutory application of all monies received by him apply the balance in or towards discharge of the principal moneys hereby secured before paying any residue to the person who constitute this mortgage an instrument under the Chattels Transfer Ordinance (Chapter 210)".

The applicants proceeded and through one Sadock D Magai, appointed Messrs Comrade Auction Mart and Court Brokers to auction the mortgaged property on plot number 161/2/1, CT number 46978, Kurasini Area, Dar-es-Salaam in

the name of the second applicant who was the guarantor. The property was accordingly auctioned and a total sum of TShs 22.5 million was realised.

On 7 January 2004 the respondent/decree holder applied for execution of a decree for the balance of TShs 21 055 439 out of the indicated sum of TShs 31 160 059. Unfortunately however, the application contained errors in that the computation of interest for the period from 6 March 2002 to 29 December 2003 (that is the period after Judgment) was made at the rate of 12% instead of 7% as decreased by the Court, and also the amount of TShs 500 000 from the sale of the property was excluded as only TShs 22 million was indicated.

As regards the application, the mode in which the Court's assistance was required was by:

> "Attachment of the first Judgment debtor's account (garnishee order) number 240-790031 at Kenya Commercial Bank Limited".

While the application was filed on 7 January 2004, on 8 January 2004 the respondent's advocate wrote a letter to the Registrar, Commercial court, whose contents are as follows:

> "We wish to bring to your kind attention that we have currently applied for execution of the decree with regard to the captioned case. We intend to attach the account of the first judgment debtor in proceeding with the operation of its account, we pray that the order be issued earlier as in the long run the decree holder may have nothing to attach. A copy of the application for execution duly filed in court is herewith attached for your ease of reference.
>
> We thank you in advance for your cooperation and we count on you prompt action".

On 13 January 2004 the Court issued the following order:

> "Pursuant to the decree holder's application for execution filed with the Court, garnishee order *nisi* to issue against Judgment debtor's account number 240-790021 with the Kenya Commercial Bank Limited. The order is limited to a sum of TShs 21 055 439-93".

The above prompted the present application.

The application is supported by an affidavit of the second applicant while it is resisted with a counter-affidavit of Sadock Dotto Magai.

Mr *Rutashoborwa*, advocate, for the applicants, urge that the decree sought to be executed 12 months after its issuance without notice is contrary to the law (Order XX1, rule 20 CPC); that the interest computation was wrong as it should have been at the rate of 7% instead of 12%; that Magai's affidavit harbours false elements including stating TShs 22 Million instead of 22.5 being the property sale price, and alleging that he got information of the price from Messrs Comrade Auction Mart and Kiiza of NBC when his firm was the one which issued the receipts, making reference to *Ignazio Messina v Willow Investment SPRL* civil application number 21 of 2001 and that the respondent was not entitled at law to exercise powers of sale without recourse to court, which act resulted in selling the property worth TShs 250 million at TShs 22.5 million. The counsel concludes that all the above enumerated errors/defects make the garnishee *nisi* untenable and should be rescinded and/or discharged.

On the other hand, Mr *Kabakama* advocate for the respondents, conceded that no notice was issued in terms of Order XX1, rule 20(1) Civil Procedure Code but argues that this is cured under rule 20(2) because the Court can dispense with this, which was the case here (on the strength of respondent's letter); conceded the wrong use of 12% rate instead 7% adding that the amount due it TShs 2 319 929-97 instead of TShs 3 768154 thus reducing the amount demanded and payable to TShs 19 607 214-97 instead of TShs 21 055 439-93 reflected on the application for execution form and prays for adjustment accordingly; that the auction was properly conducted leading to the sale of the property to one Cecilia Cornel for TShs 22.5 million on 13 April 2004; that the garnishee order is against the first applicant as a principal obligor; that the prayer for stay of execution is misconceived as Order XX1, rule 24(1) CPC relied upon presupposes pendency of appeal of intention to appeal or an application for stay in the appropriate court which is not the case here, and that even if that were the case, it would be hopelessly time barred, and lastly, that the prayer for review suffers same infirmity because:

> "Under Order XLII sufficient reasons have to be advanced and should be filed within 60 days.
>
> That the order sought to be reviewed is dated 21 January 2001, a date prior to even the filing of the suit ie 28 May 2001".

Starting with the quarrel levelled on failure to issue the requisite notice in terms of Order 21, rule 20(1) of the Civil Procedure Code, I am satisfied that indeed, as rightly argued by the respondent, rule (2) thereof cures the abnormality. The Court can dispense with the notice. I concede that the subrule requires that reasons for departing from rule (1) should be recorded. In this case, the reasons were not recorded as such but the Court acted on the respondent's letter which stipulated that a further delay may lead to the depletion of an otherwise liquid account. The letter is on record.

As regards computation of the interest rate, this error is rectifiable as sufficiently corrected by the respondent. It does not go to the root of the order.

On the alleged falsity of Magai's affidavit, while I agree that there is an understatement of the purchase price by TShs 500 000 the other attack is not justified. Receipts may as well be of the same firm but that does not remove the possibility that Magai himself got the information from the auctioneer and Mr Kiiza of NBC, the people who were possibly present when the sale took place. There is no evidence that Magai was present when the receipts were being made and issued. In any case, these were issued obviously after someone stated the figure. Thus, even if Magai was present when that person was stating them, in the affidavit he could not give the source of the figure as being the receipt but the maker of the statement, and that person could be the auctioneer or Mr Kiiza or both.

The applicants' counsel relied on the following paragraph from *Ignazio* case:

> "An affidavit which is tainted with untruths is no affidavit at all and cannot be relied upon to support an application. False evidence cannot be acted upon to resolve any issue. The falsehood in this case goes to the root of the application".

With respect to Mr *Rutashoborwa*, the present affidavit from the one referred to in that case. The only falsity, TShs 500 000 less than the sale price, does not go to the root of the application.

What about the argument that the respondents were not justified in proceeding to execute the way they did: outside court process. I am on all fours with

the applicants on this. The decree of this Court based on the order for judgment dated 6 March 2002 which in turn was pegged on the prayer's paragraph as quoted, did not authorise them to use the mode employed. That said however, that error does not affect the application for execution lodged with this Court. In any case, what is before us is not a challenge of the erroneous execution modus used in selling the property. If they have a quarrel with that, they are at liberty to mount an action thereof.

On the whole, none of the attacks levelled can legally justify issuance of the orders sought. With this finding, I find it unnecessary to discuss the respondent's arguments on the priority or otherwise of the prayers for stay and review along the lines projected.

The application stands dismissed with a qualification, however that the sum which should be garnished is TShs 19 607 214-97 instead of TShs 21 055 439-93. Respondents are awarded costs.

For the applicants:

Mr Rutashoborwa

For the respondents:

Mr Kabakama

Wainaina v Republic
[2004] 2 EA 349 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	30 July 2004
Case Number:	61/93
Before:	Tunoi, Githinji JJA and Deverell AJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Criminal procedure – Appeal – Trial court file lost – Prosecution and investigation files also lost – Impossible to reconstruct case files for purpose of appeal – Whether appellant should be acquitted as of right – Whether in the circumstances of this case appellant should be acquitted.

[2] Criminal procedure – Appeal – Whether convicted appellant still enjoys benefit of presumption of innocence.

Editor's Summary

The appellant had been convicted of a capital offence and sentenced to death. He subsequently lodged an appeal. The appeal was not prosecuted because the trial court file as well as the prosecution and investigation files mysteriously disappeared. 15 years after his conviction, the appellant applied to the Court of Appeal for an acquittal.

Held – When court and/or police files are missing, the Court must try to hold the scales of justice and must consider all the circumstances under which the loss has occurred. The paramount consideration

must be whether the order proposed to be made is the one that best serves the interest of justice.

An acquittal should not follow as a matter of course where a file has disappeared. Once the appellant is convicted by the trial court, he loses the benefit of the presumption of innocence granted to him under the Constitution.

In this particular case, the appellant has been in prison for 15 years. All files are lost and can therefore not be reconstructed. A retrial is also not feasible. Above all, no appeal can be prosecuted as there are no records. In the exceptional circumstances of this case, the conviction of death will be quashed and the appellant set at liberty.

No cases referred to in judgment

Judgment

TUNOI, GITHINJI JJA AND DEVERELL AJA: The appellant, was convicted of murder and sentenced to death by the High Court of Kenya in criminal case number 15 of 1990. His appeal to this Court was registered on 23 June 1993. It has not been heard since then.

The Deputy Registrar of this Court has confirmed that he is unable to prepare the records of appeal because the entire file containing the handwritten or even typed proceedings, and the judgment including the Exhibits have disappeared and cannot be traced.

Also lost without trace are the investigation and prosecution files of the police. Again, no one knows for sure which police station arrested the appellant. It would appear also that the appellant whose memory seems to be fading probably due to old age is vague of many details about his prosecution and subsequent conviction. It is strange that as matters stand now, we do not have even in the files before us the charge sheet containing the information on which the appellant was tried and of which he was convicted.

In these circumstances, Mr *Mogikoyo* for the appellant has urged us to acquit the appellant as a retrial would serve no useful purpose because even the police file has disappeared.

In such a situation as this, the Court must try to hold the scales of justice and in doing so must consider all the circumstances under which the loss has occurred. Who occasioned the loss of all the files? Is the appellant responsible? Should he benefit from his own mischief and illegality? In the final analysis, the paramount consideration must be whether the order proposed to be made is the one which serves the best interest of justice. An acquittal should not follow as a matter of course where a file has disappeared. After all a person, like the appellant, has lost the benefit of the presumption of innocence given to him by section 77(2)(*a*) of the Constitution he having been convicted by a competent court and on appeal the burden is on him to show that the Court which convicted him did so in error. Thus, the loss of the files and proceedings may deprive him of ability to discharge that burden, but, it by no means follows that he must of necessity be treated as innocent and automatically acquitted. The interest of justice as a whole must be considered.

The appellant has been in prison for about 15 years. We cannot say that he is responsible for the disappearance of all filed, proceedings and documents relating to the charge against him. A retrial is not feasible in the circumstances. It would be quite useless to attempt to do so. Above all no appeal now can be prosecuted before us. Records cannot be reconstructed as none exist.

We have carefully considered the matter before us. We would place this case in an exceptional category. In the circumstances, we quash the conviction and set aside the sentence of death. The appellant is set at liberty forthwith unless otherwise lawfully held.

For the appellant:
AO Mogikoyo instructed by *Osoro Mogikoyo & Co*

For the respondent:
Attorney-General

Wishaminya v Kenyatta National Hospital Board
[2004] 2 EA 351 (HCK)

Division:	High Court of Kenya at Nairobi
Date of Judgment:	12 March 2004
Case Number:	512/99
Before:	Lenaola J
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Damages – Computation of damages.

[2] Negligence – Medical negligence – Deceased injured in road traffic accident – Deceased dying unattended in defendant's hospital – Whether defendant's negligence cause of death.

[3] Tort – Negligence – Medical negligence – Deceased involved in a road traffic accident – Deceased taken to the defendant's hospital – Deceased not attended for 10 hours – Deceased dying unattended – Whether defendant negligent.

Editor's Summary

The deceased was involved in a road traffic accident on 2 August 1998 and 4:00pm. Good samaritans took him to Kenyatta National Hospital, owned and operate by the defendant, where he was immediately taken to casualty department.

The plaintiff (the deceased's father) found out about the accident at about 8:00pm and went to the hospital where he found the deceased unattended but able to talk. The plaintiff took the deceased for X-rays which showed he had fractures of the leg and arm. The plaintiff later took the deceased to ward 6 and the attending doctor in dictated there was nothing he could do as a surgeon was not available. The deceased died at 2:15 unattended.

The plaintiff sued claiming general and special damages in negligence for the deceased's death.

The defendant filed a defence denying the allegations in the plaint but called no witness in its defence.

Held – A hospital is expected by its very nature to take all reasonable steps to ensure that a patient receives emergency care. No reasonable care was given to the deceased by the defendant. The

defendant breached its duty of care to the deceased and was therefore guilty of negligence.

Had there been proper management of the fractures suffered by the deceased, the deceased would probably have survived. The defendant's negligence was the cause of his death.

The plaintiff was awarded KShs 8 855 500-00 special and general damages plus costs of the suit.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Aga Khan Platinum Jubilee Hospital v Munyambu [1983] LLR 104 (CAK) – **F**

United Kingdom

Birkenhead in Rees v Darlington Memorial Hospital NHS Trust [2003] UKHL 52 – **C**

Bolitho v City and Hacknery Health Authority [1998] AC 232 – **C**

Kuwait Airways Corporation v Iraqi Airways Company number 4 and 5 [2002] UKHL – **C**

Lord Clyde in Hunter v Harley [1955] SC 200 – **C**

Judgment

LENAOLA J: The plaintiff herein, Philip Wishaminya filed suit on 12 March 1999 against the board of Kenyatta national hospital for damages arising from the death of his son, Peter James Wishaminya who died at the hospital on 2 August 1998.

In his plaint and in evidence before me, the plaintiff gave a chronology of events leading to the unfortunate demise of the deceased, Peter James Wishaminya. In summary this is what happened:

The deceased was involved in a motor vehicle accident on 2 August 1998 at 4:00pm along Ngong Road, Nairobi. Good samaritans took him to Kenyatta National Hospital where he was immediately taken to the casualty department. The plaintiff got news of the accident later that evening and arrived, by his testimony at about 8:00pm. The deceased was alive and he could talk. He informed his father that in spite of the fact that he had clearly identified himself, the hospital's staff had marked, him as an "unidentified person". He explained that he was driving himself when his motor vehicle and another, had a head-on collision. The plaintiff took his son for X-rays and it was confirmed that he had fractures of the leg and arm. This was at about 8:30pm by the plaintiff's estimation.

The plaintiff after the X-rays, took his son to ward six and the attending doctor indicated that there was nothing he could do as a surgeon was not available. The plaintiff with his son in obvious pain were thereafter left unattended and at 2:15am the deceased passed on without any form of treatment having been administered.

The plaintiff now seeks the following orders:

(*a*) Damages under the Law Reform Act and the Fatal Accidents Act.

(*b*) Special damages in the sum of KShs 41 235.

(*c*) Interest on damages until payment in full.

(*d*) Costs of the suit.

In support thereof, the plaintiff produced receipts showing that he paid KShs 41 000 for the coffin and mortuary expenses and KShs 141 235-15 for air transport. The latter expense was, however, not pleaded.

It is not contested that the plaintiff is lawfully entitled to bring the action as he obtained letters of administration to the estate of the deceased. The deceased was a 19 year old apprentice pilot.

PW2 was Mr Adi Moni Dastur, the managing director of CMC Aviation Limited. The company deals in general aviation matters, sales, training and repairs of aircraft. The deceased was a trainee pilot with the company and had just obtained his private pilot's licence before his demise. The witness stated that, had the deceased qualified as a charter pilot, he would have earned a salary of KShs 125 000 per month, and had he progressed in the profession, he would in 21 months earn a minimum of KShs 225 000 per month.

The defendant called no evidence but had filed a defence on 14 May 1999. In that defence, it is denied that the deceased was denied emergency treatment as alleged. Further, it is denied that the hospital or its servants and/or agents caused the death of the plaintiff's son.

The advocate for the plaintiff filed written submissions and made oral submissions before me and he urges me to first of all find that the hospital was entirely to blame for the plaintiff's son demise. There ought to have been some emergency treatment given to him soon after the accident to stop the bleeding that was the ultimate cause of death.

Further, since there was a duty of care towards the deceased and the hospital's staff refused to give any treatment to the deceased, then I ought to find that the hospital was negligent and find it liable in damages.

As regards quantum of damages, Mr *Keyonzo* for the plaintiff has identified what he calls "four (4) categories":

(*a*) Special damages.

(*b*) Pain and suffering.

(*c*) Loss of expectation of life.

(*d*) Loss of years.

In the plaint, the special damages are pleaded to the totalling KShs 41 235 being:

(i) KShs 14 235 on medical expenses.

(ii) KShs 27 000 on funeral expenses.

In evidence before me however, and without seeking to amend the plaint, a receipt of KShs 41 235 was tendered being further funeral expenses in respect of aircraft hire. I shall return to that anomaly shortly.

It is said that the deceased suffered intense pain from 5:00pm to 2:30am when he died. I am asked to grant KShs 50 000 on this heading of damages.

As expected, the bulk of the plaintiff's claim could be found under these headings. The deceased, it is said was a trained pilot.

He had a private pilot's licence and it is proposed that the sum of KShs 100 000 be granted for loss of expectation of life.

As regards lost years, it is proposed to me that the deceased was 20 years old. He would have progressed in his career and would have earned KShs 225 000 gross salary in two years. His savings it is submitted would have been KShs 75 000 a month. It is assumed that he would have worked to the age of 60 years. Taking the period of 38 years, he would have earned in a year KShs 900 000 and with a multiplier of 28 years with 10 years taxed off, he would have earned KShs 25 200 000 and I am asked to grant that amount in damages plus costs.

The entire figure as quantified by the plaintiff comes to KShs 21 752 740.

The defendant although aware through counsel of the dates for tendering submissions did not appear and did not make submissions. As it is, the defendant called no evidence, did not dispute the plaintiff's submissions on liability and quantum on damages and I shall pass judgment with that fact at the back of may mind.

Is the defendant liable in negligence for the death of Peter James Wishaminya, late first-born son of the plaintiff? The Death Certificate dated 7 October 1998 signed by Dr AO Kirasi Olumbe identifies the cause of death as "chest and lower limb fractures MVA" (MVA for motor vehicle accident). The autopsy report again prepared and signed by the same Dr Olumbe is detailed and of significance to the matter before me are the following findings at 3 thereof;

> "(*a*) Injuries to the right – 'simple fracture of the distal aspect of the femur"'
>
> (*b*) Injuries to the left – 'simple fracture of the distal aspect of the femur'.
>
> (*c*) Signs of medical intervention – 'there are recent puncture marks on the dorsal aspects of both hands and the *cubital fossa*'.

At 4 thereof:

> "(*d*) Lungs – both lungs are markedly increased in weight with severe contusion of both lower lobes. No lacerations. The cut surfaces show marked congestion. Blood stained frothy fluid can be expressed from the surfaces".

At 6 and 7 thereof:

> "(*e*) Significant anatomical findings:
>
> 1. Bilateral simple fractures of both femur.
> 2. Contusion of lungs.
> 3. Bruise on the right side of chest.
> 4. Contusion of thoracic vertebra".

Chest and lower limb injuries due to motor vehicle accident.

Death in this man (*sic*) is due to chest and lower limb injuries sustained in a motor vehicle accident. The most significant injuries were due to the lungs where were contusions and, bilateral fractures of both femur (thigh bone).

Another significant document that I must refer to is the attendance card issued to the deceased. Initially, he is named "unknown African man" and below it after cancellation of those words, the names Peter James Wishaminya.

Another and the only document indicating the treatment given to the deceased in an invoice dated 3 August 1998. I should set it out verbatim:

"*Particulars of charges*

DOA 2 August 1998 (Date of Admission?)	200
DOD 3 August 1998 (Date of Discharge/Death?)	200
Open file	200
TT(?)	120
Haem-Gram	100
N/Saline (IV Fluid)	200
Drug Adm	25
Tab	20
O2	50
Last Offices	50
Total	1 165"

It is clear from this invoice which depicts out the entire dose of treatment and the amount payable for it that the bulk of the deceased's charges are in respect of admission, discharge, opening a file and "last office" (whatever that means). All these are administrative and not clinical matters. Their total charges? KShs 650 out of KShs 1 165. The clinical charges are the intravenous fluid, water and the TT treatment totalling KShs 385. The medicines administered cost KShs 45. It does not take a trained medical mind to see that administration took the bulk of whatever care the deceased received between his admission and death.

The issue leaves questions begging. Was the care given to the deceased sufficient in the circumstances? Was the hospital through its staff negligent? Did that negligence if at all eventually lead to the death of Peter James Wishaminya? In any event, did the hospital owe the said deceased person any duty of care?

I have no doubt in my mind that the duty of care to a patient is a fundamental one. A hospital is expected by its very nature to take all reasonable steps to ensure that a patient especially one in the casualty wing receives emergency care. In the instant case, this would certainly mean initially managing the bleeding and also the broken limbs of the deceased. All evidence before me points to the fact that the hospital staff did not provide care. The evidence of the plaintiff is unchallenged on this point. He said in evidence before me; "I was advised to take him (deceased) to ward 6 without any treatment. In ward six we were kept waiting by the attending doctor and he said he could do nothing without a surgeon. No treatment was given at all, even at this point. At 2:15am the deceased passed away. I was with him".

The next issue then is whether there was negligence. *Lord Clyde in Hunter v Harley* [1955] SC 200 set the test to be applied in medical negligence matters. He stated as follows:

> "In the realm of diagnosis and treatment, there is ample scope for genuine difference of opinion and one man clearly is not negligent merely because his conclusion differs from that of other men. The true test of establishing negligence and treatment on the part of a doctor is whether he has been proved to have been guilty of such failure as no doctor of ordinary skill would be guilty of it acting within ordinary care".

It would not in my view have required extra ordinary skill for a doctor to manage what Dr Olumbe calls "simple fractures". It would not requite magic either to deal with contusion, meaning a bruise of the lung. Contusions fall in the class of soft tissue injuries, which any lawyer would tell you is a minor injury.

I did care to find out what the management of contusion of the lung entails and in an article in "GP Note book" meaning general practice note book by Oxbridge Solution Limited, UK, the simple management is said to be "management involves the administration of oxygen, and physiotherapy. Artificial ventilation may be required in some cases." Surely, oxygen and physiotherapy are basic to trained hospital staff including the attending doctor at ward 6 on the day the deceased was admitted. Again without pretending to have any expertise in clinical matters which I doubt any Judge can, there clearly was no reasonable medical care given to the deceased and that is a pointer to negligence.

Having so said, there must be established between the negligence aforesaid and the eventual loss that the plaintiff allegedly suffered. In *Bolitho v City and Hacknery Health Authority* [1998] AC 232, the Court said:

> "In addition to proving negligence, a claimant must prove that the negligence caused the loss of which he complains. In other words, in a medical negligence action, the claimant must prove that had there been no negligence, the injury, loss and damage of which he complains would have been avoided or at least have been much less".

In our case, had there been proper management of the two really simple injuries suffered by the deceased, he would have probably survived. I cannot understand that it would take the hospital staff more than ten (10) hours to do something about fractures and bruised lungs, something which I am certain they are confronted with daily. Tablets costing KShs 45 must surely be the usual painkillers and not any serious medication. I could be wrong but common sense dictates me to that conclusion! The delay is to my mind unreasonable and the eventual cause of death as was meticulously documented by Dr Olumbe are the simple injuries I have already referred to.

The short and long of my thinking is that the hospital defendant was negligent and therefore liable for the eventual death of the plaintiff's son. This was the same holding in *Aga Khan Platinum Jubilee Hospital v Munyambu* [1983] LLR 104 (CAK) where the Court of Appeal upheld the trial Judge's finding that where a patient was involved in an accident similar to the one in this matter, and where the patient/plaintiff developed a permanent disability of his leg as a result of poor care, the hospital, not necessarily the surgeon, orthopaedic or Registrar was liable for failing to "provide adequate nursing care and skill, or proper supervision".

What then do I award the plaintiff for that loss? Firstly, I am satisfied that one special damages I should enter judgment in the sum of KShs 41 000 only for coffin and funeral expenses. That figure was proved with receipts. The sum of KShs 141235-15 is an afterthought and was not pleaded in respect of aircraft hire.

Secondly, it is not disputed that the deceased was in intense pain from the time of admission to the time of death, which as I have said was close to ten (10) hours. I propose to award the plaintiff KShs 50 000 on this heading.

Thirdly, I am without submissions to the contrary, prepared to grant the proposed sum of KShs 100 000 towards loss of expectation of life.

Fourthly, on lost years, I am prepared to assume that the deceased would have retired at 55 years which means that his working life would have been 35 years having died aged 20 years. Taking Mr *Keyonzo*'s argument that because

of "other unknowns in imponderables and contingencies" I am also prepared like him to "tax this by ten years" given unlike Mr *Keyonzo,* a multiplier of 25 years.

There is no evidence to dispute the fact that the deceased in two years would have earned KShs 225 000 a month. He was before his death preparing to commence studies leading to a Commercial Pilots Licence at the East African Aviation Academy, Soroti, Uganda. If we tax off that amount by 30% to cover taxes and related charges his income would be KShs 158500. If we take off the figure of KShs 120 000 as rents and living expenses I am prepared to take KShs 38 500 as the deceased's savings per month.

The amount then to be granted to the plaintiff on this heading would be KShs 38 500 x 12 x 25 = KShs 11 500 000.

Mr *Keyonzo* has submitted a discount of 15% on the figure but I propose that such discount be equal to the multiplier and therefore I propose 25% of the total amount. In effect, a sum of KShs 8 662 500 be granted as lost years.

In reaching this determination I am guided by the requirements that the amount of damages recoverable must be fair and reasonable. (See *Kuwait Airways Corporation v Iraqi Airways Company* number 4 and 5 [2002] UKHL. I am also guided by the speech of the Lord Nicholls of B*irkenhead in Rees v Darlington Memorial Hospital* NHS Trust [2003] UKHL 52 an appeal from [2003] EWCA civil 88, where he stated as follows:

> "Judges of course, do not have, and do not claim to have, any special insight into what contemporary society regards as fair and reasonable, although their legal expertise enables them to promote a desirable degree of consistency from one case or type of case to the next, and avoid other pitfalls. But however controversial and difficult the subject matter, Judges are requited to decide cases before the Courts. Where necessary, therefore, they must form a view on what are the requirements of fairness and reasonableness".

If my legal expertise fails me in this matter and I have fallen into a pitfall, and have carried the parties along with me, parties can always find ways out of the pit. As for me, my job is done.

I consequently enter judgment in favour of the plaintiff and against the defendant in the following terms:

(i) Special damages KShs 41 000-00.

(ii) Pain and suffering KShs 50 000-00.

(iii) Lost years KShs 100 000-00.

(iv) Loss of expectation of life KShs 8662 5000-00.

Total KShs 8 853 500-00.

The plaintiff shall also have the costs of this suit. Orders accordingly.

For the plaintiff:
SM Keyonzo instructed by *SM Keyonzo & Co*

For the defendant:
Information not available

Yero Transporters Services Ltd and another v Attorney-General and others

[2004] 2 EA 358 (CAT)

Division:	Court of Appeal of Tanzania at Dar-es-Salaam
Date of ruling:	23 April 2003
Case Number:	58A/01
Before:	Munuo JA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Appeal – Time – Extension of time to file application seeking leave to institute certiorari *and* mandamus *proceedings – Advocate's failure to check the law – Whether sufficient ground to extend time – Rule 8 Court of Appeal Rules of 1979 (Tanzania).*

Editor's Summary

The applicants filed an application for extension of time under rule 8 of the Tanzania Court of Appeal Rules, seeking extension of time within which to file an action for *certiorari* and *mandamus*. The applicants also brought the application under section 20 of Act 6 of 1991 seeking leave to institute an action for *certiorari* and *mandamus* in respect of tribunal case number 35 of 1999 in the Lari Loans Recovery Tribunal at Dar-es-Salaam.

The reason for delay was explained that the applicant's counsel had wrongly filed the application for leave to institute *certiorari* and *mandamus* proceedings at the High Court of Tanzania and later discovered that the law had been amended in that under section 20 of Act 6 of 1991 as amended by Act 5 of 1995, the said application for leave ought to have been instituted in the Court of Appeal and not High Court. By then, the period of limitation had expired hence the application for extension of time.

Held – Counsel's failure to check the law was not sufficient reason for extending the period of limitation. *Calico Industries v Premji* [1983] TLR 28 followed.

Application dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Calico Industries v Premji [1983] TLR 28 – **F**

Tanzania Cotton Marketing Board v Cogecot Cotton Company SA [1998] LLR 112 (CAT) – **C**

Ruling

MUNUO JA: The applicants, Yero Transporters Services Limited and Hassan A Mkubwa, through their learned advocate, Mr *Kamugisha*, brought this application for extension of time under rule 8 of the Tanzania Court of Appeal Rules, 1979 which provides:

> "Rule 8. This Court may for sufficient reason extend the time limited by these rules or by any decision of the Court or of the High Court for the doing of any act authorised or required by these rules, whether before or after the explanation of that time and whether before or after the doing of the act, and any reference in these rules to any such time shall be construed as a reference to that time as so extended".

The application was also brought under section 20 of Act 6 of 1991 as amended by Act 5 of 1995 seeking leave to institute an action for *certiorari* and *mandamus* in respect of tribunal case number 35 of 1999 in the IART Loans Recovery Tribunal at Dar-es-Salaam.

Counsel for the applicants stated that on the 31 August 2000 he filed in the High Court of Tanzania at Dar-es-Salaam, Miscellaneous Civil Cause Number 94 of 2000, an application for leave to file an action for *certiorari* and *mandamus* against IART Tribunal case number 35 of 1999, only to discover later that the law has been amended in that under section 20 of Act 6 of 1991 as amended by Act 5 of 1995, the said application for leave ought to have been instituted in the Court. By then the period of limitation had expired. Hence the present application for extension of time and for leave to bring the *certiorari* and *mandamus* action.

The learned counsel for the applicants cited the case of *Tanzania Cotton Marketing Board v Cogecot Cotton Company SA* [1998] LLR 112 (CAT), in which the applicant sought to impeach an arbitration award under section 15 of the Arbitration Ordinance Chapter 15 and rules 5 and 6 of the Arbitration Rules 1957. The particular case, in my view, is not applicable to the present application which is not related to arbitration.

As far as the application for leave, the advocate for the applicants stated that they intend to impeach the decision of the IART tribunal on the ground that it is *ultra vires*. Counsel for the applicants further contended that the Tribunal's decision is against Order 14, rule 2(*b*) of the 1966 Civil Procedure Code because *ex parte* proof was not conducted.

In her reply, Ms *Sehel*, Learned State Attorney correctly observed that the tribunal was properly constituted under section 21(3) of the Loans and Advances Realization Trust Act 6 of 1991 which provides:

> "21(3) The tribunal shall at any time be deemed to be duly constituted if the chairman and one other member are present".

Msoffe J was assisted by one assessor, Mr Bakilana, when the tribunal determined the claim so the said tribunal was duly constituted. It acted within its powers, not *ultra vires*.

The issue is whether there is sufficient reason for extending the period of limitation.

Mr *Sehel*, Learned State Attorney urged the Court not to extend the period of limitation for want of sufficient reason to do so. She pointed out that ignorance of law is no defence "*Ignorantia juris non excusat*".

The Learned State Attorney rightly cited the case of *Calico Industries v Premji* [1983] TLR 28 wherein the Court of Appeal held:

> "Failure of a party's advocate to check the law is not sufficient ground for allowing an appeal out of time".

In this case the advocate of the applicant did not check the law thereby erroneously filing the application for leave to file an action for *certiorari* and *mandamus*,

in the High Court instead of the Court of Appeal. Counsel's failure to check the law is certainly not sufficient reason for extending the period of limitation.

In view of the above, the application for extension of time is lacking in court. It follows that the application for leave, too, has to fail because it is founded on the application for extension of time.

The application is accordingly dismissed with costs.

For the applicants:
Mr Kamugisha

For the respondents:
Ms Sehel, State Attorney instructed by Attorney-General